

## **L&T; Finance Ltd (LTF)**

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## Call: May 2023

May 9, 2023

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications  
Sub: Transcript of investor(s) / analyst(s) meet – Q4FY2023 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q4FY2023 financial performance and strategy update held on May 02, 2023.

The above information is also available on the website of the Company i.e., [www.ltfs.com/investors](http://www.ltfs.com/investors) .  
We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Holdings Limited  
Registered Office  
Brindavan, Plot No. 177, C.5.T Road  
Kalina, Santacruz (East)  
Mumbai 400 098, Mahara shtra, India  
CIN: L67120MH2008PLC181833 T +91 22 6212 5000  
F +91 22 6212 5553  
E [igrc@ltfs.com](mailto:igrc@ltfs.com) (fj) L&T Finance  
[www.ltfs.com](http://www.ltfs.com)

Management Personnel :

Mr. Dinanath Dubhashi ( Managing Director & Chief Executive Officer )

Mr. Sachinn Joshi (Group Chief Financial Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations) | L&T Finance

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Moderator:

Good morning, everyone. On behalf of L&T Finance Holdings, I welcome you all to the Investor and Analyst meet for the financial year 2023. Thank you all for gracing us on this occasion. We have with us today our Managing Director and CEO – Mr. Dinanath Dubhashi and other members of our senior management team.

Before we proceed, as a standard disclaimer, no unpublished price sensitive information will be shared. Only publicly available documents will be referred to for discussions during this meet. While all efforts will be made to ensure that no UPSI is shared, in case of any inadvertent disclosure, the same would in any case form part of the recording. Further, some of the statements made during today's meet may be forward looking in nature. A note to this effect is provided in the results presentation on the website.

I would now like to invite Mr. Dinanath Dubhashi to please come on stage and provide us with a detailed perspective on our journey towards 'Lakshya 26' and the way forward towards creating a Sustainable Retail Fintech@scale. Over to you, sir.

Dinanath Dubhashi:

Thank you, Chairman. Good morning, everybody. Hope all of you had a good breakfast and in a good mood to listen to this presentation. I am very happy to stand in front of you one more year after we presented the Lakshya plan, last year. I hope many of you were present at that time. It was a meet that we had after a long time, after a long COVID period and we set a few guidelines for us, a route for us for the Lakshya plan in the quest to make us a leading retail NBFC which is totally digitally enabled.

Last 1 year has been very, very good for us, not just because of the results. It is because the way we executed the plan, the way we worked on almost every aspect of the plan and progressed on that. So, what my endeavor will be today is not only to showcase what we have done, I think that we have done in

the presentation. All of you

would have gone through the presentation, we had a 3-day gap in between. So, I am not going to talk more about that.

But more importantly, to try and talk to you about how this is sustainable, how we will continue on this path that we have set in this 1 year, how we will continue on the path that we have set for 'Lakshya 26' as we go ahead. I mean, obviously I won't tell you how results will look but will at least give you enough material to have confidence to draw up the results line and see how various financial parameters, business parameters will look. Most importantly, we'll try and convince you that the success we have had during 2022-23, we will continue on that route, continue that success not only in the next year but the year after that and so on and so forth.

Let me just start. So, this is what we spoke about. Each word of this slide is important and I will explain as we go ahead. It is important that we are now a Retail company. As you would have seen, at the beginning of the year, we were 51% Retail, we are already 75%. I will talk about the speed that we are gathering as we go ahead. Digital, that also I will talk viz. what all we now do digitally, which is actually almost everything.

And last but not the least, sustainable. Sustainability has to be looked in 2 ways. One is how our ESG is working to make the world sustainable and our ratings as well as awards show that. But importantly how this journey is sustainable. We would like to convince you that it is not just 1 year performance, but you can actually look at this performance repeating as we go ahead.

We talked about digitally-enabled and the product focus to customer focus. Now this is very important, it is not

just words. Again, as we talk, I will explain the presentation. I will talk to you about the strategic importance of going from product focus to customer focus. So, we were a tractor finance company or we were a micro loans company or we were a two-wheeler company. From that, how are we becoming a Retail finance company is what we would like to talk about.

So, just to refresh your memories, just 1 slide from the presentation 1 year back. These were the targets that we had set for ourselves. Basic 4 targets :

- Retailisation : > 80% would be Retail

As you would know, we started last year with 50:50. So, we set a very aggressive target that we will become more than 80% Retail in the next 4 years. We not only wanted to achieve this Retailisation just by reducing wholesale, but also growing Retail in a way as to generate value. L&T Finance

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- And the way Retail finance was growing, we set a target of a CAGR of 25% over the next 4 years at that time, 2022 to 2026 for ourselves.

- Asset quality, the important number here is net stage 3 of less than 1% is what we aimed for, retail asset quality.

- And last but not the least, after all this to deliver a ROA of 3%

Let me now just take you through the results that we've achieved in just 1 year. This is slide from the presentation, actually all the slides are from the presentation, you would have seen them.

- As I said, Retailisation, instead of 51%, which was 51%, we have actually already achieved more than 70%. And hence the goal of 80% looks very much in near term and in fact, we are already revising that target upwards, I will talk about it as we go ahead.

- Instead of 25% growth, we grew by 35%. I always call it the Virat Kohli model, not the M.S. Dhoni model. I don't like to take it deep. It is better to achieve good growth when the going is good and also create the right environment, the right tools, the right products, right digital infrastructure, physical infrastructure to see that this kind of growth continues as we go ahead.

- Net Stage 3, great story. We are already at 0.71%. Not only has the Gross Stage 3 reduced, but the Net Stage 3, we have actually already overcome that 1% mark. And at 0.71%,

within companies which are at

least 50% rural out of total retail, you know the industry better than me, that's very clearly a benchmark.

- And last but not the least, the ROAs have reached 2.46% for the whole year and especially for Q4FY23, we were within the touching distance of 3%.

I think we are pretty satisfied with the results that we have been able to deliver and there is something that we say internally in the company when we say that 'okay, we will celebrate what we have achieved', immediately the question should be 'what next?' And that's what we will talk about today; that we think the general direction of Lakshya, where we are going, how we have created the right kind of infrastructure to grow in the future. Now, let us talk about each of these items a little bit in detail.

We talked about the book mix. This slide is very important. It absolutely shows how things augur well in the future. On the left side of the slide, we said from 51%, Retail has become 75%. And how this shows the possible future of the company which you have to analyze, you have to put in your models, that with this move, the profit has moved to 85% profit coming from Retail. What does it obviously mean is even with the provision coverages (PCR) that we have, as you know, our Retail provision coverages are very, very high at 80%, this is the kind of profits that Retail delivers. It is very important that when you compare across the industry, we also see provision coverages. And with 80% provision coverage, we are delivering 85% of the total profit which at Rs. 501 Cr and Rs. 1,623 Cr is already moving in the right direction. 85% of that is contributed by Retail and hence, we are quite sure that as Retail percentage keeps going from 75% upwards, profit growth will be better than that. That's the whole idea of showing this slide.

Retail Disbursements :

Now let us talk about the growth and how we have achieved this growth. So, total Retail disbursements, just disbursements moved from ~Rs. 25,000 Cr to ~Rs. 42,000 Cr, which is a 70% growth. And more importantly, it is contributed quite well across business lines and across products. As you know, we have 4 business lines - Farmer Finance, Rural Business Finance, Urban Finance and SME. And the numbers there on the screen, I am not going to repeat them, shows that the growth has been achieved quite well across businesses, right? And I have listed the strengths that we have under each of the businesses. This is again nothing new, but sometimes it is important to put it there to feel confident that this is not a one-time performance, that these are the strengths based on which we can continue to grow.

Well, the only thing I would like to talk about here is Rural Business Finance, this 70% growth has to be taken in perspective that the first quarter of FY22 (last year) was almost 0 disbursement, right? So, FY22, we did some disbursements but were largely 9 months. So, just to remind you, point that out, that we were still within COVID, that was the COVID second wave, FY22. Will we grow by 70% next year, disbursements? Definitely not. But it will be a strong growth nonetheless as we go ahead.

The important thing here is in every business there are particular milestones that we achieved. L&T Finance

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Tractors, we achieved a disbursement of 1 lakh new tractors for the first time. It is really particularly satisfying for me who came here in the very early days in L&T Finance, came to the country in the early days of starting tractor finance and I remember in the first year, we had done 2,000 tractors in the whole year and within 15 years, we have touched a mark of 1 lakh tractors, it is particularly satisfying for me personally.

Rural Business Finance, I think this ~Rs. 1,500 Cr, within March, we did actually ~Rs. 1,600 Cr. But more important and more satisfying number is 30 lakh new customers were added within

1 year and that shows the capability,

the capacity to add new customers as well as do business with existing customers as we go ahead.

Various milestones in Urban Finance. The big milestone I would say is Consumer Loans, a product which is just 2-year-old is really, really catching speed now and we have crossed some real good milestones in this disbursement.

And last but not least, SME, that growth is extraordinary, but obviously because last year, we were still in the pilot phase. So, practically, FY23 was our first year of doing SME disbursements and we have done decently well.

Retail Book:

The book growth largely reflects this. We would also see that mathematics will work. All of you work your excel sheets and till last year, till FY23, the book growth was lower than the disbursement growth because of the previous years. The previous years where the disbursements were very low because of COVID, this year the book growth of even 35% is lower than disbursement growth naturally. Your model itself will show that even for a 2-year or a 3-year product, we are now getting into the good phase of growth where because of current book being high, the book growth will now catch up very fast with disbursement growth. So, I mean there's nothing for me to tell you, all of you know your models and that's how we see that the growth will actually be excellent going ahead, no new points here, but again particularly satisfying book growths have happened which have been a very important part of this Retailisation journey.

Wholesale Book:

Now I am going to come to a slide which we believe was a surprise to the market, is the way we reduced our Wholesale Finance book.

So, somewhere in the beginning of Lakshya, we said okay, we are going to become a Retail company. We are looking at transactions, we are looking at selling our Wholesale Finance book, both Infrastructure Finance as well as Real Estate Finance. I have said it during calls, but I will repeat it once again. But this is the important slide that we started with the idea that we will be able to do transactions where we will be able to sell the Real Estate Finance as well as the Infrastructure Finance platform. We had different kind of issues. Real Estate, there was a structure, a particular private equity had thought of and we didn't get regulatory permission for that structure, one. Infrastructure Finance, the issue was that of perhaps the issue of plenty, that we hired our investment banker, we did the transaction, we got a bite actually, complete due diligence was done and then we realized that a private equity player who is wanting to buy a \$4 billion - \$4.5 billion book could easily cut a \$1 billion cheque for equity, that was not a problem. But raising \$3 billion - \$3.5 billion debt was next to impossible for that person from the Indian market and they wanted our guarantee. And obviously, that served no purpose. If we give guarantee for the debt, then the purpose of selling the book doesn't do.

So, we did 2 things. We decided that we are now going to sell rapidly, even asset by asset. It's okay if you don't get too much value, we will sell because the Lakshya objective was important, one. Second, now that we are saying that we will sell asset by asset, there is a chance that the person or persons who are buying it may ask for some discounts or because of interest rates going up, we may have to give any discounts. And that is why when we sold Mutual Fund, the entire profit coming from that we kept aside to enable us to give the team the confidence that we can sell down rapidly. And I am happy to see the result and the result is there. Our Wholesale Finance book has reduced totally to less than Rs. 20,000 Cr. Even we had not expected in the middle of the year that we will be at less than Rs. 20,000 Cr. Even we had not expected that Retailisation will be at 75%.

And now I can confidently tell you that the way we

have planned, the way we are seeing visibility of sell down, by

2024, we will reduce the Wholesale Finance book to such a small number that all Retail ratios, Retail profitability will slowly start converging with the overall profitability. [{}]; I&T Finance

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To give a specific number, we are very confident of taking Retailisation to more than 90% by FY24 itself. And clearly, if I'm saying it from the stage, it is very clearly something that we are very confident of, reaching a 90% Retailisation in 1 year. So, that is one target that we are sure to achieve and overachieve 2 years before i.e.

Retailisation.

Okay. On this, there were a couple of more questions coming, and I will handle some of those questions on those slides. There was a question about some Rs. 84 Cr entry in our results. So, we have given a number, and then there is Rs. 84 Cr, which is added back. Just to clarify, some of you had asked this question, right? So, just to clarify, we have a small AIF, very small, the book is just about Rs. 200 Cr, it doesn't matter. But when we did mark-to-market, we wrote down some investment in that AIF. That AIF, we own 55%, other investors own 45%. That Rs. 84 Cr is added back because it is the share of those other investors, Rs. 45 Cr. In the original results, an entire 100% hit is taken and then 45% hit is added back to that, obviously. So, just a number. So, the Rs 501 Cr number that you see is the net number to us, final profit, okay? And Rs 1,623 Cr is the final profit to us. These are standards of Ind AS that we have to follow. I believe I have explained it correctly. If you have not understood that is largely because I also don't understand Ind AS. So, my CFO will be on stage after some time, and he can be more accurate, okay? But what I understand that out of total loss, whatever was for 'others' was Rs. 84 Cr, that was added back. Which means that, that AIF now is just about Rs. 200 Cr, completely marked down to market. We are confident of doing those deals and closing it. So, one more of those old problems over this year. One by one cleanup is happening. That was 1 question.

The second question was interesting. How much of the provision we have used, okay? So, again, just to explain the way I understand, it was not like we created that ~Rs. 2,700 Cr of provision from which we keep using. We actually valued assets, all the assets and wrote those assets down by that much amount, okay? So, as we sell the remaining, we will sell something above that, so that will get revised. Then the remaining assets will keep getting revalued. So, plus/minus, plus/minus, will keep happening. And during the next year, it will be completely confusing to do that. The most important thing is management assuring you that we believe after every month taking a review that there is not any substantial shock of any type or any provision coming into the Wholesale line from now. Whatever Wholesale provisions, a little bit you will see, that is another Ind AS standard that you have to recognize income on GS3 and then derecognize it again. So, no real provisions happening. It is only that interest income.

So, that's what we have done. Actually, if you add back ~Rs. 4,900 Cr disbursements that we have done in Wholesale Finance for 2 reasons. One is we are a going concern. There are commitments given to Wholesale, which we have to keep and as I said, for the first 7 months, we were trying to keep up the platform and sell as a platform. So, obviously, we were doing disbursements. If you actually add back the Rs. 4,900 Cr disbursements we did, we have sold ~Rs. 28,000 Cr of Wholesale assets this year. And even with half that speed you see that, that 90% number is very easily possible, right? And that's what we are confident of. With your permission, I'll go ahead.

These are the 3 big strategic things that we wanted to do. I spoke about 2 already. Now I will speak

about the

third one and it is of great strategic importance, which is the merger, okay? Once again, reminding you when we started this journey in 2016, you remember this – 'Right Products, Right People, Right Structure'. And we said that ultimately, we are moving to create 'one company'. And I'm happy that finally during FY24, that will be possible. Why did it take so much time? I think the first merger that we did was of all the ICCs, all the loan companies, we finished doing the merger. Then there was the Infrastructure Finance company, there was a Housing Finance company, which, obviously, you will understand had structural regulatory advantages of their own. But we were very clear that we wanted simplicity and transparency more than anything else, right? Especially when you had a large wholesale book, lots of questions about in which company it is parked, what it is, et cetera. The best way to end all those questions was to have 1 balance sheet.

And hence, we merged the Infrastructure Finance Company and the HFC 3 years ago. Then only 2 were remaining. What was IDF that time, which is now ICL and L&T Finance. And you would ask why we did not sell it. The reason was very simple. We had a Mutual Fund and RBI was not giving permission to any operating NBFC to have a Mutual Fund. And hence, we had to wait until the Mutual Fund was sold. The moment the Mutual Fund was sold, we applied for this merger. The stage is this - RBI, we have got final approval. SEBI always gives in - [{}]; L&T Finance

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principle approval, we have got that. Stock exchanges, we have got our approval. And we have finally filed, we have to file in 2 courts, Mumbai NCLT is filed already, Kolkata NCLT will be filed as we speak today, tomorrow, sometime. And we are pretty confident that with this, we should be done definitely during FY24, hope fully, around Q3.

Why is this important? Important for many reasons. One is synergies, et cetera, that is there. But Capital management. Today, one of the reasons that the leverage is low, one of the reasons, other than, of course, we have a lot of equity, is that within that ICL (Infra Credit Limited) company, the leverage is even lower, and we can't touch it. And can't touch that capital unless it is merged, right? Also, liquidity ratios. Now LCRs have to be maintained in every company at every bucket, unnecessary liquidity will have to be kept in every company. A merger will take away that requirement, right? You would also be interested to know that we prepaid all the preference shares, et cetera, we had in L&T Finance Holdings. Now L&T Finance Holdings is genuinely a zero - debt company, which actually makes a lot of things easier in this merger. Last but not least, dividend policy. And this is very important, okay? During COVID, the regulator came up with a guideline saying that any NBFC can declare at most 50% of its profit as dividend.

So, now imagine L&T Finance can declare 50% of its profit as a dividend to L & T Finance Holdings (LTFH). And LTFH can declare a maximum of 60% of its profit after paying its expenses, okay, which is salaries of few of us, not much. That leaves very little for a dividend, right? Also, we made a big profit by the sale of Mutual Fund. But the same guideline says that anything which will be considered extraordinary cannot be used for declaring dividend. So, we have actually applied to the regulator saying that sale and purchase of Mutual Fund or any other asset is not extraordinary for a CIC. It is a business of an investment company. And hence, permit us, let us see what happens. But even if that doesn't happen, from next year onwards, it will be one NBFC. And according to the guidelines, you can do 50% dividend payout ratio, which will take away all the constraints that are there from capital management and will free the Board's hands to actually manage capital in the most efficient way

, depending on growth, depending on risk, safety and most importantly, keeping in mind the interest of shareholders. So, all these things will be possible once the merger is done. And that is the importance of the merger. It is not just one structure coming together. That's what I wanted to explain.

Asset quality :

You have seen this continuously improving asset quality. I mean there is not much to talk other than the fact that Rs 1,171 Cr we still maintain as standard asset overlays on top of all these provisions. So, for a balance sheet, as big as ours ~Rs. 61,000 Cr of Retail assets, we have Rs. 421 Cr of Net Stage 3, okay? And that, I think, is

really for a company which is 50% rural in Retail, it's really a benchmark.

More importantly, we have to see how we achieved it. So, it is easily possible to achieve it by trying and rolling back what moves to 90 days or something which is Stage -2. And that is why this graph is important. This we have been showing now for a few quarters. Product after product, continuous improvement in regular collection efficiency. This is zero bucket collection efficiency. And the whole idea here is to use analytics, use propensity to pay metrics to make sure that the minimum slips at this level. Because very frankly, when it moves from this level, we can still collect but it involves expenses, right? Collections that happen at this level is at 0 or very low expense, very clearly.

After that, we have to spend money to collect. The graphs are in front of you. I don't want to talk in detail. Product after product we are maintaining absolutely good and improving collection efficiency. And the slide which follows, this is something many of you had asked for the last year, and we will now start showing. There are some people who ask me why not show Wholesale. The reason is obvious, we are selling Wholesale. We are rapidly selling Wholesale; ratios don't make sense. I mean, we don't know, you don't know which asset we will sell, whether it will be a Stage -1 or Stage -2, we hardly have any Stage -3 assets anyway in Wholesale.

But the more important part will be to see over the next 2 quarters how Wholesale overall book is reduced and that we are committing that we will reduce rapidly. You will see here across Stage -1 and Stage -2 and Stage -3, continuous improvement and very strong PCR, okay? And this now we will show quarter-on-quarter. Every quarter, we will show the previous quarter and the last year same quarter for you to judge how we are moving.

And with that, now we come to the last part. I have been guiding always how we will achieve this 3% ROA, okay?

This is how the FY23 ROA tree looks. More importantly, look at the Q4 ROA tree, okay, with 11.87% 'NIMs + Fees'. {[]; I&T Finance

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I know that I have been telling that 11.4%, 11.5% is difficult to maintain, and it has only increased after that. But 11.87% is not sustainable. It is not sustainable. Very clearly, as Urban products catch up more, this is going to reduce surely. Also, interest costs are going to increase by another 30-40bps. As you know, as repo rates increased by 250 bps, our overall costs have increased by just about 70 bps. As ALM is managed, banks pass on some of the increases, we believe that over the next couple of quarters, our cost of funds will go up by 30-40 bps. Both these things will moderate this 11.87%. I'm not saying it will suddenly come to 11% or anything like that, but it will moderate. The important part is that the way credit cost plus opex, we are managing. You will see some small increase in opex that some onetime amnesty schemes, et cetera, being used and also some investment in IT. But we are confident that this 4.41% plus 3.59% will start moderating to 7%, very soon, during FY24 itself, right? And that will get us quite comfortably to this 3% ROA.

A lot of people ask me – 'should I do this 3% ROA target revision upwards?' Let

's see. Let's hope that we give a

few quarters of more than 3%, and then we can do it.

So, this is just the summary of what I have said until now and which completes the journey of FY23. Rest of the slides, I will actually talk about why we think that our Retail journey is sustainable. Why we think that we are putting all the right elements to succeed. A lot of people ask me - Retail everybody is doing, digital everybody is doing, everybody is talking the same language. Why will you be successful?

One of the reasons is we were one of the first ones to talk this language. And hopefully, we will convince that we are doing a lot also. That's not to say that the other people are not doing. But the most important thing here is the way the market is developing. And I will talk about that, and I will actually put my strategy, juxtapose my strategy with the changes happening in the market character which will hopefully convince you that the way we have set out on this journey is one of the ways which can lead a company to success, okay?

So, this is a slide. All of you are very well aware of what's happening in the market. I have put it only to put what I'm going to say in perspective. I personally have been in the retail market from 2007-2008. And I have seen the market changing drastically. If you take time till 2015, yes, some of you around are of my age, you will know, many of you are much younger. These were the big bad days, where NBFCs were supposed to do business, which are rejects of banks, right? Also, there was hardly any credit information available about the customer. There were no bureaus to speak of. I remember when I joined L&T Finance, there was a discussion happening whether we should give information to the bureau because competitors will use that information. This kind of misinformation was there. Even within company management, in my own company management, even, I'm not pointing fingers at anybody. From there a time today where this information not only is reliable but completely democratized. The industry had to change along with us. So, till 2015 was a time of very asset-based specialization. The reason was very simple that the customer information was simply not available. So, companies specialized in a tractor or companies specialized in home finance, companies specialized in car finance, company specialized in CV finance. There is a company specialized in second hand CV finance, gold finance. Now it will ring the bell, right? That customer information was just not there unless it is your own customer. Even if it is your own customer, where was the database, analytics to actually use it, right?

I mean, very frankly, 6 years back, if my own tractor customer would have walked into a 2-wheeler dealership and taken a 2-wheeler, I wouldn't know it's the same customer. No chance. I will take the Aadhaar card photocopies, and file it. By luck, if the credit bureau would have told me next month that it is matching, then I would know from the credit bureau that it is the same customer, okay? And this is not only, I am laughing at myself, but this is what the industry was. Anything else, anybody tells you, don't believe it till about 2015. That is the way it was.

Then came a time when bureaus started coming of age and customer information now started being available, not only whether how much loan he has or whether she is or he is on time or not, but things like credit scores,

things like line-wise information available, much more thicker files started getting available. Microfinance bureaus came in to being. And a time came where for a microfinance customer, the hits were higher than urban customers with Highmark coming into being. And life changed. From there now moving to a place where something like even microfinance, RBI feels confident to say you have to do FOIR-based lending. FOIR is fixed obligation to income ratio. Imagine microfinance,

RBI became confident to say everybody will have to calculate FOIR. This industry has moved from - your field officers form a group, you lend and then you pray. This was the situation 10 years back. From there it moved - we form a group, but every person of that group, I will know how much she has borrowed from how many people and what is her credit record. From there, we have moved to not only this, what I&T Finance

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is her income, what is her family income, what is her family indebtedness? The market has moved and market has moved drastically. Information has moved. And that's where digital, data analytics are not just key words, they are the only way of doing business.

I remember the first time I borrowed a car loan. It was from my roadside corner bank called Saraswat Bank. I'm a Goud Saraswat Brahmin, normally, you will go to Saraswat Bank. It took me 10 days to sanction a car loan and every day I had to find out which table the file has moved. And when I say file, it was actually a file, really file looking like a file, right? This was 1996-1997, something like that. And from there, now actually on a thumbprint, you can give a car loan. When all these processes are done, it's not like that we don't do any process, every process is done, but it is done electronically real time. And that's the way things have moved. And based on that, now strategies have to move.

Assuming that generally people have no big objections to what I said until now, I will go ahead. This is the first strategy change that we did. After 1 year, I'm feeling confident enough now to explain the thinking behind the strategy and why we believe that this strategy is sustainable. That while we were good in some products, we said now with the kind of information that is available with the bureaus, with the granular environmental information available and last but not the least, the 2 Cr+ borrower information that we have and actually 2 Cr+ family information that we have, now we should do more than just selling products. And we divided ourselves, 1 year back, we had a tractor finance, two-wheeler finance, these kind of product lines, which we used to call business lines. Now we have divided ourselves into real business lines or clientele.

We have 2 rural business lines. One is rural individuals, which is Farmers and rural businesses, which is Rural Business Finance. Micro loans is part of that. On the urban side, urban individuals, where we have 3 products at this point of time - Home Loans / LAP, Consumer Loans and Two-wheelers. And urban small businesses, which is SME.

The whole idea here now is there is 1 strong chief executive reporting to me directly working on these customers and not working on a particular product and being able to find the right product for these customers. There are a lot of people who ask me that shall we do this product or that product. The whole idea is as long as those products make sense for my customers, their ecosystem, their families, and they are profitable to me, I will do that.

Otherwise, I will not do it, it's as simple as that. Any new product also.

So, this is the way the organization responded. And we said, okay, there are going to be 3 major parts of our strategy. One, how to improve and continuously gain market share in our existing products, how to make them our fortresses. And then how do we deepen customer engagement more and more using these products and using more products for those customers. And last but not the least, how do we make this sustainable by making sure that risk is managed properly.

Now risk, as we understand, the main risk is credit risk. All of a sudden, you are moving where the human being in most of the products, some products that is still there, the human being is not doing the underwriting. A machine is doing underwriting. And as good as the machine is, as good as the programming is, they will do mistakes.

And

as we do mistakes, what are the early warning signals that we take, and what is the capacity of the engine to take feedback and improve almost in real time. We have not come to real time, but very quickly. How do we improve is going to be the strategy as we go ahead.

So, clearly, as I said, the state-of-the-art technology and deep analytics - becoming Fintech @Scale. And Fintech @Scale also has a meaning, okay. As I said, there are lots of fintech, there are very, very few companies, which have scaled. I mean even less than fingers on a hand. And we believe we are one of them who is using technology so strong with Rs. 61,000 Cr Retail balance sheet, which within a couple of years may become Rs. 1,00,000 Cr. So, that's the scale that we are using fintech for.

How does that translate to product strategy? And also, people ask, this 25% CAGR how will you maintain? And this is very important because our 3 main lines of business will they always grow by 24% -25%? We don't know. Tractors, two-wheelers; two-wheelers, still has to come to pre-COVID levels, Micro Loans. I believe that over the next 4 to 5 years, these businesses are going to do tremendously well. I'm not going to get into that discourse right now. There can be seasonal 1 year it will be down, then it will come up, whatever, but the general trend is good. And we being one of the top 5 in every business - Tractors No. 1, the other two businesses - No. 4, we will do well enough to gain a small market share every year, and that's our confidence as we go ahead. Will that be I&T Finance

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25%? Probably not disbursement growth, book growth may happen but probably not. We will be industry growth



plus / minus 0.5% -1%, naturally, these are mature products.

But today, we are in a position where because of changing the strategy on time, there are other products in the armory which are growing faster. Consumer Loans and SME, new products growing faster. Home Loans, we are on a new breadth of fresh air. We have not been doing great over the last few years. A new team has come, new engines have come. Sanjay joined us from Kotak. He was the mortgages head there, and this business is really taking off now. And these are going to be our growth products.

And then last but not least, products, which are still not there. Which is Rural LAP, we have all the know-how to do it. Which is Rural Business Loans for families. Which is Agri-allied loans. Where today we are not there. We are about to launch with our existing customers and their ecosystems and something which will grow from 0 to something. So, there are 3 categories of products with different growth rates. The products on top left, contributing more to profit and these other 2 products range in contributing to growth. We believe we are in a good phase of profitable growth right now.

This is largely a show of strength - the 3 major products. There are times I keep hearing that there is growth now, later will there be growth. After that whether asset quality will be there or not. That is why I will just leave this slide there for you, both in book and disbursements. We have been in these products for 10 years and more, I've shown you the growth over 10 years, maintaining profitability, maintaining market share and most importantly, maintaining asset quality. This is the track record of L&T Finance in these 3 products. Hopefully, it should give you the confidence that we will continue to do well. More importantly, just look at the customer base that we have acquired. Yes, surely, there is maybe 1 or 2 companies, probably 1, which has a higher customer base than us. No doubt, but that's life. That's where you start and in any case there is a lot of difference between the valuation. So, it's okay, right?

So, we can always grow, catch up. But more importantly, a large part of this database is rural, and that's where we are

strong. No one even comes close. And that's where the profits in a financiers' wallet lies in rural. There is no doubt about it. More new to credit is rural. And that's where growth opportunity, opportunity of increasing penetration lies in rural.

I will take one more topic here. There is a lot of news about a fantastic company entering into Micro Loans, right? And some people ask me, is it going to disturb you in Micro Loans? Let me explain something ~50% of my Micro Loans customers are having only L&T Finance as lender. That means they are new to credit, ~50%. Do you really think that 50% of rural lady borrowers are really new to credit, that they have 0 borrowing? What it means is that they have been borrowing from the unorganized sector. So, I have either replaced or added to unorganized sector borrowing. And the problem is that there is no way to know whether I have replaced or added to because that data is not there in the bureaus. And more good professional competition coming is good not only for the sector, it is not one good to say sentence that 'something good will happen to the sector' but 'something good will happen to me also.' As more of the customers get into organized lending, the asset quality for both me and the competitor coming will get better. It is good for both of us.

This is a stage today in Microfinance where good quality competition is welcome because we will work together to take out the unorganized sector, which is the need for the country, need of those people. And we are a profit-making company, it is definitely good for our asset quality, which can improve even further from where it is with more reliable information now available about those customers.

Now this is what I've talked about already. I think I'm going ahead of slides and talking. This is now the cross-selling and upselling strategy. So, each of this, i.e. rural business, rural individuals, urban individuals, I have not covered urban businesses here. We are too new there. The hook product is Rural JLG loans, Tractor loans and Two-wheeler loans and Home loans. They are the hook products. We have started using them already to do up-sell, cross-sell. I think 1 statistic I can give across products, if I take an average, 1 out of every 3 loans that I give is to an existing customer, okay? And I think this is a very strong number. We are at a great position where we are acquiring new customers and at the same time now starting to sell more and more to existing customers. We are already at 4.0 products per customer out of which approximately just 1.4 is loan products and about 2.6 are protection products and insurance products. As we go ahead, this 1.4 even if it starts touching 1.6, 1.7, the potential is huge. {} L&T Finance

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There is another development I would like to talk about. In Q1, hopefully, 99%, we will get our corporate agency license and we can move beyond using our cross-selling strength to sell insurance, not only now to our customers but to non-customers also. And that's another upside for income as we go ahead. Today, we are restricted to sell it to our customers because we are not a corporate agency. Now we can start selling to non-customers also. And now juxtapose that with the distribution strategy that we have. Now this is very interesting. How fintech is used? So, the first level of distribution, you can start from the bottom left is obviously your dealer network, your branches, your DSAs, your aggregators, et cetera. The second stage, and we have been through all these stages, is using data analytics to choose them, to be selective about them. Let me address another question. If El-Nino comes, what will happen? So, first of all, my economist will tell you it is too early to talk about that. Monsoon, we will know maybe in a month or so, exactly how it is coming. But more importantly, data available shows that reservoir level

levels are very strong. Market rates for commodities, the other side of inflation is that farmers are getting good money. And then something that I always say, I don't want to sound like a party political, but I always say that direct benefit transfer, the 'JAM Trinity' has genuinely changed welfare in rural India over these many years.

With this, now the monsoon will still affect, but the effect is less. But that's not the point. The point is the availability of granular data on the ground. Now you can move away from saying if monsoon is not good, then tractor will become bad. If monsoon is good, then tractor will be good. Now we can say this almost pin code by pin code, which pin code, which HP of tractors is likely to do well. And based on that, select dealerships. And juxtapose it with that dealership's portfolio performance, that area's portfolio performance even off us because that data you get from credit bureau. And then choose.

So, the second stage is actually moving from carpet bombing to daylight precision bombing. So, if we have to take a 16% market share in tractors, first of all, we don't aim for a market share. But, when we used to aim for a market share, what did it mean? That so much tractors are sold, I have to do 16% of the total, right? Now it doesn't work like that. Now the way it works is, I have chosen so many dealers to work with. Out of which, so many are my concentrated dealers. I will go for a 50% -60% counter share there. I will have all schemes with him. I will give better LTVs to him. I will give better interest rates. I will put my people at the dealership. I will invest totally in that dealership, because of his asset quality and the probability of his sales being good. And his counter share with me will be 50% -60%, which will now work to that 16% -17% market share. So, resource allocation becomes very important here, and data analytics helps us.

Then we move to assisted apps and centralized underwriting. That is, my people started going with their mobiles and booking everything paperless. We have finished that journey also.

And now we have come to the last leg of D2C apps. Now the important part to note is none of this is replacing each other. This is only an additive. Each one adds another channel. So, we have our branch and dealer network, then we put analytics to choose the main ones, the important ones in this, then we put assisted apps and then the D2C app. This is the distribution strategy.

Now juxtapose the organization structure, the product strategy and the cross-selling strategy. This is how everything comes together.

So, let's talk about each one of them. I'm just going to show the slides. These are good numbers. The whole idea is to show you. This is not to show off but to show that we have strengths on the ground where we believe that things can be replicated. This growth can be replicated.

So, this is the first stage, you remember? Just the structure, just the network. Add to this, is this kind of branch network. On your left is our urban network, on the right is the rural network. You will see why we call ourselves a rural company but now growing in urban. Total physical points ... so, just by saying digital, we are not letting go of the physical network, almost 1,860 physical presence and that's how it looks.

And then we come to the use of data and data analytics to use this network more efficiently. And that's what I talked about. The dealers that we choose, we give them the industry best TAT proposition, completely algorithmic approach, trade advance, and clearly a dealer portal so that the dealer.... like all of you have an app, the dealer will have an app or portal where he gets all his information; where his case is, everything; straightaway online. I am going to just leave this slide. I am not going to talk much. Very clearly it shows our strengths.

And for all this, naturally what the dealer gives

us is good sales volume, a portfolio which performs better than

others, counter share, and of course adds to our distribution network. Very clearly, this is the output. Very simple, Finance

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but I will just explain. Any of you who have gone to rural or semi-urban areas, you will see one big difference over urban, over Mumbai. I have not yet been able to figure out exactly why but you will see that all tractor dealers will be on one road or all two-wheeler dealers will be on one road one after the other. What does it mean? That when a customer enters a Honda showroom, if the sale is not closed then and there, he will go to a Hero showroom or to a TVS showroom and most probably the Honda dealer will lose that sale forever. Because you don't have to travel, you have to just walk next door.

So, what does that dealer want? Of course, dealer payouts, etc., are there. But what he wants more is the sale to be closed then and there. What does it mean? First of all, there are 6-7 financiers there. If I am the financier of his preference and why do I become financier of preference is because I say yes immediately even before the test ride is over. Even more importantly I say no even faster than that. I can say no to a case as soon as it is entered in the mobile. It will say no. Why is that important? Because the dealer now can immediately give the file to another financier who is sitting next to him and close the sale. This is very-very important in rural and semi-urban India. That is the importance of turnaround time. It is not just showing off that my turnaround time is better than anyone else. This is the importance of turnaround time.

A lot of people ask me how, why people borrow at this interest rate, etc. Very frankly, at Rs 2,000 to Rs 2,500 EMI, 1% interest rate is Rs. 10 or Rs. 12. It is not much more. It doesn't matter. One thing today that a financial customer wants is less hassle, saving of time, and availability of money when they want it. Very simple. I will ask you, anyone of you, if given a choice of 1% cheaper rate but you have to go to the bank 10 times to sign documents or 1% costlier and you will get everything on an app, 99% you will choose the costlier one, perhaps except for home loans which is a 30-year loan and that's why 1% will make a difference. That also, mostly, you will take the costlier one and after 6 months you will do a Balance Transfer. That is because the regulator has said no prepayment penalty. But 100% of times, you will look at the interest rate later. There are times when we have regretted going for the cheapest loan when you have to sign at 49 places. Even just signing, right? A paper document coming in front of you, even 49 signatures one time is painful. And when technology is available to make that as an e-sign, why would you do that? And that's what is important. Taking it beyond narratives that rural person does not use digital. It's the narrative which is almost laughable. My every microfinance customer

signs on the mobile; physically signs on the mobile of my guy. What will be the problem? That a microfinance customer may not have a smartphone. 70% of the people may have feature phones. Okay, no problem. But my person goes with a smartphone, right? So, where there is a will, there is a way. And you can always make sure that that works.

I went a little bit away from the topic, a little bit passionate about it, but what it means is as long as you are competent, you are not out of the market. If the market is paying the dealer 1% commission, you say that I will not pay anything, then there will be a problem, but you need not pay 1.25% every time. You can be even a little bit less than the market and the dealer will give you the business because his main income comes from selling tractors or two-wheelers. And if you help him to sell more tractors and two-wheelers, he will give business. And more important

resource allocation. This is also important. When there are so many dealers, where do I put my people? If I put my people in every dealer, my cost will run up. If I don't put it, he will not give me business. So, what to do? And this again, analytics tells you where to put resources, how many resources. Resource allocation, again, one big addition from analytics.

Then we come to assisted apps. This has been the biggest journey of the last 2 years. That each one of our major products now uses no paper. All documentation, everything, KYC, selfie, liveness check – whether the photo is taken actually or taken the photo of a photo, multi bureau check, machine learning scorecards, income assessment, and most importantly e-agreement and e-signing is all done by app now. And obviously, it gives a superlative customer experience.

And then last but not the least, PLANET app. And this is just the beginning of PLANET app. We are just 13 months old in PLANET app and it has been absolutely a runaway success. Lots of servicing happens there. 42% of our total servicing happens through PLANET app and 71% now through digital channels and more is coming. More and more D2C journeys are coming. We also made actually a two-wheeler D2C journey available on PLANET app. It is frankly not used much. You can actually buy a two-wheeler and get it financed without seeing the dealer even once. That's the journey available; test ride at home, delivery at home – all done. We will have to make it more popular. Plus Indians like to visit dealerships even now. But slowly it will change; and we are moving there. [{}]; I&T Finance

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The success numbers of PLANET app are here. This was not there on 31st of March – as we speak, we have completed 3 million downloads. In January, we completed 2 million. In just 3 -1/2 months, we have completed 3 million downloads. Now even rural is picking up. These downloads are still just about 2.8 lakhs but it is picking up. Just 3 months back, it was 1 lakh, rural, and it's picking up now. Very important is that funnel of service and this is something we are now investing in, in reducing future costs. That within 1 year, we have moved from 55% service handled at branches to 11% and 23% call center to 15%. Both the quality of service and the cost of service is going to transform drastically. And this is another building block of what we are trying to build.

Then, you remember the third thing which was risk, and now risk has to be looked very differently from here. You remember the time where every underwriter used to get incentivized by – 'that you should not do a mistake?' From there, now it is all AI-based. Yes, you actually expect or give a leeway that this many mistakes are bound to happen. So much mistake is allowed to the model. And every time a mistake is made, the learning from that gets back into the loop. Strong portfolio management reviews and techniques are very important for that and all that now is in place. And you will see because of that, month on month, not only the NPA – NPA performance is actually a very late way and very ineffective way of measuring a model. A model is measured by '0 DPD' performance and '0 DPD' is improving continuously and obviously after 90 days NPA will improve. That's obvious as we go ahead.

And now we come to the last part of what we want to talk about. This is a very technical slide. This is the route map, the design, of what we call Fintech @Scale.

Scale to be understood easily. There is no point building a fintech, a great app, without scale. We have the equity; we have the borrowing muscle to really build scale and then absolute top-class structure for scalability. Gone are the times of on-premise infrastructure. It is not scalable. So, we are – other than what the regulator requires to be on-prem – almost completely on the Cloud and totally scalable.

We have completely automated proc

esses. I have also put the people we work with, SFDC workflow, completely business rule engines, and a fintech ecosystem. There is no point replicating what other people are doing. We do API integration to actually use that.

Third very important point is security, very topical. It is important you can never be 100% safe in this world. You have to make sure you are not the low-hanging fruit. Because, very clearly, here the danger is to the lowest-hanging fruit. So, you have to be better than almost everyone else in the market. The hackers will always be ahead of whatever any security measures do, but you can't be a low-hanging fruit. And we are sparing no expense in doing that. ISO 27001 certification already....

And then last but not the least customer journeys built on both assisted as well as D2C app. This is the total structure of our fintech at scale.

I will just expand it a little bit what it means for customers. This I've talked a little bit but this is what we do while customer capturing. And this delivers a customer value proposition of turnaround time which our company as a culture believes is the most important customer value proposition. Something that Indians lack today is time, whether you are a rural customer or an urban customer.. even a rural customer comes to the taluka bazaar once

a week or once in 15 days and he needs to close his business that day. If he comes to the branch and sees a long queue, he will then come after 1 month and your payment will be delayed that much. Very simple. If he wants to buy a tractor, he wants to buy a tractor on that day. Everything needs to be closed on that day.

When a microloan customer wants funding, she wants it on that day. Delivering that without taking stupid risks. We cannot take a KYC risk, we cannot take a fraud risk, we cannot take credit risk. Why are you doing this? And technology helps us. So, many times speed is defined as, we can take away certain processes. That's never the purpose. Yes, you can take away the process as such but what is achieved by that process? The purpose of that process cannot be taken away. It can be done by technology and data. And that gives speed. A human being may take some time, right? Last 3-day weekend, the human beings in the head office were home other than the people who were preparing for this investor meeting; they were home. The human beings in my branches were working when the dealership was open. For Micro Loans people, I don't know whether there was a weekend. This was a month end. Where is the question? So, they were working – all of them. But the AI was working all 72 hours and that is important. And when that happens, speed happens.

The next part is saying that where all now we can use analytics. And very easily understood is - for choosing of customers you can use analytics, for underwriting you can use analytics. This is understood by most people. But I&T Finance

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we use analytics for sourcing, as I said, by granular environmental data – where to source from; one. Underwriting I need not talk much. Many people do that. Now, where we use analytics is for collections. Are we achieving these kinds of collection numbers by taking too many people in collections? Even if we do, it won't work. What is important is to know to a particular confidence interval, what kind of probability or propensity to pay each customer has. In his particular area, what is the need for resources and do resource allocation according to that.

Doing geotagging of customers – this was one of the biggest liberations we had. One of the big problems of Retail is the turnover of feet on street. It is more than 50% across companies, for the feet on street. They will go to another company for Rs. 500; as simple as that. Add to that a particular problem is rural India where address is not by flat numbers and apartment numbers. The address will be "behind Maruti Mandi

r" and complete address,

that's it. Taluka so and so, over. Now just put these 2 problems together. That your person is changing every 6 months and address is not known. Biggest problem of rural India. Resolution - technology; geotagging of every customer at the time of sourcing. Not only improves that I can locate the customer easily; secondly, I can actually do a route mapping of each of my person saying that you have to follow this route and do it efficiently. Now, that person doesn't have to think where to go. The computer tells him you travel like this. The computer can track whether he has traveled like that or not, how efficient he is. The sky's the limit as we go ahead.

This has been put just to show that currently and in future for what all things we are using scorecards. Scorecard is normally understood as a credit scorecard, but we have come to a stage where things like propensity models –bounce predictions. Bounce predictions is very important. Otherwise, you will either spend money calling up everybody to remind and nuisance or you will not call up anyone. But based on the behavior of the person to see whom to make pre-presenting calls, which customers not to allocate to a collection team by saying that "Okay, this person will not bounce." All these things are now shown by scorecards. Normative grid – Well! This is amazing. Initially, every time a repo asset had to be sold, there was a huge process of approvals and then finally at what price it is sold is based on the assessment of that approving authority. Now, there is a grid based on market price, based on our experience, asset quality, there is a grid. Above that grid if you are getting a price, there is no authorization required; just sell. Just see how efficient each process is becoming as we go ahead. We will continue to grow like this.

This is the last slide, I promise. I have taken a little bit more than what was allotted. On the right side, you see the numbers. On the left side is the summary of the strategy of how we are making these numbers not only possible, not only excellent, but also sustainable.

Thank you all of you for a very -very patient listening. I know I have spoken for about 1 -1/2 hours. We still have a good half an hour for questions & answers. All of you, my only request is to continue to support us like you have supported. During COVID, a little bit below, but before that, we have had our good times. I think the company now has its strategy very clear, has the team in place, and has the organization in place to deliver that strategy. The organization is genuinely coming to age. Just about a year back, a very strong individual, the head of Retail left and we could find people internally and externally to take up the mantle and grow and not only grow but excel and deliver what we had to deliver. That shows the strength of the team, that shows the age and maturity of the organization that we have now begun. Keep your support coming. Thank you very much.

Moderator :

We will now move on to the Q&A session. I would like to request Mr. Sachinn Joshi, our Group CFO, to please join Mr. Dinanath Dubhashi on stage.

Dinanath Dubhashi:

Actually, all the questions which had come to Karthik I have answered, in the last 2-3 days. So, I don't know whether there are any more questions, but of course, you are welcome. Just a request to introduce yourself and your organization. I&T Finance

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Nidhesh Jain :

My name is Nidhesh. I work with Investec. Just 2 questions. Firstly, what we have seen in the past is that models behave very well during a normal environment, but in case of a shock environment, these models tend to fail. So,

how are we thinking about... . Because the segments in which we operate are not straight-line segments. We see deep shocks as we have seen in the last 10 years and I think these things will keep on repeating. So, that is the first question. How are we preparing

ourselves with respect to be anticipating these shock events? Second is the segments that we work in my view, at least the perception that we have built over the last 10 years, are quite touch & feel segments and underwriting is quite subjective. It's very difficult to template these segments and underwrite these customers using models. If you can elaborate how we have been able to remove that subjectivity and make them more objective?

Dinanath Dubhashi :

First, I will start with claiming our right to speak about this subject. Anybody can speak. There was one slide that I showed of a 10-year performance. There were the same segments. There was the same cyclicalities. There were the same problems. In fact, there was COVID also. And the portfolio has not only held but shown steady performance throughout. That is where I claim the right to even talk about it. And I am not saying my wisdom is going to be the best wisdom. There are various ways. In fact, in tractors, the top 2 companies used to believe in very-very different philosophies – touch & feel and centralized underwriting – very different. I don't know recently, I have not heard, but used to believe very different philosophies. I believe there will be advantages of both. But importantly the cyclicalities and the tendencies of shocks are same whether you are doing a model or a touch & feel underwriting because you don't know that a shock is coming at the time of underwriting any way. It is going to come later. So, the shocks or the cyclicalities are dealt not by underwriting but by your ability to react quickly – react in terms of changing your models, react in terms of early warning signals and then concentrated collection mechanism even before it becomes delinquent. All this comes through technology. Through touch & feel, you won't know an account is delinquent or likely to be delinquent before it becomes delinquent. But technology can tell you that. Analytical models can tell you that.

So, my only proposition to you is - don't pay too much attention on the method of underwriting because underwriting is a guess in the future, at the end, based on some data from the past, whether it is done physically or whether it is done by a model. Model just does it faster frankly and more reliably. When you do physically, what's the problem? Let's say a company has 600 branches. Each branch will have 1 underwriter minimum. Your ability to hire, train uniformly, and then retain those underwriters. You have to be in retail to understand how difficult it is. I mean these are the things that are easily said. In actuality, those underwriters keep changing every 6 months. Then, what touch & feel?

So, the only way of making it uniform, sustainable, and making sure that decision taken in portfolio meetings get immediately transmitted to the ground is only through model. Just imagine there is a credit organization where there is a head of credit, then zonal head, then regional head, then branch head, and then credit underwriter. A decision taken in portfolio meeting, how much time it will take to transmit down and that too uniformly? When you are using a model, it happens like this. That is the advantage of models over.... and that's what we believe. That is why we believe in centralized underwriting. That doesn't mean we don't use those same parameters. We use all the same parameters. The only thing we take out is non-uniformity and personal bias. A push at the end of the month. At the end of the month, 99% of the salespeople in branches, you know where they are? Where they should be? They should be at the dealership place. They are sitting near the underwriter pushing the file. When you do AI-based underwriting, all this goes away. That is where we not only have faith but numbers have shown that it works. And not only that, it worked through COVID also because you not only have an underwriting model, you have an ea

arly warning signal model, and then you have a provisioning model, which shows that you have to increase provisioning. That's why our provision coverage is actually higher. That much management overlays we keep because we want to make sure that if something happens, that is there. All this put together, all in all, we believe that, I wouldn't use the word superior, I would think it is the most practical method, the most real method of doing underwriting. That's it. [j; I&T Finance

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Nidhesh Jain :

Are we building some redundancies in the models to prepare for shock events for example? Because, in the past, the models have worked beautifully during good times.

Dinanath Dubhashi:

No, models work.... That's what I am saying. Not only underwriting model; if you take all the 3 models, they were during shock events also. What more of a shock event than COVID? And the portfolio held very well and the provisioning also held very well during COVID. In fact, very simple. We had thought that we will use our entire overlay in FY23. We had to use hardly anything in FY23. So, actually, it has held extremely well during a shock event.

Sachin Joshi

If you look at the Ind-AS model, the ECL models that we are already working on, they also are getting refined. Every year you find that the behavior pattern is checked, how the product is actually dealing outside, what is the history behind that. And that is again factored into the ECL models and that takes care of any eventuality. So, whatever challenges we have seen over the last 2 to 3 years get actually baked into the ECL model on an ongoing basis, plus the macroprudential provision for events which you can't really figure out. Those are for unexpected events.

Dinanath Dubhashi:

And life has to change, right? Let's take a gold loan company. So, I am talking about an industry that I am not there, just as an example. Just about 5 years back, they used to have valuers in every branch, who will rub the gold, see, and that what he says that itself is true value. That's it. Who knows? He knows. From there, every large branch now of a good company has machines and now the next is those machines are centrally connected to a server, which can take uniform decisions. Has the basic of valuing gold changed? No, but more uniformity has been brought. Human biases have been taken out. So, the fundamental remains the same. There was a time when we used to do calculations mentally. Then it moved to calculator. Then it moved to Excel. Now we just talk to ChatGPT and it will tell. That doesn't mean  $2+2$  has become 7.  $2+2$  is still 4.  $2+2$  is too simple, but something like  $39/27$  which is difficult which mentally you had to do the math, then calculator came, then Excel came. Now you will ask ChatGPT 10 times more difficult than that. Fundamental of mathematics will remain the same. It will just be faster. It is the same thing.

Viral Shah :

I'm Viral Shah from IIFL. Two questions. One is now that you are templating all these products more so in the rural area with the use of technology. Many other peers are also getting there, of course, including even banks are expanding reach everywhere. Do you see structurally the profitability of the product in whichever shape or form you see, whether in terms of pressure on yield or savings on opex getting reinvested or not being actually materializing? Do you see that profitability is structurally going down for especially NBFCs in the rural area?

Dinanath Dubhashi:

You are talking about a particular period in mind? 10 years, 5 years, 2 years?

Viral Shah :

Over the course of next at least say 3 years if structurally one has to see

Dinanath Dubhashi:

Very good question. Yields most probably will come down structurally, mainly. Where you will make up for those? And it will take time. I said that first the overall yield of the system is way lower than what the unorganized sector charge

s. That's why we are able to charge those yields. In tractors, us and Mahindra are clear market leaders.

Third is Kotak. There is no public sector bank. Public sector banks give tractor loans at what 9% -10%? So, yield being suddenly reduced is a misnomer. Ultimately, like in every good market, will it come down? I think definitely [f]; I&T Finance

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it will come down but along with that with the use of technology.... Technology is used for 2 things. Good companies will use it first for resource allocation; second, for collecting early. As that happens.... over that same period. That will also not happen immediately, but over that period, like it has happened in housing finance for example. Expense ratios as well as credit ratios will start coming down. Like housing finance, why can people afford to lend at 9%? Of course, they don't make much ROE at that. 9% is way too less, but because your expense ratios are low and because your credit ratios are low because of the asset. Here that asset will not be there but here analytics will bring that. So, whether overall profitability will reduce? I don't think over the next 5 to 6 years at least we see of a big drop in ROAs coming in rural sector. Beyond that, let's see. I think just we will have to become more and more efficient.

Viral Shah :

Another question was that as the share of the urban loan book in your overall mix increases, will that also be an offsetting factor in terms of your NIMs....

Dinanath Dubhashi:

Yields, yes. That's why I am saying my steady state yields will be more closer to 11% – 'NIMs+Fees'. You are absolutely right. Currently, it is closer to 12% – 'NIMs+Fees'. Various factors; increasing fees, reducing yields; but yes, certainly, with more urban, it will come down, but again, along with that, expenses will be also lower and credit cost also will be lower.

Shweta Daptardar :

I'm Shweta from Elara Capital. I had a couple of questions. There was this one slide on urban versus rural presence. You partially answered half of my first question. With rural potential looking higher, which business prospect you see better, urban versus rural? Plus we have sizable presence on the eastern side where Micro Loans have been slightly critical in the past. So, how do you perceive Micro Loans portfolio? That's question #1. Question #2 is incrementally we saw Q4 putting up lower provisions because as you rightly mentioned, we are one of the highest on the PCR. We have macroprudential provisions in place. Will this trend continue? I am not talking about credit cost because that is something you have guided. I am talking about the credit charge to P&L which was lower. Will we continue to see that trend going forward? And last but not the least, growth shrinkage was seen for the past several quarters and rightly so because we are paring down Wholesale. But now that sizably, that is behind, what is the immediate growth for FY24?

Dinanath Dubhashi:

I will certainly not answer the last question. I am not supposed to give such short-term guidance but I will answer all your other questions. I think the answer to your question is in your question only that it is not urban versus rural. It is urban plus rural. The growth will come from both the places. If we see mature products, two of the mature products are rural and only one mature product is urban. Because of that, perhaps the share of urban in our book and also Consumer Loans is growing very fast. SME is growing very fast. These are very small portfolios. Just because of that arithmetic, urban share may go up in our book. It probably will. Third is Home Loans. Home loans, we have just started growing. As we grow, Home Loan book doesn't run off faster; Home Loan book

remains. Because of all this arithmetic, urban share will increase. That is why I was answering Viral that NIMs plus fees will slowly come down to around 11% because of that. That doesn't

mean that we see a higher potential

in urban than rural. It is just arithmetic working. In fact, in the short term, our economist feels that urban is showing signs of deceleration and some risks in the very short term, just 1 year, more than rural. Rural is looking very robust in the short term. But medium to long term, we believe that certainly all the four businesses that we are in, which is rural individuals, rural business, urban individuals, and urban business, have very good potential for growth. Eastern . Micro Loans: Eastern India is prone to natural calamities more. Whether it is floods, whether it is cyclone, it first comes to Andhra Pradesh, Odisha, West Bengal; some geography. Micro Loans; history has shown that large -scale defaults do not happen because of any geographical or natural calamities; people pay. Where large -scale defaults have happened till now in the history of Micro Loans is first Andhra Pradesh, then [j]; I&T Finance  
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Assam, in between a little bit localized Odisha. That's where it has happened. Each one of these were man -made problems, mainly political problems. Normally, West Bengal people keep talking about . For all that is said about the government, there is no politically pushed default in that state. But more importantly, what can companies do to protect against this? We can make sure that the overall lending, overall indebtedness of a particular individual is within the FOIR that she can afford. Because, when does political movements gather speed is.... we believe that during elections, it happens. It doesn't happen during elections. Whenever the FOIR has gone out of control, that is the time when the political movement has gathered speed. It has happened in Andhra Pradesh and then it had happened in Assam. As long as you take care of that, history has shown that there were some storms, some earthquakes, all these being very serious natural calamities, books of good companies have held.

That was your second question. Third was growth. I can only say that as I said, we will be 90% Retail minimum as we go ahead. Growth rate , I don't want to guess but I am sure we will be above 25%. Provisions is more a matter of model . I always say that opex and credit cost I take as a fungible block; very simple. In Retail, I can reduce credit cost by throwing expenses at it. I can put more people, pay more incentives and collections will increase. So, I take it as a box. We are today closer to 8%. Over the next 2 years, we see it moderating to even 7%. That's our target credit cost plus opex as we go ahead. There are very clear projects in the company happening to make it possible. Does that answer your questions?

Shubhranshu Mishra :

I'm Shubhranshu from Phillip Capital. Four questions, sir. First one is on tractor finance. It's become a very crowded place with banks entering and taking up market share from the NBFCs in the last 2 odd years. NBFCs which includes us , we are OEM -agnostic and the one you mentioned as well. We have lost there a substantial amount of market share to the banks, which also led to yield compression. So, how do we look at the tractor finance market? Do we see any asset quality pressures going forward because everyone went berserk in lending during COVID? That's question #1. Question #2 is on the two-wheeler. When we are doing urban new -to-credit customers who would be largely migratory in nature, how do we look at collections over there? When we speak of provision coverage at 80% and if we look at Ind -AS, 80% essentially means the LGD there. So, we are talking of 80% LGD on our products. That's a fair assessment ? Is that true ? Are we looking at 80% LGD on our retail products? Point #4, digital and all looks nice and jazzy. But what is our total collection strength? Total people on roll and off roll that we have deployed in collection?

Dinanath Dubhashi:

You said many things. Many of those thin

gs were your opinions, right? There is no fact to support any of them.

Over the last 3 years, NBFCs have gained share from banks. This is a fact. These are numbers. All NBFCs put together.

Shubhranshu Mishra :

I can vouch for it, sir. There is another MD of a very big NBFC which is a tractor finance company as well, they have said that they have lost market share at an industry level, not just them .

Dinanath Dubhashi:

Okay, fine. You can go and check the numbers. They are all public numbers. I don't have to defend what somebody else says. Just numbers. By the way, including that particular company also has gained. They have done very well in the last 6 months, right? So, I don't know what you are talking . Great company, great respect we have, and they have gained market share, they have started doing very well over the last 2 quarters. So, they have gained market share. One bank which has gained market share is Kotak, I would say, most definitely. I don't think.... IndusInd, yes. Especially, public sector banks are losing market share tremendously. So, I don't know frankly. I always believe that any product other than car loans, any product that you name today, the company of first recall is always an NBFC. Whether you say tractors or CV or gold loan or housing finance or consumer durables, you will see that it is an NBFC. So, I wonder how much I need to defend that NBFCs with banks. I joined the NBFC in 2007. Since then, I have been answering this question. And from since then, NBFCs have continued [j]; I&T Finance  
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to do very well. The point is in retail , cost of funds or yields being the biggest of advantage is a theory which has not held through times. That is #1.

Second question was about LGD. You asked a lot of questions. The 80% we have is LGD plus management overlays. We have a large Micro Finance portfolio and hence we believe that since it is an unsecured loan, it is

always prudent to keep high coverages there. In fact, whatever is 90 DPD, we provide almost 100% in Micro Loans. So, what you see 80% is the weighted average of all that.

Okay, fintech you called jazzy. I do n't think so. We have a great team of 27,000+ people on the ground. We do collections entirely in -house. The only thing which is outsourced is repossession. Especially in our rural products, collections is done in -house. Repo session , etc., is outsourced, and because of that, we have this kind of manpower on the ground. What analytics does is help them do resource allocation. In rural, analytics or digital doesn't get collections. The digital payment is very limited in rural India. It is actually the people who go and collect. Analytics shows them when, where, how to do resource allocation, where to visit, how. Other than the first, numbers, where we have a difference of opinion, I believe, I have answered your questions. The difference of opinion we can share by sheer numbers. My IR, if you can give your card to them, will get back with precise numbers.

Nikhil :

Hi, this Nikhil here. First and foremost, your presentation was all encompassing and basically it was driven by the 3 R's. One R stands for Retail, which you intend to have a 90% share. Second R is Rural which not only drives your sales but also drives your profits because there the earnings are much higher. And the third R which is the vertebral column or the bread and butter is the Return on Assets which you have a targeted 3% which as per your own expression looks tough but it was a very conservative expression. In the Rural and Retail, the microfinance, according to me, occupies a very strong and a core portfolio which can grow further substantially. We were with a couple of NBFCs which are leaders in the microfinance segment and they said that this whole market in India can exceed even 3 lakh crores. Out of the 61,000 crores, what is the book size for microfinance and the blueprint for microfinance for the next

next 5 years?

Dinanath Dubhashi:

You are right , by the way. In fact, microfinance has already crossed 3 lakh crores. So, I will actually take a step back. The way microfinance was understood was lending at the bottom of the pyramid where you form a group, lend, and then depends that all 5 of them will put pressure on each other to repay, etc. I think we have moved on from there. There are some companies which will be there but most good companies have moved on. It is now very data based, very technical subject. In fact, definition of microfinance itself has changed that for microfinance, the income of that whole household needs to be less than Rs. 3 lakhs per year. Only then, it qualifies as microfinance. Above that is something else. That is why we are actually calling it now Rural Business Finance because hardly anything out of our total portfolio qualifies as microfinance. In fact, we have not even observed the portfolio. Just 20% out of our total disbursements in Rural Business Finance comes under the qualification of microfinance of disbursements. We have not even gone into the book for doing research , we will do now more and more. So, now the potential is not only in microfinance. Now, you are right in amazing potential. But this potential is now not at the bottom of the pyramid which is supposed to be the risky thing. What is the strength? In that particular area, how is the monsoon, how is agri, how are agri -allied industries doing, I know everything. What is the reservoir level, I know everything. How are the mandi prices, now we know that. Then I know employment levels there; I know that. Now, more and more I know income of the whole family because I am capturing that. RBI requires me to capture that from 1st April 2022. So, I am capturing that. Just the problem of microfinance was that it was fully unsecured. Now, I need not be that. They have their house; I can give them loan against property. I can give them home loan. If her husband wants to do some business, then I can give him a business loan because now I know information about the whole family and that's the plan. You are absolutely right, but I would not like to talk about the potential for microfinance only because as much as that is, it is still a very small part of the potential for rural businesses. That's huge and that is why I said that more organized competition coming in that is welcome because they will develop fast. More people coming forward to L&T Finance

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take loans from organized players, it is beneficial for all; it is good for them, it is good for us, it is good for the country.

Nikhil :

Thankfully, the banks are turning a blind eye towards this segment of business .

Dinanath Dubhashi:

No, I will not say like that. So, many banks are doing a good job .

Nikhil :

It is their own admittance .

Dinanath Dubhashi:

I will tell you one thing that banks are said to be.... Banks or NBFCs, I don't think we can survive without each other. If there is no bank in an area where I collect the cash, what do I do with the cash? I will have to put there. This whole narrative of either this will survive or this; if a large company comes in microfinance, then other small companies will suffer; it's not like that. The market is large enough. You have to keep competing with yourself, be better than what you were last quarter, you be better than that.

Nischint Chawathe :

Nischint here from Kotak. You were honest to call out that there should be margin compression next year because of the fact that cost of funding is going up, but what about asset side? Are you raising rates or can you pass it on?

Dinanath Dubhashi :

Home loans, we have passed on everything. There are 2 -3 things which work. One , the proportion of Micro Loans



in the whole thing versus the proportion of Home Loans. It is simple – highest yield, lowest yield. All other products are in between. Tractors, Two-wheelers

rs, Consumer Loans, SME, everything comes in between, in the 13 to 16 - 17 range. Two-wheelers a little bit more than that but everything comes in that range – yield. 24% Micro Loans, 9% to 9.5% Home Loans. The good thing is Home Loans because being variable, we can pass on everything. Till now, we have passed on. Good thing is industry has also passed on. That is why we were able to pass on. Wholesale, whatever small portion is remaining is variable, you can pass on. The rest of the loans are fixed rate loans. The good part of that is most of its duration is 1 to 3 years. Door to door is 2 to 5 years but duration is 1 to 3 years. So, the effect of the old book is that much less. So, interest rate risk is actually lesser than that. The more impact on the NIMs may be because we will do more secured, more Home Loans, urban will grow. If Micro Loans grows like it has grown today, maybe it will not happen, but we believe that after a big growth like this, Micro Loans may moderate a little bit from the growth rate actually where it is, and that is why conservatively I am saying that it may come down. So, it will more depend on the mix than really the ability to pass on because ability to pass on wherever variable is there, it is there. Fixed is where the duration is so small that the portfolio is renewed like this.

Nischint Chawathe :

On an incremental basis, have you raised rates for the same?

Dinanath Dubhashi:

Micro Loans, we will not. The rest is, based on the market, we can do it. In Two-wheeler, we have done some increment now. So, all that we can do. But Micro Loans, we are at 24% and we will stay there. It's not so much competitive but we like to keep it at that level. [{}]; I&T Finance

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Nischint Chawathe :

This seems to be an observation across NBFCs. There is a lot of resistance to pass on rate hikes. We understand that the impact comes with a lag but is it something that just there is focus on growth, so none of the players – I mean the entire market including competition – wants to pass on rate hikes or is it just that let it be as it is?

Dinanath Dubhashi:

Okay, I will go into the crux of it. That when you are with a particular market and particular dealer for the long term, if this rate hike is not for keeps – we are not into 5-year high rate cycle – we would like to maintain certain steadiness with that dealer. I would not think and I will speak for my peers also. At least most of the mature peers, it is less of a growth strategy than giving market a steady signal that we are there. That strategy. That works in the long term. Anyway, these are very high NIM products. So, it's okay. I would rather look inwards looking for efficiency and credit cost gains than pass it on unless forced to. If this interest rate cycle remains high for a long time, I may be forced to, but till now, through my ALM and through my efficiencies, I have been able to manage. In fact, NIMs plus fees have only gone up right now.

Nischint Chawathe :

The other is on provisions. I know you touched upon it but how much provisions do you currently have on the balance sheet including the wholesale book? I know you have used some of the wholesale extra provisions and the gains on the Mutual Fund to sort of do some mark-to-market on the wholesale side but how much provisions do you really have?

Dinanath Dubhashi:

Total sum, I think IR will get back to you. I never remember numbers. Sorry for that.

Sachinn Joshi :

2% is the total which is the macroprudential provision that we have. Overall if you look at on the Retail side, it's about 5% odd. And on the Wholesale side, ~Rs. 2,700 Cr was the knockdown that we took.

Dinanath Dubhashi:

But that knockdown doesn't appear as provisions. It's a reduction from the asset side.

Sachinn Joshi :

And the overall PCRs are at about 5.6% on the GS3

Dinanath Dubhashi:

Nischint, if you are having any recon to be done, IR will do it.

Nischint Chawathe :

The other thing is do you sell down loans to banks in terms of Retail?

Dinanath Dubhashi:

Retail, right now we have not done. See our leverage. We have to increase leverage. Why would we do it?

Nischint Chawathe :

Because I believe some of these Farm loans, etc., you can sell down and get a far lower rate

Dinanath Dubhashi:

We can do it. There is always a possibility. Right now, we are raising PSL loan. Since RBI has allowed to raise PSL loan from ultimate on-lending, we have done that. But why do people sell down? Either for funds or for capital adequacy. Right now, we don't have either of these issues. So, if we feel that by selling off a book, especially if this on-lending there is a problem, by selling off a book on balance sheet and keeping it in AUM makes sense at [{}]; I&T Finance

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some point of time, we may do it. But right now, since the capital adequacy is so high and leverage is so low, it

won't be out of any compulsion. There is no compulsion doing it.

Nischint Chawathe :

Finally, just one last question on the housing side. Does this remain focused on the prime segment or do you go down to affordable segment?

Dinanath Dubhashi:

I wouldn't say prime and non -prime so much, but you are absolutely right. We were absolutely focused on salaried. Largely during COVID, we were focused on salaried. Two reasons – one was COVID, second was we were trying to get our team and the mechanisms in place. Now th at the team is fully in place, Sanjay is there. Our business head is a very strong senior business head. Collection.... I believe that one of the best teams in the housing finance industry is today with us. We are now moving more to SENP as well as LAP. So, you will see increasing percentages of LAPs and all. I would s ay today 60% salaried and 40% non -salaried in the book.

Chintan Shah :

This is Ch intan Shah from ISEC. I had one question on the opex part. If you look at the last year, the retail mix has gone from 51% to 75%. During the same period, opex has gone up by 100 bps opex to asset during the same period. So, now when we plan to g o from 75% to 90%, how are we looking at the opex -to-asset number? How do we plan to manage cost on our journey to growth? Given that opex is a very high -cost sensitive business along with our much of the digital initiatives which are also taking a toll on the cost part, how do we plan to manage the cost?

Dinanath Dubhashi:

As I said, today our opex .... and I am talking about Retail only. Total opex to book here , it is the question of denominator. If I sell my Wholesale book faster, this ratio will look higher. So, leave that. Retail cost, there is certainly a scope to reduce. Right now, we are majorly in the investment phase. As you would see, all these things that we are building , this cost s naturally. We are clearly in the investment phase, and as we g o ahead.... Right now, there will be a phase of investment as well as getting the efficiencies and then slowly where we get maximum efficiencies out of it. That is where I said cost plus credit cost will pare down by almost 1 percentage point from today over the next couple of years . That's clearly the guidance I am putting. Lots of efforts will have to be done for that. Yes, we are on our way.

Chintan Shah :

Mostly that 1% decline would be probably compensated by the decline in the margins as well. Even the margins could be like somewhat off by....

Dinanath Dubhashi:

We are preparing for that. It's not like that if cost is lessened, then margin will automatically decrease. But a good company will always prepare because margins will suddenly reduce. Cost will never suddenly reduce. And that is why you have to always look round the corner and trying and keeping and reducing costs. Whether that will be compensated by margin reduction, we don't know, but we have to prepare for margin reduction by reducing the cost. I will put

it that way. {[]; I&T Finance

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Chintan Shah :

Sir, one last question. On the incremental growth going ahead over the next 2 -3 years, probably how much percentage would be from the existing customer base and how much could be from the new customer base? Any ballpark number if you could give?

Dinanath Dubhashi:

I have to be a crystal ball gazer for that. I will only tell you that 1 year back, maybe 1 out of every 6 loans would be from existing customers. Today, 1 out of every 3 loans is from existing customer s. Maximum sale to existing customer happens in my rural. In urban, only it is cross -selling, not so much up -selling. Cross -selling from Two-wheeler to Consumer Loans or Housing Loans to Consumer Loans. As urban upselling also starts happening and customer database is also less there, but with urban up -selling, this ratio will only go up. That is what. Exactly how much will happen from whom, god knows.

Kunal Shah :

The question is on opex to credit cost. Credit cost obviously there would be a tailwind given that we have done major part of the macroprudential, MFI pain is behind, but still that 3% number seems to be slightly on a higher side. Maybe these product segments would still suggest that this is more like a medium term or structurally we are with that. And again, in terms of opex as well, continuing with 4 odd percent. This 3 + 4 is very near term or even over a medium term and a structurally we can say this is coming off 2 -3....

Dinan ath Dubhashi:

If you mean by very near term FY24, certainly not, but yes, over the planned period FY26.

Kunal Shah :

How much is the collection within the overall opex ? Because, we still had collections and credit cost would go hand in hand. But within opex , how much could the collection proportion that we are saying it's like too related?

Sachinn Joshi :

We can't talk specific numbers per se. The audited numbers will b e there. But collection cost was substantial I would say till FY22. In FY23 in relative terms, it has come down. But frankly, as I was mentioning earlier, Mr. Dubhashi mentioned, it's a total of both opex plus credit cost. If collection cost is higher, nat urally it will impact the credit cost favorably.

Dinanath Dubhashi:

Let us talk about how cost will reduce. That is more interesting. Collection cost will reduce as with analytics we reduce cheque bounce percentage and increase '0 DPD'. As bucket goes up, costs increase exponentially. For cheque clearance or mandate clearance, it is zero. Then X bucket, it is so much. First bucket it is so much. Second bucket so much. When it becomes NPA, it becomes a large percentage. So, by analytics and by collection efforts, limiting maximum amount of book to zero bucket or first bucket will reduce cost. On the sales side, costs will be reduced by up-sell. That more and more I sell to my existing customers, I don't have to pay to the dealer. It is actually as simple as that. This is the way costs will be reduced. And then a little bit productivity increase for new business with my people. Costs will not be reduced by suddenly reducing dealer commissions. I will be out of the market. Costs will not be reduced by suddenly reducing my people's salary. I will have an employee turnaround. So, costs will be reduced by operating efficiencies, but this is for the sake of saying. Operating efficiencies are always very marginal to improve. Costs will be reduced by doing things which are your strengths waiting to happen. I used to say very openly 1 year back that we have been very bad in cross-selling. And within 1 year, we have changed that. I am actually quite happy and proud of it. And my people carry targets which are even crazier for cross-selling and up-selling. [{}]; I&T Finance

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Kunal Shah :

In terms of fee income, this quarter, Retail particularly, it's almost 2 odd percent. Is it more sustainable or there were some one-off

s? Given this kind of inch up which is there in consumer durable, SME, and all, how should we look at fee income within the overall retail pie? Even though we keep on talking about NIMs plus fee, but this particular quarter in fact, fee income was slightly on a higher side.

Sachinn Joshi :

Some CLI income may be higher

Dinanath Dubhashi:

We didn't book in Q3, we booked in Q4. There were some things happening in the industry. So, some of it we booked in Q4 but nothing substantial. So, Q1 may be slightly lower than Q4, the percentage, but nothing like that it majorly reduced. It was not like we didn't book at all in Q3 and booked it in Q4. Some small part was not booked in Q3. So, we were conservative. As those were resolved, we took it in Q4.

Moderator:

In the interest of time, we will take that as the last question. Thank you sirs for your detailed responses and thank you everyone for being here today. For any further questions, request you to be in touch with our Investor Relations team. With this, we conclude the investor meet.

Dinanath Dubhashi:

We are available for you anytime to answer. Thank you for your support.

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies, repetitions in Q & A which would have unintentionally crept in, if any [{}]; I&T Finance

## Call: Jul 2023

July 27, 2023

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q1FY2024 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q1FY2024 financial performance and strategy update held on July 20, 2023.

The above information is also available on the website of the Company i.e., [www.ltfh.com/investors](http://www.ltfh.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel :

Mr. Dinanath Dubhashi ( Managing Director & Chief Executive Officer )

Mr. Sudipta Roy (Chief Operating Officer)

Mr. Sachinn Joshi (Group Chief Financial Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to the L&T Finance Holdings Limited Q1FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star t hen zero on your touchtone phone. Please note that this conference is being recorded.

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only public ly-available documents will be referred to for discussions during interaction in the call.

While all efforts would be made to ensure that no unpublished price -sensitive information will be shared. In case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q1 results presentation sent out to all of you earlier.

We have with us today Mr. Dinanath Dubhashi, Managing Director & CEO and other members of the senior management team. I would now like to invite Mr. Dinanath Dubhashi to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Dinanath Dubhashi:

Thank you. Ladies and gentlemen, a very good morning to all of you. Welcome to the call. You have all seen the results and it goes without saying that we are very enthused with the results. FY23 has been a great year for us, no doubt, and the re sults that we achieved during F Y23 actually gave us the confidence to say that the targets promised for Lakshya 2026, many of them would be achieved earlier, some of them in year 2024 itself. Since then, all of us in L&T Finance have been working relent

les sly towards this goal of achieving some of those ratios, especially retailisation, asset quality, ROA much, much earlier. And I'm most happy to say other than the fact, of course, that we've shown good profits, good credit costs , but most happy to say that this quarter is indeed a testimony to that promise, which we had talked about last quarter. We are one quarter down in FY24 and I can say that the performance for this quarter is well in -line with th e accelerated timeline s.

Announcement about superannuation

But before I talk about the achievement for this quarter and our strengths, etc., I believe it is necessary for me to talk about a very important development regarding the company. A few things changed over the last couple of weeks. And in a way, I would like to say that not much has changed as far as the plans of the company are concerned. I will try and explain what I mean by this statement.

First, let me address what has very clearly changed. As announced on July 1, 2023, and all of you would be knowing well by now, I have personally taken the decision to superannuate from the company and will be superannuating by April end next year, that is April 30, 2024.

Let me talk about this a little bit. Many of you are my friends and well -wishers . I would r eally like to take a few minutes to explain this . After a lot of thinking and soul searching, I reached a decision sometime back that I would like to follow certain passions of mine, more full time and not just as a hobby, which I have been doing for quite some time. This includes , few of you are aware, is working for the cause of stray dogs. Along also, second thing is my passion for studying history and mythology.

Now I know all these seem truly as a passion and they indeed are. What encouraged me actually to take this decision was the fact that the organization was well on the road to success and was creating sustainable value for all stakeholders. Lakshya 2026 was well and truly launched and assimilated throughout the organization. And most importantly, we had worked in detail on creating a strong management bandwidth and robust succession plans and they have been put in place in the company. That was when I actually felt that now I am confident of passing on the baton and communicated to the Chairman, my desire to move on earlier than what my contract as MD was, which was 2026.

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We found a good successor to me, who brings in very complementary skills to our organization. With these building blocks well in place, I believe that the age of 58 years, which I will be in 2024, is as good a milestone as any to finally hang up my professional boots and follow my other passions.

Mr. Sudipta Roy who joins us from ICICI Bank, will take over as MD and CEO from January 24, 2024. And after that also, I will act in an advisory role as an adviser to the Chairman for 1 more quarter, until April 30, 2024. So, it's a very well-planned handover kind of process. This is when I will be signing off completely. Sudipta has already joined the LTF family as the Chief Operating Officer from July 1, 2023, so he has completed just about 3 weeks now. Over the next 2 quarters, I will be overseeing Sudipta's gradual assimilation in the organization. This is how we have planned a very smooth transition over the course of the next 6 to 8 months. I would like to assure you that we have a well thought out date-wise action plan to ensure that the entire process happens as seamlessly as possible.

Now let me explain that why I said that not much has changed. Over the last few quarters, we achieved some really tangible milestones. So much so that we could fast track

Lakshya goals, many of them to FY24. This has helped in creating a strong fortress with some really unique strengths, which we call as sustainable differentiators. In addition to these building blocks, some transformational projects have also been launched within the company. These projects other than enhancing the organization's business strengths are also being instrumental in involving people in the projects which challenge and expand their skill set and get the next line ready - next line of management ready. Our target, our plan of making the company a 'leading digitally enabled retail finance company' is well on course, in fact, ahead of course. The company will draw on Sudipta's strengths and he will draw on the strengths of the significant market positions we have achieved in our flagship businesses. Needless to say, the focus is going to be on making LTF, a retail fintech giant. With this, join me in welcoming Sudipta to the LTF family. I will now hand over briefly to Sudipta to introduce himself. Sudipta, go ahead.

Address by the COO

Sudipta Roy:

Thank you, DD, for giving me the opportunity to introduce myself.

Good morning, everybody, on the call. It's an honour and privilege to speak to such an eminent group of analysts/investors, and I will take this opportunity to briefly introduce myself. I have joined L&T Finance from ICICI Bank, where I spent the last 13 years of my career and my last role was as the Group Head, managing diverse businesses like unsecured assets, cards, digital and payment solutions, student ecosystem banking, e-commerce and merchant ecosystem, and last but not the least, connected & API banking. I was also responsible for developing and operationalizing ICICI Bank's digital banking solutions for the millennial banking segment. My team and myself were responsible for growing the bank's unsecured assets business five-fold since 2017 with significant contributions to profitability for the overall organization. This was done with an extreme focus on growing it in a risk-calibrated fashion, which demonstrated an excellent resilience of the portfolio during the difficult COVID period. My team under my guidance launched the education loans and the consumer finance businesses in the bank and later extended education loans into the country's first comprehensive student ecosystem offering, which is called Campus Power.

The ICICI Bank's cards business was nurtured back to significant profitability since the difficult years post the global financial crisis and the Amazon credit card program executed by my team is now hailed as one of the most successful issuance programs in the country and a textbook case of Big Tech and Big Bank cooperation, having issued 4 million cards since inception, making it the largest co-brand program in the country. The personal loans and unsecured business loans was expanded on the back of cutting-edge analytics and has scaled significantly over the last few years. Prior to ICICI Bank, I spent about 5 years in Deutsche Bank, managing product management for the Deutsche Bank's cards business in India and China. And prior to that, I spent about 6 years in Citibank learning the ropes of financial services distribution, cards and lending product management and payments and allied risk modelling as well as digital banking.

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My strengths are in cards and retail lending distribution, retail lending technology and allied risk modelling, payments and digital banking and execution of digitization initiatives at scale alongside P&L and general management capabilities, having managed large -scale businesses in ICICI Bank.

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I'm incredibly excited to join the capable and committed team of L&T Finance to take forward the retailisation journey as part of the Lakshya 2026 objectives and I'm quite certain that with the initiative and the hard work of the great team at L&T Finance, we should be able to make a substantial contribution to India's retail financial growth story in the coming years, and really demonstrate the strengths and synergies of the stated objective of becoming Fintech @Scale.

Thanks a lot, and back to Mr. Dubhashi.

#### Q1FY24 Highlights

Dinanath Dubhashi:

Thanks, Sudipta. So, let's now look at the performance for the quarter. It has been more than a year of unveiling our strategic plan – Lakshya 2026, wherein we said we will strive to make LTF a top -class digitally enabled retail finance company moving from 'product -focused' approach to 'customer -focused' approach by creating a Fintech@Scale. I remember telling you that every decision ever since has been taken keeping in mind these targets of Lakshya 2026. We have continued to improve not only the products we offer, but also the systems and processes we deploy within the company. In fact, every quarter, I have gone - we have gone out of our way to try and put even in the investor presentation, the specific moves that we are doing to become more and more a retail company, more and more a company absolutely entrenched in retail and digital. This investor presentation also, you would see lot of slides are actually dedicated to see how we are farming our large customer database. We have actually given it business wise and I will talk a little bit more about that as we go ahead.

Achieved most of our Lakshya goals in line with accelerated timelines :

Our strategic plan of Lakshya was largely set around, as you all remember, 4 milestones. Let's see how we have reached all the 4 milestones.

- 1) Now the first milestone was 80% retail. And in fact, we achieved 75% by March, and I had already indicated to you that 80% is obviously easy now, and we will, in fact, try and become 90% by FY24. And in keeping with that promise, we have already gone beyond 80%. In this June itself, we stand at 82% retailisation.
- 2) The second milestone was about retail growth of more than 25%. You are all aware that we had shown a 35% growth last year and now followed by a 34% growth in this quarter.
- 3) We had also said that our GS3 and NS3 will be below 3% and 1% each in retail. And as you would see, GS3 has already reached about 3.2%, and NS3 remained steady at 0.7%, which is well below the 1% target.
- 4) Last but not the least, we had put an ROA target of 2.8% to 3%. We had reached 2.95% in Q4 and in Q1, we have reached 3.08%, which I genuinely believe is a rubicon in the retail world that once you are above the 3% mark, you can look at only improving from there. And as I would explain during the presentation, you will see every component of that ROA bridge is falling well in place.

Without a doubt, I believe , we have delivered on most of our Lakshya goals in line with the accelerated timelines. Here, I would like to point out that our achievement now is in terms of attaining desired percentages. So let me explain. Some people have asked me that now you have achieved Lakshya , is there a new Lakshya in the offing, right? Let me take that straight away. If you see the Lakshya goals that we had put in place, which was 80% retailisation, obviously, there is a new goal of 90% now, which we will achieve very soon. The others , let us take a GS3 ratio or an NS3 ratio of 1% or a profitability ratio of above 3% are more ratios and the challenge and the endeavour of management over the next 3 years, will be continuing with this growth path of 25% - 30% CAGR while keeping this asset quality and these profitability targets intact. So now that we have reached 3%, there is no way that we will fall below that. And these kind of NS3 levels and credit

cost levels we have reached, we will keep them sustainable while achieving this growth rate of between 25% - 30%. And that end goal with all the

projects, all the aspects, all the business strengths that it involves remains , steadfastly remains our Lakshya 2026. So, these are just 4, I would say, ratio milestones achieved. The route from now on, the path from now on, will be

keeping these profitability and asset quality achievements intact while achieving further growth as we go ahead.

#### Performance highlights for the Quarter

##### Retail Performance :

If we look at the highlights for this quarter :

- Clearly, profit after tax, if we talk retail is Rs. 533 crores. Retail profit is actually 176% up
  - Retail NIMs +Fees remain very, very strong at close to 11.7% or so
  - Strong retail quarterly disbursements, Rs. 11,193 crores, which is up 25% from last year
  - Book size growth, retail book is now at Rs. 64,200 crores, which is above 34% Asset quality, we already talked about and
  - ROA also we have already talked about and
  - Retail ROE now is close to 16%
- So that's where the retail performance is going.

##### Consolidated Performance :

If we look at consolidated performance :

- The PAT is up to Rs. 531 crores, which is up 103%
- Capital adequacy remains strong at 25.75%
- We have also declared our highest ever final dividend at Rs. 2 for this financial year

Obviously , as I always said, as the balance sheet becomes more and more retail and wholesale, we keep reducing , we are confident that these kind of ROAs and ROEs start getting converted to overall ROAs and ROEs. I would also like to point out that overall ROA has also crossed 2% and now this acceleration towards convergence to retail ROA will be faster as we keep reducing the wholesale book.

One ratio, which I keep talking about, in addition to retail NIMs +Fees, which remains strong is our opex plus credit cost ratio. I always say that to some extent, these are fungible and opex plus credit cost has already reached around 7.11%. I always guide people towards 7% , that around 7% of opex plus credit cost should be more sustainable even at these kind of growth rates and we are quite sure that we will reach that level soon and stay there and improve from there. I would say that we have performed better, not only than Lakshya but also in line with the ROA tree guidance that I have provided to you and expect to stabilize this kind of trajectory in the future. Now let me talk about how we have achieved some of the strengths. I'll take a few minutes before we open for questions.

##### Deep pan India franchise

Over the years, we have developed a deep pan -India franchise and our performance quarter -on-quarter bears testimony to the strength of this franchise. We have optimal mix now of physical presence, preferred channel partners, coupled with leveraging our database, and of course, our digital tools for reaching the customer. We, today have a database of about 2.1 crore customers, out of which 1.4 crores are in rural and 70 lakhs are in urban, which helps us in building a superior retail franchise. While we disbursed this quarter itself to 6.9 lakh new customers, our active customer base now stands at 89 lakhs. So out of those 2.1 crores, 89 lakhs are active, the rest have repaid and are in our database. The important thing is share of our cross -sell / upsell in the total disbursements now stands at 34%. Now this is very important to explain. We, of course, we envisage these numbers to slowly increase as we concentrate our efforts on increasing the share of cross -sell and repeat loans, like Pragati loan, Vishwas loan, Kisan Suvidha, 2 -wheeler

loyalty, consumer loan top -up, housing loan top -up.

This is how we have built a strong cross -sell engine with great use of digital and analytics, which shows the strengths that we are building to address the additional needs of our customers. And so, it definitely benefits the customer, gives the customer the advantage of having a loan ready if the customer has been good with us. But it

does a very fundamental thing. Now any retail finance company, especially a retail finance company, who is predominantly in the rural business is normally subject to seasonalities and cyclicalities. That's the rule of life and every company will be subject to that and the strategy of good company, good management should be try and reduce that dependence. I don't think anybody can claim that we are completely protected, totally 100% protected from any seasonality. But the whole idea is quarter -on-quarter, year -on-year, we have to reduce the effect - impact of that seasonality, both on business and on collection.

How to do that in your business? Very clearly, there is 1 big segment. I mean, seasonality or cyclicity comes into account when you are buying a new tractor, or you are buying even a new cow or a new two -wheeler or a new house. It doesn't come into account when you are an existing customer of your company, and you may have any other needs. While we believe we are equipped to handle seasonalities , however this layer of cross -sell /



upsell, which we do to our existing customers, reduce the effect of the seasonality and if you see the quarter-on-quarter disbursements of the company that we have shown over the last 8 quarters also, you see this dependence clearly coming down. And our Q1 disbursements being almost in line with Q4 disbursements, you would acknowledge that Q4 is a fantastic quarter for most companies, actually shows that this is working quite well. This is just the beginning. It will be our endeavour to increase this 34% slowly to 40% first, then 50% as we go ahead and of course, it comes with the added advantage that acquisition cost is lower and of course, credit cost is way lower because these are tried and tested customers. On collection side also, it makes a lot of sense. On asset quality side, it makes a lot of sense. On disbursements, it makes a lot of sense, but much more importantly, on the character and the resilience of the company, it makes tremendous amount of sense.

#### Fintech@Scale

Going ahead explaining our Fintech@Scale. Over the course of the last multiple calls, I have talked about transforming LTF into a Fintech@Scale. Building a Fintech@Scale requires not only a comprehensive strategy, but continuously putting data analytics to excellent use. Our motto at LTF is to never let a good customer go. We want to be there for our customers right from the start of their journey with us to serve their diverse financing or even insurance needs with our differentiated product offerings. Our steadfast focus on data-driven insights, innovations and customer-centric solutions have driven this and will continue to contribute to the success of LTF. I'll specifically talk about our PLANET App now, talking about Fintech@Scale.

##### 1) PLANET App:

- Our D2C app PLANET was launched in March 2022, and frankly, I must admit that it has been built through minute planning and detailing, but the kind of success it has seen was even beyond my expectations. From offering service features like downloading statement of accounts and interest certificates, it has developed into having superior engagement features like providing mandi prices for farmers, insurance, credit scores, features like

like D2C journey for top-ups, etc. The app has already crossed

44 lakh downloads now in a span of a little more than 1 year. I would like to give a quick recap that app crossed 10 lakhs in Nov'22, 20 lakhs in Jan'23, 30 lakhs in April'23 and 40 lakhs in July'23. So really, it is actually catching speed with enhanced features on the app and focus on marketing this app to our customers. Lots of things are going to be unleashed, lots of efficiencies are going to be unleashed by this app.

- We have already done Rs. 360 crores of collection from the app and business of more than Rs. 3,000 crores through the app and, of course, catered to 67 lakhs plus service requests through the app.
- It has genuinely inverted the service pyramid. So, branches just 2 years back, contributed 51% and digital contributed only 14% of our service requests coming in. Now this is completely reversed to branches contributing 9% and digital contributing 77%. So just imagine the pluses which will come from this for cost, but much more important, for quality customer service and hence hopefully, much higher customer retention.
- One area which remains a complete upside for this app is rural. At this point of time, about 10% of total downloads i.e., from 44 lakhs, around 4.4 lakhs come from rural and this speed is likely to catch up now with our big efforts on marketing this app in rural. I think that has the potential of clearly changing the way that our rural customer behaves and slowly even the way the rural customer repays and once that

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happens, the upsides to his credit score, to our cost structures, our credit cost can be immense as it goes ahead.

##### 2) Developing digital finance:

Talking other than that, our idea of Fintech@Scale envisages development of digital finance delivery as a customer value proposition. As mentioned earlier, the objective is to touch every part of the customer ecosystem with superior digital infrastructure. We have now been able to build 100% paper-less journeys in Rural Business Finance, in Farmer Finance, in 2-wheeler and in Consumer Loans.

As far as collections is concerned, while our strength definitely lies in our feet-on-street network owing to the nature of the business we are in, we are continuously boosting our digital collection capabilities also. In urban space, our eNACH penetration has now reached 97% and 93% of urban collections now happen completely digitally. It looks like a small number, but a number that I'm very proud of is now 14%, 14 percent of rural collections are happening digitally. Now just about 2 years back, this number would be low single digit and it is now developing and I believe, personally, that this is going to accelerate as we go ahead.

#### Business Updates

As we move on to business updates, allow me to take you through some climatic conditions that are happening and its impact. As you all know, the progression of monsoon remains very uneven across the country with certain areas facing rainfall deficit while others having excessive rainfall and floods. We remain watchful of evolving

situation. We have undertaken a detailed assessment of the impact of floods in those districts as well as the impact of short rainfall in those districts. The portfolio quality of our rural loans, both Rural Business Finance and Farmer Finance remains intact. We are actually monitoring almost day-to-day the collections as compared to last year and last month. As a responsible organization and of course, let me assure you that those collections are absolutely fine and all early warning signals are actually, at this point of time, green, they are not being affected too much though.

this month. We will continue to watch closely sometimes the impact comes even next month, but we are watching it extremely closely and quite confident that the retail portfolio will remain very healthy and robust during these difficult times in some of those districts. Now many of you who are not in India, hear a lot of things about lots of floods and lots of rainfall deficit. Let me tell you the on-ground situation. Such issues happen very localized in some districts et al, and it is a good model to monitor only those localized things where things can be bad, not go by narratives, and we are monitoring those very carefully and are fully in control. Like a responsible organization, our primary step is to initiate relief activities. We are making sure that along with our CSR team, we are making field visits, connecting to customers physically, through calls and making sure that any of our customers, if they are facing tremendous difficulties, we are there to help them first through our CSR and only then collect. This is a tried-and-tested template, which has worked excellently during past natural calamities, and we are confident of keeping our portfolio quality intact through any of such problems.

## Retail Business

### Disbursements :

Now let me deep dive through the key highlights of the quarter. Total disbursements, retail disbursement, as I said, Rs. 11,193 crores, up 34% and the retail mix is now 82%.

■ If I take Rural Business Finance, some of the highlights I can put now the business is 14+ years of vintage, and it has done its highest-ever quarterly disbursements now at Rs. 4,511 crores. Now the good thing is now with income mapping. We started income mapping around 15 months back, as you all know and now with this income mapping, we have a very good idea of various categories of customers and can design our products accordingly. So, times of putting all joint liability groups (JLG) as micro finance are gone, I think, thanks to the efforts of the regulator, thanks to the effort of all the companies, credit bureaus, the income records are now quite dependable, and we can design good products around this. More importantly, our repeat disbursements are close to 61% of total. 32% of the disbursements are to exclusive LTF customers. So, many of these numbers actually show that this business has not remained now as cyclical. I believe the nature of the business has now moved beyond that to much more robust and it is keeping its own strength as a proper legitimate retail finance business, and we are doing extremely well in that.

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■ In Farmer Finance, we have done our highest ever Q1 disbursements at Rs. 1,757 crores, and the book now has crossed about Rs. 13,000 crores. In both these businesses actually Rural Business Finance and Farmer Finance, we have launched 1 new product each. In Rural Business Finance, we have launched Rural LAP finally in Madurai District of Tamil Nadu, and Warehouse Receipt Finance in Farmer Finance, we have launched for 14 select commodities across 4 states. Those numbers are this time very, very small. I will be talking about those numbers more next quarter.

■ In Urban Finance, which comprises of 2-wheeler, Consumer Loans and Home Loans, together, we saw a 21% YoY jump in disbursements, and which resulted in a 35% jump in book size.

o Two-wheelers registered a disbursement of Rs. 1,726 crores, which is up 14% YoY and the book size has now crossed Rs. 9,000 crores, up 23%. More importantly, our prime product within that, which is Sabse Khaas loan and VIP loan have now crossed 30% of the total disbursement, which was 21% last year. Now what happens in this prime

product is that the customer gets a better LTV because they are

prime customers, and we get much, much lower bounce rates, much lower as in 1/3rd kind of bounce rates and hence, much lower collection costs and credit costs. So again, everything going well in this business.

o Consumer Loans, the business witnessed disbursements of around Rs. 1,200 crores. The book stands at the doorstep of Rs. 6,000 crores. Actually, it is Rs. 5,995 crores, as we go ahead.

o Retail Housing disbursements stood at Rs. 1,300 crores, which is up 39% and the book now crossed Rs. 14,000 crores mark, which is up 27%.

■ SME, which is our newest business has witnessed a steady uptick. The Q1 disbursements stood at a little above Rs. 600 crores. YoY, of course, it is not comparable because YoY last year same quarter, we had done just Rs. 68 crores. So, it's a huge increase. More importantly, we have crossed total disbursement of Rs. 2,000 crores from inception, and the book is close to Rs. 1,800 crores now. As we go ahead, here also, we have launched new products. We initially started only with unsecured business term loan. We have now launched overdraft and hybrid overdraft products which are seeing extremely good traction as we go ahead.

#### Collections:

On the collection side, we have witnessed best-in-class collections in Q1FY24 across businesses led by our concentrated on-field efforts definitely, but analytics helping tremendously on prioritization of collections using our collections score card. We have provided detailed product-wise collection efficiencies in our investor presentation as well as for the retail portfolio, we have also shown our stage-wise book in our investor presentation as we had promised, for the last 2 quarters now.

#### Wholesale Business

On the wholesale business, we now draw much closer to our Lakshya 2026 goal of making LTF a retail finance company. As important as it is to build a retail franchise and grow the retail book, it was equally important to get down the wholesale business quickly, once we decided clearly in Q3FY23, that now we are not looking for 1 big buyer to come and pay value for the book. But you remember that we took sort of onetime write-off, write-down to the book of Rs. 2,700 crores to enable us to sell this book faster. In Q4 last year, we showed a fantastic reduction. We continue with showing excellent reduction year-on-year. The wholesale book continues to reduce quite fast. It has registered a reduction of about Rs. 5,500 crores in Q1 itself and now stands at about Rs. 14,200 crores. We are now very, very confident of crossing the 90% retailisation mark, not only by end of FY24, but sometime before.

#### Liability Management

On the liability management side, I last time guided that cost of funds may go up by 20 to 30 basis points over the last, next 2 quarters. In fact, in the first quarter, it has increased just about 6 basis points. I think it has; the credit belongs to 2 things. One, the way we have used low-cost priority sector borrowings for that and you would see that CP proportion - this cost has not been reduced by increasing CP proportion even though the changing book now allows us to do more CPs, we have kept it at around 8%. But priority sector borrowing now constitutes around 17% of our total borrowings and this is where we are actually using the strengths of the asset side and the

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businesses, we are in to borrow. So that's what we have done and I must also say that even the economy is now in our opinion for a long period of stabilization of interest rates.

We are not expecting any big reduction, but we believe that interest rates and, hence, N

#### IMs +Fees should be

stabilized around this level now for a fairly long period. That doesn't mean 10-15 basis points here and there will not happen quarter-on-quarter. But in taking a few steps back, looking from a distance, we are looking at a stabilization level, which will allow us to concentrate now on cost efficiencies, on productivity, reducing costs further, reducing credit costs further and hence adding to our profitability.

#### ESG

The last leg I would like to talk about is ESG. Our journey towards Lakshya, our primary objective, while it was to drive growth, but it was also while embracing the principles of environment, social and governance factors. As far as our commitment to ESG is concerned, I would like to share with you that we continue our vow towards minimizing our ecological footprint. This quarter, we released our first integrated annual report for L&T Finance for year FY23, which has been assured by independent third-party assurance provider. I believe many of you would have gone through it, it's on the website already and we are quite happy to be able to bring it on.

So that's it, I would like to conclude very quickly by saying thank you to all of you for your support and by reiterating the confidence that the company is well on its line for very accelerated achievements of the Lakshya 2026 goals. While the goals are such, in terms of percentages, have already been achieved, well in advance, we aim to keep that kind of asset quality, keep that kind of profitability, further improve productivity and cost efficiencies, further improve our digital footprint, analytics footprint as we go ahead and continue this growth journey of 25% - 30% over the next 2 to 3 years till FY26. What gives us confidence to do that is all the strengths whether it is in our network, whether it is in digital capabilities, but more importantly, in our staff, in our management bandwidth and also in the customer database and the ability to use, utilize and work on that customer database that we have built.

Thank you very much. We can be open for questions.

#### Moderator :

We will now move on to the Q&A session. We have the first question from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar :

First of all, congratulations. 2 questions , sir. One is essentially on this net worth of the wholesale finance business. So, it has seen a decline. So, could you explain what's happen ing there? And on the Rs. 2,700 crores macro that you made for this wholesale? Did you use any of this during this drawdown? So that's the first one. And the second is just in terms of the profitability of this retail business. So, first quarter is normally weaker for your retail business in terms of both , in terms of at least credit cost. So, would you say that this number can improve going ahead? Or you would want to see the ROA at around 3% now? These are 2 questions .

Dinanath Dubhashi :

The first one is quite technical. If you have any specific calculation , clarifications, you can contact IR , but let me explain it. So, we have 2 companies as of now, ICL (Infra Credit Limited) and L&T Finance. Now ICL is entire ly wholesale company, which is continuously reducing because wholesale we are selling. But the entire equity of that ICL obviously is allocated, right? and in L&T Finance, it is allocated proportionately. As we merge, all your confusions will go away. So, 1 item that I didn't talk about in my opening remarks is the merger. So, the merger is going well on plan and we are quite hopeful, as I keep saying in FY24, definitely, we will do it, but we are quite hopeful that we should be able to do it in Q3, by about Q3. After that, Saurabh, all this confusion will go away, simply the allocation of net worth will go proportionate to the book of businesses. But right now, because of having

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these various entities, this confusion arises. So that's general answer to your q uestion. Detailed calculations, IR can help you .

Saurabh Kumar :

Okay. And for any part of the macro used in particular .

Dinanath Dubhashi:

Yes. So, you know what happens actually. It was not a provision, right? It was a fair valuation of the book as we do asset by asset, and there are so many assets. Every asset is fair valued. At the end of the quarter, as assets are sold. First of all, it is not macro, it is that - you are talking about the Rs. 2,700 crores, right?

Saurabh Kumar:

Yes, the illiquidity discount. Yes, the illiquidity discount .

Dinanath Dubhashi:

To clarify. So macro is in Rural Business Finance ( Micro Finance ), that is different. This is not macro. This was more like - as we have said, we will fair value the assets which gives the management the confidence that we can sell it quite often. Now as every asset is sold, there are assets which we have fair valued low er, but they are sold sometimes at par also, okay? And some assets that , maybe sold a little bit below the fair value also. So, both these things happen. At the end of the quarter, it is all put again together, and we see where the value is coming to. Okay . So, as I will repeat my answer of last time that by the time the entire book is complete, we don't expect this total discount that we give to the market when we sell , to go beyond this Rs. 2,700 crores at all, right? There is a very specific reason that I don't give a specific answer at how much we have used, etc. I will tell you that specific reason. That any specific reason like this in public space, spoils the habits of buyers and spoils the expectations of buyers of these assets. So, it is harmful for business to give out any of these numbers. So, we are not trying to hide anything. Please take confidence coming from me that there is no way that the total discount will go anywhere beyond this Rs. 2,700 crores. I believe that should suffice. So, if I sa y "okay, 'x' amount is remaining ", from tomorrow buyers will come and say 'x' amount of discount is remaining, give it to us, right? So that's - it goes beyond that and hence, please understand I'm still running a company. So, I have to take care of that a lso.

Saurabh Kumar :

Second one was, sir, on this opex.

Dinanath Dubhashi:

I'll come to that. You're right. As I said, this 3%, 3.1% is the minimum kind of ROA now that we will look forward to. Most definitely like any good management or any good company, we will expect quarter -on-quarter improvements from this. Now each quarter, how will it be . Next quarter, suddenly, if huge deluges happen somewhere, what will happen. I don't want to comment on that. I don't want to give such kind of guidance. Bu t the big guidance is yes, we see profitability only improving from here.

Moderator :

The next question is from the line of Mahruk h Adajania from Nuvama .

Mahruk h Adajania :

Congratulations, sir .  
Dinanath Dubhashi:  
Thank you. Thank you .

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Mahruk h Adajania :

So, probably Saurabh already asked this question, but just to delve on it a little more. So, if you see the retail profitability, the retail tree, then margins have kind of remained stable and fees are a little soft sequentially. Now is that seasonal? Or is it because of cross-sell, upsell now we expect fees to taper off a bit only? And then margins will take shape of depending on how our cost an

d yields evolve ?

Dinanath Dubhashi:

So, margins, I said that, again, I don't want to give quarter-on-quarter guidance, but I believe margins falling below further, I mean, 11.5% and down looks unlikely right now. I always guided towards 11% but we are quite confident of maintaining at around 11.5%. So, if you say they have fallen, yes from 11.87% they are fallen to 11.7%. Many times, it is actually just the function of which product and the product mix a little bit here and there. So let us say, 11.5% upwards, is what would I say sustainable levels of NIMs +Fees. As far as fees is concerned, we are being quite conservative in recognizing the fees coming from insurance companies at this point of time. As I had said last time also, our Corporate Agency (CA) license is just about to come, (subject to necessary approvals and clearances). In fact, it was expected on 30th June. It has not come. It should come hopefully by the end of this month and by which after that, we actually believe that this fee can marginally go up from this point of time, okay. We are not really comparable with last year also because last year, don't forget that we had a Mutual Fund, and the entire income of Mutual Fund was in the fees. So, the fees that you see this time, there are no wholesale sourcing fees in this because we are not sourcing any wholesale at this point in time, right?

Second, the insurance cross-sell fees will probably only increase as we get our CA license. So, I don't see any issues coming there and don't see any issues in maintaining NIMs +Fees at very healthy levels. And as I said, credit cost plus operating cost slowly but steadily, more efficiencies will surely come up here also. That gives us the confidence that this 3% is quite sustainable .

Mahruk h Adajania :

Got it, sir. Got it. Sir, just 1 more question on the wholesale tree that credit cost for the wholesale business, I'm not asking about the rundown or the balance of the 27 billion, but just the credit cost shown in the tree also seem to have risen quarter-on-quarter. So usually, if at all, there is a credit cost, it can be drawn down from that 27 billion, right? Or what would be these credit costs in the wholesale tree ?

Dinanath Dubhashi:

Okay. credit cost in wholesale tree, first of all, credit costs will not be drawn down from that because it is, as I said, it is fair valued - it is not credit cost. It is fair valued meaning it is our idea of what the market will buy the asset from that. This book is standard, there is no question of any additional credit cost. Now the important part -- I will remind you that when we had to take additional credit cost in Supertech, we took it from P&L. We didn't take it from the Rs. 2,700 crores. That is only a market discount provision.

Now I will explain this Rs. 45 crores. In Ind AS even if it is an NPA. So, we have a Rs. 1,000 crores NPA on our book, even if it is NPA, the interest on the NPA, we have to recognize in revenues and then that's what Ind AS says. What we do is we also - we do unwind the interest and show it as credit cost so that it doesn't come to P&L. Ind AS says actually, that you recognize income and only when you write off or settle that, the whole thing needs to be booked as a loss. We don't see any point in that. So, while we are in accordance with Ind AS by booking the income on top that interest, we also provided some, so that the PAT is not overstated for any quarter.

Mahruk h Adajania :

Got it. Got it. Makes complete sense .

Dinanath Dubhashi:

It is just technical .

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Mahruk h Adajania :

Got it, sir. And just in terms of the industry outlook, o

n personal loans, so much is being said, though RBI's

Financial Stability report says nothing, right, or gives no warning signals as such. But in general, there is news that RBI seems to be worried about quality on personal loans. So, any comments you have on this just in terms of if you are seeing any on the ground early warning signals or any such thing?

Dinanath Dubhashi:

Okay. I think it's a good question. So, number one, even RBI has talked at places that it is a little bit worried about the high growth rates in unsecured personal loans and I believe the industry is watching it very closely. There is no doubt that the growth rates have been high. But we have to look a little bit beyond that. A little bit beyond that and look at, first of all, where are the stresses showing? In which category?

But I will come to that also later. First, let me talk about the growth -- now there is 1 big change also happening both not only in rural but also urban. What is the change? Is because of digital and data analytics, more and more new to credit customers are getting access to organized credit from the industry, whether it is banks, whether it is the upper layer NBFCs, whether it is smaller NBFCs or whether it is fintechs. But organized credit, people are finding access to and hence, there is a shift from unorganized credit to organized credit. There is a shift. I won't be able to tell you how much, when will it get over, how fast is the shift because simple answer is I don't know. Unorganized credit is not measured. So, I don't know. But our on-the-ground findings also and also the number of new to credit customers that come asking for credit. We see a big move from unorganized credit to organized credit and hence, it is not necessarily that everybody should be scared at the increase in growth rate of organized credit. It is sometimes even it can be good for the industry. The industry will have to be watchful, no doubt, but sometimes it is good for the industry also. Last time also, I had said that the entry of Jio or the entry of Bajaj in Micro Loans, is actually going to help the industry because more and more unorganized credit moving to organized credit is good for all the responsible lenders. Now this is the general answer.

Now very specific. You asked a very specific question. Are you seeing any fault lines developing? Yes, the fault lines are developing. When you are in unsecured credit, 2 places where we see some fault line developing is: first-time borrower of unsecured credit, slight issues and second, less than Rs 50,000 category of unsecured credit, there are increase in credit costs happening, which is something that we are seeing. Thankfully, perhaps because we were new, our unsecured Consumer Loans are every -- each and every loan is more than Rs. 1 lakh, and each and every loan is to old to credit customers. We don't do new to credit customers at all. But at this point of time, I see, or we see our observation is showing some fault line developing in that below Rs 50,000 category, not that these ratios have gone out of control, but those credit costs, credit ratios are slightly deteriorating. These are what are colloquially and popularly known as Buy Now Pay Later (BNPL) loans is where fault lines have started developing, whether they will be permanent, sustainable, I don't want to comment because largely, I'm not in that business (BNPL). So, I don't think I should comment more on that. But that - since you asked the question, that's the first sort of observations that we are having internally.

Moderator :

The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh :

Yeah. A couple of questions. So first one, sir. First one, if you can just sort of - again, you have explained it but once again I'm going because you - large part of your retail business is kind of all, you say that cyclicity is there. I mean, whether it's

a 2-wheeler, farmer or the micro finance. Now currently, you are hovering around somewhere closer to 3% or slightly lower than that in credit cost terms in that retail. Now over the cycle, what kind of a range, I mean, if the current cycle continues like that robust credit quality continues, I mean, how low typically you would expect? What's your range of credit cost expected over 2 years to 3 years kind of a time horizon? And related to that also, your retail geographic concentration, you are primarily at East and South focused. Are you sort of looking

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to geographically diversify more towards West and North or like you have - I mean you will continue to be focused on, I mean, these kinds of fixed states or 3 each in the East and South. So that's all on retail.

And on wholesale, if you can just tell the kind of the loan, you have sold down in the quarter, I mean, if at all, some colour on the stage, they were? Colour on the kind of wholesale loans, which you sold during the quarter, I mean, what sort of standard loans, whatever kind of at stage 2 or 3

Dinanath Dubhashi :

Okay. For sure. Most of them are Stage 1, there is no Stage 3 at all. One Stage 3 was sold to ARC, which was part of Supertech. So Supertech, we had Rs. 1,500 crores, out of which Rs. 500 crores is sold to ARC, but everything else is standard. So, we have only 1 NPA actually, which is Rs. 1,500 crores Supertech, 1 large NPA, there are some 1 or 2 small ones. But out of this Rs. 1,500 crores, Rs. 500 crores is sold to ARC. The Supertech

loan is provided 57% already and as I always said, we expect the rest of the money to come back. So that's answering your last question first.

I will now take your first question. I stopped short of guiding towards across cycle credit cost as such because experience has shown me that credit costs and operating costs, especially collection costs are very fungible in retail business. Frankly, sir, by throwing money, I can reduce NPAs in 1 month drastically, okay. But that's not the sustainable way of doing it and always balancing these 2 in a way that it is sustainable is very important. The way we try and control it actually is try and control asset quality at '0 DPD' level. So, there is one data that we give, our current collection efficiencies in our investor presentation. There is one data that we closely monitor internally, is 0 DPDs across products and at each product level, each state, each branch, 0 DPD is monitored very closely. We, as a company, believe that if it slips beyond 0 DPD, after that, it is either collection cost or credit cost. One of the 2 is going to come and for us, both is same. So -- and that is -- that is why it is very, very important to stop at 0 DPD and very clearly, across products, if you see, we are having the best -in-class 0 DPDs. We are, in fact, this time, we have given it for our flagship products. We have given it in the investor presentation also and this is something that we concentrated a lot on.

After considering everything, I believe that a 7% level of credit cost plus operating costs, is what is sustainable across cycles, across seasonality. Obviously, it will be our endeavour to be below this in good times and not to be too much above this at - in bad times because good and bad times, do come. But when you concentrate on arresting something at 0 DPD, that is the time that these things become sustained. So that would be my answer to your first question.

As far as expansion is concerned. I don't again want to get into North, South, West, etc. We very clearly believe in deciding where to do business based on very deep data analytics. So, let

us say the business which is most

widely - wide on the ground in terms of 1,600 -1,700 what we call meeting centres across the country. What we do is at a district level, sometimes even at a Taluka level, we do detailed analysis by various departments of the credit quality, of the banking habits, post office habits, literacy levels of that area and then get into that area. So, this kind of exercise is on continuously throughout the year and that is where we open new centres as we go ahead. We don't really look at some huge, you know, let us capture north now, something like that. It doesn't make sense. We have gone beyond thinking of India as just 1 monolithic geography or even a particular state as one monolithic geography. A state as a geography comes into picture only as far as politics is concerned, and any political decisions are concerned. But otherwise, environment, geology, crops, occupations are so different every 100 kilometers that we try and monitor where to do business, how to do business according to that. Now that is as far as physical infrastructure is concerned. Now the new magic is digital infrastructure and the digital reach. And as we put more and more products on D2C, it will add as a further advantage to the network that we have, okay? One area where you will see us, to answer your question, definitely, making the entry or slow / cautious entry nonetheless for the next 2 quarters may be Andhra Pradesh and Telangana for our Rural Business Finance. After 2008 -- after 2010, we have been out of these states, but the recent ruling of the Honourable Telangana High Court now doesn't allow any other body to legislate on RBI regulated entities which gives us the confidence to re-enter into these 2 states. We are doing very detailed on-ground surveys of both Andhra Pradesh and Telangana and you will see us making a cautious entry into these 2 states over the next 2 to 3 quarters. Does that answer your question?

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Avinash Singh :  
Yes, it does .

Moderator :  
The next question is from the line of Viral Shah from IIFL Securities .

Viral Shah :  
Congratulations on good set of numbers. I have 2 questions. So, one is on the cross-sell piece. Sir, you have mentioned on your PPT that 34% was the cross-sell and disbursement. So, does that mean that 34% of Rs. 11,200 crores of retail disbursements were to existing customers ?  
Dinanath Dubhashi:  
Yes. Yes .

Viral Shah :  
Okay. And also, can you share what's the cross-sell franchise? Because you have mentioned that the average disbursement to them was Rs. 79,000 this quarter ?  
Dinanath Dubhashi:  
No, I didn't get your question. Rs. 79,000 for every cross-sell to every cross sold customer . So, every cross sold customer , the average ticket size was Rs. 79,000 .

Viral Shah :

Correct. So, what's the quantum of that customer? So basically, you have a lifetime customer franchise of 21 million?

Dinanath Dubhashi:

So, 34% is value. Okay, 41% number of customers, 34% value.

Viral Shah :

Okay. So, 41% of your 21 million customers are - you have identified as cross -sell customers?

Dina nath Dubhashi:

No, no, not like that. We did 6.9 lakhs new customers, 6.9 lakh s customers we did a new disbursement that was 59% of total customers that we did disburse to in the quarter.

Viral Shah :

Okay. Got it .

Dinanath Dubhashi:

So, you just divide 6.9 by 0.59 and you will get total number of customers .

Viral Shah :

Got it. This is helpful, sir. The second question I had was on the provisioning piece .

Dinanath Dubhashi:

In the presentation, we have actually given product wise also. Lot of col our is given. In the presen

tation, we have

given product -wise slides, as to how much for cross -sell, repeat customer share. So, in the Rural Group Finance,

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repeat customer share is given very clearly and then farm equipment also repeat - Kisan Suvidha is r epeat customers. Second question?

Viral Shah :

Sir, the second question was on the provisioning piece. So, while you have given the provisioning on the retail assets, can you give us the sense of the stock of the total provisions on the consolidated book? So, this is not just the Stage 3 provisions, but all your Stage 1, 2 provisions put together

Dinanath Dubhashi:

Last time also I have said that I don't give for wholesale - if you are asking Stage 1, Stage 2 kind of breakup, I had said very clearly that since the wholesale book is in a sort of quick rundown , quarter -on-quarter won't give any trends .

Viral Shah :

I'm not asking for the breakup of it, sir .

Dinanath Dubhashi:

I will just ask Sachinn to answer this question because there is a lot of confusion on this. There is no provision on the wholesale book, it is fair valued .

Sachinn Joshi :

In case of wholesale, we already mentioned, in fact earlier on the call that about Rs. 2,700 crores, fair value of the assets was done in the third quarter and the asset book was stated at an amount which was lower by about Rs. 2,700 crores. As the asset book has been sold, either it has been sold at the value prevailing in the books or some assets at higher levels, some assets at lower level. At the end of ea ch quarter, the fair valuation exercise is undertaken by the valuer once again and what you see as a closing book is the fair value book as on 30th of June. So, in terms of the overall provision, the only asset - the GS3 asset was Supertech which was provi ded for about 57% overall.

Dinanath Dubhashi:

It is given clearly. So, the Stage 3 - gross stage 3 is Rs. 1,065 crores in wholesale and net Stage 3 is Rs. 469 crores. So, the difference between that is provisions, in wholesale. The rest of the standard bo ok is fair value. So, there is no question of provision .

Viral Shah :

So, this Rs. 14,000 crores of wholesale book, which is there, that is the fair value of it ?

Sachinn Joshi:

Rs 14,000 crores is the gross value

Dinanath Dubhashi:



Out of Rs. 14,200 crores, Rs. 1,065 crores is GS3, okay, which provision is given in the presentation.

Viral Shah :

Got it .

Dinanath Dubhashi:

Okay. Answer to your previous question. So, we did 6.91 lakhs of new customers, 4.71 lakhs of repeat customers, making it 11.62 lakhs .

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Moderator :

The next question is from the line of Digant Haria from Green Edge Wealth .

Digant Haria :

Sir, one question is that in the last 1.5 years, we have started the cross -selling journey in L&T Finance. Sir, most of the successful companies who have done cross -selling, so say, Bajaj Finance or ICICI bank where Sudipta comes from, they have reported declining operating costs and declining credit cost as well, as the cross -sell franchise improves. So, for us, like when do we reach that stage where this opex plus credit cost does not remain at 7% because the 7% number, it still optically looks very high for any franchise which can actually cross -sell a lot. So that is my question .

Dinanath Dubhashi:

Okay. By when I would not like to say. So, I agree with you. We have to first of all, reac

h 7% and then go below

that, both the companies that you talked about, okay, ICICI is a bank. So, I don't want to comment on that. We are a rural company and don't forget that the costs of reaching in the rural are also higher. So, I would just like to differentiate that, that way and yields are also higher to that, that extent as we go ahead. But very clearly, in a way, you are right. We have reached now close to 7%. We will reach 7% before and after that, obviously, we will start reducing from there. But I didn't think it was very responsible of me to give a guidance of lower than 7% before reaching it. Let us reach 7%, which will be a good achievement and after that, we will certainly go ahead. Also, you cannot forget that we are in the stage where last 2 -2.5 years and continuing now, we are making heavy IT investments and that those are also a part of this 7%. There is nothing like , we don't build good big fixed assets, right? because IT investments are all expenses, current expenses and those are also part of these expenses. As we go ahead, those IT investments will start even contributing to productivity and we are very sure that on quarter -on-quarter basis, we will show a good reduction on this ratio, which is currently at 7.2%. Let's come to 7% first and then we will set up a new target as we go ahead .

Digant Haria :

Just let me ask 1 more follow -up on this that. On the cross -sell franchise that we already have, like we've just started, and we already have some part of the loan book, which is made purely out of cross -sell. The ROA numbers there, like what could they be? Like are they better than the overall retail ROA that we see? Or they will still need some scale before that can really happen?

Dinanath Dubhashi:

They will be definitely better. I won't be able to give those numbers Right now, we are not telling those kinds of numbers. But way better. Very simply, acquisition cost is less, clearly, collection cost is less, and credit cost is way less. So, I'll just give you some, you know 1 number, which is my favourite number and from which you can draw your conclusion, okay. In 2 -wheelers, the cross -sold part or the part which customers, which are prime enough to do cross -selling , the bounce rates are 1/3rd of a normal 2 -wheeler bounce rates, 1/3rd. And if the bounce is less, obviously, the collection cost is way less. And hence, the credit cost is also very less. So, it can be extremely profitable as we go ahead. So, some numbers are already showing up in terms of credit cost and operating costs. More will show up as we go ahead .

Digant Haria :

Maybe I'll ask this question again a quarter or 2 later as well .

Dinanath Dubhashi:

Yes, yes. Quarter -on-quarter, absolutely , I hope it goes like that. But 2 quarters, certainly, it will go .

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Moderator :

The next question is from the line of Kunal Shah from Citigroup .

Kunal Shah :

So, I was just saying on the wholesale profitability, okay? So, when we look at it almost like say, Rs. 7 -odd crores on the pre -provisioning level. So, you said like there is no revaluation, but what is actually leading to the NIMs getting down from Rs. 20 0-odd crores to Rs. 75 crores even after recognizing the interest income out there. So, would there be like maybe on the sell downs, there would have been some further knock, which would have been taken and how should we look at it on a steady state? No doubt, the book is declining, but Rs. 7 -odd crores at pre-provisioning level seems to be quite low, yeah .

Dinanath Dubhashi:

Okay. I mean, 1 simple thing is there are SRs that we are holding and there is credit cost , not credit cost

and on

that interest cost is there on that. But I will ask Sachinn to give a detailed answer on this one .

Sachinn Joshi :

Kunal, what's happening is actually, as the book is being sold down, depending on when the actual asset is exiting my balance sheet, the income accordingly is getting booked, right? So Q4, you would have seen that huge amount of sell -down has happened and a lot of it has happened at the fag -end of the quarter. So, which means that income got booked for that quarter, whereas the income for those assets was not there in the first quarter and that's why you see a significant difference in the top line. Apart from that, of course, there is assets which are there, which are not on my balance sheet, but with ARC and there is a cost attached to it, which continues. I think Q1, the differential that you're talking about , takes care of these 2 - the key reasons for that .

Kunal Shah :

And steady state should be how much then on this outstanding book, which is there or maybe even if we run it down by another Rs. 4 - 5-odd thousand crores ?

Sachinn Joshi :

No point talking about steady state because as we speak assets are being sold out. So, in the next couple of quarters, that's the reason we ask everyone to just focus on retail P&L. Wholesale is just a transitional P&L next 2-3 quarters, and this will be absolutely irrelevant .

Dinanath Dubhashi:

Yes. So, I mean if you take all this put together, PAT is Rs. 531 crores . I can make a statement that we don't see it going down from here .

Kunal Shah :

Sure. Okay. And secondly, in terms of the Consumer Loans and SME. So, SME, maybe quarter -on-quarter, the traction was building up. Should we see like Q1 was more of a seasonality or maybe slightly conservative stance out there? And same with the Consumer Loans , okay? So maybe I think traction seems to be even there in terms of the disbursements, it's in a narrow range and these are like the newly launched products. So how should we read this ?

Dinanath Dubhashi:

You are - I think both is a little bit right. Seasonality comes in terms of April. SME, that is true because it's still largely a DSA led business. In April, there is no business. So that is why you see Q1 like this in SME. But both these products – I mean, that is just April. 1 month in a year that happens, you will see that catching up in Q2. But I would also say that both these businesses are new and hence, the moment we see something, some processes, a need for change, not necessarily in terms of customer profile or not necessarily in terms of portfolio or something. But even in terms of, let's say, our own processes. If we see a need for improvement, if you see a need for

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reengineering to remain good in the market. We actually even today are sort of holding back for 10 -15 days, launching the new process, going ahead. So it is that period. I wouldn't call it a pilot. But for both these products, it is still a period of innovation, growth, and that is why we are calling these growth products. We are not calling them steady -state products at all. So as long as we remain in that ballpark, we don't get too affected. So, if I have to answer your question more strategically, I don't see anything which is sustainably wrong. It is just some corrections in the processes, etc ., that we did in both the products and we will see this - those run rates coming back very soon .

Kunal Shah :

Sure. And lastly, in terms of the network, so sorry to get back to that. But finally, eventually post rundown of the wholesale, this entire book will get into the retail and retail network will go up maybe this quarter also al

most

there was Rs. 500 crores addition from the wholesale, which has happened. So eventually, we could say that okay, almost like Rs. 20,000 -odd crores of maybe the retail network being there ?

Dinanath Dubhashi:

Correct .

Kunal Shah :

Okay. So, then what - maybe last time also you highlighted, but then in terms of either the dividend or the utilization of this excess network, okay? What we would eventually look at given where we are in terms of the overall loan book, at sa y, Rs. 65,000 crores growing at this pace, yeah ?

Dinanath Dubhashi:

You're absolutely right. Now what are things that we will definitely not do, okay? We will definitely not grow irresponsibly just to absorb the network. We will not do that. I think at 2 5%-30%, maybe 35% in a particular year are good growth rates that we can achieve and sustain. We will stay at that. We will not do an acquisition just because we have money. If we see some acquisition happening at good prices. Why not? But at the current multiples you are giving in the market, people's expectations are crazy. Companies which are doing pretty badly also, their expectations are crazy. So those 2 things are what we will not do. We will make sure that the growth remains sustainable, number one and everything else possible to manage the network in the meanwhile, we will do. So, this year, you saw that even despite having issues about holding company, etc ., we have given a Rs. 500 crores dividend and yeah, nothing can stop us next year once the merger is done. Till we find the use for the increased network even having the maximum permissible dividend payout ratio of upto 50%. So that's - that would be the plan. Is it ideal? No, it is not ideal, but that's the truth that wholesale will come down. Retail growth, even at 30% -35% is a great growth, but we will have to manage network also simultaneously, which we will keep doing by giving out good dividends .

Moderator :

The next question is from the line of Abhijit Tibrewal from Motilal Oswal .

Abhijit Tibrewal :

Good to see that you made that statement when you said while you are superannuating, you've seen the organization in a good play and which is why you have decided to pursue your hobbies as mentioned.

Congratulations to you on that. I'm s ure it's a very, very fulfilling and satisfying career .

Dinanath Dubhashi :

Thank you so much .

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Abhijit Tibrewal :

So just one thing on the last question that you were addressing on the dividend, where you said that till the time you find some suitable opportunity to deploy the capital maybe, you will go ahead with maximum permissible dividend payout ratio, 50%. So, it 's fair to assume that, I mean, in the last few quarters, where we were talking about some special dividends that we were trying to work with the regulator at least that has now been rolled out.

Dinanath Dubhashi :

That has been rolled out. The Rs. 2 which we gave , gave meaning, it will be given on 28th of July after the AGM .

Abhijit Tibrewal :

Yes. Got it .

Dinanath Dubhashi :

Yes. That is done .

Abhijit Tibrewal :

Sir, the other 2 questions that I had is, now obviously, you had discussions on cross -selling already. So, thank you for throwing light on that. Sir, the other 2 things that I wanted to understand is the fact that we've been aggressively selling down wholesale. I think I mean one of the things that I kind of wanted to infer from this is the fact that we've been able to do it so fast and so gracefully is because - I mean, except for wholesale real estate, we didn't really have any meaningful stress on the balance sheet and sir, which is where, I kind of wanted to under

stand that out of these other assets rundown that we've seen, if I look at the last 1 year from almost Rs. 40,000 crores of wholesale down to about Rs. 14,000 crores now. How much in totality has been sold to ARC

other than that Rs. 500 crores that you talked about, Superte ch.

Dinanath Dubhashi :

Our total SR book is Rs. 6,500 crores. Total, right from inception (over a period of 10 -12 years) .

Abhijit Tibrewal :

Okay. Got it. And this is where I would say we are expecting recoveries to come through over the course of the next.

Dinanath Dubhashi :

I will tell you the SR book is marked -to-market every quarter based on independent rating agencies. So many of the SRs keep getting extinguished as recoveries happen. So, I would say that whatever goes every quarter from mark -to-market as we - as those ARCs mark -to-market, those SRs go every quarter. Otherwise, what remains should be recovered and we monitor it very, very closely. We don't look at it like, if sold, it is out even though the ARCs are fully in control of the recoveries, and it is a true sale. But my legal team monitors it very closely. I'm happy to say that lot of recoveries have happened and in fact, you will be surprised that the SRs of Real Estate, the recoveries are faster than Infra because naturally, because even if it was a 90 + asset, Real Estate assets are actually there to monetize very quickly. So, if a new developer comes and takes over the asset or the asset gets completed, the Real Estate SRs are actually something which get extinguished much faster than an Infra SR.

Abhijit Tibrewal :

Okay, sir. And sir, then is there a timeline or a duration till which these SRs have to be there on the book or let's say, just giving you an example here by the end of this year, let's say, if you are able to bring down the wholesale book to 5% of the loan mix even then these SRs will continue to sit. Of these Rs. 6,500 crores that you talked about, will continue to sit as SRs .

Dinanath Dubhashi :

Why would Rs. 6,500 crores remain ? Because it keeps getting reduced. So technically, the SR can remain for about 8 years on the book, technically. But I would think - I mean, this Rs. 6,500 crores is what I have told you is

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the net number. The way the repayments are being planned and are happening, we see a big reduction happening in 2024 itself, about a couple of thousand crores coming down in 2024 itself. So that is the kind of speed of reduction of SRs that we have shown in the past, and we will continue to show .

Abhijit Tibrewal :

Got it sir. One last question .

Dinanath Dubhashi :

Rs. 6,500 crores coming down to Rs. 4,500 crores or so by the end of this year itself is what we confidently expect without any big upside .

Abhijit Tibrewal :

Sir, and 1 last question. Out of this total disbursement that you are doing, what proportion of those disbursements are happening in partnerships with your digital fintechs or consumer techs. Any... .

Dinanath Dubhashi :

It is Consumer Loans' 40% of total Consumer Loans disbursements , Rs. 465 crores total .

Abhijit Tibrewal :

So, sir, only Consumer Loans is where we have fintech partnerships is what I wanted to understand .

Dinanath Dubhashi :

Yes (e-aggregator not fintech) .

Abhijit Tibrewal :

Got it sir. Just 1 last question in the interest of time. Sir, given that you do a lot of industry benchmarking, I'm glad from this quarter onwards for your top 3 products, you've started sharing the 0 DPD numbers vis -a-vis the industry. Sir, just wanted your view on how you look at your MFI business, given that we have a whole host of listed NBFC - MFIs today? So, when you kind of be

benchmark your MFI business with some of the -- maybe the leaders on the street or someone who is just doing micro finance as a product, how do you look at your MFI business and do you think there are things that we could basically improve from here on in our MFI business when you look at some of the pureplay MFI players .

Dinanath Dubhashi :

Okay. I will stop short of benchmarking within MFIs at all, okay? Because I believe that micro finance as such, is a business which has I mean, which has growth potential, but always be limited because micro finance is what - where your income level, family income level is below Rs. 3 lakhs, right? That is typically micro finance. We tend to, the industry, analysts, everybody tends to wrap everything under that bundle. It is less than Rs. 3 lakhs, and

we take now efforts to show how much we have done less than Rs. 3 lakhs - more than Rs. 3 lakhs. We are now actually looking going beyond that also and trying to change the complexion of that business. So, what - I believe what you mean by MFI is joint liability group business. So, within joint liability group, there will be 2 categories. One is micro finance, one is non-micro finance, which is less than Rs. 3 lakhs, more than Rs. 3 lakhs. A large proportion of our business, which is 90% of our business, in joint liability group happens for more than Rs. 3 lakhs. So, it is not micro finance. 90%, okay. Our further attempts are now to see whether beyond a particular income level, are there very different segments even within that. So let us say, Rs. 10 lakhs, just a number, I'm just throwing a number. So, above Rs. 10 lakhs income, there is a segment which exists, which can do business in a completely different way, like a rural Consumer Loan where maybe there will not be monthly meetings. People will - there will be mandates and people will repay through bank mandates maybe that segment exists, and we have to start looking at that.

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A segment definitely exists where there are fixed assets in rural, like their own homes, and we can work on that and help people leverage those fixed assets, which is not micro loans. So according to me, the future of a good rural lender lies in looking beyond these given models, okay, this is micro finance. To see that and look at those people as beyond - after removing this veil, of what we have termed this as micro finance customers, right? We have found out from our research that it is no longer true. By definition, by nature, by behaviour, there are very different segments that exist. We believe and we have found out actually, discovered that we largely are playing in the near prime, prime and super prime segments actually in rural India and not in the typical micro finance business. We are there, to about - just about 10% of our disbursements. I believe good trends and good growth in rural lending will happen there and that is where then the question of benchmarking, etc., will come from there as we go ahead.

Moderator :

Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Dinanath Dubhashi for closing comments. Over to you, sir.

Dinanath Dubhashi :

Thank you. I would once again, thank all of you for your unstinting support, your confidence. I remember that when we came with the second plan, the Lakshya 2026 to all of you, we were coming after a very difficult period that the company as well as the stock had gone through and still, many of you supported us, many of you put confidence in our plans. I'm happy today and proud to stand in front of you, having delivered those numbers of those plans, but

more importantly, having put in place an engine that will make sure that this kind of growth, this kind of profitability will continue in the future, not only during FY24 but well in future after that as well. The strategy, Lakshya 2026 remains steadfast. The leadership and support of our Chairman, Mr. S. N. Subrahmanyam remains steadfast. And more importantly, the devotion and the zeal of the management team and all of our field teams to deliver these goals remain steadfast. Thank you very much. God bless you and let your support keep coming. Thank you.

Moderator :

Thank you very much, sir. Ladies and gentlemen, on behalf of L&T Finance Holdings Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies, repetitions in Q & A which would have unintentionally crept in, if any

## Call: Oct 2023

October 31, 2023

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q2FY2023 -24 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 2FY2023 -24 financial performance and strategy update held on October 23, 2023.

The above information is also available on the website of the Company i.e., [www.ltfh.com/investors](http://www.ltfh.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

Page 1 of 22

Management Personnel :

Mr. Dinanath Dubhashi ( Managing Director & Chief Executive Officer )

Mr. Sudipta Roy (Chief Operating Officer)

Mr. Sachinn Joshi (Group Chief Financial Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to the L&T Finance Holdings Limited Q 2FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

We have with us today Mr. Dinanath Dubhashi, Managing Director & CEO and other members of the senior management team.

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only publicly-available documents will be referred to for discussions during interaction in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 2 results presentation sent out to all of you earlier.

I would now like to invite Mr. Dinanath Dubhashi to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Dinanath Dubhashi:

Thank you. A very good morning to all of you. Welcome to the call. I can start the call definitely by stating without any hesitation that we are very, very enthused about the Q2FY24 results. In fact, I read in one of the reports written by one of you, that the results show not only quantity, but also quality and that really reflects what I wanted to say . We are happy, of course, that we have registered the highest ever retail disbursements, maintained exce

llent margins and further reduced credit cost, thus achieving a 46% PAT growth, registering a PAT of Rs. 595 crores . We are, of course, happy that we continue to achieve and exceed the Lakshya 2026 targets well ahead of time, but most importantly, we are happy qualitatively that all the steps that we have planned to make sure that our results are consistent without any negative surprises, all those steps are falling in place in an excellent manner. Thanks to the excellent execution engine we have put in place .

With this, let us now look at the performance of second quarter, Q2FY24. Over the last few quarters, we have achieved several milestones in our quest to make LTF a 'Top-class digitally -enabled retail finance company '. The strong differentiators we are creating have helped us achieve our Lakshya 2026 goals well ahead of time . Our plan of making the company a leading digitally -enabled retail finance company is well on course and has been tremendously strengthened by the addition of Sudipta to the team.

Sudipta has now spent almost 4 months with the company and as I had mentioned in the last call, the company is strongly growing on his strengths to reimagine and redraw various customer journeys as well as internal processes . We aim to make our journeys more and more seamless, widen our customer funnel further, efficiently farm our strong customer database and most importantly, further strengthen underwriting processes by bringing new-age insights into the underwriting journeys . While business cycles and seasonality are a reality of life, we believe that the above initiatives will help us make our growth relatively insulated from these, thus making it more consistent while at the same time, continuously improving our portfolio quality and further reducing credit cost .

#### Achievements against the Lakshya goals

So let me now just quickly capture the achievements against the Lakshya goals with majorly accelerated timelines. Our strategic plan, Lakshya 2026 rests on 4 key milestones, let us look at the performance against each one of them :

1. The first milestone was taking Retailisation percentage to more than 80% by 2026 . I had already indicated to you that we will, in fact, be exceeding 90% Retailisation by end FY24 and most importantly, we are confident

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of doing the same without any negative surprise to the P&L. In keeping with that promise, we have already achieved a 88% Retailisation in Q2 FY24 and quite confident of going beyond 90% in Q3 FY24 itself.

2. The second milestone was about retail growth of more than 25%. Against this, we grew 33% YoY in this quarter and this, let me remind you, follows up on the 34% YoY growth in Q1 and 35% YoY growth in the previous year i.e. FY23. So, the growth has been pretty consistent .

3. We had also said that our GS3 and NS3, Retail GS3 and NS3 will be below 3% and 1%. As you would see, our Retail GS3 and NS3 today stand at 3.05% and 0.67%, respectively, and even on a consolidated basis, this is at 3.27% and 0.82% .

4. Last but not the least, we had put a retail ROA target of 2.8% to 3%, and we had reached 2.95% in Q4 and 3.08% in Q1. This quarter, it has grown to 3.32% and I believe that with the various steps being taken, this can only improve from here.

#### Performance highlights for the Quarter

##### Retail Performance :

If we look at the highlights of this quarter :

- Our profit , Retail profit after tax actually is Rs. 606 crores, up 86% from last year.
- Retail 'NIMs +Fees ' are at almost an all -time high of more than 12%.
- We have done our highest ever quarterly retail disbursements of about Rs. 13,500 crores, which is up 32%.

Now let me

again point out that Q2 traditionally is the weakest quarter, and we have done the highest quarterly disbursements, while making sure that '0 DPD ' collections, portfolio quality, everything remains same. This is happening largely due to the various steps we are taking, especially on farming the database and also some movement towards more prime customers .

- Book size growth - retail book is now ~Rs. 69,400 crores, which is up 33% and we have already talked about asset quality and ROA.
- Retail ROE now has reached 16.31%.

##### Consolidated Performance :

If we talk about consolidated performance :

- The consolidated PAT now is once again at very high -- very healthy level of Rs. 595 crores, which is up 46%.
- Our capital adequacy remains strong at 25%.
- Our credit cost has come down further by 10 basis points on a YoY basis, which is a good path to tread on.
- And continued with the accelerated reduction in the wholesale book, a steep reduction of about Rs. 29,000 crores, 76% , has been achieved, and now the wholesale book stands at Rs. 9,318 crores at the end of Q2FY24. And as I'm guiding, we should cross 90% by Q3 itself and hopefully be quite close to 95% by the end of this year.

As the balance sheet becomes more and more retail and the wholesale book becomes less and less relevant, the overall ROA will start converging to the retail ROA. I would also like to point out that our overall ROA has now crossed 2.4% and now this acceleration towards the conversion to retail ROA is expected to be faster as we keep reducing the wholesale book .

Let me now briefly talk about the retail ROA tree and the factors contributing to the same and what kind of direction it can take :

Strong 'NIMs +Fees': So number one, the strong 'NIMs +Fees ' , as you will see that the retail 'NIMs +Fees ' have trended quite well and have reached an all -time high level of more than 12% . While we do expect borrowing costs to inch up slightly in the second half of the year, our treasury has been managing the costs quite efficiently through

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judiciously locking in interest rates for medium to long term and also making excellent use of our rural portfolio which qualifies for PSL borrowing as well as PTCs. All this is being done while keeping CP proportion (commercial paper proportion) low, at just about 6%, which provides good room for increase in this percentage, if required, and hence, moderation in borrowing cost. We will do this on need basis. What helps, of course, is the overall duration of the book coming down continuously because of Retailisation. Also, one factor, which will help cost of funds is the impending merger, which is now in its last phase and will also provide tremendous synergies in treasury, ALM and liquidity management. Simply, we have to keep liquidity. We have to manage ALM of 3 companies. Instead of that, it will be one company. Obviously, it will lead to lots of synergies. All of this, coupled with the movement of the portfolio to retail and rural has definitely helped weighted average yields. While the 'NIMs + Fees' may moderate slightly from current levels, we do not expect a major drop in this in the future because of all these reasons that we have highlighted.

**Expenses :** On the expenses side, I have indicated over the last couple of calls that the opex line may remain sticky at least in the near future. And the reason for that is we will continue to invest heavily in physical infrastructure and teams to aid our growth and also heavily invest in cutting-edge technology. You would have also observed higher marketing and brand visibility of our brand over the last couple of quarters, and this investment will

also continue. This increase in cost will, of course, be partly offset by better productivity and efficiencies. But on the whole, this line may remain a little sticky in the short term. We are convinced that this investment will bear excellent fruits in the future.

**Credit cost :** Credit cost, this is a line where we have shown steady and continuous improvement, and we clearly and strongly expect that this trend will continue in the future quarter-on-quarter. The improvement will come with work on 3 vectors:

1. Further strengthen underwriting by augmenting bureau -- what we normally do is single-line underwriting, which is bureau information, asset cost and income based underwriting. We will be augmenting this with many new-age parameters, which Sudipta will talk about more.
2. Second, excellent track record on '0 DPD' collections aided by tremendous analytics input.
3. And last but not the least, a strong collection team on the ground which aids rollback of whatever rolls through and recovery of the accounts which flow in the subsequent buckets. Even after very good 0 bucket collections, there are accounts which obviously will flow and this strong collection team ensures that it is recovered and credit cost is kept minimum.

With all this, we clearly expect the retail ROA, which has now steadily increased to 3.32% to further inch up towards 3.5% mark over the next few quarters. With this excellent trajectory of profitability in place, it is now important to understand exactly how we are planning to maintain this excellent rate of growth while continuously reducing credit cost and hence, improving ROAs quarter-on-quarter.

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I now hand over to Sudipta for :

1. Taking you through the business highlights for Q2FY24,
2. Talking about the business strengths which we have built and which have helped us achieve these results,
3. Most importantly, highlighting the 5 pillars we are putting in place to ensure an excellent trajectory of growth, credit cost and hence profitability in the future.

Over to Sudipta.

Sudipta Roy :

Thank you, DD. And good morning to everyone in the call. Before moving to the detailed business updates for Q2FY24, allow me to talk to you about our expectations of Q3FY24.

There are multiple things happening in India and globally, and we are going through a sort of uncertain period in terms of global geostrategies. Talking about the global scenario we know that the inflation has been staying well above the targets in major economies, geopolitical headwinds from ongoing wars, elevated crude oil prices, the strong dollar and rising U.S. yields added to the financial markets' volatility. However, when you talk specifically about India, the economy has showed improved resilience in Q2 FY24, even as the consumption recovery showed a K-shaped pattern owing to the state and central government's capex push.

During 2023, India received lowest rains in 5 years and the El Nino weather pattern made August the driest month in more than a century. Uneven rainfall further raises the risk to the Kharif yield plus the depleted water reserves in several states could challenge timely sowing of the rabi crops. This does not augur well for rural incomes and food inflation in H2FY24. Inflation, too, is likely to firm up in H2FY24 due to a subpar monsoon and the surge in global energy prices. Accordingly, some slowdown may be observed in rural demand.

H2 of FY24 has been a mixed period for the economy. Bond yields have firmed up already and in some sections of the urban consumer lending, there are some signs of leverage. It will be important to approach the near future with optimism, but at the

same time, with very strong risk guardrails. On one hand, we have seen some very strong festive demand already in Q3 and at Larsen and Toubro Finance, we are geared up for the festive season with targeted campaigns and consumer offers.

With that aside, let me quickly deep dive into the key highlights for the quarter that has gone by :

Retail Businesses :

Disbursements : Disbursements in Q2FY24 stood at Rs. 13,499 crores, up 32% YoY. This has resulted in the retail book growing 33% YoY, and our overall retail mix has grown to 88%, up from 58% in Q2FY23. In terms of our business lines :

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- Rural Business Finance

If I take the Rural Business Finance business, some of the highlights I can put now on the table is that this business is of 14+ years of vintage and it has done its highest-ever quarterly disbursements at Rs. 5,740 crores, up from Rs. 4,511 crores in the previous quarter, which was back then the highest-ever quarterly disbursement. This is a result of better income mapping, persistent focus on customer retention and streamlining business throughput. We started income mapping about 18 months back, and as you all know and now with this income mapping, we have a very good idea of the various categories of customers and can design our products accordingly. This quarter, we also achieved the important milestone of crossing the book size of Rs. 21,000 crores in this business. In Q2FY24, Rural Business Finance also witnessed the highest ever quarterly disbursement to LTF exclusive customer base, which we call the Pragati customers at about Rs. 1,202 crores. More importantly, our repeat disbursements are close to 70% of total, 31% of the disbursements are to exclusive 'LTF customers'. This trend shows that this business has not remained as cyclical as before.

- Farmer Finance

In the Farmer Finance business, we have disbursed loans upwards of Rs. 1,500 crores, Rs. 1,534 crores to be exact, in Q2FY24. And this has led to a disbursement growth of 18% YoY and a book growth of 13% YoY. What is interesting to note that our top-up product, Kisan Suvidha has seen an increase in penetration from 24% in the last quarter to 30% in Q2, and we have actually driven the penetration of this product with single-minded focus. With consistent focus on repeat borrower book growth, the disbursement from this segment stood at Rs. 385 crores in Q2FY24, resulting in a 26% YoY. We have been enhancing digital collections too, and they now contribute 45% in the overall collections, up by 8% YoY. We intend to leverage the festive season with higher dealer activation by increasing dealer penetration.

- Urban Finance

As you are aware, a large proportion of our business is also now in urban finance, and we are focusing on growing all the business lines in urban finance strongly. This segment, which comprises of Two-wheelers, Personal Loans, Home Loans, Loan Against Property business saw a 17% YoY jump in overall disbursements resulting to a 31% YoY increase in book size.

- o The 2-wheeler business registered a disbursement of Rs. 1,817 crores in the quarter, up from Rs. 1,726 crores in the previous quarter, and the book crossed Rs. 9,500 crores, up 18% YoY. This obviously in a quarter that is normally a difficult quarter for most of the consumer lending businesses. With a higher emphasis on the prime segment and an overall enhancement on customer base quality, we have been able to grow our prime customers with asset value -- defined as with asset value greater than 1.5 lakhs, 52% YoY from Q2FY23 to Q2FY24. Now what happens in the prime product is that the customer gets a better LTV because they are prime

customers. We get much, much lower bounce rates, maybe as low as 1/3rd the bounce as compared to a normal customer from other lower value ICE sort of vehicles. And hence, as a corollary much lower collections cost and credit costs.

We have also entered into agreements with preferred electric vehicle players like Ola and Ather. This, of course, is within our plan for getting prepared for the future, but clearly, also within our plan for pushing

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the portfolio towards more prime segments. This also furthers our goal of funding sustainably as a company.

We are leveraging a lot of analytics in driving this business, and our analytics-driven dealer relationships analysis has always been our strength. And this has led to a higher counter share of 54% of our total disbursement from the top dealers.

This business is going to become one of our main customer acquisition engines in the coming future, and thus holds a lot of potential and hence, we have a lot of focus from our business as well.

o In the Personal Loans business, we have forayed into this category with the objective of sort of leveraging our existing Two-wheeler, seasoned Two-wheeler customer base as a primary cross-sell proposition. This business witnessed disbursements worth of Rs. 1,308 crores, and the book size crossed Rs. 6,000 crores, an increase of 63% YoY.

We have also launched an income assessment-based journey program to provide better offers to our customers based on their salary and banking credit, increasing the average ticket size to about Rs. 1.75 lakhs. We have been also working towards reimagining our customer journeys in the Personal Loans business by adding multiple layers like utilizing video KYC for customer onboarding, establishing manual underwriting centers and strategic locations to augment customer eligibility and augmenting traditional bureau-based models with advanced bureau plus models of -- bureau plus models of the -- what we call the additional signal-based underwriting, which I'll talk a little bit later, and also including geographic expansion.

I think it is important to discuss this segment in a little more detail. As I said earlier, some segments of this market are certainly showing signs of overheating. Basis our interaction with credit bureaus, we would like to point out that the stress largely exists in the low-ticket personal loans segment, which is less than Rs. 50,000 sort of ticket size, and bureaus like CIBIL estimate at a total of Rs. 25,000 crores outstanding in this particular ticket size segment compared to overall personal loans book size of about Rs. 10.5 lakh crores. In high ticket sizes, normally, more caution is exercised while underwriting and the loss rates are significantly lower than those in less than Rs. 50,000 segment. As far as our portfolio is concerned, we have practically no exposure in the less than Rs. 50,000 ticket size segment, and we have consciously stayed away from the BNPL segment -- lending in the BNPL segment.

o Moving on to Housing. It achieved the highest-ever quarterly disbursement of Rs. 1,734 crores, up 55% YoY and the book size crossed Rs. 15,000 crores mark, an increase of 30% YoY. In line with the strategy of balancing customer mix for optimum returns, share of salaried and self-employed segments in the total disbursement stood at 58% and 42%, respectively, in Q2FY24 and we are operating mostly in the prime segment in case of disbursing Home Loans.

- SME Finance

Coming on to SME Finance. We'll be completing 2 years of SME Finance in Q3. As you know, the product was launched in Q3FY22. Our Q2FY24 disbursements stood at Rs. 872 crores, a 45% inc

rease QoQ, and it has

become quite large as a business, and we have done about -- if you recall, in the same quarter last year, we had done about Rs. 201 crores.

As we go ahead, here also, we have launched new products. We initially started only with the unsecured business term loan. We have now launched overdraft and hybrid overdraft products, which are seeing extremely good

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traction as we go ahead. New locations, which are launched around the month of May 2023, contributed to about 15% disbursements in September 2023. We have opened the call centre channel for targeting prospect data in August 2023. We are also launching the hybrid OD product in September-23. The book now stands at about Rs. 2,413 crores crossing the Rs. 2,000 crores milestone, up from Rs. 321 crores in Q2FY23. We have added about more than -- about 3,500 customers in the quarter with cumulative customer base crossing about 12,000. In Q3FY24, we will focus on adding new funnels to complement existing DSA channels, and we will be launching our partnership-based journeys as well. We also aim to launch our top-up offerings in this quarter.

Collections : As you know, for most retail asset businesses collections is a very key input to the entire operations of the business. And on the collection side, we have observed best-in-class collections in all our retail products wherein our entire collections team have put in their best efforts to enhance collections through the strategic use of analytics. This concerted approach has significantly strengthened our overall collections performance, and we have provided detailed product-wise collection efficiencies in our investor presentation as well as for our retail portfolio. As well as, in our retail portfolio, we have also shown the stage wise book in our investor presentation

as we had promised for the last 3 quarters in a row .

#### Wholesale Business :

I would like now to come to a brief commentary on our Wholesale business. On the Wholesale business, we now are much closer to our Lakshya 2026 goal of making LTF a completely retail finance company and we showed excellent reduction in our Wholesale book year-on-year. We are now very confident of crossing the 90% Retailisation mark by end of FY24. This quarter, the book size reduced to less than Rs. 10,000 crores from Rs. 14,292 crores in Q1FY24 to Rs. 9,318 crores in the period of just one quarter. That's a 76% YoY reduction and a 35% reduction QoQ sequentially . The contribution from the wholesale team has immensely helped in taking the retailisation percentage up towards 88%, thus making L&T Finance a truly retail finance company. The fact that the NS3 on the book is just Rs. 175 crores and NS2 is just about Rs. 500 crores give us complete confidence that there will be no negative surprises coming to the P&L from this segment in the future .

#### Business Strengths

Now let me also talk you through the various business strengths that we have steadily built in the last few years .

##### Deep pan India franchise

We have diligently cultivated a deep pan -India franchise over the years, and this has become a cornerstone of our operations and our performance quarter -on-quarter bears testimony to the strength of this franchise. An optimum mix of strong physical presence and preferred channel partners, coupled with leveraging our database which is about 2.2 crores customers, about 1.46 crores in the rural areas and about 76 lakhs urban and growing with every passing month has helped us building a superior retail franchise. We have disbursed to about 6.5 lakhs new customers in Q2FY24, and our active customer franchise now stands at about 90

lakhs . Share of cross -sell

as well as upsell in the total disbursement has been the highlight of this quarter, which stands at about 38% as against 34% in the last quarter. The gradual improvement underscores the enduring strength of the franchise that our organization holds and we are proud to witness its continued success as a testament to our ongoing commitment and focus.

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We, of course, envisage these numbers to gradually increase as we concentrate our efforts on increasing the share of cross -sell and repeat loans like the Pragati loans in the Rural Business Finance business, the Vishwas loans, the Kisan Suvidha in our Farm business, the Two-wheeler Loyalty to primarily for cross -sell of Personal Loans, the Consumer Loans top-up or the Personal Loans top-up as we mentioned earlier, Housing Loans top-ups, etc. We have built a strong cross -sell and upsell engine with great use of digital analytics, which shows the strengths that we are building to address the additional needs of our customers of the future.

This is definitely beneficial for the customer and the whole idea is quarter -on-quarter, year -on-year, we reduce the effect - impact of seasonality both on our business as well as on our collection . And we certainly believe that we are equipped to handle the seasonality. However, this layer of cross -sell and upsell engine that we are building to our existing customers, reduce the effect of the volatility of seasonality if there, maybe. And you will see on a quarter -on-quarter disbursements that we have shown over for the last 9 quarters also, you see that the dependence on new disbursements is clearly coming down and our share of cross -sell disbursements is growing quarter -on-quarter .

We are proud to state that our quarter 2 disbursements are the highest that we have ever posted in a quarter, which actually shows that this is working quite well. This is just the beginning, and we'll be on our endeavour to increase this 38% of cross -sell/upsell volumes slowly to higher levels as we go forward. And obviously, the added advantage is that the acquisition cost is lower for all the cross -sell, upsell sort of disbursements. And of course, credit cost is also lower because these are tried and tested credit seasoned customers, and we have been seeing these customers over a couple of months on books. The strengthening of this franchise not only makes sense on the disbursement growth side, but also on the collections and the asset quality sides as well. Asset quality, we hope we should continuously improve going forward, leading to the reduction in credit cost through continuous enhancements in underwriting, analytics -based strong focus on 0 DPD collections and strong ground collection teams. It makes the company resilient to external factors, and that is the one kind of company that we want to build .

#### Fintech@Scale

Obviously, you have known and analysed as part of our Lakshya 2026 goals that we want to build L&T Finance into what we call Fintech @Scale. And this has been our way of offering a one -stop solution for our customers. Over the course of the last multiple calls, we have talked about transforming L&T Finance into a company that relies on fintech and implements fintech at scale. This obviously requires not only a comprehensive strategy, but continuously putting data analytics to excellent use. We are dedicated to ensuring that no good customer is lost, and we are resolute in our mission to accompany them through every phase of their engagement with our products and services in a digital manner. This means that we not only prioritize the acquisition of customers, but al

so

ensure the long-term satisfaction, loyalty and sustained value realization as they navigate their financial interactions with us through our digital platform.

And specifically, we'll talk about our PLANET app right now.

**PLANET App:** Our PLANET app, which is our D2C app was launched in March 2022 has witnessed tremendous success and already crossed 6 million downloads since it launched, which even we had not imagined it. The App actually did one million downloads in November 2022, 3 million in April 2023, 4 million in July 2023 and 6 million in October 2023. So, you can see that there is a lot of customer pull towards using this app and which is sort of supplemented by the strong download trajectory that we see from our customers.

But more than these numbers, what matters more towards is the engagement of our customers with the services that the application has to offer. From offering service features like downloading statement of accounts and interest certificates, the app has developed into having superior engagement features like providing mandi prices for our farmers, insurance, credit scores, features like the D2C journey for top-ups, etc. As we progress, a lot of more efficiencies in personal finance journeys are going to be unleashed by this app.

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Let me give a few number updates on the PLANET app :

- As on date, the app has done collections about Rs. 590 crores, sourced loans of about more than Rs. 4,200 crores and catered to about 9.4 million service requests.
- The app also boasts of catering to about 8 lakh rural customers.
- More than 26 lakh customers have checked their credit scores. More than 31 lakh customers have downloaded their repayment schedules and more than 40 lakh statement of accounts have been downloaded from the app.

It has genuinely inverted the service pyramid. So, the branches just 2.5 years back, contributed to about 51% of our service requests and digital only contributed to about 14% of our service requests. This is now completely reversed to branches contributing 8% of our service requests and digital contributing to 81% of our service requests. So, on the other hand, this augurs, tremendously well for our operating cost, but much more important for quality of customer service and, hopefully, much higher customer retention and satisfaction.

As highlighted by DD in the last call, rural remains one area where there is a major sort of upside as well as improvement area for us. At this point in time, about 13% of total downloads i.e., from 60 lakhs -- around 8 lakhs come from the rural areas. And this speed is likely to catch up now with big efforts on marketing this app in rural, which has specifically been taken up as a target by the business teams as well. This will clearly change the way our customers in the rural areas engage with us and even in the manner of repayment of our loans.

#### Developing Digital Finance Delivery

On the last call, DD had spoken to you about developing digital finance delivery as a customer value proposition. As mentioned earlier, the objective is to touch every part of the customer ecosystem with superior digital infrastructure. We have built able 100 paperless journeys -- 100% paperless journeys in Rural Business Finance, in Farmer Finance and in Two wheeler finance as well as in Consumer Loans.

As far as collections is concerned, our strength definitely lies in our feet-on-street network owing to the nature of the businesses that we are in, and we are continuously boosting our digital collection capabilities. In the urban space, 93% of our urban collections happen completely digitally, which is on a steady state now. Though

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for the rural, it might look like a small number, but about 14% of our sort of loan -- rural collection is happening digitally, both in Micro Loans and Farmer Finance, they're catching up on our digital collections as well. Just about 2 years back, this number was low single digit, and I believe personally that this is going to accelerate as we go ahead -- And we, as an organization, are focusing on pushing the envelope in making sure that the digital collections also grow in the rural areas.

#### ESG@LTF

In the last leg, I would like to talk about ESG before moving on to the strategy of the 5 key vectors for future sustainable growth. The company's environmental, social and governance journey started in 2018-19, making it one of the first NBFCs to embrace sustainability. Our journey towards La kshya, our primary objective, while it has to drive growth, but it was also while embracing the principles of environment, social and governance factors. As far as our commitment to ESG is concerned, I'd like to share with you that we continued our vow towards minimizing our ecological footprint. The ESG policy adopted by LTFH has been a guiding framework to incorporate ESG considerations into operations and business and mitigate material impacts and risks. We have won many notable awards for our ESG contribution during the quarter, including the Champions of ESG Award at the Global Fintech Fest 2023 held in Mumbai.

#### Five Vectors for Growth

Now what I'd like to talk is what we define as our 5 vectors for growth, and it is in consonance with our Lakshya 2026 strategy. With the results of Q2FY24, we have now reached where we aim to be when we formulated the Lakshya 2026 goals. The obvious question is what follows next. There's no doubt that we will be striving for LTF

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to reach newer and higher heights, but how will we do that? Here, I would like to address the 5 vectors of growth, which we'll be emphasizing on our future journey to make sure that we maintain excellent growth while keeping our portfolio quality robust.

- **Enhancing Customer Acquisition** - Obviously, one of the first vectors is enhancing customer acquisition. This is going to be our primary aim going forward. We want to enhance the velocity and quantity of our customer acquisition. This will entail broadening the customer funnel and velocity while increasing throughput along with harvesting our existing customers and increasing cross-sell while keeping risk under control. In addition to this, we'll be launching contiguous product offerings. For this, we are formulating a detailed plan, and you will see a lot of developments in this area in the next upcoming quarters.
- **Sharpening Credit Underwriting** - It is very important that while we increase customer acquisition, it is also important to -- sort of improve the credit underwriting engine. And that will be our next vector of focus - to further sharpen our credit underwriting. We'll be moving from a single axis underwriting to multiple axis underwriting and movement from traditional means of underwriting like the bureau-based underwriting to new methods of sort of 360 underwriting using account aggregator pulls, market-available behavioural signals fully within the digital lending and privacy laws and obtained with customer consent. For this, we are developing a dynamic credit engine based on alternate data signals and ingesting these credit signals to make our underwriting model more robust, robust in addition to our traditional underwriting. These additions will provide us with a far better credit underwriting of the customer than we are currently able to.
- **Implementing Futuristic D**

igital Architecture - Obviously, increasing customer acquisition funnels and increasing the sort of the efficacy of our credit underwriting engine also makes it imperative on us to sort of build a futuristic digital architecture. And this is the third vector. The third vector will be optimizing and reimagining the digital journeys to eliminate choke points and provide a superlative experience to our customers. The digital machine that we will build will not only help us externally, i.e., in terms of ensuring a seamless experience for our customers, but also internally, i.e., all / most of our processes, databases, operations, etc., are done and stored through a central digital warehouse. In order to achieve this, we have now a dedicated team for in-house engineering, so as to enhance our time to market.

- **Heightened Brand Visibility** - The fourth pillar that we will need to build up to the next level is heightened brand visibility. We will be ensuring continuous brand presence across channels to build salience and recall for the brand that we are brand L&T Finance. We have a host of other activities planned for the coming months, where we will be conducting multiple brand and product awareness campaigns, both in the rural and urban areas with focused targeting and ensuring optimum channel mix. The idea is to make the brand synonymous to retail lending and be the first choice of lender for our rural as well as our urban customers.
- **Capability Building** - And while we try to sort of build on these 4 vectors, obviously, one of the critical elements in this is making sure that we have the right quality of people. And so, the fifth and the last vector entails focused enhancement and optimization of talent pool in what we call capability building. We will be building teams focused on artificial intelligence and machine learning and also building additional capabilities in credit and risk management. The highly talented and specialized resource pool will ensure that we have the best human talent within the company who can bring on board their individual strengths and help us in delivering our Lakshya 2026 goals and carry the organization even further than that.

We have already started our work in these areas, and I'm extremely confident that these vectors will act as strong anchors so as to enable us to become the Retail Fintech @scale that we aspire it to be, while equipping us with meeting any challenges that may come our way in the future.

I would like to conclude by saying thank you to all of you for your support and by reiterating the confidence that the company is well on its line for a very accelerated achievement of the Lakshya 2026 goals. LTF is on its journey to become a pure-play retail company, and it is at an important juncture now with the company now having become 88% retail-oriented. While the goals have been achieved in terms of percentages well in advance, we keep -- we aim to keep this excellent growth going forward while maintaining asset quality, further improving productivity, cost efficiencies and continuously improving our digital and analytics footprint as we go ahead. We are confident that this will lead to a secular improvement in our profitability ratios as we go ahead. What gives us confidence to

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do that is all our strengths like the deep sort of employee network and the distribution network we have, our digital capabilities and the proven management bandwidth, along with our ability to utilize and work on the customer database that we have already built or that we are going to build through our customer acquisition engines in the future.

With all these thoughts, I ex

tend my good wishes to all of you. I wish all of you a very happy Dussehra, and I thank you all for a patient hearing .

Moderator :

Thank you very much. We will now begin with the Q&A session. The first question is from the line of Mahrukh Adajania from Nuvama .

Mahrukh Adajania :

Congratulations. So basically, I had a couple of questions, but I'll start with Sudipta's comments on unsecured loans. First of all, thank you for making those comments upfront because there's a lot of confusion. But in your experience, because you have a very rich experience in unsecured retail and in risk, in your experience, do you think that the risk in the small ticket segment can easily spill over to the large ticket segment? Or they are -- they have to be viewed as two completely different segments? And does that then impact other unsecured segments like MFI as well? So that's my first question, and then I have earnings -related questions .

Sudipta Roy :

Yes. So, to answer your question on the rural segment first, they're not exactly consumption loans, they're rural business finance loans. So, in that way, they are of a different category. And the collections discipline and the lending disciplines on that business are markedly different from the urban personal loans. And frankly, I do not believe that the risk from the small ticket personal loans that we are seeing, which are mostly fintech in nature are actually the same quality of loans that are done by the large established financial services players because in addition to the sort of the digital underwriting and acquisition models, there's a deep experience that the large organizations have, which actually help us to sort of sift out the risky customers from those that are non -risky. So, to answer your question, I really do not see any contagion risk from the small ticket personal loans to the larger sort of personal loans category or the prime category. And that -- and I have looked at the risk numbers, that the risk numbers on that particular segment remains quite stable across the financial services players, the larger financial services players .

Mahrukh Adajania :

Okay. That's very, very helpful. The other two questions are that, of course, the presentation is very detailed, if you could just highlight the value of SR, security receipts?

Dinanath Dubhashi:

I will take that. So, Mahrukh, last time, we had said that SRs were about Rs. 6,500 crores. With the overall value of the loans, which we have sold was about -- original POS was about Rs. 13,000 crores. So that was the kind of safety we had. Okay? So same thing, SR stood at -- net asset value of SRs will be around Rs. 8,000 crores with total loans, the POS will be upwards of Rs. 16,000 crores. So, two things that I would like to highlight here:

- Number one, on entire basis, even if you take SRs plus loans, etc ., we have shown a reduction of close to Rs. 9,000 crores, between Rs. 8,500 crores to Rs. 9,000 crores from the beginning of the year to now. So, we can even see the overall.

- Second, because of these deep discounts on SRs over the original value, you would see that over the last several quarters, the reduction in the value of SR, revaluation, has been very limited. I always say that this Rs. 25 crores - Rs. 30 crores per quarter , Rs. 150 crores to Rs. 200 crores per year is what I always say will be the cost coming both from SRs as well as some reversal of interest that we take on the Infra loans according to IndAS. So, no negative surprises waiting there.

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- Third, for the first time, we have actually told on the call that the -- by the way, Net Stage 3 (NS3) on the book,

you know that is just about Rs. 175 crores. The Net Stage 2 (NS2) , as Sudipta said, is just about Rs. 500 crores on the book also.

So, if we put all this together, that gives us confidence that there are absolutely no negative surprises coming from either the book or from SRs. What you need to take in your model is about Rs. 150 crores to Rs. 200 crores negative on the P&L from wholesale book and model accordingly .

Moderator :

The next question is from the line of Viral Shah from IIFL Securities .

Viral Shah :

Congrats on good set of numbers. Actually, I had a few questions. So probably maybe I'll come back into the queue later on, if they are too much -- too many. So let me start with, first of all, the other income and the fee income growth that was there in this quarter. So right now, you are now at almost 12.5% NIMs +Fees. What's, first of all, the sustainable level going ahead? And was there any one -off in the other income in this quarter? Let me start by first this .

Dinanath Dubhashi:

So one -off, I can't call it one -off, but there was fees that we had to receive from our partners, insurance partners, which was due over the last 2 -3 quarters, but came this quarter was just about Rs. 25 crores to Rs. 30 crores. So, I don't think that is one -off. These things keep happening. Quarterly fees don't come every quarter, but that's about it. There were no major one -offs other than that coming. But since you asked this question, I would like to point out that another Rs. 25 - 30 crores in addition to business -as-usual came from there -- why I'm not ready to call it one -off is because further quarters also some past dues will keep coming, okay? As far as the trend is concerned. NIMs +Fees Retail, I have been always been guiding around -- I was initially guiding 11.5%, I changed my guidance to 11.7%. I was also surprised at 12. 16%. We have done very, very well this time. As I said in my comments, it comes from two things:

- Number one is cost of funds. That is an item which may go up by maybe 20 -odd basis points in H2. There is no question about that. We have managed our treasury very well based on locking certain long -term, medium -term loans. I mean I can tell you that when treasury was looking at locking them, I was asking them so many questions. And today, we are laughing all the way to the bank, having locked some real long -term rates over the last one year. That is one.

- Second, our especially Farm portfolio, to some extent, Two wheeler and the Micro Loans portfolio enables our treasury to borrow PSL and even more importantly, PTC, which really keeps the cost of funds in control. So even if we see major hardening -- not major, but 25 to 30 basis points hardening, further hardening in bond yields, by the way bond yields, as you know, are already hardened. Even if you say further hardening, we will keep our cost of funds in -- it will go up, but it will be in control.

- Secondly, as I pointed out, CP percentage, if you see, it's just about 6%. Now this 6% to 9% was good when our wholesale was 30% -40%. Now with wholesale down to 12%, there is scope to increase it, at this point of time, it doesn't make much sense since the spread between CP and long term is not that much. But that is temporary. We can always -- when the CP rates come down, we can always use them to increase it even slightly to 9% -10%, it will work well. So, this is as far as cost of funds is concerned.

As far as yields are concerned, let me clarify that it has not come out of a major increase in yields, etc . Competition doesn't allow that. It has come out of a little bit shift in portfolio, more towards retail, and especially within retail also towards rural. So that's clear.

As far as what is sustainable, I would be perhaps foolish to say that this 12.2%, we will sustain and increase from here. But I don't see it falling much more than 12%. It will be in high -- very high

11% to 12% over the next couple

of quarters. That's, I think, as accurate as I can go . We have done lots of modelling. It's a conservative number that I'm giving .

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Viral Shah :

Fair enough. And thank you for this detailed answer. The second is in terms of the credit cost. So over here, as you mentioned, while NIMs are benefiting from the changing book mix, not just from wholesale to retail, but even within retail, the mix is changing towards more of MFI, Two wheeler and Personal Loans. And if I look at the collection efficiencies across your Tractor, Two wheeler or Personal Loans, they are now trending 30 to 100 basis points down on a YoY basis. So, I believe there won't be any seasonality into this. Now in this scenario, what gives you the confidence that your credit costs can further go down on the BAU basis? I'm not talking about whatever extra provisions you may be holding, but on a sustainable basis .

Dinanath Dubhashi:

100 basis points on a YoY basis, which product, I don't know -- #1 clarification. You called our Rural Business Finance, MFI. I would like to clarify it is no longer that. In fact, we give the breakup and a very small percentage of what we do is now Microfinance. Microfinance is defined as less than Rs. 3 lakhs income, and that's less than 10% of our customers.

So, 90% of our customers are above Rs. 3 lakhs income. Close to 15% of our customers -- rural customers are above Rs. 10 lakhs income and which is giving us the confidence that even the increased percentage of Rural Business Finance is quite safe. As you would see, we have maintained the collection efficiencies. I hope you are not making an issue in the colors. Collection efficiency of Rural Business Finance is absolutely steady at 99.8% .

Viral Shah :

So not in Rural Business Finance ...

Dinanath Dubhashi:



Yes, yes. I'm coming, I'm coming, one by one, okay? As far as Farmer Finance is concerned, yes, there is a small reduction to 91.6% compared to 91.9%. We have not seen any worrying factor there. This may be just last couple of months, certain small issues coming up. We expect these things to improve quite a bit in the third quarter already. Okay?

One place where there is a reduction about -- 100 basis point reduction in -- is you can see in Personal Loans. Now two things have happened here. And the last time, last year, this Personal Loan book was just about Rs. 2,000 crores, and now it is Rs. 6,000 crores. So, it is, the percentage, to some extent, is just the book being large, more mature, etc., one.

Secondly, as you would also see, we have reduced our rate of acquisition of new personal loans quite a bit. In fact, this is down quarter-on-quarter. For us to change and put in place many journeys, especially underwriting journeys. And once this area is complete, from Q4 onwards, we will start growing. In fact, Q3, we will be, again, on this slow trajectory. So, a little bit of denominator effect. Sudipta, would you like to add to that?

Sudipta Roy :

Yes. So, what I would like to add is that though there might be a slight quarterly fluctuation in terms of the overall risk numbers, but on an overall basis, the sort of the new improved sort of risk framework that we are putting in place will smoothen out all these sorts of kinks in the future, and we expect to deliver a stable risk regime going quarter-on-quarter going forward.

So, I wouldn't read too much into this sort of as DD said, the base effect was very small. So, as we are speaking, we are working on -- and this is not only in the personal loans business, this is in all our business lines. We are strengthening the framework so that even as acquisition

numbers go up, the risk trajectory remains stable.

Dinanath Dubhashi:

Last but not the least, Two wheeler. Yes, Two wheeler, we are at 97.9% as we speak now. And very, very important couple of facts, which wherein Sudipta's speech is, one, a big move is happening towards prime customers towards prime Two wheelers, the prime Two wheeler volume had some number of..

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Sudipta Roy :

Yes. So, if you see the prime Two wheeler volume, it has gone up to 52% as of now in Q2FY24. So, it is a part of a concerted strategy where we have observed that Two wheelers above a particular ticket threshold size deliver significantly lower risk numbers then. So, the organization as a whole is pushing towards that. EVs sort of exhibit 1/3rd risk numbers of ICE engine vehicles. So as an organization, we are making a shift towards broadening those funnels and bringing more such customers in, right? Obviously, you will not see the impact of such actions immediately. But over the next couple of quarters, you will see those strategies come up in terms of risk numbers and collection efficiencies.

Dinanath Dubhashi:

Does that answer your question?

Viral Shah :

Yes, it does. And again, thank you for the detailed answer.

Dinanath Dubhashi:

It is important because there are so many factors which come in finally to that credit cost, right? And I would also say that importantly, you would have observed that this credit cost number, the lower credit cost number is without utilizing even 1 rupee from macro prudential provision. So that remains..

Viral Shah :

So, does this still mean that even from this level, your credit cost can further come down -- generally?

Dinanath Dubhashi :

Most definitely.

Viral Shah :

Okay. Fair enough. I had another question, a follow-up on what Sudipta had mentioned in terms of strategy of cross-selling and top-ups.

Dinanath Dubhashi :

Go ahead.

Viral Shah :

Yes. So over there, that is what the strategy going ahead you are referring to. But when I see in terms of the personal loan disbursements, nearly 40% of those are being sourced from the e-aggregator platforms. So, can you give us more color on what are those kind of loans, the character of those borrowers, average ticket size,

how do they differ? And how does this stand with our strategy of doing more of cross -sell to existing customers ?  
Dinanath Dubhashi :

Sure. So, I will give the second part of the question to Sudipta. But first, see, when it moved from last year to this year, we started e-aggregator last year. So, we started this product, as I was always saying, only as a loyalty product. So, it was 100% loyalty, naturally. And now we are moving to more sources. So those percentages will obviously go up. The overall characteristics remain absolutely the same. We don't do new -to-credit customers. We don't do less than Rs. 50,000 loans. That remains absolutely same whether it is -- obviously, loyalty cannot be new -to-credit because they are our customers. But as we acquire from outside, we don't do a single new -to-credit customer as far as personal loan is concerned. As far as exactly how e -aggregator, what type, what are the credit engines and how we are improving them? I will ask Sudipta to elaborate. In fact, Sudipta, why don't you take a little bit more time to say how we're improving the credit...

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Sudipta Roy :

So, one of the things wh

at we want to do -- and thanks for the question, is that our average personal loans ticket size now is about Rs. 1.7 lakhs, right? Now we are focusing as an organization on -- now on making sure that a large amount of the throughput of the customers that we get from the digital channels is primarily salaried. So that is our first focus.

The second focus is that we do not want, as DD said, we do not want any customer which -- who does not have a footprint on the bureau or which someone else has not seen in terms of their engagement. Now obviously, that would entail working with some e -commerce players and some e -aggregators and making sure that their credit engines have seen that customer for some time, build a transaction score or risk behaviour for that customer, sort of validated it through us, maybe through our data room exercise and then sort of given our offer to the customers. So, the focus, as we sort of build the acquisition engine for this business, it is very important that we are operating on two axes:

- the first axis is to give the right -size loan to the right customers.
- And the second thing is while we are doing that, make sure that the credit administration process is further sort of strengthened by not only looking at the bureau data, make sure that we are able to -- whenever the customers give us access to -- give us an account aggregator pulls, sometimes we are able to sort of analyse the bank statements with a far more degree of clarity.

And last but not the least, get the behavioural signals from whichever e -commerce player or whichever e -aggregator that we are pulling it from. Then making sure that as I told in my initial comments, that moving from a single axis underwriting to a multi -axis underwriting. This model will obviously take some time to mature. And so, we will grow this gradually. There is no hurry. And as DD said, you have noticed that we have sort of plateaued the acceleration rate of our personal loans business, while we put this new tool in place and sort of slowly gain experience in this new tool. So, you will see a gradual increase in disbursement in this business while trying to keep credit cost flat .

Dinanath Dubhashi:

So, two things I will add:

- Number one is, Sudipta has done it for his living for all these years. And we will obviously draw from that.
- Second, there was a -- last time, there were questions about yields based on -- as we move to prime. So, what we will do through this is it will enable us to do more risk -based pricing. So, this kind of underwriting, multi -axis underwriting not only helps taking better credit decisions, but it also helps risk -based pricing. Now that we hope to steer the portfolio more and more towards prime with that, which will reduce absolute yields perhaps, but we'll definitely make sure that risk -adjusted ROAs are superior. So basically, delta yield will be less than the delta collection cost plus delta credit cost. So that's clearly in the model as we move ahead ....

Viral Shah :

Thank you so much. I think you even answered the other question that I had in terms of what changes are you making. So that's it from my side .

Moderator :

We take the next question from the line of Shweta from Elara .

Shweta Daptardar :

Congratulations for the quarter as well as the comprehensive presentation. So, I remember you always used to mention about market share across products. So, if you can just do that this quarter as well? And also, while we say that the growth on the retail side will converge for the whole overall loan growth ahead. So how do you see the momentum now in say FY25 -FY26? That's from my side .

Dinanath Dubhashi:

Okay. The second one, I don't know how to answer. I can only say that we expect those kind of growth rates to continue. Whether we will be at 33% -34%, I don't know, but we have stated always that we will keep the growth rate above 25%. And all this, we put in place for that. And at the same time, as I say, seasonality, cyclicity is a fact of life. So, I'm not saying anything quarter -on-quarter. Generally, for the 4 -5 years going ahead, various factors, like broadening customer funnel, using our database, which is increasing now every quarter, more efficiently, movement towards prime, we believe and then last but not the least, which we didn't talk about because it is too premature is launching new contiguous products.

What do we mean by contiguous products is products, which our existing customer segments use. We will not go suddenly looking for new customer segments, but our existing customer segments as they need more and more products, we will look at launching them as we go ahead. So that growth doesn't seem to be -- or especially the CAGR over the next 4 to 5 years. I mean we are not clairvoyant to say -- okay, how the fourth quarter will be, how the first quarter next year will be. But generally, CAGR is likely to remain healthy.

Most important part is to do this while making sure that productivity goes up and credit cost comes down. And the entire concentration is going to be on that. So that ROAs keep going up, keep moving up to by -- at least by FY26, we should reach at least 3.5%, if not earlier. We probably will reach it much earlier, but at least that's the goal.

So, we have said 2.8% to 3%. We should be comfortably at 3.5% levels over the next few quarters.

On this topic, I will also say that even the overall ROAs -- I mean, ROA, by mistake I think I said ROE, ROA at around 3.5% levels. And overall ROAs, as Wholesale comes down, over the same period, we can see going to the 3% mark and crossing it, which is giving us good confidence that even the overall ROEs can touch mid -teens as we finish the Lakshya period. So that is the overall profitability.

You asked a very specific question on market shares, okay. We have been giving our Farm market share. So, our Farm market share in terms of number of vehicles is around 15%. Our Two wheeler market share is around close to 10% if we say number of vehicles. But slowly, we will start also calculating it in value as we move more to prime vehicles and we are close to 6% in Rural Business Finance. Of course, there counting market share is, I think, a little bit infructuous because the market is microfinance. They all report it as less than Rs. 3 lakhs, whereas our share of less than Rs. 3 lakhs is very small. But if you take it as reported, then it is about 6%. I don't think we are anywhere near counting our market share for Home Loans or Consumer Loans (Personal Loans) . We are too small as well as SME also at this point of time. Does that answer your question ?

Moderator :

The next question is from the line of Saurabh Kumar from JPMorgan .

Saurabh Kumar :

Sir, just I had a follow -up on the SR book. So, what will be the time frame for this run down? And secondly, beyond the Rs. 150 crores that you spoke about in terms of credit provisions, is there any fees also you pay for this SR?

So, I just want to know the negative carry on the P&L.. .

Dinanath Dubhashi:

But the negative carry, we give the entire wholesale book profitability. So that entire negative carry is in the wholesale book profitability. It is there in the presentation .

Saurabh Kumar :

Okay. No. But on the SR you said Rs. 150 crores, because the book will keep running down, but you will keep paying this -- you'll keep having a markdowns and the fees, right ?

Dinanath Dubhashi:

I don't know that kind of micro details, I don't remember over the next 4 -5 years. As far as when it will run down, I mean, frankly, we expect it to start giving positively after another couple of years, because as I said, the SR value, so these are not parked SRs just because we don't like those assets. The effort on recovery is continuously on. And I would say conservatively after another 1.5 to 2 years, actual recoveries will start contributing positively to the overall P&L. But I don't want to guide at this point of time. You take the wholesale loss values, which is what right now? Wholesale loss...

Sudipta Roy :

Wholesale loss is about Rs. 50-odd crores per quarter .

Dinanath Dubhashi:

Rs. 50-odd crores per quarter. That conservatively, you can take continuing till FY26. It can only come down but not up from that .

Moderator :

The next question is from the line of Abhijit Tibrewal from Motilal Oswal .

Abhijit Tibrewal :

I have just two questions. So one is, I mean your wholesale GS 3 has declined. So, congratulations for that. Just wanted to understand, last quarter, you had explained predominantly Rs. 1,000 crores in that was Supertech. So, has that account now been kind of sold down to another ARC or has got resolved?

Dinanath Dubhashi :

Yes, answer to that is yes. So, it was only Supertech. And a part of that Supertech is sold to ARC. We would have liked to sell the whole thing, but that we could not. So, it is just that. It is not that the asset is resolved. However, as you know, Supertech, we have always said that we are more than adequately provided, whether it is on the book or with ARC. It is adequately provided, and it is one of the accounts, which may actually say, see recoveries, say, one year down the line from here. It is in that stage of NCLT.

So don't read too much into the reduction from Rs. 400 crores to Rs. 175 crores. It is just part of Supertech going out to ARC. The important number is what we gave this time for the first time, Rs. 500 crores Net Stage 2 (NS2) in Rs. 9,500 crores. So, we -- last time, people were saying that, okay, I am saying that there will be no negative shocks. Based on what I'm confident? I'm confident based on the, number one, the momentum I'm seeing and likely to see, but most importantly, Stage 2 assets are just about Rs. 500 crores .

Abhijit Tibrewal :

Got it. Net Stage 2 (NS2) in wholesale is about Rs. 500 crores?

Dinanath Dubhashi:

That is correct .

Abhijit Tibrewal :

Got it. And sir, just one more question that I had. I mean, while we all have been talking long-term strategy here. I think, I mean, when Sudipta sir was making his opening remarks, I gathered that you were -- I mean, a little cautious on how things could be in the second half, especially rural cash flows and how demand could be given that inflation is going up etc. So just wanted you to kind of explain that in some more details?

Dinanath Dubhashi:

Sure. Number one, everybody knows that August rains were very bad. Also, the distribution of rain has not been very good. Reservoir levels are quite negative from last year. These are the 3 negatives in rural. What are the

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positives? Positive is that the Kharif crop is not that down from last year. It is more or less at last year's level. The Kharif is, in fact, 0.34% up actually.

Secondly, the MSPs are at record level, as you know now. So that works as a -- on the other side. So that is why we would not like to paint a negative picture in rural. It is very easy to paint

a negative picture and then do better

than that and positively surprise. We are only saying that we need to be cautious and see how demand progresses.

When you're in rural, it's good money, but you have to deal with seasonality. Now what we are doing to deal with seasonality? There are various things that we have already highlighted: number one, making sure that collection is very analytics-driven and remains very strong, both 0 DPD and further collections. That is number one.

Second, increasing disbursements to our 0 DPD existing customers. Always, one, they are safer, they pay on time more often than not.

And thirdly, that is not seasonal. My current farmer customer borrows more not when there is -- tractor is in season or whether the tractor demand is going up or down, it doesn't matter. Same for rural business finance. We know the lady very well. We know her for 1, 2, 3 cycles. And at that point of time, we can take much better exposure.

Fourthly, we are specifically making sure that in our rural business finance, the share of direct agri keeps coming down. It is around -- the share of direct agri is now around 25% to 30% at this point of time, more than 70% is non-direct agri even though everything is rural. So, the feeling I want you to give is seasonality and cyclicity is the truth of life.

I also wanted to say that what all we are doing to make sure that we smoothen out these cycles as much as possible. And there is one thing which Sudipta said, which you may not have heard is -- perhaps is the first 20 days of the season, we are seeing a very good season actually. So, the actual fact is going exactly opposite to

what pundits say or what even I would have said. I'm no pundit, but I would have said that. But on the ground, I'm seeing very good pick up both for two wheelers as well as tractors. Perhaps a fuzzy answer, but that is because it is something in future, and I don't want to be very emphatic about future -- lots of factors are playing, right?

Moderator :

The next question is from the line of Kunal Shah from Citigroup .

Kunal Shah :

Yes. So normally, you tend to comment with respect to opex plus credit cost in terms of the trajectory. So, when we look at it, opex was slightly higher, credit cost was almost stable and what Sudipta also talked about in terms of 5 growth vectors.

And I think maybe in terms of enhancing the customer acquisition or heighten the brand visibility and all plus optimization of talent pool, that will also involve a lot of cost, okay. So, what are the anticipated spends towards these five growth vectors? And any change in commentary with respect to opex plus credit cost.. .

Dinanath Dubhashi:

No. Same commentary, will tend to 7%. Today, we are at 7.33%. In fact, this time I went ahead and actually split because I don't want to hide behind this opex plus credit cost and pepper over the increase in opex. The opex has increased. And I'm saying that it will be, as you rightly pointed out, we are doing several investments -- in brand, in IT, getting good people. It will remain sticky. I'm not necessarily saying that this percentage will go up. It will remain sticky for maybe next year or so. Sudipta, if I can say that?

Sudipta Roy :

Yes, it will be about a year or so .

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Dinanath Dubhashi:

And then it will start coming down. And it is -- but it is not going up as fast as the spending measure because the operating efficiencies and productivity are also kicking in. But as a net of both this, the opex may remain sticky, credit cost will keep coming down and we are, hence, very confident of reaching our 7% guidance by FY26, the Lakshya period .

Kunal Shah :

Sure. And so, in terms of credit cost, ideally, maybe what is obviously you highlighted a lot with respect to collection initiatives. But was there anything maybe specific in this quarter that you are confident that 2.74% in retail. So, wholesale has hardly seen any credit cost during the quarter. But retail, when you look at it, it's still 2.74% and mix is changing more towards the higher yielding ones, okay? So apart from maybe on the two wheeler wherein we are focusing more on prime, but what is giving you confidence in terms of getting this down to? And what would be the stable state levels looking at the profile, yes?

Dinanath Dubhashi:

Okay. I mean I wouldn't like to comment on what will be the stable state. Our ambitions are very high, very high as in very low credit cost. But I can only say that it will trend down. You see that the reduction in this quarter is 2 basis points. I am not promising huge reductions every quarter. But yes, this two basis points, 3 basis points, 5 basis points, we will keep reducing steadily. Again, I'm not saying quarter-on-quarter, a particular quarter may go the other way. But continuously, it will keep reducing. Main reasons you see, component of Home Loans is going up, component of the higher variety of Rural Business Finance is going up, which continues with 99.8% collection efficiency. Home Loans, as I said, is going up. In Two wheelers, we are moving towards prime more. In Tractors, percentage of Kisan Suvidha is going up. Now as -- so, two things, big things, is one, as we said, products, which are much higher collection efficiency percentages are moving up -- number one. Repeat lending is continuously going up. And as we have always said, and we maintain is repeat lending has credit costs of about 1/3rd of new lending is going up. And even in new lending, the gradual shift to more prime. So that is how we have modelled it, and that's what our experience says. And as I said, our ambitions and the models are -- the targets we have are much higher, but I wouldn't like to talk about that .

Moderator :

The next question is from the line of Abhishek Murarka from HSBC .

Abhishek Murarka :

So, sir, one question on SR. So can you give some more granularity. So specifically, two things I'm looking for, I think, one, you anyway mentioned. One, what is the provision on this? And two, on this Rs 8,000 crores, if you can give any cuts, for example, how much of it is roads, renewables, how much of it is operational? Or I mean,

may not be operational entirely, but what's the, let's say, completed to not completed parts of Real Estate. So, any kind of cuts that you can give for this Rs. 8,000 crores, it would be helpful.

Dinanath Dubhashi:

If we could give the cuts, we would have given it in the presentation, if we wanted to give. But completion-wise I can tell you, Real Estate completion, we said some number. So around, I would say, 83% complete is what we can talk in our Real Estate book. So overall, if we put, it is about 83% complete -- towards -- there are various projects. But if you put on a weighted average basis, 83% complete. So that's all. But most importantly, when the CFO, outgoing MD and the new MD, we are all committing that wholesale losses will be maximum Rs. 200 crores year-on-year till FY26. Please understand that we have tremendous amount of confidence that no shockers are coming from this SR book.

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Abhishek Murarka :

No, sir, of course, of course. That was not the idea. Just to get a sense of the..

Dinanath Dubhashi :

More than this -- I mean you see that every quarter we are giving more and more, and we'll continue to do this.

Don't worry.

Abhishek Murarka :

Sure. And sir, just the second thing in terms of understanding when you give in your presentation the split between Microfinance and Rural Group Loans. The difference is only because you're making a difference between the Rs. 3 lakh income segment and higher than Rs. 3 lakhs. So, in terms of ticket size or other administration monthly, let's say meetings or in terms of operations is there any difference between these two categories?

Dinanath Dubhashi:

You are right. Good question. As of now, no; but going ahead, yes. We are launching -- we have launched actually Rural LAP and Business Loans. These are the two products we are launching, which will be managed differently, very differently, very different rhythm, very different way of doing business. It is being -- and a different team of course reporting into the same business Chief Executive, but a different team. So -- but at this point of time, that portfolio is very, very small. But you're right that the rhythm is same. But more importantly, the resilience of these people to pay is much, much higher. Now the important thing, you asked one question, which is very important, that even if this is more than Rs. 3 lakhs, their income, the overall exposure cap, we have not removed. I believe that there are some players who have removed the overall exposure cap. The overall exposure cap -- exposure has been not only us, but for the industry. The overall exposure cap was about Rs. 2 lakhs. We have kept that same.

In fact, in most cases, we keep it at Rs. 1,50,000, but maximum we go is the overall exposure of Rs. 2 lakhs, not our loan, overall exposure of Rs. 2 lakhs. That's -- so you're right, we treat them -- not -- by don't over lend to them, treat them as if they're less than Rs. 3 lakhs. But the point I wanted to make is because of higher income, their ability to repay and repay on time is much, much better. I mean you can see, Rs. 21,000 crores now, we are collecting 99.8% on-time.

Abhishek Murarka :

What would be the difference in ticket size between the two categories? Average ticket size, just for the microfinance versus rural group loans?

Dinanath Dubhashi:

So, it depends on two things: it depends, one, on the FOIR of the customer. Second, it depends on the other loans that person has taken, right? So, it depends on the two things. So, let's say, more than -- because for both our overall limit is the same. So, if a microfinance customer has borrowed from somebody else Rs. 1,60,000, we will lend only Rs. 40,000 -- or if she has borrowed -- and it works like that. So, we have not said that, okay, for Rural Business Finance, there is higher ticket size, for microfinance it is lower ticket size. It depends on what is her total exposure, what is her FOIR and because of that what is the gap that we have to lend.

Moderator :

We'll have to take that as the last question. I would now like to hand the conference back to Mr. Dinanath Dubhashi for closing comments.

Dinanath Dubhashi :

Thank you. So, I think I will not repeat anything that has been said other than that we here are very, very confident of continuing with the growth path that we have put and at the same time, continuously improving profitability ratios, not only of retail, but also overall profitability ratios as we keep reducing wholesale.

Reduction of wholesale enables two things: one is the convergence of the profitability ratios, and second most important thing is any possibility whatsoever of suddenly some P&L shock coming - we are very confident that, that is not going to happen. As we go ahead, we look at t

he future only positively.

Now that is as far as the company is concerned . I would like to wish you a very, very happy Diwali, happy Dussehra before that. And more importantly, would like to also state that it would be my last quarterly earnings call as the MD and CEO of the company, would like to put all my gratitude and all my thanks on record for all of you. All of you have been absolutely wonderful interlocutors, and it has been amazing to speak to each one of you. I have tried to take inputs from each one of you, learn and incorporate that in the way the company is managed.

The team is here to take the company ahead and more importantly, Sudipta has landed with his feet running. And in the 4 months that he has spent here, I'm very, very sure that he will take the company to new heights as we go ahead. So, thank you very much. God bless you. Happy Diwali and happy Dussehra .

Moderator :

Thank you very much. On behalf of L&T Finance Holdings Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any

## Call: Feb 2024

February 1, 2024

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: L&TFH Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q3FY2023-24 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q3FY2023-24 financial performance and strategy update held on January 24, 2024.

The above information is also available on the website of the Company i.e., [www.ltfh.com/investors](http://www.ltfh.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Holdings Limited

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer )

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to the L&T Finance Holdings Limited Q 3FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

We have with us today, Mr. Sudipta Roy, the newly appointed Managing Director and CEO; Mr. Sachinn Joshi, Chief Financial Officer; and other members of the senior management team .

Before we proceed, as the standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only public -available documents will be referred to for discussions during interaction in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared , in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 3 results presentation sent out to all of you earlier.

I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :

Thank you. A very good morning to all of you. Before we start the call, I would like to wish you all a very happy and a prosperous new year on behalf of the entire leadership team at L&T Finance . I feel humbled to take over as the MD and CEO of this organization that has been nurtured by Mr. Dinanath Dubhashi for the last 8 years as MD and CEO, and I would like to thank Mr. Dubhashi for his significant contribution in transforming L&T Finance into a truly digitally powered retail NB

FC, straddling the rural and urban ecosystem in the country .

I'd like to start this call by sharing our satisfaction about our Q3FY24 performance with all of you. I'm happy to share that once again, we have registered the highest ever quarterly disbursement, maintained expected margins and further reduced credit costs, thereby achieving a PAT of Rs. 640 Cr that translates into a 41% growth year -on-year. In line with what we have been communicating over the last few quarters, we continue to achieve and exceed the Lakshya 2026 targets well ahead of time and deliver consistent results quarter -on-quarter. This is an outcome of the strong execution engine that we have put in place over the last couple of years, and we will continue to bolster the execution bias in every initiative we take.

Today's call is divided into 2 sections, which would be sequentially taken by myself and our CFO, Mr. Sachinn Joshi. Before getting into further details and presenting the highlights for the quarter, I would like to draw your attention to the 5 pillars of execution that we had detailed in our last analyst call, namely :

- Enhancing customer acquisition;
- Sharpening credit underwriting;
- Implementing a futuristic digital architecture;
- Heightened brand visibility; and lastly,
- Capability building

Over the course of the call, I will also speak about how we are further building our strength across the 5 pillars of

execution to create a sustainable and predictable retail franchise, and Mr. Joshi will be talking about the overall business metrics and financial performance at length. With that, let me start with the highlights of the quarter and the strategic road map for L&T Finance going forward.

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#### Macro -economic outlook

- As far as the global economy is concerned, majority of global forecasters expect global growth to remain rangebound or to slow further in 2024 on the back of persistently high interest rates, escalation of geopolitical conflicts, sluggish international trade, and climate-linked issues.
- The Indian economy will continue to remain as a bright spot in this environment with economic growth holding firm amid improved macro-financial stability. In fact, some of the leading rating agencies have forecasted India's average growth rate to be in the range of 6.5% to 6.7% till about FY27.
- During the quarter, a festival-led uptick in production across non-agricultural indicators and sustained deflation in commodity prices improved the overall production growth in Q3. Consumption sentiment remained stable among high income groups.
- As far as the outlook on Indian agriculture scenario is concerned, it is expected to record somewhat of a muted growth of approximately 1.8% in FY24, owing to elevated temperatures and patchy monsoon on account of the El Nino phenomenon. We are hopeful of a recovery in Q1FY25 on the back of an expected increase in rural outlay by the governments.
- On the policy rate change front, we expect the magnitude and timing of a policy rate change to be data dependent and carefully calibrated in line with the inflation trajectory of the Indian economy.

To conclude, the macroeconomic prospects for India appear to have brightened with a few caveats. However, we'll continue to track the progress granularly as we always do in the coming months and take business decisions judiciously.

#### Completion of Merger culminating into a Single Operational Lending entity :

We achieved a very important milestone for the organization this quarter. The subsidiaries of L&T Finance Holdings Ltd. namely, L&T Finance Ltd., L&T Infra Credit Ltd., and L&T Mutual Fund

Trustee Ltd. were merged into L&T Finance Holdings Ltd. ( LTFH ).

With this merger, all the lending businesses have been housed under one entity i.e. L&T Finance Holdings Ltd. (LTFH), with it becoming the equity listed operating lending entity. Going forward, this single operational lending entity will be renamed as L&T Finance Limited, subject to the receipt of applicable statutory and regulatory approvals. I am happy to share that the merger was completed well before the envisaged time frame with all the necessary approvals in place. The single entity will lead to seamless corporate governance, increased operational efficiencies and synergies in treasury and liquidity management.

With the wholesale book going below the threshold level of 10% of the overall book size, time has now come to focus on consolidated numbers going forward to monitor our journey ahead till FY26. Thus, going forward we will only publish one consolidated financial performance summary of the entity in our financial reporting and investor presentation.

#### Q3FY24 Highlights

Now I'll talk about the Q3FY24 highlights. Undoubtedly, the biggest and the most important highlight for this quarter is that we have achieved all our Lakshya 2026 targets in FY24 itself, almost 2 years in advance.

#### Achieving the Lakshya goals 2 years in advance:

Our Lakshya 2026 plan was to establish L&T Finance into a leading digitally enabled, customer-centric retail Fintech @Scale. We set four quantitative targets, and let's evaluate our performance against those goals in Q3FY24 :

- The first milestone was achieving a Retailisation of > 80%. Against that, Retailisation stands at 91% at the end of this quarter, and we expect to maintain this positive trajectory going forward.

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- The retail book growth target was set at a CAGR of 25%. Against this, we grew at 31% YoY this quarter, and this growth has been consistent.
- Thirdly, this Retailisation thrust had to be credit calibrated with the goal of retail GS3 below 3% and NS3 below 1%. We are happy to inform that the retail asset quality metrics are well within the Lakshya 2026 targets in this quarter with GS3 at 2.95% and NS3 at 0.64%.
- The fourth and the last milestone of achieving a retail ROA of 2.8% to 3% was already achieved in quarter 1 this financial year (3.08% in quarter 1 and 3.32% in quarter 2). This quarter, it has further improved to 3.37% and while we will only present consolidated numbers going forward, we thought that this is an important metric for this quarter to share with you in our journey of delivering on the Lakshya 2026 objectives.

Our persistent focus on execution and execution alone has made this performance possible. We were able to achieve this, thanks to the relentless efforts demonstrated by each and every colleague of L&T Finance and we all remain committed to a consistent performance trajectory going forward.

5 execution pillars to create a sustainable and predictable Retail Franchise:

On the investor call for Q2FY24, I had communicated in detail about the 5 vectors or pillars of execution for ensuring growth in a linear and sustained manner. I would like to give a brief update on what we have done across the 5 pillars.

1. Customer Acquisition – We are constantly focusing on broadening our customer funnel and working on both horizontal expansion and vertical penetration across all lines of our business. For instance, in Rural Group Loans and Micro Finance, while on one hand we are working on activating new villages where we do not have a presence in the geographies that we operate in, we are also parallelly working around vertical

ly increasing

the depth of our business in those villages where we already carry out our businesses. Acquisition strategies like this across products has resulted in disbursements to about 6.9 lakh s new customers in Q3FY24 against 6.5 lakh s new customers in Q2FY24.

2. Sharpening Credit Underwriting - We had talked about developing a dynamic credit engine that not only ingests bureau data, but also other alternate data based trust signals. We have started the journey of building this new credit engine and we will keep updating you on the progress as we move forward.

3. Digital - On the digital part, we have worked on revamping our digital journeys for Home loan product and SME product and are focusing on various platforms for these products for a smooth customer experience. As far as the PLANET app is concerned, we are leveraging the channel multifold by using it not only as a new customer acquisition platform but also for our repeat business, collections and most importantly, the servicing needs of our customers.

4. Brand Visibility has been an area on which we have been working in the past quarter. An array of marketing initiatives was undertaken in Q3FY24. We conducted product -specific marketing campaigns. For example, the multicity festive awareness campaigns for Two-wheeler finance and wall branding campaigns in rural geographies for our rural businesses. We also did an organization -wide marketing through brand awareness campaigns on Disney+Hotstar for Asia Cup and World Cup Cricket tournaments, print ads in leading newspapers and developing customer testimonial videos and participation at industry -specific events like RE Motoverse, Homethon, etc.

5. On Capability Building, we remain focused on our capability building agenda. Apropos to that, our newly created position of Chief Marketing Officer has been filled and we have strengthened the leadership bench below the business chief executives by adding experienced new leaders at key positions across major business lines. We also have added a seasoned technology professional as our new Chief Digital Officer and further expect to announce significant new hires in our digital and technology teams and other verticals shortly.

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Going forward, the strategy would be to make our performance consistent, predictable and sustainable. It would revolve around sharpening or relaunching our existing product propositions and introducing contiguous product lines with a sharp focus on broadening our customer acquisition funnels while also harvesting our existing customer database of over 2.2 Cr customers. We'll constantly strive to reimagine and redraw various customer digital journeys to provide a superlative experience to our customers, sharpen our credit underwriting by bringing in new age insights into the underwriting models, while constantly strengthening brand L&T Finance and building new capabilities in the organization, both traditional and new age.

## Business Strengths

Now let me talk about the business strengths that we have steadily built in the last few years.

- Deep pan India franchise:

A diligently cultivated franchise is not a one-time activity but an ongoing effort that requires significant thought and strategy, put in place with the help of digital and data analytics. The optimal mix of a strong physical presence and preferred channel partners, coupled with leveraging our database of 2.2 Cr+ customers (of which about 1.5 Cr Rural and about 0.75 Cr Urban), has put in place a superior retail franchise capable of addressing evolving and ever-changing needs of the retail customer. While we disbursed about 6.9 lakhs n

ew customers during the

quarter, our active franchise stands at about 93 lakh s customers currently, in comparison to disbursement to about 6.5 lakh s new customers in the previous quarter and an active customer base of 90 lakhs in the previous quarter. Share of cross-sell as well as upsell in total disbursement stands at 33% in this quarter. The consistency of improvement in customer franchise numbers underscores the enduring strength of the franchise that our organization holds and we are proud to witness its continued success as a testament to our ongoing commitment and focus.

- Fintech@Scale:

Building a fintech @scale is just not about disbursing loans digitally, say through an app or a website. The essence of building a fintech in its truest sense is using tech heavily in each and every aspect of every line of business. And this has been our way of offering a one-stop solution to our customers. We not only prioritize the acquisition of new customers digitally, but also ensure long-term association, satisfaction, loyalty and sustained value realization as they navigate their financial interactions with us through our digital platforms. We have strived to use digital not only on the lending or collections side of the business, but also internally where our systems interact with each other. And to ensure that this particular trajectory is maintained, we are investing more and more to make this part of our ecosystem continuously responsive to our customer needs.

And also, if we talk about Digital Finance Delivery capabilities, we had highlighted earlier how we are developing digital finance delivery as a key customer value proposition. Apart from building 100% paperless journeys in Rural Business Finance, Farmer Finance, Two-wheeler and Personal Loans, we are also boosting our digital collection capabilities. In urban space, 94% of our urban collections happen completely digitally. And also, when we talk about rural collections (especially in the Rural Group Loans & Micro Finance and Farmer Finance), 19% of their collections were carried out digitally this quarter. Needless to say, efforts are on to increase this number gradually with increased awareness and adoption by our rural customers.

PLANET: Our D2C PLANET app will be completing two years, one month from now. Our plan of initially offering features addressing basic customer servicing needs, whilst we are now adding superior engagement features has worked wonders, giving tangible results. We have built autonomous journeys for our products (Personal Loan, Two-wheeler Loan, Rural Group Loans & Micro Finance and Farm Top-Up), and the app has crossed about 7.6 million downloads till date. With multiple servicing and engaging features already in place, we are in the process of adding more features to the app. A few journeys went live this quarter, and we are expecting conversions from those journeys in the coming months.

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Building Risk Capabilities with Digital: Again, superior risk management aided by data accessibility and availability of tech tools is also an ongoing attempt. The work is happening on multiple fronts in order to create a digital fortress with a best-in-class infrastructure. And we are talking about a dynamic and a self-learning underwriting engine that we have already talked about previously. We are in the process of building it. And we will talk about it more in the coming quarters as and when we are in a position to deploy the new engine into production.

- ESG@LTF :

The last leg I would talk about is ESG. As one of the first NBFCs to embrace sustainability, our journey of creating a positive im

pact for the society started quite a while back. Consequently, L&T Finance has partnered with SABERA (which is Social and Business Enterprise Responsible Awards), as a 'Digital Sustainable NBFC partner' to recognize best practices in ESG and sustainable development initiatives by corporates, non-profits and individuals. We also won the award for the "Best Sustainable Initiative in Women Empowerment" at the "2nd India Sustainability Conclave and Awards" for the Digital Sakhi project, among many other notable achievements.

In conclusion, I would like to thank Mr. S.N. Subrahmanyam, the Chairman of L&T Finance Holdings Ltd., for entrusting me with this responsibility to lead L&T Finance in its next growth phase. I would also like to thank Mr. Dubhashi for his immense contribution for building L&T Finance into the organization it is today and also for facilitating the leadership transition in such a textbook fashion.

Additionally, I would like to thank the investor community for reposing their faith in us over the years, and we will endeavour to meet their expectation to the best of our abilities.

Now I'll hand over to Mr. Sachinn Joshi to take you through the financial updates for the quarter.

Business as Usual updates :

Thank you, Sudipta, for the detailed highlights and your vision for L&T Finance. So let me begin with retail performance first.

Retail Performance:

- Retail NIM +fee, as we have seen over the last few quarters, has remained strong at 12.08%.
- We made again one more highest ever quarterly retail disbursement, Rs. 14,531 Cr. it's up 25% YoY basis.
- Our retail book has crossed a new milestone where it's about to reach Rs. 75,000 Cr. We were Rs. 74,759 Cr, up 31% year -on-year.
- Our ROAs, as Sudipta mentioned earlier, retail ROA stand at 3.37%. In Q2, it was 3.32%, so directionally going up.
- As far as asset quality is concerned, retail GS3 and NS3, they stand at 2.95% and 0.64%, respectively. So, in this case also, the goal of having GS3 less than 3% and NS3 less than 1% completely achieved in this quarter.

Consolidated Performance:

- On the consolidated performance, our PAT for the quarter is Rs. 640 Cr. It is up 41% year -on-year.
- Capital adequacy continues to remain strong at 24.93%.
- On the consolidated side, consolidated NIM +fee remains strong at 10.93%. Again, improving both sequentially and on a year -on-year basis.
- GS3 and NS3 at a consolidated level also have been directionally going down, 3.21% and 0.81%, respectively.
- Our credit cost has reduced on a Y oY basis from 2.67% in Q3FY23 to 2.52% in Q3FY24
- Continued with our accelerated reduction in wholesale book with a steep reduction of Rs. 24,405 Cr (it's down 78% year -on-year basis ) and now the wholesale book stands at Rs. 7,020 Cr at the end of Q3FY24.

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One more piece to highlight is that the profit before tax on a year -on-year basis is up 31% at Rs. 824 Cr. Previous year, the same amount was Rs. 632 Cr. Over the past two years since the launch of Lakshya 2026 strategy, we have always guided that our wholesale book will keep reducing gradually as per plan. The ROA at consolidated level will keep moving towards and converge with the retail ROAs. In line with this, after having achieved Lakshya 2026 goals two years in advance, we now set the bar higher to achieve Lakshya 2026 goals at a consolidated level.

With that aside, let me now quickly take a deep dive and give some specific updates.

Retail Businesses :

Disbursements : Retail disbursements in Q3FY24 stood at Rs. 14,531 Cr, 25% higher on a Y -o-Y basis. This has resulted in the retail bo

ok growing by 8% quarter -on-quarter. So sequential growth also we have seen as well as on a Y -o-Y basis, which is up 31%. Our overall retail mix has grown to 91%. It is up from 64% in Q3FY23 and 88% in Q2FY24.

• On the Rural Business Finance , the business has registered disbursements of close to Rs. 5,500 Cr, and the book size has crossed Rs. 23,000 Cr milestone at the end of third quarter. The monthly disbursal run rate has been maintained at about Rs. 1,800 Cr despite the festival period, which is considered to be a weak quarter, especially for this business.

• Farmer Finance , the disbursement stood at Rs. 2,027 Cr (previous quarter it was Rs. 1,534 Cr). Now this increase of Rs. 2,000 Cr disbursement has led to a book size growing to Rs. 13,845 Cr. On a Y -o-Y basis, it's

an 11% increase that we have seen. And this is in spite of the fact that the industry has seen a degrowth of 5% during this quarter.

- On the Urban Finance, the segment which comprises of Two-wheeler, Personal Loans, Home Loans / LAP, also saw 18% Y-o-Y jump in the overall disbursements. This has led to an increase of 29% year-on-year as far as the overall urban book is concerned. To start with, I'll talk about Two-wheelers.

- o Two-Wheelers: The Two-wheeler business has registered highest ever disbursements of Rs. 2,540 Cr in the quarter, up from Rs. 1,817 Cr in the previous quarter. And the Two-wheeler book also has crossed Rs. 10,000 Cr milestone. It's close to Rs. 10,500 Cr. The book has grown 20% year-on-year.

- o Personal Loans: This business witnessed disbursements of about Rs. 850 Cr. Previous quarter, it was Rs. 1,300 Cr, and the book size stood at close to Rs. 6,500 Cr. The book overall has increased 36% year-on-year.

- o Retail Housing: On retail housing, it achieved highest-ever quarterly disbursements close to about Rs. 2,000 Cr. It is up 67% year-on-year. In the previous quarter, the same figure was Rs. 1,700 Cr. Book size with this increased disbursements stands at Rs. 16,650 Cr. It's an increase of about 33% on a year-on-year basis.

- o SME Finance: Talking about SME Finance, it was launched in Q3FY22. It has completed two years this quarter. Our Q3FY24 disbursement stood at Rs. 965 Cr. The month of December'23 also registered highest ever disbursements. We did Rs. 380 Cr in this month. In line with our strategy of maintaining optimal geo mix, we have launched 56 new locations in November, thereby taking the total location count to 109.

Collections: On the collections front, in fact, there is a slide that we have as part of our investor presentation. Our retail products experienced top-notch collections again in this quarter. And they are actually displayed along with stage-wise book for our retail products, which can be referred to by everyone.

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Wholesale Business:

On the wholesale book, we continued our accelerated reduction in the wholesale book with a steep Y-o-Y reduction of Rs. 24,400 Cr. The book is down 78% year-on-year basis. And quarter-on-quarter, the reduction is close to Rs. 2,300 Cr. It's down 25%. With this reduction, the wholesale book now stands at Rs. 7,020 Cr at the end of third quarter.

I thank all of you for a patient hearing. We may open up for questions. Thank you.

Moderator:

We will now begin with the Q&A session. The first question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.

Digant Haria:

Hi. Congrats Sudipta, on getting elevated to the position of MD. My question is, see in the last 3-4 quarters, our credit cost in the retail business have been hovering around that Rs. 500 Cr number or around 3

% kind of a

number. Do you think we have some more scope to reduce this number? Because if I individually look at how the CV -- how the tractor cycle is or the micro finance or the two-wheeler cycle is, it seems that there can be some improvement in this number going ahead. Any thoughts on this, Sudipta?

Sudipta Roy:

Yes. So, if you see -- Digant, first, thank you for your wishes. And if I look at the overall credit cost on our retail business, actually, on a percentage terms, it has been trending downwards. If you look at our credit cost for Q2FY24, it was about 2.74%, which has actually sequentially reduced to 2.61% this particular quarter.

But I do believe that credit cost is a particular line in which you can always do more work. And that is where we have been saying, and if you sort of refer back to my five pillars of execution, the second pillar is reducing -- continuously reducing credit cost. So, what -- we are actually investing heavily in this particular vertical in sort of building a next-gen credit engine.

And through the-door customer acquisition which will mould the portfolio going forward and our existing portfolio, we will use this new credit engine sort of to normalize and try to see if we can further reduce costs either by making collections sharper or the through-the-door sort of the volume that comes in, it comes in with a far better credit quality. So, this is a continuous exercise, and we remain focused on that.

So, we remain hopeful that this particular sort of process that has been set in motion. And on an overall basis,

also, we are trying to sort of trend the portfolio towards a little more towards prime. For example, in Two-wheelers also, focusing on a large amount of prime through -the-door acquisition while making sure that while we are focusing on prime through -the-door acquisition. And by prime, I mean prime by Bureau definition, which is Bureau score 750 + or asset sizes of above Rs 1.5 lakhs worth of vehicles. While we are taking our overall numbers up, we are also trying to make sure that our overall prime penetration also goes up.

So, it's a mix of a couple of things. It's a mix of making sure that our credit engines are using technology and a new generation sort of credit engine to administer credit, but also directionally push our distribution channels towards more prime in some of our lines of business, while continually strengthening our collections practices. So, I do believe that this is -- this will remain a work in progress, and we'll continuously strive to make our credit cost sort of trend downwards.

Digant Haria :

Got it. Great. Thanks, Sudipta, for this answer. So, second follow-up to this is, that see. If we move towards a better customer segment and a better credit engine both, then do we -- would we have some room to change our collection strategy as well? Because I think currently, we do have a lot of physical collection infrastructure also. And maybe those cash to NACH kind of convergence may still be happening within the organization. So, can

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there be some cost benefits also which come later on, once more and more portfolios is towards this newer customer segment and newer credit engine?

Sudipta Roy :

Absolutely. One of the -- see couple of axes on which we are working, apart from working on a new credit engine, the other thrust has been improving our digital collection capabilities. Because both of these go hand-in-hand in reducing the ultimate collection cost. And with the penetration of digital payments in the country, we are seeing very healthy trends, especially from rural areas of customers who are hitherto use to paying in cash

for many

years are actually moving to sort of pay digitally.

So those sort of efforts remain in -- for example, we have been focusing very strongly on making sure, especially in a business like tractor, our e-NACH penetration per percentages or our through -the-door acquisitions go up with every month. Similarly, there is a large focus on our rural business customers to make sure that we introduce to them the methods of paying digitally and focus on doing that.

In fact, if you see in urban business, 94% of our collections are currently digital. In our rural business, about 19% of our collections are digital. So, this remains the progress area, and we are keeping on pushing on it. But also, what we have to keep in mind that on-ground collection strength is very, very important because we remain in an environment where economic shocks or a localized event might happen at any point in time.

We have to remain vigilant of that. So, a good amount of collections presence is always a prudent strategy to maintain continuously. So, it will be an optimization or the right optimum collections presence on ground as well as a continued focus on improving digital collections. So, we will keep on working on both these fronts.

Digant Haria :

All right. Thanks. And just on the rural collection, you said 19% are digital. To what extent can this number go?

Like can it go as high as 50%, 60%, 70% also in the setup that we have and the setup that India is into?

Sudipta Roy :

See I think this is something which we're seeing gradually, with every passing quarter, the uptick is there. You have to understand that the major hurdle of your digital collections is basically the smartphone penetration. It is smartphone -- and there is -- when we travel around, we see that there's still a significant difference in smartphone penetration between the Southern states as well as the Northern states, especially like UP and Bihar, the smartphone penetration, especially among the women folk who are borrowing on the Rural Business Finance vertical, the smartphone penetration is less. But every quarter, this particular number is ticking upwards. So, I won't hazard a guess as to by what time we will get to about 50%, 60% sort of level. But I think we will get there sooner than later.

Digant Haria :

Perfect. Thank you so much. And all the best.

Sudipta Roy :

Thank you so much, Digant.

Moderator :

Thank you. The next question is from Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah :

Hello, sir, congratulations on the quarter. My question is on the personal loans. I see lower disbursements in the

quarter. Anything to read there? And has the pricing changed post the RBI announcement of increased risk weights?

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Sudipta Roy :

Okay. So, on Personal Loans, what we are trying to build on is that, yes, I would agree that there has been a pause, I would sort of define it as a pause in Personal Loans disbursement this quarter compared to the previous quarter, is because we have been sort of optimizing some of our customer journeys. We have been sharpening the credit funnel. But also, we have been implementing some of the regulatory sort of items like video KYC, etc. So directionally, the number is less because many changes are happening on the funnel, and we were also – credit sharpening the funnel for our next growth sort of trajectory. So, this is -- as I would say, this is a temporary reorientation pause rather than anything else. And we will continue our growth trajectory starting this quarter.

Hardik Shah :

And has the pricing changed on the...

Sudipta Roy :

On the next part of the question. As of now, if

you look at our cost of funds overall, they are quite stable. Between the last quarter and this quarter it has only gone up by about 2 basis points. However, because of the RBI guideline on RWA increase, etc, we expect that in our cost of funds, there will be some impact on our cost of funds. But our guesstimate is that it will be a difference -- the difference would be in the range of 10 to 12 basis points over the next 12-month timeframe. And also, I would like to also say that especially on our Personal Loans business, the credit quality remains good, and the collection sort of parameters that we have set, especially it remains excellent. So -- and we really -- we were not in that BNPL space, etc. So, we were in prime personal loans and of the normal personal loan ticket sizes. And we have used this quarter to sharpen the funnel and improve the digital journeys of this particular line of business.

Hardik Shah :

Understood. And sir, second question is on the credit cost. How do you expect that to trend from here on? And in the event of credit costs going upwards from here on how comfortable are you getting into provisions? And what is your strategy on overall PCR?

Sudipta Roy :

See, overall, we have given a guidance that our opex plus credit cost will range within a 7% sort of guidance. So, we remain committed to that particular guidance. As I sort of explained in my answer to Digant, that our whole focus is on building a sort of next gen credit risk engine. And we are being very extremely careful and conservative as we scale up our business.

So given the fact of the investments that we are doing in our credit risk engine and trying to build a new next gen framework, properly tested, make sure that our collections teams are capacitated and we use data more and more in our collections team, and overall, our shift towards prime in certain lines of business, we remain quite confident that we will be able to navigate within that 7% credit cost plus opex guidance that we have given going forward.

Hardik Shah :

Okay. Thank you, sir.

Sudipta Roy :

Thank you, so much.

Moderator :

Thank you. The next question is from Avinash Singh from Emkay Global. Please go ahead.

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Avinash Singh :

Yes, hi. Good morning. Congrats, Sudipta. A couple of questions. Again, one update again repetitive on credit cost. So, I mean you operate into the segments like almost two-third of the book are in the segment and the rural micro, two-wheeler or farmer finance, that is perceived to be kind of cyclical and have a slightly higher credit cost. So even given info that, okay, you're building a mortgage book that would be close to one-third or one-fourth, your



two-third or three -fourth of business is going to be in a segment that will be cyclical as like this year. So -- and so you have to be sort of a keep over the cycle kind of provisioning cost in mind. In that context, I mean, do you see the current sort of credit cost -- outcome of benign cycle or you are comfortable that this kind of credit cost anywhere around 2.5% to 2.7% for the retail is going to be comfortable over the cycle. So that is one. And then follow-up would be more on sort of some data keeping question.

If you can provide some breakup of this quarter's credit cost in terms of standard asset provisioning, NPA provisioning as well as what is the sort of amount of write-offs. And secondly, if you can provide at a consol level, what's the Stage 2 asset? Because I can see that for retail and at a consol I guess Stage 3, but not the Stage 2? Thanks .

Sudipta Roy :

Yes. So, I'll take your first question first. So, you need to understand that,

yes -- and I'll take your first question to

the fact that, yes, we agree that we are in businesses that are rural in nature. But what we also have to understand is that we have a decade-long experience in managing these businesses. And sort of the cumulative learning that the organization has, especially in all the states that we operate in. And at a village level, at a block level, at a taluka level, we know how the risk operates in that, we have a 10-year history of that particular geography. And our -- and the fact is that our collections discipline, it is very, very strong. And if you look at the -- our collections efficiency charts. For example, in our Rural Business Finance (RBF) businesses, we operate at collection efficiency, 0 DPD collection efficiency close to 99.7% to 99.8% in most markets.

So that way, between our understanding of the market, between our collections efficiency and again, because of the experience, our credit engines are also designed in a way to underwrite those customers. If you look at our approval rates, for example, in our RBF businesses, right. For every 100 customers applying, we only approve 45. We have approximately 45% approval rates. So that way, the thorough-the-door funnel is also very, very tight. And also, we have very strong credit monitoring as well as portfolio management practices. So yes, there is sort of at times the thought that in this business, you might have some localized event risk, right? But for that, we also have Rs. 1,200 Cr of macro provisions, which has been kept aside to deal with any of the sort of localized risk that might arise in the business.

But I'll again go back to what I answered in the previous two questions, is that though we have expertise, though we have a large track record, we are not resting on those laurels. We are trying to build a next gen credit risk engine for across all our lines of business, which will help us sort of to predict this risk better and sort of see even before hand even if -- and be sort of responsive to any sort of very minute leading indicators of sort of risk emanating .

Our teams are continuously on the ground. Our risk management teams are continuously on the ground traveling from location to location, trying to figure out whether there is any sort of semblance of risk that we might not be comfortable with emerging, and we immediately take action thereafter if we see any such sort of incidents or any hotspots developing.

So, it's a dynamic exercise. And we are continuously, as an organization, focused on it. So, we are confident that, as I said in the previous answer, that we have a guidance of 7% risk cost to opex trajectory, and we will try to sort of operate and navigate within that.

With regards to your second question, I think we have given detailed stage-wise separations in the Analyst Deck .

Avinash Singh :

That is not for consol? No, that is just for retail. I was asking consolidated, too?

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Sudipta Roy :

So as of now, we have given for retail, right?

Sachinn Joshi :

But actually, consol does not make sense because retail is what ultimately we are...

Sudipta Roy :

We are 91% retail now .

Avinash Singh :

Okay. And if you can just sort of provide credit cost breakup in terms of standard asset provisioning, write-offs and NPA provisioning for the quarter.

Sachinn Joshi :

No, we do not provide that. But rest assured that with what Sudipta just mentioned, the overall credit cost quarter-on-quarter basis, you have seen the trajectory coming down. And number two, the macro prudential provisions, which are currently on Micro Loans, there is also an internal discussion

that as we start growing in the retail space,

we would possibly like to create this on the full unsecured book, as we progress into the future quarters. So, there

will be sufficient conservatism that we have maintained till now and which we will continue with as we progress .

Avinash Singh :

Okay. And if you can just sort of tell what is the sort of security receipts that will be outstanding currently? And what kind of a timeline you would have sort of by time, I mean, the security receipts will be resolved fully -- I mean, whatever paid out or resolved?

Sachinn Joshi :

So, there is no additional impact this quarter. There has been only resolution which has happened. About Rs. 420 Cr of assets have got resolved from the overall security receipt value. It stands about Rs. 7,900 Cr roughly .

Avinash Singh :

Okay. And this will likely be resolved in next 2 years? I mean, because currently, they might be leading to a cost of maybe Rs. 120 Cr, Rs. 125 Cr annually, I mean, on that SR AMC fee. So, what...

Sachinn Joshi :

As mentioned in the previous call also, all these cases are in various stages of NCLT. And we believe that in next maybe 15 to 24 months, we will start seeing it coming down. In fact, this is the first quarter when we have already seen a resolution of Rs. 420 Cr. And depending on each case, where it stands, we will start seeing resolution .

Avinash Singh :

Okay. Thank you.

Moderator :

We take the next question from the line of Abhijit Tibrewal from Motilal Oswal .

Abhijit Tibrewal :

Yes. Good afternoon, everyone. Sir, 2 questions really. First one is a follow-up on the SR question that you answered. So, you said SRs on the balance sheet are about Rs. 7,900 Cr. These are the gross values of the SRs is what I presume or these are net SRs on the balance sheet?

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Sachinn Joshi :

Okay. Let me just summarize this for you. If we look at the overall asset book that -- if you look at what was the original EAD at the time of sale, the overall book was about Rs. 19,000 -odd Cr, out of which about Rs. 4,000 Cr have been received in cash, which -- and the provisions have been made to the extent of about Rs. 7,000 -odd Cr. So roughly Rs. 15,000 Cr was the book, excluding the cash that was received, and on which Rs. 7,300 Cr of provisions have been made. So broadly, if you look at the book that we have currently, it is about 40% of the original value. So, 60% has been either received, money received in cash or provided for already as it stands today. And this has been fair valued .

Abhijit Tibrewal :

Okay. And like you said, I mean, this is expected to get resolved within the next 15 to 18 months?

Sachinn Joshi :

That's right. And if you recall, last year same time in Q3, we had also fair valued the whole asset book. And at that point of time, we had mentioned that whatever provisioning is required on the full wholesale book will be taken care of through the reduction in the fair valuation which was done. And we do not expect any incremental hits coming to the P&L for resolution of loans on the book or of the books, which are in the form of SR .

Abhijit Tibrewal :

Got it. And sir, my last question is for Sudipta, sir. Firstly, again congratulations for taking up -- officially taking up the role of MD, CEO of this franchise. I just wanted to understand since July to now, I mean, from what we understand, I mean, you travel very extensively and you've been looking very deeply at all the retail businesses that we have, we have a very wide product suite across micro finance, two-wheelers, tractors, consumer personal loans, home loans. So I mean which businesses, I mean,

have you identified are maybe relatively weaker than the others in your product portfolio and will require some overhaul either from an underwriting or a collection perspective?

Sudipta Roy :

I would not say that any business is weaker or anything like that. There are businesses which are mature businesses and there are businesses which are developing businesses. There are businesses which are in the progress of scaling to the next level. I think we -- one of the realizations that I have had after sort of immersing myself deeply in all lines of business, is that we have excellent people, right, both in business and collections in

all our lines of business, right? What we need to do from here on is, as I said, sharpen our credit underwriting, sharpen our digital funnels and making sure that the focus on new customer addition as well as cross-selling on our existing franchise is, that discipline is maintained. So -- and while we give them air power of brand marketing, etc., we give them the air cover of that. So that is what we have been putting the ball into motion in the last 6 months. And as I can see, it is gaining momentum across the full organization across all lines of business. And you will see us moving the needle forward, going forward quarter-on-quarter.

Abhijit Tibrewal :

Got it, sir. And maybe in the interest of time, just one last question, maybe a follow-up on something you've already answered on Personal Loans. So, I mean what we saw in this quarter in Personal Loans is only temporary or transitory because this quarter, the disbursements were a 7-quarter low. But like you suggested, I mean, you've been kind of spending more time in this business, whether it'd be becoming a regulatory compliant or kind of sharpening your credit funnel. So, I mean going forward, we should again see you kind of resume the growth trajectory in Consumer Loans as well?

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Sudipta Roy :

Absolutely. So, in Personal Loans, this quarter, I would call a reorientation/pause quarter to make our system stronger, both from a business credit as well as a regulatory standpoint. And also, the customer experience standpoint on our digital funnel, right?

So, we already have resumed the growth trajectory, and you will see this business moving forward in the coming quarters. And I would say, in a risk-calibrated fashion, this is very, very important. This is something that we will not compromise on, right? So, we will grow this business in a risk-calibrated fashion.

Moderator :

The next question is from Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania :

Congratulations Sudipta sir. I had a few questions. On Housing, first of all. So, if you see most lenders who are into prime and above that ticket size lending have not seen any housing loan growth, so what are you competing for in Housing? What would your average ticket size be, first of all? And I mean, how competitive are your rates relative to others?

Sudipta Roy :

So, Mahrukh, our average ticket size for Housing is between Rs. 60 lakhs to Rs. 65 lakhs, which puts it almost in the prime category of housing loans. So, on Housing, we are focused as of now in two lines of business. One is business generated either through our builder tie-ups, etc. And the second thing is that where we go through our channel partners, or our channel team either digitally generates or through leads that we get organically. So that is sort of -- but we are focused on as of now in the prime and the near-prime segment in housing loans. And we are -- and as we have said, this is a line of business which we intend to grow going forward. And because

-- this

also provides a very large volume of low-risk ballast to entire retail book. In terms of our rates, because if you look at our cost of funds profile, we are able to sort of compete in the prime space there and sort of our rates are more or less comparable to most of the other banks or some of the leading NBF Cs. So that way, we're able to compete. If you see our top line numbers, our top line numbers are growing in a healthy fashion in this particular business quarter-on-quarter. And we remain focused on this business, and we are hopeful that over the next couple of quarters, we'll be able to grow this business even more strongly.

Mahrukh Adajania :

Right. Because overall, the sector is not seeing much growth. That is the reason why I was asking ..

Sudipta Roy :

Yes. So, the fact is that there is a good amount of healthy sort of end user demand, which we are seeing in some markets. But again, if you look at our overall book size, our overall book size is not very significant as of now. So, objective for us now is to more sharply define our product proposition, make sure that our digital journeys are absolutely top-notch. And our servicing capabilities in this particular line of business are further improved. So, our focus right now is to grow this business to a reasonable amount of scale while we optimize the digital delivery, we optimize the product proposition, as well as optimize the service channel. So that is what we are focused right now. And the amount of demand which is there in the market, is sufficient for us to grow.

Mahrukh Adajania :

Got it. And my next question is -- so you have kind of tightened the credit filters on Personal Loans. It's a temporary pause. You also mentioned something on regulatory compliance, which I didn't understand fully, but I'll come to that a bit later. But do you see yourself doing that in any of the other businesses? And I specifically ask on MFI, where your collection, rural and MFI put together, your collections are still monthly, whereas most players are on

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a much lower collection schedule and some of them are tightening. Those who are on monthly like Spandana are trying to progress to faster or quick or shorter duration collections, so?

Sudipta Roy :

Mahrukh, I'll take your first question on Personal Loans first in the sense that on the -- let me sort of clarify on the regulatory thing. The fact is that it's not any -- so we are actually implementing video KYC. So, video KYC is, obviously, an RBI's acceptable method of doing customer KYC. So, the entire video KYC stack actually had to be built and pushed into the system and then optimized, right?

So that was the only thing that I mentioned from, it's not that we are not compliant or anything like that. We're adding an additional KYC, digital KYC methodology, which is moving to 100% digital video KYC right now. So, there's no physical collection, etc. So, customers who come online or customers who are sort of even through our partner channels, if any customer comes, the only method of KYC is video KYC. So that is the only thing that we have sort of added in our Personal Loan business.

In terms of Micro Loans business, if you see our collection efficiencies are very strong, and our collection cycle are actually from the 1st to 12th of the month. So, the first 12 days of the month is spent on collections. So that way, we are almost spending almost half of the month in collections.

Other lenders, they follow different practices, fortnightly practices, weekly practices, etc. But we do believe that sort of front-ending the collections effort towards the beginning of the month gives us a lot of

freedom to focus on

business generation in the latter part of the month.

So, this is a model that we have been running for many, many years now, and it works really well. And as you can see, we have collection efficiencies of 99.7% to 99.8% in most of the markets. So, this is working well for us, and we intend to continue it.

Mahrukh Adajania :

Got it. And just 1 clarification. So, by how much have your Personal Loan disbursement rates moved up by? You said that your cost of funds has increased 10 -12 basis points. You've been indicating that since the RBI circular. But so, your cost -- your yield on personal loan would have moved up by what range? Unsecured, I mean.

Sudipta Roy :

Yes. So, if you see Y-o-Y, it's about, yes, 1%, it's moved about 1%, right ...

Mahrukh Adajania :

Okay. No, I mean new disbursements post the RBI circular?

Sudipta Roy :

We haven't made any -- see, as of now, our cost of funds, etc., hasn't moved that significantly. It's been a little bit 2 basis points movement. So, if your question is whether we have gone and repriced our Personal Loan, as of now, we have not repriced our Personal Loans as of now, because the increase in cost of funds quarter-on-quarter for us has been about 2 basis points. But going forward, yes, we will reprice.

Mahrukh Adajania :

Okay. So that increase will be 30 -35 basis points. How much will it be and by what time ?

Sudipta Roy :

That is something that we will decide on the course of doing business. That is something which, unfortunately, I cannot give a guidance on the call. And so, it's dependent on multiplicity of factors. It's dependent on how the market has responded. It depends on how our competitors have moved their rates upwards and what is our sort of estimation of how much the conversion funnel will drop if I take the rate above a particular level. So, Mahrukh, it's -- fact is that right now, the rate is dependent also on the Bureau score, right? If you have a higher bureau score, your rate is lower. If you have slightly -- so most of our Personal Loans funnel operates on a risk-based

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funnel. So, it's not one uniform rate all over. But yes, if our overall input cost of funds goes up, our overall stock through the door, inward stock should see a rise in rate and that we will decide maybe over the next couple of months, right? As and when we know the -- we have a visibility of how our cost of funds is moving.

Mahrukh Adajania :

Okay. Thank you, so much. Thanks a lot.

Sudipta Roy :

Thanks, Ma hrukh.

Moderator :

Thank you. The next question is from Kunal Shah from Citigroup. Please go ahead.

Kunal Shah :

Congratulations, Sudipta. So first, when we look at it in terms of yields. So, in fact, yields has moved up quarter-on-quarter. So, one would be obviously the mix shift towards Retail. But if we look at it in terms of the AUM growth this quarter, largely the AUM growth is led by the lesser yielding loans. So be it in terms of home loans, LAP, SME, acquired portfolio. So, then what is leading to this kind of an increase? Has there been any rate pass-ons in any of these segments which you would have seen?

Sudipta Roy :

So, see, most of our businesses have had a good disbursement trajectory over the last two quarters. Our Rural Business Finance business has had a strong disbursement trajectory over the last two quarters, our SME business ... plus also, we -- the first obviously thing contributing is the change in retail mix. We are now 91%. So as and when we are becoming more retail, you will have higher yields.

Plus also, within our Retail mix also, our Rural Business Finance vertical has been doing quite well, and the

re

have been strong and robust disbursement over the last two quarters. Our Two-wheeler business has been doing well. There has been strong disbursement over the last -- again, this quarter has been quite good for Two-wheelers. So overall, the buoyancy in disbursement, and the buoyancy in disbursement of some of our high-yielding products as well as the change in retail mix is overall contributing to the movement upwards of the yield.

Kunal Shah :

Okay. And secondly, if you can reconfirm Wholesale PAT. Should it be again the loss of Rs. 20-odd Cr and Retail being there at Rs. 660-odd Cr, given that you have shared 3.37% of ROA for retail business?

Sudipta Roy :

Yes, Sachinn will take this question.

Sachinn Joshi :

Yes, hi, Kunal. We had mentioned that the hit from the wholesale book overall will not exceed Rs. 50 Cr per quarter and a maximum of Rs. 200 Cr is what can be built up in any model. And as we start moving in more and more into Retail, you will start seeing -- in fact, this is the first quarter when we have said that let's stop looking at Retail and let's start looking at the consolidated financials and the ratios to be monitored, because I think the time has now come where we would like to take up that challenge of saying that this is the ROA, 2.53% is the ROA that we have. We would like to get into the trajectory of 2.8% to 3% over a period of time by FY26. Which means that directionally, we would want these numbers to keep moving up. And we are pretty confident, and that's the reason. I mean this is a quarter when we've just taken that call, that let's stop looking at just the Retail numbers and start looking at, monitoring it and achieve that.

Sudipta Roy :

So, in addition to what Sachinn said, as I said during my call also, is that now we will move towards adopting the Lakshya goals for consolidated basis. So original goal was Retail ROA between 2.8% to 3%. We are adopting

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now consolidated ROA to move from 2.8% to 3%. And we are confident that by FY26, we should be able to hit those numbers.

Kunal Shah :

Sure. And if I can squeeze in one more question. So one is, maybe when you look at it in terms of the overlay buffer, you said you will create on the entire unsecured. So now you will add another provisioning on the Rs. 6,500 Cr of Personal Loans. No other segments besides this. So, it will be an incremental provision on Personal Loans?

Sachinn Joshi :

Personal Loans and SME, both -- SME, Personal Loans and Rural Business Loans, these are the three businesses that are unsecured. As we had mentioned in our earlier calls, the unsecured to secured ratio will be about -- unsecured will be in the space of 45% to 50% because that's what the rating agencies are also comfortable with. So, over a period of time, as this mix starts coming up, start growing, it's not that we are going to do immediately in the next quarter. But directionally, we would like to ensure that we are conservative, and we create these buffers so that if there is any event-based challenge, which comes up, we are able to deal with it without any major impact to the P&L.

Kunal Shah :

Sure. Thanks. And all the best, yes .

Sudipta Roy :

Thank you, so much Kunal.

Moderator:

Thank you. The next question is from Viral Shah from IIFL. Please go ahead.

Viral Shah :

Yes. Hi, thank you for taking my question. And first of all, congratulations, Sudipta, on taking on this role and also on a good set of numbers. So, I had a few questions. So basically, first is on the consolidated book, while you are saying that we need to look at now on the consolidated P&L, wanted to check if going forward,

if we can give also

the breakup of the Stage 1, 2, 3 loans on a consolidated basis that will help us to get a better clarity on the entire P&L and the balance sheet piece. Just looking at it in the isolation on the P&L does not help .

Sachinn Joshi :

So Viral, if you look at the book itself, it's just down to Rs. 7,000 Cr, and it will come down below Rs. 5,000 Cr. All we can talk about on that book is that it's a standard book, and it has been. It's not that only the bad book has remained after the down selling. This book is a standard book. And we would not like to sell it down at throwaway prices very clearly. And that's why we said that we will -- our Retail mix will be -- the next target is to be more than 95%. And next year onwards, if at all the book remains, we will start showcasing, there will be a few accounts now, which will be left, just 3 to 4 accounts. So, we will have no qualms in terms of sharing that data with everyone. At this point of time, frankly, because we are moving into Retail, we thought it was advisable to just do the Stage 1, 2, 3, the wholesale book has been going down quarter-on-quarter.

Last year, same time, we were sitting on Rs. 35,000 Cr book. No point in showcasing stage-wise things when things are moving so rapidly. It gives the wrong picture. We thought that we will first do the accelerated sell-down. And once the book becomes stable, in case, suppose we are able to retain, say, Rs. 4,000 Cr to Rs. 5,000 Cr book, we may possibly look at sharing that.

Viral Shah :

Okay. The next question I had was on basically the risk-weighted asset growth. So, I'm looking at your Tier 1 in this quarter. And if I look at then the -- basis your net worth, the implied risk-weighted assets, there has been

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around 3.7% sequential increase in your risk-weighted assets, whereas your loan book has grown at 3.9%. So why would this be given that part of your book would have seen higher risk weights in this quarter?

Sachinn Joshi :

So, you're looking at the end of the quarter. So, there are two components to it. One is the profit gets added, okay? The capital is higher at the end of the quarter. Number two is the RBI circular impact was about 60 basis points, and that was only on one of the books, which is the Personal Loans. So, the overall impact was about Rs. 2,400 Cr book, I believe. It was not more than that. And so because the book has been -- certain specific books are growing, the CRAR requirement, if you look at between two quarters, it was about 23 basis points, if I'm not wrong, the reduction, which has happened. So, it's a mix of all these. One is the circular impact. The other is addition of the profit to the overall capital. And then the change in mix during the quarter.

Sudipta Roy:

This has gone down from 22.99% to 22.8%.

Sachinn Joshi:

Yes. So, in fact, Tier 1 has gone -- I was talking about the overall CRAR number. Tier 1 is 22.99% to 22.84%.

Viral Shah :

Got it. And just as a clarification. So, the Rural Business Finance book does not see higher risk weights given that it is not a MFI loan because historically, you have said that it does not qualify in the technical sense of RBI's definition. So, will that not see higher risk weight?

Sachinn Joshi :

So Rural Business Loans, each loan is given specifically for business purposes. The circular applies to loans which are -- especially on our book, it is applying to the Personal Loans, which are not specifically given for. So, end use is not mentioned as for personal purposes. So, till the time it is for consumer consumption, that is what will apply to this. All other loans which are given s

pecifically for business purposes get out of it.

Viral Shah :

Got it. And the last question I had was on the collection efficiencies. So, while in the other segments, it's trending

pretty good. In two specific segments, the Two-wheeler and the Consumer Loans or the Personal Loans. Over there, on a sequential basis, yes, the collection efficiencies is flattish. But if you look at it, say, on a Y-o-Y basis, it is still anywhere between 20 to 100 basis points lower. So why would this be?

Sudipta Roy :

See, on Personal Loans, if you look at -- actually, it's actually improved from 98 -- if you see, 98.3% at the end of September to about 98.7% in December. So, it's actually improved, right, collection efficiency for Personal Loans. And Two-wheelers, if you look at what it was in September, it was at 97.9% and gone up to about 98.4% in December. So, these are like -- we are trying to -- obviously, with every passing month, we are trying to improve our sort of efficiencies. And right now, from a trajectory basis from September to December, definitely on Two-wheeler, we are seeing an improvement in collection efficiencies.

Viral Shah :

Sorry. But actually, what you are referring to is the collection efficiencies for the month. If you look at it, say, for the whole quarter, I think it's kind of similar only quarter-on-quarter. But more importantly, on a Y-o-Y basis, it's still lower? Like, is there any trend that you are seeing? What is driving this?

Sudipta Roy :

There's no specific sort of risk pockets or anything that we are not seeing. You'll also have to be appreciative of the fact that between last year and this year, the book size also has grown. Our disbursements also have grown. And as I said, we are on Two-wheeler specifically. You will even recall what I said at the beginning of the call is

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that we are trying to push our through -the-door funnel towards more and more prime acquisition, right? This has been 750 Bureau score, or EVs or assets of ticket sizes greater than Rs 1.5 lakhs. So that is what we have been trying to do. And over the last three months, we have seen significant progress in that. And we are very confident that that will show up in improved quality, improved credit quality a couple of quarters from now.

Moderator :

Mr. Shah, I'm really sorry to interrupt but maybe request you to rejoin the queue as there are several other participants waiting for their call. Thank you.

Viral Shah :

Thank you.

Moderator :

We take the next question from the line of Shweta Daptardar from Elara. Please go ahead.

Shweta Daptardar :

Congratulations, sir, on assuming office at the helm and on a good quarter. Sir, I had a similar question as previous participant. So, on the Two-wheeler front, so while you mentioned that you're moving to the prime customer base, sir, what would be the urban-rural divide as in the prime and the rural customer divide? And what could be the NPA range on the Two-wheeler portfolio?

Sudipta Roy :

Shweta, we don't do much of rural Two-wheelers actually. Most of our Two-wheelers are urban and some parts semi-urban. So, we don't do much of rural Two-wheeler. So, I'm not sure whether I'll be able to give you a number there on rural.

Shweta Daptardar :

Okay. Sir, what could be the prime customer mix there on the Two-wheeler side?

Sudipta Roy :

Granularly, we have never given out what is the prime. And the fact is that it is something that we have just started over the last couple of quarters. But I'll sort of describe to you what are the sort of segments which are there, right? So basically, about anything above Rs 1.5 lakhs -- but yes, sorry, i

n our Investor deck, we have not given

any such sort of breakup. But I'll give you what are the sort of markers we take.

The first marker is that income plus -- if you have an income above a particular threshold, which you fall into a particular prime category. If your CIBIL score is above 750, you fall into a prime category. If the asset size is greater than Rs 1.5 lakhs. Typically, what we are seeing is that if the asset size is more than Rs 1.5 lakhs, your loss rates are about half of through -the-door other categories. So that falls into our prime category. If someone is putting a higher loan-to-value. For example, if someone is putting in about 40% of own equity by buying a Two-wheeler, the loss rates of that category is much, much lower. So that also falls into our prime category by our definition. And also, if you look at the slide number 14 in the analyst presentation, there, we have given the prime customer share actually in the analyst deck. If you see, it has moved from 35% in Q3FY23 to about 41% in

Q3FY24. So, there has been about a 6% move in prime. And if you see the majority of the move has happened after Q1FY24, where actually we have moved 5 percentage points in the last two quarters. I don't know whether you got that slide, it's slide number 14.

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Shweta Daptardar :

Yes. I am on that slide, and this is helping. Just one bit there. So have the NPA trends, or is there a down trending of NPAs as on today, vis -à-vis, two years ago for us on Two-wheelers?

Sudipta Roy :

Sorry, the line was not clear. Can you repeat your question?

Shweta Daptardar :

Are NPA trends or are NPAs in Two-wheeler portfolio down trending, vis -à-vis, say, 2 years ago compared to what it is today?

Sudipta Roy :

Overall, I don't think we have given a NPA trend on our business -wise, we have not given. But overall Retail, you can see overall retail is improving and the focus is on improving the credit performance and the credit sort of profile of each and every line of our business. We are pushing equally on improving the credit profile of all of our lines of businesses. And one part of it is maintaining it, if you look at our -- if you look at our collection efficiencies on Two-wheelers, our collection efficiencies also have been holding, right? So that's what the entire focus is, to push the credit quality better and to make sure that your delinquencies sequentially goes further down. And if you see our Stage 1 number, especially in Retail asset quality has actually been overall -- in spite of the overall book size growing, your Stage 1 has been going up continuously. So, the focus is on improving credit quality on every quarter through every initiative that we are taking.

Shweta Daptardar :

Okay. And just similar observation which was made earlier. So, in the home loan book, your annual growth has been north of 30% -35-odd-percent, vis -à-vis, slack -- or slackness in the industry, which you already comprehensively addressed. So, can you just also highlight what are -- how are the distribution channels there? And what is our LTV?

Sudipta Roy :

So, our distribution channel...

Shweta Daptardar :

Distribution as in acquisition -- sorry, customer acquisition, say, from the parent or lead generations internally, something on those lines and your LTV?

Sudipta Roy :

So, distribution channel means origination channel for the loan? Sorry, I just needed the clarity.

Shweta Daptardar :

Yes, origination channel I meant. Yes.

Sudipta Roy :

Yes. So, the origination channel is basically DSA is one large origination channel. Builder, especially direct -builder tie-ups, or APF business is another o

rigination channel. And the third origination channel is our digital/cross -sell channels. So, these are the three main origination channels. In terms of LTV for Loan Against Property, our LTVs are about 65%. And for Home Loan, our average LTV range between 75% to 80%.

Sachinn Joshi :

This is regulatory.

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Sudipta Roy :

Yes, anyway it's regulatory.

Shweta Daptardar :



Sure, sir. That helped.  
Sudipta Roy :  
Thank you.

Moderator:  
Thank you. The next question is from Saurabh Kumar from JPMorgan. Please go ahead.

Saurabh Kumar :  
Sir, just 1 question. So, of the security receipts book of Rs. 19,000 Cr gross, what was the Real Estate contribution to this whole book? And of this Rs. 400 Cr recovery, what is the income you booked in the P&L? Thank you.  
Sachinn Joshi :  
So, income yields would be in the range of anywhere between 13% to 15% when we started, when we would have actually sanctioned these loans, those were the yields that we were getting. But once you actually sell it off to an ARC we cannot book any income.

Saurabh Kumar :  
No, no, on the recovery, you would have booked, right, the Rs. 400 Cr?  
Sachinn Joshi :  
Recoveries, I mentioned about Rs. 4,000 Cr is what we recovered in terms of cash. So, the net book post recovery is about Rs. 15,000 Cr, and we have made overall provisions over the period of time.

Saurabh Kumar :  
So, this quarter, you have added Rs. 400 Cr recovery, right? So how much got booked this quarter?  
Sachinn Joshi :  
Yes. So, this recovery is the -- along with interest and all it has come, about Rs. 420 Cr.

Saurabh Kumar :  
Okay. So, it is part of your NII this Rs. 420 Cr?  
Sachinn Joshi :  
Yes, yes, it is part of that.

Saurabh Kumar :  
Okay.  
Sachinn Joshi :  
No. One second. Rs. 420 Cr is not just interest, because it's also the principal which has been recovered.

Saurabh Kumar :  
Yes. So how much has got booked in the P&L?

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Sachinn Joshi :  
It does not come in NII.

Saurabh Kumar :  
Okay.  
Sachinn Joshi :  
Because it is an investment, right? So, the -- so we can possibly explain you offline.

Saurabh Kumar :  
Okay. Got the piece. Okay. The second is, sir, of the Rs. 19,000 Cr, what is the total value of the Real Estate book of this Rs. 19,000 Cr?  
Sachinn Joshi :  
No, I won't have that number. Maybe we can speak offline.

Saurabh Kumar :  
Okay. Thank you.

Moderator:  
Thank you. The next question is from Kaitav Shah from Anand Rath.

Kaitav Shah :  
Sir, can you talk more about the demographic conditions at present in rural, semi -rural where you are focused

on? How comfortable are you with the growth and collections?

Sudipta Roy :

Okay. So, see, India, we just cannot paint one uniform picture across all rural areas. But what I will try to do is that give you a sort of a sectoral picture -- and this is something, there is data available and there is perception available. Perception comes on during our visits and data comes obviously from syndicated sources.

So first, I will give you our perception, right, a perception which we get when we travel extensively to rural areas while supervising our various lines of business. So, from a perception point of view, what we believe is that there is South of India, especially, there is nothing called pure rural anymore. South of India, especially in AP, Telangana, Tamil Nadu, Kerala and Karnataka,

it is mostly semi urban, right, where leaving standards -- and during our travel, we do not see agrarian distress to a very large extent in the South. And if you look at, though the rainfall has been -- actually last year because of the El Nino conditions, and there are some water table issues, especially in some markets, our Rural Business Finance demand as well as collection efficiencies continue to remain strong. And so in that way, those businesses are operating quite well.

The business in which we have, at times, we -- the industry is sluggish, is the Farmer Finance business, especially our Tractor Finance business, where the industry has sort of more or less seen a sort of even keel as compared to what the numbers were last quarter. But in spite of that, our business has continued to grow because we have been focusing on our repeat customers, as well as making sure that we have greater penetration at a particular dealer level.

So, I think the rural economy is quite, I would use the word resilient as of now, right, in spite of some of the sort of erratic rainfall, etc. But if you look at the rabi sowing right now, which is the leading data that we have, the rabi -- acreage under rabi sowing has actually improved. It is about 5% more than what the expected number was, which actually augurs well for the crop going forward.

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So, I would say that we are -- cautiously, we are looking at this particular area. And the fact is that wherever there are certain pockets of support, which are needed, the government is stepping in and providing that -- those pockets of support, either in terms of MSP or in terms of fertilizer subsidy or whatever, right?

So that way, I do believe that the rural sector is quite resilient. And there is -- we do not see any -- as of now, we do not see any massive headwinds developing in this particular sector, and we expect to maintain our normal business trajectory as well as collection efficiencies going forward.

Moderator:

We'll take that as the last question. I would now like to hand the conference back to Mr. Sudipta Roy for closing comments.

Sudipta Roy :

Thank you, everyone, for joining us this morning, and we liked the interaction with all of you. As I said, we'll be also available for one-on-one meetings or any other clarificationary questions that we might need to spend more time on an offline basis. We're happy to do that.

As you are aware that Mr. Dinanath Dubhashi has wrapped up his eight long years of tenure at the helm of this organization. So, it is fitting that I would -- I should invite him to say a few words at the end of this analyst call.

Dinanath Dubhashi :

Thank you. Thank you, Sudipta. Thank you very much. Thank you, all of you. In fact, there is -- as I sit here today, there is only one word which comes to my mind, which is thank you and feeling tremendous amount of gratitude towards each one of you. I received lots of support, lots of respect, lots of love from each one of you.

First of all, I wish each one of you all the very best in your life. God bless all of you and your near and dear ones. That would be my biggest wish. I wish Sudipta and his team all the very best. And I have full confidence that the company will grow to immense strengths under his leadership.

I have been listening to the questions, and I would just summarize that there will be details, there are quarter-on-quarter movements and all that. But I would like to share with you the direction that the company is taking. And we are just talking about the next -- till the Lakshya 2026. You will see exciting plans being raised even after that. But just talking about history. O

One year back, when we started the rapid reduction of wholesale, there were quite

a few people who doubted whether we'll be able to do it without any decrease -- any hit to P&L. And I think the team has indicated that not only the team has remained together. But that kind of -- beyond everybody's expectation, the reduction has been shown.

And let me assure you, that, that will continue. And the promise of any further hit to P&L not being there will be kept. We have also built tremendous amount of strengths, business strengths, channel strengths on each of our businesses. Again, there will be quarter-on-quarter ups, downs based on industry.

But based on the channel strength, business strengths we have built, also the cross-selling, upselling strengths

we are building, we will try to smoothen them as much as possible and have secular growth, which the team has been showing till now and will continue to show.

Lots of questions on credit cost, and I would only say that till now, we have been tremendously concentrating not only on underwriting, but also collection and maintaining and reducing the trajectory of credit cost. And with the new initiatives that Sudipta has brought to the table, with his experience from his previous organization and adding to that, I'm absolutely confident that credit cost will trend down secularly.

There were questions about quarter-on-quarter, how will it grow? Of course, those things will keep happening, but secularly, and we have shown that also over the last few years. The only item, which we believe will remain a little sticky, is the opex. We have always indicated that the investment in people, investment in branches, investment in digital, investment in brand, we will not be shy of them. We believe that this bodes well for the long-term future of the company.

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I can only now summarize by saying that always the ROA bridge that we have guided towards indicates and now even at consolidated level. And Sudipta upgrading the same guidance from retail to consolidated very clearly shows the intent of the management. And way back in 2016, I had talked about management intent. And I see the same intent and Sudipta is upgrading the target keeping them same, whatever was for retail now for consol. So, all this bodes well, and I would only request all of you that the same support, same love, same respect that you gave me, much more than that, I'm sure and hope, that you will give it to Sudipta. With that, I will sign off. Many of you know my personal number, personal e-mail. If you don't know it, you can take, and it would be great to generally interact with each one of you. I'm sure I will only benefit. Thank you very much, and God bless you.

Sudipta Roy :

Thank you so much. And with that, we would end this call.

Moderator :

Thank you very much. On behalf of L&T Finance Holdings Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any

## Call: May 2024

May 7, 2024

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: L TF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q4FY2024 and FY2024 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 4FY2024 and FY2024 financial performance and strategy update held on April 29, 2024.

The above information is also available on the website of the Company i.e., [www.ltf.com/investors](http://www.ltf.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited )

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Raju Dodti ( Chief Operating Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q4FY24 and FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .

We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team .

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion during interaction in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q4 results presentation sent to all of you earlier .

I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :

Thank you. A very good morning to all of you. I welcome you all to the Investor call for Q4FY24 and the close of the financial year 2024. With me on the call are – our CFO, Mr. Sachinn Joshi, COO Mr. Raju Dodti and the senior management team of L&T Finance .

Today's call is again divided into two sections, taken up sequentially by myself and our CFO – Mr. Sachinn Joshi, who will

be talking about the overall business metrics & financial performance at length.

Post our opening commentary we will be happy to take questions on the call .

Q4FY24 Highlights

I would like to start the call by sharing our satisfaction not only with the quarter's performance but also with the annual performance, wherein we have registered the highest ever yearly PAT of Rs. 2,320 Cr, a growth of 43% YoY. Moreover, we maintained a strong trajectory in our Q4 disbursements ending with an overall disbursements growth of 33% YoY and 4% sequentially over the Q3 festive quarter. Last quarter, I had emphasized about making our retail growth trajectory sustainable & predictable. In view of that we would like to conclude that our Q4 Retail growth performance has been extremely encouraging .

Lakshya 2026 Goals at Consol Level

Having met Lakshya 2026 goals at retail level in Q3FY24, we are re -orienting ourselves for convergence at the consolidated level by FY2026, as detailed in the last quarter. Accordingly, the new targets for Lakshya 2026 are as follows:

- Retailisation at >95%, against which we are at 94% in Q4FY24
- Retail book growth to be maintained at >25% CAGR. In Q4FY24, the growth stood at 31% YoY

- While we have improved portfolio quality by sustaining the Retail GS3 & NS3 levels within the threshold levels, we have now tasked ourselves to converge Consol GS3 & NS3 below 3% & 1% respectively. The corresponding numbers stood at 3.15% and 0.79% at the end of FY24
- On the RoA front, we are moving from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. Our Consolidated Q4FY24 RoA stood at 2.19% and annual FY24 RoA stood at 2.32% after an additional prudential provision about which I'll talk in detail subsequently. It is important to note that before the prudential provisions our unadjusted RoA for Q4FY24 stood at 2.63% and for FY24

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stood at 2.43%. I would like to draw your attention to Slide No. 6 of the investor presentation where this has been delineated in detail .

#### Executive Summary :

I would like to quickly run you through the key highlights of our performance in Q4FY24 and for the full year FY24

- Highest ever annual PAT of Rs. 2,320 Cr in FY24, a growth of 43% YoY. The unadjusted figure before the additional prudential provisions stands at Rs. 2,432 Cr, a growth of 50% YoY
- Highest ever annual Retail disbursements of Rs. 54,267 Cr, growth of 29% YoY
- Highest ever quarterly Retail disbursements of Rs. 15,044 Cr, growth of 33% YoY. Well-tuned acquisition engines ensured that the Q4 disbursements exceeded that of the festive Q3 quarter
- Retail book crossed the Rs. 80,000 Cr milestone (Rs. 80,037 Cr), up 31% YoY
- As shared in the last 2 quarterly updates, the 5 Pillar strategy continues to be central to our roadmap to the future. The organisation continues to granularly execute the 5 Pillar strategy, details of which are available from Slide No. 11 of the investor presentation
- Sustained focus towards improvement in credit parameters across businesses ensured Consol. GS3 and NS3 numbers coming down by 159 bps to 3.15% and by 72 bps to 0.79%, respectively at the end of FY24. The Provision Coverage Ratio (PCR) currently stands at a comfortable 76%, up from 69% during the same period last year
- The company continues to focus on strengthening IT and information security infrastructure, risk management and business controls while building a strong compliance culture supported by a robust governance framework

#### Macro -economic outlook :

I would like to give you some flavour on the Macro -economic scenario

and prospects of monsoon before

proceeding to the 5 pillars of our execution strategy .

As far as the Global economy is concerned, growth forecasts for 2024 have been raised in recent months by multilateral organisations and rating agencies during Q4FY24. It will however have to be seen how the troika of global indicators (US Treasury yield, Dollar Index and Brent crude), which are hovering around their six -month high levels and the geopolitical tensions in the middle east evolve during the course of the year .

The country's GDP growth rate for FY25 is projected to remain strong at 6.8% aided by continued strength in domestic demand. Production indicators especially in non -agricultural sectors posted strong growth during Q4FY24, led by strongest manufacturing output in nearly three & a half years. However, pockets of concern remain around the 'unevenness' in consumption recovery during Q4FY24. As far as the premium consumption demand in the economy is concerned, it continued to remain strong in Q4, but demand for goods & services of mass consumption remained subdued. On the inflation front , retail inflation dropped from 6.42% (avg) in Q2 to 5.01% (avg) in Q4 on the back of a significant drop in core inflation aided by a tighter monetary policy. However, food inflation continues to remain sticky and will have to be monitored .

On the monsoon front, IMD has predicted a high probability (61%) of above normal south -west monsoon rains in 2024 with La Nina conditions likely to develop during Aug -Sep'24. Some areas in Northwest, East & Northeast are likely to receive below normal rain fall. The timely arrival and temporal & spatial distribution of monsoon rainfall will have to be closely monitored especially given the backdrop of precarious water reserves in the southern and western regions. The ongoing weakness in rural demand is likely to spill over into H1FY25 due to probability of uneven monsoonal rains and decline in crop output in FY24, as per ICRA. Urban consumption is projected to remain upbeat in FY25, though uneven.

To conclude, a few challenges still persist in the NBFC sector in FY25, namely - access to funding at competitive rates, tight liquidity conditions and the 'higher -for-longer' global policy rate regime and elevated competitive pressure especially from other competitors in the market . We will continue to keep a close watch on the emerging

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scenarios, across products and customer segments to shape our policies and chart out the future course of action accordingly .

Double Click on the 5 pillars of execution :

As I mentioned earlier, I would now like to dive deeper into what we call the '5 pillars of execution' which will help us in creating a sustainable & predictable retail franchise.

1. Customer Acquisition - As I mentioned in the last call, we have started executing on deepening the customer acquisition funnel both, horizontally which means greater geographical coverage as well as vertically which means greater counter share at dealer points. For instance, the number of new villages / zero disbursement villages activated for Rural Group Loans & MFI stood at 21,524 in Q4FY24, which is a sequential increase of 66%. Similarly, our Two -Wheeler distribution points increased to 10,711 from 9,501 in Q3FY24, which is a 13% increase. This granular distribution surface area increase has actually enabled us to maintain the Two-Wheeler disbursement momentum in Q4FY24 as against the peak festive quarter in Q3. We have given out details for all relevant lines of business in slide nos. 12 & 13 of the investor presentation .

2. Sharpening Credit Underwriting - Buildin

g next generation credit underwriting models has been one of the most important focus areas for L&T Finance. The work on the next generation digital credit engine has progressed at a satisfactory pace and we expect the Beta version to be deployed in production towards the latter part of Q1FY25. This in-house proprietary risk engine would underwrite customers on a multi-dimensional axis while ingesting bureau, account aggregator and alternate trust signals at scale using ML-based ensemble scorecards built after extensive analysis and overlay of historical credit performance data on all the axes. The initial back testing of credit performance data on the efficacy of the models has been extremely encouraging. We are confident that this engine would add significantly to the underwriting depth of L&T Finance and help create a deeper moat in our fulcrum businesses .

3. Futuristic Digital Architecture - We are committed to becoming one of the pre-eminent technology driven lenders in the country. Our technology efforts are divided on 4 quadrants, namely designing superior customer experience, digital process engineering, augmenting IT infrastructure and strengthening information security. In the last quarter, we improved on our digital journeys of our Personal Loans, Home Loans and Two -Wheeler businesses. We migrated our SME business to Salesforce from a legacy platform. B RAKE App, our in-house collections application went live this quarter. We have started working on a revamped customer portal and the next generation of our Planet App, which has now crossed 9 Million downloads .

4. Brand Visibility - The objective of investment behind brand visibility augmentation is to capitalize on the already strong recall of the mother brand Larsen & Toubro and build customer mindshare for L&T Finance in our operating lines of business. We are hopeful that the increased brand awareness will lead to L&T Finance's products finding its way into the customer's consideration set and result in higher sales and customer retention. In the last quarter, we have invested in building visibility around high traffic customer points like airports and in-flight advertising on the urban side and wall paintings and melas on the rural side. During the quarter, we also launched our Sonic identity for better subliminal brand association and recall. Those on the call would recall that the holding tune you heard is our new sonic identity that we have launched recently. You will see widespread use of this sonic identity and various upcoming versions of it, both internally for the people within the organisation as well as externally for existing & prospective customers. We will be launching integrated marketing campaigns for some of our focus products in the coming months and they will be visible in the market soon .

5. Capability Building – In terms of capability building, we have strengthened the LTF leadership in critical functions in the last quarter and have created a strong advisory framework. We have inducted leaders with significant experience in their respective domains with a track record of successful results delivery. To sharpen the focus of the organisation on technology and data driven business delivery with a sharper consumer recall we created and filled the positions of Chief Digital Officer, Chief AI & Data Officer and Chief Marketing Officer, with senior veterans. In order to strengthen the advisory framework in critical areas we have onboarded

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seasoned industry professionals with successful track records to add fire power to our teams. Please refer to slide no. 20 of the investor presentation

for their detailed profiles .

Update on the Wholesale Business :

Now, I would like to give you an update on the Wholesale business and the related investments in Security Receipts with ARCs.

As many of you will recall, since the launch of Lakshya 2026 strategy in April 2022, the Board in order to pivot towards Retailisation, had in Q3FY23 decided to change the business model in Wholesale to enable an

accelerated transformation. The wholesale assets were reclassified from Amortized Cost to Fair Value Through Profit and Loss. In line with this, a fair valuation of the Wholesale assets was conducted by an independent valuer. Given a shift to accelerated sell -down of the Wholesale book, it was envisaged that certain illiquidity discounts were to be given to potential buyers during the sell -down process . To give effect to this, the Wholesale book was fair valued down by Rs. 2,687 Cr in Q3FY23.

Apropos to the above, I am pleased to share that the Company was able to sell down/ reduce the on -book Wholesale portfolio successfully from Rs.38,058 Cr at the end of Q2FY23 to Rs.5,528 Cr by the end of Q4FY24. This has resulted in a decisive reduction in Wholesale assets by Rs.32,530 Cr, thereby bringing down Wholesale as a % of portfolio from 42% in Q2FY23 to 6% by the end of Q4FY24.

Now, with the on -book Wholesale portfolio reduced to substantially low levels of ~Rs.5,500 Cr through sell -down and repayments of Rs 1,821 Cr in Q4FY24, the Fair Valuation exercise as on 31st March 2024 yielded a release of Rs.546 Cr. As an additional info rmation – we are pleased to share that that the on book Wholesale portfolio has further reduced to Rs 4,400 Cr on account of further repayments subsequent to March 31, 2024.

As of March 31, 2024 we are carrying investments worth ~ Rs 7,500 Cr in the form of Security Receipts of various Asset Reconstruction Companies (ARCs). As you are aware, these represent loans we have transferred to ARCs to expedite resolution. These pertain to exposures in Real Estate, Infrastructure, etc. Owing to improved macro - economic conditions in India and specifically in the case of Realty, increased buoyancy in the commercial & residential real estate sector, resolution pathways of various assets in our SR portfolio are now visible. We are also seized of the fact that such resolution processes carry a possible 'sequencing risk', wherein accounting markdowns of NAVs of certain security receipts may be required temporarily before reckoning higher realisations from other project assets resulting in a net gain for LTF.

To minimise the possibility of above variations on a quarter -on-quarter basis arising out of this 'sequence risk ', the Company has created additional prudential provisions of Rs. 721 Cr comprising Rs. 546 Cr released on account of fair value changes in the Wholesale loan book and an incremental amount of Rs.175 Cr created through P&L. This additional provision of Rs . 721 Cr would take the overall PCR on the Net EAD value of SR portfolio sold to ARCs to ~55% post this exercise. The provisions created during the quarter of Rs . 721 Cr constitute approximately 10% of the Net carrying value (fair value) of the SR portfolio investment in the books of account as of March 31, 2024 of ~ Rs. 7,500 Cr before taking this provision. We are confident that LTF, over the next few years would eventually collect a surplus over and above the net SR carrying value in the books today. With the Wholesale book coming down to a negligible level of 6%, the management would now continue its focus on growing the retail book as well as engage with ARCs for expeditious resolution of the SR book. Thus, we are confident of replicating the success of reduction in our Wholesale book to our SR portfolio without any further markdowns, in fact, our team is hopeful of achieving a surplus in this regard .

ESG@LTF

Finally, I would like to talk about ESG at L&T Finance. T

he Company has worked extensively in this area over the last few years. During FY24, our ESG rating saw an improvement from 'BBB' to 'A' from MSCI and moved from

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the previously B management category to A - leadership category with CDP. We hope to continuously improve our performance in this domain as a responsible corporate citizen .

Now, I handover to Mr. Sachinn Joshi who will take you through the financial updates for the quarter .

Sachinn Joshi:

Financial Updates :

Thank You, Sudipta. As always, let me walk you through the financial performance of the company for the quarter & year gone by .

Quarterly Performance:

- Consol NIMs + Fees remain ed strong at 11.25% owing to change in portfolio mix to Retail and WAC remaining stable on a sequential basis on account of astute liability management
- Highest ever quarterly retail disbursements of Rs. 15,044 Cr, up 33% YoY, achieved in a non -festive quarter
- Retail book crossed Rs. 80,000 Cr milestone (Rs. 80,037 Cr), up 31% YoY buoyed by the increased demand from both the Rural and Urban segment s alike
- Consol PAT at Rs. 554 Cr (up 11% YoY)
- Consol RoA at 2.19% (up 29 bps YoY)
- Consol RoE at 9.53% (up 16 bps YoY)

Annual Performance:

- Consol PAT at Rs. 2,320 Cr (up 43% YoY)
- Consol NIMs + Fees remain ed strong at 10.67%
- Highest ever annual retail disbursements, Rs. 54,267 Cr, up 29% YoY



- Consol RoA at 2.32% (up 79 bps YoY)
- Consol RoE at 10.35% (up 256 bps YoY)

Retail Businesses :

#### Rural Business Finance

The business registered highest ever quarterly disbursements of Rs. 5,768 Cr (up 31% YoY) along with highest ever annual disbursements, which stood at ~Rs. 21,500 Cr (up 27% YoY). The book size crossed Rs. 24,000 Cr milestone in this quarter. We also achieved the highest ever monthly disbursement of Rs. 2,124 Cr in Mar'24, with 33% business volumes coming from LTF exclusive customers. The growth in this business was aided by a strong focus on strengthening customer retention coupled with a renewed focus on new customer acquisition.

#### Farmer Finance

In Farmer Finance, disbursements stood at Rs. 1,530 Cr in Q4FY24. This led to the book size reaching Rs. 13,892 Cr, reflecting a growth rate of 8% YoY. A strong business momentum was maintained in this segment during the year despite a de-growth witnessed in the industry.

#### Urban Finance

The segment, which comprises of Two-Wheeler, Personal Loan and Home loans / LAP businesses, saw a 32% YoY jump in overall quarterly disbursements and a 22% YoY jump in overall annual disbursements. As a result, the overall booksize increased from Rs. 27,841 Cr in Q4FY23 to Rs. 36,089 Cr in Q4FY24, translating into a 30% YoY growth.

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Let me now take you through individual businesses:

- Two Wheelers: The Two Wheelers business registered disbursements of Rs. 2,502 Cr in the quarter, which is almost equal to the disbursements made in a festive quarter (Q3FY24 disbursement at Rs. 2,540 Cr). The disbursements were up 45% from Rs. 1,727 Cr in the same quarter last year. The growth for the segment was additionally driven by geographic penetration, maintaining a strong focus on customer value proposition and building preferred dealer / OEM relationships to grow market share. The book size crossed Rs. 11,000 Cr milestone (Rs. 11,205 Cr), up 25% YoY. Additionally, focus remains on continuously increasing the Prim

e

& EV segment owing to deepening & new tie ups with leading industry players

- Personal Loan: This business witnessed disbursements worth Rs. 968 Cr, (Rs. 1,322 Cr in Q4FY23) and the book size stood at Rs. 6,440 Cr, an increase of 18% YoY. Growth was calibrated in this business driven by a well thought out strategy of revamping policies and risk guardrails

- Retail Housing: Moving on to Housing, it achieved the highest ever quarterly disbursements at Rs. 2,513 Cr, up 70% YoY (Rs. 1,998 Cr in Q3FY24). The book size crossed Rs. 18,000 Cr milestone (Rs. 18,443 Cr), an increase of 38% YoY. We also hit a monthly disbursement milestone of Rs. 1,000 Cr in March. Sustained business momentum in the business through strategic measures like deepening geographic presence, solid DSA and channel partnerships & increasing customer retention.

- SME Finance: Our Q4FY24 disbursements stood at Rs. 1,213 Cr. The month of March also registered the highest ever disbursement of Rs. 458 Cr. The book is inching towards Rs. 4,000 Cr milestone quickly (Rs. 3,905 Cr as of Mar'24). Strong growth in business volumes aided by geo-expansion, deepening channel partnerships and focus on providing superior value to our customers.

Let me now hand over the call back to Sudipta to make his closing statements

Sudipta Roy:

Thank You, Sachinn. In conclusion, I would like to say that we are optimistic about the potential that the company holds. We are making ourselves future ready by continuously upgrading our capabilities across all domains. Our core business franchise stands in best shape, which is evidenced by the numbers posted by us, along with the highest ever PAT on a full year basis. We've already started Q1FY25 on a great note and I am confident that in FY25, our robust performance trajectory will continue.

Thank you all for your patient hearing. And we now open the floor for questions.

Moderator :

The first question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead .

Digant Haria :

Team, congratulations for the good performance and good to see the top -level team getting beefed up in different areas. So , my questions are twofold. One is, that this exercise of reevaluating the SR and the provisions that we took on it, like will this keep on happening once a year or once a quarter, what will be the frequency of this exercise?

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Sudipta Roy :

So as of now, we have done it this quarter. And so, as I said, because of the increased buoyancy in the Real Estate sector, resolution pathways of many of - some of - these assets in the SR portfolio is currently visible. And we'll keep on working on sort of during the year as well as the course over the next couple of years, trying to resolve those assets. Though we will sort of, obviously, reevaluate in terms of the S R portfolio, like with every passing quarter, but we believe that at the end of the resolution period, we should get a surplus. And the provision that we have taken against this should take care of any sequence risk.

So, the reason that we have taken the provisions is to address the sequence risk that might come as we work on the resolution process. And we do believe that, that should be enough to sort of smoothen out any sort of quarterly variations in terms of NAV markd owns on the resolution process that might happen. One asset might get resolved this quarter giving a slightly lower resolution. But the next asset that might get resolved the next quarter might give a higher resolution resulting to overall surplus gain.

So, this process will continue. But what we are very, very confident about is that the provision tha

t we have taken

as of the exercise at this quarter is sufficient enough as far as the information available with us at this point in time to sort of smoothen o ut any sequence risk and protect the P&L from any variations that might arise on a quarter - on-quarter basis .

Digant Haria :

My second question is, on the credit cost, that in FY24, we ended up with roughly Rs. 2,000 Cr of credit cost on the Retail portfolio. So , you mentioned a few headwinds in terms of monsoons, which could probably be uneven, then the consumption patterns, which are uneven. And for us at L&T Finance, we are more indexed to that part of the consumption, which is slightly more impacted. So, do yo u see credit costs inching up for FY25? Like maybe we were at an average of 2.5% to 3% credit cost for the last year. Will that go up? And another reason is that micro finance had 2 great years and probably the normalization of credit cost in that business should also happen. So, any guidance here would be really appreciated .

Sudipta Roy :

Yes. So , Digant , I would urge the wider investor community to look at between slide 15 to 17. So , 2 things

1) First and foremost thing, we have said as part of our 5 -pillar strategy, our second pillar is improving - our credit administration framework. And as we have said that we are building a new generation credit engine, which probably will sharpen our credit underwriting capaci ty. So that's the first thing.

2) The second thing is that our credit costs have been -- our credit metrics have been pretty stable. And we are -- especially on the urban side, especially in the high -velocity businesses like Two-Wheelers, we're actually working on improving our credit metrics, which is balancing the portfolio with a right and optimum mix of New To Credit customers as well as prime customers.

If you see in slide 16 of our investor presentation, we have given the premium share of our Two-Wheeler originations have gone up by almost 9 percentage points this quarter from 41% to 50%. So, on one hand, we are trying to balance the portfolio acquisition to make it far sharper and cleaner and far more predictable . From a credit standpoint, we're investing in building our next -generation credit models, which will sort of bring our credit cost on a stable trajectory. And as you can see on the metrics, the index delinquency metrics or index trade performance metrics that we have given from slide 15 to 17, you can see that we are trending far lower when comparing industry metrics. For example, if you see Rural Group Loans and MFI business, if the industry metric is at about 100% delinquency on 12 month -on-book on an ever 90 plus, we are at 1/3rd the industry risk costs on that.

If you look at our Two-Wheeler business, we are at about 81% of industry sort of risk metrics. In our Farm Equipment Finance, we're about 85%. In our Loan Against Property, we're at about 50%. So, in all lines of business our credit metrics are much better than the industry. But as an organization, we are focused on bringing it far, far down by, again, as I said, building the new age credit models as well as improving the through -the-door credit quality acquisition. So, to a nswer your question or to summarize what, a little bit of a long -winded answer,

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is that, we are working on keeping our credit costs on a downward trajectory . And we are hopeful that we should be able to achieve that even if some of the environmental conditions might be a little uneven during the earlier part of the year. We are hopeful that by August and September, we'll have a normal monsoon. The indications are there that we'll have a normal monsoon. As yo

u know, normal monsoons typically smoothen out credit kin ks to a large extent, especially in the rural economy. So, we remain hope ful that normal monsoons also will aid us in improving our credit metrics going forward .

Sachinn Joshi :

Digant, I just wanted to add one more point. The credit cost, in terms of trajectory, you are referring to 2.4% that we have. I think it will be somewhere in the range of about 2.25% to 2.5%. That's the internal plan. Secondly, on the Rural Business Finance, the Micro Loans piece that you were speaking about, we had created macro prudential provisions of Rs. 975 Cr, during C ovid times. And you would see from the presentation that we are yet to use it. In fact, the total provisions, including macro p rudential , additional provisions on Stage 1, Stage 2 as well as OTR provisions totaled to about Rs. 1,200 Cr. We have ensured that we have till date not utilized a single rupee out of that. We have been very, very conservative trying to retain these buffers on the balance sheet. Our PCRs are perhaps one of the best in the industry. We have a PCR of 76% on an agg regate basis. And when it comes to Retail book, it's 79%. And so, we have been providing enough and more. And we believe that the credit cost trajec tory, as Sudipta mentioned, with focus on going more towards prime, we will be able to hold this .

Digant Haria:

Right , back from Microfinance where you're over provided to compensate for the SRs in the corporate portfolio, so that was very good to see and thanks for detail explanation. My one final last question is, Sudipta, you mentioned that competition is still very high. While, i t would be intuitively -- we would see that RBI is clamping down on one or the other institution for just growing too fast and the funding environment is tight. So, are there signs that this competition is cooling off or you really don't see anything cooling off in the near term?

Sudipta Roy:

See, competition is quite robust, I would say . So, the fact is that everyone is vying for a share of the customer pie. Obviously, on one hand, the customer pie is expanding in the country because as more and more people come into the consumption fold -- but the fact is that, yes, the competition -- there is market opportunity, but there is also competition. I think it is important for us to sort of focus on how efficient we are in garnering the share by intelligently investing in technology , processes that simplify our acquisition processes as well as making sure that our credit cost or the credit trajectory remains stable because it's very important to have a very stable and a predictable growth trajectory, both in terms of growth and maintenance trajectory in acquisition as well as maintenance of credit cost trajectory for you to keep on growing.

So yes, competition is intense, but as an organization because of our investment in our people, because of our investment in our technology, because of our granular presence across the country and the focused increase and focused execution that we are doin g in terms of, as I said, increasing the surface area of our distribution, we are hopeful that we will probably be mopping up a larger share of the available pie even in face of the competition. But yes, to summarize, competition remains strong, but we are confident of dealing with it .

Moderator:

The next question is from the line of Mahrukh Adajania from Nuvama Wealth .

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Mahrukh Adajania:

My first question -- sorry, I guess there's only one question allowed. So, the question I have is on the SR revaluation. I guess if I'm -- correct me if I'm wrong, you mentioned that you have a 55% PCR on

SRs, is that what you mentioned?

Sachinn Joshi:

Yes, that's right. That's right.

Mahrukh Adajania:

So then, that would be around Rs. 38 billion provision, right? But the original wholesale buffer was Rs 27 billion , and the incremental you made this quarter through P&L is around Rs 2 billion – Rs 1.8 billion , so that kind of adds up to Rs 28.8 billion , right? So, you have provisions over and above that also, is it Wholesale provisions over and above that also?

Sachinn Joshi :

Yes, Mahrukh, let me take this. So, we had actually -- let me first speak about the Wholesale book. The Wholesale book now is down to Rs. 5,500 Cr as of 31st of March. And post March, again, about Rs. 1,100 Cr have gone. So, it's about ~Rs. 4,400 Cr. The provisions of Rs. 2,687 Cr were taken in Dec'22. And every quarter, we have to do this fair valuation. There is no choice under Ind AS, whether it's SR investments or whether it's a loan book, we need to do a fair valuation.

Mahrukh Adajania:

The credit rating driven fair valuation.

Sachinn Joshi:

That's right. That's right. So, we have -- we were continuously doing it. When we made th is fair valuation exercise and Rs. 2,687 Cr was the output, which came out of that valuation based on certain discounting factors because the book was very large. And how the book will behave was for anyone to guess. But last 18 months, we have seen this Rs. 38,000 Cr come down to Rs. 5,500 Cr. So, with the behavior and also the quantum of assets, which are left on the balance sheet, that was -- again, fresh valuation was done, which led to our -- and also, there were some resolutions also which happened duri ng this quarter. So , a net amount of Rs. 546 Cr. So whatever assets are already there on the books, the fair valuation has been done and whatever provision requirements were there have already been factored into that .

The balance amount of Rs. 546 Cr was what got released. One option for us was to take it to P&L. But simultaneously, as Sudipta mentioned on the call, there was an exercise, similar exercise, which was undertaken on SR just by stressing the portfolio because on a normal basis, even the i nvestments have been fair valued. As he explained on the call, it was only the sequencing risk, which was looked into just at the time of stressing the SR investment portfolio. And that gave a requirement of Rs. 721 Cr. Now Rs. 721 Cr was to be provided and there was a Rs. 546 Cr release, which came from the loan book. The difference of Rs. 175 Cr was the impact, which we took on the P&L. So that's how the Rs. 721 Cr has been accounted for.

To your question on the assets, which are on the balance sheet right now, the loan assets , they are fairly provided, and we believe that there is not going to be a single rupee requirement even if we want to liquidate those because these are standard assets, which are giving us a reasonable yield. So , unless there is interest in these assets from someone without any impact on the P&L, we would not -- we would want to continue with this asset book. I hope this clarifies.

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Mahrukh Adajania:

No. I just wanted to check one thing, basically, you said that the PCR on SR, so the SR book net stands at around Rs. 70 billion, Rs. 67.8 billion is the calculation, right? You said that, it was -- yes...

Sachinn Joshi:

That's right, yes.

Mahrukh Adajania:

So, it's 50%, say, roughly, it's Rs. 35 billion, okay? Now so the PCR on the SR book is Rs. 35 billion, and that's...

Sachinn Joshi:

No, no, Mahrukh. Let me explain on the SR now. Our total SR book, which was -- the net EAD was ~Rs. 15,000 Cr when it was on my book, okay?

That Rs. 15,000 Cr, we provided Rs. 8,300 Cr in all. And this Rs. 8,300 Cr includes Rs. 721 Cr. So, Rs. 8,343 Cr to be precise on Rs. 15,000 Cr gives you a PCR of 55%.

Mahrukh Adajania:

The gross value. The gross value.

Sachinn Joshi:

Yes. That's the gross value. Rs. 6,770 Cr is net on the balance sheet now after all the provisions. So, the provision that we have made is Rs. 8,300 Cr.

Mahrukh Adajania:

Okay. And that subsumes the Rs. 2,700 Cr provision on the Wholesale book, right?

Sachinn Joshi:

See Rs. 2,700 Cr was taken on the loan book, which was on the balance sheet, okay? There were a few assets where the provisions were taken and a few of them moved to the ARC. So yes, there could be part of Rs. 2,700 Cr, which would have been absorbed by these assets as well.

Moderator:

Next question is from the line of Alok Srivastava from UBS.

Alok Srivastava:

Sudipta, I have a question on the customer acquisition number that you have given, the 6.8 lakh that we have done during the quarter. So how does it divide between rural and urban? And within urban, what is driving this acquisition? Is it coming from aggregators or Two-Wheeler, where most of the acquisition is coming from?

Sudipta Roy:

Yes. So, in terms of customer acquisition, the fact is that we have a couple of major engines of customer acquisition. Obviously, the first major engine of customer acquisition is our Rural Group Loans and Micro Finance business. And also, in rural because the fact is that in Farm business or tractor business, the numbers are not very large. So finally, the large numbers come from our Rural Group Loans and Micro Finance business. And in urban, the main actually customer acquisition driver is our Two-Wheeler business. So, these are the 2 major, in terms of volume, customer acquisition drivers. As you know, the Personal Loan disbursement is small. So, I would

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say 60 -40 division now, maybe a 55 -45 division, where 55% is coming from our rural businesses and about 45% is coming from our urban businesses. Urban, primarily driven by Two-Wheelers and rural, primarily driven by Rural Group Loans and Micro Finance. But obviously, the objective is to increase this going further. So that is why I have talked about increasing the horizontal surface area of distribution as well as vertical distribution.

So, we are continually operating on and tracking on that. You saw that we gave out of the number of approximately 21,000 new villages activated during this quarter and our Two-Wheeler distribution points going up to greater than 10,000. So obviously, the focus is on increasing both horizontal and vertical distribution, and we intend to keep a focus on this metric as a very granular metric going forward.

Alok Srivastava:

Okay. That's fair. If I can just follow up on that one. So, on the urban side, Sudipta, maybe you don't have that many products to do that vertical expansion right now, so what is the product strategy that you guys are thinking of going forward? And do you think you can do some co-branded credit card, consumer durable, those kind of products?

Sudipta Roy:

I'll tell you the focus of the organization right now is to sharpen what we are doing. So, we will continue this strategy for the next couple of quarters. As it is on a Two-Wheeler business, our business, if you look at our distribution momentum in our Two-Wheeler business, our distribution momentum on our Two-Wheeler business is quite good. And we increased the disbursement of our Two-Wheeler business significantly over what we did in Q2FY24. And our Q4 disbursements of two-wheelers actually has been almost equal to our festive

quarter

disbursement. So as of now, for the next few quarters, we'll focus on sharpening our existing line of business and building scale in our existing line of business. And after that, as and when the need may be, we will probably look at new products.

Moderator:

Next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh:

A couple of questions. The first one is on your Personal Loan. If you can just help us clarify some breakup between what part is your cross-selling to your own customers? And how the trend over the quarters have been with the fintech partnership? And any sort of delinquency trends in both your own cross-sell as well as the partnership? That's the first. And second one now, if we see your geographic expansion or rather point of presence is increased and expansion continues, in this backdrop and, likely, I mean, from the current level, growth will possibly moderate going into next year, how do you see sort of a cost-to-income ratio moving?

Sudipta Roy:

Yes. So, if I were to draw your attention to the slide 13 of our investor deck, where we have given our personal Loans to existing customer number. And you can see that in Q2FY24, we have about 47%, which have actually pushed to 60% in Q4FY24. So, to answer your question, 60% of our Personal Loans is disbursement to our own existing customers. And the remaining is from channel originated, new to origination customer, which is either through e-aggregators or we have just started our DSA distribution model as well in Personal Loans in the last quarter. And we will obviously keep a very sharp eye on the credit quality of the portfolio that we do. And we are -- and I would like to put it on record that we, as an organization, are not into the small ticket personal loan space. We operate in the prime and near prime segments in this space. And we are very focused on the risk outcomes of this business. And also, very focused on digitization and very effective cost of delivery of this business. So as of now, we are like trending to close to about last quarter, the business has seen a slight uptick over the numbers

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that we have posted in Q3FY24. But going forward, as many of our sort of fintech partnership engines come on stream, you will see a growth in numbers of disbursement of Personal Loans.

But again, I would like to put on record that our focus remains majorly on doing Personal Loans to our own customers as well as for New To Organization customers, focus more so on the salaried segments of personal loans, which we believe are of a far lower risk profile and more stabler risk profile than maybe any other segments. So, this is the first part of your question. The second part of your question was in terms of distribution. Yes, so in terms of distribution increase, we obviously are cognizant of the fact that the -- see, we have -- again, the question is that India is a very large country. And even in businesses that are of significant size like our Micro Loans business or our Two-Wheeler business, there are reasonably large swaths of the country where we are still yet to build our distribution to scale. In some states, we are number one or number two positions. In some states, we are not in those two positions. So obviously, our focus is to increase distribution in those states, in those geographical areas where we are probably a little lower down the pecking order in terms of positioning. So, our focus is on that. Our focus is to make sure that we -- in the Two-Wheeler business, at least we are present in about 85% to 90% of the distribution universe. And right now, I would reckon that we are about 75 -o

dd, so there

is some distance to go on that. So, there is some work for us yet left to do before we say that we have saturated distribution. And I'm sure that as we start increasing our distribution, some of those distribution gains in terms of customer acquisition will be visible in our portfolio.

Sachinn, on the cost to income ratio, you want to take it?

Sachinn Joshi:

So, on the cost to income rather than talking about cost to income, we have in our previous calls also spoken about the trajectory that we want to have in terms of cost to book. And we had said that if you look at the overall RoA tree, we're talking about NIM plus fee of about 11% and opex plus credit cost being restricted to 7%. You can notice that we are about that range at this point of time during Q4.

Whatever savings we have, because we are actually trying to move the credit cost down to about 2.25% to 2.5%, but this is also the time that we are making huge investments on technology, people, setting up of new businesses. We have rolled out new branches for the new businesses that we started off last year in the SME. Personal Loans is also absolutely digitized product where lot of investments have gone into IT. So, all these -- whatever savings we get on the credit cost, the intent is to actually apply that money towards the investment in new technologies as well as manpower. Going forward, we believe, at this point of time, the cost income ratios are in the range of 40%- 41%. As the businesses start picking up, the last 2 quarters we have seen the balance sheet growing. The Wholesale book reduction has more or less got completed. There will not be any significant reduction going forward. So, you will see the balance sheet growing. And the top line also will start growing because the reduction of Wholesale book, which was at a lower yield is now getting replaced with the Retail, which is at a much higher yield. So automatically, all these get factored into when you look at the cost to income ratio. So, moving forward, we should start at least over the next 15 to 18 months, investments would continue. So, I think the best barometer is to manage the overall opex plus credit cost within the range of 7% when it comes to cost to book.

Moderator:

Next question is from the line of Kunal Shah from Citigroup.

Kunal Shah:

So, first question is, we indicated that the focus is to sharpen the existing businesses. But when we look at Lakshya 2026, I think we are well ahead of the targets, which are laid out. So maybe how should we look at it, would we want to maybe have a revised targets getting 6 months, 1 year down the line? Or we would broadly stay with this and just improve the quality within this framework?

Sudipta Roy:

So, Kunal, my answer to that question is that we would like to broadly stay within this framework and the fact is that we would like to improve on the predictability of earnings and our predictability of AUM growth because, as you know, I have -- we have articulated the 5 -pillar strategy. We still remain in execution mode on the 5 -pillar strategy. We believe that we have a long way to go in sort of fully executing the 5 -pillar strategy. And as and when we execute the 5 -pillar strategy, the gains from that execution will be visible in the business, either in terms of top line growth, in terms of AUM growth or in terms of bottom line/credit cost parameters.

So, we would not like to defocus ourselves over the next couple of quarters and try to sort of sharpen every line of business and granularly focus on executing the 5 -pillar strategy. So as and when we think that we are in a state of completion of -

which will obviously take -- the path we will take - a couple of quarters going forward . We are in a state of completion at that point in time, we will probably look at whether we want to sort of reset ourselves and reorient ourselves to new targets. Until then, we remain focused on these Lakshya targets and, again, improving predictability of our metrics on a quarter -on-quarter basis .

Kunal Shah:

Sure. And marketing costs would not have much of an impact ? Maybe would there be more of a front -loading of the cost because across the board we have seen wherever there is more focus on branding, marketing, there is some front -loading of the cost, and we see maybe the opex have been as in few quarters, do we expect the same or it will be more balanced?

Sudipta Roy:

See, it's not that our investments will be only in marketing, our investments are in marketing, our investments are in people, and our investments are in IT , primarily. These are 3 sort of axes of our investment. Obviously, there will be some investments in marketing. But I do not think that they are extremely high investments. I think they are reasonable investments. What we have factored in, we, for example, just finished our overall brand research for the entire organization where we have granular details as to which areas we need to invest in order to improve the recall of L&T Finance brand. And as I've said in the -- previously in the call that over the next couple of months, you will see more presence of L&T Finance product focused advertising in the market.

So yes, there will be some investment in marketing, but I would say investments in marketing, people, technology, etc., are equally paced. And as Sachinn said, we have said that our opex plus credit cost from a -- we would try to sort of guide towards a 7% range, and that is where we will try to focus on meeting that particular number. We do believe that our investments in marketing as well as building brand recall to make L&T Finance, a preferred choice in the mind of the customer will have to be sustained for a couple of quarters, post which we will look at sort of tempering that down and bringing it to far more normal levels

Kunal Shah:

Okay. Great. Great. And just one clarification. This entire SR valuation exercise that was more internal independent rather than anything coming in from the ARC valuation?

Sudipta Roy:

Yes, so it was more internal independent. And the fact is that while we met a lot of investors, we felt that this was an area we needed to address . And so , we did an exercise in last quarter . And basis the inputs that we got from that exercise, we have taken the action, as Sachinn explained in great detail in a previous question. So that is what we have done .

Kunal Shah:

And no risk of reassessment on Retail for sure ? And this was only on the Wholesale, which was required ? But Retail since we are strengthening the credit filters, there is no risk at any point in time there would be reassessment and provisioning build -up even for the Retail at some point in time ?

Sachinn Joshi:

Kunal, like I said, even for the ARC piece, actually, the NAV s come from the credit rating agencies . So, what we did was , we have actually taken this at a portfolio level. So Rs. 721 Cr has been taken at a portfolio level and not at the asset level because asset level already is based on the NAV. So , I can't take anything more than that. They are already fair valued. This is keeping in mind the future that if there are any kind of variation or volatility as the SR start getting resolved, this is going to take care of that and, hence, it was taken at a port

folio level. And on the

Retail side, I already spoke about the kind of PCR s we are maintaining across the board as well as the macro prudential provision of Rs. 1,200 Cr. I think we are right now sufficiently and heavily provided for.

Sudipta Roy:

Yes. And Kunal, I'd like to add to that, for example, in slide -- and one of the reasons is from slide 15 to 17, we have taken extra care to sort of point out our credit metrics vis -a-vis industry. And this is given -- this has been given specifically to give comfort to our investor community saying that our portfolio metrics are very robust at this particular point in time. If you look at especially the -- our Rural Group Loans. And the fact is that this is like TransUnion CIBIL data . So, if you look at ou r Rural Group Loans and our Micro Financ e, our sort of delinquency levels on an apples -to-apples basis is 1/3rd that of industry . If you look at our Two-Wheeler Finance, we are at about 80% of industry.

So, the fact is that we are already maintaining good portfolio metrics in terms of credit performance. And the entire focus of the organization is to improve on that . So, we have told ourselves one thing that we will grow. But we will grow only after we are absolutely comfortable that the credit metrics that will come out of that growth is of a far superior quality. We will not sacrifice our credit quality in chasing growt h. So -- and the metrics that we have given out sort of should give comfort that our Retail portfolio metrics, credit metrics are quite in a good shape. And we will keep on our endeavor to maintain that.

Moderator:

Next question is from the line of Praful Kumar from Dymon Asia.

Praful Kumar:

Yes, congratulations on a great momentum that you have built. I wanted to spend just some time on two thoughts. One, in terms of technology, on the tech stack that you are building, the sustainability and what edge does it give to L&T Finance? Because everybody talks about digital. How are we different in terms of what we are building today in terms of ecosystem? And second question would be on your employee talent acquisiti on and retention because that has been one challenge that we have seen historically. If you can address these 2 questions, what changes have you brought in the last 3 -4 quarters and how it makes you a different underwriting tech stack and it gives you a le ver to grow sustainably higher than the system?

Sudipta Roy:

Yes, thank you for the question. I think it's a very relevant question. So , on the tech stack, as you see, if you look at, as I said in my call, 3 axes on which we are sort of building. First and foremost thing is that, obviously, building the front end in a way that the UI/UX, we invest on the UI/UX and then make sure that custo mers have a world -class UI/UX when they come in and the friction points or what I call the choke points are eliminated surgically. So , the entire team has -- what we have done is that over the last 6 to 9 months, we have looked at all our customer journeys and we have mapped our customer journeys. We have granularly mapped, what are the choke points, what are the points of friction where we tend to lose customers, and we are smoothening all that.

Our new Personal Loans journey has gone live and our new Home Loan journey will also go live in the next couple of weeks, especially, our Home Loan digital journey will go live in the next couple of weeks. In terms of -- and the focus is not only on Two -Wheeler, we already had an excellent journey. We are working on improving the journey.

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So, as you see, all our lines of business, the focus is on ma king sure that the user experi

ence for the customer

who is coming digitally as well as the user experience for our field sales force, who is sort of bringing in that application digitally, both are improved. For example, you can see that we have launched our n ew in -house collections app, which is called the BRAKE app, which is completely built in -house, and which is of a new generation and gives our collections team a great amount of flexibility. So that is sort of talking about the acquisition engines.

In terms of sharpening credit underwriting, we have given the detail s on slide 14. But what we are trying to do is that we are trying to stitch together our next-generation integrated underwriting platform, which includes not only bureau inputs, but include s the account aggregator inputs, which is like maturing with every passing month. We ingest alternate data at scale. And by alternate data, I mean that various signals, which I call trust signals, which have been built by many payment companies who are seeing great volumes of payments data . And last but not the least, have micro geographic inputs wherein if a particular geography -- overlay geographical loss rates -- historical loss rates in a particular geographical area into the underwriting engine. So, what we have been trying to do is that while we stitch together this engine, the underpinning of this engine will be like machine learning -based score cards, which have been built basis past historical data. And frankly, the scorecards have been built and now being integrated into the system. And we are very pleased with the performance of the scorecards and the lift that it is giving basis when we back test t hat on existing data that is available.

So, we are hopeful that the beta version will come into production in sometime around the latter part of Q1FY25. And this engine will actually be an omni product engine, wherein it can be used for two-wheeler, it can be used



for personal loans. It can be used for tractors. Though the underlying scoring models might be different. That means I might have a scorecard, which is different for Personal Loans or different for our Two-Wheelers or different for Tractors because these are like different products. But the fact is that all these scorecards will go into this one engine and depending upon the product there, appropriate scorecard will be picked up. And so, the data source, for example, when we pull it will be the same. But the scoring models might be different for each and every line of products. So, this is a slightly complicated build and a little bit of heavy lifting that our technology as well as our credit teams are doing, but we are very satisfied with the progress so far. So, does that answer your question? Was there a second part of the question?

Sachinn Joshi:

On the employee part.

Sudipta Roy:

Yes, on the employee part as well as -- so on the employee part, obviously, financial services have seen higher attrition in all organizations over the last couple of quarters. What we have done is that especially for some parts of our front line, we have done some salary corrections and made parity corrections over -- compared to some of our competitors, which has seen our attrition levels in some of our front lines come down as high as 30% in a period of 2 to 3 months.

So, in a way, we remain focused on doing that. Because also, there are various sales force welfare measures that we are keeping on doing through our HR team, which we have started doing it very, very granularly. Like, for example, in our Micro Loans business, we do something called a role appreciation program wherein when people join, we spend the first couple of days, just taking them through the ropes of what their business needs are and what the business requirements are, what they will be. And do's and don'ts and the best practices, which we have noticed is that helps us sort of bring down the initial sort of joining attrition that we see.

So overall, we are -- the efforts are on and the initial results that we have seen on some of these efforts is quite encouraging. We have also, for example, in Micro Loans business started canteen facilities for our Micro Loans employees, wherein the food is provided at the Micro Loans canteens -- Micro loans' branches or meeting centers, as we call it, to most of the employees who are like coming from outer areas and probably stay in bachelor accommodations. So small initiatives like this, but overall, when we add together those micro initiatives, they add

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up together into a whole and sort of bring down the overall attrition levels, of which the initial trends are very encouraging.

Moderator:

Next question is from the line of Viral Shah from IIFL Securities.

Viral Shah:

So basically, I had first question on your -- the profitability, essentially the NIMs going ahead. So, 2 things are playing out. So, one you mentioned that incrementally, the focus will be more on the secured products and also the prime customers within that. So one would be, say, the pressure on yields. And the second would be also on the cost of fund side. So right now, we have seen that since last few quarters, we had the benefit of running down the book and which essentially meant that we did not have to borrow heavily. Now incrementally that we are going to grow the book as well as also the benefit of reverse merger is also being now behind us, how will the cost of fund trajectory look like? And consequently, the NIM because we saw that the spreads actually compressed 10 basis points in this quarter.

Sudipta Roy:

Yes. So, I don't know, I didn't say that we'll be focusing on secured. Secured obviously is a focus for our business. But the fact is that if you see all our lines of business are doing well. And the fact is that high yield lines of our business like Micro Loans, etc., has given very good -- has shown a very good growth trajectory. We'll be also growing Personal Loans, which is of a good yield. So obviously, we would have to judiciously balance our secured origination vis-a-vis our unsecured origination, but we'll be mindful that we -- while during that process, we do not -- we keep a fine -- we keep a good balance and do not end up sort of disturbing the yield trajectory going forward. So, we hope that we'll be able to keep our NIMs and fees between 11% to 11.25% sort of corridor in FY25. Obviously, the cost of funds trajectory is something that is dependent on the market condition. And given the sort of the initial expectations of easing of the fed rate was -- is sort of less of a possibility. Now a follow-up action by RBI also looks like a less of a possibility going forward. So, we are more or less sort of, given the certainty that sort of the cost of funds regime that we are in probably will trend towards a majority part of the year, which might see to a 35 to 40 basis points increase in our cost of funds during the course of the year.

But maybe, Sachinn, you would like to add to that?

Sachinn Joshi:

Yes. I think if you have noticed this financial year, we have kept it in the same corridor, about 34 basis points is the weighted average cost increase from 7.46 to 7.80. I think there is still -- some of the banks are yet to transfer the 250 bps repo increase, which was done by RBI because certain loans come up for renewals only after completion of 1 year. So those are the ones, which will impact. Secondly, even the capital adequacy requirements for banks have gone up for certain -- for the NBFC financing. This also may come up for -- the banks ultimately will have to pass it on.

n. So, these are 2-3 things, apart from what Sudipta mentioned in terms of what may happen in the markets. RBI has been monitoring the liquidity pretty well.

Last -- if you look at just last fortnight, we have seen that there was some liquidity, which got created and the short-term funds were available. Actually, the costs came down. So, we will have to be very opportunistic. Our commercial paper exposures are today just 5%. We can, as per the ALM go up to 15%. We have started seeing balance sheet growth from last quarter and we will have the opportunity of increasing the commercial paper exposure slowly and steadily, we will not be very aggressive on that because we also have the benefit of financing the tractor and micro loan books, which also qualify for PSL.

So, if you look at our overall borrowing, 20% of our borrowings are actually financed with the PSL loans provided by banks and these loans come in at a cost, which is lower by at least 100 to 125 basis points. With whatever is happening on the Fed side, there has been expectation of -- there was rather an expectation of 2 to 3 rate cuts,

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which is slowly and steadily dimming. But this has also led to the borrowing through ECB route coming out to be more cheaper than domestic borrowings. So, all these are opportunities, which we will take. We have already 2 sanctions from Asian Development Bank and JICA. Apart from that, there are a few other public sector banks with whom we have been in discussion.

So, ECB limit of 750 million is fully available to us. So, we would want to diversify and also take opportunity to restart our retail bond issuances, which we used to successfully do pre-Covid and smaller tickets about Rs. 250 Cr to Rs. 500 Cr every quarter on tap will ensure that we have monies, which stick to our balance sheet. So, this is broadly the strategy on the liability side.

Viral Shah:

So just to actually follow up on both those points. So, on first of all, cost of funds. I think so basically, this means that the incremental cost of funds for you while the back book is at 7.82%, it will be closer to around 8.15% - 8.2% going at -- for the full year?

Sachinn Joshi:

Yes, yes. So that is based on the current situation. Naturally, if something dramatic happens, we will have to factor in. But as we speak, this is what our expectation is.

Viral Shah:

Fair enough. And secondly, Sudipta, on your point on the yield. So, in terms of the balancing of the secured - unsecured, I get it. But incrementally, you are saying that we are going to focus more: a) more on mortgages; b) within PL also the NTB customers, more on the salaried side rather than the self-employed side, which is there already on the book. So how will we be able to expand the yields to offset this increase in cost of funds?

Sudipta Roy:

See, the fact is that we have to look at the risk-adjusted yields at the end of the day because finally, it's the risk-adjusted yield that flows into the P&L. So, it's not that we are saying that we will be focusing only on mortgages. Mortgage is one of our focused products, but the other products will also have equivalent amount of focus. And what we are saying is that, for example, in Two-Wheelers, you have seen that we have increased our prime share, but the fact is that we have not dropped our NTC share. Our NTC share still remains at about 40% of our originations, which give us the overall yield. So, what we are trying to do is that making the portfolio balance in such a way that the portfolio risk metrics become more predictable, and there is a paring of collections cost as well as the paring of entire credit cost.

ost as well.

So though especially on the prime segment, the yield might drop by a couple of basis points when we actually administer in the field. But the attendant efficiencies that you can get in collections cost or the attendant efficiencies that you get in terms of the actual credit cost because -- which obviously brings -- the sort of the risk-adjusted yield overall at an even kill or probably improve or ends up improving the risk adjusted yields and makes the portfolio far, far more stable.

So, we are quite confident that whatever the current sort of NIMs + Fee trajectory that we have guided for, which is between 11% to 11.25%, we will be able to reasonably track well within that, even though we might sort of

marginally sort of tweak the composition through the segment acquisition as part of our strategy.

Sachinn Joshi:

Yes, just to add Viral, right now, what you see NIM + Fee income, there is a fee component, which also gets factored in. So as the disbursements grow, your fee, the normal processing fee as well as a fee from the cross-sell also keeps increasing. And this, FY24 has been a year where you have seen the Wholesale book slowly and steadily coming down every quarter. So next year, we -- that factor also will prevail that, yes, there will be some

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pressure when we move more towards prime. But it will be full Retail portfolio that will be giving me those yields. So, some of it will get compensated through the Wholesale book coming down to levels of Rs. 4,400 Cr as we speak. And the Rs. 80,000 Cr Retail balance sheet will actually give me much better yields.

Sudipta Roy:

One additional point of information I'd like to give is that as an organization, we have received an insurance corporate agency license. So previously, we could do insurance only at the point of origination. Now we'll be able to do insurance through the life cycle and we are setting up an insurance team as well, so we are hopeful that, that also will give us a little more inflow of fees as well.

Viral Shah:

Right. And just one last follow-up on that point only, Sudipta. So, on the MFI piece, we are seeing that all the MFIs are talking of taking a rate cut. Do we also anticipate that because this is a clear, I would say, informal mandate from RBI?

Sudipta Roy:

I don't know about any informal mandates, so I will probably not be able to comment on that on the call. But as of now, our rates, we have been maintaining the same rate for almost close to 5 - 6 years now.

Sachinn Joshi:

More than that.

Sudipta Roy:

Actually, more than that and we plan to sort of follow the same trajectory as forward.

Viral Shah:

Okay. Okay. And what would be the interest rates in the MFI segment right now for us?

Sachinn Joshi:

24%

Sudipta Roy:

24% for us.

Moderator:

The next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal:

Just 2 clarifications on things that you've already explained in this call. One is, I mean, in terms of SR provisions that we've taken that you have already explained in far greater detail, but just wanted to know that, I mean, from the regulator, there is no nudge at this point in time to increase the provision cover on the SRs on the book, right?

Sachinn Joshi:

See, the NAVs, which are given by the rating agencies, okay, these are given from the ARCs. It comes through the ARCs. So, the valuations are always done basis the NAVs, which are being given. And regulators will be more than happy when we have incremental provisions on the balance sheet. In our case, it was more to do with the

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fact that the loan assets having come down to such a level, we were very successful in bringing it down within a very limited time frame.

So, we also thought it was advisable now to start focusing on the SRs and relook at how do we really focus and start bringing resolution around that. RBI, actually, the inspections will keep happening on a yearly basis. So,

there are always discussions around having macro prudential provisions, having overlays. So that's part of the usual requirement .

Abhijit Tibrewal:

Sir, my last question is, again, on -- I mean, there are 2 questions here. One is, I mean, you've talked about this new underwriting engine that you are building , we are comfortably growing in Retail at about 30%. I mean maybe 6 months -12 months out when you kind of roll out this underwriting engine, would you look to accelerate the Retail growth, is something I wanted to understand. And sir, lastly, on the dividend, I recall sometime in the first quarter earnings call of FY24, we had shared that until the time we find a better opportunity to deploy the net worth, we'll be kind of evaluating dividend payouts of up to 50%, which is permissible. So has there been some rethink on that?

Sudipta Roy:

First, I will take the first question, and then I'll ask Sachinn to take the second question. So , in terms of, we are already growing at a fast clip. 30% is quite a good pace of growth . So, our objective on building the new credit engine is to make sure that we are able to sort of pare out even those sort of questionable credit cases that may be a little non -- less-sharpened engine is not able to do.

So, because we are growing at such a fast clip at a 30% level, and as per Lakshya strategy, we have guided on a 25% growth rate, it becomes imperative for us to make sure that our credit engines are far, far more stronger than we had before. So , I don't think we are building the credit engine to make us grow faster. Probably we are already growing at quite a fast clip.

The reason we are building the credit engine is to make sure that while we are growing at that pace, we obviously do not have any unseen surprises like hitting us maybe a couple of quarters down the line just to make sure that everything is robust, and everything is absolutely underwritten in a pristine fashion. Such that there are no leakage situations later on. So that is our objective. Obviously, as part of this new growth engine, what happens is that what we call in our parlance, swap -in swap -out set, that means it helps you to swap in a set of customers you might have declined and even helps you to swap out a set of customers which you might have approved.

So, the efficiency of increasing the swap -in swap -out is also an objective of the new credit engine. And if you're able to do that, it actually improves the credit metrics by an order of magnitude. So that is the focus . So, the focus is that while we are growing at that pace, just to make sure that everything is far more tighter and far more stronger .

Sachinn Joshi:

Yes. With regard to dividend, as you are aware, last year, we had declared and paid 20% dividend. And this year, Board has already recommended 25% dividend, which will have to be approved at the AGM. And if approved, then that will be paid. Our CRAR is pretty robust, but at the same time, against the Lakshya 2026 plans of growing at 25% CAGR, you would have seen that over the last 2 years, we have been actually growing at 30% plus. So , retaining the capital on the balance sheet really is helpful as well as RBI has come up with incremental capital requirements and all that. So frankly, I think a 20% -25% dividend declaration is pretty reasonable is what the Board felt. And

hence, they have recommended 25% for this financial year

Moderator:

The next question is from the line of Shweta Daptardar from Elara Capital.

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Shweta Daptardar:

Congratulations on a good quarter. Sir, you mentioned in your opening commentary about rural demand weakness spilling over and persisting, so then how do you perceive the Micro Finance business as on today? If you can throw contours in terms of ticket size, vintage of the borrower, center meetings versus industry level, that's one. And just a follow -up question on SRs. So , while you mentioned Rs. 2,600 -odd Cr of provisions on the existing book -- sorry, not on the SR, on the existing -- on-balance sheet in fra book. So , is this because of the haircut discount that we are taking or you're perceiving any underlying risk even on the on -book infra portfolio? Thank you.

Sudipta Roy:

So, I'll take the first question, and I will ask Sachinn to take the second question. So , lot of details have been given actually , in slide 15 of our investor presentation where we have given borrower vintage and our ticket size as per borrower vintage. So , with regards to unevenness in rural demand, that was -- that comment was far more to -- on the -- actually on the Farm segment, which is basically tractors. Because of the unevenness in rainfall and because of the lowered water tables all across the country, tractor demand has been sluggish, OEM shipments have been sluggish and the entire industry has degrown . And MFI industry currently, it's operating on a 31% -30%

growth rate. And the fact is that even if it tempers down slightly by a couple of percentage points, even -- it's a good growth rate. In fact, for us, this year has been good primarily because as I said, one way you can tackle uneven consumer demand also is to increase your surface area of distribution. And that is what we have been trying to do as well as increase the sort of the depth of your distribution wherein we have tried to see that many of our credit seasoned customers. We have to try to see whether we can cross-sell at a better efficiency, so we've been able to do both that. We've been able to do cross-sell at a better efficiency as well as we have been able to increase the surface area of distribution, which has actually helped us to sort of hold our distribution in the MFI segment. As of now, as I said in my call, Q1FY25 also, which is basically the month of April also looks to have started reasonably well. And we are hopeful that as rains come, both the Farm business, which is basically primarily the tractor business, the trajectory of that business will improve. And we are also very hopeful that the rural economy will work up from -- at current levels and lead to sort of good robust demand generation throughout the year. Obviously, the wildcard here is the monsoons. And given the current focus right now, monsoons are expected to be normal to near normal, though with a little bit of a delayed onset. So, we have to keep our fingers crossed -- Sachinn, would you like to take this?

Sachinn Joshi:

Yes, so the provisions that were taken earlier, the Rs. 2,687 Cr was on the Rs. 38,000 Cr book. And at that point of time, we had communicated that this was more of an illiquidity discount because the intent was to accelerate the sell down. And if you have to accelerate sell-down of such a large book, then naturally, the expectation of the buyers would be that they would get a discount to acquire asset or a portfolio, which is more long term in nature -- most of these Infra and Real Estate assets were in the range of anywhere between 5 to 10 years. And if we have to sell these

within a limited time frame, to take care of these expectations of these investors or the buyers, we thought it was prudent to get a valuation done wherein the asset-by-asset -- individual asset, the segment to which that asset belongs, the promoter group to which that asset belongs, all these factors were taken into account before the valuer arrived at a value, at which it could be sold.

Now naturally that was only an estimate, which was done. And as we started selling them, we realized that there were some assets, which got sold at below the NAV, some assets got sold above the NAV and some assets at par. Once this exercise was undertaken, on the same lines the SR investment that we have today are again in the same space. There are various projects, which are in different stages of resolution. Some will be in NCLT, some we will be trying to resolve with the promoters. So, because of this, as Sudipta mentioned, the issue came up of sequencing risk. So which asset will get resolved earlier and which will get resolved later is very difficult to really decide. And hence, we thought it would be good to get an assessment done basis which if there is any risk of having an impact coming to P&L, we should do this stress testing and sort of create a provision at a portfolio

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level, which helps us in then focusing on the Retail side because this is a quarter-on-quarter feature. The valuations will be done as required by the regulator. So, a sort of stress testing resulted in this requirement, which has been factored in the Rs. 721 Cr provision.

Sudipta Roy:

And I'd like to add to what Sachinn said, the fact is that because of the increased buoyancy in the real estate sector, both in commercial and residential real estate, land values have gone up across the countries. A project, which was started maybe 5 years back, the residential real estate rates have gone up in that particular area. And the fact is that now we see that several resolution pathways have suddenly emerged. And we can see that pretty visible to us and our teams are working on those resolution pathways. So, we just wanted to protect our sort of quarter-on-quarter performance from any variations rising out of the sequence risk. And that is why as a prudential measure, we have taken this Rs. 721 Cr, just to give a peace of mind to sort of against any of the sequencing risk rise because what we want to do as an organization is that we want to focus on growing the Retail.

As you know that our Retail engines are firing very well. You have seen that our Q4 disbursements have been better than our Q3 disbursements, which is the festive quarter, which is also a testament for the fact that the Retail engines have been tuned, fine-tuned, the Retail engines have come together as a cohesive whole. We obviously, as a management team, obviously thought that it is important that we should not get distracted from growth of our Retail engines going forward. And that is why we sort of have created this floating provision pool for the SR assets. As an organization, we believe that at the end of the day, as and when these SR pools go towards resolution, LTF, will actually probably end up gaining a significant surplus over whatever the carrying value or the fair value of those SR assets are. But this resolution process will take anywhere between 4 to 5 years because they are real estate assets and they have an execution time frame. In the interim, this Rs. 721 Cr is just provided to take care of any of the sequencing risk and help us sort of focus on Retailising L&T Finance, where we see that -- we are already at 94% Retail. Obviously, we will be more

ving towards 100% retail. And the transformation agenda should not be distracted at any cost. So that is our core agenda .

Moderator:

Next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe:

Just one clarification. You have provisions on SR of around Rs. 720 -odd Cr, you've Retail ECL on balance sheet of around Rs. 3,500 Cr. And you have provisions in the Wholesale book of around Rs. 2,100 Cr. So -- all of this adds up to around Rs. 6,300 Cr of provisions on the balance sheet. Is my math right?

Sachinn Joshi:

You're talking of financials as of what date, Nischint?

Nischint Chawathe:

This current date . So, you've got ECL and you have Wholesale loans and you have macro prudential.

Sachinn Joshi:

So no, no, like I mentioned, the overall provisions, which have been taken we will actually -- the financials will get released shortly. But just to talk about the numbers, I'll just repeat the overall provisions that we have. On the SRs that we have taken over a period of time is Rs. 8,300 Cr. And today, the value of these SRs on the balance sheet is Rs. 6,770 Cr, which is after taking -- incorporating the Rs. 721 Cr.

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Nischint Chawathe:

No, no, I understood. But the balance amount other than Rs. 720 Cr is a markdown, right? So Rs. 720 Cr is.

Sachinn Joshi:

Yes, that's right.

Nischint Chawathe:

I am just saying that if I look at the pure provision at Rs. 720 Cr, the Retail book is Rs. 3,500 Cr and the Wholesale book is Rs. 2,100 Cr.

Sachinn Joshi:

The Retail book is --

Nischint Chawathe:

That overall ECL on balance sheet in the Retail book that you put out.

Sachinn Joshi:

Okay. Rs. 3,531 Cr is what you're talking about.

Sudipta Roy:

On the book -- this is on the book .

Nischint Chawathe:

Yes. And Wholesale is Rs. 2,100 Cr, which you mentioned anyway in the call right now.

Sachinn Joshi:

So see, Rs. 2,687 Cr was taken and that was factored in the fair valuation. We can come offline and, in fact, share the numbers with you, Nischint. Because there is the whole Retail portfolio and there is Wholesale loan assets, plus there is a Wholesale investment.

Nischint Chawathe:

Got it. Just one last one. On the Retail -- sorry, on the consumer side, Personal Loan side, if you have seen some sort of sluggishness over the last 2 quarters, that largely reflects slowdown in kind of digital origination or have you slowed down the -- on the cross -sell.

Sudipta Roy:

No, no. See, our Personal Loan's origination is completely digital. We -- in fact, we have just started a little bit of DSA this quarter. So , till date, it was completely digital, what we did was that we -- because obviously, there was an entire overhang on the entire unsecured, especially on Personal Loans. What we did was that we took up our risk guardrails and also we were implementing some of our digital pathway changes. So , both things actually tempered down our Personal Loans growth. But as you've seen -- between Q3FY24 and Q4FY24, there has been a disbursement growth of approximately about Rs. 120 Cr -- Rs. 100 Cr to Rs. 120 Cr odd.

So, you will see that this portfolio will be growing at a measured clip, but probably the percentage growth rates

will be measured. It will -- we will not try to put any breakneck growth in Personal Loans. It will be measured and we will grow it measuredly. And you will see guidance from us and performance commentary from us in the next couple of quarters on this .

Nischint Chawathe:

Sure. And when you say measured, it's faster than the overall company growth or slower?

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Sudipta Roy:

This will probably be -- see, it's on a very small base . So, at times, what happens is if you grow on a small base, percentage growth rates might come out lower. But still, if you look at the percentage cross -sell of PL to our existing customers, this is currently at 60%. So , in terms of the net growth rate, it might be lesser than the net growth rate of many other lines of business. But because the base is very small, sometimes percentages can come out as high. But the fact is that whatever we grow, we'll be growing it to the salaried segment. We'll be growing it on cross -sell, and we'll be growing it to absolutely safe segments .

Moderator:

Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to Mr. Sudipta Roy for closing comments .

Sudipta Roy:

Thank you. I would like to sort of thank the analyst and the investor community for having joined us on this call. As I said in my opening commentary, we, as an organization and the management team, we are quite satisfied at our performance in Q4FY24 . We believe that we have laid the foundation stones over the last year for a very sustained Retailisation journey. As you can see, we are at Retailisation of about 94%.

We remain ahead of our Lakshya plan by almost 2 years. Now we are investing, as I articulated the 5 -pillar strategy, we are granularly executing the 5 -pillar strategy while keeping a hawk's eye on risk. This quarter, obviously, also, we wanted to make sure that our investors sort of -- and we listen to our investors and make sure that we allay sort of the overhang that we had on the trajectory of our SR book. So, we have created a Rs. 721 Cr of floating provision to sort of protect us against and protect our quarter -to-quarter performance against variation that might come because of a sequence risk while we resolve those SRs, which I maintain that at the end of the entire SR trajectory, L&T Finance will probably make a surplus on that.

And we remain committed on executing a very strong FY25. Q 1FY25 has started on a strong note. And we -- I'm just hopeful that given the prediction of a good monsoon, FY25 will also turn out to be a very strong year for L&T Finance.

I thank you all again for joining us on the call. And as we go through the year, we'll be very happy to sort of catch up with the overall investor /analyst community on a one -on-one whenever we have an opportunity and explain probably on a face -to-face basis some parts of our strategy as well. Thank you so much, and have a good day.

Moderator:

Thank you very much. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any

## Call: Jul 2024

July 25, 2024

National Stock Exchange of India Limited

Exchange Plaza,

Plot No. C/1, G Block,

Bandra - Kurla Complex, Bandra (East),

Mumbai - 400 051. BSE Limited

Corporate Relations Department,

1st Floor, New Trading Ring,

P. J. Towers, Dalal Street,

Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q1FY2024-25 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q1FY2024-25 financial performance and strategy update held on July 18, 2024.

The above information is also available on the website of the Company i.e., [www.ltf.com/investors](http://www.ltf.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited

(formerly known as L&T Finance Holdings Limited)

Apurva Rathod

Company Secretary and Compliance Officer

Encl: As above

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L&T Finance Ltd.

Q1 FY25 Earnings Call Transcript

July 18, 2024

Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Raju Dodti ( Chief Operating Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 1FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .

We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team .

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward-looking in nature. A note to this effect is provided in the Q 1 results presentation sent out to all of you earlier .

I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :

A very good morning to all of you. I welcome you to the investor call for the first quarter of FY25 for L&T Finance. With me on the call are our CFO, Mr. Sachinn Joshi, our Chief Operating Officer, Mr. Raju Dodti, and the senior management teams of L&T Finance.

During my last interaction with you, at the end of FY24, I had informed all of you about the various investments that we are making for strengthening the company and upgrading our capabilities across domains. In this call, I will provide further details about the progress that we have made during the quarter. As far as our core business franchise is concerned, it stands in a satisfactory shape which is evidenced by the numbers posted by us in Q1FY25 with the highest ever quarterly PAT, and I'm hopeful that in FY25, our steady performance trajectory will continue.



Today's call is divided into two sections, taken up sequentially by myself and our CFO, Mr. Sachinn Joshi, who will be talking

about the overall business metrics and the financial performance.

Post our opening commentary, we'll be happy to take questions on the call .

#### Q1FY25 Highlights

I would like to start the call by sharing with all of you that our performance during the quarter has been upto our expectations and in line with the guidance provided by us in the last few quarters. We have registered the highest ever quarterly Consol PAT of Rs. 686 Cr, a growth of 29% year on year (YoY), on the back of healthy Retail disbursements growth of 33% YoY with Retail quarterly disbursements standing at Rs. 14,839 Cr.

Our Retail book now stands at Rs. 84,444 Cr, a growth of 31% YoY. These numbers reflect the strength of the Retail franchise that we have created over the years which has been further sharpened by our 5 pillar execution strategy and I am happy to state that the Company is now sustainably accelerating its journey towards becoming a top -class, digitally enabled and a customer focused retail financier.

We are continuously working towards providing results that are predictable and sustainable quarter on quarter and our Q1 result is another step in that direction

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Lakshya 2026 Goals at Consol Level : Our performance

Having met Lakshya 2026 goals at the Retail level 2 years in advance in Q3FY24, we re-oriented ourselves for convergence at the consolidated level by FY26 and took new enhanced targets for ourselves. Our quarterly performance against the new targets are as follows :

- Our Lakshya goal was to achieve Retailisation of >95%. I am pleased to share that we have reached the 95% level this quarter
- Our Lakshya goal was to maintain Retail book growth at >25% CAGR. Against this, in Q1FY25, we achieved a growth of 31% YoY, which was coincidentally exactly the same growth registered by us in the last quarter as well
- While we have maintained the Retail GS3 & NS3 levels within the threshold levels (Retail GS3 at 2.79% and NS3 at 0.62% for Q1FY25), we are working towards converging Consol GS3 & NS3 below 3% & 1% respectively. The corresponding Consol numbers stood at 3.14% and 0.79% at the end of Q1FY25
- On the RoA front, we had communicated in the quarter gone by that as far as tracking RoA is concerned, we are moving from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. I am happy to share that our Consol RoA for Q1FY25 stands at 2.68% , up 55 bps YoY, which in the last year same quarter stood at 2.13% .

In this regard, I would like to draw your attention to Page No. 5 of the Investor Presentation, wherein we have provided the journey of our RoA trajectory over the last 10 quarters in great detail, since the Lakshya goals were adopted. You will be happy to see that we have been making steady progress towards achieving our stated Lakshya 2026 goals .

I would now like to quickly run you through the key highlights of our performance in Q1FY25 .

- Highest ever quarterly Consol PAT of Rs. 686 Cr, a growth of 29% YoY
- Quarterly Retail disbursements at Rs. 14,839 Cr, a growth of 33% YoY. Our acquisition engines and execution strategy ensured that the disbursements remained almost at the same level as last quarter, wherein we had posted the highest ever quarterly retail disbursement figures.
- Q1FY25 Retail book stood at Rs. 84,444 Cr vs. Rs. 64,274 Cr in Q1FY24, implying a growth of 31% YoY. Consol book growth has picked up pace growing at 13% YoY reaching Rs. 88,717 Cr in Q1FY25
- As shared in the last 3 quarterly updates, the 5 Pillar strategy continues to be central to our roadmap to the future. The organisation continues to granularly execute the 5 Pillar strategy, details of which are available from Slide No. 11 in the investor presentation
- Sustained focus towards improvement in credit parameters across businesses ensured Consol GS3 and NS3 reaching 3.14% and 0.79%, respectively. The Provision Coverage Ratio (PCR) currently stands at

comfortable 75%, up from 71% during the same period last year

Macro -economic outlook :

Now, I would like to give you some flavour on the Macro -economic scenario and progress of monsoon before proceeding to the 5 pillars of our execution strategy.

As far as the global economy is concerned, growth forecasts for 2024 have been raised in recent months by multilateral organisations and rating agencies during Q1FY25. These upward revisions reflect higher growth prospects, especially for India.

The country's GDP growth rate outlook for FY25 was revised by the RBI from 7% to 7.2%, with S&P Global upgrading India's sovereign rating outlook to 'positive' from 'stable'. High frequency indicators indicate a continued momentum in manufacturing and services sector activities so far in Q1FY25. However, pockets of concern remain around the ongoing weakness in rural demand, which is expected to recover as per the latest monsoon progression and distribution estimates for the country coupled with an expectation of enhanced fiscal support to aid rural consumption. Urban consumption, on the contrary, is projected to remain steady in FY25, albeit uneven.

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As far as retail loan growth momentum is concerned, retail loans in the non -agri space are projected to grow healthily during the year, aided by positive macro indicators and steady appetite for home loans, two wheelers

and SME loans.

On the monsoon front, IMD has predicted a high probability (61%) of above normal south-west monsoon rains in 2024 with La Nina conditions likely to develop during Aug-Sep'24, with some areas in Northwest, East & Northeast likely to receive below normal rainfall.

While monsoon progression and distribution remained skewed in June, it has gradually progressed in July. The "active" phase of monsoon progress, which commenced in July, has already wiped out the overall 10% deficit witnessed in June.

To conclude, a few challenges still persist for the NBFC sector in FY25, namely - access to funding at competitive rates, tight liquidity conditions, the 'higher-for-longer' global policy rate regime and elevated competitive pressure especially from banks. We will continue to keep a close watch on the emerging scenarios, across products and customer segments to shape our policies and chart out the future course of action accordingly.

As mentioned earlier, I would now like to dive deeper into the '5 pillars of execution' which will help us in creating a sustainable & predictable retail franchise :

1. Customer Acquisition - As far as the first execution pillar is concerned, we are continuously working on deepening the customer acquisition funnel both, horizontally i.e. greater geographical coverage as well as vertically, which is greater counter share at dealer points. In this quarter as well, the numbers reflect the continued momentum of horizontal and vertical deepening. For instance, the number of new villages / zero disbursement villages activated for Rural Group Loans & MFI (RBF) stood at 21,832 in Q1FY25, as against 21,524 villages in the last quarter. Similarly, our Two-Wheeler distribution points increased to 11,178 from 10,711 in Q4FY24. This granular distribution surface area increase has enabled us to continue our growth momentum in both RBF and TW businesses, while maintaining a healthy and a risk calibrated portfolio. We have given out details for all relevant lines of business in slide nos. 12 & 13 of the investor presentation .

2. Sharpening Credit Underwriting - In the last quarter, I had mentioned that one of the most important focus areas for us is building and continuously sharpening our next gen credit underwriting models. The highlight of this quarter is the deployment of the beta version of our proprietary digital credit engine, 'Project Cyclops', the first of its kind engine in the industry which facilitates a thorough credit underwriting on a multi-dimensional axis. The

AI-ML powered underwriting engine facilitates an in-depth assessment of the customer's potential by ingesting bureau, account aggregator and alternate trust signals at scale using ML based ensemble scorecards built after an extensive data analysis and overlay of historical credit performance data. The same has been explained in greater detail on page no. 14 of the investor presentation .

The beta version of this engine, which is currently operating with 14 ML scorecards has been deployed at various Two-Wheeler dealers in the country and the initial trends are encouraging. In the next phase, we intend to scale up deployment in the Two-Wheeler Finance business, further amplify the data sources and eventually implement it across all our lines of businesses starting with Personal Loans, Farmer Finance & SME Finance by the end of this financial year.

With 'Project Cyclops', we are hopeful that our underwriting capabilities will become more comprehensive and accurate, enabling us to make faster and more informed decisions at scale. I am sure that this engine will

significantly add to the underwriting depth of the Company and help create a deeper moat in our fulcrum businesses.

Additionally, you may refer to page nos. 15 and 16 of the investor presentation, wherein we have explained the strength of our credit guardrails in the Rural Business Finance business revolving around customer leverage and group indebtedness, which leads to enhanced portfolio resilience .

3. Futuristic Digital Architecture - We are committed to becoming one of the pre-eminent technology driven lenders in the country. As detailed in the last quarter, our technology efforts are divided on 4 quadrants, namely designing superior customer experience, application & process engineering, augmenting IT infrastructure and strengthening information security . In the last quarter, the BRAKE App, our in-house collections application went live. I had informed you that we had started working on a revamped customer portal and the next generation of our Planet App. It is heartening to share with all of you that the app, which has emerged as an important servicing tool for our customers has achieved a significant milestone of crossing 10 million downloads in Q1FY25. We also launched PLANET 2.0, which is aimed at enhancing the experience of our customers. During the quarter, while we launched certain journeys like DIY Home Loan, others were revamped like Rural Business Finance sourcing app, and customized to meet user expectations, in line with our philosophy of customer centricity. We will constantly harness cutting-edge technology to simultaneously enhance the customer experience as well as improving our operational metrics .

4. Brand Visibility - In my last interaction with you, I had stated that we will augment our brand visibility to build customer mindshare for L&T Finance in our operating lines of businesses. Over the last few quarters, we have invested in building visibility around high traffic customer points like airports and in-flight advertising on the urban side and wall paintings and melas on the rural side. As I had mentioned in the last call, our multi-lingual Sonic Identity, which was launched a few months back is now being used both internally and externally for building greater recall and association with the brand .

During the quarter, we launched our first integrated marketing campaign for our Housing Finance business 'The Complete Home Loan', which generated sizeable leads for us and aided in overall lift in awareness of our brand. The integrated Home Décor Finance proposition is a first of its kind in the industry and addresses a whitespace in the home buying process for our customers. In the coming quarters, we will be working on

Integrated Marketing Campaigns for our other businesses, with the TW business being next in line .

5.Capability Building - On the capability building front, we have further

strengthened the Risk and Compliance

culture in the organisation by creating a 3 -tier compliance structure i.e. a Central compliance, a Business compliance and a Regional compliance structure , reporting to the Chief Compliance Officer. To ensure the robustness of our compliance framework, a separate compliance testing team has been created for continuous monitoring and testing .

I am happy to announce that we have been certified as a Great Place to Work for the period May 2024 to May 2025. This certification is based on a survey and feedback from over 21,000 employees and underscores our continuous dedication to create a workplace that fosters growth, development, and well -being for all employees. At LTF, we are continuing to invest in our people and culture, thereby driving excellence in business and other related spheres . This recognition also highlights our dedication to fostering diversity and

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inclusion, promoting employee engagement, and developing talent. We are proud of this recognition and will continue to aim for excellence in all aspects of our organization .

Now, I will request our CFO, Mr. Sachinn Joshi to take you through the financial updates for the quarter .

Financial updates

Sachinn Joshi :

Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter gone by .

Quarterly Performance:

- Our Net Interest Margin + Fees at 11.08% vs. 9.64%, is up 144 bps YoY owing to change in portfolio mix and Weighted Average Cost of Borrowing remaining stable
- Highest ever quarterly Consol PAT at Rs. 686 Cr was up 29% YoY
- Healthy quarterly retail disbursements of Rs. 14,839 Cr, up 33% YoY
- Retail book stands at Rs. 84,444 Cr (up 31% YoY) on the back of healthy retail disbursements during Q1FY25. Our Consol book stands at Rs. 88,717 Cr . This is the first time we have shown a double digit growth after a long period of time , this is up 13% YoY
- Consol RoA stands at 2.68% , up 55 bps YoY
- Consol RoE at 11.58% , up 186 bps YoY

Retail Businesses :

Rural Business Finance

The business registered highest ever quarterly disbursements of Rs. 5,773 Cr (up 28% YoY). The book size crossed Rs. 25,000 Cr milestone in Q1FY25 .

Farmer Finance

In Farmer Finance, disbursements stood at Rs. 1,903 Cr in Q1FY25 (up 8% YoY & 24% QoQ). This has led to our book size reaching Rs. 14,204 Cr, reflecting a growth rate of 8% YoY. With the current positive trajectory of the monsoons, we are hopeful that this business momentum will improve as compared to the previous year.

Urban Finance

This segment, which comprises of Two-Wheelers , Personal Loans and Home loans / LAP businesses, saw a 44% YoY jump in overall quarterly disbursements and a 32% YoY jump in the book size , which increased from Rs. 29,261 Cr in Q1FY24 to Rs. 38,653 Cr in Q1FY25 .

- Two-Wheeler Finance : The TW business registered robust disbursements of Rs. 2,621 Cr in the quarter, which is more than the disbursements made in a festive quarter (Q3FY24 disbursement at Rs. 2,540 Cr). The disbursements were up 52% YoY from Rs. 1,726 Cr in the same quarter last year. The growth for the segment was aided by activation of new dealership points during the quarter, as well as continued focus on Prime disbursements. Additionally, LTF achieved 150% YoY growth in EV vehicles financed and received a strong reception for its offering under the Superbike segment. The book size has crossed Rs. 12,000 Cr milestone (Rs. 12,025 Cr), up 31% YoY .

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- Personal Loans: This business witnessed disbursements worth Rs. 1,178 Cr, as against Rs. 1,162 Cr in Q1FY24 and the book size stood at Rs. 6,667 Cr, an increase of 11% YoY. Risk calibrated growth in this segment was aided by new digital processes and expansion of physical distribution through the DSA channel focusing on salaried prime customers .

- Retail Housing: The quarterly disbursements stood at Rs. 2,245 Cr (up 73% YoY). The book size

reached

closer to the Rs. 20,000 Cr milestone , an increase of 42% YoY. Sustained business momentum in this business through collaborative launches with prime developers across top locations. Additionally, the launch of LTF's 'The Complete Home Loan' offering across 11 locations drove higher lead generation which should lead to tangible results over the next few quarters. The Home Décor finance package of The Complete Home Loans programme has seen a good customer acceptance and we expect increased penetration of this add-on to lead to greater customer stickiness as well as higher portfolio yields .

- SME Finance: Our Q1FY25 disbursements stood at Rs. 978 Cr , up 61% YoY. The book size reached Rs. 4,471 Cr in Q1FY25. Strong growth in business volumes were aided by focus on building additional channels to diversify the existing sourcing funnels .

I will now hand over the call back to Sudipta to make his closing statements

Sudipta Roy:

In conclusion I would like to state that, in the quarter gone by, we are satisfied with our progress on achieving our Lakshya 2026 goals and we will continue to remain focused on granular execution of our strategy in the quarters to come. We would like to open the floor now for questions.

Moderator :

Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead .

Mahrukh Adajania :

Sir, I have a couple of questions. Congratulations, first of all. My first question is on the MFI business, that you, of course, articulated why your collections have been consistent through the years, and that's well articulated even in your presentation when we discussed with you. However, all lenders have complained about collections this quarter, in the first quarter because of elections and heatwave . Of course, there have been state -specific issues as well, but more so to do with collections and heatwave . Sir in these conditions, how did you incentivize your collections team better than others to achieve better outcomes because everyone is complaining about collection efficiency in the first quarter. That's my first question on the MFI business.

And the other one is that -- I mean what is possibly competition not doing right to have issues in MFI over the last 2 quarters, which you've not seen. So, these are my 2 questions on MFI. Then I just have some -- one more follow -up question on SRs, so in security receipts if you could give some color on when you think a lot of realization will happen, by which year? How it's progressing? Any comments you can give either on the fair valuation or visibility of realization of SRs? That's the second part of my question.

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Sudipta Roy :

Thanks, Mahrukh. I'll take your first question first. I would like to state that I think collection efficiency and collections discipline is a culture . And over the many years that L&T Finance has been present in the microfinance business, the culture of disciplined collections efforts and disciplined execution and granular execution on the ground has held us in good stead. And I think it has also helped us during this period as well. And plus, also, I would like to state the fact that our prudent credit assessment and our prudent credit guardrails administration where we not only take the household income, but also, we follow association norms, also we follow leverage norms very judiciously also has helped us to maintain a pristine asset quality. Almost 40% of our customers are our exclusive customers, who are obviously non -leveraged. So, if I look at our collection efficiency in the last quarter, our collection efficiency is holding in the range of about 99.6% -99.7% levels backed by the robust credit guardrails that we follow. With improved prospects of monsoons and monsoons have been good, till about middle of July and the progress is satisfactory, I do believe that

it will lead to sort of improvement into healthy rural credit

demand as well as rural incomes. And we are hoping that sort of the indications of stress that might have been visible in the first couple of months probably will dissipate on the back of a good monsoon. We expect that our portfolio quality will remain absolutely stable, and we are sort of confident of our expected growth trajectory for the rest of FY25.

Your second question was about the competition, I cannot comment on competition and the fact is that everyone follows their own practices. We are focused on making sure that whichever MFI customers that we onboard are of low risk and non -leveraged quality. And we have a very strong portfolio management practice, which actually keeps a watch on the leverage levels of the customer. And the moment we have sort of any signals of a customer getting leveraged beyond our thresholds, we stop disbursing to that customer. That actually discipline has helped us to maintain a sort of a very balanced portfolio and maintaining high collection efficiencies on ground.

As regards to the SR book, as I said in the last investor call that the resolution pathways are visible. Many of the projects which had been sort of lingering for a period of time, actually, construction has started. The secondary sale of the apartments in those under construction projects have started. We have the visibility of the cash flows. But as you understand, this is a long drawn out process. It is not something that you flip a switch, and you get an instant result. So, we'll continue our efforts. And I do hope that over a period of maybe next anywhere between about 10 to 14 quarters, that is what it will take for us to sort of come to our overall sort of granular realization of these portfolios. As we have maintained in the call previously, we are hopeful that once this process is over, it will lead to a net gain for LTF and our sort of wholesale banking teams as well as our commercial real estate teams who are monitoring these projects, they remain engaged very granularly on the ground with the developers and the promoters of these projects, and we are tracking everything in these projects very, very minutely and closely.

Moderator:

Our next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh :

Two book -keeping questions. First one is on your cost of funding and interest cost linkage. So, if we were to look at the numbers for the quarter, your interest cost is close to Rs. 1,350 -odd Cr. That means that annualized run rate of Rs. 5,400 -odd Cr and your average cost of borrowing you reported is 7.85% that if we do the reverse math, it suggests more like a Rs. 70,000 Cr borrowing, but your borrowing reported is Rs. 80,000 -odd Cr. And even if you do the average, I mean the Rs. 70,000 Cr calculation. So, where I mean, what is sort of, I understand the daily balance method, but it's still that your cost of funding and interest cost and the borrowing. I mean struggling a bit to kind of link. That's one.

The second one is, within the part of credit cost that around Rs. 155 Cr losses on the account of derecognition of

assets. But if I see the disclosures in this quarter, there has been just 1 loan -- standard loan that you have sold, that is worth Rs. 200-odd Cr. So, from where this Rs. 155 Cr, if I understand correctly typically, where loans you Page 9 of 16

are selling to ARC and all typically will recognize it will go out of your loan book and sit in investment book, and that recognizes Rs. 155 Cr. So, from where this is coming if you can help. These are the 2 questions ?

Sachinn Joshi:

Okay. Thank you, Avinash. The first question, let me take on the cost of borrowings. The closing book, of course, total borrowings are at Rs. 80,295 Cr. But the actual average borrowing because the book has been growing over a period of time, the average borrowing for the quarter are

just Rs. 69,100 Cr. And this, if you look at, compared

to the previous year, Q1FY24, the average borrowings were just about Rs. 70,559 Cr on a much lower book. The reason for that was in the last year, we had not completed the merger process, and we were running 3 different balance sheets, which meant that the liquidity was to be maintained across all the 3 balance sheets as per the LCR norms. So, the actual average borrowings being much lower. The overall growth, if you see, it is actually minus 2% growth on a YoY basis. And even over the quarter, it's just about 1%. And if you apply a weighted average cost of 7.85%, you will get the results.

Avinash Singh :

Yes, that's clear. I mean this Rs. 11,000 Cr kind of a gap between what we have seen in balance sheet and what is the daily average balance that -- I mean was understood. That was my question, it's answered, I mean, but yes Rs. 10,000 Cr -- Rs. 11,000 Cr difference on a kind of Rs. 80,000 Cr, it was pretty big. The second question on that loss on derecognition.

Sachinn Joshi :

Avinash, can you repeat the second question? We couldn't really hear.

Avinash Singh :

Yes. So, I mean, you have kind of a different parts of your credit cost. So, if I go with your -- yes, Ind AS filing, there is a Rs. 155 Cr reported loss on derecognition of loan at amortized cost. Generally, I would understand this would be typically when you are selling loans and getting SRs and all kind of a thing for that. But in this quarter, in the same filing, if I see, there is just 1 loan that you have sold, that also a standard loan for 200 -- I mean that loan was Rs. 200 Cr. So, where this Rs. 155 Cr line item is coming from? What have you derecognized from loan book and investment book.

Sachinn Joshi :

So, there are different components, which form part of the overall credit cost. One is the mark-to-market, which is there on account of fair value changes. Second part is the ECL provisions that we make. And third part is the foreclosure losses that we have, which get incurred when we actually do the repos session and foreclosure and whatever proceeds come that also come as part of the credit cost and the ultimate gap between the actual value on the books and what we recover comes in as a hit to the P&L. So, these are broadly the 3 components that come.

Moderator:

The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe :

Just two questions. One is if you could share some colours on the top state exposures in microfinance. And the second one is slightly more qualitative. Some of the banks and NBFCs are raising some concerns in the personal loan business with higher delinquencies, increasing customer leverage. I know we are going live on the new model. We are starting to do business with DSAs now, but are we kind of tightening the stream? And what is it that we are watching for ?

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Sudipta Roy:

So, Nischint, I will take your first question. Our top states are Tamil Nadu, Karnataka, Bihar. These are mainly our 3 top states. And the fact is that our asset quality in all these states remain stable. And what we have been trying to do over the last couple of quarters is sort of bring down the overdependence on a couple of states and try to expand into the new sort of geographies or territories, which are lesser penetrated and have less MFI penetration and correspondingly less leverage. So that is what's been our strategy. So that's the first question.

The second question is on personal loans. Yes, on personal loans, as I said, we are focused on prime and near prime personal loans, especially on the salaried segment. And our personal loans, if you see our -- the new acquisition engine, the new credit engine. The new credit engine is not live on personal loans yet. It will become live on personal loans towards the latter part of the year. But the fact is that overall, on a credit

edit policy perspective,

we have tightened most of the guardrails. As you can see, our Personal Loans year-on-year sort of growth is only 1% odd. And so that is why on Personal Loans, we have been very, very cautious and judicious and the underwriting standards, especially for Personal Loans have been increased. Though previously, we used to underwrite Personal Loans completely on a sort of a machine algorithm basis. Now we have introduced manual underwriting on Personal Loans above particular ticket sizes, where post the machine BRE goes through and human being also looks at most of the loans and looks at most of the parameters. So, we're very guarded in scaling up this particular portfolio. And whatever we do -- we can assure you that it will be on a risk-calibrated basis and primarily to the salaried segment.

Nischint Chawathe :

Perfect. Just one small question, what would be the average yield on loans in home loans ?

Sudipta Roy:

Average yield -- would be about -- we do not give out the exact numbers, they will be in the range of about -- close to about 9% .

Nischint Chawathe :

This is practically the prime segment, prime or near prime .

Sudipta Roy:

Yes. Yes .

Nischint Chawathe :

Perfect. Those are my questions and all the best .

Moderator:

The next question is from the line of Chintan Shah from ICICI Securities .

Chintan Shah :

Congratulations sir, on strong set of numbers. Sir, my question is on the Two-Wheeler business. So , on the Two-wheeler , the sector seems to be growing – the two-wheeler sales seem to be growing around in single digits, whereas our growth is around more than 25% odd. So how do we expect the growth to sustain in the Two-Wheeler segment?

That is first and similarly, sir, on the microfinance given that there have been some news on a collection efficiency and probably heatwave. And so because of that, are we also planning to somewhat slow down our growth in the microfinance? Or so basically, what would be the growth vectors that will help us to grow more than 25% ?

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Sudipta Roy:

Yes. So , I'll take the Two-Wheeler question first. Obviously, on two-wheelers, India sells anywhere between 1.2 million to 1.4 million two -wheelers per month. And I think our focus on two -wheeler has been to make sure that we are present in the prime and the near prime segments and primarily sort of wean ourselves away from the sort of the below prime segments. Though new -to-credit continue to be a significant proportion of our through -the-door acquisitions as well, wherein our new credit engine Cyclops will come useful.

As I said in my call, our focus is on what I call deepening the surface area or increasing the surface area of distribution, we are currently at about 75% penetration of the overall dealer universe. We want to take it to about 85% of the dealer universe, and our teams are focused on sort of onboarding more dealers.

We are also working on building our loyalty program for our Two-Wheeler dealers, which obviously has constructs built-in wherein we get a preferential share from the dealer , in whichever dealers that we agree to onboard on us. Plus, last but not the least, the new credit engine, which we have deployed on a beta test pilot basis. Also, you have to understand that a large proportion of the two -wheeler approvals are done in the dealerships, sometimes the customer does not end up taking the loan from us . So, which we call approved but not disbursed. One of our focus areas is to reduce the approved but not disbursed -- and then by giving the right ticket size to the right customer, and we are hopeful that our new credit engine will also help us do that.

While calibrating for risk, it will also throw up the right ticket size, which is sort of due to that particular customer rather than through the door sort of a simple business rule and engine type of approach. We have invested in our Two-Wheeler distribution

teams as well. Our Two-Wheeler distribution team has grown. We have set up a separate EV channel. We have separate -- put up a separate prime bikes channel as well as the superbike channel as well.

You have to keep in mind that Two-Wheeler AUM expansion is not only a function of the number of two -wheelers that we finance, but also the average price of the two -wheelers that we finance. And if you see from the slide that we have put up in the investor deck, our average ticket size of the two -wheelers financed by us has been going up. So , if you look at that particular two -wheeler slide, the average ticket size has been going up, which obviously shows the focus that we have on the prime segment as well as the average financing amount of more higher -end two-wheelers have increased.

Yes. So , it's in slide 18, where you can see that from June'23, where we had about Rs. 85,000 average ticket size, we are currently at Rs. 98,000 average ticket size. So , it is on two -pronged approach, first and foremost thing increasing distribution, increasing quality, and making sure that we are -- reduce our rejections or reduce our sort of leakages by approved but not disbursed and last but not least, pushing the ticket sizes of the vehicles. On the back of a good monsoon that we are seeing this year, I think overall, the two -wheeler demand might increase as we move towards the festive period. We remain hopeful. And if it really does and the two -wheeler demand spurts on the back of a good monsoon, I think we will be sort of sufficiently well capacitized by that time to take a large amount of that share as and when that happens. So that's the first question. What was the second question ?

Sachinn Joshi :

On Micro Loans

Sudipta Roy :

Yes. So , growth expectation . Micro Loans , we are very clear that we will do risk -calibrated growth. Our vintage markets are Bihar, Tamil Nadu, Karnataka, and Kerala. These markets, obviously, we are focusing on, as I said, new villages as well as zero disbursement villages is where we are sort of granularly tracking.

We are also moving into new markets. We are moving into Telangana, we are moving into Maharashtra, Western

UP and probably later on in a couple of other new geographies as well. So , our growth will come in the Micro  
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Loans segment from expansion into hitherto uncovered villages in our existing territories as well as completely virgin villages in the new territories.

So, we are probably -- during the course of the year, we will set up anywhere between 250 to 300 new Micro Loans branches. And as you know, each and every Micro Loans branch in about 6 to 8 months of operations , starts generating about Rs. 1 Cr worth of top line. So , we are also confident that a mix of focus on new geographies as well as setting up new branches as well as deepening up our distribution channels will help us sustain the growth in our Micro Loans business.

As regards to the asset quality in our Micro Loans business , as I stated earlier in the previous question, it remains stable. Our collections discipline and our discipline of -- on due date collections remain strong. And as of now, I can say that our asset quality sort of metrics that we see right now on ground are quite satisfactory .

Moderator:

The next question is from the line of Kunal Shah from Citi .

Kunal Shah:

Congratulations. So , a couple of questions. Firstly, in terms of just taking forward the growth question, if we look at YoY against, like, say, Rs. 6,000 Cr net addition to Micro Loans , there has been Rs. 6,000 Cr addition to Home Loan plus LAP as well. So , when we look at the mix between the secured and unsecured on incremental basis, do we see now the secured proportion would be relatively on the higher side, given the various marketing campaigns also which are being done on the Home Loan, LAP and all ?

Sudipta Roy:

So, Kunal, the answer to that is that we obvi-

ously are trying to calibrate our secured to unsecured sort of

separation of our AUMs. And yes, the focus has been on Home Loans and Loan Against Property in the last maybe 4 or 5 months, thanks to our 'Complete Home Loan' launch and which is doing reasonably well in the market.

But however, you would notice also that our Personal Loans business has been recalibrated, and we have been sort of making sure that the guardrails in this business are made far, far more stronger and focus on salaried customers as well. So , I do believe that overall, for the next couple of quarters in terms of growth prospects, our Rural Business Finance business will continue to grow. We will see risk calibrated growth in our Personal Loans business as well as we will see growth in our secured businesses, which is factor ed on the back of good monsoons, Home Loan and Loan Against Property, the market demand remains robust as well as in terms of Two-Wheelers.

We have started also Rural Micro LAP, we have started, we have piloted Micro LAP, and we have -- the pilot has been reasonably successful in Tamil Nadu. We have close to 30 branches in Tamil Nadu, and we're scaling up in Maharashtra, Gujarat, Karnataka, Telangana, the Micro LAP business also we are scaling up. It will be very hard for me to put a sort of complete sort of a percentage separation between secured and unsecured. But what I'd like to believe is that given that we expect reasonable -- to continue reasonable business growth momentum of all our lines of business, both secured and unsecured. I think the current separation that we have between secured and unsecured, I think that trajectory will continue for the next couple of quarters .

Kunal Shah:

Okay. Okay. And secondly, with respect to yields. So , if we look at it in terms of what would be the difference between the incremental and the book yields, okay, because we would still be having a larger part on the fixed rate side? So given that margins have expanded almost like 17 -odd bps, just want to ge t some sense of that .

Sudipta Roy:

It will be about 10% to 11%

Sachinn Joshi :

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Yes. About 11.5%.

Sudipta Roy:

11.5% to 12%. Wholesale would be about 11.5% to 12%. And overall, retail would be, I would say, ballpark which is average basically is 15% -- 16%-odd.

Kunal Shah:

About 16% ?

Sudipta Roy:

Yes.

Kunal Shah:

So, this would be book yield ?

Sudipta Roy:

Yes, that's right. Yes .

Kunal Shah :

And incremental on retail side .

Sachinn Joshi :

See, directionally, Kunal, we don't see -- the earlier question actually will answer depending on how the secured, unsecured piece stands out. Usually, what we try to do is that we first have a secured , especially the Home Loan/LAP that is part of our strategy , that the Home Loan piece is one which is first grown on the balance sheet

and around it then we are able to do the unsecured piece, grow the of unsecured piece, which is the Rural Business Loans, Rural Micro LAP . SME and P ersonal Loans are the two, again, growth businesses for us. So, these will not grow unless we have a strong secured asset base on the balance sheet. So , it's going to be a mix. Directionally, we feel that the yields will continue to be in this range at least for next 3 to 4 quarters. We really don't see that we will continuously keep increasing either the Home Loan book or aggressively growing the Rural Business Loans. So, it will be calibrated, and we will ensure that the mix is maintained at a level where overall NIM plus fee do not get impacted .

Sudipta Roy:

Yes. So , in addition to what Sachinn said, I would like to also add is that, for example, in our Home Loan business, our home decor finance product has actually seen a good amount of traction in the 2 months that we have operated. And it is at about an 11% yield, introductory 11% yield. And that when it adds to the entire sort of Home Loan portfolio, it obviously brings the o

verall yield of the home -allied AUMs a couple of basis points higher.

So -- we obviously will be working on strategies to improve our yields. We are looking at sort of seeing whether we can take our Two-Wheeler yields a notch up, especially in some markets. So , it's a continuous process. But as Sachinn said, it will be more or less on this ballpark area .

Moderator:

The next question is from the line of Abhishek Murarka from HSBC .

Abhishek Murarka :

Congratulations for the quarter. So , a couple of questions. One on MFI again. So recently, M FIN has come out with some refreshed guardrails, in terms of number of lenders per customer, Rs. 2 lakh s is the maximum MFI to Page 14 of 16

a customer. Does this create any kind of slowdown for you in MFI? And you see a portfolio which is breaching these currently, and you have to run it down something of that sort? Or incremental customers are breaching this, so that creates a constraint. So , are you seeing any kind of slowdown because of this? The second question is sort of on Two-Wheelers. So , when you say, what is the yield on prime, near prime versus the book yield on two wheelers. So yes, these 2 questions .

Sudipta Roy:

Yes. So , the first question, I would like to point out that , to start off , the new M FIN guardrails, which have been rolled out does not impact us in any way. Because anyway, we are following those guardrails. In fact, some of our guardrails are more stringent than that .

For example, we do not disburse to customers on JLG loans who are at any point not at zero DPD . We onboard if only the customer is a zero DPD JLG customer. That's the first thing. We continued the association norms even after it was regulator ily not required. We said a maximum of 3 lenders, which are allowed, including LTF . So, we continued that no rm. We continued the JLG indebtedness norms , where we -- in any way, our guardrail was about Rs. 2 lakhs . So, plus also what we do is that we have 800 strong risk control unit team as well as a separate verification, which we call the branch process team.

So whenever -- though if our field level guy also goes and source s a customer and whether the customer gets a preliminary approval, there's a backup process also to continuously check, whether the customer -- independent backup process to check whether what the customer has said it is correct or not .

So, before a customer goes through for disbursement, multiple levels of checks. So , in fact, we were party to the MFIN discussions as well when these guardrails were set up. And we were happy to note that th ese guardrails though it will be overall beneficial for the industry and sort of protect the industry from any accidents going forward , for us, it will be business as usual. It doesn't impact any -- these sort of guardrails are already embedded in our business for the last many, many years. So , it's not of a concern for us as well.

With regards to your Two-Wheeler question, our prime IRRs are around 15% range and our non -prime IRRs about 19% range. Our overall mix comes in at about 17.5%. But I would also like to state the fact that our prime portfolio, of which we have considerable right now at about 52% , have decent yields because the collection costs are much lower, the loss rates -- the projected loss rates are much, much lower. So , in terms of R oA basis, the prime portfolio, Two-Wheeler portfolio R oAs are sort of traversing on a satisfactory trajectory .

Moderator:

Our next question is from the line of Hardik Shah from Goldman Sachs .

Hardik Shah :

I have a couple of questions. First is on the MFI. Am I audible, sir ?

Sudipta Roy :

Yes, you're audible .

Hardik Shah :

Yes. First is on the MFI, you mentioned that your top states are Tamil Nadu, Karnataka, and Bihar. And Bureau data is also suggesting that there is very high retail overlap for the MFI customers in Tamil Nadu and Karnataka particularly. So , can you share

some of the data points for your customers if you have done any study of what is the retail overlap for the MFI borrowers ?

Sudipta Roy:

So, we have done a significant amount of sort of bureau wash on retail overlap. And I can say that in majority of our markets, close to 60% of our customers have negligible retail overlap . So, the fact is that the retail leverage,



and this is something that which even we have been doing for a long time, even when there was sort of -- it was not even in the limelight, so we have been doing it. So, does that answer that question.

Hardik Shah :

So, this is retail overlap you're talking about with your own portfolio as well as from the industry. So, are you suggesting that

Sudipta Roy :

Yes, absolutely

Hardik Shah :

Okay. And second, on the center meeting discipline, are you tracking kind of attendance? How does that look like, given that we've had feedback from other competitors that the discipline is not the way it used to be before pre - COVID? Anything to share there, sir ?

Sudipta Roy :

Our discipline levels are completely sort of rigorously adhered to. People report for collections. The first 12 days of the month are dedicated to collections and the next is for sourcing mostly. People report at work at 6:30 a.m. in the morning. It is rigorously and digitally tracked. So, I do not know about -- I cannot comment about industry, etc. And our on due date collection remains at 96%.

Hardik Shah :

Any number around center attendance, you want to share, sir ?

Sudipta Roy :

Discipline is persistent.

Hardik Shah :

Any number around center attendance that you would like to share, sir, if you're tracking that ?

Sudipta Roy :

We track center attendance numbers, but I wouldn't like to go specifically into center attendance numbers on the call. I would like to state that discipline. And discipline is a mix of the control that the business managers have on their business, as well as the overall HR discipline of the organization. Our people are extremely disciplined. And whenever -- and frankly, I haven't received any sort of adverse feedback on any lack of discipline or lack of attendance -- lack of attendance in any part of our ecosystem. In fact, what we did was that we hiked the salaries of our Rural Business Finance employees. And we did a salary correction in the month of February. And post that, our attrition levels have significantly dipped in this line of business, which shows that our employees are not only well taken care of, but they are motivated, and they are performing well to their expectations.

Hardik Shah :

Understood. Sir, and last question on the cost -to-income ratio and the provisioning that you have. How are you viewing cost -to-income ratio going forward from the current levels? And how comfortable are you with the provisioning that you're having right now ?

Sudipta Roy :

Cost-to-income ratio for this quarter is about 40% odd and if you look at sequentially, we have gone down from about Rs. 980 Cr to Rs. 966 Cr. And that too on a quarter where we have invested significantly in marketing and above the line marketing. And obviously, our focus is on making sure that our cost trajectory remains stable while we do not shy away from investing in the right areas that we need to invest in. We have told that overall, as a

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block, our credit cost plus opex will be at about 7%. And we remain committed to the trajectory, though for this quarter, I think that number is close to 6.8%. So -- we are running several cost control initiatives right now in the organization, on the technology side, on the collection side, on the overall sort of employee cost side, the travel side, etc, and we are trying to see wherever we can get efficiencies, we are trying to get efficiencies on the cost side. So those efforts will continue.

However, I would like to reiterate that our investments in technology as well as our

investments in brand building

will continue for the next couple of quarters. In terms of provision coverage ratio, I think we are comfortable. We are at about 75% right now. And we think that is quite comfortable for the next -- the go -forward trajectory.

Moderator:

Ladies and gentlemen, we would take that as the last question for today. I would now like to hand the conference over to Mr. Sudipta Roy for closing comments.

Sudipta Roy:

Thank you, everyone, for joining our call. We remain optimistic about the future. As part of the 5 -pillar execution, granular execution strategy towards our Lakshya 2026 goals are truly in motion right now. The entire organization is focused on making sure that we deliver on all the 5 pillars of execution to the best extent possible.

We are hopeful that the environmental trends that we have been seeing, especially with regards to rainfall or monsoons continue its positive trajectory that we have seen so far because it is very important for our lines of business. We also remain mindful about the credit cost scenario of the entire industry and how that is projecting, and we continue to monitor them and also continue to continuously invest in making sure that our credit guardrails and our credit administration guardrails become stronger with every passing quarter.

We are very focused on compliance and control. And as I have said in my -- during my opening comments that we have created a separate deeper compliance organization, including central compliance, business compliance as well as regional compliance. We are now putting compliance people within every business as well as who

will work on the business compliance part that whether the business is compliant with every rule that is applicable to that business as well as regional compliance, wherein we are putting people in -- regional compliance people in the 4 regions. So that on ground granular compliance monitoring also happens.

We are very hopeful that on the back of a good monsoon and on the back of a good festive quarter, FY25, the continued growth trajectory will remain. And we, as an organization, remain committed to our investors as well as our promoters to deliver the return that is expected of us. Thank you for attending the call, and we'll be happy to meet many of you on a one-on-one basis as we go through the rest of the quarters of this year .

Moderator:

Thank you. On behalf of L&T Finance Ltd, that concludes this conference. Thank you all for joining us. You may now disconnect your lines .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any

## Call: Oct 2024

October 28, 2024

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q2FY2024-25 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q2FY2024-25 financial performance and strategy update held on October 21, 2024.

The above information is also available on the website of the Company i.e., [www.ltf.com/investors](http://www.ltf.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited

(formerly known as L&T Finance Holdings Limited)

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Raju Dodti ( Chief Operating Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 2FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .

We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team .

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussions during interactions in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward-looking in nature. A note to this effect is provided in the Q 2 results presentation sent out to all of you earlier .

I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :

A very good morning to all of you. I welcome you all to the Investor call for the second quarter of FY25. With me on the call are – our CFO, Mr. Sachinn Joshi, COO Mr. Raju Dodti, and the senior management team of L&T Finance .

Today's call is divided into two sections, taken up sequentially by myself and our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial

performance at length .

Post our opening commentary, we'll be happy to take questions on the call .

Q2FY25 Highlights

I would like to start the call by sharing the highlights of this quarter's performance, wherein we have registered a quarterly Consol PAT of Rs. 696 Cr, a growth of 17% YoY while maintaining a satisfactory trajectory in our Q2 disbursements ending with an overall disbursement growth of 11% YoY with Retail disbursements standing at Rs. 15,092 Cr, a growth of 12% YoY and 2% sequential growth over Q1FY25 .

Our Retail book now stands at Rs. 88,975 Cr, a growth of 28% YoY. These numbers reflect the strength of the Retail business franchise that we have created over the years which has been further sharpened by our 5 Pillar execution strategy and I am happy to state that the Company's execution momentum to transform into a granular retail financial services provider continues unabated .

Lakshya 2026 Goals at Consol Level : Our performance

Having met Lakshya 2026 goals at the Retail level 2 years in advance (in Q3FY24), we have re-oriented ourselves for convergence at the consolidated level by FY2026, as detailed in the last quarter's earnings call. Accordingly, our quarterly performance as against the new targets for Lakshya 2026 are as follows :

- Our Lakshya goal was to achieve Retailisation of >95%. I am pleased to share that we have surpassed this target with 96% Retailisation at the end of this quarter

- Against a Retail book growth target of 25% CAGR, in Q2FY25, our growth stood at 28% YoY
- While we have improved portfolio quality by sustaining the Retail GS3 & NS3 levels within the threshold levels, we have now tasked ourselves to converge Consol GS3 & NS3 below 3% & 1% respectively. The corresponding numbers stood at 3.19% and 0.96% at the end of Q2FY25

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- On the RoA front, we have moved from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. Our Consol RoA for Q2FY25 stood at 2.60% up by 18 bps YoY, which in the last year same quarter stood at 2.42%

I would like to draw your attention to Slide 5 of the investor presentation where this has been delineated in detail .

#### Executive Summary :

I would now like to quickly run you through the key highlights of our performance in Q 2FY25

- Quarterly Consol PAT of Rs. 696 Cr in Q2FY25, a growth of 17% YoY
- Quarterly Retail disbursements of Rs. 15,092 Cr, growth of 12% YoY. In spite of a challenging operating environment, our acquisition engine and persistent execution strategy ensured that the disbursements exhibited a sequential growth of 2% over the last quarter
- Q2FY25 Retail book stood at Rs. 88,975 Cr, up by 28% YoY. Consol book growth has picked up pace growing at 18% YoY reaching Rs. 93,015 Cr in Q2FY25. The on -book wholesale assets closed at Rs 4,040 Cr at the end of Q2FY25, which is ~4% of overall book
- This quarter marks completion of one year of our 5 Pillar transformation strategy and it continues to be central to our roadmap to the future, details of which are available from Slide 11 to Slide 24 of the investor presentation
- Consol GS3 and NS3 numbers came in close to the target metrics of 3% & 1%, at 3.19% and 0.96%, respectively. The slight erosion in GS3 performance over Q1FY25 is largely on account of macro -operating environment deterioration in the Rural Business Finance vertical in certain pockets, rationalization of Tractor repossession policy in early buckets and some localized adjacencies in the Two -wheeler business. Collection efficiencies in our Rural Business Finance vertical was maintained at 99.43% for Sep -24, which is

a 13 -bps

erosion over the corresponding figure of 99.56% for June -24

#### Macro -economic outlook :

Now, I would like to give you some flavour on the Macro -economic scenario and sectoral outlook before proceeding to the 5 Pillars of our execution strategy .

The spread and width of rainfall distribution this year from the south-west monsoon has been unprecedented with rainfall being at 122% of long period average this year and most parts of the country have received adequate or more than adequate rainfall. This augurs well for the restoration of depleted water tables and reservoir levels in most parts of the country. The success of the south -west monsoon bodes well for a possible resumption of consumer demand in rural areas and improvement of rural liquidity post the arrival of the Kharif crop and a possible bumper Rabi cropping season. This could have a positive implication for our Rural Business Finance and Farmer Finance verticals in H2FY25. We have already seen the green shoots of improved tractor offtake in the month of October and are hopeful that the trend sustains and positively impact the entire rural sector .

We would like to share that we have seen localized impact on collection efficiencies in the Rural Business Finance vertical due to wide spread floods in certain geographical pockets namely, North Bihar, Gujarat, and parts of West Bengal. We also saw disturbances from certain unscrupulous elements hampering our collection efforts in North -Eastern UP and headwinds in Odisha on account of temporary disruption in social welfare schemes. I am pleased to share that our Rural Business Finance team was able to proactively address these issues minimizing the impact on the business overall. I would also like to reiterate that the incidence of our customers with chronic overleverage is one of the lowest in the industry with customers having more than 4 external associations standing at 5.4% of the total Rural Business Finance outstanding book. Granular details of our customers' leverage has been given on Slide 17 of the investor presentation. However, we are also seized of the fact that the industry is passing through a period of de-leveraging which might have a ripple effect continuing into Q3FY25 and Q4FY25, thereby moderating our growth outlook. I would like to inform that we did not need to dip into our macro -prudential provisions specifically created for Rural Business Finance vertical in Q2FY25. We would continuously assess our

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collection outcomes in the impacted geographies highlighted above and keep our options open on defraying

possible slippages through existing macro -prudential provisions in H2FY25 .

As far as the global economy is concerned, it has weakened over the last quarters with some of the major economies including the U.S, China, and the Eurozone now shifting their focus from targeting inflation to fostering growth momentum. The start of Fed's calibrated quantitative easing cycle along with RBI's signaling of a neutral accommodation stance indicates a movement towards a more benign policy rate regime globally and in India in the coming year. Pockets of worry remain due to the conflict zones remaining red -hot in Europe and Middle East and demand constant attention due to the possible spillover impacts into the Indian economy in case of a sustained worsening of the conflicts .

In spite of the rather uncertain global macro and geo -political situation, the domestic growth story remains intact despite some sluggishness in High -Frequency Indicators, as rural consumption and private investment demand start to gain momentum. We hope that a higher government expenditure in the

second half of the year and the  
bountiful rains should add further fillip .

Double Click on the 5 Pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated one year back and continue to be in implementation mode against the same .

1. Customer Acquisition - The focus has been sustained on maintaining customer acquisition momentum in a challenging macro environment while doing the necessary credit adjustments to maintain future portfolio quality. Accordingly, rationalizations have been made in the dealer network in both Two Wheeler and Farm Equipment business in Q2FY25 and focus has been sustained on new customer acquisition in the Rural Business Finance vertical to tap into non -leveraged customers by expanding the new village footprint. Consequently, the cross -sell penetration in Rural Business Finance has been calibrated downwards to exclude customers of higher risk profiles. Details of the same are available in Slide 12 & 13 of the investor presentation deck .

2. Sharpening Credit Underwriting - Project Cyclops – our three -dimensional credit engine that was operationalized in Q1FY25 has now been scaled up to cover 55% of the Two Wheeler monthly throughput. Two additional scorecards – the Fraud Scorecard and Dealer Scorecard have been implemented in Q2FY25 taking the number of scorecards in deployment to 16, only for the Two Wheeler business. The initial results remain encouraging with through -the-door net -bounce numbers for fresh acquisitions being approximately 125 bps lower than those underwritten by legacy algorithms. Project Cyclops will be implemented for the tractor business in Q3FY25 followed by the other lines of business, notably Personal Loans & SME Business Loans in Q4FY25 .

3. Futuristic Digital Architecture - The work on upgrading our technical capabilities and IT framework remained unabated in Q2. On the large partnerships initiatives, deep integration with CRED enabled us to go live on Personal Loans sourcing within expected timelines. Progress has been made in optimizing cloud usage expenses and building robust disaster recovery infrastructure, alongside beefing up the cybersecurity capabilities. The organization has embarked on the task of housing the entire Core IT, Data Sciences & Operations capabilities in an integrated facility in Navi Mumbai, slated for go live in Q4FY25 .

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L&T Finance is also happy to announce that the inaugural edition of R.AI.S.E., India's premier BFSI -focused Artificial Intelligence conference featuring luminary speakers will be held in Mumbai on the 26th of November, 2024 showcasing practical use cases of AI in the financial services domain to BFSI industry & Fintech participants. We urge you to visit the event website ' [www.ltfraise.com](http://www.ltfraise.com) ' and register for the same .

4. Brand Visibility - Over the last few quarters, we have invested in building visibility around high -traffic customer points like airports and in -flight advertising on the urban side and wall paintings and melas on the rural side and marked our presence at Global Fintech Fest 2024 .

We will be launching integrated marketing campaigns for Two Wheeler and SME -focused products in the coming months. We are pleased to inform that we have signed a contract with Jasprit Bumrah as a brand ambassador for L&T Finance products .

5. Capability Building - In line with our objective of boosting the human capital of L&T Finance with an execution bias towards various initiatives, the Regional Business Head structure was operationalized in Q2FY25 to provide more granular distribution & risk co

ntrol on the ground, aid cross -sell and inter -business synergies and reduce response times to tap emerging market opportunities. Four senior professionals from the banking sector have been onboarded in Q2FY25 to transition L&T Finance from a business silo -driven organization to a more participative matrix organization structure with far more granular senior supervision on the ground in the four geographical regions of the country .

During the quarter, we also launched our first Model Branch in Madurai, Tamil Nadu for elevated customer experience and brand visibility and will continue to replicate this templated design across all our new and

legacy branches over the next few quarters. Details of the new organization structure and model branch are provided on Slide 24 of the investor presentation .

The organization also continued on its people developmental objectives emanating out of the Great Place to Work survey conducted in April 2024 to transition the organization into a truly differentiated and employee - focused workplace

In addition, I would like to provide a half yearly update on our Wholesale assets and Security Receipts portfolio. As guided earlier, we continue to maintain that we are on track in ensuring the orderly rundown of this book over time. Many of our Real Estate assets in the ARCs, especially those in residential projects have gathered significant momentum towards resolution, with resumption of construction and increasing velocity of sale of units to end users. As part of the ongoing process, to enable faster resolution, we may be required to transfer one on -book asset to ARC in Q3FY25. This in no way diminishes our expectations of eventually recovering more than the Net Carrying Value on our books. We would like to reiterate that our provision coverage and the one-off additional prudential provision on SRs accrued in Q4FY24, would be more than sufficient to deal with the resolution of these assets

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Now, Mr. Sachinn Joshi will take you through the financial updates for the quarter .

Sachinn Joshi :

Thank You, Sudipta. As always, I will be walking all of you through the financial performance of the company for the quarter .

Quarterly Performance:

- Our quarterly Consol NIMs + Fees remain strong at 10.86% owing to change in portfolio mix and Weighted Average Cost of Borrowings improving by 5 bps on a sequential basis on account of astute liability management
- Our quarterly Consol PAT at Rs. 696 Cr was up 17% YoY
- Healthy quarterly Retail disbursements of Rs. 15,092 Cr were up 12% YoY
- Our Retail book stands at Rs. 88,975 Cr which is up 28% YoY on the back of healthy Retail disbursements during the current quarter . Our Consol book stands at Rs. 93,015 Cr, this is up 18% YoY
- Consol RoA stands at 2.60%, which is up 18 bps YoY
- Consol RoE at 11.65%, is up 84 bps YoY

Retail Businesses :

Rural Business Finance

The business registered quarterly disbursements of Rs. 5,435 Cr , down by 5% YoY. The book size reached ~ Rs. 26,500 Cr which is up by 22% YoY in Q2FY25 .

Farmer Finance

In Farmer Finance, disbursements stood at Rs. 1,782 Cr in Q2FY25 , up by 16% YoY. This led to the book size reaching Rs. 14,488 Cr, reflecting a growth rate of 9% YoY .

Urban Finance

This segment, which comprises Two Wheelers, Personal Loans, and Home Loans/LAP businesses, saw a 29% YoY jump in overall quarterly disbursements. As a result, the overall book size increased to Rs. 41,578 Cr in Q2FY25, translating into a 33% YoY growth .

- Two Wheelers: The Two Wheeler business registered quarterly disbursements of Rs. 2,393 Cr in the quarter. The disbursements were up 32% from Rs

. 1,817 Cr in the same quarter last year. 60% of the disbursements were contributed by prime customers during the quarter . The book size increased to Rs. 12,699 Cr, up 33% YoY.

- Personal Loans: In Personal Loan, we achieved disbursements of Rs. 1,361 Cr, last year we had done about the same which is Rs. 1,308 Cr and the book size stood at Rs. 7,178 Cr, an increase of 11% YoY. During the quarter, growth in this segment was aided by expansion of physical distribution through the DSA channel focusing on salaried prime customers .

- Retail Housing: Moving on to Housing, it achieved quarterly disbursements of Rs. 2,531 Cr, up 46% YoY , last year same time we had done Rs. 1,734 Cr. The book size crossed Rs. 20,000 Cr milestone and finally

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closed at Rs. 21,731 Cr, an increase of 42% YoY. The momentum was sustained in the business through strategic measures including collaborative launches with prime developers across top locations . Additionally, the launch of LTF's 'The Complete Home Loan' offering across 11 locations drove higher lead generation which should lead to tangible results over the next few quarters. The Home Décor finance package of The Complete Home Loans programme has seen a good customer acceptance and we expect increased penetration of this add-on to lead to greater customer stickiness as well as higher portfolio yields .

- SME Finance: Our Q2FY25 disbursements stood at Rs. 1,244 Cr, up by 43% YoY. The book stood at Rs 5,190 Cr at the end of September 30, 2024 . The strong growth in business volumes was aided by building additional channels to diversify the existing sourcing funnels. We are in the final stages of launching our supply chain product in Q3FY25 .

I will now hand over the call back to Sudipta to make his closing comments.

Sudipta Roy:

Thank you, Sachinn . In summary of my opening note, I would like to maintain that Q2FY25 remained one of the most challenging operating quarters post-Covid in the BFSI sector. We expect Q3FY25 to be as intense a quarter as Q2FY25 with a normalization runway visible only in Q4FY25. We are confident that we have enough buffers and safeguards available to ensure a consistent outcome in Q3FY25, even as we continue to operate in a difficult credit environment. On the back of a good monsoon, we remain cautiously optimistic about improving rural and urban demand and credit outcomes during Q3FY25 and we will remain focused on execution of our transformation agenda across all lines of business .

I thank you all for joining the call and for a patient hearing. The floor is now open for questions.

Moderator :

Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Kunal Shah with Citi .

Kunal Shah :

Yeah. So, first question is overall on the credit cost front. So , when we look at it, the ECL provisions have actually come off, so would it be fair to assume that there would have been a significant write -off? And if you can just quantify the amount of overall write -off and write -off in the MFI portfolio, that would be helpful, yeah.

Sachinn Joshi :

This is Sachinn here. Yes, as far as the overall credit cost is concerned, it has gone up, no doubt and the PCRs have also come down. Actually, the impact has been, as Sudipta mentioned in the initial comments, there has been some impact , whether it is Rural Business Loans , there has been some challenge ; simultaneously we also had on the repo assets as far as Farm is concerned and finally some issues on the Two Wheeler. So , it's a mixed bag, I would say. It's not just relating to Microfinance . The write -off is actually -- once

the 100% provisioning is

made across any product or any asset, the write -off actually becomes an accounting entry for us. So , there will be 100% provided assets, which are still part of GS3 and every quarter the write -offs keep happening. So , we really don't share the actual write -off number, but the PCR reduction is primarily on account of some write -off, which you're right and addition of certain Stage 1, Stage 2 assets, which would have moved, roll -forwarded to 90 - plus. Naturally, these have a lower provision compared to the 100% provision, which was on the written -off assets.

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So that has led to a reduction in the overall PCR, but we believe that our PCRs have been pretty helpful at 75% - 76%, which has come down by a few percentage points . If you have seen, we have been mentioning this also during our earlier discussions and on various calls that we have been maintaining a very conservative approach and whether it's PCR, whether it's macro prudential provision that we create, the additional overlays that we have, all these are meant typically for a rainy day. So , these are difficult times, no doubt and something which was 75% - 76% going down to 71% and all, we really don't think it's something really worth worrying at this point because we believe that it's a matter of a couple of quarters, and it should be business as usual .

Kunal Shah :

Yeah. And write -off would have had an impact even in terms of slightly lower increase in Stage 2 and Stage 3 as well? Because maybe otherwise, when you look at it in such a challenging environment, GS3 and GS2 is up



hardly by like, say, 14 -odd basis points both put together .

Sudipta Roy :

Yes, that's right .

Kunal Shah :

And secondly, on the MFI side. So , hearing the commentary from the peers, it seems like Bihar is going through some kind of a swing. You also highlighted floods have impacted the northern part of the Bihar. But there, if we look at the SMA -2 pool or SMA -1 pool, that has gone up quite significantly, which suggests some flow through into Q3 as well. So , now looking at the overall environment in the MFI, are we worried? You also indicated like Q3 would be challenging. But then in that case, are we looking to utilize some of the macro -prudential provisioning getting into Q3 given this stress which is flowing in. And the general commentary on the overall MFI would be very helpful, ye ah.

Sudipta Roy :

Yeah. So, specifically on Bihar, though we don't normally give state -wise collection efficiencies, but I will say because there have been some floods in Bihar, especially in North Bihar, we ended our September collections efficiency in North Bihar at about 99.5%. So basically, what I want to say is that in spite of floods, in spite of whatever disruptions come in, our focus on collections and our people 's focus on collections continues unabated and we expect that in October the situation would improve as the flood water recedes. It is true that the industry is passing through a period of deleveraging and obviously, as the industry passes through a period of deleveraging it will show up in numbers of the players in the microfinance industry .

However, I would like to put on record a couple of things and frankly, we have seen some commentaries on our performance, which need clarification. The first thing that I would like to say is that L&T Finance, as an organization, especially in the Rural Business Finance vertical, we do not lend to a single customer, who is not a 0 DPD. So that is the first thing that I need to point out. The second thing is that our overall guardrails are always consciously maintained. That means we

underwrite not only the customer, but we underwrite the customer's family as well. So , we calculate leverage at a family level .

The second thing is that if a customer's overall debt goes above Rs. 2 lacs at any point in the cycle, whether if she is a fresh customer or if the customer is eligible for a repeat, but the leverage is more than Rs. 2 lacs, that customer goes out of the lending window. So that means we make sure that when we lend to a customer, the overall leverage of the customer is below Rs. 2 lacs. And I would also like to point out that some of these guardrails have been introduced by MFIL as late as June -July of this year. However, L&T Finance has been maintaining these guardrails since 2020. So , it's not that these guardrails are coming to us suddenly new. We have been doing it for the last 4 years.

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A couple of more things . First and foremost thing, our approval rates in the microfinance vertical is 40%. Once our sales guy goes and sources a particular file, then there's an independent check by a branch process manager, which is a completely different vertical, and then last but not the least, about 15% of all our disbursements are checked by our risk control unit. So , it's a 3 -tier process through which our customers come across because our focus has always been to bring in non -leveraged customers. The other thing, which I would like to state is that we realized , actually early this year and the latter part of last year, that the industry is probably getting into a situation of leverage . That is why we upped our efforts into new non -leveraged customer acquisition from September last year. And from January of this year, we started cutting out close to Rs. 75 Cr to Rs. 100 Cr of repeat disbursements because we felt that those customers were on the border line of getting leveraged. And this exercise has been continuing for us since January of this year.

And sort of last but not the least, we have brought down our average accounts per collector sharply from about 540 to about 460, which means we have put in actually 1,000 additional collectors in the field. And we did it early on. So our average accounts per collector ratio has actually dropped, which helped our collectors also to address the sort of the flow issues much more effectively. So overall, it has not been a single -axis action. It has been a multi -axes action and I would like to say that the discipline with which the business has been built is not a 1 -year phenomenon. It's a 3 -, 4-, 5-year phenomenon. So , which obviously, when the industry is in stress through deleveraging, obviously, if you are in an industry, there will be a ricochet impact on us. We are not immune to it and on top of that, because of the monsoons and the floods etc ., it has added to a little bit of additional pain of what the industry has been going through. But I can assure you that our business is fully capacitated to handle this.

And last, but not the least, we have Rs. 975 Cr of provisions which has been kept aside as macro -prudential provisions, which we have not touched this quarter. However, as Sachinn said in this call, for example, if you have an umbrella, and it's raining outside, any logical person will open the umbrella to prevent himself/herself from

getting wet . So, we have this umbrella. We are not saying that we will use it, but the fact is that, that option is on the table. But however, as of now, our collection teams are working and our business teams are working to ensure that we have the best outcome possible through these difficult circumstances .

Kunal Shah :

Sure. Just one thing, one clarification. Macro-prudential is Rs

. 977 Cr ? because last time, we highlighted closer

to Rs. 1,100 Cr. So not sure and you mentioned like there is no utilization of macro -prudential at all .

Sudipta Roy :

Macro -prudential provision allocated to Microfinance is Rs. 975 Cr. Overall, Rs. 1,100 Cr is OTR outlays, etc. So that is separate from Microfinance. Pure microfinance is Rs. 975 Cr. PCR in our Rural Business Finance is close to 100%, if not 100%. So, 90-plus everything is anyways 100% provided .

Moderator:

The next question comes from the line of Hardik Shah with Goldman Sachs .

Rahul Jain :

This is Rahul here. A couple of questions. One is, I appreciate the detailed explanation that you gave just a while back on the macro -prudential and the PCR and the portfolio that you've been underwriting. But just wanted to understand the PCR bit again. So , Stage 2 also saw a dip. So , I wanted to understand how you think about Stage 2 provisions and Stage 3 provisions? And where does this provision coverage need to go before you start opening your umbrella, which is your macro -prudential provisions? How should we think about? Because y our commentary about the outlook also was a bit soft, at least in the third quarter. So how should we think about the utilization or the PCR trajectory from here on ?

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Sachinn Joshi:

Initially, Sudipta made a mention that the deterioration in GS3, it was primarily through the macro -operating environment deteriorating in Rural Business Finance vertical, a rationalization of tractor repo policy and some localized adjacencies in Two Wheeler business. Yes, there has surely been challenges externally in the Microfinance segment. But that is about 26% of our overall book. There are certain other challenges, which he spelt out on the call. Now as far as PCRs are concerned and you talked about Stage 2. Now Stage 2 percentage actually includes the macro -prudential provision, which is sitting over there . We have not enhanced this macro -prudential provision. It has been Rs. 975 Cr, and the book has been growing. So , in percentage terms, you will find that there will be a decline as far as Stage 2 is concerned. The utilization, the overall PCR that we spoke about, just to repeat, we have gone from 75% to 71% on the aggregate basis, more to do with some write -offs of 100% provided portfolio, not necessarily that the whole piece has been completely written off. It's an accounting decision, which is taken, more to do with cash flows rather than anything else . As far as taxation is concerned, already we take a hit, whenever write -off happens, there is a cash inflow for us . The 71% is primarily because of new assets, which were, say, in Stage 2, moving into Stage 3 . For Micro Loans, as Sudipta mentioned just a while back, anything which is 90 plus, we do 100% provision, but that's not true for other assets because you also have a very safe book like Home Loan - LAP, you have a book like Two Wheeler, Tractor . The ECL model decides what will be the percentage provision required for a specific Stage 3 asset. And hence, this movement from Stage 1, 2 to Stage 3 and 100% book which has been provided being written off leads to these changes. Now when there is wherewit hal, we ensure that we maintain the PCRs at a particular level. Like we spoke about overlay just some time back . But at this point of time, the requirement was not there. If you look at the peer group comparative financials, broadly a 50% -55% PCR is a pretty comfortable situation to be in. We have always tried to be conservative. As and when the P&L permits, we can always rebuild. We had mentioned in a couple of calls back, a couple of quarters back, t

hat this macro -prudential provision also, which is currently on Rural Business Loans, we would take a call on whether -- as the unsecured book starts growing, whether this whole macro -prudential provision should be applied to the full unsecured book, but that will be over a period of time. I hope I have clarified.

Rahul Jain :

Very, very helpful explanation, Sachinn. And just if I were to have a follow -on with the -- your credit cost that you talked about, I think, the news channels were flashing some of the comments that it will stay elevated for the next 1 or 2 quarters more. Does it take into account any further buildup of macro -prudential? Or will it be completely to respond to any potential flow -through into Stage 3 provisions ?

Sachinn Joshi :

So, if the challenge in Micro Loan piece actually increases any further, then as Sudipta mentioned, we always have a choice to dip into the macro -prudential provisions and utilize part of it. As he also mentioned that we are better placed compared to the industry. Our numbers are much better. Our collection efficiencies seem to be in control. And if Diwali, post -Diwali, if things do n't really improve, there may possibly be a need for macro -prudential provision utilization, but at a much lower level. But if things worsen from here, yes, we keep that option open .

Rahul Jain :

Alright. Secondly, on the MFI portfolio, basis your details given in the presentation, we understand zero plus is about 3.5% of the portfolio, MFI portfolio. Is it possible to get the granular cuts as to how much is 0 to 30, 30 to 60 and so on and so forth ?

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Sudipta Roy :

Normally, we don't give such granular cuts, so we have -- what we have done is that this time around, we have put the association wise cut, which is in Slide 17 of the presentation. So that's what we have given. So -- and I believe that the entire market is poised now for -- this is our belief that on the back of a strong monsoon, the entire market is poised now for a gradual recovery .

We have seen very good tractor demand in the first half of October and we remain hopeful that the tightness that we saw in the market, especially in certain geographies will start dissipating towards the latter half of Q3 and probably sharply improve over Q4. So, as I said, we remain very optimistic of our -- I would say, a soft landing between the latter part of Q3 and early part of Q4 .

Moderator:

Thank you. Next question comes from the line of Mahrukh Adajania with Nuvama. Please go ahead .

Mahrukh Adajania :

So, is it possible to give any cut on what proportion of total credit cost was attributable to rural MFI? I mean, would it all be driven by rural MFI and Farmer Finance this quarter because nothing really bad is happening on the corporate front or other businesses. So -- because everyone's kind of indicating some level of credit cost for the MFI business, so if you could share those details ?

Sachinn Joshi :

Yes. Yes, you want to continue, you please continue .

Mahrukh Adajania :

No, no, you please continue. I'll ask my second question .

Sachinn Joshi :

So, on the breakup of credit cost, of course, we don't share, but I'll just give you a general response to this. We spoke about Micro Loans. We spoke about Farmer Finance and Two Wheeler finance. Naturally, it's slightly higher for Micro Finance, followed by Tractor and Two Wheeler. So, it's a mixed bag, I would say. It's not just a composition of one particular book really going bad .

Sudipta Roy:

See Mahrukh, you would recall that there were industry -wide reports of difficulties in collections in April and May, which was reported by many players a

cross the industry. So now obviously, you can understand that if Rs. 100 flow at any point in time, not the entire amount flows back and not an entire amount is collected back. So obviously, some portion of that has flown, in Q2, and we have seen stabilization in the latter part of Q2. But obviously, the credit cost components, as Sachinn said, are all components of this .

Mahrukh Adajania :

Got it. And my next question is that in the first few days of October, say, has the collection efficiency deteriorated or stable or only marginally down, any such inputs in Microfinance .

Sudipta Roy:

Okay. So barring Bihar, the flood -affected villages in Bihar, our collection efficiency has remained relatively stable in the first half of October .

Moderator:

Thank you. Next question comes from the line of Avinash Singh with Emkay Global. Please go ahead .

Avinash Singh :

A couple of questions. The first one is that there is a reasonable improvement in opex ratio, particularly the non - employee opex. Now can you help us understand what is sort of improving? And is this sustainable? And even if you were to sort of ramp up your employee headcount further, will this sort of a ratio sustainably improve or not, that's one ?

And second, just on this Microfinance, again, continuing. I mean, you are suggesting that, I mean, Q3 should be likely bottom with Q4 or early Q4 recovery. Given the fact that, I mean, many of the peers, I mean, the banking as well as non -banking who have sort of started to acknowledging the pain earlier are still kind of not giving a very clear -cut sort of a deadline to end the pain. What makes -- you -- of course, you have explained, you have given retail data, but eventually if the geographies, the customer segments are undergoing this, what sort of gives you confidence that your pain will be sort of end in 1 -1.5 quarter ?

Sudipta Roy:

So, the first question, Sachinn will take. I'll take the second question .

Sachinn Joshi :

So as far as opex is concerned, I think, every quarter -on-quarter, there you may see some variations or some increase in opex. This is primarily to do with investments that we are making, either in IT, various technology investments are being made. We are also undertaking certain branding activity, plus rollout of new branches and all. So, these are the major components of expenses, which we are currently seeing. So , quarter -on-quarter, you may see some kind of increase -decrease, so I don't think you should really try to get some meaning out of it. We have mentioned that we would like to be -- the opex plus credit cost, we would like to keep it in the range of about 7%.

So, at this point of time, we believe that a couple of quarters we will have some challenges as far as credit cost is concerned because of the external environment. We have the branding and all, it will be undertaken as an investment depending on the external environment. There is no point in really going out and go very aggressively with our branding and advertising when the market itself is a challenging piece. So, 7% is, I think, the overall range that we keep ourselves. It can be plus or minus a few basis points here or there. So, nothing specific to really make any assumptions if you are thinking of modelling it . I think you should continue to model it in the same range because when we talked about the RoA tree, we spoke about the NIM plus fee in the range of about 10.75% to 11.25%. Naturally, in these times, we may possibly see a NIM plus fee range coming down from about 10.5% to 11%, maybe for a few -- couple of quarters till the time the challenge is addressed. The opex plus credit

cost being

in the range of 7%, it can be plus or minus something. But the RoA trajectory in the medium to long term, we would want to pursue the Lakshya 2026 goal of being in the range of 2.8% to 3%. Maybe a few quarters of some turbulence, we will try to deal with during that .

Sudipta Roy :

I'll take the second question. So obviously, a couple of things has -- and I gave some commentary on how our underwriting and our management of the entire Rural Business Finance vertical is mandated to focus on more predictable customers. Now a couple of -- why we think there might be a soft landing and I use that term. First and foremost thing, we have had good monsoons . And the first signs are available in improved tractor demand, so we'll have to wait for the commentary from the various FMCG companies as to what level of demand that they are seeing, to put two plus two together. But the fact is that normally, monsoon brings in income and these

monsoons have been really good . So, we are hopeful that towards the latter -- Kharif crop arrivals seems encouraging. We are tracking the arrivals and basis the water table levels, we think Rabi crop will be a bumper crop. So, we do believe that rural incomes will improve. Secondly, obviously, the social scheme, the government social schemes have started flowing again. They had a temporary hiatus on the background of the elections. They have started flowing again, which will again improve rural liquidity . Last, MFIN has come out with the norms. So , MFIN norms got implemented from June -July. So, players have started adhering to the MFIN norms. So once --

so basically, the leverage adding, obviously, has stopped, and we have to understand that most of these loans are 24 months loans. And the problem really started in January -- December, January of this calendar year. So actually, if you see, we are already 12 months almost -- not 12 months, but maybe about 9 to 10 months into the problem. So, a lot of deleveraging already has happened. Maybe some tail-end deleveraging is still left, but that might happen over Q3 and the earlier part of Q4. But I do guess that maybe 60% -70% of the deleveraging has already gone through. So -- and overall, I think each and every player has become cautious, overall leverage has been coming down. So, I do believe that with all these factors playing in, we actually remain hopeful that there will be a soft landing in the latter part of Q3 and the earlier part of Q4. However, there has been a significant amount for the industry that has flown into PAR 0+. And that will continue from a financial point of view, that will continue to flow and cause impact on the downstream P&Ls between Q3 and Q4.

Avinash Singh :  
Okay. Thank you.

Moderator:  
Thank you. Next question comes from the line of Sameer Bhise with JM Financial. Please go ahead.

Sameer Bhise :  
Hi. Thanks for the opportunity. I just had one question on the Home Loan fees. I see the ticket size on the LAP has kind of inched up meaningfully. Just wanted to get some sense here and it is -- I'm asking because it's, say higher than the Home Loan average ticket size.

Sudipta Roy:  
So, the team has been focusing on LAP and the team has been focusing on LAP primarily in the urban areas. So, the LAP -- and the LAP proportion of the entire portfolio also has slightly gone up. We have been also focusing on another product of ours which is Micro LAP (part of the book size of Rural Business Finance) in which our book size is now about Rs. 178 Cr and average ticket size there about Rs. 5 lacs to Rs. 6 lacs sort. So overall, on a weighted average basis, there has been a focus

us on pushing yields upwards both in our urban LAP as well as on our Micro LAP product to just balance the yields a bit.

Sameer Bhise :  
And what kind of yield would be there, urban and rural.

Sudipta Roy:  
Sorry.

Sameer Bhise :  
What yields would you be earning right now on urban and rural Micro LAP?

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Sudipta Roy:  
So urban will be about..

Sachinn Joshi :  
Urban is about 10% to 10.5%.

Sudipta Roy:  
10% to 10.5%. Micro LAP, the yields can go up anywhere between 17% to 18%.

Sameer Bhise :  
Okay. This is helpful. That's all from my side. Thank you.

Moderator:  
Thank you. Next question comes from the line of Nischint Chawathe with Kotak Institutional Equities. Please go ahead.

Nischint Chawathe :  
Thanks for taking my question.

Sudipta Roy:

Nischint we are barely able to hear you. Can you -- I don't know use..

Nischint Chawathe :

Am I better now? It's better now ?

Sudipta Roy:

Yes.

Nischint Chawathe :

Yes, sorry about that. Just a couple of questions. One is your fee income was almost flat. Is it to do with the Micro Loans business or are there any other factors out here ?

Sudipta Roy:

No, not really. Sachinn, do you want to take that .

Sachinn Joshi:

Yes. So , fee income, of course, has a composition of processing fee on disbursements. So , if disbursements are slightly subdued naturally for the Rural Business Loans has higher levels of processing fee income. Number two is the cross -sell income which is the CLI, credit -linked insurance. With the disbursement, the new disbursements coming down naturally this also gets impacted . Year -on-year basis one more factor is that Q2FY24, there was a one-off item of interest on income tax refund, which led to the ove rall fee income increasing in the previous year same time which had actually not been part of it. So that's also one of the reasons. But otherwise, in general, I think the trajectory wise, it's -- directionally it's 1.92% fee income which we feel is very h ealthy fee income .

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Nischint Chawathe :

Have you called out how much was the quantum in the base year for the income tax refund ?

Sachinn Joshi:

Should be about anywhere -- I think it was about Rs. 15 Cr to Rs. 20 Cr .

Nischint Chawathe :

Okay, not very meaningful. Okay, got it .

Sachinn Joshi:

No.

Nischint Chawathe :

Sure. You also mentioned that we discussed a little bit about tractors and the stress from first quarter sort of flowing into slightly higher credit cost this quarter, but what exactly happened on two -wheelers? I believe you mentioned something about local ized adjacencies, so just curious what actually happened over there .

Sudipta Roy:

See, there are certain markets in two -wheeler that really performed like not according to our expectations. So, for example, markets like suddenly - and this was primarily a deterioration that happened in April and May. And I'll give you one example. For e xample, Surat, suddenly we saw galloping delinquencies in Two Wheelers. So , as I said localized adjacencies mean there are certain pockets in which we saw heavier flows in the month of April and May . Again , this is not us, but the industry saw it. But if y ou see, we continue to fare much better than industry in terms of our overall sort of credit costs and our index delinquencies. So , in Two Wheeler, we have about 87% of the delinquency of industry. And if

you see our collection efficiencies actually have been continuously improving from about 97.1% to about -- above 98% by the end of Q2FY25 . So whatever sort of slight deterioration that we saw in April and May in last quarter that has stabilized and that is on a pathway to sort of resolution. We have pushed up the prime share of our Two Wheeler business to almost 60% prime share right now. And if you can see in Slide 20 where we have given our prime share in disbursements compared to the same time last year and prime share on book compared to same time last year. So , I would say that majority -- quite a significant portion of our Two Wheeler bu siness is now prime Two Wheeler . And this has been done to make sure that even some of these localized adjacencies that we see are better managed in the future. And because of our new three - dimensional credit engine, Cyclops, is completely now upscaled on our Two Wheeler business. 55% of Two Wheeler business is now going through Cyclops. By the end of November, maybe early December, 100% will flip over to Cyclops. And early signs are very good . The Cyclops' first net bounce is 125 basis points lower than fr om

our legacy algorithm. So, obviously, there has been a lot of work which has been done to even sort of prevent any sort of this sort of this sudden 1 or 2 month blowout that happens in the future .

Nischint Chawathe :

So probably going forward, your guidance for second half which tends to be a little more guarded is largely from Micro Loans. I think, these two segments, you believe are sorted ?

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Sudipta Roy:

It is largely from Micro Loans. And again, I would like to point out and thanks for asking this question. Largely, I point out that sort of the worries on Micro Loans for us is less -- okay, yes, there is worry from sort of ricochet impact on the overall ecosystem for people who have borrowed from others and are leveraged. There is a little bit of worry from that, but we are more worried about the impact of this -- environmental impact like Bihar floods . There are some unscrupulous elements operating in the North Eastern U.P who are sort of hampering collection efforts , the resumption of the social flows in Odisha, etc. So , our pain is more from those areas . Because of our guardrails and because of our assiduous focus on avoiding non -leverage customers and always making sure that only one customer has one loan at a point in time from L&T Finance , I think we have been able to sort of not be in the eye of the storm, if I were to use that particular term, but when a storm happens there are like gusts of wind that comes to the farthest player as well. And so we are not immune to that .

Nischint Chawathe :

And just final one with all of this, where does -- where do we go on loan growth for a company as a whole and let's say even for the microfinance piece over the next couple of quarters ?

Sudipta Roy:

See, our guidance is 25% loan growth as far as Lakshya objectives. Now, obviously, if there is a one or two quarter calibration, we will have to go through that because we have braked on the MFI and Rural Business Finance disbursements. And for the sake of greater caution, we have braked on it. I would say that we -- on the festive season, we are seeing good demand in tractor . On the festive season, we are seeing -- for the last one week, we are seeing good demand in Two Wheeler. Lot of new housing project launches are happening. We have been working on building our developer channel in our Retail Housing Finance vertical . And if you look at our Personal Loans, our Personal Loans have significantly grown quarter -on-quarter and we have gone --

and this

quarter we'll be also adding new digital partners and very large digital partners on our Personal Loans portfolio . So, again on Personal Loans we'll grow on a risk -calibrated fashion. We have braked on one line of business, but the fact is that on a risk calibrated way, we remain continuing growing on the other lines of business and take benefit of the festive momentum. So , I cannot at this point , at the beginning of the quarter pinpoint and say where we will end up at the end of the quarter. But you will be seeing that apart from Rural Business Finance vertical, where caution rules the roost, for all other businesses there will be a growth bias in this quarter and the coming quarters as well .

Nischint Chawathe :

So broadly remain in the corridor is what you will suggest ?

Sudipta Roy:

Yes

Nischint Chawathe :

Perfect. Those were my questions. Thank you very much and all the best .

Sudipta Roy:

Thank you so much .

Moderator:

Thank you. Next question comes from the line of Abhijit Tibrewal with Motilal Oswal. Please go ahead .

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Abhijit Tibrewal :

Thank you. Good morning, everyone. So just wanted to understand, I mean, while these results as well as our commentary shows that we've been better off than a lot of other peers in Microfinance, I think, I mean, one of the things and just a suggestion that some of the metrics which are also shared by our peers like collection efficiency including arrears, excluding arrears because the collection efficiencies that we share which is zero DPD customers, that somehow, I mean, unless we are comparable with our peers, will not give that much confidence. And while I appreciate you have said on the call that we do not share segment wise GS3 or segment-wise credit cost. I mean, when the environment is such where the sector itself is going through a pain, we have almost one-third, almost 30% of our book coming from Microfinance side. I mean sharing some of these details during maybe one or two quarters, will help all of us kind of gain better confidence, higher confidence in LTF's Microfinance book. So, if you could please consider that maybe in the coming quarters. But sir, the question that I had really was on this statement that we made in the fact that Q3 will be a challenging quarter and Q4 seems like improving. So, I'm just trying to understand if you see today, unsecured itself, I mean what started with credit cards spilled over to personal loans. It's now spilling over to micro finance now? And if you look at credit cards and personal loans, that pain is still not over yet. So, our unsecured credit cycle what we are seeing in Rural Business Finance now, and at the sectoral level, do you think it is just a hope today or moving the goalpost where we think that maybe the problem will get resolved by Q4? Or I mean, how to read it is what I am trying to understand because 1Q when everyone posted their earnings call, everyone said, that things look like will start improving from Q2. Having seen Q2, now we are saying, maybe things will start improving from Q4. So I'm just trying to understand, is it like just things getting delayed and we'll see when it comes? Or is there another way to look at this? This is my only question.

Sudipta Roy:

See the thing which is there is that -- the first thing, obviously, which gives us hope is good monsoons. The first green shoots of a very rural product, which is tractors, demand going up. So that gives us good hope. The second thing is that, see, all the season are 24-month loan. And as I said, we realized that the industry was going into -- get into inclement weather as early as January of this year.

. So, the fact is that though it started showing up in results sometime around May-June. But the fact is that the signs were visible in January only. The early signs were visible in January. So, the fact is that the industry actually has now gone through a period of deleveraging for about close to 9 to 10 months and since it's a 24-month product, the book runs up very fast, and which is the nature in any unsecured product. Typically, unsecured product peaks and the bad portion of the book peaks very fast, typically within a period of 6 to 12 months. So by December, we would be already been 12 months or almost nine months into the leveraging cycle. So that gives us sort of a reasonable amount of hope that there will be a soft landing in the latter part of Q3 and the early part of Q4. The question is that if suddenly something, if for example, rains were bad, we would have said that, no, we really think that this might elongate. The only thing that because monsoons have been good, the Kharif arrivals are good, social flows have started, we expect a bumper Rabi crop. If on the back of those things, things don't improve ... And lenders are becoming more responsible. Deleveraging has started across the entire industry. So, I do believe that things will move towards normalcy in the early part of Q4.

Abhijit Tibrewal :

And just one last thing. While we've spoken a lot on tractors, two-wheelers, even microfinance. The personal loans, like you rightly said, we started growing again, you are expecting some good large digital partners to come on board in the next couple of quarters. Just trying to understand, banks, which reported last week, large personal loan players, on the NBFC side, still seeing stress in personal loan portfolio. Are we comfortable there now and maybe that is a sign that we've started growing again.

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Sudipta Roy:

Yes. So, if you see, we really slowed down Personal Loan sometime last year. Last Q3 of FY24, we slowed down our Personal Loans. So, if you see Q2 in FY24, we did about Rs. 1,300 Cr or Rs. 1,350 Cr of disbursement. After that we dropped it to as low as Rs. 700 Cr. We dropped the volumes at 50% because we wanted to rework the way we wanted to do Personal Loans. And now in Personal Loans, we are completely focused on the prime segment, again, and the salaried segment, prime salaried segment. And frankly, we are very happy with the new portfolio that we have garnered, which is showing excellent credit outcome. So -- and that has given us confidence to start scaling it up once again, but you will see that this will not be a mad scale up. This will be a gradual calibrated risk-focused scale-up. Obviously, Personal Loans is an essential component and ingredient of any retail



lenders balance sheet. Because this is a good product to do from yield perspective. And frankly, if you are -- if you maintain your guardrails well and don't go crazy in disbursements, then actually, the outcome can be very, very good. So, we are now focused on a very risk-calibrated scale up with the large amounts of data thrown in the underwriting process. Cyclops, our new credit engine, will be pushed into underwriting Personal Loans, where we'll be using multiple lines of data digitally to underwrite our customers. So, we are very confident of being able to scale up this business with an excellent credit and return outcome for the business.

Sachinn Joshi :

Abhijit, just on the first point that you mentioned in terms of disclosure. I think, last couple of quarters, if you see, especially on the Rural Business Finance, we have gone and provided more than whatever we otherwise keep sharing in terms of

information. This quarter, we have talked about, we've given the bucketing of the number of associations that we have across the book. The collection efficiencies, you are right. There are different methodologies used by different players. I think what is important to look at is, how the collection efficiency has changed between the two quarters because if you look at only the differential, the methodology could be whatever, but the differential will actually spell out what has been either the deterioration or improvement in the overall quality of book. I think there are -- plus, there is also an industry-related.

Sudipta Roy :

Yes. And Abhijit, I'll point out to the Slide 18, where we have given the 12 month on book performance from July'23 to Jun'24, so that is -- we are at 23% of industry. If industry is indexed at 100, we are at 23%, and this is TransUnion CIBIL data. If you look at Slide 18, it will give you a sense.

Abhijit Tibrewal :

Yes, sir, I have seen that. Yes, yes, absolutely. Sir, the disclosures that you have given out is indeed increasing every quarter, then that's appreciable. My limited request for you is, if some of the data points, which are reported by peers as well, if we start reporting them, if possible, it will just give all of us greater confidence in what you have articulated that our experience in this credit cycle in microfinance is better than peers. That's the limited point that I wanted to make.

Sudipta Roy:

We take this on board, benchmark ourselves against the others, and then we will see. See, our level of disclosures has significantly gone up over the last couple of quarters across all our lines of business. But definitely, we'll take this suggestion on board and see to the best how and what we can do.

Moderator:

Next question comes from the line of Alok Srivastava with UBS.

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Alok Srivastava :

Just going back to the macro buffer part, I was just trying to understand if there is any quantifiable metric internally that you will look at, let's say, or externally like collection efficiency before using it? Or it is fully subjective? And secondly, as things are today, let's say, things worsen slightly and your base case of improvement end of 3Q, early 4Q doesn't happen, do you think this Rs. 950 Cr odd that we are carrying, is that good enough for whatever stress could come up in microfinance?

Sachinn Joshi :

Yes. Thank you, Alok. This is Sachinn here. Yes, see macro-prudential provisions that have been created, this is based on a Board-approved policy. So, creation of macro-prudential provisions as well as utilization has to be approved by -- we need a sign-off of the Board. So, the way it has been defined is the macro-prudential provisions have been created to deal with specific events, events like flood, famine, political instability, industry-wide credit events. One of the events, which we saw was COVID. When we created this policy, we did not know that something like COVID would really happen. But yes, those are the kind of events, which cannot be modulated or modelled in our ECL -- are the ones which get covered. Sudipta talked about the increasing leverages. Now if the increasing leverage is into -- just limited to a particular geography, it's not an event. But if it's going to spread across the country, and it spreads across, the whole industry is going to get impacted, this also will get very clearly become part of a macro-prudential event. So it is -- we have to see -- we spoke about Bihar floods. At this point of time, the collection efficiencies have not deteriorated to a level where I really need to dip into these. But otherwise

e, that will be a clear -cut example of me being eligible to dip into it and get the Board consent to utilize it .

Alok Srivastava :

But Sachinn, just following up on that, that does that mean that only the part which has been impacted by an event, against that only you can use or you can use against the entire MFI book ?

Sachinn Joshi :

No, we can't use it against the entire MFI book .

Alok Srivastava :

And second question I had was that the action that RBI took last week against four NBFCs, so have we had any communication on interest rate being charged by us? And also, does our MFI interest rate continue to be 24%?

Sudipta Roy :

No. See, our MFI interest is now around a band of 18% to 24%, the more mature that the customer gets. The starting interest rate is 24%, but the more mature a customer gets, especially in cycle 3 and cycle 4, the customer moves down the rate of interest. The second thing is that on our Personal Loans business, etc, we are focused on our prime customers where we give an interest rates from say 12% to a band of about 16% -17% is what we do. So no, we haven't received any communication regarding anything .

Sachinn Joshi :

See, 24%, Alok, was being charged for over a decade. And based on the MFIN guidance, in fact, everyone has moved into risk -calibrated kind of structure. So we have interest rates, which range from 18% to 24% depending on the riskiness of the customer, depending on whether the customer is in the first cycle, second cycle, third cycle, and her behavior, the interest rate gets decided .

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Moderator:

Next question comes from the line of Shreepal Doshi with Equirus .

Shreepal Doshi :

The question was on how are the collection efficiencies trending in states like Karnataka and Tamil Nadu for us? And any update for the trends in October month?

Sudipta Roy :

See, October month, let me be very candid. October month, as I said, we are holding at efficiencies of previous month. Except North Bihar, where we are affected by floods. In Karnataka, the collections efficiency, though we do not give out specifics, but at this time, I will give out. In Karnataka, our collection efficiency in September was 99.6%. And Tamil Nadu, our collection efficiency in September -24 was 99.45%. This is zero DPD collections efficiency .

Shreepal Doshi :

So, these are like -- basis June quarter, how are these like trending broadly?

Sudipta Roy :

As I said, I don't know there was one particular call, which I had said -- these are holding pattern. These are holding patterns, very stable .

Shreepal Doshi :

And sir, just one more question on this write -off. So what is our Board -approved write -off policy for the Micro Loan category?

Sachinn Joshi :

No, the Board approves the provisioning policy, which states that whenever the asset becomes 90 -plus DPD, you need to provide 100% against the Rural Business Loans. The write -off policy is, as I mentioned earlier, is more of a technical issue. It's for the CFO office to decide based on the, it's more of a cash flow issue. Because once the asset gets written off that does not mean that the business stops following up for those collections. There is actually no difference as far as the collection team is concerned . The collection team continues to keep following, because 90 days is a small period that way, right, as far as Rural Business Finance is concerned. So the follow -up continues whether the asset has been written off . And there, in fact, every month we keep receiving monies even out of the asset, which has been fully provided for. So there are teams which actually work specifically on

90 plus. There are teams

, which work on 30 plus, 60 plus. There are specific coordinated efforts made to ensure that there are -- we don't leave customer just because we have provided it in the book .

Shreepal Doshi :

And we don't consider that number -- the pool of customers, which have been written off or, say, which is 100% provided for, in collection efficiency ?

Sachinn Joshi :

No, this is 0 DPD, as Sudipta just mentioned. It's a 0 DPD customer whose billings have been done and the collection out of those billings .

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Shreepal Doshi :

Thank you, sir. And good luck for the next quarter .

Moderator :

Thank you. Next question comes from the line of Chintan Shah with ICICI Securities. Please go ahead .

Chintan Shah :

So, I just had a question again on the Rural Business Finance. So yes, as we don't give the segment -wise breakup of slippages, but if you look at the additions to Stage -3 for this Rural Finance Business specifically, for Q4FY24 and Q2FY25, so how much could be the rise in absolute number in percentage? If you could quantify that so that we would just get a sense, how much stress are also we're getting on our books. So , any rough idea on that would be helpful ?

Sachinn Joshi :

See, actually, if you look at -- if you're wanting to know the stress on the book, you should actually look at Slide 17, which talks about 5.4% of the loan book of LTF is LTF plus more than 4 associations. And there, we have actually even given a further breakup of more than 4 association, 5 association, 6 association. So it will show very clearly that the pain level is pretty limited . And the reason why we've done this bucketing is also to ensure that I just mentioned earlier that we actually mark out in our system, the most leveraged customers, and the focus of the collection team is first to be the first one in the queue because if there are 6 lenders, I would want to be the first in the queue to go and collect. And this discipline that we maintain has actually helped us ensure that the collection efficiencies, though they have dipped, they have not dipped to the levels, which we see in the industry .

Chintan Shah :

And sir, if I heard it correctly, MD sir also mentioned that we would be working to enter into -- working on building the developer finance vertical, so apart from retail also, are we planning to venture into any other businesses ?

Sachinn Joshi :

No. Not developer finance vertical. I'm saying that the developer basically the APF origination team, where basically, we work with developers as a channel to finance homes to retail customers. So developer channel basically. It is the part of the Home Loan channel working with the large developers .

Chintan Shah :

Sure, sir. So , nothing on the corporate side, yes ?

Sudipta Roy :

No.

Chintan Shah :

Yes, that's it from my side. Thank you for the opportunity .

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Moderator:

Thank you. Last question comes from the line of Gao Zhixuan with Schonfeld .

Gao Zhixuan :

Just some data keeping question. Do you mind sharing what's our interest reversal in our NII this quarter and also last quarter because the margin seems to be coming down there, I suppose. It should be somewhat affected by the increase in reversal .

Sachinn Joshi :

I mean you're referring to the yields or you're referring to the NIMs.

Gao Zhixuan :

The yield, right? The yield is coming down obviously because of

some of the increase -- just trying to know the quantum of interest reversal in there .

Sachinn Joshi :

Sure. So as far as yields are concerned, the wholesale book was actually coming down dramatically over last 4 to 6 quarters. And as the book was moving more -- trending more towards retail, the yields were increasing. You would have noticed that last quarter and this quarter, especially, the wholesale book has broadly remained around the 4% level. 96% of the book now is Retail. So, what will actually move the yield positively or negatively will depend on the kind of disbursements we do. Because the Retail business comprises of various products, which are Rural Business Loan, which is perhaps the highest yielding product for us, and home loan and LAP is the lowest yielding. You would have seen that the disbursement this quarter have been more towards HL and LAP . We wanted to be conservative and do secured business and, hence, you see that the yield has got a bit impacted. Once the challenges in the micro loan segment actually comes down, we will see the disbursements firing up again. To support micro loan business, we also have personal loans, SME. These are the businesses. Micro LAP, which we have started also. Book is small. The potential to grow this secured book is also very high. So as we go forward, we will keep seeing the change in the yield within a particular band. And rather than talking about the yields because it is equally important to look at how the interest cost pan out . This quarter, we have been able to bring down the weighted average cost down by about 5 basis points, so 7.85% in the previous quarter has come down to 7.80%. So rather than looking at the yield, it's good for a company like us to monitor the NIM plus fee as a monitorable metric. And we have already communicated the band within which we would like to be, which is in normalized times about 10.75% to 11.25%. And in difficult times like these, perhaps between 10.5% to 11%.

Gao Zhixuan :

Got it, sir. I understand the mix part of disbursement. I just want to understand the interest reversal increased materially this quarter sequentially, that also impacted our yield temporarily a bit. I just wanted to understand that ?

Sachinn Joshi :

Sorry, I did not get -- can you please repeat the question

Sudipta Roy :

Can you please repeat the question ?

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Gao Zhixuan :

Yes. So , I just want to understand the interest reversal increased materially this quarter sequentially, which also impacted our yield on top of the mix change in disbursement that you were talking about ?

Sachinn Joshi :

Yes. So interest reversal ..

Gao Zhixuan :

If you can quantify, if it's possible, please ?

Sachinn Joshi :

Yes. Interest reversal impact would be about 5 to 6 basis points .

Gao Zhixuan :  
And how much was that last quarter ?

Sachinn Joshi :  
Last quarter would be lower than this -- this slightly lower than this .

Gao Zhixuan :  
Got it. And just last one on the Slide 17. I appreciate the breakup on the LTF plus external associations . Just want to understand for the 5% of this outstanding book, what's the collection efficiency there for the month of September ?

Sachinn Joshi :  
Which product you're talking about, collection efficiency ?

Sudipta Roy :  
No, I think he is talking about Rural Business Finance -- Sorry, the audio line is not very clear. So , we're just not able to get the full gist of the question. If you can repeat the question once again .

Gao Zhixuan :  
Yes, sorry. I'm referring to Slide 17. So , we have about 5% of MFI book ...

Sachinn Joshi :  
Collection Efficiency in this particular segment for the month of September was about 97.5% -odd. So that bucket -- the buckets of the people more than -- you're asking collection efficiency of the bucket of people more than -- more than 4 associations. Is that the question ?

Gao Zhixuan :  
Yes, which is 97%, right ?

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Sachinn Joshi :  
Yes, that's 97.5% .

Gao Zhixuan :  
How much was that in June ?

Sachinn Joshi :  
How much was it in June ?

Gao Zhixuan :  
No, March. I just want to get a historical comparison ?

Sachinn Joshi :  
Yes. So , June, it was about same about 98.4% -odd. The March number, I don't have handy with me right now. Maybe we can give it to you offline .

Moderator:  
Thank you. We have reached the end of question -and-answer session. I would now like to hand the conference over to Sudipta Roy for closing comments .

Sudipta Roy:  
So, thank you, and thank you for joining the call. As I said on the beginning in the opening comments that we expect Q3FY25 to be as intense a quarter as Q2 however, what we are very confident about is that our teams are very, very well prepared and well equipped to take care of the challenges on ground . In terms of our work on the 5 pillars, it continues unabated. We remain focused on ensuring, building our other lines of business with a focus on risk and ensuring great credit outcome in the coming years. I would like to qualify the phase that we are passing through as phase of inclement weather, rather -- and I would also like to reiterate that we, as an organization, are perfectly capable of dealing with this. So , we will work very hard to ensure a consistent outcome in Q3FY25 .

And we will be happy to meet all of you on a one-on-one basis whenever time permits and allows us, to give a further granular view of our overall lines of business and progress. The other thing which I wanted to tell you is that on November 26, we have our first AI conference, where we will be sharing some of our developments on AI side as well, which we have implemented and including also our overall discussion on applicability of AI to BFSI segment. Registrations are open on [www.ltfraise.com](http://www.ltfraise.com). And if your schedule permits, we would like you to register for it and attend the same. Thank you so much for attending the call .

Moderator:

Thank you. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies ,  
repetitions in Q &A which would have unintentionally crept in, if any

**Call: Dec 2024**

*(no extractable text — likely a scanned image PDF)*

## Call: Jan 2025

January 28, 2025

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst(s) meet – Q3FY2024-25 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q3FY2024-25 financial performance and strategy update held on January 21, 2025.

The above information is also available on the website of the Company i.e., [www.ltf.com/investors](http://www.ltf.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 3FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .

We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and other members of the senior management team .

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only public ly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 3 results presentation sent out to all of you earlier .

I would now like to in vite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :

A very good morning, everyone, thank you for joining us today. I would also like to wish you all a very happy and prosperous New year on behalf of the entire leadership team at LTF. Today with me on the call are – our CFO, Mr. Sachinn Joshi, and the senior management team of L&T Finance .

Today's call is divided into two sections, taken up seq uentially by myself and our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance at length .

Post our opening commentary, we'll be happy to take questions on the call .

Macro -economic outlook

Before movin g to the highlights of the quarter, I would like to give you some flavour on the Macro -economic scenario and sectoral outlook .

Global backdrop remains uncertain at this point as possible policy pronouncements in US, cloud visibility of outcomes in global trade and financial markets. In the meanwhile, stronger growth momentum and high policy rates in US, continue to drive flow of funds towards the US Dollar assets and adding pressure to financial assets in the Rest of the World. Sharp shift in external lan dscape has triggered tighter liquidity conditions and currency volatility in domestic financial market as well .

In the meanwhile, delayed government spending, mixed demand signals and credit squeeze has hit GDP growth momentum in the domestic economy. Slo wer urban consumption and moderate investment activity has only partly been offset by rural recovery, leading to a sharp dip in growth during the second quarter of FY25. Government's first advance estimate of Real GDP highlights a t ampered pace of economic activity in FY25 at 6.4% annual growth, well below the 8.2% growth in FY24 .

Acknowledging the headwinds to consumption demand and private investment in the economy, RBI has also revised down its Real GDP growth projection for current fiscal year. RBI also revised up its inflation projection, highlighting the challenges of bringing down the headline inflation to target level in the current fiscal year. While Headline inflation has seen some moderation in November and December, as improvement in mandi arrival of

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vegetables and bumper Kharif harvest help ease price pressure of volatile components, Core CPI inflation and WPI have seen some uptick indicating broadening of inflationary pressure in the economy .

High inflation level and lower government spending has hit the disposable income available with consumers for discretionary spending. Urban consumption has shown signs of fatigue with the exhaustion of pent-up demand, while rural consumption, despite gradual improvement, remains inadequate to offset urban drag. Unexpected weather events, depreciating currency and worsening of geopolitical conflicts constitute major upside risks to expected moderation in inflation levels going ahead. Hence monetary and fiscal policy interventions to support consumption are key to sustained growth recovery in H2 .

In the quarter ahead, we expect rural recovery to continue and hope for uptick in urban demand as inflation levels drift lower. Some of the squeeze in economic momentum is already reversing in Q3FY25 and fiscal support has picked up as well. With further fiscal and monetary support expected in the upcoming budget announcements and monetary policy announcements, we keenly watch for these early green shoots to turn into strong growth drivers in coming months .

Q3FY25 Highlights :

I would like to share that despite the challenging operating environment in the microfinance sector, our diversified franchise has enabled us to achieve the highest festive quarter disbursements of ₹ 15,210 Cr, a growth of 5% YoY and we have been successful in sustaining the trajectory in line with the Lakshya 2026 goals .

Our Retail book now stands at ₹ 92,224 Cr, a substantial growth of 23% YoY. The numbers reflect the strong execution engine aided by a proactive portfolio management and prudent risk management that we have put in place over the last couple of years, and we will continue to bolster the execution bias in every initiative we take .

Many of you would have attended our Investor Digital

Day in November, 2024 along with RAISE'24, our AI BFSI conference, where we showcased several of our technology initiatives, some of which could be transformational when successfully completed. I am pleased to share that the progress on these initiatives during the last quarter has been satisfactory. Our next-gen credit underwriting engine 'Project Cyclops' was extended to 100% of dealerships in Two-wheeler Finance and was also launched for Farm Equipment Finance business . In our pursuit of innovation and fostering partnerships within the lending landscape, we established a strategic partnership with Amazon Pay to develop cutting-edge credit solutions, while also extending PhonePe partnership to Personal Loans, thereby delivering a seamless digital lending experience to our customers .

Additionally, we launched Knowledgeable AI (KAI), an AI-powered chatbot that revolutionizes the home loan experience. Furthermore, as announced in the Investor Digital Day, we have commenced work on 'Project Nostradamus', a first of its kind AI driven automated portfolio management engine. We intend to release the beta version of this new technology engine in Q2FY26 .

As we look ahead, we remain dedicated to driving innovation and enhancing our offerings to better serve our customers .

Update on Lakshya 2026 Goals

Now, I would like to provide an update on our quarterly performance against the Lakshya 2026 goals :

■ The first milestone was to achieve Retailisation of >95%. I am pleased to share that we have surpassed this target with 97% retailisation at the end of this quarter .

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■ We had earlier set ourselves a retail book growth target of 25%. However, given our outlook of the business environment in different segments, we have consciously chosen to slow disbursements in segments where

risk reward was not in our favour. Consequently, our retail book growth for the quarter stood at 23% YoY, a growth rate we are satisfied with, given the current circumstances. Specifically, as delineated in Slide No. 30, you will observe that in Q3FY25, our RBF disbursements were calibrated downwards to ₹ 4,599 Cr, while simultaneously in other business segments such as Farmer Finance, Housing Finance and Personal Loans, we have maintained growth trajectory based on our confidence in our new generation underwriting capabilities and the market potential. In particular, we have skewed our sourcing efforts towards onboarding more prime customers, who in general exhibit credit resilience during downward credit cycles. In line with this, in the TW business, 69% of our disbursement in the month of December, 2024 was to the prime segment, a number which has jumped to 75%+ in the elapsed timeframe in January, 2025.

■ Thirdly, this retailisation thrust had to be credit calibrated with a goal of retail GS3 below 3% & NS3 below 1%. I would like to inform that while the quarter witnessed an increase in slippages owing to macro challenges in the RBF segment, the Retail GS3 & NS3 levels stayed close to the threshold levels. The corresponding consol asset quality metrics in this quarter remained healthy with GS3 at 3.23% & NS3 at 0.97% (below the Lakshya threshold of 1%).

■ The fourth and last milestone on RoA front, we have moved from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. Our Consol RoA for Q3FY25 stood at 2.27% down by 26bps YoY, which is a mix of two factors, i.e. a compression in NIMs + Fees on account of a conscious calibration in the RBF business and an increase in credit cost during the quarter. I would like to highlight that our credit cost over the past 12

quarters has been in the range of ~2.60% thereby displaying predictability across cycles. We remain confident that in accordance with the initiatives towards sourcing better quality customers and investing in the next -gen underwriting platform like cyclops, along with the improvement in macroeconomic environment will help resume our journey towards delivering 2.8 - 3.0% RoA.

#### Executive Summary

I would like to quickly run you through the key highlights of our performance in Q3FY25.

■ Consol PAT of ₹ 626 Cr in Q3FY25.

■ Despite a calibration in RBF disbursements, the retail disbursements for the quarter stood at ₹ 15,210 Cr, registering a growth of 5% YoY, driven mainly by robust performance exhibited by the Farmer finance, Housing, Personal Loans and SME segments.

■ Retail book for Q3FY25 stood at ₹ 92,224 Cr, up by 23% YoY. Consol. book grew at 16% YoY reaching ₹ 95,120 Cr in Q3FY25.

■ Our 5 Pillar strategy continues to be central to our roadmap to the future. We continue to granularly execute the 5 Pillar strategy, details of which are available from Slide No. 12 to Slide No. 28 in the investor presentation.

The year had a challenging operating environment with certain macro events viz. prolonged heat wave, severe floods in several states and temporary slowdown of government expenditure & grants due to general elections, leading to increased credit cost for Rural Group Loans (RGL) & Microfinance business (MFI) portfolio, thus warranting a case for utilisation of the macro prudential provisions created during COVID (FY21 and FY22). We estimate, based on current trends, that before utilisation of macro prudential provisions, the total credit cost in the RGL and MFI business will be in the range of ₹ 950 Cr – ₹ 1,000 Cr for full year FY25. In light of the above, the Audit Committee and the Board have approved the utilization of an amount of ₹ 100 Cr out of the macro prudential provisions in Q3FY25. Our advance estimate of the macro utilization in Q4 is in the range of ₹ 300 - ₹ 350 Cr based on a peak credit cost on the roll-forward book of Q4FY25.

With abating of the above macro events and early green shoots of stabilization in Collection Efficiency (CE) in Dec'24 and Jan'25 (till date) CE being slightly better than same time last month, we anticipate an improving CE trajectory for RGL & MFI portfolio during Feb and Mar'25, thus signalling sustained recovery trends in this business. Our analysis tells us that the onset of MFIN 2.0 guardrails from April, 2025 will ultimately lead to recovery

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of the credit profile of the sector, albeit at a marginal cost to growth. These norms would be value accretive for participants with high quality franchises.

As asked by many of you in our earlier calls, we have endeavoured to give detailed portfolio cuts on our RBF business in the Investor Presentation. You may please refer to Slide Nos. 16 to 20 and Slide No. 35 of our Investor Presentation for the same.

We are currently evaluating adopting the CGFMU credit guarantee scheme in certain geographies and segments to optimise the unforeseen event risks in the RBF business. We will be in a position to provide greater details around this in the subsequent quarters.

#### Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated over a year back and continue to be in implementation mode against the same.

1. Customer Acquisition - We are continuously working on deepening the customer acquisition funnel both, horizontally (greater geographical coverage ) as well as vertically (greater counter share at

dealer points). As

in the last quarter, this quarter as well, our focus has been on new customer acquisition, albeit with necessary credit adjustments to maintain the future portfolio quality. Accordingly, there has been calibrated channel optimisation in Two -Wheeler and Rural Business Finance vertical with sustained focus on better quality and under -leveraged customer acquisition. We added a total of 5.8 lacs new customers during the quarter. Further detail s around customer acquisition and repeat share are available on Slides 13 & 14 of the Investor Presentation .

2. Sharpening Credit Underwriting - Our proprietary credit engine, Project Cyclops that was operationalized in Q1FY25 has been extended to the Tractor business (currently live with 24 Scorecards), and having been scaled to 100% of Two Wheeler dealerships, where it is currently live with 18 Scorecards, showcasing encouraging results with Net O+ reduced by 120bps in the TW portfolio over a four month peri od when benchmarked to the Non-cyclops portfolio . Cyclops will be implemented for the Personal Loans & SME Business Loans in the coming quarters.

3. Futuristic Digital Architecture - We have spoken at length on our technology initiatives on our Investor Digital Day and granular details on our technology initiatives have been provided for each line of business. Our biggest technology initiative for next financial year would be operationalizing Project Nostradamus, a state of the art, first in industry AI driven automated portfolio management engine .

4. Brand Visibility - We continue to focus on brand building with Jasprit Bumrah as a brand ambassador for L&T Finance products. Having successfully concluded RAISE, India's premier AI -themed event in the BFSI sector, w hich saw more than 8000 registrations and reached an engagement level of 3 la cs, we participated in the India Bike Week, 2024 where the unveiling of the LTF Zoom Two Wheeler Loans took place. As we move ahead, you will see a set of integrated marketing cam paigns and targeted branding exercises in the upcoming quarters .

5. Capability Building - On the capability building front, I would like to inform you that the Regional Business Head structure was further strengthened during the quarter with institutionalisat ion of periodic reviews and processes. Additionally, we worked upon capacitisng and upgrading our infrastructure at various branches

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across the country while also opening an integrated Tech, Operations and Data Science facility at Mahape, Navi Mumbai. On the employee initiatives front, we continued to work around performance and productivity with the introduction of integrated employee scorecards and took several employee engagement measures during the quarter, details of which have been provided in Slide No. 28 of the Investor Presentation .

Update on New Product initiatives

As part of our strategic growth roadmap, we are committed to building a well -diversified asset profile, minimising concentration risk on any single line of business. With that end goal in mind, we remain committed to growing our existing and new lines of business while also looking at synergistic opportunities . Amongst our new product initiatives, our team has been successfully scaling our Micro LAP, Warehouse Receipt Finance and Supply Chain Finance products. In the Micro LAP domain, as we shared in our Investor Digital Day, our existing distribution is being leveraged to upsell this secured high RoA product to the cream of our RBF customer base. The Micro LAP asset book has crossed the milestone of ■ 300 Cr in Q3FY25. Some of you may recall that on our Investor Digital Day, we had call

ed out a booksize of ■ 214 Cr for this business – exciting growth, albeit on a low base . Similarly, our Warehouse Receipt Finance business housed under the Farmer Finan ce vertical has also shown encouraging initial traction. This business, which operates on a first of its kind completely paperless journey and digital workflows driven through a network of ~25 branches and presence in ~80 mandis has achieved cumulative disbursements of ~ ■ 350 Cr in FY25 YTD . Lastly, our supply chain business housed under the SME vertical was launched in Q3FY25 and while it is still early days, we are optimistic that this business too can scale significantly and profitably .

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

Business as Usual updates

Sachinn Joshi :

Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter.

Quarterly Performance:

■ Consol NIMs + Fees stood at 10.33% vs 10.86% for Q2FY25 on account of conscious shift in disbursement and book mix due to a challenging credit scenario in RBF

- Consol PAT for the quarter stood at ■ 626 Cr
- Healthy quarterly retail disbursements of ■ 15,210 Cr, up 5% YoY
- Retail book stands at ■ 92,224 Cr (up 23% YoY) on the back of healthy retail disbursements during Q3FY25.
- Our Consol book stands at ■ 95,120 Cr, up 16% YoY
- Consol RoA stands at 2.27 %, down 26 bps YoY
- Consol RoE at 10.21%, down 114 bps YoY

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Retail Businesses :

Rural Business Finance

The business registered quarterly disbursements of ■ 4,599 Cr (down by 16% YoY), the trajectory aided by prudent disbursement strategy. The book size reached ■ 26,231 Cr (down 1% QoQ and up 14% YoY) in Q3FY25 .

Farmer Finance

In Farmer Finance, disbursements stood at ■ 2,495 Cr in Q3FY25 (up by 23% YoY), better than average monsoon and festive season demand resulted in a double -digit growth. This led to the book size reaching ■ 15,075 Cr, reflecting a growth rate of 9% YoY .

Urban Finance

The segment, which comprises Two -Wheelers, Personal Loans, and Home Loans/LAP businesses, saw a 21% YoY jump in overall quarterly disbursements. As a result, the overall book size increased to ■ 43,957 Cr in Q3FY25, translating into a 31% YoY growth .

■ Two Wheelers: The TW business registered quarterly disbursements of ■ 2,414 Cr in the quarter (down by 5% YoY), partly due to the strengthening of documentation and credit guardrails taken by us during the quarter for sourcing of better quality credit tested customer and shift towards prime customers. The book size increased to ■ 12,676 Cr, up 21% YoY .

■ Personal Loans: In Personal Loans, we achieved disbursements of ■ 1,642 Cr translating a growth of 94% YoY with the book size at ■ 7,820 Cr, an increase of 22% YoY. During the quarter, the double -digit growth in this segment was led by scale up of fintech partnerships and expansion of physical distribution through the DSA channel with focus on salaried prime customers. Our large partnerships business has already started meaningfully contributing to our origination volumes. It was ~12% of the overall disbursements done during the month of December, up from a mere 3% contribution in September, 2024 .

■ HL/LAP : In Housing, we achieved quarterly disbursements at ■ 2,475 Cr, up by 24% YoY with the book size at ■ 23,461 Cr, an increase of 41% YoY, while maintaining a pristine secured portfolio performance .

■ SME Finance: Our Q3FY25 disbursements stood at ■ 1,249 Cr, up by 29% YoY. The book stood at ■ 5,817 Cr. The growth in business volumes was aided by building additional channels to diversify the

existing sourcing funnels .

Let me now hand over the call back to Sudipta to make his closing statements

Sudipta Roy:

Q3FY25 has been a challenging quarter for the entire industry. Our teams have worked extremely hard to deliver a reasonable outcome for us. We are cautiously optimistic that the worst is behind us, and we are hopeful, going into our annual business planning exercise for FY26, that we will be able to continue delivering on our promises of asset growth, profitability and RoA .

I thank you all for a patient hearing. The floor is now open to questions .

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Moderator :

We will now begin the question -and-answer question. The first question comes from the line of Saket Chheda with DAM Capital. Please go ahead .

Saket Chheda :

Congrats on a pretty good set of numbers, more so on MFI front, where we have been meaningfully better versus peers. So , my query was on one of the notes to accounts, wherein we have mentioned about ■ 250 Cr of provision reversed to P&L account, as is mentioned. But when we see the credit cost ex of the overlay also, it seems that the benefit has not been taken into P&L. So , has that been reserved for the SRs that we would have received against the ARC sale? Just a clarity on that is what I would request .

Sudipta Roy :

Saket, there was a disruption in between. We lost majority part of the question. So , for the benefit of others on the call, can you repeat the question once again?

Saket Chheda :

Sir, my question was regarding the ARC sale related notes to accounts, wherein we have mentioned about ■ 250 Cr of provision reversed to P&L. But when I see the credit cost ex of overlay also, it doesn't seem that we have taken that benefit. So , is it that we have reserved that ■ 250 Cr, which was available for the reversal against the SRs that we have. And once that SRs get monetized, that's the time when it will be reversed on P&L?

Sachinn Joshi :

Yes. Thank you, Saket. Thank you for asking the question. There have been some queries on this. You are right. Actually, as per the Ind AS accounting, we cannot take whenever transfer of assets happens to ARC. The provision reversal is just a routine item, which comes as a credit . But 85% of whatever asset goes to the ARC comes back as an investment on the book. So , in this particular case, ■ 250 Cr got first credited, it got reversed to the P&L. And then the same amount of provision was created when the SRs were created on the books of the 85%.

I will just enumerate the exact chronology and the numbers that have been shown over there. So , ■ 776.37 Cr was the principal outstanding of the loan transfer. This was the POS. The EAD against this was ■ 815 Cr, and this ■ 815 Cr of asset was actually sold at a gain at ■ 833 Cr. So about ■ 18-odd Cr of gain was made on this. And 75% of this ■ 833 Cr was actually booked as an investment, which comes to ■ 708 Cr. So, against this ■ 708 Cr, we have, first of all, adjusted the profit made on this because that also cannot be taken to the P&L. So , ■ 18 Cr was adjusted. And the ■ 250 Cr, which was reversed to the P&L, was also adjusted against this. So totally, ■ 268 Cr has been adjusted against the ■ 708 Cr of SR value. And the net carrying value in our books as of 31st December stands at ■ 440 Cr. Because both the assets on the loan book also is being accounted through the FVTPL route and the investments are also accounted for in the same way, you can't see the actual provision which has been made, which has actually got subsumed into the financials. Maybe by when we do the 31st March full-fledged financial, this will be visible.

But y

es, you're absolutely right that there was no credit taken and adjusted against the credit cost. This is just a setting of f, just getting reversed from loan book and getting again adjusted towards the SR security receipts, which has been booked in the books. I hope it clarifies .

Saket Chheda :

Yes. And this was a real estate account, right?

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Sachinn Joshi :

That's right .

Saket Chheda :

Sure sir. That's all from my side .

Moderator:

Thank you. The next question comes from the line of Digant Haria with GreenEdge Wealth. Please go ahead .

Digant Haria :

Thank you for the opportunity. Two questions, Sudipta. First is that you mentioned that in Tractor and Two-

wheeler, we have significantly reduced the risk by going more towards the prime segment. So, when I look at your provisioning, even if I remove the whole microfinance-related provisions of ₹ 170 Cr this quarter, we are roughly at a run rate of, say, ₹ 400 Cr - ₹ 450 Cr of provisions for the quarter for the rest of the business. So, do you think that the benefits of this whole moving towards prime and this better underwriting, all of this is already showing in the provisions number or the credit cost can still go down further in the non-MFI part of the business. That's my question one.

Sudipta Roy :

Okay. So yes, Digant, in the sense that the full benefit of all the work that we have been doing is still not visible because it's a gradual process. You have a legacy portfolio at a particular credit profile and you have this new portfolio coming in at a lower credit cost trajectory. Obviously, the new portfolio has to build and the old portfolio has to wash out for the entire benefit of this to be visible. So, I would reckon that it will take a couple of more quarters for this to be fully visible. It is not fully visible yet. However, internally, when we monitor the credit performance of the new portfolio vis-a-vis some parts of the legacy portfolio, that is already visible to us, but it will take a couple of more quarters to fully fructify.

Sachinn Joshi :

So just to add in terms of numbers, if you recall, in the previous quarter, we had made a mention that there were a couple of steps taken, especially on the Farm portfolio, we had stopped the repossession at 90 plus. And there will be an impact on account of this through the roll forwards for a couple of quarters. I think by Q4, that impact should get over. So, one is on the Farm portfolio, this is the impact. On the Two-wheeler, the Tier 2, Tier 3, Tier 4, those kind of cities, the impact which you saw in the Microloan piece, we talked about the rural, there was some impact on account of heat wave and all across the country. So Two-wheeler also, after Sudipta has come in, we have already changed the strategy and started moving towards prime. And as we speak, I think 49% to 50% of our book now is prime. The impact on the credit cost will start as this book starts seasoning, you will start seeing the impact coming into the P&L. And I think 2 to 3 quarters is what perhaps we will take to see the complete benefit of the pristine quality of the Two-wheeler book, which is being built now.

Sudipta Roy :

And Digant, if you see we have put in two additional slides this quarter in the investor deck, which is Slide #23 and Slide #24 where we have given our indexed representation of Two-wheeler portfolio bounce. And you will see that our Two-wheeler portfolio bounce is already at about an index basis at 84% in December 2024 compared to 100 index in December 2023. So, it is also trending down. And if you look at our sort of net non-starter in our Farm equipment finance

business which is basically the number of people who bounce their first EMI. That is at

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25% level compared to the same number in December 2023. That means in December 2023, 100 people bounced the first EMI. In December 2024, only 25 people bounce the first EMI. So, we put this as an index form just to sort of demonstrate the better-quality portfolio that we have been focusing on building. I mean how some of it is showing up in the leading indicators, which is the bounce rate. We consider bounce rate being the leading indicator of credit quality and that is currently trending well. Obviously, this over a period of a couple of quarters will find its way into the credit performance because as the new portfolio builds with these better credit parameters that should obviously translate into lower credit costs.

Digant Haria :

Perfect. Thank you so much for that detailed answer. Second question is on -- Sudipta, on this whole -- this NIMs + Fees guidance we have it in the corridor of 10% to 11%. But now, let's see, we have done quite well in microfinance versus competition or versus what the general sector is. But that also, maybe next two, three quarters the growth may not be as strong as it was in the past. So obviously, that fees and the fees plus interest income is highest in that division. How do we compensate that given that we are seeing more growth in the LAP home loan portfolio which are obviously at much lower IRR. So how does this whole trade-off work for the next 12 months? And then is the ₹ 100 Cr extra Opex that we saw in this quarter related to collection efforts in Microfinance division?

Sudipta Roy :

Yes. So I'll give you the first -- the answer to the Opex question that's very straightforward. The fact is that this being the festive quarter, we had certain festive-related spends. Secondly, as you are aware and we had informed in the last quarter that we have actually -- we beefed up our collections workforce. So that has got an additional component of expense plus there were certain technology-related expense during this quarter because we have been operationalizing Cyclops across all our lines of business. So, these are the three primary main drivers for some of the increased opex that we have seen this quarter. And so on the NIMs + Fees, yes, there is no easy

answer to this. This is a journey that we have told that we are going to travel. And obviously, it's sort of the ongoing credit challenges in the microfinance sector. Obviously, it does not help us sort of -- does not smoothen the journey for us. Obviously, there are a couple of things to this.

First and foremost thing is that we have to increase our fee base. We are working on increasing our insurance penetration. Right now we do insurance only at origination. However, we have a full institution insurance distributor license right now. Now we can sell through the life cycle. That team is building. We are putting together a technology platform for the same. So, we are hopeful that over the next couple of quarters, some more of those fee revenues will come in.

In terms of growth, we are trying to grow our slightly higher yield secured business, for example, our micro LAP business though albeit on a small base, we are trying to grow it. We already have 80 branches. We are going to grow it much more in the next couple of quarters. You can see that personal loans have been growing quite well. Personal loans on a quarter-on-quarter basis has -- on a year-on-year basis has grown by about 94%. Our large partnerships are scaling up well. And one of the things we have noticed is that in terms of digital delivery sometimes

you can sort of work on increasing your interest yield without losing too much of expense on that. So, we'll work on some part of nullifications through our personal loans growth. And we are hopeful that even though certain markets of the -- in the RBF business, JLG business, there is stress. There are certain virgin markets where actually, you can safely grow. And I can give you example. There are certain markets that we have ventured into in the last couple of quarters, new markets like AP and Telangana, our collection efficiency is 100%. And we continue to sort of judiciously deploy our branches there. We are focusing on Western UP where collections efficiency trends well. We are focusing on Western Maharashtra where collection efficiency trends well. So, we are finding those pockets in the JLG business where our collection efficiency is trending well and where we can do safe non-leverage business. So, it's a tight balancing act. And I do believe that it will not be easy, but we will try to definitely be within that corridor. Obviously, there is one large sort of part wherein if now possible RBI rate cut or a couple of cuts were to come next year, that will probably ease the challenge a little bit, but we cannot

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obviously count on that completely. So overall, a couple of irons in the fire and we will continue to work towards sort of that trajectory.

Sachinn Joshi :

Digant just to add, in terms of the overall modeling. Yes, we -- last quarter we had mentioned that it could be in the range of 10.5% to 11%. But directionally, just like to your earlier question, we were talking about how we are moving more towards prime. So, what would happen directionally over a period of time, maybe the NIMs + Fees it may actually be slightly downwards. But at the same time the opex plus credit cost also will move downwards. So, the RoA which is if you're actually derisking yourself of bringing down the risk, you will find that the RoA will overall adjust. So, the whole RoA tree would possibly move left, where you will have -- you will see that the 10.5% to 11% may actually come down slightly. But at the same time, you will find that the operating expenses because of the productivity levels would increase and the overall opex as a percentage of the book as well as credit cost as a percentage of book on account of the steps being taken may move downwards. Thus, actually impacting the RoA only positively. So, we will still stick to over a period of time, the RoA directionally to be in that corridor of 2.8% to 3%. But the all other numbers may -- the percentage terms, they may actually change for the better because we will have a much stronger book which maybe slightly lower yields, but coupled with steps which we will be taking, as Sudipta mentioned, there will be other line items of fees and all which will get added. There will be new businesses or products that we may get into over a period of time which we will start working on the next full year business plan and we would possibly come back to all of you at the end of -- when the results for Q4 come.

Digant Haria :

Thank you so much for the detailed answer. Thanks Sachinn and Sudipta. All the best.

Moderator :

Thank you. The next question comes from the line of Kunal Shah of Citigroup. Please go ahead.

Kunal Shah :

Yes. Thanks for taking the question. So firstly, maybe if you can just highlight how much has been the write-off, particularly on the Two-wheeler and PL because outside of MFI also we are seeing a slightly higher stress out there. And still, in terms of the growth in PL that seems to be quite aggressive. So, would we look at pulling

back

growth at any point in time because of the higher delinquencies in PL?



Sudipta Roy :

Kunal, I'll take the PL growth question and then Sachinn will give you -- take the rest of the part of the question. See, PL we are very clear that we will not do PL to any leveraged segment or any non-prime segment. Our growth in PL primarily is coming from prime salaried segment. So, if you see our DSA, we do 99% salaries in our DSA channel. If you look at our large partnership, our target in large partnerships is towards prime salaried. In fact, some of the metrics are absolutely clean in this business. So, we are very clear that our PL scale-up will be very risk calibrated. See, on a percentage terms it might seem high, but from an actual quantum perspective we are still doing about ₹ 550 Cr to ₹ 600 Cr of PL a month which is not very large. So, we are gradually scaling up this business and the metrics are currently absolutely okay. As long as -- we do believe that as long as we do prime salaried business with a sharp eye on both aggregate debt burden as well as unsecured exposure overall metrics we should be fine. And we are implementing Cyclops for PL also this quarter. Parallely, SME and PL Cyclops we're implementing this quarter. So as PL and SME Cyclops get implemented this quarter, the unsecured business will, I believe will be run in a far, far more safer fashion.

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Sachinn Joshi :

Hi Kunal. Sachinn here. Yes. On the write-offs, usually we don't give these numbers. Last quarter we gave the number as an exception, but the overall write-off like we mentioned on the call previously is a function of -- it's a technical write-off because any asset which gets provided up to 100%, there is a pool of assets which are taken up for writing off in the book. But at the same time, that does not mean that business stops the efforts on collection all those things.

So yes, RBF, you have seen that the roll forwards have been happening. And out of that pool, last quarter we had given -- we had specifically clarified that the whole write-off was not RBF. All I would like to say is that it is distributed amongst products. So, it is not one business where the write-offs are very high. About ₹ 300 Cr, I can share for the micro loan piece is what we wrote off. And rest all the businesses have been almost equitably done.

Kunal Shah :

Yes. So more in terms of the credit cost, not particularly write-off, but if you have to look at it like credit cost is very clear this time in terms of how much MFI is contributing. And maybe you indicated that from the wholesale side there seems to be like zero impact, no recoveries and no provisioning during the quarter. So how would be the breakup there between, particularly Two-wheeler, tractor and consumer loans?

Sachinn Joshi :

See, on the Digant's question we already responded to this. That for a couple of quarters, Farm, Two-wheeler and PL will see some challenge. And thereafter, you will start seeing things changing for the better because whatever challenges we have faced in the first quarter are not restricted just to rural business. I mean the election time as well as the heat wave, all this led to liquidity going out of the market, led to a situation of overleveraging and there has been an impact across businesses. The most was felt, of course, in the micro loan market, but the other businesses have also got impacted to a level. Plus at the same time, we have been directionally moving ourselves more towards prime and all. So, like we called out in the last quarter, it will be two to three quarters of some pain which will be -- and it is not just one particular

business. What I -- what we would like to highlight is it's not one business which is going through a major turmoil or anything. It's just that certain key activities like Farm on account of repo stoppage, Two-wheeler because of some challenges in certain states are the reasons why the credit costs have been slightly on the higher side. (The pain may be perceived in the context of current BAU credit cost versus prospective improved credit cost outcome that may be expected under 'Project Cyclops' in the Two-wheeler and Farm businesses)

Kunal Shah :

No, the reason was the repayment rate in Two-wheeler was quite high. If we look at it ₹ 2,400 Cr of disbursements and the portfolio staying flat, so that suggests a very high -- maybe the rundown rate. So just wanted to check, is it like a relatively higher credit cost and write-off in Two-wheeler which is particularly leading to that. Primarily, that was the question.

Sachinn Joshi :

That is not the case. The write-off has been -- as I mentioned across all the three, four products they are distributed. So, no specific major hit in one particular product.

Kunal Shah :

So, rundown could be on account of?

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Sudipta Roy :

Yes, Kunal, if you would recall, we had started sort of the prime movement in Two-wheeler journey sometime last year, -- in September of last year when we started moving in towards the prime of Two-wheeler. So, actually some part of that, actually, if you look at our portfolio, 49% of our Two-wheeler portfolio is prime which is basically half of our Two-wheeler portfolio is now prime.

And on an incremental basis, as I said, in the month of January almost 75% of the through-the-door disbursement in Two-wheeler is prime. So around April and May we saw some spike in Two-wheeler delinquencies along with -- which is a contiguous product along the microfinance business, but we saw also stabilization of the same around August-September, we saw stabilization around the same. And the downward trajectory continues and which is also demonstrated by the portfolio bounce rate sort of indexed representation we have given in Slide 23. And we are very, very confident that whatever credit costs that we have seen happen in Q2 and Q3 in the Two-wheeler business will -- is on a sharp, downward trajectory over the next couple of quarters.

Sachinn Joshi :

Kunal, just to add, I was just looking at the numbers after you gave the breakup of Two-wheelers. What has happened, this was a festive quarter. And there is a trade advance book we -- usually advances are given to the dealers. So, there is a trade advance book which has reduced by ₹ 350 Cr close to. So that is one impact because of which you are seeing that. That is specifically for this quarter.

Kunal Shah :

Thanks. So that's perfect, yes. So, I think trade advances unwinding is leading to that. Thanks, and all the best.

Moderator :

Thank you. Next question comes from the line of Mahrukh Adajania with Nuvama. Please go ahead.

Mahrukh Adajania :

Hi, I had a question that lenders plus -- 3 plus lenders is around 7% and then 4 plus is around 2.5%?

Sudipta Roy :

2.5% is LTF plus 4, if we take the entire block LTF plus 4 up to whatever is the whole block is 4%.

Mahrukh Adajania :

Yes. So, if you just take LTF plus 4, which I guess is 2.5%, not 5, 6. And then if you take LTF plus 3 that's 7%. So basically, you have a gap of 5% -5.5% which we will have to convert by April 1. So, your call on peaking of credit cost is driven by the fact that this 5.5% will reduce to near zero or how do we think about it?

Sudipta Roy :

See, Mahrukh, on this you have to look at that, that

that it has been resolving itself quite well from 10% in quarter 1

FY25, it has come down to 7%. So, you can see that on an average, on a quarter basis, average has been 1.5% resolution on an average on a quarter basis. And the collection efficiency on this pool is also at 98.7%, the collection efficiency. The collection percentage efficiency is not extremely bad on this.

Now one of the things that we have to keep in mind that from April 1, the MFN overall 2 la cs leverage guideline comes into play which has more of an impact on disbursement actually rather than an immediate follow through impact on repayment capability of the customer. So, what we expect is that this number which is there that 4% and that 2.5% to orderly wind down over the next couple of quarters. Anyway, we have pushed in about additional

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900 collectors on the ground. And one of the focus of those additional 900 collectors is to focus on the geographies where collection intensity is needed. So that effort is already continuing and we are reasonably confident that this -- the 7% plus 2.5% number will be reasonably wound down over the next maybe max 2 to 2.5 quarters.

Mahrukh Adajania :

Got it. But basically if the run rate is 1.5% then it would require three quarters to wind down or it does not work that arithmetic?

Sudipta Roy :

See one of the things that, Mahrukh, you have to keep in mind that the entire portfolio is not bad. The 7% portfolio as a 98.7% is close to 99% collection efficiency. So , a majority of the part of the portfolio is good. So , there is -- we need no t panic on the portfolio that is good. A small part of the portfolio has stre ss and the focus should be on that small part of the portfolio .

Mahrukh Adajania :

Got it. Okay. Makes sense. And then just one clarification on the SR provision. So , the reversal and the additional provision that accounting is done through the same line of provision?

Sudipta Roy :

Yes. That's right .

Mahrukh Adajania :

Thank You.

Moderator:

Thank you. Next question comes from the line of Saurabh Kumar with JP Morgan. Please go ahe ad.

Saurabh Kumar :

Sir, just two questions. One is on the microfinance portfolio. Number one, what's the write -off policy and just in terms of number of customers, what will be the collection efficiency like how many of your customers are fully paying ri ght now?

Sachinn Joshi :

On the first part, like I mentioned earlier when a question was being asked. So , write -off policy, actually once any asset is fully provided to the extent of 100%, it is -- it qualifies for a write -off and the write -off is more lik e a technical write -off for us because after the write -off also the efforts do not come down.

The write -off policy, specifically on micro loans, the provisioning of 100% is the moment it crosses 90 DPD. For all the other products, it all depends on the ECL model has been built in where the 100% provisioning happens based on a particular DPD. The actual write -off in the book happens basically the finance takes a call on when the technical write -off has to be done in the books like I mentioned earlier also. But the effort on account of write -off should not be linked to the fact that we will stop pursuing those customers in terms of collection. So , we also have reasonable collections happening out of the assets which have been written off .

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Saur

abh Kumar :

So, if you can just detail, sir, micro finance is of 90 days 100%, where will personal loans and where will Two-wheelers be to reach 100%?

Sachinn Joshi :

Sorry, can you repeat that?

Saurabh Kumar :

Microfinance, you provide 100% at 90 days. When do you provid e 100% on PL and on Two-wheelers?

Sachinn Joshi :

No, that's the ECL model. So , it's pretty -- it takes -- I will have to check on that. On the other piece which you talked about, whether it really is relevant on counts it's not relevant. What is important is actually how is the customer levered and that we have already shared. During our Digital Day also we clearly mentioned the portfolio that we have how levered it is. Ours is the least levered book that we have .

Saurabh Kumar :

Sir, my related question w as your fee includes over dues. So basically, what I was trying to get is, essentially, all the customers which are paying on time, so the balance will be basically part paying or non -paying and that basically creates your overdue risk. So , I just wanted t o know if your collection efficiency is 99%. In terms of customers, how much will it be? Is it 97%? Is it 98%?

Sudipta Roy :

Yes. So , in terms of collection efficiency first it does not include over dues. We report zero DPD collection efficiency. And in terms of the number of customers, it is 99.22% is correct .

Saurabh Kumar :

And including over dues?

Sudipta Roy :

Yes, 99.22% and they are number of customers .

Saurabh Kumar :

All right .

Moderator :

Thank you. Next question comes from the line of Nischint Chawathe with Kotak Institutional Equities. Please go ahead .

Nischint Chawathe :

Thanks for taking my question. One was on project Cyclops. You said that Cyclops is implemented in Two-wheelers and we are now looking at implementing it in personal loans and SME. So , I mean, I was just curious

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why would you sort of scale up the book just as yet . You probably implement Cyclops and then kind of scale it up?

Sudipta Roy :

So just to think, Cyclops we have already implemented in Two-wheeler 100%. And in tractor it is implemented. It is live. We are scaling up the number of dealer coverage slowly. The SME and personal loans we are at advanced stage, it's a stage of readiness to deploy. And the current sourcing that we are doing, we are very confident of the current quality of sourcing. We're only doing absolutely super -prime salaried customers where the net non -starter number is as low as 40 basis points. So , this is not the number that we normally give out, but I'm giving out the number because you asked the question . In December on our new salaried sourcing, our net non -starter number was only 40 basis points .

Nischint Chawathe :

So, does it mean that after implementing Cyclops, you'll probably go towards slightly one segment lower or something of that sort?

Sudipta Roy:

No. See the thing is that - see Cyclops is designed in such a way that it targets a target PD. So , once we put the PD then the customers who qualify in the portfolio mix towards that PD is only what will go through. We are at any point in time not saying that it will help us go towards a more riskier mix. So that is not the -- in fact, one of our guiding principles of our personal loans business is that we will do our personal loans business with a majority salaried profile. That will be the profile of our personal loan business.

Cyclops helps us to sharpen the credit outcome in that segment even further. Cyclops, I'll tell you in terms of it's -- the maximum benefit for Cyclops will come in case of our Two-wheeler business and the Farm business and the SME

business primarily because this business has a large content of customers who are new to credit and large customers of content who are thin bureau. So, the way the Cyclops is constructed, it helps actually underwrite NTC and thin bureau much better. Whereas in personal loans we are actually going for customers with a little thicker bureau track. So probably the alpha on Cyclops in personal loans will probably be of an order of magnitude slightly lower than that we are seeing in the Two-wheeler business or in the Farm business. So, on the personal loan business, it's age -old experience that is driving the current sort of growth momentum. And though on a percentage basis again I'm repeating myself though on a percentage basis the number might look large, but on a real absolute amount basis ■ 550 Cr of qualified salaried personal loans a month is not really a very large number .

Nischint Chawathe :

Got it. I mean, since we are on this maybe as a one -off, can you share the yield and ticket size in personal loan segment?

Sudipta Roy:

Average ticket in personal loan is just ■ 2.5 lacs and the average yield is about 17% on it.

Nischint Chawathe :

Got it. Just one more curious thing, any specific reason for change in Chief Risk Officer?

Sachinn Joshi :

Actually, we have already put the.. .

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Sudipta Roy:

So, the departure of the -- for better opportunities necessitated his change .

Nischint Chawathe :

Got it. And just one last data keeping question. You mentioned that you added 900 collection officers in the micro loans business. So , what is the aggregate number as we speak?

Sudipta Roy:

In micro loans business the guy who sells is the guy who collects. Overall, just a second I'll take overall everyone is a collector and everyone sells, but specifically in terms of collection it will be about 2,500 people. So , there are two things. In our micro loans business, we have the normal regular 1,200 -- for collections, 1,200 additional for collections .

Nischint Chawathe :

Got it. So basically we have the normal kind of microfinance employees who are collecting. In addition to that, you have...

Sudipta Roy:

It's a hard bucket collection team .

Nischint Chawathe :

That's around 1,200 which we have put up for the first time?

Sudipta Roy :

That's right. We have added to it. We had it, we have added to it .

Nischint Chawathe :

No, that's what I'm saying. How much did you have and how much have you added that was my question?

Sudipta Roy:

So, overall addition of people in the micro finance team has been about 900. Now some of them have been deployed in the regular course of work. Some of them have been added to the hard bucket collections team. The reason, for example, let's take this example. In a micro -- in a meeting center you currently have five people. These five people are servicing 1,000 accounts. So , on average, accounts per collector is 200. We wanted to bring down the accounts per collector in a meeting center. So , what we did is with the 900 people that we added, some portion of the 900 people went to our regular meeting centers such that our accounts per collector have come down. Our account per collector came down from 560 to 480. And a small portion of the 900 was deployed to the hard collections bucket team. Is my answer understood?

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Nischint Chawathe :

I think this helps. Ye

s. Perfect. I think we understand the magnitude of how people have been deployed. Thank you very much .

Moderator :

Thank you. Next question comes from the line of Abhijit Tibrewal with Motilal Oswal Financial Services Limited. Please go ahead .

Abhijit Tibrewal :

So, my most questions have been answered. Just 2 questions that I had. First thing is, Sudipta sir, in MFI so what we have put out in our presentation, your peak credit costs are likely going to come in 4Q. So , first thing is, can you explain why is that? Now why I ask this is, what you have said, if you actually provide 100% on MFI loans after their 90 DPD and maybe technically write them off, and if your collection efficiencies are incrementally getting better in December and January, then why is it that our peak credit costs should come in the fourth quarter?

Sachinn Joshi :

Abhijit, let me take this. So usually, the credit cost comes with a lag of a quarter, because whatever the -- we have already disclosed the collection efficiencies, the way they panned out in October, November and December. From 99.43%, it came down to 99.26%, finally it ended with 99.39% in December.

So, when the collection efficiency comes down, which was the case for 2 months, October and November, there will be roll forwards, which will actually keep happening. And also the roll forwards happening out of the previous quarter customers. So whatever roll forward finally happen, net of the collections, because the collection effort is still on, right, those will ultimately lead to a credit cost panning out, because the moment these customers move to 90 -plus bucket, we will have to start providing for. So, as we are seeing a sign that December has actually improved vis -a-vis November, we have said that there is -- we believe that what may happen assuming that this trend continues in Jan, Feb and March, the collection efficiencies as they start improving, the roll forward will slow down. And hence in the first quarter of next financial year, the roll forward will slow down compared to quarter 4. So, on relative terms, we have mentioned that quarter 4 may turn out to be the highest in terms of the credit cost .

Sudipta Roy :

Yes. So , the vintage flows tend to get bunched up, because you have stabilization efforts continuously going on. And then so some customers get stabilized, some customers roll forward for 1 month and then roll back. So , this process continues. And typically, what happens in retail portfolios, most of this, when the deceleration starts within a period of time, they tend to get bunched up at one particular point of time where across a couple of months, you see high credit costs and then the curve shoots downwards. We expect that the peak of this curve will happen sometime between January, February and March, and that is why the advanced estimate of macro utilization that we have given for Q4 .

Sachinn Joshi :

So, Abhijit just one more piece. We are all aware of the one more guardrail, which is to be implemented by M FIN, which will be effective 1st of April. We will have this, and this is going to be across the industry. We already responded to one of the questions earlier that we will have to wait and watch how this guardrail impacts at -- because the impact is going to be across the whole customer base in the industry. So , we'll have to wait and watch on that. Again, the players who have least levered customers will be benefiting out of this compared to customer -- companies who have high levered customers in respective buckets that we have shared in our presentation. So , we will have to see what will be the impact of that. But barring that, if the trend continues, if the December trend continues into Jan, Feb, March, then what we mentioned would prevail .

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Abhijit Tibrewal :

Got it. And just a follow -up on that, given that we are still looking forward to this M FIN guardrail implementation from April and whatever you just highlighted, can there be a scenario that this MFI stress or MFI credit cost, which we think will peak out for us in 4Q, can spill over to the next financial year as well?

Sachinn Joshi:

So see, the guardrail initially was supposed to be implemented from 1st of January. So , pushing it to 1st of April is going to only support all the industry players, and it will also help customers figure out ways and means of making repayments and getting alternate sources available .

Sudipta Roy :

Yes. So let me add to that. See, we can't crystal ball gaze as to what will happen . But the fact is that given the

fact that in general, the Kharif arrivals have been good, there is reasonable amount of liquidity which is building up. The Rabi sowing has been very, very good. So, we expect that in month of March and April, when the Rabi crop comes, it will also be reasonably good, which will -- augurs well for the liquidity.

We expect that there will be a soft landing, but we will have to wait and watch. As Sachinn said, the players with the better franchises will benefit because they have the non-levered customer. So, the disbursement impact on repeats, etc., will not be impacted that much, especially for their exclusive customers. And I would like to point out that we have a very high proportion of exclusive customers of our Pragati customers. Who are again relatively non-levered. So, we are hopeful that the entire industry will have a soft landing post April and -- but we'll have to see how it pans out.

Abhijit Tibrewal :

Got it. And just one last question. Because you just mentioned the better franchises. So just trying to understand in the past, even in our presentation, we have called out that we picked up this leveraging early and which is where maybe we slowed down or maybe we didn't go after leveraged customers? Just trying to understand, I mean, over the course of these last 6-9 months, have you had a chance to understand if our model in rural business finance or MFI, is it different from the other peers, which has helped us deliver better asset quality outcomes than the industry?

Sudipta Roy :

See, I think I cannot comment on what others have. But I will say some of the underpinnings of discipline that we follow and which obviously is up to the investor and analysts community to analyze and benchmark with others. One of the things that we do is that, obviously, we do not rely on third-party origination of MFI loans. All our MFI loans and JLG loans are originated by our own people. We have a very close connect with the village distribution that are on ground. The second thing which we have is that obviously, we have a very, very tight leverage. And as I've told earlier, from January itself, we started tightening our leverage conditions and started letting go off some portion of the repeat. The last thing is -- third thing is that we have a very strong RCU network and a branch process vertical who goes and every loan that the field level process books, there is a second level check. And out of the second level check, there's a sample of third-level check. So actually, it almost goes through a 3-level check before the loan is granted.

The second thing is that some of the discipline that we have been following for many, many years, for example, if a particular meeting center dips below 98% collection efficiency, we immediately stop disbursement there and focus collection there. Now this is a hard guardrail. That means in a meeting center if collection efficiency were to

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drop between 98%, the app freezes for those field-level offices. Even if they want, they can't onboard a single loan in that particular meeting center. And then the focus entirely shifts towards collections.

And last but not the least, we have extensive data analytics for geo selection and expansion. We only go in areas where we think has got less non-levered customers wherein, we can get non-leverage customers onboard.

So -- and the last thing is that we also, because we understood that the industry was getting slightly leveraged, we said that we will invest in a channel that gets non-leveraged and fresh customers, which we call our FSO channel or Fresh Sourcing Officer channel. Now we have reasonable amount of people in about -- approximately 1,000 people, give or take a couple of 50 or 100 here and there. We have approximately 1,000 people which we call fresh sourcing officers whose only job is to get fresh loan non-leveraged customers and to get into villages that are non-penetrated.

So, in a way, the business has been structurally designed to go after non-leveraged customers. And wherever there has been instance of leverage, the business has been structurally designed to take a pause before business starts again. This provides an automatic inbuilt what I call a speed governor mechanism, right, wherein you are not allowed to speed up in an area where you have sort of worrying asset quality, whereas in areas where you have rather non-leveraged assets or opportunities sitting, the organization is designed to speed up on that areas, albeit safely. So in a way, it is for the entire investor analyst community to benchmark and see whether this sort of practices of ours has helped us sort of keep us relatively in a straight path during this trying period. And only time will tell as to who are the ones who have better franchises and who are the ones who do not have.

Abhijit Tibrewal :

Got it. Thank you for the detailed answer. Thank you and wish you and your team the very best.

Moderator :

Thank you. Next question comes from the line of Chintan Shah with ICICI Securities. Please go ahead.

Chintan Shah :

Congrats on good set of numbers. So firstly, just continuing on the insurance piece. I think we mentioned we

increased the share of insurance in the overall income. So currently, what would be the total percentage of insurance income in the total fee income pool?

Sudipta Roy :

Can I have that number? I don't have this. Just give us a couple of seconds. Do you have -- if you can give us -- I don't have the number handy instantly, so...

Chintan Shah :

Sure. And sir, on the margins front...

Sudipta Roy :

Insurance fee -- insurance as a percentage of average book would be about -- roughly average over the last 3 quarters would be about 1% .

Chintan Shah :

1%?

Sudipta Roy:

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Yes.

Chintan Shah :

Okay. Sure. And sir, on the margins front, I think we mentioned, given the rate cut, there would be some benefit flowing over there. So , in terms of our fixed book also largely what percentage of the book would be fixed in nature?

Sudipta Roy :

Entirely almost .

Sachinn Joshi :

Yes, except for home loan, all the other pieces will be fixed .

Chintan Shah :

Sure. And also, on the PL part, I think you mentioned we have an average ticket size of ₹ 2,50,000 and a yield of 17%. And so what would be the tenure -- your average tenure also for these loans typically?

Sudipta Roy :

About 30 m

onths. See, we are in the business of prime PL. We do not do STPL or anything like that. Absolute prime salaried P L.

Chintan Shah :

Sure. And sir, just lastly, to dwell up on the R oA piece again. So , I think for quarter, we reported 2.3% and we are gradually looking at 2.8% to 3%. So given that our yields will contract and similarly, the credit cost or opex would contract and resultant benefit on R oA. So how does that R oA move from 2.3% to 2.8%? So , more benefits come from the income piece or the opex piece? And on the leverage, then what would be the optimal leverage that we would be targeting?

Sachinn Joshi :

Chintan , I think it's slightly premature talking about because these couple of quarters are an aberration . We have spoken earlier about the R oA trajectory that we wanted to move on. Now there is some shift which is happening. There is some impact, specifically which has come up. So, I think 2 to 3 quarters, you will have to live with this aberration, which would mean, as I mentioned earlier, the 2.8% to 3% is what our targeted R oA. Now this was part of our Lakshya'26 strategy. If there are going to be a few challenging quarters, maybe it will move in a couple of quarters down the line. But directionally, we still want to achieve that. We will be working -- as I mentioned, we will be working on the business plan for the next financial year and also a long -term plan for the next 5 years. If there is a change in this, as part of those discussions, we'll come back. But at this point of time, we are still fixated on the fact that 2.8% to 3% is directionally what we are looking at. It may just -- if there are a couple of quarters which are challenging, it may just move ahead by a couple of quarters. That's it .



Chintan Shah :

So that is helpful. And just last thing on the leverage part. So , what could be the optimum or best leverage we could be looking at ?

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Sachinn Joshi :

Debt equity of 5:1 is what we would like to be at. But there is -- we are right now at 3.4. So as a AAA, I don't think we would want to go beyond that at this point and the leverage will be 6 then .

Chintan Shah :

So that is very helpful. Yes and that's it from my side. Thank you and all the best .

Sudipta Roy :

Thank you .

Moderator :

Thank you. Next question comes from the line of Abhishek Murarka with HSBC. Please go ahead .

Abhishek Murarka :

Congratulations for the performance. So just in terms of marker s, trying to look at all the conversation that has happened so far, looks like GS2, at least Gross Stage 2, that should start showing improvement or at least that should not increase going forward, right? Because GS3 might go up or write -offs might go up, but forward flows into GS2 should not happen? And also looking at your net non -starters and the bounce rate you have shared for Two-wheeler , Farm, it looks like things should improve there. So ideally, GS2 should not increase from here. Is that a correct u nderstanding?

Sachinn Joshi :

See it will all depend on -- specifically for micro loan, as we mentioned, that we have seen some green shoot. We have seen some improvement coming up in December, right? But I think we have to wait for a couple of months more to see whether directionally it is panning out. So , at this point of time, we would not really want to commit that Stage 2, nothing will be there because there are various businesses and all these businesses are in sort of in a transition. So there is par t of the book, which has moved towards prime. There is part of the book, which is still from the earlier -- before the strategy was changed. So at this point of time, I would just li

ke in case you are

asking this question from modeling point of view, I wou ld say that you should continue holding on to the assumptions because we will still need some kind of visibility coming out of this challenging time, which I think is 1 or 2 quarters away, post which we will be more -- we can possibly talk more firmly on h ow stage 1, stage 2, stage 3 would really pan out. But we believe the credit cost and all would be in line with the last 1 or 2 quarters .

Abhishek Murarka :

Okay. No, I was just trying to understand the direction of NPA and therefore credit cost to try and understand why it would remain elevated for 2 quarters when you're showing good numbers on bounce rate and maybe...

Sachinn Joshi :

Yes, because the seasoning takes time, the Two-wheeler and Farm, as Sudipta mentioned, only the Two-wheeler book, and that too over a period of a few quarters has moved from 0 to almost 100% over on Cyclops. Farm, we have just begun. We are yet to start off on the PL. So -- and then SME.

So, till the time this whole transition does not happen, you will -- we cannot pinpoint at this particular quarter. It will be business by business, right? Maybe 1 year down the line, once every product moves on to Cyclops, then we will be able to say firmly that, yes, now the transition has been over and the credit cost now will follow a

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particular trend. But until that time, I think -- and then we also have a challenging time on the micro loan front, where we have a ■ 26,000 Cr book. So , I think all these factors are leading to a situation where it will be difficult to specifically say the challenging time will -- on the other businesses, the credit cost has been slightly elevated for various reasons pointed out earli er. So, I think you need to give us a couple of quarters, and then you should

start seeing. So H2, which is quarter 3 onwards, you will start seeing the impact of Cyclops in terms of the benefit, which flows on to the credit cost line .

Sudipta Roy :

Yes. See Abhishek, what I would like to add to what Sachinn said is that all the leading indicators of the work that we have been doing are looking good. So , we are satisfied with all the leading indicators. And we have put certain indexed representation of some of the leading indicators in the analyst deck. As I said earlier, the portfolio washout and replacement or the replenishment of the portfolio with better credit fundamentals takes -- typically takes a couple of quarters, couple of quarters means 4 quarters to 6 quarters. So obviously, we are about 3 quarters into the journey. It will take for another 2 quarters to 3 quarters for the full -- some headline impact to be start being visible, which as Sachinn said, takes us to about latter part of Q2, early Q3 of FY26, right, when you will start seeing the real impact of that.

The current macro situation does not help us also. Because the current macro situation makes us also sort of adds a lot of noise into whatever we are seeing . So, I would like to add to what Sachinn said is that for us, this is a marathon journey. It's not a sprint . And we are very satisfied with the progress that we have made on the journey. The building blocks are more or less in place. What we are doing is that now we have a process of optimizing those building blocks, which have been put into place. So , my only request would be that we should be a little patient and give us a couple of more quarters for that benefit to build out in terms of numbers .

Moderator :

Thank you. Next question comes from the line of Subramanian Iyer with Morgan Stanley. Please go ahead .

Subramanian Iyer :

So, on micro loans, you

have given a lot of texture on asset quality and that there are a few imponderables. But I had a question on micro loans beyond this current asset quality cycle. So how are you looking at loan growth structurally? I mean, because of the changes happening at an industry level, do you see that loan growth here is going to be structurally lower than what it used to be in the past? And also are you expected to reduce loan yields, given that the regulator has also been making comments on this all through last year? So essentially, looking at structural growth and profitability beyond this current cycle, your thoughts ?

Sudipta Roy :

Thanks. One of the things is that I do believe that -- this is a business -- this is my personal opinion, industry opinion might vary . My personal opinion is that the safe speed of this business is anywhere between 15% to 20%, not more than that. So, the industry probably for the last couple of years have been driving this business at 40% - plus growth rate, which obviously has led to some -- is sort of part contributor into this asset quality sort of challenge that we are seeing in this.

So, I do believe that after the MF IN guardrails come into being from -- full MF IN guardrails come into being from April, the industry structurally will have to adjust itself to, if I were to use the old English proverb cutting the coat according to the cloth, which will mean somewhere between a 15% to 20% growth rate on an annualized basis. And I think that's a safe growth rate. So , I do believe that in the longer term, this industry will settle between this growth rates.

The second thing, which I think is on the yield side, we have already sort of tempered down some of our yields. And if you go to our website, our yield differential is from 16% to 23%. The absolutely credit qualified fourth cycle

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customer, non-leveraged fourth cycle customer end up getting a low rate of 16%, whereas most of the new customers coming into the fold will get a rate of 23%.

So, the average yield is closer to -- a little shade lower than 23% because we have a portfolio stock, etc., which is priced at 24%, which was our previous yield. Our average yield still remains high. But over a period in time, this is the sort of the interest range that the industry will move towards. So yes, so some of the super normal yields that we might have seen in certain sort of franchises, probably those will get tempered over a period of time .

Subramanian Iyer :

That was a very clear answer. Just one more question. What is your guidance or, say, your view on retail loan growth for you in FY26?

Sudipta Roy :

I can't really crystal ball gaze and say that what should be the retail loan growth. By Q4, we'll be able to -- see, we are guided by the Lakshya goals of 25% plus, etc. But again, what I have said is that we will exercise caution and wherever the risk required equation is not in our favor, we will choose caution over growth. This is a very clear philosophy that we are following, and we will follow this philosophy. So, what we will need to see is that how the collection efficiencies for all lines of business pan out in this quarter, Jan, Feb, March, which I think will be a

quarter of stabilization for the entire industry. And probably a much more clearer guidance is probably we should be able to give in some time at the end of Q4 .

Sachinn Joshi :

Yes, I think we should be -- we would have by now -- by then finalized the business plan as well.

Sudipta Roy :

Yes, finalize the business plan as well .

Sachinn Joshi :

And also the growth rate would differ depending on the business we are in. For example, person

al loan, SME are

younger businesses will grow at a much larger pace, whereas the mature businesses will grow perhaps at similar lines, barring MFI which is one piece, which we will have to look and figure out what kind of growth we can consider. We need some more clarity on that .

Subramanian Iyer :

Thanks so much and wish you all the best .

Moderator :

Thank you. Next question comes from the line of Wuzmal Handu with Goldman Sachs. Please go ahead .

Wuzmal Handu :

Just one question from my end. You spoke about the near -term pressure on NIMs + Fees on account of the change in mix that you see right now. Just wanted to gauge your thoughts on when do you anticipate this trend would stabilize for your book? And then eventually, when do you potentially see operating leverage playing out?

Sachinn Joshi :

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So NIMs + Fees already, we responded to this . I think depending on when the rural business loan piece actually stabilizes, which perhaps we believe that one more guardrail, which is being implemented by MFIN will come into play from 1st of April. So we still see 2 quarters to 3 quarters of turbulence at the market level, at the industry level. But we would like to state that we are still better off. So the impact may be lower is what we believe. We will have to wait and watch on this, because this is a large significant portfolio on our books, as well as the fact that we are moving more towards prime is also adding to the change that we anticipate on the NIMs + Fees, which may come slightly on the lower side. But that should actually get compensated or more than compensated by two things, one is the increasing productivity and the lower effort on collection cost, because that's a significant part of our operating expenses, as well as the reduction in the credit costs, which we hope will start getting factored into our P&L from H2 next financial year. So 2 quarters to 3 quarters is what we believe that we'll have to continue with this, and then we will start seeing the positive impact of it .

Wuzmal Handu :

Okay, thank you .

Moderator :

Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Sudipta Roy for closing comments .

Sudipta Roy :

Thank you, everyone, and thank you for your participation. As I said earlier, us along with the entire industry, is going through a little bit of trying times, if I may use that word. But I think this is not very protracted like deep rally downturn that we might have seen earlier. I do believe that this particular downturn, especially for the overall industry, I'm not speaking only of the microfinance business, but speaking of other asset lines also, is a much shorter duration cycle that we might be seeing. And we remain hopeful that this shorter duration cycle will probably see a bottoming out sometime between quarter 1 and quarter 2 of next year. And then probably, because the deleveraging has happened quite a bit as per data available with us, so I do believe that things probably will get on to a normalized trajectory sometime at the end of quarter 2 or starting quarter 3 of next financial year. So, with that in mind, we remain focused on building all our capabilities even while we are going through some of these sort of on -ground challenges. We have not stopped for a single day in sharpening our tools of execution such that when things become normal, we are able to rise much faster than others and take a share of the market opportunity, which is available, obviously, in a risk -calibrated fashion and deliver those returns.

rns for our  
shareholders.

So, thank you so much, and wish all of you a great quarter ahead .

Moderator :

Thank you. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any

## Call: May 2025

May 06, 2025

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of investor(s) / analyst (s) meet – Q4FY2024-25 and FY2025 financial performance and strategy update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst( s) meet for Q4FY2024-25 and FY2025 financial performance and strategy update held on April 28, 2025.

The above information is also available on the website of the Company i.e., [www.ltfinance.com/investors](http://www.ltfinance.com/investors) .

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod  
Company Secretary and Compliance Officer  
Encl: As above

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Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Karthik Narayanan (Head – Strategy and Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q 4FY25 and full year FY25 Earnings Conference Call. We have with us today : Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and other members of the senior management team .

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion s during in teraction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of t he statements made on today's call may be forward -looking in nature. A note to this effect is provided in the Q 4 and FY results presentation sent out to all of you earlier . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded .

I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :

A very good morning, everyone. I welcome you all to the I nvestor call for Q4FY25 and the close of financial year 2025. Today with me on the call are – our CFO, Mr. Sachinn Joshi and the senior management team of L&T Finance.

Similar to our previous calls, today's call is divided into two sections, taken up seq uentially by myself followed by our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & fi nancial performance.

Post our commentary, we will be happy to take questions on the call.

Macro -economic outlook

Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macroeconomic scenario and the sectoral outlook .

While in the global environment tariff and trade war are dominating the economic headlines, closer home in India we are looking at prospects of a strong recovery on the back of a very good monsoon last year, record Kharif and Rabi crop harvests and improvement s in rural liquidity aided by tailwinds from lower inflation and easing of the interest rate cycle .

The growth outl ook for India as predicted by IMF remains relatively stable at 6.2% in 2025, supported by private consumption, particularly in rural areas. Underlying momentum remains robust, driven by better consumer demand, higher exports growth, increase in gov ernmen t expenditure, and strong agricultural performance .

Rural demand is continually improving on the back of record kharif production and favourable agricultural conditions. Total kharif food grain production is estimated at 7% higher compared to last year and 9% higher than the average kharif production in the past five years. Estimates of rabi production are running over 5 -year average

levels as well. Along with expected better than average kharif arrivals and initial forecasts of a normal monsoon in the current fiscal, it will set the stage for further revival in the rural economy .

Strong rural demand backed by a rebound in agricultural production, an anticipated easing of food inflation and a stable macro-economic environment augur well for near-term growth outlook. Private consumption will also be supported by the tax benefits announced in Union Budget, higher budgetary allocations towards employment

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generating schemes and easing monetary policy by the Reserve Bank of India. The central bank's recent liquidity infusion measures and lower risk weights for non-banking financial companies will help transmit the benefits from a softer monetary policy to the broader economy. However, the impact of adverse weather shocks such as heat waves and altered rainfall patterns on agricultural output remains monitorable at this point. The recent trade tariff related measures have also exacerbated uncertainties, posing new headwinds for global growth and inflation. We remain watchful of the fast-changing global environment and believe that stronger domestic demand, benign inflationary conditions and sustained policy support, should help us navigate the volatile global environment .

#### Q4FY25 Highlights :

Coming to this quarter's highlights, I would like to share that the operating environment in the microfinance sector remained challenging during the quarter, with some state specific events like the Karnataka ordinance about which I will speak in greater detail during the course of the call .

However, despite the operating challenges, our diversified franchise has enabled us to achieve the highest ever annual PAT of ₹ 2,644 Cr, registering a growth of 14% YoY and the highest ever annual RoA of 2.44%. Our robust business model coupled with responsible growth across all retail segments led to an overall quarterly disbursement of ₹ 14,899 Cr in the current quarter, compared to ₹ 15,044 Cr in the corresponding quarter in the previous financial year. This was achieved despite the risk calibrated disbursement strategy followed especially in the Rural Business Finance and the Two-wheeler vertical .

The Retail book now stands at ₹ 95,180 Cr, a growth of 19% YoY, while the overall booksized reached ₹ 97,762 Cr in FY25,

registering a 14% YoY growth. The growth reflects the strength of the Retail business franchise aided by a strong execution engine, proactive portfolio management and prudent risk management. We will continue to focus on making our retail growth trajectory sustainable & predictable .

I would take some time here to share an update on the various strategic and technology initiatives we have taken during the course of the year. Project Cyclops, our proprietary AI-ML based credit underwriting engine that was operationalized in Q1FY25 has now been extended to the Tractor business (currently live with 24 Scorecards), after a 100% scale up in Two-wheeler dealerships. We aim to implement it in the Personal Loans business in Q1FY26 and in SME Finance by Q2FY26 .

We would like to update that in order to independently review the efficacy of our Two-wheeler underwriting through Project Cyclops, the portfolio was analysed through TransUnion CIBIL's proprietary Credit Vision algorithm. We are pleased to share that the analysis clearly demonstrated shift of origination to a lower risk portfolio underwritten through the Cyclops engine for the periods Aug'24 through Mar'25 as compared to a non-Cyclops legacy portfolio, with estimated credit costs paring downwards by an estimated 100 -150bps. This drop in risk cost and subsequent improvement in overall asset quality will augment the overall profitability of the Two-wheeler portfolio going forward. We are hopeful the full impact of Cyclops on the Two-wheeler business in terms of improved all round metrics should be visible by Q4FY26, as the newly generated Cyclops portfolio replaces the old legacy portfolio .

Our next transformative technology initiative for FY26 will be operationalising the beta version of 'Project Nostradamus', a state of the art, first in industry AI driven automated real time portfolio and credit risk management engine leveraging traditional as well as alternate data. We estimate to bring it to production by the end of Q2FY26.

Additionally, we launched the beta version of the third generation of our mobile platform PLANET .

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## Update on Lakshya 2026 Goals

I would start with an update on the Lakshya 2026 goals :

■ The first milestone was to achieve Retailisation of >95% by FY26. We achieved a retailisation of 97% in the last quarter and it remained at the same level this quarter, despite calibrated disbursements in the Rural Business Finance and Two-wheeler businesses. Other businesses within our robust retail franchise supported us well in these times in maintaining the retailisation trajectory, with a 16% YoY growth in Farmer Finance disbursements, a 42% YoY growth in Personal Loans disbursement and a 37% YoY growth in SME Finance disbursements. In the Home Loans business, we clocked a 27% YoY growth in disbursements, in spite of an overflow of close to ■ 800 Cr of disbursed cheques to next quarter on account of delayed banking of cheques by customers, in line with the revised RBI guidelines .

■ On the loan book growth front, despite consciously choosing to slow down disbursements in segments where risk reward was not in our favour, our Retail Book Growth stood at 19% YoY, a growth rate we are satisfied with, given the challenging environment that we witnessed in FY25. Simultaneously in other business segments such as Farmer Finance, Housing Finance, Personal Loans and SME Finance, we have maintained a healthy growth trajectory based on our confidence in our tech powered underwriting capabilities and the market potential. We continued to maintain our focus on shifting towards sourcing more prime and near prime customers, which

led to the Prime customer share in our Two-wheeler disbursements increasing to 82% in the month of March 2025, which stood at 53% at the end of March 2024. Our journey towards building a prime-dominant portfolio which showcases resilience across business cycles continues with a strong focus on credit and risk frameworks .

■ On Asset Quality front, while we maintained the Retail GS3 & NS3 levels closer to the threshold levels (GS3<3% and NS3<1%) despite the macro challenges and segment specific challenges in the microfinance segment, our Consol. GS3 stood at 3.29%, while NS3 was at 0.97% (below the Lakshya threshold of <1%).

■ The fourth and last milestone on the RoA front, as you are aware, we have moved from tracking Retail RoA to Consol RoA in the range of 2.8% -3.0% as per our original Lakshya 2026 targets. We registered the highest ever annual RoA of 2.44%, up by 12bps YoY. This has been achieved despite microfinance industry challenges and risk calibrated disbursements across all lines of business. We remain committed to delivering the Lakshya RoA goals and the continuous improvement in RoA trajectory should resume as the segment headwinds in the microfinance sector dissipates .

As you are aware, over the course of FY25, there have been operational and credit quality challenges in unsecured consumer lending businesses in India particularly in the microfinance sector owing to increased leverage and impact of macro events like prolonged heat wave, severe floods in several states & a temporary slowdown of cash flow for rural employment schemes during general elections. This led to increased credit cost in our Rural Group Loan & MFI (RGL & MFI) portfolio, thus warranting a case for utilisation of macro prudential provisions as intimated in the investor communication for last quarter. As guided previously, post approval by the Audit Committee and the Board, we have utilized a sum total of ■ 400 Cr of macro-prudential provisions in FY25 (■ 100 Cr in Q3FY25 and ■ 300 Cr in Q4FY25). The actual utilisation of ■ 400 Cr is at the lower end of the guided range of utilisation, which was possible on account of a relentless focus on restoring collection efficiency in the RGL & MFI portfolio. With this, we move into the next financial year with an adequate buffer of unutilised macro-prudential provision of ■ 575 Cr .

## Update on Karnataka Ordinance

The quarter witnessed an industry event in the form of an ordinance towards prevention of coercive practices for unregistered financiers in Karnataka. Due to this, in a ricochet effect, collection efficiencies of registered microfinance players also witnessed pressure in February 2025. Our Rural Business Finance team proactively took on-ground measures to protect our Karnataka portfolio resulting in the collection efficiency showing signs of steady improvement throughout March and April. We expect the Karnataka CE to stabilize to normalized levels by early Q2FY26. Please refer to Slide No. 38 of the Investor Presentation for improvement in our trajectory of our Karnataka Rural Business Finance collection efficiency (CE) .

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Over the weekend, we received information about a new bill being tabled in the Tamil Nadu assembly with an objective towards controlling unregulated lending. Prima facie, this bill, unlike Karnataka, seems to have a broader scope rather than a an MFI focus only and exempts RBI regulated entities and is targeted solely at unregulated entities. Given our experience of Karnataka over last 3 months, we are confident that this will not pose any significant challenges for us in the operations of the RGL and MFI business

in Tamil Nadu. Our March 2025 CE

in Tamil Nadu was 99.6% which is 10 bps lower than our normalised trajectory of 99.7%. We are confident of maintaining this trajectory going forward though there might be a couple of months of adjustment period in-between, as in the case of Karnataka. Needless to mention, we are closely monitoring the situation and will work



closely with MFIN and the industry participants to mitigate any possible impact to the fullest extent. As I had mentioned the last quarter, I would like to reiterate that the onset of MFIN 2.0 guardrails (applicable from April 1, 2025) is an overall long-term positive for the microfinance industry which will ultimately lead to recovery of the credit profile of the sector, albeit at a marginal cost to growth. The impact of the guardrails in terms of credit cost for LTF, is expected to be limited as the leverage level of LTF customers has gone down since the proposed announcement as illustrated in Slide No. 22 of our investor presentation. We are hopeful of a return to normalized CE for the RGL and MFI business by early Q2FY26.

#### Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated over a year back and continue to be in implementation mode against the same.

1. Customer Acquisition - The focus continues to be on maintaining customer acquisition momentum both vertically and horizontally while proactively implementing credit adjustments to ensure sustained portfolio quality. To ensure focus on acquiring new non-leveraged MFI customers the team focussed on deepening reach into new non-covered villages. Hence the number of new villages / zero disbursement villages activated for Rural Group Loans & MFI (RBF) stood at 25,401 in Q4FY25, as against 19,975 villages in the last quarter, a growth of 27%. This has helped us in maintaining disbursement momentum to new non-leveraged customers in RGL and MFI business. We are also expanding our geographical footprint in Assam, Western U.P. and Rajasthan. This quarter we have added a total of 5.3 lacs new customers. Alongside this reach expansion, we performed calibrated channel optimisation in Two-wheeler with sustained focus on better quality and under-leveraged customer acquisition. Further details around customer acquisition and repeat share are available on Slides 16 & 17 of the Investor Presentation.

2. Sharpening Credit Underwriting - I have already spoken at length on the impact of our proprietary credit underwriting engine 'Project Cyclops' on the Two-wheeler business. It has now been extended to the Tractor Finance business (currently live with 24 Scorecards), after having been scaled to 100% Two-wheeler dealerships. In addition to this the Cyclops (Project Cyclops) underwriting engine will be implemented for the Personal Loans business in Q1FY26 & SME Business Loans by Q2FY26.

3. Futuristic Digital Architecture - We continue to work on upgrading our technical capabilities and our focus on continuously strengthening our IT framework remains unabated. I have already spoken about Project Cyclops, Project Nostradamus, and upgrades to our Planet app and we have also launched our new website ([www.ltfinance.com](http://www.ltfinance.com)).

4. Brand Visibility - We continue to focus on targeted engagement through multi-channel and multi-product brand building with Jasprit Bumrah as our brand ambassador. We also partnered with the L&T Group for the MMRDA Atal Setu L&T Marathon 2025. During the quarter, we launched an Integrated Marketing Campaign 'Business Loan – Aapke Business Ka Game Changer' for our SME Finance business, with targeted marketing campaigns for SME audiences in 7 cities - Mumbai, Delhi, Jaipur, Ahmedabad, Kolkata, Bangalore and Hyderabad. We also focused on airport brandings in multiple cities along with opting for branding in Air India's Namaste.ai in

-flight magazine to enable us to engage with a captive audience base. As we move ahead, you will see a set of integrated marketing campaigns and targeted branding exercises for other lines of businesses in the upcoming quarters.

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5. Capability Building - On the capability building front, as you are aware, we have taken a series of measures during the year. During the quarter, we institutionalized our annual long range planning process, about which I had mentioned in the last quarter. This process, launched across all verticals will ensure that each function develops aligned and forward-looking talent strategies linked to business priorities. In line with our 'Hire Right' strategy, we have hired a batch of talented and motivated Management Trainees out of which, 43% of the positions were closed from Tier 1 colleges, including top IITs and IIMs.

Speaking about employee initiatives, we launched employee engagement surveys, including reintroduction of the Great Place to work (GPTW) survey, to enable the management to effectively listen to the voice of its employees. Additionally, we focused upon providing Continuous Learning opportunities to our employees to excel in the organisation. In line with the same, we collaborated with Symbiosis School for Online and Digital Learning (SSODL) to offer employees access to high-quality, industry-relevant programs

#### Update on Wholesale Business

Now, I would like to give you an update on the Wholesale business and the related investments in Security Receipts with ARCs. The Wholesale book has been reduced from ₹ 5,528 Cr in FY24 to ₹ 2,582 Cr in FY25, reduction of 53% YoY. Security Receipts (SRs) book has also been reduced from ₹ 6,770 Cr in FY24 to ₹ 5,862 Cr in FY25, mainly due to monetization of assets driven by active stakeholder negotiation, completion of projects and subsequent sale of constructed units and recovery measures implemented through legal action.

With wholesale book reduction progressing satisfactorily, we will continue to work with ARCs focusing efforts towards reduction in security receipts.

#### Update on New Product initiatives

Now, let me take you through our performance in our new product initiatives as shared in the last call, where we have been successfully scaling our Micro LAP, Warehouse Receipt Finance and Supply Chain Finance products.

In the Micro LAP domain, we have expanded our geo presence across 6 states in Southern and Western geographies and further expanding footprint in Rajasthan & MP to scale up business. Asset book has crossed the milestone of ₹ 450 Cr in Q4FY25, on the back of strong credit underwriting to build a sustainable high yield secured portfolio.

Similarly, our Warehouse Receipt Finance business launched to address post-harvest needs within the agricultural value chain, uses a digitally-assisted process resulting in superior turnaround times for sanction, disbursement, and commodity release. This business under the Farmer Finance vertical has achieved cumulative disbursements of ~ ₹ 500 Cr in FY25.

Lastly, our Supply chain business, under the SME vertical was launched in Q3FY25, which offers dealer and vendor finance and while at a nascent stage, we hold a positive outlook towards its potential to scale profitably.

As you are aware, during Q4FY25, we announced LTF's foray into Gold Loans through acquisition of the Gold Loan business of Paul Merchants Finance Private Limited, on a slump sale basis. Our philosophy on inorganic growth has been guided by 3 considerations – firstly, addressing a critical capability gap, secondly, easily integrable business and people profile and last but not the least,

available at reasonable valuations. Given a large number of our customers have been availing of gold loans, we had been keen to enter this segment to complement our existing product portfolio and also tap this significant cross sell and up sell opportunity.

The proposed acquisition of the gold loans business of Paul Merchants Finance Private Limited, on a slump sale basis, meets all 3 of our criteria outlined above. We signed definitive agreements for this purchase on February

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7, 2025 and an integration plan and governance framework has been put in place to enable us to achieve a closing by Q2FY26.

We expect the Gold loan business to add significant value to our retail business franchise and the business to become a major secured high yielding revenue line for LTF going forward.

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

#### Business as Usual updates

Sachinn Joshi :

Thank You, Sudipta. As always, I will be walking you through the financial performance of the company. First starting with the quarterly.

#### Quarterly Performance:

■ Consol NIMs + Fees stood at 10.15% vs 10.33% for Q3FY25 on account of conscious shift in disbursement and book mix due to a challenging credit scenario in RBF. This includes a negative impact of 23 bps on account of refund of ₹ 55 Cr of broken period interest to certain customers as per advice of RBI.

■ There is also a one-off item of tax gain of ~ ₹ 35 Cr on account of closure of certain historical tax litigations

■ Consol PAT for the quarter at ₹ 636 Cr.

■ Quarterly retail disbursements stood at ₹ 14,899 Cr.

■ Retail book stands at ₹ 95,180 Cr (up 19% YoY). Our Consol book stands at ₹ 97,762 Cr, up 14% YoY

■ Consol RoA stands at 2.22%, up 3 bps YoY

■ Consol RoE at 10.13%, up by 60 bps YoY

#### Annual Performance:

■ Consol PAT at ₹ 2,644 Cr (up 14% YoY)

■ Consol NIMs + Fees at 10.59%

■ Highest ever annual retail disbursements, ₹ 60,040 Cr, up 11% YoY

■ Consol RoA at 2.44% (up 12 bps YoY)

■ Consol RoE at 10.87% (up 52 bps YoY)

#### Retail Businesses :

### Rural Business Finance

The business registered quarterly disbursements of ■ 5,114 Cr (down by 11% YoY), and annual disbursements stood at ■ 20,921 Cr (down by 3% YoY), mainly on account of a risk calibrated disbursement strategy. The book size reached ■ 26,320 Cr (up 0.3% QoQ and up 6% YoY) in Q4FY25 .

### Farmer Finance

In the Farmer Finance vertical, quarterly disbursements stood at ■ 1,755 Cr in Q4FY25 (up by 15% YoY), while the annual disbursements stood at ■ 7,935 Cr (up by 16% YoY). We had carried out multiple changes along with credit calibrations in this business during the year, which allowed us to take full advantage of a favourable monsoon and optimal rural liquidity, thereby leading to a double -digit growth. The book size reached ■ 15,219 Cr, reflecting a growth rate of 10% YoY .

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### Urban Finance

The segment, which comprises Two -wheelers , Personal Loans, and Home Loans/LAP businesses, saw a 2% YoY jump in overall quarterly disbursements and 22% jump in annual disbursements. As a result, the overall book size increased to ■ 45,897 Cr in Q4FY25, translating into a 27% YoY growth .

■ Two-wheelers: The Two-wheeler Finance business registered quarterly disbursements of ■ 1,857 Cr in the quarter (down by 26% YoY), and annual disbursements stood at ■ 9,285 Cr (up by

8%). The book size

increased to ■ 12,321 Cr, up 10% YoY. Notably, 82%+ of Two-wheeler Finance disbursements in Mar'25 were in the Prime segment. This reflects our focus on quality growth and risk -adjusted returns .

■ Personal Loans: In the Personal Loans business, we achieved our highest ever quarterly disbursement of ■ 1,915 Cr translating into a growth of 98% YoY, and annual disbursement stood at ■ 6,096 Cr (up by 42%) with the book size at ■ 8,648 Cr, an increase of 34% YoY. The double -digit growth is due to the expansion of physical distribution through the DSA channel with focus on salaried prime customers and scale -up of the fintech partnerships, which now contributes ~22% of the quarterly disbursements .

■ Home Loans /LAP : Moving on to Housing, we achieved quarterly disbursements of ■ 2,332 Cr, down by 7% YoY, and annual disbursement stood at ■ 9,582 Cr (up by 27%) with the book size at ■ 24,929 Cr, an increase of 35% YoY, growth in the segment aided by newer partnerships and strong network of distribution channels .

■ SME Finance: In SME business, quarterly disbursements stood at ■ 1,528 Cr, up by 26% YoY, and annual disbursement stood at ■ 5,000 Cr (up by 37%). The book stood at ■ 6,524 Cr (up 67%). The growth in business volumes was aided through increase in direct sourcing and existing strong network of distribution channels .

Let me now hand over the call back to Sudipta to make his closing statements.

Sudipta Roy:

Thank you Sachinn. The year gone by saw considerable headwinds especially in the microfinance business, however we remained resilient while showcasing our ability to thrive even in a challenging environment. We are optimistic that FY26 will present a far more benign operating environment which will help us to scale up business momentum riding on the back of significant improvements across all five pillars of execution that the organisation has implemented in recent quarters .

Guidance for FY 26

We expect our disbursement momentum to gain pace in FY26 especially in our urban businesses and our rural businesses in H2FY26. We are hopeful of 20%+ growth in booksize during the coming financial year. We are also hopeful that our RGL and MFI business will resume its growth trajectory from Q1FY26 picking up pace in H2FY26 on the back of an already forecasted better than normal monsoons. Growth in all lines of business will remain the primary agenda in FY26 after having completed the credit administration framework rehaul through full implementation of Cyclops (Project Cyclops) and introduction of Nostradamus (Project Nostradamus) . Hence, we expect the growth momentum to pick up significantly from H2FY26 in a risk -calibrated manner.

In the backdrop of existing market conditions, we expect NIMs + Fees to trend in the range of 10% to 10.5% as yield changes made in FY25 reflect in the ongoing book mix realignment.

This year we will also be focusing on building opex efficiencies in our collections and credit administration verticals which will be a by -product of Cyclops (Project Cyclops) implementation. We also will focus on augmenting

productivity of our sales channels through a concerted exercise, including the deployment of multi-product

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Sampoorna branches. Operating expenses are expected to trend along the same lines as FY25 as LTF continues its investment in guided core technology related initiatives.

As the asset book subsequently underwritten by Project Cyclops and other structural credit policy measures implemented in our various businesses, we expect it to positively start reflecting decline in credit cost between Q3 / Q4 of FY26. This should in turn reflect

favorably on the Return on Assets profile, ranging between 2.4% to 2.5% for FY26, with sequential improvement in H2 over H1FY26.

Having guided as above, we remain cautious about the emerging geo-political risks and would like to maintain that the above guidance does not take into account any unforeseen developments.

I would like to end by saying that as always, we remain committed to building a sustainable risk calibrated franchise that leverages technology and deep customer understanding to deliver consistent value to all our stakeholders. I would also like to put on record our heartfelt thanks and deep appreciation to the analyst and investor community for encouraging us through our transformation journey.

I thank you all for a patient hearing. We apologize again for the temporary disruption in between, which was completely out of our control. And the floor is now open to questions.

Moderator :

We will now begin with the question-and-answer session. The first question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah :

So firstly, on credit cost side, if you can just highlight with respect to the various product segments contributing to the overall credit cost of ₹ 600-odd crores. So last time, maybe MFI was closer to ₹ 160-odd crores. How much is the MFI this quarter? And even on Two-wheeler and consumer loans, you indicated that it will take a couple of quarters to see the full benefit. But how has the behavior been in 4Q on, say, Two-wheelers and consumer loans?

Sachinn Joshi :

Kunal, this is Sachinn here. As you are aware, we really don't give breakup product-wise on the call, but I can broadly give you a trend and it continues to be on the same lines as in the earlier quarters. We had mentioned on the call that, yes, Micro Loan (Rural Group Loans & MFI), of course, is the key business where we are looking at higher credit costs because of the reduction in collection efficiencies. So that is one part where we have also mentioned that we have utilized ₹ 300 crores to take care of that incremental credit cost. But apart from that, we have also seen credit costs emerging out of Farm. Directionally, it is slightly lower compared to the previous quarter. Then we have Two-wheeler and Personal Loan. These are the 3 businesses where we've seen a higher credit cost.

And as we had mentioned on the earlier call, I'm just reiterating that 1 or 2 more quarters and then we should be actually looking at H2, which will be much better in terms of overall credit cost directionally because Project Cyclops implementation on Two-wheeler is completed. In Q3 and Q4, we will start seeing the impact of that because the book will get seasoned. And we are also in the process of implementing it for Farm as we speak, followed by Personal Loans and SME. So directionally, H2 will be better than H1 in terms of the overall credit cost.

Sudipta Roy :

Yes. Kunal, I'd like to add to what Sachinn said. If you refer to Slide 26 of the investor presentation, where we have given the indexed representation of Two-wheeler portfolio bounce. You can see what was at 101%, 100% -

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odd or 101% in April'24, the indexed bounce is now at about 85%. So, we see a significant cleanup of the Two-wheeler portfolio in terms of the portfolio metrics, like -- and obviously, the first metric you take into account is the portfolio bounce. And as I had spoken earlier, when we validated our Two-wheeler portfolio credit metrics, especially the ones that are sourced through the Project Cyclops engine through the CIBIL's Credit Vision algorithm. From a high-level perspective, the sort of

the portfolio that behaves in a high risk -- a slightly higher - risk fashion in a non -Cyclops legacy portfolio was about 11%, which has currently dropped to a level of about 3% or 3% or 4% -odd when we underwrite it through the Project Cyclops portfolio. So that is giving us much, much better headline credit metrics. And obviously, our prime share in Two-wheeler disbursements is up to 82%. Now if you look at Slide 27, our Farm Equipment , again, the net nonstarters (NNS) , which is the first EMI bounce, from an index of 159%, which was in April'24, is down to 38%. That means if you had 1,000 customers, 159 customers out of the 1,000 customers sort of bounced their cheques. Currently, we have only 38 customers who bounce their cheques.

So basically, from 159 to 38, the journey in the Farm business has actually sort of given us a lot of leeway to sort of ramp up disbursements in a credit calibrated fashion. In our Personal Loans business, we continue to operate on the prime and near prime segments, especially the entire disbursement that is coming through our large partners, which is predominantly CRED, PhonePe as well as Amazon continues to be absolute prime customer, prime salaried customers.

Our DSA channel operates on prime salaried customers. And we have seen a significant downward trend in sort of the through-the-door risk metrics, in our Personal Loans business as well. So as I maintained, as Cyclops (Project Cyclops) gets implemented, now it's getting implemented in the Farm business, it is getting implemented in the Personal Loans business this quarter and the SME business next quarter, as all of them get implemented and the overall portfolio quality becomes -- origination becomes far more cleaner and because of the much tighter credit metrics followed over the last 12 months across all lines of business, we expect a very normalized credit cost trajectory in H2FY26.

In H1FY26, there might be some residual impact from the flows that we have seen in FY25 from our RBF business. But we -- as I said, barring Karnataka, we saw a collection efficiency of 99.6% plus for rest of India . So, our -- I would say our Micro Loans (Rural Group Loans and MFI) business is also very strongly moving towards normalcy. And we expect a very normal BAU H2FY26, of which H1 and during H1FY26 with every passing quarter, you will see significant milestones for improvement in that as well .

Kunal Shah :

Sure. And the second question is on NIM plus fee. So obviously, you indicated that there was some impact of refund on the interest policy, which was there post the regulatory direction. But otherwise, maybe would there be further pressure as we look to maybe at least on the MFI side that portfolio would be coming off. So , could there be further risk to this NIM plus fee or maybe you are confident of the guidance of 10% to 10.5% ?

Sachinn Joshi :

I think 10% to 10.5% guidance we stick to. We already gave clarification on what was the incremental one-time impact, which will go off. And as the disbursements in the Micro Loan (Rural Group Loans and MFI) fees start growing, as things come back to normalcy, you will start seeing that -- because it's now a question of change of mix within the retail. So, we have also made a mention that gold loan business acquisition also will happen in early part of quarter 2. That happening, Micro LAP business growing, Personal Loans growing. All these pieces put together, I think we have a fair visibility in terms of maintenance of NIM plus fee in this range. Whatever now this -- the range which has come down to this level, I think from the point of view of RoA tree, the positive impact will have to start flowing from the operating expenses, efficiencies that we need to bring in and the credit cost. So, the overall RoA impact on the -- in the positive direction will happen more from operating expenses, the efficiencies we build in because the --

as Sudipta mentioned, we're also moving towards prime. So that would mean that anyways directionally, the NIM plus fee would remain in this tight range of 10% to 10.5% .

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Sudipta Roy :

Yes. One of the things which is not always visible is that sometimes the cost of credit is also -- there's an invisible iceberg of credit administration cost that lies below the cost of credit. Now as the portfolio continues to clean up because we have taken significant efforts in FY25 in building those credit frameworks that sort of builds a very robust credit calibrated portfolio, we expect sort of some cessation in our credit administration cost also, as we move over FY26 . And it will start getting visible as I have continuously maintained in H2FY26.

In terms of our growth momentum, to answer your question, I do believe that we have seen the bottoming out of the RBF business industry crisis. And as I mentioned in the call, I do believe that the impact from the implementation of MFIN 2.0 guardrails will be limited, especially for us because the number of leveraged customers that we have in L TF plus 2 segments is quite minimal now going forward. And we see the Rural Business Finance , especially the microfinance business gaining its disbursement momentum on the back of good monsoons as well as a good estimated good kharif crop this year as well . So again, we expect us to sort of get to normality by the beginning of the festive season of FY26.

We are also focusing on our high -yield secured businesses like Micro LAP, the integration of the gold loan business with 131 branches and we intend to sort of deploy another close to 100 to 150 branches depending

upon how fast we can do it, over the period of FY26, we'll also add another high -yield secured portfolio to our entire disbursement mix.

Our personal loans business continues to grow strongly. You have seen that we have grown our personal loans business over 98% on a full year basis and about 42% on a quarter-on-quarter basis. Our big tech partnerships along with Amazon, PhonePe and CRED continue to scale. And we will add a couple of more other large big tech partners this quarter. So obviously, the funnel that is coming from these partners are mostly prime and near prime customers with a reasonable cost of acquisition and a very, very predictable risk cost profile at acceptable yields. So overall, I expect the disbursement momentum in the Two-wheeler business. In the Home Loans business, obviously, we will take a calibrated view in the Home Loans business, moving more towards Loan Against Property and probably sort of tempering down the sort of the Home Loan disbursement process just to balance out the yields. So -- and overall, on the cost of funds side, also, we expect more or less a stable sort of weighted average cost of borrowing as compared to this quarter, at least being there for the next 2 quarters. And as the sort of the RBI rate cuts, we expect another 2 rate cuts to come on. And as that monetary policy transmission starts happening and if we get some movement in the cost of funds towards H2FY26, that will be anyway accretive towards our RoA profile. So we are -- in a nutshell to summarize, we are more or less confident of the guided RoA profile. Obviously, the caveat is that we are not sort of factoring in any cessation or disruption due to any emerging geopolitical risk, that is an entirely -- that is something for which we cannot forecast as of now. Things remaining normal at BAU levels, we remain -- we are reasonably confident of the outcomes that we have talked about in the call.

Moderator:

Next question is from the line of Rahul Jain from Goldman Sachs.

Manoj Sachdev.

Rahul Jain:

I actually had two, three questions. The first one to start with is, can you just help us understand of this credit cost of 2.5% in this quarter or 3.8%, including the buffer. If you were to break it down between MFI and non-MFI that will be useful color to get.

Second is on a similar note, we see disbursement within the rural book across the board kind of declining. So, is this because of the change in business structure that we are doing, i.e., moving up the consumer cohort or you're generally cautious on the -- on some of these segments, for example, Two-wheeler disbursements are also down?

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And third, sorry, I'm asking all these questions in one go, but there is MFI linkage. That's why I'm asking all these questions. Third is MFI, there's now back-to-back new states who are joining the chorus of putting out the ordinance. And there is a Central Government bill also that was put up for the public comments called as BULA, Banning of Unauthorized Lending Activities. So, if that gets also implemented, then what kind of an impact do you see for MFI? Do you see that if these things keep coming through, would you still focus on growing MFI? And how are you going to run the business in this volatile environment from the government side? So, these three questions, yes. Thank you.

Sudipta Roy:

Yes. So, Rahul, I'll answer the -- probably the last question first. I think again, the Tamil Nadu sort of bill, I think, as I said in my call, I think it's a more broader scope than MFI-only scope. And what it does is that it is probably aimed at restricting unregulated lending and also unregulated digital lending as well. So it impacts -- again, we have to see that what is the final statutes that finally get passed. But again, I do believe that while we have seen in Karnataka, this is probably a transitory impact, 3-4 months impact that we can see as we are seeing in Karnataka. In Karnataka, we saw the impact in February. But after February, with every passing month, our collections efficiency started improving by about 50-60 basis points every month. So, as I said, we expect Karnataka to reach -- get back to normal by end of Q1FY26. Tamil Nadu, as I said in the call, our collection efficiency is at 99.6%. And given the experience that we saw in Karnataka, I'm very, very hopeful and very, very confident that the industry will be very, very proactive in with dealing any fallout, having sort of learned from the Karnataka experience.

Rahul Jain:

That's helpful. Just on that point, so in that transitory phase, would you look to press the pedal again? Or you will wait to see how the response comes from the customer side?

Sudipta Roy:

So see, Rahul, again, during the period, if you look at our MFI disbursements between Q3FY25 and Q4FY25. Q4FY25, we had Karnataka. But in quarter 3, we did ₹4,462 crores of disbursement in RGL & MFI. In RBF, we did ₹4,965 crores of disbursement in quarter 4. So actually, on a sequential basis, our RBF disbursements have

grown. And as we speak, we intend to maintain -- we intend to maintain a risk-calibrated trajectory. That means non-leveraged customers are customers who are exclusive to LTF or customers that have only LTF plus 1 and we assume that they are non-leveraged and non-credit hungry, we will maintain business as usual as well as I have said that we are expanding into Assam, we are expanding into Western UP, we're expanding into Rajasthan. So, if there is a small squeeze in some part of the country, we have an enormously large franchise to compensate for that squeeze in other parts as well. And the fact is that in the other par

ts, the collection efficiencies are almost

back to normal. As I said, barring Karnataka, our collection efficiency pan-India is at about 99.6%. So, I'm being very, very honest. Though the Tamil Nadu development is obviously concerning, we probably will not lose sleep over it because it is something that we have seen in Karnataka. We have seen the rapid improvement in collection efficiency that happened. And I believe that the impact probably will be not as widespread as we saw in Karnataka because this is not only MFI-only, but this is targeted at the entire digital lending universe. And obviously, RBI entities are exempt from it. So again, to go to the first part of your question, I probably don't fully agree with the statement that we are tempering our disbursements in our rural entities, rural businesses. For example, if you look at our Farm business, our Farm business grew at 16% on a year-on-year basis. Q4 generally is a sluggish quarter for the Farm business on the back of a very robust quarter that they -- see during Diwali. The tractor business, the biggest months, the biggest quarters are quarter 1 and quarter 2. These are the 2 biggest quarters followed by quarter 3. Quarter 4 in tractor is generally sluggish. So you will see on the back of a good monsoon and on the back of price increases that have been announced by most of the tractor OEMs, we are looking forward to a good disbursements in tractors.

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On coming to the tempering of our Two-wheeler and I'm glad you asked this question. On the Two-wheeler business, as I told you, we have implemented Cyclops (Project Cyclops) fully for the Two-wheeler business from December 13. That is when all our dealers cut over to Cyclops. Now what Cyclops (Project Cyclops) has done, if you see a legacy non-Cyclops portfolio as per CIBIL's Credit Vision algorithm, a legacy non-Cyclops portfolio tended to have anywhere between 10% to 13% of high-risk customers. Now what we have done is that we saw in Q4, which is in January, February, March, that 10% to 13% high risk -- relatively higher-risk customers have shrunk to 3% whereas the share of the medium risk and the absolutely low-risk customers have actually increased. So what has happened is that this shrinkage of 10% to 13% of high-risk customers to 3% has shaved off about ■ 100 crores to ■ 110 crores of our monthly disbursements, leading to a tempering of ■ 300 crores of disbursements across the quarter. That is the drop that you are seeing, but we are very happy to let it go because this cohort of customers come with anywhere between a projected of 11% to 12% loss rate. So, this, we are very happy to let go. Having said that, now that the entire model has stabilized and we know that from a third-party validation, we know that the entire engine is working well, the entire team is now working to scale up disbursements in prime and near-prime segments in the Two-wheeler segment because we are very, very sure of knowing what we are doing. So this slight decrease in volume of Two-wheeler disbursements is intentional. And you will see the recalibration of this upwards over quarter 1 and quarter 2 FY26. Personal Loans anyway we have said that we are growing very, very strongly. SME finance, we have grown 37% on a year-on-year basis. Our gold loans business will come in, gold loans has been the strongest growth asset class category last year. So overall, we are very, very confident that FY26 will be a reasonably strong growth year for us, especially in H2. H1, we will still be a little careful because as we see the last tail end of the MFI sort of industry issue. And we are very, very conf

ident that if we have a good monsoon, H2 is going to be a very, very decent half in terms of growth rates.

Rahul Jain :

That's very helpful. Can I just ask one more follow-on question ?

Sudipta Roy :

You asked about a question on credit cost. You asked a question of credit cost, sequential credit. So that Sachinn is answering.

Sachinn Joshi :

So, Rahul, on the credit cost, I already responded to Kunal. It's the same question that you have asked. I would just reiterate that as far as credit cost is concerned, this quarter, we have perhaps seen the worst as far as Micro Loans (Rural Group Loans and MFI) is concerned. And that's why we also utilized that ■ 300 crores. This quarter was also the -- it was -- we were in fourth quarter and it was time for us to revisit our ECL models. And hence, I would like to go and go public with the statement that vis-a-vis previous quarters, we had mentioned that we will have 3 to 4 quarters of higher delinquency levels in Farm, Two-wheeler and Personal Loans. This quarter, we have seen that Farm, the credit costs have stabilized and actually have gone down a bit. On the Personal Loans,

they have stabilized at the previous quarter level. And in Two-wheeler, we will still need 2 more quarters to actually come to the normalcy.

And hence, we mentioned that because 52% of the overall book now is prime. Next 2 more quarters, and we will be out of the slightly higher level of credit cost on the Two-wheeler piece. So, taking these into account ...

Rahul Jain :

I purposely asked this question because I recall you had given an estimate of about ₹ 1,000 crores of loan losses for the MFI portfolio in fiscal'25. So, did we stay within that? Would you want to give some more color?

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Sachinn Joshi :

Yes, yes. So our overall credit cost is well within the ₹ 1,000 crores that we had stated when we had also met up on the Digital Day. We have stuck to that number. And we believe that, in fact, this was perhaps the worst. Of course, Tamil Nadu already Sudipta mentioned about, but looking at our Karnataka experience, we don't really see any major impact coming out of it, which will worsen our situation compared to Q4.

Rahul Jain :

Very helpful. Sorry for stretching and adding one more question, if you may. What is the normalized credit cost, Sudipta, you're looking at as a result of Cyclops and MFI being -- you're calling fiscal'25 being the worst year for MFI. What kind of normalized credit cost that we can look at in 2H of this year? And also, I think aside, at what stage you start to see benefits of Cyclops coming through in terms of the scale and the operating leverage that the company might start to derive?

Sudipta Roy :

Yes. So, Rahul, first thing is that we're not doing Cyclops (Project Cyclops) on MFI (Rural Group Loans and MFI), we are doing Cyclops (Project Cyclops) on all other businesses because MFI (Rural Group Loans and MFI), the digital footprint is very low for the customers. So, it's difficult for the machine to work. But overall, for the year, we are looking anywhere between 2.3% to 2.5% of credit cost outlook. And next year, as most of the sort of initiatives that we are doing because Nostradamus (Project Nostradamus) is yet to come, will be in Q2, September FY26 is when it goes live, the automated portfolio management engine, we are looking at about 2% steady-state credit cost going forward. So that is what our target is.

Rahul Jain :

That's including the -- any further rundown in the macro prudential, 2.3 to 2.5 % credit cost?

Sachinn Joshi :

So, it will be -- Rahul, it will be more directionally towards 2.3 because we --

if there is any utilization required. We

continue with ₹ 575 crores. We will have to see how quickly -- we are at 99.64 % (CE) if you exclude Karnataka. So we are very close to normalcy if you exclude Karnataka. We will see what comes out of the TN bill. And without taking into account anything on Tamil Nadu because it's just come out, we are looking more towards 2.3% and taking into account if there is anything incremental which comes in terms of roll forwards because you still are away from about 30 -35 basis points, from 100%. So that 30 -35 basis points roll forwards, which will happen will have to be dealt with in some way. Part of it will be taken through the macro prudential provisions if needed and the balance will be the normal credit cost. So that's how it will be.

Sudipta Roy :

So Rahul, here I will add to what Sachinn said and delving on my experience over 25 years in this business in sort of our lending businesses. What happens is that typically after a credit cycle, when a credit cycle starts, lenders push upwards the credit lending guardrails. And typically, a credit cycle mostly in unsecured takes a period of anywhere between 9 to 15 months to run through. And during this process, the lenders take upwards their credit guardrails. So, what happens is that after a credit cycle runs through, you actually have a period of lower than normal credit costs because during the period, you have taken your guardrails up and the bad portfolio washes off. So suddenly, for a period of 12 to 15 months you have, where you have lower than normal credit cost, till credit cost again picks up and normalizes. So, this industry will go through the same trajectory as well. So that is why we are reasonably confident of what we are guiding. Obviously, our caveat is that any geopolitical fallouts, any geopolitical, we just not factored that into this.

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Moderator :

Next question is from the line of Nischint Chawathe from Kotak .

Nischint Chawathe :

Just curious why was there some slowdown in the urban businesses, I believe, in the home loans and LAP .

Sudipta Roy :

Home loan and LAP , we haven't had a slowdown .

Nischint Chawathe :

And disbursements are down over the year .

Sudipta Roy :

No, no, no. See, Nischint, what happened was that we had ■ 800 crores of disbursed che ques , which we couldn't -- which the customers had not banked. And the new RBI guideline says is that you onboard the loan on system, only when the cheque gets banked. So basically, ■ 800 crores of unbanked cheques -- disburse ment unbanked cheques were not included in this quarter's disbursement .

Nischint Chawathe :

Okay. So there is no slowdown per se is what we're trying to say ?

Sudipta Roy :

No, there's no slowdown. See, what has happened is this is the first quarter that thi s has come into being. Now what will happen is that now this will become a quarterly relay race. Now this ■ 800 crores will move to next quarter. Next quarter, we will have some flow over to the next quarter. So , this will happen. So , for the first quarter, we took a hit this quarter .

Sachinn Joshi :

It's sort of onetime impact actually .

Sudipta Roy :

It's a o ne-time impact .

Nischint Chawathe :

I got it.

Sudipta Roy :

There is no slowdown .

Nischint Chawathe :

Got it. Have you called out the -- sorry, the second question is, have you called out the portfolio in Tamil Nadu in Micro Loans (Rural Group Loans and MF I)?

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Sudipta Roy :

Called out in the sense that what is the portfolio size we have .

Nischint Chawathe :

That's right .

Sudipta Roy :

The portfolio size in Tamil Nadu is about , ■ 6,000 crores we have is our portfolio size in Tamil Nadu, right. So -- and our collection efficiency continues to be 99.6% plus. So , that's our portfolio .

Nischint Chawathe :

Yes. Sure. Third question -- small question. In the farm business, you said tha t we had a higher credit cost. But if I look at the industry trend and I think even your delinquency trend, it sort of seems to suggest that farm actually

had a good quarter, and I guess that's a consistent trend across players .

Sachinn Joshi :

Nischint, I mentioned that this quarter, Farm has actually improved. So , Farm has improved compared to the previous quarter. The P ersonal Loans has been about the same, which means it has stabilized. And Two-wheeler has been -- Two-wheeler , we need a couple of more quarters to get out of this .

Nischint Chawathe :

Sure. And one final question in terms of ..

Sudipta Roy :

I would like to put on record that our Farm credit metrics have been cleaning with every passing quarter. The metrics are looking good. We have -- we are anyway in terms of when we look at the industry representation, our industry representation, our Farm credit cost is, I think, is about 85% of which slide, 87%. It's about 87%. And if you look at Slide 27, our Farm net nonstarter (NNS) rates are like at an index basis, what it was on April '24, it is at 38% of that. So , our Farm business have been rapidly cleaning up in terms of their credit metrics with every passing quarter. In fact, we are very, very confident about this business right now. And the s tructural readjustments that we had to do, both from a sales perspective, from a collection perspective and from a credit perspective, we have done, it's finished, and it has started delivering results. So , if we have a good monsoon this year, which is projected, I think the Farm business will do very, very well this year .

Nischint Chawathe :

That's good. And just finally, going forward, in FY27, what kind of growth rate are we really looking at microfinance business? Is it going to be higher than the indus try -- sorry, company level growth? Or would you want to kind of -- from a risk management point of view, keep it at a lower level ?

Sudipta Roy :

Nischint, the question is for FY27 or FY26?

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Nischint Chawathe :

That's right in FY27.

Sachinn Joshi :

In FY27 .

Nischint Chawathe :

FY27 yes. Structurally, how do we see growth in this business, yes ?

Sudipta Roy :

See, Nischint, what we have guided is that we will grow between 20% to 25% overall as an organization basis. That is what we will grow at. Now, some bus inesses might grow at 30%; some businesses might grow a little slower. Overall, I believe the safe speed for the growth of the MFI business is , somewhere between 15% to 20% is the safe speed . Because you try to grow at any speed more than that, you end up with asset quality issues, etc, which I'm sure many of our competitors would have realized by now, and the industry will settle to such growth rates. So , I see in FY27 anywhere between a 15% to 20% growth rate for the MFI industry. Some might grow much -- on a lower base might grow faster. Some -- we are very large. So for us to maintain that growth rate is a task in itself. So , we will try to achieve those growth rates in FY27. But I think the FY27, the growth rate that we'll get in FY27 will in general be visible from end of -- from H2FY26.

Q4FY26 will be generally indicative of the growth

rates that will be achieved towards FY27. Again, for our business, rainfall becomes a major criteria. So again, that remains the joker in the pack. So that is -- that ca veat notwithstanding, I do believe a very, very normal year in FY27 as well .

Nischint Chawathe :

But directionally, we seem to be kind of moving a little bit more skewed towards urban businesses than rural. I think that's my like broad reading .

Sudipta Ro y:

True in the sense that the share of urban businesses have grown primarily because we have tempered

disbursements in the Rural Business Finance business. And also -- but the fact is that if you see the gold loan business when it comes in and because we have -- our MFI (Rural Group Loan & MFI) customers have borrowed ₹ 15,000 crores worth of gold loans, suddenly you might see the rural component of the gold loan might suddenly become quite large. And the Micro LAP business, which is primarily semi-urban rural also might start growing. So, it will continue sort of calibrated in calibrated ratios. We are very, very clear. We are not seeking a particular urban rural split or etc., we are not seeking it. What we are seeking is risk-calibrated growth. And wherever risk-calibrated growth is available, whether be it urban or rural, we'll chase that.

Moderator :

Next question is from the line of Harshit Toshniwal from Premji Invest.

Harshit Toshniwal :

Sir, the question was on the tie-ups with Amazon, PhonePe, etc, for the Personal Loan sourcing. Now if you can give some -- because I think when we look at the different players, people have struggled to grow this book and maintain the credit cost simultaneously. I agree to your point that we are very focused on the prime segment

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customer itself. But if you can also guide some color on the arrangement that like who bears the credit cost, the kind of cost of sourcing this business? Is there a sharing in the credit cost, etc.? And some more color on the nature of the business on those personal loan sourcing?

Sudipta Roy :

Yes. So, I'll give a color to the extent I can. So, this is a multiyear arrangement, where most of these partners act as origination partners. There is no sharing of credit costs.

Harshit Toshniwal :

Sorry, pardon.

Sudipta Roy :

Over the one that we do.

Harshit Toshniwal :

Sorry, I missed the last line.

Sudipta Roy:

There is no sharing of credit costs. The one on -- with CRED is on a co-lending model with 90-10 co-lending model. The one with PhonePe and Amazon is only purely origination basis. So, the way we do this is that we have a strong customer profile in mind and the target risk cost in mind. What we do is that we overlay this customer profile, and we have -- that is the science that we do. We have certain metrics or certain, what I call, signals, which are available for these customer types. And when this is overlaid on their customer basis, they come up with a set of target customers. And then those customers are targeted through their digital platforms, which obviously goes through the conversion funnel through us. Just to give you some sense, our average ticket sizes for this is about ₹ 2.5 lakhs odd. Our average yields are close to 16% on this platform and our average processing fees range anywhere between 1.5% to 2% depending upon the platform. As of now, we have done about close to ₹ 600 crores of disbursements. And if you see the scale-up between January, January, we did ₹ 99 crores and we did ₹ 215 crores odd in the month of March. So, you can see that in 3 months, the volumes have doubled in this platform.

For me. In fact, we can do more, we are going slow because we want to be absolutely risk calibrated. So, what we do is that once the origination comes in, we look at what's the risk, what are the gross nonstarters, what are the net nonstarters. And I'm happy to sort of inform you that the net nonstarters in the portfolio generated so far is close to nil because we maintain a very, very close watch on the quality that we are onboarding. Having said that, we will be -- and this is -- please understand that still we have not implemented Cyclops (Project Cyclops) on top of this. Cyclops (Project Cyclops) is going to get implemented on the Personal Loans portfolio this quarter. And we have seen the scorecard and how they are working. So, we are deeply optimistic about this. And last but not the least, having -- I in my previous stint -- have worked with Amazon for 5 years. So I have a deep understanding of the nature of the portfolio and what works and what doesn't work. So, we are very, very confident of scaling up in a very risk-calibrated fashion and taking wind in our sails from the distribution power of these massive platforms. Correspondingly, what we also want to do is that as this platform scale up in a risk-calibrated fashion in the prime segment, we will also temper our disbursements in the other segments, where we might not have a favorable risk reward. And we are -- the ultimate goal is that in our Personal Loans business, we want to mirror a private sector bank's personal loans business, which is largely salaried and very high income self-

employed . So, between this. We really do not want to play in the STPL segment. We really do not want to -- because what happens is that in a credit event, the losses from these segments become unmanageable . So -- and that is the philosophy of LTF overall . We want to move to a very predictable risk cost regime because what people -- what is not visible to people is that when things start tanking, they not only tank on the credit cost side,

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they also tank on the opex side, which is normally not visible because your cost of credit administration is equal, if not more than your credit cost. So , the hidden icebergs are always not visible. So obviously, our focus is to make sure that we build a very, very -- to use the word, a bulletproof portfolio in terms of credit cost over a period of time .

Harshit Toshniwal :

Got it. Sir, just two questions there. One is the yield, which you mentioned, 16% and maybe some processing fees, if I just add all then it's like 17% -18% yielding books. And so, if you can also that for the customer segment, which we are trying, I mean, is this -- how are we being able to manage this yield? And the second is that, is the tenure of the product very small, which is what allows us to maintain that yield? Or how should we look at this part?

Sudipta Roy :

No. See, two things. The tenure of the product has averaged 28 months, if my memory serves me right. So , 28 months to 30 months. So these are prime personal loans. So , you have to understand two things. Customers like journeys, which are less friction so it has to be well-oiled journeys. The beauty of working with these platforms is that you are able to build very intuitive journeys, where most of the heavy lifting on credit underwriting has been done previously and the customer has just to go through the KYC hoop to get the loan. So typically, the speed of disbursements have -- the customer has a premium -- pays a premium of about anywhere between 100 basis points to 150 basis points in terms of rate on a trade-off of speed of disbursements. So typically, you will see that

that

digital channels, if administered well, tend to get anywhere between 100 basis points to 150 basis points yield of the same customer if you were to come through a physical channel, where he has the wherewithal to negotiate with the DSA, etc, and all that stuff . So we are able to maintain the yields. As of now, we are able to maintain the yield, and we are able to maintain it quite tightly. And the opex on these channels are also quite low because, obviously, we do not have any sales force deployed, and we have a reasonable origination cost agreed with some of the channels, some of these partners .

Moderator :

Harshit, I request to come back for a follow-up question, please. Next question is from the line of Shweta from Elara Capital .

Shweta Daptardar :

I'm referring to Slides 16 and 17 of the presentation. Sir, you partially answered to the previous participant. But I was looking at personal loans to existing customers. Now in a challenging year of FY25, where people have been -- where most of the players have been focusing on or curtailing NTC customer cohort, we are seeing this consistent decline in existing customer profile penetration. Also, you mentioned that a lot of leverage operational efficiency benefits will flow through fintech partnerships. But again, most of your peers have been scaling down the fintech partnerships, especially on the personal loans front. And from the similar slide, so while you categorically called out risk in MFI segment, even in your opening remarks and also especially with guardrails in order, then why rural group loans and MFI businesses have exhibited substantial surge in new customer acquisition. I mean, especially when you also mentioned that implementation of Cyclops (Project Cyclops) is sort of not feasible in this particular customer profile and naturally so. So yes, these are the 2 questions .

Sudipta Roy:

Yes. So , thanks, Shweta, for the question. I'll answer your first question, why Personal Loans in Slide 17 has gone down from 49% to 40% . So, in a percentage sense, it has gone down. In the absolute amount, it has not gone

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down because what has happened is that the acquisition of new to organization customer from some of our digital channels has gone up. So , from a percentage point, it has come down. So that is the reason for this. So basically,

it's just a denominator effect, where it has gone down. So -- but the quantum of disbursements in terms of actual value of disbursements has actually not gone down. So that's the first answer to that question. The second -- and again, to answer your question, why we are doing NTC when others are scaling up NTC and fintech partnerships, etc. So the fact is that we are -- see -- we are very, very clear that our target segment, we do first things. We don't do STPL. Our average ticket size on Personal Loans even through all our partners is above ₹ 2 lakhs. Average is about ₹ 2.5 lakhs, with a 28 month to 30 month tenure. So we really do not do the small STPL personal loans. We don't do that. And the second thing is that if you see, look many of our partners, for example, Amazon, we are the only provider. And the fact is that in Amazon also, we are very, very clear that we go above the absolutely pristine customers. And given the fact that -- and the fact is that -- we really do not do any new to credit customers. We do new to LTF customers, but most of those customers have a significant bureau track, and we are able to underwrite them vis-a-vis a significant bureau track and with Cyclops (Project Cyclops), we're not only using the bureau track, we'll be using the entire alternate data track to underwrite them.

So we are very, very confident of what we are doing. We cannot comment on what others are doing or what has been the experience of others. As I said, we have done about almost close to ₹ 600 crores of origination in our large partners over the last 4 months, and the delinquencies are close to NIL. So we are very, very certain of what we are doing, and we know what exactly we are doing. In terms of the RBF customers, as I said, one of our objectives is that when the entire industry is going through an asset quality issue, one obviously -- is that one obviously has to look at non-leveraged customers. Because if you look at most of our competitors, especially in the microfinance industry, their book sizes have shrunk over last year. We are probably one of the -- maybe as per information available with me, we are probably the only player whose book size has grown by about 6% on a full year basis, in the Microfinance business (Rural Group Loans and MFI). So, we have to go to segments, where we get non-leveraged customers. So that is why our new village coverage, we have increased by about 25% on a quarter-on-quarter basis. Because if we do not go granular into distribution, we will not get the new non-leveraged customers. And anyway, we are expanding our funnel into, our hitherto non-distributed areas like Western UP and Rajasthan. So -- but -- and there is no deviation from our core underwriting philosophy and the core guardrails that we have been following in the RBF business since 2022. So, we are actually not really deviating from anything. We are just making our distribution more granular and more sharper in search of non-leveraged customers. And if we get non-leveraged customers that pass through a credit guardrails, we will do that business. We will not shy away from that business because finally, we have to deliver growth. We cannot suddenly say that we shut this business, and we run away. We cannot do that. Within a difficult circumstances, we have to operate. We have to look at opportunities of growth within difficult circumstances, and that's exactly what we have done.

Sachinn Joshi :

Just in terms of numbers, Shweta, we have 2.9 lakh new customers, and the addition has happened from new markets. This is Western UP, Maharashtra, Andhra Pradesh and Telangana. The total amount of disbursements here is ₹ 1,112 crores. So clearly, these are all low leverage customers, and we will not lose this opportunity. In fact, after being the best in the industry, it doesn't make sense for us to just keep worrying about we identify the right set of customers and actually go ahead in the place. In fact, this is going to be one of the key advantage for good players, who have been the least impacted. We will be able to buck the trend and actually get up and grow faster. Because the opportunity for good players will be much higher, competition will be very low going forward.

Sudipta Roy:

In fact, I would like to add to what Sachinn said, our AP (Andhra Pradesh) and Telangana collection efficiency is 100%.

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Moderator :

Next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal :

Just one clarification. You spoke about the SR book in your opening remarks, which has declined by almost ₹ 900 crores from March to March. Two things I wanted to understand. One is, I mean, in bringing down this book, what is the hit that we had to take? And out of this residual ₹ 5,900 Cr of net SRs that we have on the balance sheet, over what time period will this run down? And what is the impact that is expected? When I say impact, I am trying to understand both the

things, either it could be a P&L drag or you are actually expecting recoveries from this SR book, please help us with that as well?

Sachinn Joshi :

Yes. Sachinn here. So first thing is, yes, this quarter, we have -- this quarter on a year -on-year basis, we have seen a reduction. And the overall reduction actually for the year is about ₹ 900-odd crores. The -- your question was on whether it will have any impact. See, this -- our average balance is about ₹ 5,800 crores -- yes, ₹ 5,800 crores is net carrying value on the book, which is covered about 58% -59%. So, it is sufficiently provided. Now this money is stuck. The resolutions will happen. We don't expect any significant resolutions happening in FY26. But FY27 and FY28, we will see a lot of reduction, which will release capital and hence the impact on the interest cost because there is an interest cost element sitting over there, at least 30 basis points to 40 basis points is the cost, which will actually come down, as the full book starts getting released. We have also seen our wholesale book coming down from about ₹ 5,500 crores to ₹ 2,500 crores year -on-year basis. That also is releasing capital. So yes, wholesale book now is the issues that we used to have, they are coming down significantly. And I think it will -- only as the resolution start happening, we should -- as mentioned in the earlier calls also, there should be some good news also coming up in FY27, FY28 in terms of release of some provisions .

Abhijit Tibrewal :

Got it, sir. And sir, just one more clarification. Earlier during the call, a couple of times when we guided for credit cost of 2.3% to 2.4%, what kind of macro prudential provision utilization are factoring in for the MFI business .

Sachinn Joshi :

Yes. That -- sorry, can you repeat the question .

Abhijit Tibrewal :

Sir, I'm saying earlier in the call when we guided for 2.3% to 2.4% of credit costs in FY26, what is the quantum of macro prudential provision utilization from the MFI business that we are factoring in ?

Sachinn Joshi :

See, we have not -- actually, we have to wait for how things pan out. There is no point in making an assumption. Once the Karnataka collection efficiencies come back to some kind of normalcy, we will be having better visibility. And we have also now to look at Tamil Nadu. But all I can give you in terms of assurance is ₹ 575 crores is much more than what we may actually end up needing. So , we -- from your point of view, in terms of modeling, you can safely assume that 2.3 -2.4, whatever is the credit cost -- it will not come and hit the P&L .

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Abhijit Tibrewal :

Got it. Got it. And lastly, so whatever impact that we saw in Karnataka in the month of February, they will actually start hitting the P&L sometime in the first and the second quarter, if at all there is some disruption in Tamil Nadu. Suffice it to say that whatever we see in 1Q will actually hit the P&L of the microfinance business in 2Q and 3Q .

Sudipta Roy :

No, I would like to clarify this. The Karnataka sluggishness in collection efficiency was not because of leverage issue or not -- was not because of customers did not have money. It was because customers had a clarity issue. Customers were confused about whether the regulation is applicable to them or not. There will -- collections will happen in the Karnataka business, but they will come with a delay. So it might be possible that there -- some portion might flow, but they will come with a back -ended strong recovery. This is what our belief is . And that is why your collection efficiency, if you see, is improving by 50 basis points to 60 basis

points with every passing

month in Karnataka. I believe -- and this is -- I believe that the Tamil Nadu impact will not be as widespread or as problematic as the Karnataka impact because if you look at Karnataka, Karnataka already had trouble brewing in this industry before the legislation came in. It is because of the trouble that the legislation came in. We had serious issues in Gulbarga. We had serious issues in the part of North -western Karnataka. There was already some issues that was visible . In Tamil Nadu, as of now, there is no major issue in any district or in a sub administrative area. But there can be -- we are not denying the fact that there can be some impact . But given the fact that the guideline has a far more, wider scope as whatever the preliminary reading understands, obviously, it's evolving, so you have to understand it much more fully . So we will have to -- we -- it is my belief that probably we'll have a much more smoother landing in Tamil Nadu than what we saw in Karnataka. Sachinn wants to add something .

Sachinn Joshi :

Just to add, I'm just referring to the bill, the draft, which has come. It is actually mentioned that this act shall apply

to all money lending institutions, except banks, non -banking financial institutions registered with RBI. That is point number one. Number two is by way of limitation, the categories of this act relating to compulsory action against the borrower shall apply to banks, NBFCs registered with RBI. Now this part is, I believe, clarification is being sought by MFIL because this compulsory action has not been defined in the bill. So that's where we stand at this point of time. But in terms of behaviour of customers and all, Sudipta already mentioned how we expect. And this being the second state, I think better sense will prevail because they have -- the customers also realize that non-payment would mean that the bureau scores worsen and then there is a challenge when they want to seek finances going forward.

Moderator :

Next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh :

Sir, just a question again on the securitization part. So I mean, you started with ₹ 6,700 -odd crores, ended at ₹ 5,800 crores. So if you can help with the sort of the flow because if I see in the year, about ₹ 776 crores of 8 loans you have sold to ARC. So some bit of that SRs would have got added. So what was the quantum of existing SR that got resolved during the year? And on this -- that NPA sales, I mean, could you help with the kind of underlying assets, of course, it looks from the wholesale book? Because the reason why I'm asking the net book value of these loans were ₹ 550-odd crores, whereas the consideration for the sale to ARC is some ₹ 833-odd crores. So I mean, that is where, again, I'm getting a bit confused that, okay, what kind of loans were there? I mean, that you're getting kind of a transfer at a higher than book value?

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Sachinn Joshi :

So the net SRs, as they stood on 31st March '24 were about ₹ 6,800 crores. And what has actually got resolved on a net basis is about ₹ 900-odd crores, okay? So that's how we have this ₹ 5,900 crores coming.

Avinash Singh :

No, no, sir. But in the year, you had addition and this addition because you have some 8 loans sold to ARC. So of course, this -- there would have been addition. So that's why I wanted to know that like from the existing book, how much got resolved and what sort of amount you received? And the addition for these 8 accounts, I wanted some more colour because when I see in the disclosure, these have been sold to ARC at a value much higher than the net book value.

Value of loans. So that I wanted some more colour on what sort of..

Sachinn Joshi :

So in terms of gross value, about ₹ 1,350 crores is what got resolved and the net SRs, which have got added is about ₹ 400-odd crores. That's how the net amount of ₹ 500 crores comes. So resolution has been much higher. I mean, if that's what your question is.

Avinash Singh :

Yes, yes. And this was -- around this sale to ARC that happened at a much higher value than your net book value. So what was the sort of underlying reason behind that?

Sachinn Joshi :

Yes, there was just one asset, which I just gave you the number. The number is too small compared to the resolutions, resolutions of ₹ 1,400 crores and addition of about ₹ 400. So that's right.

Moderator :

Next question is from the line of Zhixuan Gao from Schonfeld.

Zhixuan Gao :

My first question is on the growth outlook. So for Two-wheeler and MFI for FY26, what kind of rough range of growth should we look at?

Sudipta Roy :

MFI for growth for -- you want for only MFI for FY26.

Zhixuan Gao :

Yes, MFI and Two-wheeler . I just want to understand what kind of growth should we expect .

Sudipta Roy :

MFI for FY26, we have to see how Q1 goes. But we think in MFI in FY26, we'll end up with a growth somewhere between 10% to 15% growth for the full year is what we are hopeful as of now, between a 10% to 15% growth. And for the Two-wheeler business, we are hopeful of a growth between 15% to 20% is what we are hopeful of on the Two-wheeler business .

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Zhixuan Gao :

Got it, sir. And I just want to reconcile that with our NIM plus fee guidance, right? Because these 2 are the higher - yield products, and we are guiding overall growth of 20%, so there's still a negative mix happening in FY26, plus within Two-wheeler , your disbursement prime is 82%. And if I'm not wrong, you're saying that on the book mix is about 50% prime. So what are the levers to prevent our NIM plus fee to further fall or offset this negative mix in FY'26?

Sudipta Roy :

See, we are -- obviously, we'll be scaling up of our gold loans business. So our gold loan business is coming in. As you know, gold loan business is a very high yield secured product. We'll be scaling up of our Micro LAP business as well, which is also a high yield secured product. Our Personal Loans business will scale up. Our Personal Loans average yields between the DSA and is -- DSA and the large partnerships is upwards of 17%. So the Personal Loans business will also be scaling up. And throughout the year, we'll also be working on certain fee-generating initiatives. We'll be starting working on fee generation -- generating initiatives. As of now, you know, I would not like to elaborate on that. And as and when we are ready, we would like to elaborate on that. So overall, we expect that -- and again, the 10% to 15% growth rate that we have guided on MFI, etc, is obviously on a conservative basis because we are very, very -- we do not want to grow that business at a level, which is far, far higher than what is sustainable and again, adds into a lot of leverage. And then the Two-wheeler business, we are very confident of growth provided the segment -- the industry also grows strongly. For example, if we see a very strong growth of the industry in FY26, I'm sure there's a 15% to 20% that we can guide it , can be more. But however, right now, we would like to guide at about 15% to 20% growth in there , in our Two-wheeler business. And again, we have certain fee -generating initiatives, which we have in store that we'll be working on for the year. Overall, I do believe, and as Sachinn has guided, through a

mix of high yield secured products, through a mix of our existing growth products as well as a little of tempering down of our Home Loan disbursements and focusing more on LAP, as well as some space that we might get from the 2 rate cuts that we might come in will help us sort of maintain the NIMs and fees in the guided range .

Zhixuan Gao :

Got it, sir. And if I look at 2 -3 years now is, let's say upper end, let's say, 10.5%, is 10.5% a medium -term range we should think about as well ?

Sachinn Joshi :

I think we will have to wait for the mix to settle down because there are a few new products. We'll have to see what kind of growth trajectory they pick up. We have Personal Loan, we have SME. We are also wanting to get into secured SME. We have gold loan business, which will be coming up and then Micro LAP plus the growth in Micro Loans (Rural Group Loans and MFI).

Sudipta Roy :

There are new fee products.. .

Sachinn Joshi :

And the new fee product that we are working on, which will get implemented in the beginning of next financial year. So there are lots of opportunities and options that we can -- we will work on. And we will have to wait because we are still in the process of stabilizing the book once we stabilize with the right kind of mix because we also need to ensure that the secured, unsecured piece also works for us. So, it is not just going to be NIM plus fee in isolation. We will have to also look at what is the kind of impact it has on our operating expenses, which have to trend downwards and the credit costs. So whatever impact, if we are going to continue in the prime range -- prime range

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of customers, then naturally, the operating expenses and credit costs would tend to be lower -- much lower than possibly what you see currently .

Zhixuan Gao :

Got it. And just last question is, you have been very helpful guiding us on FY25 MFI credit costs before. So if we assume FY26 -- sorry, 2H FY26 to be normalized MFI credit cost, what kind of first half FY26 MFI credit costs before using buffer that we should think about? Any rough range that we can expect there .

Sachinn Joshi :

So we will get back to you on this because we have to first wait for the market to act ually stabilize a bit. But normalized credit cost, I mean, there -- like I can just give you our example. In FY24, we had an overall ■ 88 crores of credit cost compared to that in FY25, we have anywhere between ■ 900 crores to ■ 1,000 crores. So expecting -- assuming that things come back to normalcy, the credit cost requirement will be low. Actual credit cost requirement will start tap ering down. But I think we need to factor in about 2% to 2.5% safely too, as the normalized credit cost, which will -- and that's what we had done earlier to create a macro prudential provision of ■ 975 crores .

Moderator :

Next question is from the line o f Chintan Shah from ICICI Securities .

Chintan Shah :

So sir, just harping again on the credit cost. So just wanted to understand on this m acro prudential buffer of ■ 575 crores, is it only -- that is only for MFI and not for any other segment, right ?

Sudi pta Roy :

That's only for MFI .

Chintan Shah :

Yes. Sure. And just again, just to clarify, that 230 bps to 250 bps credit cost assumption doesn't -- that doesn't include any utilization from m acro prudential. So if we utilize anything from m acro prudential, that would be over and above that 230 bps to 250 bps guidance .

Sachinn Joshi :

No, no, no. This will be -- we are factoring in some utilization, of course, but we -- the percentage utilization is expected to keep coming down. As I mentioned, the collection effici

encies ex -Karnataka are at 99.64%. So the actual requirement will come down, as we progress into the future months. And hence, it's very difficult for us to give -- point out a particular number. But since we have the macro prudential provisions, we also have sort of comfort from the Audit Committee and the Board that since the nature of this event is such that it qualifies for utilization, we will utilize further if there is a need .

Chintan Shah :

Sure, sure. Just one thing. And actually, sir, lastl y, on the opex front, so opex, probably this year, we believe that has been relatively on the lower end as compared to FY24 opex to assets, particularly due to slow business. So that could that see some pickup in FY26, as we pick up on the loan growth from t?

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Sachinn Joshi :

No. In fact, Sudipta mentioned in his initial call transcript, if you look at, very clearly, the operating expenses will be one focus area for us this year. We will try to increase the productivity. And whatever steps we have taken in FY25 and the work that is happening on Project Cyclops and the work, which has begun on Project Nostradamus, all these things are going to actually help us in terms of bringing down the operating expenses. One of the key component of this operating expenses is collection cost, and there is going to be a huge amount of rationalization, which will happen over there. No doubt, there will be some investments, which will happen in the technology space, as well as growing the branch network, but that will actually also help us in terms of increasing the top line. So yes, the operating expenses increase on investments will start giving us returns partially. Some of it will be in the form of capital expenditure. And on the productivity front, we will start seeing effi ciencias coming in and the operating expenses should remain in control .

Moderator :

Ladies and gentlemen, we'll take that as the last question. I will now hand the conference over to Mr. Sudipta Roy for closing comments .

Sudipta Roy :

Yes. Thank you, everyone, and we really appreciate the time spent by all of you with us. FY25 was a challenging year. FY25, I think the entire L&T Finance team worked really, really hard to deliver an acceptable outcome even through these difficult circumstances. As we speak, though there are certain sort of issues regarding geopolitics, etc., and overall global trade and tariff -related issues, but we do believe that closer home, I think given things remaining constant, FY26 will be a year in which we will see restoration of normalcy in most lines of business.

And on the back of a good monsoon, sort of an accommodative stance taken by RBI as regards monetary policy, as well as improving liquidity, improving consumption sentiments, as well as an overall sort of tempering and cessation of the sort of the overhang on credit that had built on the economy, I do believe that FY26 will be a year of calibrated growth for the entire financial services industry, of which obviously, we will also be a part.

Many of the initiatives that we have started in FY25 are almost towards the end of completion, and we'll see the fruits of that sort of coming through in numbers. And as I've maintained in meetings with many of you is that it will be -- start becoming visible in H2FY26. Our team remains growth focused. Our team remains execution focused and extremely credit -minded with a focus on bottom line.

The distribution alignment that we have done with the introduction of the regional business head structure also makes sure that our granular distribution on ground is far, far more stronger than it was ever before. Through the

year, we'll be working on scaling our new products, especially maintaining our supremacy and leadership in our existing fulcrum line of products.

We are also working on a set of new products, obviously, with the objective of improving our fee lines. I'm hopeful that the numbers that we have guided for, everything remaining constant and the environment remaining constant will be something that we should be able to achieve. Thank you, again, and wish all of you a good day .

Moderator :

Thank you very much. On behalf of L&T Finance Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any

## Call: Jul 2025

July 28, 2025

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor(s) / Analyst(s) meet – Q1FY2025-26 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 1FY2025-26 financial performance and strategy update held on July 21, 2025.

The above information is also available on the website of the Company i.e., [www.ltfinance.com/investors](http://www.ltfinance.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited )

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited)  
Registered Office  
Brindavan, Plot No. 177, C.S.T Road  
Kalina, Santacruz (East)  
Mumbai 400 098, Maharashtra, India  
CIN: L67120MH2008PLC181833 T +91 22 6212 5000  
F +91 22 6621 7509  
E [igrc@ltfs.com](mailto:igrc@ltfs.com) @ L&T Finance  
[www.ltfs.com](http://www.ltfs.com)

Management Personnel:

Mr. Sudipta Roy (Managing Director & Chief Executive Officer)  
Mr. Sachinn Joshi (Chief Financial Officer)  
Mr. Raju Dodti (Chief Operating Officer)  
Mr. Karthik Narayanan (Head – Investor Relations) 9 I&T Finance

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q1FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. We have with us today Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team.

Before we proceed, as a standard disclaimer, no unpublished price-sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussions during interactions in the call. While all efforts would be made to ensure that no unpublished price-sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the statements made on today's call may be forward-looking in nature. A note to this effect is provided in the Q 1 results presentation sent out to all of you earlier.

I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir.

Sudipta Roy:

Thank you. A very good morning, everyone. I welcome you all to the investor call for Q1FY26 and the start of the financial year 2026. Join

ing me today on the call are our CFO, Mr. Sachinn Joshi; and our Chief Operating Officer, Mr. Raju Dodti; and other members of the senior management team of L&T Finance.

Similar to our previous calls, today's call is divided into two sections, taken up sequentially by myself followed by our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance.

Post our commentary, we will be happy to take questions on the call.

Macro-economic outlook

Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macroeconomic scenario and sectoral outlook.

The Indian economy remains one of the few bright spots in an uncertain global economy with a healthy pace of growth of 6.5% in FY25. Consensus projections indicate a similar growth trend of Real GDP at 6.5% in FY26 as well. Strong domestic growth catalysts, sound macroeconomic fundamentals and prudent fiscal and monetary policy support are driving overall macroeconomic stability.

Monsoon season is progressing well, with cumulative rainfall in the country at 10% above the Long Period Average till 15th July. 80% of the geographical area have already received normal to above normal rainfall. The water storage level is 83% above normal and 96% higher year on year. Kharif sowing is at a 7% increase over last year and mandi arrivals of Rabi crops were 19% higher year on year. Mandi prices are ruling above their respective MSP for many major crops. Strong cash flows from Rabi season and healthy monsoon progression have kept rural sentiments hopeful of another year of bumper harvest. This augurs well for our rural businesses which constitute a significant portion of our portfolio.

Consumer demand signals in Q1FY26 remained mixed. The quarter recorded contraction in passenger vehicle sales and low growth in industrial output on one hand and pick up in retail sales volume, surge in toll collections and strong PMIs on other. Domestic inflation has been steadily declining with the headline CPI inflation recording a six-year low of 2.1 % in June 2025. The Reserve Bank of India lowered policy rates by cumulative 75 bps in the quarter and injected durable liquidity through a suite of liquidity measures. These measures have turned durable liquidity into surplus and are also contributing to faster transmission of monetary policy to the financial and credit I&T Finance

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markets. Easing financial conditions along with restoration of lower risk weights in the quarter should also help improve credit growth prospects further into the year.

Overall, we remain cautiously optimistic about strengthening demand signals, prudent policy support and huge potential for credit growth in the Indian economy .

#### Q1FY26 Highlights:

Coming to this quarter's highlights, I am pleased to inform that our diversified franchise has enabled us to achieve a quarterly PAT of Rs. 701 Cr, up 10% QoQ and 2% YoY, with the highest-ever consolidated book of Rs. 1,02,314 Crore, delivering an RoA of 2.37%, up by 15bps QoQ. Our robust business model coupled with risk calibrated growth across all retail segments led to an overall quarterly disbursement of Rs. 17,522 Crore, a healthy growth of 18% YoY, which was driven by a strong performance across all our lines of business.

The Retail book now stands at Rs. 99,816 Cr, reflecting a growth of 18% YoY. The growth reflects the strength of the Retail business franchise aided by a strong execution engine, early dividends from technology investments, proactive portfolio and prudent risk management.

Our Rural Business Finance vertical showed a positive momentum

in disbursement growth during the quarter, resulting in a growth of 10% QoQ on the back of improved collection efficiencies. The collection efficiencies in our operating geographies have been continuously showing signs of improvement and growth in disbursements. However, in Karnataka, while we have seen a gradual recovery from the lows in collection efficiency of the previous quarter, full normalcy may take a couple of months longer than what we originally anticipated. On account of flow-forwards arising in Q4FY25, the Board, in Q1FY26 approved a utilization of Rs. 300 Cr of macro-prudential provisions. To speed up the process of normalisation in Karnataka we are currently proactively boosting our collections by bringing down our accounts per collector through manpower addition and educating borrowers on merits of prudent credit behaviour through our community outreach programs. We would also like to add that the Tamil Nadu legislation has had a negligible impact on our business.

As an interim update, I would like to mention that in the month of July'25 we continue to see further improvement in our collection efficiencies especially in the state of Karnataka.

In the last quarter's call, we had announced our foray into the Gold Loans business through the acquisition of the Gold Loan business of Paul Merchants Finance Pvt. Ltd. I am pleased to inform that the technology systems and people integration was achieved in a short timeframe of around 2 months, leading to an amalgamation of 130 branches, 700+ employees and ~Rs. 1,300 Cr of book. Gold loans, a high yield secured product will add significant value to our retail business franchise going forward. We foresee that this business will serve as a big cross-sell opportunity to our ~65 lacs RGL & MFI and Farm Equipment Finance active customer base and the customers forming a part of our existing customer database of 2.6 Cr+ customers, who have gold loans o/s of over Rs. 16,000 Cr. We envisage that our field force of 20,000+ officers will force multiply the gold loans lead generation

process and direct incoming business to our branches. In the coming quarters we also plan on expanding our geo-presence through branch expansion with ~175 additional locations focused on areas with high cross-sell potential. By the end of FY26, we plan on establishing a distribution strength of 300+ gold loan branches. Many of these branches will be in our new format Sampoorana branches which will sell other products like Micro-LAP, SME loans and Personal loans apart from Gold loans. Apart from North, our expansion locations will be focused in our traditional areas of strength in the eastern and southern states.

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Our digital large partnerships initiative, established with Amazon Pay, Cred and PhonePe, has picked up pace in the last quarter, with overall Personal Loans disbursements for the quarter from the aforementioned channels reaching Rs. 651 Cr (Rs. 1,236 Cr live to date), while keeping a strong focus on credit and risk guardrails, extensively leveraging partner trust signals. We will continue to keep expanding our origination momentum with existing partners while fostering new partnerships, some of which will be announced soon.

I would now take some time here to share an update on the various technology initiatives for the quarter. Project Cyclops, our proprietary AI-ML based credit underwriting engine that was operationalized in Q1FY25 and implemented across 100% dealerships in the Two Wheeler Finance business has been upgraded to Generation 3, based on Kubernetes architecture. Today, 100% of our TW disbursements take place through this engine and we

have been seeing very encouraging trends from this implementation quarter after quarter, with the Net Non-Starters for the portfolio reducing to 0.34% for June-25 from 2.36% in December-2024 improvement of 200bps in a short period of 5 months. Project Cyclops has also been under phase-wise implementation in the Farm Equipment Finance business, having been extended to 20% of our tractor dealerships with 24 live scorecards. We'll complete full implementation in the month of August-2025. Similar to Two Wheeler Finance the initial performance reads from the pilot in Farm Equipment Finance business is extremely encouraging. The full implementation of Project Cyclops in our Farm business is expected to be completed by Q2FY26.

Project Cyclops has been simultaneously rolled-out in SME Finance during the quarter and full deployment is expected to be completed by end of Q2FY26. We have initiated extension of Project Cyclops to our Personal Loans business with full implementation by Q3FY26.

In the last call, I had spoken about 'Project Nostradamus', our next transformative technology initiative for FY26. It is a state of the art, first in industry AI driven automated real time portfolio management engine leveraging traditional as well as alternate data. I am pleased to share with you that the implementation of this engine is on track with creation of multiple data dashboards for early warning and proactive portfolio management. We expect the beta launch of 'Project Nostradamus' to take place in September-2025, details about the same are available on Slide 31 in the investor presentation.

It gives me great pleasure to share that L&T Finance has been assigned its first -ever International Rating. S&P Global Ratings has assigned LTF "BBB -" long-term and "A -3" short-term issuer credit rating. The outlook on the long-term rating is Positive. Fitch Ratings has assigned LTF long-term foreign and local currency Issuer Default Ratings of "BBB- "with a Stable outlook. These long-term ratings are investment grade and are at par with India's Sovereign Credit Rating. This opens additional pathways for diversification of liability origination at competitive rates from global capital markets.

#### Update on Lakshya 2026 Goals

Now, I would like to share an update on our quarterly performance against the Lakshya 2026 goals:

■ I am pleased to share that retailisation has increased from 97% to 98% from last quarter to this quarter against a Lakshya target of 95%.

■ We had set ourselves a retail book growth target of 25% CAGR over the four-year plan period against which as of 30th June-25 our retail asset book growth stood at 28% CAGR. Given our outlook of the business environment and a risk calibrated growth in Rural Business Finance and Two Wheeler Finance business, our YoY Retail Book growth for the quarter stood at 18% supported by strong performances in Farmer Finance disbursements with a 16% YoY growth, a 65% YoY growth in Personal Loans disbursement, a 24% YoY growth in Housing Loans and a 30% YoY growth in SME Finance disbursements. We continue to maintain our focus on sourcing more prime and near prime customers who exhibit credit resilience, which led to the Prime customer share in our Two Wheeler Finance disbursements increasing to 84% in the month of June-[[[ I&T Finance

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25, which stood at 53% for the month of March-24. Our journey towards building a prime-dominant portfolio which showcases resilience across business cycles continues with a strong focus on credit and risk frameworks .

■ On the third milestone which is on the Asset Quality front, where we maintained the Retail GS3 & NS3 levels closer to t

he threshold levels (GS3<3% and NS3<1%) despite the macro challenges and segment specific challenges in the microfinance segment, our Consol. GS3 and NS3 stood at 3.31% and 0.99% respectively.

■ On the fourth and last milestone of RoA, we have achieved a RoA of 2.37%, which is an improvement of 15 bps over the previous quarter. This has been achieved despite microfinance industry challenges and risk calibrated disbursements across all lines of business. We remain committed to continuous improvement in RoA trajectory as the segment headwinds in the microfinance sector dissipates.

#### Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated over a year back and continue to be in implementation mode against the same.

1. Customer Acquisition - The focus continues to be on expanding our customer base, both by deepening our reach in existing segments and broadening our geographical footprint. While our approach in Rural Business Finance was carefully calibrated to the macro environment, we are actively re-engaging disbursement activities, expecting a gradual return to full momentum as conditions improve. Our Two-Wheeler Finance business is seeing renewed focus with policy changes, expanding through reactivated dealers to better serve prime customers. Farmer Finance is gearing up for increased activity this Kharif season, and our Personal Loan strategy is highly risk-calibrated, ensuring responsible lending, with Home Loans & Loans Against Property witnessing a seasonal dip. We also expect our new Gold Finance vertical to add towards this positive momentum. This quarter we were able to add a total of 5.5 lacs new customers. Further details around customer acquisition and repeat share are available on Slides 17 & 18 of the Investor Presentation.
2. Sharpening Credit Underwriting - Project Cyclops continues to be extended to other products as I mentioned earlier. A fully capacitated Model Risk Management (MRM) team has been setup to mitigate any potential risk arising from over 100+ machine learning models that are being used in Project Cyclops. We expect the number of machine learning models to double over the next one year and we will rely on the expertise of the MRM team to ensure continuous monitoring, validation and recalibration of the models.
3. Futuristic Digital Architecture - Apropos to above we have also setup an independent machine learning operations team and we will expand its capacity over the next couple of quarters to ensure smooth build and implementation of additional Project Cyclops, Project Nostradamus and collections models. Additionally in our Bangalore engineering centre we have setup LTF Labs to enable our engineers to experiment on innovative use cases in a sandbox environment. Our new Home Loans Neo 2 platform has reduced average data capture time from 30 minutes to 10 minutes and we continue working on optimising the digital sales interface apps on all lines of business to enhance field executive productivity. During the quarter the beta version of our AI-powered SME underwriting co-pilot was deployed, which interprets bureau reports using custom-trained in-house LLM models leading to faster and accurate SME loans underwriting turnarounds.
4. Brand Visibility - We continue to focus on targeted customer engagement through integrated marketing campaigns where we launched a Business Loan campaign featuring iconic Indian cricketer and our brand {{j; I&T Finance

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ambassador Jasprit Bumrah. Our AI powered digital microsite [www.ltfgamechanger.in](http://www.ltfgamechanger.in) was launched as a part of the business loa

n campaign and has received excellent customer engagement statistics. We also briefly ran campaigns for Personal Loans and Gold Finance during the quarter. Following our Gold Finance acquisition, we have re-branded all the 130 gold finance branches. I am also delighted to announce that the second edition of our flagship BFSI- AI event RAISE'25 with the theme Accelerating financial services with AI, is scheduled to take place on 7th November, 2025 at the Jio World Convention Centre, in Mumbai.

5. Capability Building - On the capability building front, I am pleased to share that we have been re-certified as a Great Place to Work®, affirming our commitment to building a high-trust, high-performance culture. This time our score improved from 82 in FY24 to 84 in FY25, driven by increased employee participation, which rose from 73% to 89%. We are committed to fostering an environment where every employee feels valued, empowered, and inspired, making us truly an employer of choice in the financial services sector.

As part of the strategic acquisition of Paul Merchants Finance Pvt. Ltd.'s gold finance business, we successfully on-boarded ~700 employees into the workforce. Swift and seamless employee transition across 130 acquired branches, ensuring zero disruption to operations. We continue to standardize our branch infrastructure, this quarter we inaugurated new revamped regional offices in Kolkata and Rajkot.

These efforts underscore our dedication to providing a modern and efficient workspace that supports our expanding operations and talented teams.

I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

#### Business as Usual updates

Sachinn Joshi:

Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter.

#### Quarterly Performance:

- Consol NIMs + Fees for Q1FY26 stood at 10.22% vs 10.15% for Q4FY25
- Consol PAT for the quarter stood at Rs. 701 Cr up 10% QoQ and 2% YoY
- Quarterly retail disbursements stood at Rs. 17,522 Cr, up by 18% YoY
- Retail book stands at Rs. 99,816 Cr, up 18% YoY. Our Consol book stands at Rs. 1,02,314 Cr, up 15% YoY
- Consol RoA stands at 2.37%, up by 15 bps QoQ
- Consol RoE at 10.86%, up by 73 bps QoQ

#### Retail Businesses:

##### Rural Business Finance

The business registered quarterly disbursements of Rs. 5,618 Cr, delivering a strong momentum with 10% growth QoQ, with focus on acquiring lower leveraged customers and geo-diversification. The book size reached Rs. 26,616 Cr, up by 3% YoY in Q1FY26.

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##### Farmer Finance

In the Farmer Finance vertical, quarterly disbursements stood at Rs. 2,200 Cr in Q1FY26, up by 16% YoY . Increased crop yield and favourable monsoon is fostering positive rural sentiments and resulting in improved retail demand. The book size reached Rs. 15,756 Cr, reflecting a growth rate of 11% YoY.

##### Urban Finance

The segment, which comprises Two-Wheelers, Personal Loans, and Home Loans and LAP.

■ Two Wheelers: The business registered quarterly disbursements of Rs. 2,128 Cr in the quarter, down by 19% YoY. The book size increased to Rs. 12,331 Cr, up 3% YoY. Notably, 84% of Two-Wheeler Finance disbursements in June-25 were from the Prime segment. This reflects our focus on quality growth and risk-adjusted returns.

■ Personal Loans: In the Personal Loans business, we achieved quarterly disbursement of Rs. 1,942 Cr translating into a growth of 65% YoY with the book size at Rs. 9,382 Cr, an increase of 41% YoY. The double-digit growth is aided by scale-up of the fintech partnerships.

■ Home Loan and LAP: Moving on to Housing, we achieved quarterly dis

bursements of Rs. 2,780 Cr, up by 24% YoY with the book size at Rs. 26,464 Cr, an increase of 33% YoY, growth in the segment supported by newer partnerships and strong network of distribution channels.

■ SME Finance: In SME business, quarterly disbursements stood at Rs. 1,273 Cr, up by 30% YoY. The book stood at Rs 6,964 Cr, up 56%. The growth in business volumes was driven by an increase in direct sourcing and existing strong network of distribution channels .

##### Gold Finance

During the quarter we acquired Gold Loan portfolio of Rs. 1,335 Cr and disbursed further amount of Rs. 195 Cr in the month of June-25. The closing book stood at Rs. 1,360 Cr at the end of Q1FY26.

Let me now hand over the call back to Sudipta to make his closing statements.

Sudipta Roy:

Thank you Sachinn. In closing, I would like to state that we expect the pace of disbursement to accelerate in the



remaining quarters of the year along with our focused execution on all risk and technology initiatives. Our investment in our state-of-the-art credit engine Project Cyclops, has already started giving early dividends and I am quite confident that this will solidify as we complete implementation across all lines of business. Project Nostradamus is nearing an advanced stage of completion and we are confident of deploying the beta version in Q2FY26.

As an organisation we have already started working on the Lakshya 2031 plans and we will be sharing the same at the start of FY27. We are focussed on transformation of the organisation towards a technology first risk aware bottom line driven culture with a heads down execution mentality. We are hopeful that this will translate into a consistently positive outcome trajectory in the years to come.

I thank you all for taking time to join us today, and I would like to throw the floor open now for questions.  
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Moderator:

We will now begin with the question-and-answer session. The first question is from Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania:

I have a couple of questions. Firstly, where do you now expect credit costs to stabilize as in that -- or put it the other way around, the Rs 3 billion of drawdown that happened this quarter, was it all towards Karnataka? Is that issue behind us? So now you can continue to see gross and net credit costs come down sequentially because we are also moving to prime and -- I mean, is the Karnataka pain now fully behind? Because we don't have additional buffer now to drawdown. That's right. So that's the first question.

And secondly, where do you see long-term yields stabilizing because Cyclops is doing very well. It's been extended to many products now. So obviously, we are moving prime. We are shifting customer segments. So where would yields settle? What will be the maximum downside to yields from these levels?

Sudipta Roy:

Okay. Thanks, Mahrukh. On the first question, Karnataka is stabilizing fast. With every passing month, collection efficiencies are ranging from a gradual 20 to 30 basis points improvements with every passing month. And you are right, a large amount of the sort of flow forwards that was accounted for by the macro prudential provisions this quarter came in from Karnataka, which was obviously an event that the industry had not planned for. I think, overall, the Karnataka, sort of collections sluggishness will take another -- according to me, another 3 to 4 months to fully stabilize, which brings us to about October 2025. I do believe that Karnataka should have stabilized by October 2025. As I said in my call, we are putting in additional collectors in Karnataka. We are trying to bring down

the accounts per collector in Karnataka. And overall, also, we are trying a lot of community outreach programs and sort of telling our borrowers about the need to maintain good credit scores so that their access to credit is not hampered in any way. All of those results are bearing fruit. But I do believe that should happen sometime around September, October is what my sort of estimate is. And also, you have to also keep in mind one thing that the MFN guardrails, which went into full implementation, the industry is also trying to settle to that. So the industry has seen the long tail of that settlement. And given the fact that monsoons are good and we expect a good kharif crop, I do believe that H2 will be more of a normal quarter, more of Q4. But in Q3, we'll see signs of normalcy coming in, in this business.

As regards to your question on the macro prudential provisions, yes, our objective is to use as less as possible. You have to be as prudent as possible. And though we believe that there are conditions precedent, which satisfy that usage exists even in Q2, which is primarily the Karnataka ordinance and some flows forward from the previous year's events as well. However, as a management, it would be our objective to be as prudent as possible in using that.

On your guidance of long -- sort of where do we see credit cost settling, our objective is to get to a trajectory of about 2.3% to 2.5%, towards Q4 of this year is what we intend to get to. And given the fact that the outcome of Project Cyclops is very, very encouraging, and we expect that that should be achievable unless there are any unforeseen shocks in the middle.

In terms of sort of the yields, etc., the way we look at it is a little different. I get asked this question that saying that you're going prime, so will it have an impact on your yields? Yes, going prime will have some impact on yields, but the fact is that I look at the overall risk-adjusted yield as a guiding factor. And I do believe that risk-adjusted yield will continue to remain stable or probably improve as our risk cost starts paring down. And in terms of yields, though there might be a couple of notches, maybe 30, 40, 50 basis points tempering of yields over a period of time, but our risk-adjusted -- our risk cost will improve further, probably giving rise to a 50 to 100 basis points improvement in risk-adjusted yields. So that is the way I look at it. And frankly, as an organization, we are moving

away from the practice of -- we look at yields, obviously, definitely, and our objective is to improve yields. But as [I&T Finance]

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an organization, we are also looking at risk-adjusted yields very, very carefully. And the entire philosophy of the business teams have been moved towards improving the risk-adjusted yields rather than focusing on yields alone.

Moderator:

The next question is from Kunal Shah from Citigroup.

Kunal Shah:

So firstly, again, coming on to contingency buffer, looking at the collection efficiency trends across the product segments, maybe there is not a significant improvement, which is happening compared to that of fourth quarter. Then is it fair to assume that the balance Rs. 275 crores will also get utilized given this collection efficiency trend as maybe managing credit cost in 2.3%, 2.5% would be difficult.

And second question is in terms of the repeat customers, particularly in MFI, that is continuously inching up, like there is like almost 5 percentage points increase in count as well as, say, in terms of the value term. And we are the only player in the MFI segment that has grown the book over past couple of quarters. So is it like more kind of a refi

ancing which is happening to the existing customer? And if you can highlight in terms of the time lag, which is there between the repayment and the disbursements because I think the general concern is whether like maybe the repeat disbursements is leading to improvement in the collection efficiency.

Sudipta Roy:

No. Okay. First, I would like to dispel that notion because we do not give -- first and foremost thing, we give only one loan to an existing customer. And that too after 9 or 12 months of seasoning. So, for us, that question does not arise. For us, one customer is one loan. It's very, very clear. The second thing that you should note in mind that we have a very strong 'only-LTF' customer base, which is almost close to 48% right now. Now the fact is that in the event that our portfolio quality has been outsizedly better than the industry, there is a lot of attention on our customer pools. There is a lot of attention on our customer pools from our competitors. Now if I have to frame that, I have to reach my customers earlier than -- from a strategy point of view, reach my customers -- creditworthy customers a little earlier than our competitors reach. And to a certain extent, if our LTF-exclusive customers wants a repeat top-up, we are rather better off it in giving to that customer much faster than anyone else such that the associations don't increase and sudden leverages don't increase, from a strategy point of view. But that has also -- see, if you see our last 8 quarters trajectory, actually we have been trying to bring our repeats down. Repeats actually came down for a couple of quarters, because we are focusing on much more of new customer additions. It is only in the last 2 quarters that we have seen a slight uptick in repeat, which will, again, we'll try to normalize as sort of the conditions of the microfinance industry improves and as we sort of step up our distribution in the new geographies, which is AP, Telangana, Western UP, Maharashtra, and we have recently entered -- re-entered Assam as well. So, as new customers start flowing into our pools, the repeat also will start going down. So that is -- I consider that as a temporary phenomenon, and it should normalize within the next 1 or 2 quarters.

The first question that you asked is in terms of macro prudential provisions and subsequent utilization etc. And as I said, as an answer to Mahrukh's question, as a management, our objective is to be as prudent as possible. We really want to make sure that our collection efficiencies are pushed up this quarter, and we really do not need to use macro prudential provisions to a significant extent. However, as I said, certain amount of the conditions precedent, which has led to some of those flows exist. And frankly, at this stage, it is too premature to indicate on possible utilization in Q2 and can be only ascertained in the quarter end in consultation with the Board and the auditors. However, as I said, July collection efficiencies continue to trend upwards across all regions, including Karnataka. We are having good monsoons. We are hopeful that a good kharif crop will add to more amount of liquidities and the sort of the last tail of disruption because of the full implementation of the MFIN guidelines will settle this quarter. So -- and we are increasing collector workforce across many of our large markets just to bring down the accounts per collector, so that an average collector is able to focus on a smaller number of accounts [I&T Finance]

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and reach higher efficiencies. So overall, we are working on all fronts. And we are very, very hopeful of a reasonably good outcome by the end of next quarter a

nd the quarter after.

Moderator:

Thank you. The next question is from Bhavik Dave from Nippon Mutual Fund. Please go ahead.

Bhavik Dave:

Hi, sir. I hope I am audible? Congratulations on the numbers. Just three questions, sir. One is on your Project Cyclops segment implementation like we've done that partially for farm finance and personal loans. But we haven't seen a material drop in your disbursement. So just wanted to understand will there be some disruption in terms of disbursement in these two products as the entire Cyclops gets implemented because we've seen that during the Two Wheeler loan implementation. Just wanted to understand what is different this time around wherein disbursement is still holding up.

Sudipta Roy:

Yes. Thanks, Bhavik. Is that your only question? Or is there a follow-up question as well?

Bhavik Dave:

Yes. Second question is on the personal loans, we started to inch up in terms of the partnerships -- digital partnerships that we have. Just wanted to understand how are the economics different from like doing it maybe via DSA or in-house versus doing it via digital partners, because my guess is that we are trying to maybe make this a larger part of the book. So just wanted to understand from an economic perspective in the sense the cost of acquisition and also the credit cost, I'm sure credit cost early days, but how would you want to maybe look at profitability in this digital acquisition -- digital implementation that we do?

And the last question is on the macro prudential provisions. So just wanted to understand at what point do we start building buffers in terms of macro prudential. Maybe we utilize most of it that is left over FY26. But at what profitability do you think we will want to maybe build those up because in good times, you only build it and maybe utilize it when times turn by, like what we had in FY25. Just wanted to understand what is the thought process in terms of building this in the future? What will lead you to build that? Thank you.

Sudipta Roy:

Yes. Okay. Thank you. So, first question on Project Cyclops. Project Cyclops has been fully implemented in Two Wheeler, fully implemented in December, and we have now almost 6 months of 100% operation on Cyclops in Two Wheeler Finance. Cyclops in Two Wheeler -- and I think all businesses will go through this trajectory. The first 3 months, which is implemented, we should see a dip in approval rates because it cleans out the sort of the dodgy borrowers. But over a 3-month period, the system understands and system compensates. So, if you see in -- and then we slightly fine-tune also because we continuously watch it as we go along. This quarter, our Two Wheeler disbursement actually went up compared to Q4. And the early start to Q2 also has been strong. So in terms of Project Cyclops in Two Wheelers, it's fully stabilized, and we are getting incredible benefits out of the tool in terms of leading indicators pointing towards much, much more lower risk costs. In SME, in tractor business, it has been implemented in about 20% of the volumes. And the leading indicators there also are very, very encouraging. It will be fully completed by end of -- actually, we are targeting August 10, failing which probably by September end wherein, we should be able to sort of implement fully in Farm Equipment Finance. Again, there has been a 17% increase in rejection rates. However, the team is compensating by moving into a larger number of dealerships and trying to make sure that sort of the throughput remains higher. So again, here, we will sort of compensate. What happens is typically also Cyclops actually boosts LTVs also because we are far more confident in taking certain calls, which we are not able to do previously. And some of the LTV boosting data we have put in [{}]; I&T Finance

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our investor presentation as well. So overall, on an overall basis, I think it remains even-even with the sort of the bad borrowers cut out. And over a period of a quarter or a quarter or 2, the volumes build up. And we are very, very confident that as Diwali comes, which is also a big market for big period for the tractor business, I think the volumes will shoot at that particular point in time with fully stabilized Cyclops.

Personal loans and SME are getting implemented. SME, it has been implemented in 5 markets. We are learning from it. We are fine-tuning it. I do not foresee much of a drop in SME volumes because in SME business, just like we have done on the Personal Loans business, we are implementing the digital partnerships, the large partnerships. And as you can see, the large partnerships have given us a massive kicker in the Personal Loans business. Our Personal Loans business, because of the digital partnerships have grown up, has grown 65% year-on-year. And to a certain extent, we expect that strong growth trajectory to continue both in Personal Loans and SME as well, even with implementation of Project Cyclops. So yes, from a growth point of view, even with Cyclops implementation, we are very, very confident that the growth trajectory will continue and the growth trajectory will continue in a very risk-calibrated fashion. In fact, the successful implementation of Project Cyclops has given us

a lot of confidence actually to scale up in the markets that we were previously hesitant to scale up because we were not sure of the risk outcomes, especially in the Two Wheeler business. Two Wheeler business, traditionally, we have not been present in Rajasthan. In Two Wheeler business, we have not been present to that extent in Madhya Pradesh because we were not completely confident of the outcomes in these 2 markets. After Project Cyclops has come in, we are significantly sort of expanding in these 2 markets, and we are very, very satisfied with the results that we are having. So overall, Project Cyclops, in the long term will boost disbursements rather than curtail disbursements in a very, very risk-calibrated fashion.

In terms of Personal Loans economics, the Personal Loans economics to the large partners, with each partner, we have a different model of economics. Some of the -- our objective in most of these partnerships is outcome-based economics. That means we set targets of disbursements and we set targets of risk. So, it's not that it is only a disbursement only. It's a risk plus disbursement sort of calibrated outcome and basis certain of those thresholds, the economics stack up. So overall -- see, in our DSA channel, your cost of acquisition remains around 3% to 3.5%. What I can say without going into extreme specifics, because it is very specific for each and every partner, the origination costs and the economics are far lower than what we would do in -- through our DSA channel. In fact, as a matter of principle, we run the business on what we call a 3-2-1 metrics. That means channels that have 3% acquisition cost, channels that have 2% acquisition cost, channels that have 1% acquisition cost. And our objective over the period of time is to get 50% of our acquisition volume from the 1% and 2% channels, especially in the SME business, which has got a very, very large DSA component. So overall, our focus is to make sure that all these channels are as efficient as possible. And the initial leading indicators of the volumes arranged through these channels is that risk is holding, yields are holding. So -- and we are now building volumes. So overall, we'll continue to build on this. As I said in my call -- in my opening comments that we'll announce a few more large partnerships this quarter, which has significant potential to scale up on whatever we have already

done. And I do believe in the period to come, large digital partnerships will contribute to about 50% to 60% of our Personal Loans origination.

In terms of the macro prudential buffers, on building them up, we would like to build back the macro prudential buffers as fast as possible, probably -- but that depends on sort of -- you generally build macro prudential buffers in a situation where you have probably an extra dollop of profitability because that's when you look at doing that or when you get some extraordinary gains, which you have probably not accounted for. As you are aware that we have a large amount of wholesale business, which is currently in the process of resolution, especially in the commercial real estate and many of them are in advanced stages of resolution. So, what we have decided as an organization that the cash flows that we accrue from the resolution of those assets, post the sort of the Security Receipts structures resolving, the extra cash flows, which we are very certain according to our calculations, we'll get from it, will go back to build the macro prudential buffers at an organization level. One of the other thoughts that we have is that if this time we build macro prudential buffers, we'll not build at a business-specific level, but we'll build it at an umbrella, floater level, at an organization level with a large focus on unsecured businesses. So that is what our strategy is. So obviously, yes, across FY27 and FY28, our focus will be to build back those macro prudential provisions as fast as possible. {j; I&T Finance

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Moderator:

Thank you. The next question is from Avinash Singh from Emkay Global.

Avinash Singh:

Yes, hi. Good morning. Thanks for the opportunity. So just, I mean, referring to your media interaction, I mean, 2.8% kind of exit RoA you were referring to. I just wanted to clarify if that 2.8% kind of a thing corresponds to the 2.37% number for this quarter. My question is coming that because of Project Cyclops implementation and also that LAP and Home Loans increasing ....

Sudipta Roy:

Yes, the 2.8%, I meant near 2.8% in FY27. So, I'd like to clarify that. Quarter 4 exit, we should be around anywhere between in the corridor of 2.5% odd. So the 2.8% trajectory will probably be achieved sometime around FY27.

Avinash Singh:

Yes. This kind of clarifies, because I was a bit confused that 10% to 10.5% when you were alluding to, your opex at 4.2% looks stable. And on -- after macro, the credit cost is close to 2.2%- 2.3%, that also is a kind of a near term, I would say, stable rate. So, then the 2.8%, yes, because there was some confusion. Thank you. That answers my question. Thank you.

Moderator:

Thank you. The next question is from Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar:

Thank you, sir, and congratulations on a good quarter. I have two questions. So, while if I look at repeat disbursement share, which is steady now at 49% and even in value terms, around 35%, and you just alluded to the fact that in the earlier question that microfinance could be the larger share there. But going forward, how are you marrying the fact that this also forms the base for growth, as well as you are curbing the risk emanating from overlap across the businesses such as microfinance or unsecured lending. So that's one question. Second is considering we have sizable presence in Bihar, so are we building in any kind of traction on macro prudential provisions? Or maybe that -- will that be part of our discussions whenever the Board meeting or that happens, although past precedents do not trigger a worry, but currently, the

dynamics are definitely slightly distinct? Thank you.

Sudipta Roy:

Thanks, Shweta. On the repeat -- overall retail repeat is currently, if you see the numbers, last quarter, it was at 49% overall. And this quarter also, it has remained at 49% overall. However, in Rural Group Loans, it has gone up by about 5% odd in terms of count. And in terms of -- again, in terms of value also, it has also gone up by about 5%. I -- obviously, our objective is that -- and I explained in detail in my previous answers as to why that has happened. However, what we intend to do is that we -- over the period of time, as situations normalize, as new sort of customers from the new markets, like Western UP, Eastern Maharashtra, AP, Telangana, Assam, etc., start flowing in, I see that proportion start reducing. We're still building our distribution in these new locations where we are distributing, and these are relatively lesser leveraged locations. So, I do believe that over a period of time, over the next 2 quarters, you will see the repeat going down. So that is what I would like to give an answer to the first question. [{}]; L&T Finance

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As an answer -- what was the second one? Yes, Bihar. On Bihar again, Bihar collection efficiency is pretty stable. Though we are keeping a close watch, it's pretty stable. And overall, as an organization, we have certain thresholds of exposure in one single market. So, we are very, very careful that we do not breach those thresholds. So -- and frankly, in Bihar also over the last couple of quarters, we have slowly increased our manpower strength to bring down our accounts per collector. And this quarter also, we'll be continuing that trend to bring down our accounts per collector even further, so that there is a very granular and focus on maintaining the collection efficiencies. So, Bihar continues to be very, very stable for us, but yes, we always watch that. Actually, Bihar traditionally, got more worse from natural calamities and floods, etc. than any other thing. And we are hopeful that at least this year -- because last year, there was a bad flood in Bihar. We are hopeful that at least there won't be a repeat of the same this year as well.

Sachinn Joshi:

Just wanted to add, Sachinn here. Shweta and Kunal, I don't think you should be really worried about increase in repeat because these are the times when the MFIN guardrails have actually got implemented on three financiers. So, the repeat customers, especially the exclusive customers, 48% of our total Rs. 26,000 crores, these are the customers who have been with us for second, third, fourth cycle and all. So, we have enough information on them. We have enough behaviour. There is a lot of goodwill among these customers. And till the time we maintain the guardrails which we have been since April 2020, I think we would not want to give up on our customer -- huge customer base, which we have created with a lot of pain over the last 10 to 15 years. And this is the time to ensure that this customer base, which has been loyal with us should remain with us. And new customer you try to go for at this point of time, unless it's a new geography or geographies which have very little leverage, the risks are very high in ultimately getting into the same customers, who have been perhaps delaying and defaulting with other financiers. So, I think the strategy at this point of time is to ensure that our customer base does not get disintegrated in any manner.

Moderator or:

The next question is from Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe:

Yes, hi. Just two questions. One is on security receipts. We almost have Rs. 5,000 crores plus. So..

Moderator:

Nischint, we can't hear you very clearly. If you could speak a little louder?

Nischint Chawathe:

We expect to kind of monetize that. I believe the reduction last year was around 12%- 13%. So, is that the pace or will it accelerate or how do you think about it? And the other one was on disbursements, where this quarter, if you look at ex of gold loan book purchase, disbursement growth was around 8%. Is this disbursement -- yes, am I audible now?

Sachinn Joshi:

Yes, yes. Much better.

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Nischint Chawathe:

Yes, sure. So, is this decline in disbursement -- or sorry, this weakness in disbursements, is this because of company-specific factors in terms of the migration of portfolio? Or is it because you can see some general weakness in the economy.

Sachinn Joshi:

So, Nischint, on the first point on SRs, we had mentioned on our earlier calls also that the resolutions of these SRs, which are currently around 60% provided for, the book is right now Rs. 5,500 crores. It has been coming down. But I think the significant resolutions are in advanced stages with NCLT. And the resolutions are expected in FY27 and FY28. A significant part of these projects will actually see completion, and we should be able to -- and we had also mentioned, Sudipta in the earlier -- one of the conversation also mentioned that we expect certain projects to be resolved in our favor, which means that the provisions which have been taken against such projects may get released only to be utilized to rebuild our macro prudential provisions. So yes, the progress has been there, but a bit slow at this point of time. FY27, we'll see a significant amount of development.

Sudipta Roy:

Yes. On disbursements further, I'll take the question. You are right because the disbursements growth this quarter -- if you look on a Q-o-Q basis, actually, the disbursement of Farmer Finance was very good on a Q-o-Q basis. Tractors grew quite well on a Q-o-Q basis. Even microfinance also grew reasonably well on a Q-o-Q basis. If I were to look at on a Q-o-Q basis, Farmer Finance grew by 25%. Even the microfinance business grew by about 10%. So, you see same time last quarter, which is the quarter previous to this quarter, we were averaging around Rs. 1,600 crores per month in Rural Business Finance. This quarter, we have averaged around Rs. 1,800 crores per month. And we are hopeful that as and when the collection efficiencies move upwards, as they are with every passing month, we should be able to get back to Rs. 1,900 crores - Rs. 2,000 crores trajectory as soon as possible, preferably towards the near-term, towards the festival season.

In Two Wheeler Finance, if you see on a Q-o-Q, we have grown by about 15%. So that growth has been pretty strong. The reason you probably see a dip in the overall growth rate is that Personal Loans actually this quarter was probably a little lower growth rate, primarily because we had a very good growth rate in the -- in Q4 of FY24. But with Amazon and PhonePe now, the volumes now stabilizing, this quarter, we are also looking at a strong growth rate in Personal Loans as well. So overall, I do believe that the situation in the market is slowly improving. The sort of the mini cycle we saw in some asset classes, especially unsecured and microfinance, show signs of dissipation. Have they fully dissipated yet? No. I think it will take another two quarters for the industry to see full dissipation. Anyway, credit was also squeezed, as you can see from all the CIBIL dashboards that credit disbursement across the industry had got squeezed. So, I do believe that the restoration of that is a two-qu

arter

process for us. We have seen good momentum this quarter. I expect Q2 to continue that momentum, though Q2 has some seasonal fluctuations in view of Shradh, etc, that happens in September before the festive season, Q2, normally is a tight quarter for most lenders. However, I do believe that we will see decent growth in Q2 as well. But I do believe that H2 will be very, very good, especially starting with the festive season and in Q4. That is the way I look at it. I see more of a level out Q2. I see good acceleration in Q3, and I see a pickup pace in Q4, if that answers your question.

Moderator:

The next question is from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal:

Yes. Thank you for taking my question. So firstly, sir, on asset quality and credit costs, if you could just help us understand how is the Two Wheeler and the Tractor portfolio kind of behaving now? That is one. And somewhere earlier during the call, you spoke about credit cost declining to 2.3% to 2.5% by the exit quarter 4Q. So just trying

to understand, I mean, earlier in the past earnings calls, we've spoken about benefits from Cyclops leading to a [{}]; I&T Finance

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structural improvement in credit costs for us. So, what could that credit cost look like from FY27 onwards? Also, we have discussed a little bit on SRs earlier. So, Sachinn sir, I just wanted to understand, you gave out a number of Rs. 5,500 crores and the 60% provision. So, is the gross SRs outstanding roughly around Rs. 11,000 crores now? And also, you spoke about FY27- FY28, where we can see some resolutions happening in our favor and which will subsequently be utilized for macro prudential provisions. So any ballpark estimates of what recoveries we are expecting from SRs over FY27- FY28?

And lastly, with regards to gold loans, I think Sudipta sir spoke about setting up branches and we're aspiring to get up to 300 branches. So, I mean, over what period this will be done? And will this mean that at least in the near-term opex will remain elevated? So just some of those questions. Thank you so much.

Sudipta Roy:

Okay. I'll take the T wo Wheeler and Gold Loan and then Sachinn can give the additional details in the -- for the SRs, -- in terms of numbers. So let me tell you at the onset that I'm very happy with the way the T wo Wheeler and the tractor sort of risk numbers are panning out. In T wo Wheeler, especially, as I said, our prime share has reached 84%. And the two-wheeler gross non-starter rates as well as net non-starter have gone down. We have given an indexed representation of the bounces in, I think, slide -- it will be on Slide 15 or 16, I think. We have given it -- sorry, Slide 27.

Sudipta Roy:

Slide 27 in the investor deck. So, you can see that if indexed on April was 100 -- out of 1,000 customers, 100 customers are bouncing, now only 72 are bouncing. So, this is portfolio bounce. That means -- and still, if you see, we have some portion of the sort of the legacy portfolio left, which will probably become much smaller in volume by, say, Q3 of this year. So overall, T wo Wheeler risk cost is progressing very, very well. And I do believe that we will see probably a very low risk cost regime in T wo Wheeler to set in post Q3 for us, as the legacy portfolio still dwindles in size.

For Tractors also, similar trajectory. Tractors, if you see our net non-starters in tractors are at a historical low. Actually, in the Project Cyclops portfolio, we have seen net non-starters as low as 0% actually. So, Two Wheeler in Tractor also, the overall sort of cleanup has happened. And if you see Slide 28, in terms of indexed representation of net non-star

ters, in April-24, if it was 159%, we are down to 38%. So that will tell you the extent of improvement that has taken in the tractor business. And if you see the tractor sort of charts in terms of collection efficiencies as well in Chart 38 -- is it 38 or 37? Yes, sorry, 37 -- no, chart 38. You can see the collection efficiencies now. You see in June last year, we are at about -- 91.8% collection efficiency, which has gone up to a 93% collection efficiency. You can see that it has significantly gone up. And this -- we expect that this trajectory to continue. And on almost a Rs. 16,000 crores book a 120 b ps improvement in collection efficiency is significant in terms of credit cost. So, we expect that both the two wheeler business and a tractor business to have significant contribution to profitability in ...

Sachinn Joshi:

The Two Wheeler is on the next page.

Sudipta Roy:

Yes, the two-wheeler is on the next page. If you can see two-wheeler also, collection efficiency in two wheeler is at 98.5% which is in Slide 39, top up and -- which was 98% same time last year. And this number is actually going up quite steeply. So, April is a seasonal blip because what happens is that many of the outsourced collection agencies actually post the -- and BFSI industry sees this April, what I call, the April blip. But overall, I'm very, very satisfied with the way these two are progressing. [{}]; I&T Finance

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In terms of the gold loans, the 135 branches, which I said new branches, will happen before March 31 of this financial year. We are working on that. We have a fair amount of -- we have figured out -- see, you have to understand that we acquired a business which had actually fine-tuned the process of branch addition . So the branch cost -- the cost of branch addition is not really extremely expensive, but it's quite economical because the process has been fine-tuned by the team, which was managing this business in Paul Merchants over a period of

years. So obviously, yes, 175 branches will take a little bit of the cost, but we do not expect that to be significant enough to show up materially significantly in our cost numbers.

Overall, as an organization, we are also running a massive productivity as well as a cost improvement exercise internally. And we are hopeful that we should be able to absorb this cost quite effectively. So, our focus is that we expand very, very quickly in our markets of strength, especially where we can use some of the feet on the street that we have, especially in the MFI business as well as in the tractor business to sort of cross-sell gold loans to our existing pool of customers, either existing customers or our customers who have been previously with us and sort of build in a new model where we sort of lead generate in the field and send the customer for fulfillment towards the near branch. So that is what we will be wanting to do. And we are reasonably confident that we should be able to do that. Sachinn on the SR thing.

Sachinn Joshi:

Before that, I think Abhijit you also wanted to know the traction of how credit costs will pan out between 2.3% to 2.5%. So, see, the credit costs, the first quarter, of course, we have used -- and when we talk about this range, this is, of course, after taking into account the macro prudential provisions. During our earlier couple of calls, we had mentioned that the T wo Wheeler, Personal Loans and Tractor businesses for specific reasons, the -- like, for example, we had stopped the repossession of 90 plus for Tractor. Similarly, T wo Wheeler and Personal Loan for the challenges which were faced from the urban side had led to increasing credit costs. And we had m

entioned

that this will last for at least 2 to 3 quarters. We are seeing some kind of stabilization as far as Personal Loans is concerned. Tractor has actually started showing an improvement after last 2 to 3 quarters. Two Wheeler, we, I think, has still a quarter or two to go. And as Sudipta mentioned, Q4, we will start having the seasoning of the book, which has come through Cyclops, will start showing its impact. So Q4, we will start seeing the full benefits of Project Cyclops on the T wo Wheeler portfolio. Till that time, we -- the book, which was generated through the earlier models will also become very insignificant. So, keeping these in mind, I think we should -- for the full year, we are expecting that we should be somewhere in the range of about 2.3% to 2.5%. We should exit, I would say, by -- with 2.5%, but with the average for all the four quarters, we should be somewhere around 2.4%, 2.5% for the full financial year.

On the SR piece, the overall book, which was sold off to ARCs post receipt of cash was about Rs. 14,000 crores over a period of time. And against that, we have, during various points of time, created provisions at the time of transfer. Also, we had announced about a year back, setting aside about Rs. 729 crores. All that put together, we have about Rs. 8,400 crores, which is set aside, which comes to about 60%. So, the Rs. 5,500 crores is the net carrying value as of 30th of June, if that clarifies.

Moderator:

The next question is from Chintan Shah from ICICI Securities?

Chintan Shah:

Yes. So, sir, one question on the MFI PAR portfolio. So, our PAR 31 to 90 portfolio, so that has been more than 1 percentage since the past three quarters. So current quarter -- and it has been actually increasing since the past six quarters. Only for this quarter, it has declined to 1.2% versus 1.4% previously. And simultaneously also we have utilized the macro-prudential since the past three quarters wherein the PAR 31 to 90 has been above 1 percentage. So, when do we see this portfolio coming down below 1%? I understand it could be due to Karnataka I&T Finance

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or Bihar, etc. And this PAR used to be 0.5 percentage almost a year ago in Q1FY25. So, yes, when -- where this could normalize by the year-end? Yes. That's the first question.

Sudipta Roy:

Yes. So, if you see -- thanks, Chintan, for the question. If you see, we already saw the inflection point of the curve between PAR 1 to 90 this quarter.

Chintan Shah:

Yes.

Sudipta Roy:

And as I said -- first, I would like to say that there is no issue in Bihar. Bihar is normal. There is no issue in Bihar. So, Karnataka, yes. Karnataka, the speed at which we thought it will improve probably did not happen in Q1, but again, we are seeing it picking up pace. We are seeing it picking up pace. And as I said, our objective has been to bring down the accounts per collector ratio in Karnataka as well, so that our people are more focused. So, we have increased the number of people, so that the accounts per collector has also come down so that we are --



the same number of -- because what has happened is the Karnataka window of collection has reduced, because there is some time -- till sometime you can collect, you cannot go beyond 5:00 P.M. etc. So we need the larger number of collectors to reach the same amount of customers within that period of time. So that is what we have been focused on and that's what currently work is going on. So, I do believe that this quarter, we'll see further improvements. And again, MFIN guardrails came into being in the first quarter fully. So, obviously, that took -- the market is taking time to settle as well on that. So,

overall, I think Q2 will be the settling period, and in Q3, we'll see the normalcy. So, the curve, which you saw the inflection point in Q1 will continue to trend downwards in Q2. And probably by middle of Q3, it will probably come close to normal. Again, I'll put a caveat here in the sense that, all these are sort of...

Sachinn Joshi:  
In the play.

Sudipta Roy:  
In the play and we are hopeful that, the Karnataka event came in a short period of three weeks. And frankly, the industry was not prepared for it. And in a short period of three weeks, we saw our collection efficiencies tanked. So, all these numbers, the caveat that things have settled. And there are no more sudden surprises. That is the caveat.

Sachinn Joshi:  
So just to add, the only positive thing we can share is that the dip, which went down to almost 200 basis points plus in the month of February, the recovery has been there. Maybe from the pre-February times when the collection efficiencies were 99% plus, I think, we would be about 50 basis points, 60 basis points away. And as we speak, July also has been trending positively. So, yes, I think we'll have to just wait and watch, but the other geographies have already stabilized. So, we should not see any reversal of what you were pointing out in terms of the PAR 0 to 30, 30 to 60 beyond this, in a very significant manner. That's where we are.

Chintan Shah:  
Yes. So just a follow-up on that. So typically, do we have any ratio, means as in -- if this much is the PAR 30 to 90 percentage of the portfolio, so how much typically that flows into 90 plus or how much can be rolled back? So any data points to share there. [{}]; I&T Finance

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Sachinn Joshi:  
See, actually, this works only in a normal environment. In today's environment, like Sudipta mentioned, if the collection efficiencies are slowing down, we'll just put more people to see that the collections are done. So, it will -- right now, the challenges are in only specific pockets, specific states. We will have to address it by using different, different techniques. So, there is no specific signs that, okay, if 31 -- under normal circumstances, we can possibly mention about what will be the reverse flow, which will happen. But roll forward right now, the moment they touch 90-plus, 100% gets provided for. So that ensures that whatever risk is seen already gets captured in terms of provisions. One thing which we can say is that the Karnataka challenge is not in terms of ability to pay, but the intent to pay. And a time will surely come when these customers would need money and they're -- looking at their bureau scores getting worsened, they will not get money anywhere. And the chances of recovery will be high when they come back asking for fresh loans. This is the expectation we have.

Moderator:  
We'll take that as the last question. I would now like to hand the conference back to Mr. Sudipta Roy for any closing comments.

Sudipta Roy:  
Thank you. I thank everyone who has joined us today. So, it has been -- Q1 has been a tough quarter for all around for the industry as well, as well as for us. And -- but what we are reasonably satisfied with the outcome. Obviously, a lot of work remains to be done, which will be done across the rest of the year. One thing I would like to assure is that, we are focused on making sure, and as I've mentioned in many of my media interviews that we are building a risk-first organization. So, and many of our technology sort of investments in the initial phase has been focused towards making sure that our risk guardrails are strong and bulletproof. So now that we are reasonably confident of some of -- the efficacy of th

e early technology steps that we took last year, this year we will as -- and as the conditions improve, I think, we will have the confidence enough to be the first of the block in terms of growth. And all the growth drivers, all the growth thrusters are now being positioned into place for that event to happen. We are seeing very fast improvement in the operating environment in all lines

of business, both rural, as well as urban. And I am very, very confident that Q2 will be the inflection point in terms of the risk outlook of the industry, and we will see better outcomes in Q3 and Q4. With that, I would like to wish you a very good remaining part of the day. And I will -- me and my management will be very happy to give you -- interact with you when we meet one-on-one and probably give -- provide more flavor of our execution story. Thank you so much. And with that, we will end the call.

Moderator:

Thank you very much. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies, repetitions in Q &A which would have unintentionally crept in, if any [j]; L&T Finance

## Call: Oct 2025

INTERNAL October 27, 2025

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor(s) / Analyst(s) meet – Q2FY2025-26 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q2FY2025-26 financial performance and strategy update held on October 16, 2025.

The above information is also available on the website of the Company i.e., [www.ltfinance.com/investors](http://www.ltfinance.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Raju Dodti (Chief Operating Officer)

Mr. Karthik Narayanan (Head – Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q2FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then ze ro on your touch -tone phone. Please note that this conference is being recorded . We have with us today Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team.

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the conference call. Only publicly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the stateme nts made on today's call may be forw ard-looking in nature. A note to this effect is provided in the Q2 results presentation sent out to all of you earlier .

I would now like to invite Mr. Sudipta Roy to share his thoughts on the company's performance and the strategy of the company going forward. Thank you, and over to you, sir .

Sudipta Roy :

A very good morning, everyone. I welcome you all to the Investor call for Q2FY26. Joining me today on the call are – our CFO, Mr. Sachinn Joshi, our COO, Mr. Raju Dodti and other members of the senior management team of L&T Finance. On behalf of the entire L&T Finance team, I would like to extend our festive wishes to you and your families and the broader investor community .

Similar to our previous calls, today's call is d

ivided into two sections, taken up sequentially by myself followed by our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance .

During my interaction with you over the course of the last 2 years, I have spoken about the various investments we were making in strengthening the company and upgrading our capabilities across domains, including the various transformative initiatives unde rtaken by us. In this call, I will provide further details about the results we are seeing from those initiatives and their long -term impact on the business. As far as our core business franchise is concerned, it stands in a good shape, which is evidenced by the numbers posted by us in Q2FY26 and I am hopeful that in the remainder of FY26 this performance trajectory will continue .

Post our commentary, we will be happy to take questions on the call.

Macro -economic outlook

Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macroeconomic scenario and sectoral outlook .

India's recent credit rating upgrades reflect growing global confidence in the country's economic resilience and

growth prospects, amidst heightened trade uncertainties. Growth remained resilient, on the back of private consumption aided by rural demand and fixed investment supported by buoyant government capex. Headline inflation has also seen significant moderation during H1 FY26, mainly due to a sharp correction in food prices and is projected to remain close to the lower end on RBI's target band in 2025-26.

Agriculture sector prospects remain favourable despite flooding caused by heavy rainfall in several states, including grain bowl states like Punjab, where crops have been destroyed and rainfall deficiency in east and northeast India impacting crops. This favourable prospect is supported by above normal monsoons in most regions, adequate reservoir levels, and supportive policy interventions. Rainfall over the country as a whole during the 2025 South West monsoon season was above average at 108% of its long period average, albeit unevenly

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distributed. The area sown under key kharif crops like rice, pulses, sugarcane, coarse cereals, etc. are 1-6% higher than last year. Reservoir levels stand at 90%, exceeding the levels recorded a year ago as well as the decadal average. Intense rains towards the end of season in pockets of Karnataka, Telangana, Maharashtra, Gujarat, Rajasthan and Punjab have impacted standing crops in some parts. However, the early trend of mandi arrivals indicates a delayed but healthy crop output overall. Prompt relief measures for the farmers and higher MSP prices should provide further support.

As far as Rural demand is concerned, it continues to remain buoyant with upbeat tractor and motorcycle sales and strong growth in fast-moving consumer goods sales in rural areas. The GST 2.0 reforms are expected to further boost private consumption and domestic demand. Revival in the discretionary spending of households in both rural and urban areas is already reflecting in high festive sale volumes and consumer sentiments and should support credit expansion in the quarters ahead.

With liquidity conditions improving during the first half of FY26, domestic financial markets remained resilient and relatively stable. Monetary policy, along with liquidity easing measures, have contributed to favourable financial conditions by influencing both money and bond markets. Concomitantly, credit demand has witnessed an uptick in the recent months as well.

Going ahead, lower inflation, rising capacity utilisation, and c

ongenial financial conditions continue to support the growth outlook. The government's continued thrust on capital expenditure, GST 2.0 reforms and improving credit conditions should boost aggregate demand conditions in the near-term and help to sustain strong momentum in the NBFC sector with healthy credit demand.

#### Q2FY26 Highlights :

To start off with this quarter's highlights, I would like to share that the microfinance sector has shown green shoots of recovery this quarter and we have seen sustained resilience and uptick in both disbursement volumes and collection efficiencies in our microfinance portfolio. The performance of the LTF portfolio is a result of the strong credit underwriting and stringent association norms implemented over the years and further sharpened over the course of the last few quarters. I am happy to share that directionally, the overall credit cost for the organisation has started its downward trajectory owing to the various process interventions and implementation of Project Cyclops in fulcrum businesses like Two-Wheeler and Farm loans and is expected to tend towards normalisation in the second half of FY26. I will speak about them in greater detail during the course of the call.

I am pleased to inform you that we have achieved a quarterly Consolidated PAT of Rs 735 Cr, registering a growth of 5% QoQ and 6% YoY, with the retail book crossing the ■ 1 lakh Cr milestone, now standing at Rs. 1,04,607 Cr, reflecting a growth of 18% YoY. The Consol booksize registered an increase of 15% YoY, reaching Rs. 1,07,096 Cr, while the RoA came in at 2.41% in Q2FY26.

Given the fact that quarter 2 for BFSI is traditionally a weak quarter, we are pleased to inform that we recorded our highest ever quarterly disbursement of Rs. 18,896 Cr, a growth of 25% YoY and 8% QoQ, driven by a strong performance across all our lines of business. I would like to point out that this growth in Q2FY26 is driven by organic business expansion and we expect the additional boost from GST 2.0 especially in the Two-Wheeler and Farm segments to be registered in Q3FY26. Our Rural Business Finance disbursements achieved normalisation during the quarter with a disbursement of Rs 6,316 Cr, up 12% QoQ and 16% YoY, based on continued improvement in collection efficiencies, giving us the confidence to expand disbursements and markets, while continuing to follow the stringent sourcing and portfolio norms. Our Two-Wheeler business saw a QoQ disbursement growth of 18% and Personal loans disbursements expanded by 50% QoQ driven by increased funnel off-take from our big tech partnerships (slide 53 of the Investor Presentation).

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Next, I would like to provide an update on the impact of the Karnataka ordinance. Last quarter, I had mentioned that we had started seeing uptick in collection efficiencies and a positive momentum in growth from Karnataka across monthly and quarterly tenors. The quarter saw a 70bps improvement in monthly collection efficiency which increased from 98.48% in June'25 to 99.18% in September'25. We expect the collection efficiency will continue to trend upwards in Karnataka in Q3FY26. The pan India '0 DPD' collection efficiency improved by 15bps to 99.50% from 99.35% during the previous quarter.

I would now like to give you an update on the performance of the newly acquired Gold loans business. I am happy to share that the Gold loans segment acquired significant momentum during the quarter outperforming our expectations with a quarterly disbursement of Rs. 983 Cr and the highest ever monthly disbursements of Rs. 423 Cr in the month of September. In the coming quarters we are working

on expanding our geo-presence across the country through branch expansion with ~200 new branches focused on areas with high cross-sell potential. In this regard, our model of integration of gold finance branches into multi-product 'Sampoorna branches' augurs well with our aspiration to become a leading pan-India gold finance player. By the end of FY26, we plan on establishing a distribution strength of 330+ gold loan branches.

Coming to our large partnerships initiative, continuing with the momentum established with Amazon Pay, Cred and PhonePe, the overall Personal Loans disbursements for the quarter from big tech partnerships, including that from our newest partner Google Pay reached Rs. 1,138 Cr, pushing our overall Personal Loans disbursements for Q2 up 50% QoQ and 114% YoY at Rs. 2,918 Cr. While the uptick is steep, I would like to highlight that we have been keeping a strong focus on credit and risk guardrails, while we continue to extensively leverage partner trust signals. I am confident that we will continue to scale up this business in a risk calibrated manner and expand our origination momentum with existing partners while fostering partnership with few more big tech players.

You would recall that I had made the announcement in Q1FY25 of the deployment of beta version of Project Cyclops, our AI-powered digital underwriting engine and since then Project Cyclops now powers 100% of underwriting in Two-Wheeler, Farm Equipment and SME businesses. It will be implemented in Personal Loans in Q3FY26 and we are readying the decks for implementation in Rural Business Finance and Mortgage business in FY27. The leading credit performance indicators from the Project Cyclops underwritten portfolios in the above lines of businesses remain extremely encouraging and our technology teams have been hard at work to improve the versions of Project Cyclops with every passing quarter. It is to be noted that we are currently in the version 3.0 of the software whose processing capacity has been improved from 100 TPS (Transactions Per Second) at launch to 1,400 TPS at present.

We continue to see encouraging trends with sharply lower portfolio bounce outcomes and NNS (Net Non-starters) trends in the Project Cyclops underwritten Two-Wheeler Finance portfolio in comparison with the non-Project Cyclops portfolio, while there has been a sharp reduction in Net Non-starters (NNS) for tractor customers through identified dealership rationalization in the Farmer Finance portfolio. The total number of cases disbursed in the Two-Wheeler Finance vertical through the Project Cyclops engine crossed 7,50,000 during the quarter while more than 21,000 cases were disbursed in the Farm Equipment Finance segment through Project Cyclops. As a consequence, the NNS for the Two-Wheeler Finance portfolio reduced to 0.47% for September'25 from 2.36% in December, 2024, which has also contributed to a reduction in the overall gross credit cost for LTF during the quarter. We will be sharing deeper insights into portfolio performance of Project Cyclops portfolios in our Investor Digital Day scheduled on November 6, 2025. We are confident that as disbursements through this engine scale up across businesses, our portfolio quality will get significantly enhanced with lower bounce rates and early non-starters, thereby leading to a reduction in the overall credit cost trajectory for the organisation.

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Our next transformative initiative, 'Project Nostradamus', a state of the art, first in industry AI driven automated real time portfolio management engine leveraging traditional as well as alternate data went live in 'bet

a mode' for

Two-Wheeler Finance in August'25, with data dashboards for early warning and proactive portfolio management to monitor performance down to an individual micro -market cluster. We will also be giving previews of Project Nostradamus during our Investor Digital Day on November 6th. I am confident that we will be able to make Project Nostradamus live for all lines of business by the end of the year .

I am happy to share that our investments in cutting edge technology and strengthened credit frameworks and underwriting have started showing early signs of impact in the gross credit cost trajectory for the organisation. We have been progressing towards a fundamentally stronger credit cost paradigm, with credit costs (before utilisation of macro prudential provisions) reducing from 3.80% to 2.98% between Q4FY25 and Q2FY26 ( slide no. 8 in the Investor Presentation). Consequently, with a projection of further improvement in credit profile after full scale up of Project Cyclops and Project Nostradamus, we expect overall credit costs to trend lower in the medium term .

In my last call I had mentioned L&T Finance being assigned its first ever international rating, I am happy to share that we received a rating upgrade from S&P on August 14, 2025, with the long -term rating moving from "BBB - /Positive" to "BBB/Stable" and the short -term rating moving from "A -3" to "A -2", a result of the upgrade in India's sovereign rating. These ratings are investment grade and are now on par with India's Sovereign Credit Rating. This favourable assessment significantly enhances our ability to access global capital markets, thereby enabling further diversification of the liability franchise and the deepening of our lender base .

#### Update on Lakshya 2026 Goals

Now, I would like to share an update on our quarterly performance against the Lakshya 2026 goals :

- The first milestone was to achieve Retailisation of >95% by FY26. We achieved a retailisation of 98% in the last quarter and it remained at the same level during Q2FY26, with the retail booksize crossing the Rs.1 lakh Cr mark .
- The second milestone, on the loan book growth front, we had set ourselves a retail book growth target of 25% against which we have achieved a CAGR growth of 27% between Q4FY22 to Q2FY26 .
- On the third milestone which is on the Asset Quality front, we maintained the Retail GS3 & NS3 levels closer to the threshold levels (GS3<3% and NS3<1%) despite the macro challenges and segment specific challenges in the microfinance segment, our Consol. G S3 and NS3 stood at 3.29% and 1.00% respectively .
- On the fourth and last milestone of RoA, we achieved RoA of 2.41% in Q2FY26. We remain committed to continuous improvement in the RoA trajectory as the segment headwinds in the microfinance sector dissipate and the downstream benefits of better credit proc ess control and underwriting through Project Cyclops start materialising .

I am also confident that with the improving collection efficiencies in the microfinance portfolio (including recovery in Karnataka), we will not require utilisation of any further amount from the macro prudential provisions from Q3FY26 onwards. During this quarter, the Board approved utilisation of Rs. 150 Cr of macro prudential provisions. After the utilisation of the said provisions to the extent of Rs. 150 Cr, the residual macro prudential provision at the end of Q2FY26 stands at Rs. 125 Cr .

#### Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated in October 2023 and continue to be in implementation mode against the same .

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1. Customer Acquisition - Our focus remains on broadening our customer funnel, both by deepening our reach in existing segments and broadening our geographical and digital footprint through partnerships. In the R ural Business Finance vertical, apart from focusing on retaining our credit -tested customers we continue to acquire new non -leveraged MFI customers through geo -diversification, leading to an uptick in the activation of new villages during the quarter. We are also expa nding our geographical foo tprint in the states of U.P., Maharashtra and Andhra Pradesh. With overall improvement in the credit risk environment in the industry, our customer acquisition velocity moved northwards across all lines of business in Q2FY26 and we expect this positive trajectory to continue over the rest of the year . Further details around customer acquisition and repeat share are available on slides 14 & 15 of the Investor Presentation .

2. Sharpening Credit Underwriting - The continuous expansion, improvement and validation of Project Cyclops scorecards remain paramount for us. Project Cyclops is fully implemented and operational for Two - Wheeler , Farm Equipment, and SME businesses. The implementation for Personal Loans is scheduled for Q3FY26, while rollouts for both Home Loans & LAP and Rural Group Loans & MFI are planned for the fiscal year FY27. Our model risk management and machine learning o perations teams are now fully functional giving us a strong structural framework to implement and monitor an increased density of algorithms and scorecards across various lines of business .

3. Futuristic Digital Architecture - We continue to work on upgrading our technical capabilities and our focus

on continuously strengthening our IT framework remains unabated. I have already spoken about Project Cyclops and Project Nostradamus. I would like to make a special mention of our PL ANET App, which has emerged as a powerful digital channel for our customers while serving as an important servicing tool. Our PLANET app which crossed over 2 Cr total downloads till date, received the award for "Best Digital Experience in Finance" at the Global Fintech Fest, 2025. I am confident that through this app, we will constantly harness cutting-edge technology to simultaneously enhance customer experience as well as improving our operational metrics. Please refer to slide no.60 & 61 in the Investor Presentation for operating metrics on the app .

4. Brand Visibility - We continue to capitalize on our integrated marketing campaigns, leveraging our brand ambassador, Jasprit Bumrah. During the quarter, we also ran campaigns for our Two-Wheeler and Farmer Finance businesses, while participating as an Associate Sponsor in the Asia Cup '25 .

I am delighted to announce that the second edition of our flagship BFSI -AI event 'RAISE' with the theme 'Accelerating financial services with AI', which is scheduled to take place on 7th November , 2025 at the Jio World Centre, in Mumbai will be bigger and grander, with a very interesting line up of international and national speakers and technologists. We urge you to visit the event website '[www.ltfraise.com](http://www.ltfraise.com)' and register for the same.

5. Capability Building - On capability front, we are committed to fostering an environment where every employee feels valued, empowered and inspired, making us truly an employer of choice in the financial services sector. On this front, we continued to strengthen our organizational capabilities through robust employee recognition programs. These include the Champions League (recognizing over 200 top performing employees across the country) and the Zonal Star Awards (honouring over 1,100 top performing employees across key regions), ensuring continued motivation and development of our employees .

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I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

### Financial updates

Sachinn Joshi :

Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter .

### Quarterly Performance:

- Consol NIMs + Fees for Q2FY26 remained stable at 10.22% on QoQ basis and down by 64bps YoY
- Consol PAT for the quarter at Rs. 735 Cr up 6% YoY and 5% QoQ
- Quarterly retail disbursements stood at Rs. 18,883 Cr , up by 25% YoY and 8% QoQ
- Retail book stands at Rs. 1,04,607 Cr (up 18% YoY and 5% QoQ). Our Consol book stands at Rs. 1,07,096 Cr, up by 15% YoY and 5% QoQ
- Consol RoA stands at 2.41%, down by 19bps and up by 4bps QoQ
- Consol RoE at 11.33%, down by 31bps YoY and up by 47bps QoQ

### Retail Businesses :

#### Rural Business Finance

The business registered quarterly disbursements of Rs. 6,316 Cr, delivering a strong momentum with a growth of 16% YoY and 12% QoQ. The book size reached Rs. 27,460 Cr , up by 3% YoY and 3% QoQ respectively , in Q2FY26 .

#### Farmer Finance

In the Farmer Finance vertical, quarterly disbursements stood at Rs. 1,654 Cr in Q2FY26 (down by 7% YoY and 25% QoQ). Postponement of purchases owing to GST rate rationalisation anticipation led to a lower offtake in the month of September. The book size reached Rs. 15,943 Cr, reflecting a growth rate of 10% YoY and 1% QoQ .

#### Urban Finance

The segment comprises Two-Wheeler Finance , Personal Loans, and Home Loans & LAP.

- Two Wheeler Finance : The Two-Wheeler business registered quarterly disbursements of Rs. 2,512 Cr in the quarter , up by 5% YoY and 18% QoQ. The book size increased to Rs. 13,013 Cr, up 3% YoY and 6% QoQ. Notably, 88%+ of Two-Wheeler Finance disbursements in Sept'25 was from the Prime segment as against 53% for the month of March'24. This reflects our focus on quality growth and risk-adjusted returns .



- **Personal Loans:** In the Personal Loans business, we achieved a quarterly disbursement of Rs. 2,918 Cr translating into a growth of 114% YoY and 50% QoQ with the book size reaching Rs. 10,878 Cr, an increase of 52% YoY and 16% QoQ, attributed to the successful scale-up of the big tech partnerships.
- **Home Loans & LAP:** Moving on to Housing, we achieved quarterly disbursements of Rs. 2,713 Cr, up by 7% YoY and a degrowth of 2% QoQ, with the book size at Rs. 27,407 Cr, an increase of 26% YoY and 4% QoQ. Growth in the segment was supported by newer partnerships and a strong network of distribution channels.
- **SME Finance:** In the SME business, quarterly disbursements stood at Rs. 1,468 Cr, up by 18% YoY and 15% QoQ. The book stood at Rs 7,465 Cr (up 44% YoY and 7% QoQ). The focus continues to be on building

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diversifying sourcing channels and expanding sourcing funnels through new partnerships to boost disbursements.

#### • Gold Finance

In the Gold loan business, quarterly disbursement stood at Rs. 983 Cr and the closing book stood at Rs 1,475 Cr at the end of Q2FY26.

Let me now hand over the call back to Sudipta to make his closing statements.

Sudipta Roy:

Thank you Sachinn. In closing, I would like to state that our teams remain fully focused on capitalising on the strong base we have built over the last few quarters and increase the acquisition velocity in the coming quarters. The impact of many of our credit and technology initiatives will start becoming more visible in our financials in Q4F

Y26 and the full scale will play out in the next financial year. Our investments towards best-in-class technology that can act as a force multiplier for our businesses will continue unabated as we continue to work towards achieving our long-term business goals which will be outlined in our Lakshya 2031 plan in April 2026.

I thank you all for joining us today. I once again now wish you all a very happy Diwali. The floor is now open to questions.

Moderator :

We will now begin with the question-and-answer session. The first question is from the line of Praful Kumar from Dymon Asia.

Praful Kumar :

Hi, Sudipta, hi Sachinn, hi everyone. Congratulations, sir, on great execution. Sir, one -- first question is that given that macro prudential provisions are largely used and next year will be much better given all the underlying macro drivers and each of our geographies stacking up very well. Would it be prudent for us to rebuild the provisions in good times as they have helped you in bad times?

Sudipta Roy :

Yes. Thanks, Praful, for that question. As we have indicated in some one-on-one conversations earlier, we would be looking at rebuilding back the macro prudential provisions as and when we have the opportunity of doing that. So as an organization, we are committed to rebuilding it back. However, we would like to rebuild it back from some of the realizations from our ARC portfolios, which some of them are in very advanced stages of resolution. And we probably will have some realizations from them over the next 18 months to 24 months period. And whatever over realizations that we have from them will go towards building the macro prudential kitty once again. So it will not be an immediate exercise. We'll kick off that exercise immediately, but because these assets will keep on resolving over the next near-term horizon, as and when they resolve, we will continue to build the macro prudential provisions from that over realizations.

Praful Kumar :

Understood. And sir, one small question. You had a superb treasury management and the cost of funds is reflecting, one of the first NBFCs to reflect it meaningfully. Despite that NIM plus fees is flat QoQ, is this more the risk calibrated returns that you are contemplating in terms of business model? That's the way to look at it?

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Sudipta Roy :

Yes. Sachinn, you want to take that ?

Sachinn Joshi :

Yes, sure. So NIM plus fee if you look at each component of the NIM, the yields as we have spoken over various calls, over last -- from the time we began our Lakshya 2026 journey. Initially the NIM actually went up because the yields started going up since we were moving towards retail. A time came about 1.5 years back when the overall retailisation sort of got over, around 95% we had reached, after which the further increase in yields was not possible because retail book replacing wholesale book led to that increase. Post that, last four -five quarters, we have seen that microfinance sector has gone through a challenge and the disbursements also were very calibrated. This led to other businesses growing more than the Rural Business Finance, which naturally meant that the change in mix resulted in the yields coming under slight pressure. But as we have seen in this quarter, the Rural Business Finance, the disbursements have again picked up and we believe we have now come through a major part of that crisis, where our collection efficiencies are already 99.50% as of September. And as this book continues to grow, the pressure will naturally ease. We have also begun from last quarter the journey of growing our gold loan business.

s. This quarter was also very good. We did about Rs. 923 Cr. September month actually was about Rs. 400 Cr plus. So as these higher -yielding book starts growing, we will see the pressure on yields coming down.

We believe that NIM plus fee in the range of 10% to 10.5% seems to be possible. I'm thankful for the interest rate cycle to really change and we are now in the downward cycle. RBI has already given a 100 basis point repo cut. There are also talks about further rate cuts coming in. Yes, because of the way we grow our liability book, the PSL advantage that we have, the mix of that book in terms of short, medium and long -term assets helps us in terms of building up a shorter-term book as well in the form of commercial paper. The shorter end of the curve, you've seen that the interest rates have been lower. And we are yet to fully take advantage of that. If you look at the composition of CPs in this quarter's number is just about 7%, average may be about 8% to 9%, but yes there is a scope to grow this book right up to 13% to 15%. This as well as the full benefit of the rate cut has not yet been passed on by all the banks.

So we believe that there will be still some room to have a reduction in weighted average cost, but significant part of it has actually come in. The third component of this is the fee component. The fees this quarter has been down by about 18 basis points on a quarter -on-quarter basis. But I think the range is very clear, from 1.75% to 1.9% has been the range. And if we continue within that range, I think we should be able to manage the overall NIM plus fee in the range of 10% to 10.5%.

Sudipta Roy :

Yes. And I'd like to just add to what Sachinn said is that our business units are continuously being tasked to improve their yields across the disbursements. And so there is a very sharp focus on making sure that we maintain the yields and with the upward bias across all our lines of business, while maintaining the asset quality as well. So overall, yes, as I would like to echo what Sachinn said, our objective is to maintain it in the corridor of 10% to 10.5%. And we are reasonably confident that we should be able to do that.

Praful Kumar :

Fair enough, sir. Thank you and all the best.

Moderator:

Thank you. The next question comes from the line of Mahrukh Adajania from Nuvama Wealth Management.

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Mahrukh Adajania :

Hi, congratulations to you and your team. I just had a few questions. Firstly, the housing disbursements are a little soft on a sequential basis. So is it that you really want to focus on other segments because they are higher yielding? So that's my first question. And then, in general, there has been a growth surprise in the BFSI segment. Do you see this sustaining? I mean what's your view? And if you could give some colour on fees. I know that you said that because of MFI they are stressed, but for better yielding products, would you like -- or to move up the credit risk curve, would you like to sacrifice some yields? Is that the way to look at some fees? Is that the way to

look at it because the benefit on credit cost can be substantially higher ?

Sudipta Roy :

Yes. So I'll take them one by one. So the first question was about Home Loans. So we -- obviously, as you can understand that post the rate cut, there have been significant downward pressure on the revision of the Home Loan rates as well as the market has transmitted and the market has become very competitive, especially for Home Loans . So what we have been doing is that we have been judicious in terms of not entering into a full-blown rate war and operating in segments

where we'll still get the rate efficiency and focusing more against Loan

Against Property . So overall, our loan against property disbursements have gone up and our pure home loan disbursements actually has sort of remained on an even keel, which has led to the little bit of moderation in the overall mortgage portfolio growth. And we expect that this will remain in this state for the next couple of quarters. Obviously, we are -- we will look at way by which we can sort of take our or maintain our home loan yields as well. But obviously, the market is very competitive and sort of downward facing in terms of rates. So that is the reason for that. The second question was -- is that -- I didn't get you. You were saying that it has been -- the growth has been surprising? No, I didn't catch that. BFSI growth you said .

Mahrukh Adajania :

No, in general, so not too many results have come, but there has been banking business updates. And all of them have reported better than -- most of them have reported better-than-expected growth. So there is a growth surprise in the BFSI segment. Do you see it sustaining is my question ?

Sudipta Roy:

Yes, Mahrukh. I see it sustaining. Obviously, you see, if you see the last 18 months the regulator had been extremely cautious on growth and the regulator had been pressing the brakes on growth for quite some time. However, I think the sort of the asset quality clouds, which were also there on many of the segments, like personal loans, microfinance, has reasonably resolved. And that is why you can see that some of the growth spurt is coming back.

Our microfinance business, if you see the disbursement this quarter has been Rs. 6,300 crores. The previous highest of our microfinance disbursement was in March 2024 when we crossed Rs. 2,000 crores. And this quarter, both in the month of August as well as in the month of September, we have seen -- both months, we have done Rs. 2,000 crores plus. So obviously, there is a demand in the market and there is space in the market for organizations to grow. For example, if you look at our Two-wheeler disbursements on a Q-o-Q basis, they have grown by 12%. Our personal loans disbursement on a Q-o-Q basis has grown upwards of 100%. And primarily, that is because of our focus on our digital channels and all of them have fired in. So yes, there is a growth bias. And I would like to add to that that the numbers for this quarter really do not reflect the GST 2.0 volumes. And if I look at the trajectory in October, especially in our Two-wheeler and in our Farm business, there are an order of magnitude difference from what we saw in September. And I do believe this is not only for us, but this will be seen overall in the industry as consumer sentiment improves, as overall asset quality cloud lifts and as well as there's a massive push towards consumption, thanks to the GST 2.0 reforms and overall customer sentiment improving. So, I do believe H2 FY26 for BFSI will be a very strong quarter for growth. And I expect this trend to continue in the latter part of H2 and maybe into FY27 as well . Your third question was on fees ?

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Sachinn Joshi :

No. Moving up the credit risk curve.

Sudipta Roy:

Yes. So -- so see, what -- we are very, very clear. The fact is that we will do business, and I have guided on several occasions that as an organization, we want to build a cycle resilient business. Now what do you mean by cycle resilient business? Cycle resilient business is that as and when the business moves to cycles or the economy moves to cycles, there will be crest and troughs in the credit risk sort of trajectory. You have to sort of

box the crest and troughs in a tight narrow band, so that even when the cycle turns, the risk cost of your portfolio does not go beyond a particular pain threshold. And for that, you can deliver that only when you have about roughly 80% to 85% portfolio , that is the back-of-the-envelope sort of calculation that we have in what I call cycle resilient customers . So yes, obviously, as you move up the cycle, there will be a little bit of downward bias on yields, etc, because your better-quality customers will probably expect a little bit of lower rates. But again, there are ways of balancing that. Customers on digital delivery channels tend to be a little less rate agnostic than

customers on physical delivery channels. So overall, obviously, it's a continuous optimization exercise. And I'm quite happy to note that our teams have been sort of faring quite well on this. And on back of the implementation of Cyclops, it also helps us fine price the segments. That means if I have a couple of segments, I am able to pinpoint the risk cost that would arise out of the segment and price it accordingly. So that the risk-adjusted yield that is expected of us operates in a tight trajectory, and the credit cost also operates in a tight trajectory. So, this is the philosophy going forward. And this is something that as we gain experience more through Cyclops, Cyclops has been in operation for about 18 months -- about 14 months now, 14 -15 months now. As we gain more experience, the science will become far, far more sharper and will help us maintain a very, very tight trajectory going forward.

Sachinn Joshi :

I'll just add -- part of just to add, you know, as part of this strategy, in fact, just to bring the pressure down on our dependence only on the rural business finance, we have acquired gold loan business, and that will be one of the key thrust areas because that's a secured book and reasonably good yields. So, we would like to try and balance out. Your question was also on the housing piece, whether it will be -- whether we are soft peddling that. But the fact is that housing book being secured, it's absolutely necessary to be a part of your balance sheet. But at the same time, you cannot accelerate the growth to a level where your NIM plus fee starts getting impacted. So, it will surely be a significant part of the book. It is a significant part, but it has to be supported well by a mix of both secured as well as unsecured books, reasonably high-yielding portfolio so that we have -- we are in a position to give decent ROAs and ROEs that we have targeted for.

Mahrukh Adajania :

Okay. Thank you so much. Thanks a lot.

Moderator :

Thank you. The next question comes from the line of Kunal Shah from Citigroup.

Kunal Shah :

Yes. Congratulations for a good set of numbers. Firstly, maybe in terms of the credit cost trajectory. So earlier also, you had indicated that by end of FY26, we would be closer to 2.3% to 2.5% -odd. And this would be without, I would believe, now the utilization of the buffer. But as you indicated like the larger part of the benefit of all these

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investments on the credit underwriting side will reflect in FY27, how should we eventually look at the normalized credit cost over the medium term.

Sudipta Roy :

Thanks, Kunal. What we would like as an organization to aim for a 2% credit cost trajectory. That is what we would aim, aim for a 2% credit cost trajectory. So over the medium term, the numbers will tend towards that. Obviously, on a Rs. 1 lakh crores book with what I call a number of high-velocity businesses like Two-Wheeler, microfinance and some of the climate

technology-dependent businesses, on which we literally, as an organization, have no control, like farm business, etc. This has a little bit of cyclical nature in this. So though, our objective through our credit models is to take out the cyclical nature as much as possible, but we do believe that over the near-term, that means in FY27, we'll trend closer to that 2% target. It's very difficult for me to put my finger on and say which quarter we will hit that. But directionally, you will see the movement. You will see directionally see the movement. We are already seeing the movement through the early indicators of our Cyclops underwritten portfolio. And as you can see, the three businesses, three, I would call the high-velocity businesses, like Two-Wheeler, Farm as well as now in SME, they are already under Cyclops. We're implementing personal loans this quarter. Over the next quarter and probably the first half of FY27, we'll see the implementation in home loans, loan against property as well as rural business finance. So overall, I do believe that through those interventions and through the automated portfolio monitoring that we have, which allow us to see risks much earlier, then it becomes apparent. So, we should be able to trend closer to that 2% risk cost trajectory.

Kunal Shah :

Yes. And you shared the numbers with respect to bounce rates in Two-Wheeler and net non-starters in Farm equipment. But if we want to understand maybe how the credit cost behavior in these two particular segments have been. We have earlier indicated, by September, we should see it picking out and thereafter second half should see a much better improvement out on those front. So, if you can highlight maybe apart from those early indicators, how is the credit cost in these two segments? Where is it settling? And for 2% number, what are we

expecting these two segments to contribute in terms of the overall credit cost, yes ?

Sudipta Roy :

Kunal, probably going into a couple of, sort of data points over the call might -- this call might be difficult, but I would urge you to attend our Investor Digital Day, where we will give the investors a flavor of this . So, we will try to give some granular flavor of this, which I believe will paint a much more coherent picture than me giving some numbers on the call, which might not give the full picture. So, I would request you that the answers to this will be provided on the 6th of November 2025 in our Investor Digital Day .

Kunal Shah :

Sure. And if one last question, I can squeeze in. So, particularly on the growth, like again, LAP, SME, consumer loans, everything is growing quite significantly. So do we see this scale up continuing? Are we confident with respect to overall personal loans, SME and LAP given maybe there are maybe tariff concerns out there, personal loans, not very sure if it is -- maybe most of them are indicating it is stabilizing and improving. But what is the scale up and what is the proportion which we can take in these three particular portfolios ?

Sudipta Roy :

See, again, this is what I would say is that we will have risk calibrated growth . So, the fact is that you have to understand that -- what we have originally guided , we have originally guided is that AUM growth rate between 20% to 25%. This is what we have guided . So again, at times, there are gaps in the market when everything is

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benign, you might -- and you can have a little bit of higher trajectory of growth. However, our growth is, as we have said in many occasions that, we are a risk -first technology - first company . And the fact is that our growth appetite is tempered by the indications o

f market risk or emerging risk that we continuously see. So as of now, we see good growth potential ahead, and we are reasonably confident, thanks to Cyclops sort of tapping that growth, without letting any risk hotspots developing in our portfolio. So back of GST 2.0, we see a good spurt in farm business, tractors. We see a good spurt in Two-Wheelers . But again, when we are participating in that spurt, we are very, very clear that we only take that segment of customers that matches our risk profile. Now if that gives us a 20% growth, so be it. If that gives us a 25% growth, so be it . But the fact is that -- so please understand. Here we are not chasing any particular growth number . What we are chasing is risk calibrated growth. Now if the risk calibrated growth makes us hit a particular number, that is the number that we'll report to the market . So -- but given the fact that we are seeing good customer sentiment, good consumption sentiment and the GST 2.0, especially in the wheel segment pushing disbursements. And it's not only about GST 2.0, for example personal loans. Personal loans, our digital channels have fired really well because the fact is that the extensive model building that we do with each of these partners, with a particular risk cost in mind, help us sort of catch a customer of a particular credit profile. And given the fact that if this digital channels start firing -- because you have to understand that in acquisition, the digital channels, if properly delivered -- if they properly deliver the customer experience, is the least frictionless way of acquisition. And sometimes if the channels are operating at their full stack efficiency, your growth can be very, very high without compromising on risk. So, overall, it's a -- many factors are here at play. We -- but again, I would like to send the message that we are not chasing any headline growth number. We have guided for an AUM growth for the full year between 20% to 25%. We are confident that we'll hit it that. But given if there are gaps in the market, if there are benign spots in the market, if there are markets where risk -calibrated growth is strong, we will not shy away from participating in that .

Kunal Shah :

Sure. Got it. Thanks. Thanks and all the best.

Moderator :

Thank you. The next question comes from the line of Kaitav Shah from Anand Rathi .

Kaitav Shah :

Yes, sir. Congratulations on your -- on a good set of numbers. Sir, if you can share about when you started the journey and as of today, some technological changes that have happened and which you would like to highlight Digital Day coming up, but just for our understanding couple of highlighted points that, you know, you would like to -- that stand out for you, that would be great for us .

Sudipta Roy :

See, I think the biggest sort of change has been our underwriting through our Cyclops underwriting engine. So it is pretty state -of-the- art, already in Version 3. And I'll be very, very honest, when we started building it , and we

will give double clicks on some of the results during our Digital Day, when we started building it, we probably did not anticipate the impact of that on some of these high-frequency portfolios so quick. So, some of the results came in very thick and fast and which helped us also optimize that channel also very, very fast, and has given the -- actually the confidence to scale up our volumes as well in this festive period. So, that has been really a transformative initiative. And it's not that it has -- it is delivering result only in the Two-Wheeler business. It is delivering in Farm. It -- SME has gone live. We are seeing the leading indicators in SME also within 2 months, in terms of reduced net non-starter numbers. So -- and I'm 100% certain that it will give the benefit in personal loans as well and SME and MFI and mortgage as it goes -- gets implemented in those going forward.

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The next tool, which is Nostradamus, which is our automated portfolio management engine. Again, I do believe that it is something the market is probably not fully aware of what has been built, and we will take the covers off it during our Digital Day. So, you will see sort of the beta version of it during the Digital Day, and we'll be demoing it as well. So that has been another significant achievement.

The introduction of our copilots for underwriting, especially the GenAI-based SME copilot, wherein a file which used to previously take about anywhere between 3 to 4 hours to underwrite is currently being underwritten in sub-30 minutes. And to the extent that the SME copilot also tells the underwriter for the PD questions. It also -- so it sort of indicates. So, that has been quite -- and it's a new rollout that has happened. It went live about a couple of days back. That has been -- and overall, the stabilization of the core engineering platform, the movement of omni platform sales force for all our lines of business, barring microfinance as of now. And also, for example, our PLANET app. Our PLANET app in terms of servicing has been extremely transformative. A large amount of our servicing and sort of cross-sell and acquisition is now carried through our PLANET app. I'm not so sure whether all of you are aware that our PLANET app got awarded the Best Digital Finance Experience Application in FY25 in India in the Global Fintech Fest. We have spent quite a lot of time, effort and energy in sort of building PLANET to absolutely global standards in terms of user experience and user interface. So that was a vindication of that in receiving that during the Global Fintech Fest. And this is not the stop. The fact is that our GenAI-based collection sort of initiatives, including our entire collections calling through voice bots has sort of matured over the last 2 to 3 months, and we expect to scale it up much further and deploy it in customer service as well as in collections with even more frequency across all our lines of business. So overall, I think for us, technology is moving forward on all facets, in credit underwriting, in acquisition, in customer servicing, in collections as well as simplifying the operating processes within the organization as well.

So, as I said, the philosophy of being technology-first is taken very seriously by people in the organization right now. And as an organization, we are focused on lifting the tech DNA of the entire organization. So in a way, I think over the last 24 months, this transformation has gone out quite well.

Moderator :

The next question comes from the line of Avinash Singh from Emkay Global Financial Services Limited.

Avinash Singh :

A couple of questions. First one is on operating expenses. So there is kind of a material improvement there. Also, if you can sort of guide, I mean, going ahead, once things sort of normalized, you have kind of a different way of -- I mean, like your digital sourcing picks up and all kind of things happens. Where is the kind of a steady state probably this opex to AUM will look likely in FY27? I just wanted to know the sustenance of this kind of improvement. And the second, the 2% credit cost guidance you are referring to over medium term, is that kind of assuming some changes to your product mix or is it largely based on the current product mix which you have and with all these -- kind of your Cyclops eventually going to all the product lines, and that leading to the improvement?

Sachinn Joshi :

Thanks, Avinash, for your question. Firstly, let me address the operating expenses related question. The opex, if you recall, we have

guided that our opex plus credit cost, which started off as a 7% kind of thing. Slowly and steadily, you would have seen that it has been coming down. It was actually 4% opex, plus 3% credit cost. Credit cost, you've already seen that we actually guided it down to around 2.3% to 2.5%.

The operating expenses, there are 2 components to it. One is the business-as-usual expenses, and the other is the investments that we have been making. You see quarter-on-quarter some changes happening in terms of percentages, more to do with the investments which have been -- which don't happen absolutely on a week-to-week or a month-to-month basis. We have been investing in setting up branches. Last quarter, we have actually set up 84 rural LAP branches. We have also set up meeting centers, about over 150 meeting centers. We have also acquired the gold loan business. So that has also impacted in terms of the incremental opex plus the goodwill

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that was paid -- the premium that was paid to acquire that business. So , all these are components which go in. And then, of course, the investments in technology. Sudipta spoke about how we have been investing in building up Cyclops, Nostradamus and all. So I think it's a mixed bag. We will continue to be in this growth phase for at least next 15 to 18 months minimum. So , there will be investments because we have to ensure that the future remains intact in terms of building up top line.

The businesses which we built now, especially the last 2 to 3 years, we have built up on SME, micro LAP, personal loans and now we have acquired gold loans. So there will be investments in continuing to build on these businesses plus expansion that we take up for these businesses we'll need some -- both operating expenses as well as capital expenditure.

So, the range now will surely come down from 4% to -- 4% plus 3% to somewhere around -- 7% will come down to about 6.5% and then to 6%. So as these investments stop, you will see this -- directionally, the operating expenses coming even below 4%. But I think there is some time for it because it's very easy to bring down that cost, but then we have to keep the future in mind.

On the credit cost piece and the RoA targets that we have talked about, yes, the key businesses we are already into. We will be starting to work on our Lakshya 2031 plan shortly. We should be done with it , with the Board approvals by April next year. And we would perhaps at that point of time come up with some new businesses. But what we talk about at this point, a significant part of the RoA tree that we spoke about would be -- is a construct based on the current businesses that have enough potential to grow. I hope I have answered your question .

Avinash Singh :

Yes. Very clearly. So that 7% going to eventually 6.5%, eventually to 6%, so probably are you looking like the 6% kind of a thing in FY27 or beyond ?

Sachinn Joshi :

Yes, FY27, it's quite possible. Like I said, as of now, there is some visibility on what investments we want to make, right? But as we move into the next year, we will -- if we take a call on introducing some business, then yes, there will be investments required . So rather than going by the percentages, I would suggest that we need to look at where the investments are going in and whether they are going to help us in terms of maintaining the RoA, RoE trajectory and then building on it .

Sudipta Roy :

See, one of the things that we have to understand here is that a large proportion of the cost profile of an NBFC also is collections costs . And the fact is that as the credit clears and as the portfolio quality improves, you see a

,  
pari-passu, dip in collections costs. So , what happens is that it's a multiplier impact. Your credit cost reduces, your collections cost also reduces. And the speed at which that your credit cost reduces, pari -passu, your collections cost will also reduce at the same speed . So in -- what we expect is that over the medium term, as our portfolio credit cost comes down, you will see a release in the credit cost as well -- collections cost as well. And this too will overall push us to -- as Sachinn guided, from that 7% to a 6% trajectory. And we do believe that achieving that somewhere during FY27 is possible. But again, it is contingent on how the market behaves, what is the environmental condition at that point in time, is there a long tail risk, which we do not know right now develop. So, it is too early to comment on this. But I do believe that we should see it sooner than later .

Moderator :

The next question comes from the line of Bhavik Dave from Nippon Mutual Fund .

Bhavik Dave :

Sorry if I am repeating my question because I was out of the call for the first 30 minutes .

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Moderator :

Bhavik, I am sorry to interrupt you. There is too much of background noise .

Bhavik Dave :

Okay. So, two questions. One is on the consumer business. Just wanted to understand when we scale it up in terms of disbursement, what is a commensurate cost? Because when I look at your cost line item, that's dipping down. And incremental growth is coming from consumers, where I believe that the payouts are reasonable in terms of originating the business by via partners? So, I just want to understand how is that chugging along, and the growth is higher there, and the costs are inching down? That's one.

And second question is on, again, on the Stage 2 provisioning. What would be the exit for the Stage 2 provisioning coming down quarter-on-quarter? And declining trend, is it because of the better outcome that we're seeing on Cyclops underwriting or is it -- what is the story there will be interesting to hear that?

Sachinn Joshi :

Yes. Bhavik, the first question with regard to the personal loans business. So, the Personal Loan business, as Sudipta mentioned, this quarter, almost 40% of the disbursements have happened through the financial partnerships that we have tied up. The commercials on that are different for each partner. But very clearly, the commercials are much lower than the normal DSA costs, which otherwise are incurred. So, you will see that the cost of doing this business are much lower as well as the fact that the funnel -- the customers that come through this funnel are much more -- are much better in terms of quality because they are more salaried, prime kind of customers, more bank-like.

Number two, the Stage 2 provisioning that you talked about. Stage 2 provisioning, Stage 1 and 2 had the macro prudential provision sitting over there. And as we have been utilizing the cover from Stage 1 and 2 has been going down. So, it's just arithmetic.

Bhavik Dave :

Perfect. Just one clarification on the previous answer is, on the cost that we incur on acquiring these loans and consumers, that is all cap ex -- that is all expensed out in the quarter itself and would have to pay 1%.

Sudipta Roy :

Yes. So, I'd like to add to what Sachinn said. What we do is that typically -- typically on digital channels, you tend to get a little bit of higher realization than you would get from the same customer on a physical channel. For example, if the customer is willing to give you a 13% rate of interest -- agree to a 13% rate of interest on a physical channel. The same customer when delivered digital

lly, probably will agree to 14% -14.5%, primarily because the speed of delivery is much, much higher to the customer. So, generally on digital channels, you tend to have a little bit higher realization.

And the second thing is that the digital channels are, I would say -- there are -- if you look at expenses of channels, your DSA channel or direct sales channel is the most expensive channel, followed by the digital channel, which is the partnership channels. Organic digital channels are actually the most expensive, where you generate organic leads from Google or from Facebook, etc. But the direct partnership channels are in the middle cost level, which means that they are cheaper than the DSA. And obviously, the quality that comes along with it primarily because of the various data exercise and the consumption of trust signals from some of these partners, quality is an order of magnitude different.

So, from a P&L standpoint, risk adjustment standpoint, the cohorts are far more better than probably even the DSA cohorts. And the last channel is obviously, which you originate on your own is the cheapest -- is your own cross-sell base, or your own pre-approved base. So, these are the 3 sort of cohorts through which you acquire

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customers. Again, for us, it's very important to maintain a fine balance between both because we would also not like to maintain a concentration of origination in one channel. We would like to distribute the origination across a couple of channels. So that's why you will find us operating in the DSA channel, you will find us operating in the digital channel as well as you'll find us operating in our own channel as well as our preapproved channel. But overall, the objective for all of us is to make sure that the origination cost is as low as possible and obviously, again, with an eye on quality.

Moderator :

We take the next question from the line of Prithviraj Patil from Investec.

Prithviraj Patil :

Yes. So, my one question is on the MFI part. So, if I look at the 0 DPD collection efficiency that's been mentioned, it's largely in line with what was the last quarter -- last couple of months. It's at 99.5%. So, do we expect this to be the new normal in the MFI lending space or is it supposed to get better from here? Like if you could just throw some light on how to look at this?



Sudipta Roy :

So, you see the 0 DPD collection efficiency, obviously, is at 99.5%, but there is some improvement over what it was last quarter .

Sachinn Joshi :

99.35%.

Sudipta Roy :

Can I have the last -- 99.35%, right? So , the 0 DPD collection efficiency for pan -India was 99.35% at the end of last quarter. It is about 99.5%. So there has been a 15 basis points improvement over the last 3 months period. See, again, we are improving slowly in this . So, the pace of improvement will probably slow down going forward. But again, a large discriminant on this was Karnataka on which we have given the data on Karnataka during the call, where Karnataka, we have seen a significant improvement over the last quarter. Over the last quarter in Karnataka, we have moved from about 98.18% to 99.06%, and we ended September with 99.18%. This is available in Slide 38 of our investor presentation.

We expect this to move further. Over a period of time, which is as we -- between Q3 and Q4, we'll move to about 99.6% -- we hope we'll move to about 99.6%. However, I know we have to see how it pans out in the market. And -- but yes, to answer your question, there will be an upward bias to this particular number. But the climb up from this particular level will be slow .

Prithviraj Patil :

Okay

. And if I can just ask another question on the cost of funds ?

Sudipta Roy :

Yes.

Sachinn Joshi :

Yes.

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Prithviraj Patil :

So, the cost of funds has come down dramatically. So , I just wanted to know what is the reason behind that. Because if we look at the fixed floating split that you have given for the one -year gap, the assets -- the repricing assets are higher than the liabilities. I just wanted to know why the cost of funds have come down .

Sachinn Joshi:

So, a couple of reasons. We had actually gone for some ECB borrowings in the end of Q1, but the drawdowns and all have happened in tranches. Those have come in at better rates. There have been -- you would have seen the overall mix where we have the direct bank loans PSL and bank loans non -PSL. There are loans which actually come up for -- which are linked to, I would say, either the T -bills or a variable rate, which leads to reduction. Number three is the commercial paper rate, the short -term rate. We just made a mention of the fact that gold loan business has also picked up. So , our ability to actually -- the ALM permits us to have more short -term assets and correspondingly short -term liabilities in the one -year bucket, which enables us in also taking advantage of the short -term rates.

So, it's a mixed bag and add to it, the liquidity that has to be kept. RBI has been keeping enough liquidity in the system of about Rs. 1.5 trillion to Rs. 2 trillion on an ongoing basis. That also ensures that we don't have to keep liquidity the way we otherwise keep when situation -- external situation is a bit tense. So , it's a mix of all these things, which has actually resulted in a reduction in the overall weighted average cost .

Moderator :

The next question comes from the line of Shreepal Doshi from Equirus .

Shreepal Doshi :

Hi, sir. Congrats on a good set of numbers. My question was on personal loans again. So , in that, what is the customer profile that we're targeting, the CIBIL benchmark and also the pricing that we have at a blended level for that segment? And just harping on the channel partners. So , what are the typical payouts there for DSA and for the online channel ?

Sudipta Roy :

So, our focus on personal loans is pure salaried customers . That is our focus area . So, we want to build a portfolio that is 80%, 85% salaried, on the Personal Loan side. So , when we -- for example, if you look at our DSA channel, we do not source customers who are non -salaried . So similarly, on our digital channels, the focus is on acquiring salaried customers. So that's from a customer segment point of view. You can say the average pricing of our Personal Loans product, it varies by channel, but it -- the average pricing varies between 15.5% to 16.5%. So , this is the average pricing of our personal loans portfolio.

And in terms of payouts, the DSA channel typically has a payout of 3%, which is not known -- which is now known widely in the market. But the fact is that for digital channels with every digital partner, we have a different arrangement . So, there are some partners who operate on a low origination fee and a share of profits for portfolio breakeven. So , there are varying models that you have. So , it will be very difficult for me to paint in one particular sort of blend .

Shreepal Doshi :

Okay. So then 15.5% to 16% is a blend -- is a yield bracket. So , then what is the CIBIL benchmark that we have for these customers? And also, so 27% of these customers are existing customers wherein you're doing cross -sell, I guess. So , these -- so that -- so what would be the original, or let's say, the base case product that

these

guys would have taken from us ?

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Sudipta Roy :

Yes. The base case -- the cross -sell customers are mostly seasoned vintage Two-Wheeler customers. So , majority of our cross -sell comes from season vintage Two-Wheeler customers. And if you would want to know what is the average, CIBIL benchmark score would be 750 plus is what we would be targeting for most of the customers . And again, if a customer has a much higher score, probably they will get a little bit of risk -adjusted rate. But average would be about CIBIL 750 plus .

Moderator:

The next question comes from the line of Chintan Shah from ICICI Securities .

Chintan Shah :

Yes. Thank you for the opportunity and congratulations on the performance, steady -state performance. So firstly, just h arping on the credit cost part again. So , we believe probably it could be around 2 -percentage odd by -- over the medium -term. What -- so how are we looking at the portfolio mix over the medium -term, say, by FY27 and given that now, MFI, we already have the guardrails and so it would be a slow mov ing portfolio for us. So , what would be the typical other portfolios which will be growing at a faster pace? And how would that compensate for the yield part? Yes, that's the first question .

Sudipta Roy :

Over a period in time, we want to move to a secured -unsecured profile of about 65 -35, over a period of time. But currently, we are -- our first port of call would be -- about a 60 -40 level would be our first port of call. So Gold Loans that we acquired, obviously, is a secured high -yield portfolio. As you heard earlier in the call that we'll be doing 200 more branches during this period in time. So, we will be sort of deploying th ese 200 branches in the latter part of the year . And then obviously, we have our sort of m atrices into high risk, medium risk and low risk. So overall, the way we look at the portfolio is that Gold Loans will continue to grow. Gold loans is a fully secured high ROA, low -risk product, is actually probably the lowest risk product as of now . Then you have mortgage. But mortgage, again, we will balance the growth on mortgage primarily because of the downward rate considerations that we have.

Personal loans, the one we originate -- Personal Loans , obviously, we will originate in a risk -calibrated fashion. MFI, I believe that the geographies that we are expanding, we'll see reasonable growth. I think on a steady -state basis, 15% growth on a year -on-year basis on MFI is still possible . I'm not advocating that MFI should grow at 15%, at a 25%, 30% level as we saw in the previous two years. But I do believe that a 15% growth rate on MFI is a safe speed to grow.

SME, if you see post implementation of Project Cyclops, we are very, very confident of our credit paradigm in SME. So SME business, especially the prime SME business is what we will continue to grow. And Two Wheeler gives us a lot of confidence right now, given the leading indicators from Project Cyclops are fully visible to us and we know that the signs of acquiring risk -calibrated prime customers is working. We will continue to accelerate that. And on the Two Wheeler business, the Two Wheeler business has been tasked within those paradigms to take the rates up northwards by giving -- delivering a much better experience to customers . And so -- and on the tractor business also, we are seeing a lot of credit efficiencies, a lot of collections cost efficiencies. And given the

fact that we have healthy reservoir levels, we have good GST 2.0 benefits where the headline GST on tractors have been slashed from 18% to 5% . I do believe that this segment will see v

ery good growth rate in H2 and even going forward into FY27 as well .

So overall, all these -- all categories of our businesses will continue the strong growth trajectory upwards. And as I said earlier in a question, the focus on maintaining the sort of the yields on all these businesses is very, very strong, and we'll try to maintain that .

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Chintan Shah:

Sure. And just one last thing from my end. I think you had earlier guided for around 2.8% exit R oA by Q4FY27. So, this is -- this still holds, right? And does this include any benefit from the SR recoveries ?

Sudipta Roy :

No. See, the 2.8% to 3% R oA that we have said that we expect to hit somewhere around exit FY27 is without factoring in any SR benefits. It is on an organic basis .

Moderator :

The next question comes from the line of Shweta from Elara Capital .

Shweta Daptardar:

Congratulations on good set of numbers. Sir, I just have one question. Given the fact that we have implemented Project Cyclops now on the MSME financing verticals as well, sir, can you substantiate or quantify in terms of demonstration of improvement in asset quality parameters, say, bounce rate reductions, etcetera? And any headwinds do you still see persisting in MSME portfolio? And how overall trends are stacking up in the industry? That's my one question .

Sudipta Roy:

Thanks, Shweta. The SME business, Project Cyclops full implementation has happened only 45 days back. There has been a smaller sort of -- and when you implement this, we go in a graded fashion. We take a small portfolio. We implement it. And then over a period of time, over, which is 3 -4 months ' time, we sort of flip the entire portfolio into Project Cyclops. So, the leading indicators of bounce rates, etcetera, on the SME portfolio, SME underwritten Project Cyclops portfolio, Project Cyclops underwritten p ortfolio is encouraging. But I would say it is too early for me to give any indications that it is working well. Probably by the time we move into the Digital Day on the 6th of November, we'll have some early reads. So , on the 6th of November, probably we'll be able to answer this question of you with a far greater degree of confidence than immediately that whether there is a meaningful difference. We have seen a small cohort. There is a meaningful difference in a small cohort. But by 6th of November, we pr obably will see a full month of underwriting coming through. So probably we'll be able to give more nuanced details there. So -- and overall on the SME segment, yes, we saw some risk develop on the outside margin, especially on SME ticket sizes of Rs. 25 lakhs and below. But if you see our average ticket size on SME is between the range of Rs. 65 lakhs to Rs. 70 lakh s -- sorry, Rs. 29 lakhs, sorry. Yes, Rs. 29 lakhs. So , we operate on the -- in the UBL, especially, we operate on the higher end of the spectrum. And we saw some of this risk on the margin developing almost 6 months back. And we acted at that particular point in ti me and tightened our guard. So as of now, we see dissipation of some of those initial risk indicators that we had seen. And after Project Cyclops has got implemented, we are pretty confident of the risk trajectory going forward .

Moderator :

We take the next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services Limited .

Abhijit Tibrewal :

So just trying to understand this, like in the previous few participants, you gave a very detailed commentary on how we are looking at growth across our different segments. If you could also cover what are the asset quality trends, again, qualitatively, in the various product segmen

ts where we are...

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Moderator :

Abhijit, I do apologize to interrupt you there. Your voice is not audible .

Sachinn Joshi:

We can't hear you.

Moderator :

Abhijit, we do apologize to interrupt you there. Sir, Abhijit has left the call and the question queue. Ladies and gentlemen, we take that as the last question and conclude the question -and-answer session. I now hand the conference over to Mr. Sudipta Roy for his closing comments .

Sudipta Roy:

Thank you. Thank you for joining us on the call. I -- before I close, I would like to invite all of you for our Digital Investor Day on the 6th of November. The invites of that will be going out shortly from our Investor Relations team. On the 7th of November also, we have RAISE, which is our AI conference, which is organized by L&T Finance. And this year, we have got a marquee lineup of speakers. And this is going to be bigger and better than last year. And we have Pitch Point this year, which is the AI start-up competition, as well. All the details and the agenda is available on [www.ltfraise.com](http://www.ltfraise.com).

All our investors will be auto registered for RAISE as well . And we will be happy if you can share part of the time out of your busy schedules with us on 7th of November as well, where in the demo section, we'll be showcasing some of our sort of tech developments as well, which are in live -- in production.

This quarter obviously has been the quarter in which we continue our normalization trend towards some of the business lines which had seen some headwinds in the previous couple of quarters. On the back of GST 2.0 and on the back of the good monsoons, I think we're going to see very good consumer sentiments in H2, which will lead to greater offtake of products and services and which will obviously boil down into better credit demand. And we are hopeful as an organization, we'll be able to participate in that in a calibrated fashion.

I wish all of you and all of your families a very happy Diwali and best wishes for the festive season ahead. Thank you so much, and I look forward to meeting many of you on the 6th of November at our Digital Investor Day.

Thank you so much.

Moderator :

Thank you. On behalf of L&T Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any

## Call: Nov 2025

INTERNAL November 13, 2025

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor Digital Day

Dear Sir / Madam,

Further to our letters dated October 16, 2025, and pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Digital Day held on November 6, 2025.

The above information is also available on the website of the Company i.e., <https://www.ltfinance.com/investors>.

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited)

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel (present):

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Raju Dodti ( Chief Operating Officer)

Mr. Ramesh Aithal (Chief Digital Officer)

Dr. Debarag Banerjee (Chief AI & Data Officer)

Ms. Sonia Krishnankutty (Chief Executive – Rural Business Finance)

Mr. Asheesh Goel (Chief Executive – Farmer Finance)

Mr. Jinesh Shah (Chief Executive – Urban Secured Assets & Third -Party Products )

Mr. Manish Kumar Gupta (Chief Executive – Urban Unsecured Assets, Payments & Partnerships )

Mr. Abhishek Sharma (Chief Executive – SME Finance)

Ms. Kavita Jagtiani (Chief Marketing Officer)

Mr. Karthik Narayanan (Head – Investor Relations)

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Karthik Narayanan :

I welcome you all to the L&T Finance Investor Digital Day 2025. The L&T Finance Investor Digital Day coincides with the flagship premier AI and Tech conference RAISE 2025 being held tomorrow.

We have with us today our Managing Director and CEO, Mr. Sudipta Roy and other senior management members.

The agenda and flow of the L&T Finance Investor Digital Day is as follows: it starts with a presentation by our Managing Director and CEO, Mr. Sudipta Roy, delving on his tech vision and execution roadmap at play in L&T Finance. This is also followed by a presentation on the digital architecture roadmap implemented by our Chief Digital Officer, Mr. Ramesh Aithal. Following that, you will have a presentation on the deep dive of Project Cyclops and Project Nostradamus , our proprietary AI -based underwriting and portfolio management engine and other AI use cases in L&T Finance by our Chief AI and Data Officer, Dr. Debarag Banerjee. This will be followed by presentations on digital use cases along with business updates by our Chief Executives: Ms. Sonia Krishnankutty, Chief Executive, Rural Business Finance, Mr. Asheesh Goel, Chief Executive, Farmer Finance; Mr. Jinesh Shah, Chief Executive, Urban Secured Assets and Third Party Products; Mr. Manish Gupta, Chief Executive, Urban Unsecured Assets, Payments and Partnerships, Mr. Abhishek Sharma, Chief Executive, SME Finance. Following that

the last set of presentations will be by our Chief Operating Officer, Mr. Raju Dodti, providing the go -forward strategy of our new product, Gold Finance. The wrap -up to this august event will be with a presentation by our Chief Marketing Officer, Ms. Kavita Jagtiani, shedding light on our branding and marketing strategy. The session will then culminate with a detailed Q&A anchored by Mr. Sudipta Roy, our MD and CEO, and Mr. Sachinn Joshi, our CFO.

So, before we proceed, as a standard disclaimer, no unpublished, price -sensitive information will be shared during the presentation and ensuing discussions. Only publicly available documents will be referred to, for discussions during this meet, while all efforts will be made to ensure that no unpublished, price -sensitive information will be shared. However, in case of any inadvertent disclosure, the same would in any case form part of this meet.

Further, some of the statements made on today's meet may be forward -looking in nature. A note to this effect is provided in the presentation uploaded on the exchanges just around half an hour back. Also, before we begin, we request you all to kindly, put your mobile phones on silent mode.

I would now like to invite Mr. Sudipta Roy, our MD and CEO, to please come on stage and provide us with a detailed perspective on his vision for L&T Finance. Thank you. Over to you, sir .

Sudipta Roy :

Good evening, everyone. And thank you all for taking time from your busy schedules to join us today evening. For those who are joining us for the second time, we did the Investor Digital Day for the first time last year. Welcome back. And those who are joining us for the first time, we hope that the next couple of hours will give you a deep dive into our tech initiatives and our growth and execution plan for the next couple of quarters.

Now, there is a quote loosely attributed to Lenin, where he said that, there are decades in which nothing happens and there are weeks during which decades happen. If you look at the geopolitics, that has sort of been stressed on us this year. You know, it's almost like decades have happened in weeks, as well as if you look at the tech space, the speed at which things have been moving in the tech space have been quite blinding, with new models being introduced with every passing week. And in fact, I don't know whether you caught the news, an Indian LLM -- a Voice -AI based LLM broke into number 4 rankings, a startup out of Bangalore, and it was published yesterday

only, so Indian startups are also catching up.

That's a little about me. But if you were to ask ourselves, what did we achieve since the last time we met? We met in November last year on the backdrop of RAISE 24. Tomorrow, we have RAISE 25, the second edition of our flagship AI Summit. We have done a lot of things, but I'll focus on four most important sort of achievements. I think we have accelerated our core business and added new growth engines. Last year, to this very time last year, the microfinance industry was going through an asset quality issue, the entire industry. But I'm happy to report that -- that is a passing phase, and the industry has more or less resumed its journey on coming back to

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normalcy. And you will see that our Rural Business Finance disbursements in the month of October at about Rs. 2,160 crores, a 42% jump over what we did in October -24. Our overall disbursements, we did our highest monthly disbursements in October -25 and crossed Rs. 8,000 crores for the first time, obviously, on the backdrop of the huge consumer demand that we saw, especially in the wheel segment driven by the

#### GST 2.0 Reforms. Our Urban

Finance vertical clocked a 49% growth on an year-on-year basis in terms of disbursements and this was largely led by our Two-Wheeler and our Personal Loans business, with Two-Wheeler crossing almost Rs. 1,600 crores disbursement for the first time. Our Farmer Finance, again, the Tractor business also had a push from the GST 2.0 Reforms and clocked a 21% growth rate. And SME Finance, after some re-calibration, has resumed its growth path at about 17%. Our Gold Loan business, obviously, is a new line of business and it has stabilized very well post-acquisition and then clocked about Rs. 457 crores of disbursements.

This is one most important thing. The last time we met, Project Cyclops, our proprietary AI-based engine, credit engine, was still in beta phase. We actually operationalized Project Cyclops for our full Two-Wheeler business in the month of January, and now it's a full-fledged machine, working now on our Two-Wheeler business, on our Tractor business, as well as our SME business. And it's a pretty large piece of software right now in Version 3, and our Chief AI and Data Officer will take you through all the details about it. But it's about 1 million lines of code, 55-plus algorithms, 75 + data scientists and engineers working behind it, about Latency on the various models between 50 milliseconds to 700 milliseconds, 1 million loans underwritten. And we have the performance leads for this. So Debarag, in his presentation and the individual Chief Executives in their presentations will give you the performance metrics of how Project Cyclops has been operating as well.

We told the market that we will bring our automated portfolio management engine, Project Nostradamus, to a beta mode in this quarter. We launched it in the month of August, and right now it's live in our Two-Wheeler business. Again, 13-plus algorithms, about 200-plus banking variables getting analyzed every month on an automated basis, and we have about 30-plus engineers and data scientists supporting it. Obviously, this number will grow. And we plan to push Project Cyclops into Personal Loans in the month of November and December, and lay the ground for building it for Rural Business Finance, as well as Mortgage businesses next year.

We have scaled up the partnership of disbursements through our Large Partnerships to meaningful volumes. The last time we met, we did about Rs. 157 crores. This quarter, we did about Rs. 1,138 crores, and you can see that the string of partnerships that we have added, and we are going to add a couple of more in the next couple of months. And this number is scaling at the rate of maybe about between 7% to 10% every month. So, the numbers are scaling quite well. We are not only doing Personal Loans, but we are also doing Two-Wheeler loans, as well as Mortgages through the Large Partnerships and we do believe that the Large Partnerships help us get a large qualified pool of customers, and the trust signals that we consume from these businesses help us actually maintain significant amount of credit quality, which would otherwise not be possible, if you were to get them from the direct sales channel.

The fourth large sort of block, obviously, the acquisition of the Gold Loans business and the rationale for acquisition of the Gold Loans business was simple. Our micro-loans customers actually had borrowed Rs. 17,000 crores worth of gold loans. So, we thought that that gave us a natural potential -- cross-sell potential to tap into this customer base and build our Gold Loans business. The acquisition of the Gold Loans business has actually cut our time to scale by almost 24 months and we got 130 branches, about 700 employees, and we finished the integration in a record time of three months. In fact, we launched our first new Sampoorna Gold Branch in Ujjain on the 30th of October. The concept of Sampoorna is that we not only do Gold Lo

ans, but we do other products

as well through these branches, so that we are able to amortize the cost of the branch rollout across a couple of more business lines and we are able to sort of harness, the cross-sell potential as well. The day we launched the Sampoorna branch in Ujjain, our local microfinance branch generated 30 leads for Gold Loans in one single day.

So, obviously, the thesis of feeding from the microfinance channel into the gold finance channel, obviously has some merit. And last, but not the least, we plan to deploy 200 new branches by March -26, which is we will be opening one branch every day for the rest of the year.

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Some metrics, 19% year -on-year growth in AUMs with Retail Book over Rs. 1 lakh crore, Retailization at 98%, sustained RoA at 2.4%, even through difficult market circumstances, disbursement growth of 39%. We saw this earlier. Our collection efficiencies in microfinance business improved to 99.57%, especially in a holiday -dense month where we had also Chhatt in Bihar. Excluding Karnataka, our collection efficiency, Rest of India 0 DPD collection efficiency hit 99.6%. Our Chief Executive of microfinance, Sonia Krishnankutty, will cover it in more detail. Our Gold Loan acquisition business has now hit an AUM of Rs. 1,500 crores. We have a customer franchise of 2.7 crores, 2 million added in the last two months. And our investment in the brand building, especially with Bumrah as our Brand Ambassador, has lifted our brand association to a significantly higher level, with 32% unaided recall of our association with Retail, Digital and Sustainable, which is our tagline. Obviously, as we gain scale, how has L&T Finance changed from inside? I thought we will give you a little bit of insight as to how a day in L&T Finance looks like.

Peter Drucker said that culture eats strategy for breakfast. You can make strategies, you can make large presentations, but strategy execution on ground does not happen unless you change the culture of the organization and focus the organization towards one common goal. And one of the things that we have been trying to do within L&T Finance over the last 24 months is to build a cohesive, execution -oriented, risk -first, tech -first culture. What I thought is that I will unpeel some of the components of that culture change strategy and show you as to what sort of impact that we are getting onto it. Obviously, the first thing which is very, very important for us is credit culture. It's driving down to the field that, if you give out money, treat it as your own money, and that money has to come back with a return. And this is being sensitized right down to the field force and aided by very rigorous portfolio review processes. We have a growth orientation that has been drilled into the entire organization. The long -range planning process has helped. Everyone knows their targets, month in, month out, and it is across various dimensions also implemented through a balanced scorecard across the entire organization. We have moved the organization from a silo to a matrix structure, and the introduction of the Regional Business Head structure in the four zones actually has made sharper operations possible with faster time to market for all the decisions. And also, the focus has been on implementing a non -political and a non -hierarchical implementation mindset.

Tech mindset, this is very important for us, and we have been working to lift the tech DNA of the organization, including a very successful technology for non -technology managers. Our technology teams run workshops and these are almost workshops, 3-4 workshops a month, where

people from Finance, people from Compliance, people from Internal Audit are actually taken through boot camps on technology. They are allowed made to develop apps. They are made to understand the AI tools. They are made to solve AI problems or write prompts properly. So, the huge focus has been put on building the tech mindset of the organization. Needless to say, the innovation mindset and the failure tolerance is gone up in the organization; where all the leaders communicate that we are a failure -tolerant organization, and this has led to a strong innovation mindset. And last but not the least, we have made a move towards a caring organization with upgrading our facilities and taking care of our women employees to the extent that you will see in the next couple of slides that our diversity ratios also have started improving. In the words of our Chairman, SNS, the entire organization is now focused on one ethos, "Can do, Will do, Will get it done ". But let's hear from some of our employees, as well as some of our partners as to what they have felt about our organization over the next, over the previous couple of quarters. How have we changed?

We will now hear from a few of our employees about their experiences with L&T Finance.

Sheetal Prabhu:

Hi everybody. I'm Sheetal Prabhu. I Head the Legal Team of Retail business at L&T Finance. In my 18 + years at L&T Finance, the last 18 months have been uniquely transformative. We have achieved remarkable growth, while remaining firmly within the regulatory guardrails. Our organization has embarked on a journey of multiple tech -driven key initiatives. This includes working with large partners to scale our disbursements, sharpening our credit decision and portfolio monitoring with Project Cyclops and Project Nostradamus , and scaling our technology and

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infrastructure platform. I'm confident that with this sharp focus on building these new capabilities, we're positioned for a risk -calibrated growth with our tech and AI -enabled approach .

Kunaey Garg :

Hi, my name is K unaey Garg and I'm part of the Strategy Team and the Product Head for Gold Loans at L&T Finance. I was given the task of managing the acquisition and post -merger integration of the Gold Loan business. The integration was completed in a short span of three months, which reflects the extent of the agility and collaboration present in the L&T Finance DNA. The business has now settled over the past three months. We have aggressive growth targets which reflects the top management's investments in the business growth .

Shruti Shetty :

Hi everyone, I'm Shruti Shetty and I lead Digital Initiatives for the SME business at L&T Finance .

Balaji :

Hello, I am Balaji, the Lead Developer of the Underwriting Co -Pilot Projects. Our co -pilot is an AI -powered assistant built on Agentic architecture using MCP tools. It acts as a digital co -pilot for our credit managers automating underwriting tasks. The goal is to make the borrower data analysis faster, smarter, and more consistent .

Shruti Shetty :

In our Unsecured Business Loan segment, our credit teams often deal with lengthy bureau reports and voluminous banking data. With the underwriting co -pilot, we have been able to cut the assessment time for these activities by nearly 50% .

Anil Tyagi :

I still remember during our initial discussion with our MD and CEO Mr. Sudipta Sir, it's a credit engine which is a next generation credit engine and it is basically product agnostic and as well as it can fetch the data from multiple data sources. It has b uilt from our in -house engineering team into four to five

months. Project Cyclops is designed for fault tolerance, scalability, resiliency, and observability.

Raj Ranjan Jaiswal :

To achieve this, we created a common set of APIs that can work with different products. This made Project Cyclops product agnostic and modular .

Mohammed Fardeen :

Project Cyclops is developed to handle high traffic and we have implemented in -house innovative solutions like asynchronous non -blocking in order to achieve a high throughput and concurrency .

Biswadev Banerjee :

Hi, my name is Biswadev Banerjee and I Head, Two-Wheeler business for L&T Finance. For last one year, we have been implemented with Project Cyclops and what we are seeing is the improved business quality, customer profile, as well as better conversion rate which is helping not only for the disbursement, as well as for the dealers in terms of their profitability .

Rahul Rai :

Hi, I am Rahul Rai, part of Project Nostradamus Development team. Project Nostradamus is helping to build a proactive data -driven portfolio monitoring approach and generate early warning signals .

Suresh :

Hi, hello, I am Suresh, heading the Two-Wheeler product team at L&T Finance. As a business user, Project Nostradamus has become our one -stop solution for portfolio monitoring. With Project Nostradamus going live, it

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now provides actionable insight at micro and cluster level helping us with active portfolio monitoring and recalibration of our collection strategy .

We will now hear from a few of our partners about their experiences with L&T Finance while they talk about culture

change and transformation.

Mayur Devendra Jain :

My name is Mayur Devendra Jain. I am the CEO and Managing Partner of Palladium Automotive, which is a dealership for Royal Enfield. I am very happy to say this, they have initiated a Digital AI platform called as Project Cyclops . It's a credit engine basically which helps and engage the customers to get faster loans. It is a fully digital process. It has helped the dealership as well as we have scaled up 3 times more disbursements .

Rahul Kapoor :

My name is Rahul Kapoor. I run India's largest loan distribution business by the name of Andromeda Sales and Distribution. This last one and a half years is the big jump up on the numbers on both on the HL side, on the PL side of the business and I think this jump up on the numbers came purely, purely led by the tech initiatives undertaken at L&T Finance. What it means is the average TAT on a home loan, an average TAT on a salaried PL has come down by about I would say 60% -70%. Today I can safely say sitting here is that, when I'm planning for next two, three years of business growth, L&T Finance is there in the top three; NBFC institutions for me .

Kunal Shah :

At CRED, we've always been focused on credit worthy users and we had the good fortune of knowing Sudipta much before he joined L&T and through his previous assignment, he had clear understanding that we focus on the right set of customers and we were fortunate to meet him in his early weeks of joining L&T and discuss a potential partnership and commendable speed by the team that they actually got the partnership running. The partnership is thriving, we are already doing a very large volume, we expect to probably 5x -10x the volumes that we are working with L&T and this has been a great partnership, focused on trust, credit worthy customers, usage of technology to create the most magical experience for all our members and super excited for this partnership. I wish all of the members of L&T a lot of success going forward .

Sudipta Roy :

So, wh

at has our culture change sort of yielding to the organization? The first and foremost thing which is very important is a product mindset developed within the engineering teams which is actually helping us blitz scale our tech solutions. Our distribution teams have started focusing on risk calibrated granular distribution. Risk has really become, the question whether the customer I'm lending to is a credit worthy customer. Every sales guy is asking that question themselves before they lend. Adoption of Project Cyclops by Two-Wheeler team, actually you heard the dealer say, it actually improved our market share. Our market share actually has gone up because the dealers have more confidence in the quality of underwriting and the LTVs because the loan -to-values of the customers that the customers get has gone up. So, they are funneling more and more prime customers to us. Our prime customer penetration during the Diwali period actually went up to almost 86% -87% of our total throughput.

Movement to matrix structure has made P&L ownership down visible down to the branch level. Our percolating the tech mindset down to frontline is helping in rapid tech tools adoption and productivity gains because when you roll out a tech tool, the sales channel actually has to adopt it because there is a lot of digital friction. Because we have been percolating tech mindset down to the frontline, the adoption is very, very fast and a complex tool like Project Cyclops adoption in the sales channel actually went like knife through butter.

The multi -product Sampoorana branches will leverage the local cross -sell potential. The process has already started and last, but not the least, initiatives in talent management to build a caring organization has resulted in an annualized attrition drop of 5% and a 30% increase in number of women colleagues.

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What will it yield to? It will yield to faster rollout of product variants cutting time to market. It will help our focus on AI and tech, will allow us to leapfrog market share gain resistance. We saw the market share gain in the Two-Wheeler business after we rolled out Project Cyclops fully. Increased acquisition momentum on the existing lines of business and lower customer acquisition costs because everybody is now focused on productivity. The branch structure is actually allowing the Retail Business Heads to granularly focus on cost as well as productivity and we have a detailed Productivity Council now to look at the spots where we can improve. Lower attrition rates obviously leading to stability of talent density and longevity. Continuously improving risk cost trajectory while eliminating cyclicalities because our focus on prime and prime customers are generally less sensitive customers to credit stress. We are trying to eliminate cyclicalities to the largest extent possible. And obviously all this will kick start the flywheel for further profitable improvement as we go forward in the quarters.

What is the road ahead? Obviously, India continues to grow . India is the brightest spot in the world . And India will

continue to grow and the demographic dividend of India is real. The young and the Gen Z borrower will drive credit growth. The Semi-Urban and the Rural what we call SURU in common parlance will drive credit demand driven by government push because the government really wants credit flow to happen to Semi-Urban and Rural areas. And L&T finance is uniquely placed because if you look at our distribution map, our distribution map is equally strong in Urban as well as Rural. In fact we are one of those very few NBFCs who are equally strong in Rural and Urban

and we are uniquely placed to take advantage of this. And last but not the least the government push on manufacturing, the PLI schemes and the focus on MSME will actually drive MSME contribution to overall GDP and we are very, very confident that we will take -- partake in that and we are building focused solutions for the SME business which I will reveal a little later.

The India stack is fully developed. I need not spend time on it, but the fact is that this is helping digitization. Really if you want to do digitization in the real sense India probably is the best place in the world apart from China to do this. What are the engines powering LTF's growth story? Obviously, depth of distribution. I spoke about distribution strength both in Rural and Urban. Data and AI. I think we are one of those organizations in the country right now who has a full data and AI practice which is functioning, which is rolling out products and which is rolling out results. In fact, this -- in this matter, I think we are one of the leaders in the industry right now.

Risk and controls. We have a seasoned risk policy and compliance team for risk calibrated scale up and we have added a model risk management team to ensure that the multiple models that we are using do not add to risk. Obviously, we talked about people and last but not the least our technology platforms are modular neo stack, which is in-house proprietary built, yields very, very robust performance and which Ramesh, our Chief Digital Officer will cover during his presentation.

So, what are our imperatives for the next 12 to 18 months? We will announce our Lakshya -31 goals in Q1FY27. We will drive a 20% to 25% risk calibrated AUM growth. We will achieve an ROA in the corridor of 2.8% to 3% by Q4FY27. We will initiate and complete the build of the service intelligence layer. As I said last year we had an acquisition intelligence layer. We had a portfolio intelligence layer. You know with Project Cyclops and Project Nostradamus more or less we have finished a large amount of the build in those layers. The service intelligence layer is built, so we'll finish the service intelligence layer. We'll build an AI-based next generation collection stack to improve collection yields and optimize collection costs and we'll drive credit costs down towards a 2% threshold. So, when we meet one year later, I'm very, very confident that we'll be able to show you significant progress on all these objectives that we are listing out here.

What is our overall goal? To be a risk first, tech first, multi-product retail financier of choice. And I think we are well on that journey to become that. Tomorrow, we have RAISE 25 which is our flagship AI conference in which, you know, we have this year lined up a stellar set of speakers. So those of you who have time tomorrow would be happy if you can join us in the RAISE 25 sessions tomorrow. We have two tracks, a plenary track and a tech track and we have speakers from all over the world coming and talking about the latest advancements in AI, and specifically with its applicability to BFSI. We are also going to launch a couple of things tomorrow. And what we

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decided is we will give you a sneak peek on what we are about to launch tomorrow. So, we have talked about Project Nostradamus, but the fact is that we have not revealed Project Nostradamus to the world. So maybe let's have a quick look at what Project Nostradamus can do.

But that's not all. Let's give you a look as to how the Project Nostradamus strings look like.

Project Nostradamus demo is available in the demo session. The demo session will open a

fter we finish the

investor presentations. And you can have a hands-on look as to how the really the screens look like and what they can do. This is the result of hard work for all our data science teams, our technology teams, our risk teams, our credit policy teams and the entire support teams. You know, the legal, compliance, everyone together, everyone works together as a team. And that's why the collaboration culture has actually helped build this in a record possible time. But I'm not done yet. There's one small other thing that we want to show you which we are very, very proud of because we do believe that it's almost an industry first and we have been using it for the last 1 month with fantastic results.

So in fact we have used it for the last one month. Our SME underwriters are using it and a traditional SME file that takes four to five hours to underwrite. The credit managers are doing it in under 30 minutes right now using

the Helios underwriting copilot. So with that I would invite Ramesh Aithal, our Chief Digital Officer to take you through the next session on our technology initiatives for the last 12 months. Over to you Ramesh.

Ramesh Aithal :

Thank you Sudipta. All right. Welcome back. Good evening. This is the second edition of the Digital Day and I'm happy to be here. We have a lot to unpack today. Before I do that perhaps we'll take you quickly through what's cooking in the BFSI industry and specifically in the technology space. Like last year, every presentation has to start with the pronoun to AI. While last year it was about Generative AI, this year that's morphed into Agentic AI. And within Agentic AI there are two areas that we are watching quite closely. The first is something called as multi-step workflows with automation. This is about having the ability to use a single prompt to carry out complex workflow tasks without any supervision of a human being. The next one is on conversational and voice banking. Pretty self-explanatory and I will delve upon this a little bit more in some of my later content. Next up is contextual finance. Again, a person walking into the branch and the bank immediately knows what they're there for. Or a person engaging with one of the digital channels and the channel is able to immediately service the customer based on what their requirement is before they even ask for it. Finally, multimodal authentication. This is about enhancing security with not just biometric data like face or fingerprint, but also using your behavioral patterns. All these technologies are not distant, too far off in the future. They're actually actively shaping how we are looking at our digital backbone and customer interactions. Next up is our futuristic digital architecture, which we unveiled last year, the Vision 1.0. Briefly, it mirrors the loan journey of a customer, starting with the consent layer and then the acquisition layer, which is composed of customer intelligence and trade intelligence, the portfolio layer, which has portfolio intelligence and service intelligence built in, all feeding into a unified customer experience layer that is enveloped by a layer of wrapper of information security. This was the vision that we unveiled to you last year, and active work has gone on each of these segments like Sudipta referred to earlier. I'm thrilled today to announce the next iteration of this architecture, which is as follows. This includes components that we've already developed and you are familiar with, hopefully by now, as well as newer elements that we've added to be prepared for tomorrow. Of particular interest is the real-time intelligence layer, which is a learning layer on top of the portfolio and acquisition layer, as well as the Zero Trust architecture framework, which is basically using verification technologies to verify any user or device in the network. With this in mind, I'm ready to move to the next section where

we show you how we're able to accelerate business, starting with the acquisition layer.

Product launches. We have four launches that we want to call out. Gold Loans, Embedded Finance, Micro LAP for RBF, and Supply Chain Finance. I'll walk you through a couple of examples in detail.

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Gold Loans. Like Sudipta referred to earlier, this is a new business that we acquired early part of this year. For the technology team, the challenge was to get the entire integration and the day zero setup done in a matter of nine weeks. Twelve weeks was the entire integration effort. The technology team had nine weeks to deliver. I'm happy to state that we were able to deliver that, able to build a loan journey, collections, and a direct-to-customer channel, 100% regulatory and risk compliance with connectivity for all branches. All of this in a matter of nine weeks. With gold, fairly unique business, fairly sensitive information and data, we've built an extensive network of multiple live command centers with over 2,000 plus cameras across the 130 branches, growing at the rate of one branch a day, 24/7 monitoring in place with centrally controlled two-factor authentication for vaults. A lot of this was a fairly steep challenge for the team, and I'm really happy to state that we were able to bring the organization acquisition to the technology benchmark that we set within the company. For us, this was a transformation built on discipline and speed. From gold, another shining example of execution, which is Embedded Finance 2.0. Embedded Finance is about leveraging partnerships as our growth engine. Particularly for L&T Finance, this is about acquiring, using not just our traditional channels for customer acquisition, but going to where the customers really are. On the left-hand side of the screen, you can see a few of the partnerships that we've listed out. We have marketplace partnerships here. We have OEM partners and we have FinTech aggregators. All of these partnerships have been scaled up quite extensively over the last year. For us, this might seem -- for an outsider, this might seem like a fairly plug-and-play model to develop. However, it's not been the case. We've had a fairly delivered, a fairly customized journey for each of our partners. We've been able to do that with complex API orchestration, a unique credit policy, and deployment across all of these partnerships. Like Sudipta referred to earlier, we've scaled it up quite massively in the last two quarters, from 3 to 10, which is fairly record time with an increased disbursement of 2.5x. We've been able to achieve all of this by sticking to some fundamental engineering principles, a so-called ready kit, if you might, about using modular journeys and open API stack. Once the customers or once the partners are integrated, we're able to scale horizontally with using cloud-native technologies and smart load balancing. Again, a stellar example of how we've been able to move the needle on all of these partners in a record time. For us, this is how finance becomes invisible, intuitive, and truly embedded. Moving on to a few more examples of now how we've brought in AI to change fundamentally how we do sales

augmentation. The first example I have for you is on AI -based outbound calling. We've taken outbound calling and added intelligence to it. What we've done is we've rolled out an AI -based voice bot for our outbound calling for pre -qualified leads. This is in the Personal Loans business. We rolled it out last quarter. What it also does is, apart from regular calling, we're able to provide real -time dashboards, quick lead filtering, and do t

this in a parallel.

The initial results are quite positive, and users have reported an 80% improvement in TAT in lead engagement. Let me show you a brief clip of what's possible today.

Our relationship manager, in fact, did call the customer at 5 PM and converted the person. What you perhaps already have seen is the human -like capabilities that's built into the bot, as well as the multilingual ability that's on display there. The next example I have is what we call as a loan offer pod. For us, maximizing customer lifetime value is a key metric that we live by. Earlier, the process used to be fairly cumbersome, manual, and not as customer -friendly as we would have liked. What we've taken i s, we've taken a fairly scientific approach to that. We have an analytics mart, from which we have a lot of data that's internal to our databases, push it to a loan offer engine with ML models in place, and are feeding that into the customer -facing channels with a feedback loop in place. This allows us to manage the lifecycle of an offer fairly effectively, in fact with very, very great results. This has a full end -to-end automation with live nudges to customers, and an AI -- and it's augmented with AI capability. Another example of how AI is really maturing in our sales augmentation process. Moving on in our acquisition layer to credit intelligence. Credit decisioning is a fairly dense ecosystem that's engineered for scale, complexity, and accuracy. Today, I want to, again, highlight how we've built one of the most advanced credit decisioning engines in the industry. Let me start off with a small example of a loan process. As a new customer comes in, they get in through the login process, and we run a lot of event -driven checks, which includes face match, liveliness, DigiLocker, VKYC, and as well as contactability checks, which has geospatial intelligence built in. From there, we run into the cross -entity intelligence layer, where we conduct our risk assessments, both income as well as other risks that might be involved in the customer. All of this data is processed at record time and fed into the cognitive and risk layer, which is a bunch of models, a complex interplay of all of those models to do your

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internal dedupes, anomaly detection, and so on. Finally, this is fed into the autonomous decision layer that we have engineered. Last year, until last year, this was just the BRE, the business rules engine. Since last year, we have Project Cyclops at play with its alternate data and trust signals. With Project Nostradamus that Sudipta just talked about, we will fill the third cog in this massively scalable autonomous decision engine. Dr. Debarag will talk about Project Nostradamus in his presentation later. I will double -click into Project Cyclops a little more in my next slide. Before I move on, I just want to call out, all of this decision -making happens at rapid fashion, which I will talk about as well, but 50 -plus validations to approve one case, one simple case, is what we are talking about here. Project Cyclops needs no introductions. It is our next -generation credit underwriting engine. What I will talk you through is a simple case of a thick file processing. Thick file is for customers that have a credit bureau record. When we feed it for a simple Two-Wheeler customer, we feed it through a bunch of models. I am representing that quite simply here for the sake of simplicity. Taking up first is the banking and account aggregator model, which makes a decision whether it is a go or a no -go. A no -go might be because of either incomplete data or missing data. It does not matter. We built Pro

ject Cyclops to handle all of that. Fed through a few more scorecards, a few more models, and again, decisioning goes on into payments, account aggregation, and credit scorecards, and finally, resulting in a clear decision at the end of the process. All of these are actually a bunch of 55 -plus models, 20 -plus APIs, happening in the span of three seconds, less than three seconds, thick file customer. As I said before, all of this complex orchestration is about the maximizing our ability to underwrite credit for the most number of customers. That is all this is geared up for. We built Project Cyclops for volume, veracity, velocity, and variety of data. Each of these factors are critical to the way we've scaled our engine from a technology standpoint. As Sudipta referred again, we've rolled out to a few of the business lines already. Personal Loans is under implementation and will be rolled out over the next month or so. All in all, Project Cyclops continues to be a great engineering challenge for us, and we are up to it. I will move on to the portfolio layer a little more deeper because that's an area of focus as well as we continue our journey. In the portfolio layer on the collection space, we are gearing up to unveil our new futuristic blueprint, which is a completely AI -based full -stack collections engine. What you have on one side, starting with the data analytics layer, which feeds into an automated allocation engine, then all feeding off into the optimized channels that are determined by this automated collections engine, finally ending up with real -time alerts and insights in the command centers that we have. We've started to work on this blueprint, and hopefully in the next few quarters, we'll be able to demonstrate progress in each of these layers. The intent, obviously, is to make collections smarter, resulting in a superior portfolio performance. Moving on to our flagship product, B2C product, PLANET 3.0. We unveiled PLANET 3.0 last year i n this very conference. This year, like perhaps every cell phone in our pockets, it's smarter, bigger, better, and bolder. What I do want to

show is the different areas that PLANET touches for our customer base, starting with collections, servicing, engagement, and the 360 business enablement. Collections specifically, it is one of the most cost-efficient collection channels we have. Over the similar time period of the first half of last year, we've doubled the number of collections that we've managed through this app, with 120 crore plus high-DPD collections, as well as 35 plus charge collections, purely through app minimal effort. On servicing, we have the industry best servicing numbers through the app. We are at 88% of servicing across all our servicing channels within the company. We continue to strive for 90 percent, fairly elusive given our rural base, but we're working on it. We have document servicing, payments, profile updates, and customer feedback, all feeding into over 236 options that are available today on the app, ensuring convenience for our customers. PLANET is a force multiplier with its DIY journeys. Over the last two years, it has accelerated cross-cell volume by 4x and new to LTF volume by 3x, which is made possible by our approach to the smart digital enablers, which are integrated journeys, faster fulfilment, and enhanced cross-cell.

All these improvements have taken a significant amount of effort from the team, but like I said, it's a fairly low-cost DIY channel for us, and we continue to invest in this platform. Moving on to customer engagement. It's been 10 plus years, perhaps, since Alexa was announced to the world. There have been few attempts being made at voice and conversational banking, and perhaps none of them have succeeded so far. But with advancements in AI, we wanted to take these challenges head-on. So today, I'm going to reveal to you the first in industry conversational

voice agent built into PLANET. I'm going to stop conversing now and let the agent do the talking.

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KAI:

Hello, I'm Monika from L&T Finance. How can I help you today, Aman Singh?

Aman Singh :

Monika, tell me the number of installments that is left on my Two-Wheeler loan?

KAI:

You have a total of 24 installments for your Two-Wheeler loan, and you've paid 19 so far. This means you have five installments left. Does that help?

Aman Singh :

Okay, let me know how much outstanding principal is pending now?

KAI:

On your Two-Wheeler loan outstanding principal amount is Rs. 21,767.52. Do you want to know anything else?

Aman Singh :

No, Monika, thank you.

Ramesh Aithal :

Hopefully, you noticed its amazing ability at interpreting multilingual commands from the user, emotionally aware response, and how it manages interruptions very well. A lot of human-like features have arrived in bots, and we are leveraging all of that. We built all of that, in fact. We are using this for our existing and new loans. This product is already in CUG as of last month. Very soon, we will be rolling it out into production over the next month or so. We have demo stalls next door demonstrating this capability, and I encourage each one of you to actually try this out after the session. And hopefully, if it works well, I would encourage you also to download our apps and become our PLANET customers. Moving on, in the ecosystem today, PLANET was about customer centricity. But customer centricity also means we look at our customers from the point of different touch points of their engagement, not just from an organization standpoint and the FinTech ecosystem, but partners. Partners in the ecosystem are a fairly important aspect of how customers, through which customers engage with us. We send research teams on the field and determine that the dealer community or the partner community has been underserved from a technology standpoint in the competitive landscape. And therefore, with this in mind, we are launching our all-new Partner PLANET today. This is a mobile app specifically for our partner community, which is right now rolled out to our Two-Wheeler and Tractor Farm dealers with amazing capabilities that are built and taken for granted as part of PLANET. It comes with its own personalized dashboard with one-step trade advance withdrawals with comprehensive details that we're always looking for and never could find. A real-time dashboard indicating their pipelines of disbursed customers with a complete portfolio summary that they can review from time

to time. For us, the approach we are taking is that when our partners win, we win. From here, I come to the last section of my presentation, which is on the tech modernization for sustainable growth layer. A lot of what we saw earlier is about technology enabling business. All this is not possible without a deliberate attempt or deliberate strategy of tech modernization that we've taken within the company. And what I will do is take you through a few areas of focus today, starting with Agentic AI, a product mindset that Sudipta referred to earlier as well, and engineering resilience, starting with Agentic AI. I've walked you already through examples of how we use Agentic AI to influence customer experience. We've also looked at how Agentic AI plays a role in decision-making. What I will do is take you through how it's impacting productivity within our technology organization. The technology development lifecycle is a fairly standard lifecycle, starting from product design and moving on to development, testing, launch, and obviously requirement creation

on at the beginning of it. We have augmented all

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these two capabilities within the tech organization with agents built into coding, testing, product requirement gathering, as well as migration of legacy applications. We've started the approach late last year, and that shift to early adoption has given us increasingly positive results. Even with a 60% adoption rate, we have a 30% coding adoption rate and 15% improvement in productivity, and its early days for a lot of these tools. What I'm also proud about is how we've deployed AI into our production support lifecycle, starting with predictive monitoring. We are able to detect inconsistencies in our performance and latency throughout our production support chain. We're able to scale our systems intelligently using the technology tool sets we have. We're able to remediate complex workflows through bots, as well as use AI for managing our security. AI-based threat intelligence detection is a fairly accepted use case and being deployed widespread across the industry as well. What I will show you next is how all of this is actually influenced by the product mindset. A product mindset, like Sudipta called out in his talk as well, is a dramatic shift from a solutions mindset that we used to employ earlier. Why take up a product mindset? Because it's an investment in building our strategic competitive advantage. The reasons are fairly obvious. We are able to better manage our user end experience. We are able to go to market faster with full control and customization and keeping data security and compliance in mind. A few examples below with familiar names with Project Cyclops, Project Nostradamus out there, but a lot more names that you might not be familiar with. Our investment in productization continues in the last 18 months and we expect to take it to the next level over the coming year. The final topic in my tech modernization section is around engineering resilience. Over the past year, there have been fairly widespread large-scale outages that have disrupted customer trust. All familiar names, hopefully. And looking at this, it's a wake-up call for all of us. Building engineering resilience is one of the core pillars of building up our strategic competitive advantage. And to that end, we have a four-pronged strategy. The first is about observability. Building real-time observability into our production systems have enabled 70% of incidents to be revealed to us before they actually impacted business. We're able to scale up all our customer-facing apps on the cloud, starting with hybrid, starting with single cloud, moving on to multi-cloud, and then today in a hybrid cloud mode. We are heavily focused on maintaining operational continuity through third-party resilience and interdependency mitigation, which is, as you could see from the slides earlier, is given the complex ecosystem is the need of the hour. Finally, we want to wrap it up with the approach to something what we call as the always-on architecture, where our system reliability, we want to take it up from 99% to 99.9% or 100% as well. I'm really happy to report that a lot of progress on some of these has already been done, and we continue to invest in this capability as shown by some of these dashboards here. A quick peek at the impact. Over the last year, we have doubled the deployment throughput, in fact, two and a half times the throughput, increased API calls by the same number, and reduced support tickets and disaster recovery time by over 50% in our applications. With Project Cyclops, we have very strong numbers to report as well. We've already seen benchmark numbers

in earlier slides

from Sudipta as well. We have average API latencies as low as 30 milliseconds in a lot of our apps. We continue to invest in this capability, and there are very stringent benchmarks that the teams are working towards to maintain as they enhance these models that we've built. Project Cyclops volume handling capacity, we have referred to it earlier as well. Here are some numbers. Over the last seven months, we have a 3x increase in volume with peak volume days going anywhere from 5x to 10x on similar days compared to last year. Project Cyclops has been rolled out sometime in June or May, I should say, last year. Over the last 18 months, it's not had a single downtime. It's with pride that I can say that Project Cyclops doesn't blink. The reason it does so is because it's engineered for zero downtime. To conclude, a few common themes resonate with us across the entire company, and we continue to invest in building scale. Looking ahead, for us, engineering business workflows is an important element of what we will do over the next 12 months. We will continue to invest in AI in our collection stack, like I showed you the blueprint earlier, and the service ecosystem that we have today. It's going to be heavily influenced with agents and bots. We have augmented our capacity at productization in-house. We will continue to invest in this capability. Like I said, we will be more and more pushing ourselves towards milestones in an always-on digital architecture that we have laid out. With that, I'd invite our Chief AI and Data Officer, Dr. Debaraj Banerjee, to take

the stage. Thank you .

Debarag Banerjee :

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So, speaking of numbers, lending is a relatively simple business. You have your onboarding yield as the primary income coming in, and then your credit costs, collection costs, and operating costs adding into it, and what you have left is your R oA. Now, we deployed Project Cyclops . You've heard all about it, and we'll hear more. The idea behind Project Cyclops is fundamentally, it brings down the collection, the credit cost . And I'll show you in which way. The idea behind Project Nostradamus is after disbursement, it helps monitor the portfolio in a way to make it actionable for the collection teams to bring down the collection costs. And finally, ultimately, the net action of all of the Agentic AIs that we are talking about here today is to bring down the operating costs of running the business. What happens as a result is what you have left the R oA goes up. Now, that gives us the strategic flexibility to go after better customers, optimize our LTV according to a very well understood segmenta tion of risk profiles, and that leads to growth both in ATS as well as in total, you know, customer volume and books and disbursement and so forth. So, AI does not just give you profit, neither does it just give you growth. It gives you both. It's not a zero - sum game. I will now walk through each of these pillars and show you how that happens. So, we launched Project Cyclops about a year ago in our Two-Wheeler portfolio. The first version of Project Cyclops was about bringing in trust signals from banking set data, from payments characteristics of the user, and about the affluence of the area that they live in. Since then, we have taken both the individual model and their ensemble models and have added new data sources, things like digital footprints from the mobile that they're using, things like more indexes coming from credit bureaus, and we have added beyond the original 15 scorecards, scorecards related to dealer grades and fast flow frauds. Combination of all this lets us chara

cterize any particular applicant into one of five segments

from the best to the worst, and that allows us, like I mentioned earlier, to give the best LTV to the best segment and the most risk -adjusted offer typically lower LTV to t he lower segments. It is not a static engine. Like I mentioned earlier, we have upgraded Project Cyclops twice in this last year, and we are about to embark on another upgrade where we are going to incorporate a new model called Shikhandi model in the Project Cyclops scorecards. The idea behind Shikhandi or mule is that a nagging problem in the Two-Wheeler business is a customer with a bad credit who wants to buy a bike knows that he will get declined. So he brings forward somebody else with good credit and says that, okay, this is the borrower, and when that happens, for any lending agency, it would look like a good customer. You give them the money, and within a few months, the bad customer starts defa ulting, and you basically lose that loan. Now, we have created AI -generated data relationship graphs combining everything from the applicant's info, their asset's info, their credit footprints, as well as insurance and other related data sources to create this model that can predict if a customer is truly a mule or a goo d customer. We, through our backtesting as well as through live actions on the field by our teams, have seen that this leads to a reduction in the probability of default in those lower segments, the segment four and five that we talked about, to a level of 66%. So, stay tuned for that next generation. Now, we can talk about models till the cows come home, but ultimately, like Sudipta said in his presentation, it's the culture that brings it all together . So, models alone will not be effective in a highly regulated interconnected industry like the one that we are in. We have to have the entire organization, you know, run in symphony, collaborating across business, across credit teams, across data teams, as well as all the compliance -guided risk verifications of the models, as well as the policies, and finally, the digital backend that Ramesh talked about, as well as the frontend from which the customer application is taken. We have made all this work in a way where we can make these initiatives, Project Cyclops , Project Nostradamus , and a whole lot of others in record time. To do that, we needed to upgrade our AI team. At a time when I came in, we had an analytics team, and we had data teams, you know, separate from each other, but we didn't have true AI DNA, which over time we buil t up, and we upgraded our systems. But today, we are fully not only on cloud, but we are going multi -cloud. Not only are we using one kind of LLM and staying there, but we have an open system where we can bring in any kind of LLMs, if needed, in our scorin g methodologies. And most importantly, we have become a lot more rigorous about our data governance tools and have an ops methodology where we can develop and launch AI models in record time. And of course, if you want to go further rather than faster, you go by building a community, you go with everybody, and that's the reason why we do these RAISE kind of events. Now, with all this infrastructure in place, the other thing to understand is tha t this is not just flipping a switch. It took us a long time to build and refine Project Cyclops . From the time when we had the original concept to the time when Project Cyclops could go GA, and, you know, actually this was a loan to the first customer, that was about a period of eight months. Now, after that, if we went Project Cyclops 100% of the book, that would not really be the best scientific way of doing it, because then you would not know how does Project Cyclops behave

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compare to non -Project Cyclops of previous years of underwriting? So, what we did is we did a graduated A -B testing where we slowly increased the number of cases that were coming to Project Cyclops , comparing non -Project Cyclops performance, looked at the difference. And then when we were convinced that, yes, this truly is dropping our credit cost down, at that point we went 100% Project Cyclops from December -January onwards. Since then, we have upgraded Project Cyclops twice, like I mentioned, but even then, a loan is about a two and a half year loan. So, how do we convince ourselves that, yes, we really have a credit engine that will produce lower credit losses? The answer lies in looking at hourly indicators. For example, if we look at GNS, which is the percentage of people who have missed their first payment, that number before Project Cyclops to where it is after version 2, we are at a level that's about two -third, actually less than two -third of where it started from, and it keeps continuing to go down. Other way of looking at it is the vintage charts. And there, there's a very interesting story here. So, when we built Project Cyclops , we back -tested it with data from more than 12 months ago, loans that were disbursed more than 12 months ago. And when we launched Project Cyclops , like I said, that we had a Project Cyclops and non -Project Cyclops experiment going in parallel.

Now, the deep blue line is the vintage chart of how Two-Wheeler loans were 12 months before Project Cyclops was launched. And the gray line is how it was when Project Cyclops was launched, but this is non -Project Cyclops performance. Now, what you notice is that during that time, in 2024, the industry had actually worsened . That's the whole reason why the vintage charts went up. But then we made subsequent versions of Project Cyclops fine-tuned to adjust to the reality and also add more scorecards and so on and so forth. So, where we are today, our 30 plus DPD rates are just about one -third of where the non -Project Cyclops rates would have been. So now, if I assume that the flow through, the flow forward rates and so on and so forth are going to be the same, which by the way, they would not because of Project Nostradamus actions that I will talk about later, but even if I assume that, this leads to a logical, a priori conclusion that yes, everything being as is, we would end up with one -third the credit cost that we would otherwise. Now, Project Cyclops was not a one -time success in only Two-Wheelers. A very different part of India, the rural farm India, we deployed Project Cyclops with very different sorts of models for Farm or Tractor lending. And there, we needed to access very different kinds of data in order to create an agro-model that by looking at soil types, by looking at rainfall and other patterns, how it would determine the yield of a field. By looking at other unstructured geo -intelligence data, things like how far a village is from the mandi, how is the infrastructure look like, how does the mandi prices over there look like, etc. We needed a different type of data sets . And finally, unlike Two-Wheeler loans, Farm Loans are very high -touch loans where there is a field investigation for every loan that is processed. And there's a rich ton of data that gets generated there that until recently, people did not think of as data, but now we can actually extract the right features from it and then build a model that can make the right decisions. How do you know they are the right decisions? So Farm Project Cyclops launched in December. It is still in that A -B phase that we talked about. And it's about -- right now it's processing about 30% of the portfolio. By looking at the early trends, the NNS trends, which is the number of people who are missing their fi

rst mon th of payments, we as a result can see the comparison between Project Cyclops processed and non -Project Cyclops processed loans. And we can see that the NNS for Farm Project Cyclops processed loans are about 8x lower compared to non -Project Cyclops processed loans. Early results, lots to work on, but it proves the basic thesis that Project Cyclops is more general than just Two-Wheeler loans, and it can as a result be applied on pretty much all LOBs in our portfolio. Now, like I mentioned in the first part of my talk, it's not just about increasing profits, it also increases growth. And here is proof. So , Two-Wheeler portfolio went Project Cyclops from December -January onwards. Since then, the disbursement has actually not fallen. So , profit per deal has increased, but the number of deals themselves have increased. And in fact, this huge spike is because of the last fantastic festival month that we had. The increase that you see in Farm Project Cyclops , part of that is because we are increasing the ratio of Project Cyclops processing in the portfolio, but there is -- underneath the numbers, there is also a generic uptrend as well. SME loans have went 100% Project Cyclops last month, so September to October, that is a pure growth of the portfolio while at the same time we are applying this multifaceted checks underneath. And our PL portfolio is due to go Project Cyclops very soon, followed by HL, followed at some point of time by the RBF loans. Now, every loan looks one way before you disburse it. After disbursal, the customer shows his real cards. How do you differentiate between the customer, let us say a college kid who just bought a bike when he is in college and looks just like any other customer with no credit and history and all that? But the n later on, he graduates from college, hopefully builds his own business, takes an SME loan,

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does well in life, does many purchases with his PL and credit card and so on and so forth, and then finally buys a house and perhaps upgrades his house and so on so forth eventually becoming a prime customer. So how do you discover this undiscovered prime early on and differentiate him, which is a more important aspect,

differentiating from a customer who at the time of disbursement looks like the same customer, but you see that, okay, this is actually somebody who is tottering on the brink and a little bit of crosswinds from one way or the other during the -- as the macro economy goes up or down can throw him off the board and he ends up going into default. And how do we do that before that default happens? So, our answer is that we again look at multiple data sources every month on each of the customer categories and try to understand how up to the level of every single customer, how are they doing? And we do this not only based on credit bureau data, which is a little bit posteriori, but we also with consent from the customers, look at their bank statements, which gives a better signal about their income and expenditure, look at how our peer companies are working, how the macro economy is working based on open data sources, not only at the national level, but all the way down to every single district and how that mixture is changing. And of course, given the penetration of PLANET and other data sources in an increasingly digitally connected India, we can bring all of that device data, all of those digital footprints, understand the location and the location mobility of the customer and bring it all together into this Project Nostradamus engine. The Project Nostradamus engine allows us to look at the portfolio, understand early warnings as they

go up or down, and

identify those clusters where we see that the portfolio has real growth potential, can grow more, and those are our green shoots which enables growth. But it also highlights the areas of concern, whether that's geographical area or a particular customer segment, where we may want to tweak our collection methodologies in a way that we get the best outcome. It is brought to the credit and the business teams in the form of a very intuitive dashboard that we took quite a bit of time designing in our data and BI teams. Here's, for example, a typical indicative view. So, for example, here I'm looking first at the pan India picture. I'm trying to see how the 30 plus DPD moved within the space of 12 months for the Two-Wheeler portfolio. Now, here you see that that number, the 30 plus DPD, has actually improved by more than 220 basis points. This, by the way, if you paid attention, a year ago, there was very little Project Cyclops. Now, there is more. So, it's kind of is an indication, yet another way of indication that yes, Project Cyclops is actually making the portfolio better. But what is more interesting is that the list is not the same all across India. So, some regions are little yellow compared to the greener parts of India. This also allows us to drill down to those districts that are green -- I'm sorry, that require attention, that are yellow. Here's an example. So, let's say we look at the district of Coimbatore and you notice that although the 30 plus DPD here has improved, actually improved more by 288 basis points but it is still not at a threshold where it is better than the national average. Now, that would typically mean somebody needs to look at it. So, they can drill down into it and try to understand why that is so. So, it turns out that, oh, by the way, when we look at the dealer by dealer distribution, dealer category by dealer category distribution, there's more of the deals coming from the bronze dealers who typically exhibit less affluent customer characteristics compared to the platinum dealer, which leads to a potential idea for that area's business to look into, which is, can they make a shift in terms of their sourcing patterns more towards the platinum and less towards the bronze? This is not generally applicable. It is only for that specific segment for that specific business. So, that is the level of granularity with which it enables decision making. Now, we could go at it with the dashboarding approach where ultimately it takes a human to click through and think in his mind and get to all those decisions, or we could use AI. And we could use AI on top of all the data that is underneath. So, we basically put an MC server on top of our data lying in BigQuery. You don't need to know what that means. What you can see is it essentially enables a chatGPT type of interface where you can basically chat with your data. You can say, hey, tell me how is my default trends going? What kind of customer segments do I have more early default tendencies? And it can finally summarize all this for you and say, hey, here's a snapshot. This is the slice and dice segment where you may want to look at. And then ultimately, it's up to the credit manager to decide what to do with that. It is not an autopilot. It is only a co-pilot. Now, how will all this come together, Project Cyclops and Project Nostradamus? So, Project Cyclops, like I mentioned, it starts from data and ends up with an onboarding decision, yes or no, and how much. That loan gets disbursed many times over, creates a portfolio, which is looked at every month by this Project Nostradamus engine through this multi-dimensional scale. And from there, either decisions can be made by somebody looking through dashboards or with this chat interface, you can call it that way, which we call Orion. And the decisions that the person makes, whether it's a credit or a collection or a business exe

cutive would be, for example, what kind of collection actions

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to take, what kind of agencies to allocate what to, how to build role forward models, and so on and so forth? Moreover, the original Project Cyclops engine, as I mentioned, it's ultimately a very flexible engine where you can actually modulate the dials and change the thresholds on each of those models and make it better to respond to what you have discovered. So, that is also driven by the insights that you gain from Project Nostradamus. And you can say that, okay, looks like, for example, this particular LTV category in this particular sets of customers who have this type of data but not that type of data, I can see an increase in the early warning score, which is basically yet another model under Project Nostradamus that gives you that forward-looking score. And you can say, oh, by the way, I'll tweak Project Cyclops so that for that specific ensemble model, I'm going to change some

of the credit decisions about the type of rate or LTV or conditions or documentations and so on so forth that that category will have. So, this you can do with humans, but we have 20 million -- you know, portfolio about what, 20 million-ish loans. What is the optimal portfolio that you can create from that? It's actually a very hard problem because of many, many reasons, many mathematical reasons why standard techniques can only get you an approximate result. And if you truly want to find out what is the actual optimal of that many loans, that's the number that the fastest supercomputer in the world will take the life of the universe plus more to get there. What we are exploring, and this is still very much an early exploration, it can be possible, not possible, but some forward-looking companies, some forward-looking BFSI companies in the US and Japan are trying out quantum computing to arrive at that optimization. We are in the very early stages of thinking about applying similar methods to see whether we can optimize our portfolio even better. Coming to the Agentic AI part of it. So, Sudipta showed in the co-pilot launch how we have built Helios, the AI co-pilot for underwriting SME loans. I'll just summarize it. Essentially, you have tons of data from credit bureau records, from bank statements, and GST records, and so on and so forth. These are things that come to an underwriter, hundreds and hundreds of pages, from which he has to come up with a handful of metrics and decisions and questions that they want to go and ask the customer. All of that is done by Helios and is presented in a very easy-to-consume form, which saves hours and hours of the underwriter's time. And that time has two dimensions, by the way. One is, of course, you can do more with less, but more importantly, this means you can have a faster TAT. And in the SME business, if you are able to give an answer quicker, then the more of the better customer deals will come to you, and that's another way in which the portfolio improves. Not only are we using Agentic AI for internal usage, we're also opening it up to the end customers for both existing loans that they may want to service or new loans for which they may want to understand how it happens. So on the left, you see our KAI chat bot giving answers to somebody who has a Home Loan and a Farm Loan and says, okay, I want a statement of account. It asks, which loan are you talking about? And it delivers that specific thing to them, entirely driven by a RAG-enabled Agentic chatbot. The same exact chatbot, by the way. You can ask questions about, hey, I just heard you have a new Gold Loan business. I have some gold. How can I

get a loan? Is it going to be safe? And all of that. And it gives you those answers in a very human form. So, this today is available on the website. You can check it out on our website or on the demo booth over there. But very soon, this will also come through a lot of other channels to the customer, like WhatsApp and other messaging facilities. Not only are these chatbots available in English, this is live today in 11 Indian languages. And it's went in all of them. And not only does KAI talk to you, chat with you as text, but when a customer is delinquent on their loan, and it's time for them to get a call from a collection agent, KAI, the Agentic chatbot, the machine can actually be that collection agent.

KAI:

Namaste. I am KAI from L&T Finance calling about your loan account. Am I speaking to Dharmendra Kanajarji ?

Debarag Banerjee :

This is a real PL customer who missed one of their payments. And...

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KAI:

Good, thank you for the confirmation. I will quickly tell you the reason I called, your Rs. 5,760 emi is still pending, can you make the payment today – can make tomorrow – shall have to pay bounce charges and your credit score will be affected, will you be able to pay today .

Debarag Banerjee :

And once the customer says, yes, I'm ready to pay --, KAI can also send a payment link and can ask the customer to fill the process of making the payment itself -- and so far, about 50% of the time, KAI is effective in getting those payments. And it does it in 11 Indian languages. Not only are we using voice as our only multimodal form of Gen AI, one of the other things that we are using it for is, let's say there is a MicroLAP customer, MicroLAP lead, who being in the rural area is 10 kilometers away from where our branch is. And so, when this lead comes in, somebody has to make a decision whether to go all the way there, look at the house and decide whether the house is good enough to be worth further pursuing the loan, or it's a shabby little hut where the value simply isn't there to bother. Today, what we are running a pilot on is where we can send a link to the customer that walks him or her through the process of taking the right kind of pictures of the house, which are scored by a Gen AI engine. And then it can give a suggested decision to the sourcer whether to take forward the deal or not. Ultimately, we leave the last decision to the sourcing, but this is a great way in which the operating cost for sourcing MicroLAP can come down. Another end of the loan cycle is settlements . So, when a farm tractor has been repossessed because somebody could not pay the loan back, then one of the big decision points of the value is whether the tyres on the tractor

are good, bad or ugly. And at the time when these tractors are taken into the yard, those pictures are taken by the field agent. Today, we have a Gen AI engine that with 88% accuracy can say whether the tractor is good or poor or somewhere in between in condition. And this is not just theoretical. The resale value of the tractor can go up or down 12% based on whether it's good versus poor. And making that decision both allows us for the case of good tractors to bring in the full value of the tractor and for poor tractors to discount it enough so that the inventory flows out quickly enough. Our gold loan business has started. There's hundreds of branches where theft is a big concern and we have multiple video feeds with which we look for it today with humans. We are actively looking at video anomaly detection solutions which can alert these humans to possible break-ins so that they can actually react faster and more accurately.

y. We are also bringing AI and democratizing its usage to all 35,000 of our employees. Why? Because there are so many ways in which today AI can help an employee's life by doing what they need to do faster, perhaps more accurately, and in a way where they can refashion their own workflows. We can't possibly design all of those from a top-down manner. So instead, we are a big believer in enabling AI to all employees within the constraints of a protected cloud so that PII's cannot pass away and other guardrails are there so that misuse and dangers from AI does not happen. Finally, we all talk about AI, but recently there was an MIT report that came out that 95% of AI deployments fail. So if you go deeper, 55% of them fail because the data is not of good quality. Fields are missing, or they're wrong, or there's a gap in the data stream or something or the other. We have built data pipelines that are very rigorous, entirely run on the cloud, very high availability, and we are in the process of putting data governance guardrails and business catalogs, business name catalogs. So that it becomes easier and easier for not only people who are building AI agents, but also normal business users to find the right data and build the right models. At the end of the day, without good data, you can't have good models. And because we started from data first, that is one of the reasons why our models simply work.

Thank you very much, and I would invite the Chief of our Rural Business, Ms. Sonia Krishnakutty to come and go to action after all these talks are done. Great demos. Please take a look...

Sonia Krishnakutty :

Good evening, everyone, and welcome to this event. After a lot of data, tech, and AI presentations that we have seen, let's have a look at how all of this has helped businesses scale up and build superior quality portfolios. Before I start off the presentation, let's have a quick recap of when we met last time. Some of you would have been there. It was the midst of a large looming crisis in the JLG industry, caused partly by external factors, partly by internal factors, over-leveraging of customers, and there were large questions about whether this industry will

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survive this crisis and how long is this going to last. And it was at that time we came in and we showed you a very granular view of how our business has been built on very strong controls, robust structure, very stringent policies and credit rule engines which work behind the business, and how we have built this portfolio. Now, with a year into the crisis, and since we have completed one year after the crisis started, let's have a look at how our portfolio has fared during this time and how have we been able to keep our portfolio resilient and manage collections in a superior manner. So where are we today? Right now we have around 26,000 Cr of book spread over 61 lakh customers. We have a pan-India rural presence across 17 states. The portfolio has exhibited extreme superior collection performance as well as quality. And after having built this portfolio, when we realized that we are very deeply integrated in building sustainable rural livelihoods in the women customers, two years back we also felt the need to be embedded in the entire rural ecosystem by providing financial service to the non-women customers, probably by way of a secured finance, and that's when 18 months back we launched this product which is Micro LAP, which was a large opportunity out there in the field. Primarily focusing on male customers who run small businesses which have stable cash flows coming in and who would want to use the money for their business

needs. So that's how we started this business and we are building on this business. So let me take you through details of the JLG business before we come to this product. So if we look at the entire presence, as I said, we are present in 17 states around 350 odd districts, 2 lakh odd villages, and we have around 2100 points of presence spread across the country. As you can see in the map over here, we have a couple of geographies which are pretty large, which are our points of presence, which are real strength areas, I would say. We have some markets which are in the medium to large category, which are Rs. 1000 to Rs. 3000 crores, and few markets where still the book is below Rs. 1000 crores. So, this actually provides us with the geostrategy, the way we expand in large geographies where we have a calibrated growth, where in geographies where we are medium to large, where we deepen our presence, and in geographies where our book is still below Rs. 1000 crores, these are the geographies where we expand. Now if we look at the pan India growth which has happened over the last eight years, from 7500 to 26000, which is a 3.5x growth in the last seven and a half years is what we have achieved. And we are the second largest financier today in the JLG industry with a 7% market share. If you look at the growth phases,

it's very typical of what the JLG industry goes through as all of you would know that it goes through a very good cycle for two, three years, then comes a downturn, and then again, it's uptrend. What you notice over here is a very unique pattern wherein we have been growing during the good times, and during times which are difficult, we have actually used the time to strengthen our processes and controls, put in systems in place to ensure that when the next spurt of growth happens, we are there ready. Now if you look at this, this is the last 1 year, 1.5 years of credit cycle looming, we have invested a lot in data and technology as Debarag and Ramesh have explained, so that we are well poised for the next growth. Now if you look at the same picture, if you look at from the market share perspective, this is how it pans out. So our Pan India market share being 7%, we have five markets where our market share is more than 7%, around the same number of markets in the 5% to 7%, and some markets in the less than 5%. Now this offers a very multi-pronged strategy wherein our market share is on the higher side. Again, there is a very calibrated growth in these markets which are 5% to 7%, we deepen our presence, and in the less than 5% market share are the geographies which we plan to expand. So together, if you look at the market share, has moved from around 5-odd percentage three years back to around 7.6%. This is a time when we had invested a lot in our processes and which actually scaled up our business in the last two years. Now with this, we are well poised for a very calibrated growth in the geographies with deep presence and in other geographies where we have a lesser presence. Now if you look at how this entire last two years, what all we have been building on as has been explained in the previous presentations, through the life cycle of the loan which comes in your system through the different checks that happen, ending in disbursement, data and technology are strongly admitted. So when at the time of data entry, whether it is about validation of the KYC of the customer, validating the customer, whether the customer is genuine, geo tagging of the customer to ensure that the geo limit is as per the prescribed norms. There are different partners who help us in ensuring that this validation happens real time. And now when it comes to the credit check, there are various rule engines which happen behind the entire loan system wherein there are internal dedupe checks which happen, which checks whether the customer is already a customer in any other product line, whether the

re's an employee check done to see whether there is any dummy applications coming in. So there are a lot of risk checks which happen over here and what passes through the credit rule engine runs real time to check the exposure association as well as the DPD norms and

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within a minute the credit sanction is given. So, this helps us ensure that we are communicating the decision with the least possible time. Now the third point, this is about the huge repeat base of customers. It's very important to know that these customers who are already on the book at what time they become eligible for a loan and what sort of offers can be given to them. That is on time, real time we are checking with this with the bureau data and we are rolling out pre-approved offers for these customers. So that is one of the reasons why we have a very strong repeat franchise and this is the inbuilt system calculator which actually derives the income based on the trade activity. Now coming to disbursement, if you look at all of this, the penny fuzzy checks validates the bank account of the customer to ensure that the funds reach the right customer. This is something that we have implemented last year, data driven analytics to ensure that we give the right risk-based pricing to the right customer wherein a repeat customer who has a lesser exposure gets the best interest rate. Customer onboarding we're doing through e-sign so that there is no paper which is signed by the customer and servicing of the loan through PLANET App. So, a rural woman in the rural area who can access her entire loan details through the comfort of her mobile, see the loan outstanding, make digital payments and also get an SOA downloaded is something that we provide through PLANET App. Now as a result of all of this, what we have been able to achieve is what is captured over here. A monthly disbursement increase of around 42%, a percentage of disbursement happening through straight pass-through which is 25% of the total business that happens through this. From sourcing to disbursement TAT reduction from four to 2.5 days and 100% paperless disbursement. This is on the disbursement and productivity side. While we look at the collection and the portfolio side, this is what you see. For collections monitoring, we have automated route maps which is developed so that we can track the entire collections team who is doing the collections on the field and monitor that. There's real-time receipting. For the MicroLAP business, we have 100% mandate registration and account aggregator data being pulled to ensure that the customer is right for funding. In terms of digital collection, we have given the customer multiple options to ensure that we do digital collections very methodically on the field. And portfolio tracking, this is extremely important because when we enter a PIN code, it's very important to know whether that PIN code is something that we would want to do business and whether the PIN code has any trends which are pointing towards a lack of safety in operating in that PIN code. So, this is where we ensure that we do a lot of data analysis. Once the customer comes on board, it's important to monitor the customer's behavior in terms of increasing leverage, in terms of delinquency outside while still being regular with us. All of these are very predictive methods by which we try to understand the customer much better before the customer shows a behavior in the book and helps us ensure that our portfolio monitoring mechanism is very robust. With all of this, what we have achieved is this 99.5 percentage collection efficiency as on September, which we have

ave touched at 99.6 in October, 96% zero DPD book, 96% full group collection, 2.6% 90 plus DPD and 35% digital collections. So, this is the impact that digital and tech has caused in our book. Now when you look at the journey forward and on some of the things that we are working on as well as some of the projects which are taking shape are these. So, the one on customer identification real-time alerts, this is majorly for ensuring that our exclusive customer remains with us. And whenever there is a bureau inquiry from an exclusive customer, we are able to reach the customer in time to provide a loan. There is a propensity model which works on, works behind the entire system, which will tell us out of the entire repeat base of customers, which are the customers who are likely to take a loan and hence help us improve our efficiency. We have built DIY journeys on PLANET app so that repeat customers can approach the company without waiting for a field agent to reach her. In terms of customer appraisal, we have built alternate data access as well to ensure that we know much more about the customer before giving her any exposure. In terms of collection, there has already been details about not calling the customer to ensure that we inform the customer about the due date well in advance. On AI capabilities, we are working on a couple of things along with Debarag and the entire team. In terms of geo-expansion, how do we overlap the entire socio-economic patterns in the area along with the bureau data to ensure whether we should open our presence in the right markets or not? We are also working on a score based on the customer lifestyle so that we know whether the customer whom we are lending is the right customer. This is also used to track group collections as well as provide a real-time helpline to the sales team to resolve any queries. So, this is on the tech and the data enablement in the business, which has helped business scale up.

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A quick look at the business updates. These are graphs that you would have seen as part of our market disclosures. So, when the industry went through the largest crisis that we have seen, one of the most important things that was being tracked was the percentage of portfolio which was having more than three lenders. So, when we started off and when this entire crisis started off and when this was being measured in the market, we were at 17 percentage. From 17 percentage, it has now moved to four percentage over the last five quarters. So now it's just 4 percentage of customers who have more than three associations, which is a very minimal portion of our portfolio at this point. So, if you look at how it has fared compared to industry, we are here. Here I have marked Q1FY26 because I am comparing industry with Q1 data. Q2 data is not yet available for the industry. So, this is how the other major players pan out. So, you can see the percentage with more than three lenders is around 7 percentage to 11 percentage, whereas we are at 5 percentage, which shows that our portfolio is under leveraged. And if you look at collection performance, as was explained in the first presentation, our collections has remained steady, except for this blip where the Karnataka crisis happened. We have been able to maintain collection efficiencies well ahead of the market, both in zero DPD as well as zero to 90 DPD collections. And the result of this collection efficiency can be seen in the zero DPD book and the 90 DPD book. This is indexed across industry. So, you see this industry representation of 100%. Our zero DPD book has been at 111 percentage, climbing up to 126. So, it has

been increasing steadily. And the 90 plus DPD book, when industry is at 100, we were at almost at one third of the industry. And today we are at 12 percentage, which is much lower than what we used to be in the past. So, this shows the portfolio quality as well as the resilience. Now, if you look at the business, as has been explained in the first presentation, we have been able to maintain the disbursement momentum during the crisis and scale up quietly at the same time, working on the various digital as well as tech initiatives and understanding who are the right customers to lend. And we have been able to come back to the 2000 trajectory of business. And if you look at this business, how has it enabled AUM growth? Our AUM has moved from 25,795 to 25,962 between Q1 to Q2 in the last one year. As I said, we did not degrow the book. We have been able to hold the book. But when you compare it with industry, the industry picture is very different. There has been serious degrowth in the industry. That's one place where we have been able to maintain our book as well as the disbursement trajectory. Now, moving on to that's all about the JLG business, moving on to MicroLAP business. When we entered this product, what we looked at is which are the more potential markets in terms of market presence. And we saw that there are southern markets which are pretty large. There are markets on the western side as well, which are pretty large, whereas the market was pretty minimal in the eastern part of the country. So, our geopresence started off from Tamil Nadu. Right now, we are present in almost 175 points of presence in these geographies. Now, we are at stage at which we are expanding these five geographies where there will be another 75-odd branches coming up. So by the end of the year, we would be having 250 points of presence. Now, how has this business scaled up? From the start in Q3FY24, the book has built to Rs. 843 crores and is well positioned to touch Rs. 1000 crores by end of this quarter. A quarterly business trend of Rs. 200 odd crores, which is around Rs. 70 crores of business per month is what we are clocking in right now. And the key portfolio metrics are captured here. We operate at a FOIR of 47%, an LTV of 52, regular collection efficiency of 99.9 percent, and portfolio yield of 18% to 20%. So that's on the Micro LAP business. To conclude, the JLG portfolio that I explained gives us benefit in terms of strong rural penetration, strong customer connect, and resilient performance, and the Micro LAP business, which gives us a secure product to balance the unsecured

mix on the JLG side, higher ticket size, and lower credit costs. Together with both of these businesses, we are ready for the future growth. That's it, and I would like to invite Asheesh Goel, the Chief Executive of Farmer Finance, to come on stage.

Asheesh Goel :

Good evening. You guys have heard a lot regarding the interventions that we've taken over the past one year. Ramesh and Debarag took you through what's under the hood, what's the work that's gone behind getting that to fruition. I'll try and dimension out as to, from a business standpoint, what is it that we were looking at or aiming to gain out of it, and also try and quantify the same. However, before we do that, it's only prudent to look at, you know, how the year has been so far, and because the business is actually subject to the vagaries of the rural macroeconomics. Let's look at the four vectors which really impact us. I mean, whether it is the rainfall, whether

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it is, you know, the kind of water reservoir levels that are there, the kind of harvest that

comes into the Mandis, or

the kind of sowing that's happening, you know, all of them are green, all of them tick off. This is very different from what it was two years back, wherein all were in the red, and the result was a year back, we saw the stress that we did in the market. Now, this augurs well for us, and as a result, our AUM has already crossed Rs. 15,000 crores. We've serviced over 11 lakh customers, and our active dealers stand at greater than 2,500. What you see over there is productivity, which has increased by 14%, and the new tractor disbursement by 13%. Now, this is one of the outcomes that we want from the interventions that are there, which is efficiencies going up without adding manpower, and that's something which is clearly evident here. The new business of WRF that we launched, that's moving in the right direction, and we saw a 55% growth, although at a small base, but it's again directionally going right, and also the product's working well, because the MTM on WRF was sub -1%, of which also 40% got auto-settled. But like we've been talking about risk-first, tech-first, let's look at a few things as to how the portfolio is doing, and we'll have a lead indicator, and we'll have a lag indicator. So, if you look at the lead indicator, that's the non-starters, and if you look at it, this is indexed against March of 2024, and from that, it's constantly on the way down, currently standing at about 35%, but from a peak down big time to about 35%. Then, if you were to same time map it against the industry delinquency, and this is 12 MOB 90+. The thing to be noted is that while there is already a difference, this 79% actually refers to this period. So, as this period and the impact of that keeps on coming in, we are very confident that we will start to see a wider separation between our performance versus the industry. Let's look at a few more collection numbers, and what has this been driven by? So obviously, the E-NACH penetration stands at about 88%, and the clearance at about 72%. Again, this number is relevant, because two years back, this used to be a single-digit number. Again, the overall bankable pool has gone to 70, with a clearance of 66, meaning two out of three people are paying me through their bank account. The result is collection efficiencies, which have seen a clear uptake versus the last year performance, and are up by about 100 basis points for the first half of the year, and also the on-due date collections, and the 0 DPD book has moved up by 2%. Again, a thing to note that while my on-due date collection has gone up by 4%, my cash collection has come down by 4%. Now, moving on, again, impact of Project Cyclops. So, one of the things that we wanted to achieve, so there were actually three things that we wanted to achieve. We wanted to have a differentiated offering, we wanted a better TAT, and we wanted a better portfolio. Now, let's see how we fared against each one of them. So, we actually launched Project Cyclops in April, with about 16% of our dealers. 91% -- 90% got a better offering than the standard of what they offered for, and 2% were the ones that got lesser than that. Our biggest concern was, as we go 100%, will this hold good? September, we were at 100%, and the offers continued to be better for 91%. The LTVs moved from 67% to 72%, 70%, about a 3.5% upside, and the ticket size also went up, despite the decrease that we saw in the cost of the asset due to the GST release. On the TAT front, we had 19%, that was STP. 81% still had manual underwriting interventions, which has now come down to 64, and 36 moves through, leading to much better TATs. On the GNS side, if you look at the portfolio, 20% of the book was Project Cyclops underwritten, and about 80% non-Project Cyclops. The GNS was 23% on non-Project Cyclops, and 17% on Project Cyclops a clear reduction of 6%, and obviously on the non-starter, a minuscule 0.2%

against a 1.9%. Although these are early signs, and the book is yet to come to full maturity on the Project Cyclops written book, but it's moving in the right direction, and showing us the kind of improvement that we expected to bring to the table. The second thing, if we move on, from a customer, there is another customer which is very, very important for us, and which is the dealer. And Ramesh, in his presentation, talked about the fact that we've launched something for them. Here again, we wanted to give them a one-stop shop with a lot of transparency and control, and allowing them the ease of doing business and not being dependent upon the frontline guy to be able to do that. As part of that, we launched the Partner PLANET app. Let's see exactly what that brings to the table. So again, I won't go into the key features. They have already been discussed. The proof of the pudding is in the eating of it. What did we see? We saw a 25% increase in the TA disbursement, with 10% more dealers taking

paid advance from us. Let's look at a few collection numbers, and from a collection numbers, as to what is the impact of the digital interventions that we've taken. Here again, the objectives are very, very clear. We wanted to give the frontline a unified platform, wherein all the details would be available to them for them to be able to do their job more effectively, to be able to track them on a real-time basis, and also to have litigation management processes, which allowed them to do the settlements at a better pace and at a better number. Three of the things that we started, we obviously gave them a Brake app, which was a single point contact for them to be able to get

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all the information, an activity monitoring app, which was there, that the first level and the second level supervisor could track them. And the third was obviously a litigation management tool, wherein all the notices were automated and would go through and be tracked. And from there, it would move into the brake app and be available to the frontline once he met the customer for any discussions. Like I said, it was simplified, paperless journey, allowed for the resources to be optimized to the maximum. Here again, if you look at it, we had a touch-free collections going up by 9%, the productivity increased by 5%, and the settlement TAT came down by 2%. One more thing that we wanted to do was use analytics for our collection strategy. So a lot of times we look at customers from a sales point of view, wherein we say we have a personalized offer to them. We try to take the same concept and say, what if you were to do it from a collection standpoint? So we wanted to actually have a personalized collection effort depending upon the customer profile and actually have the right channel, the right time going to the right customer. Two things were used into this. One was the customer risk score and one was a predictive EMI bounce score. Now, both of these were put together to be able to come up with a decision engine, which would tell me as to where this would go. Obviously, what was used in this was repayment behavior, both on us, of us, loan parameters, crop details, demographics, customer banking details, and this allowed us to be able to come up with that predictive model. Ultimately, again, is the result that brings us that this is something that's working well. 156 basis point betterment on collection efficiencies on the 0 DPD book and the bounce rates coming down by 9.44%. Now, all I like to say is with all the lead indicators for the macroeconomics, taking off well, all the interventions helping us take us into the right direction.

It only makes us believe that the risk calibrated growth that we are looking at is just around the corner for us. Thank you. And I'd like to invite Jinesh to please come and talk about the urban secured landscape.

Jinesh Shah :

Good evening, everyone. I'm Jinesh and I look after the urban secured space. Happy to speak to you all here today. What I am going to do is take you through what we are doing on the home loans, Two-wheelers and the insurance side of the business and how that is actually changing the shape of L&T finance's overall book. A quick snapshot in terms of where we are. This is what the book looks like today. On an overall basis, the portfolio is today heading at about Rs. 10,000 -odd crores of disbursements that have happened in the first half of the year with overall disbursements and book leading to about Rs. 40,000 -odd crores. This is broken up with mortgage and Two-Wheelers in the ratio of 54% and 46% and disbursements in the ratio of 68% and 32%. Also from an insurance perspective, there are four broad products that we are offering to our customers today. They are basically linked across life, health, motor insurance and EMI protection. Today, 95% of our book has some or the other insurance that has been cross sold to the customer. Also, if you look at the income per case, it has actually gone up by about 23%. So clearly, we are reaching out to customers using the database to actually sell insurance to customers. One of the new initiatives that we will be launching as part of our quarter three initiative this year will be actually to launch the retail cross-sell model with far more API integrations, better commercials that are there for our customers. Now, where are we on the overall urban secured business? We have close to about 90 lakh customers, 87 lakh plus to be exact. That's part of the overall number of about 2.7 crore customers that are there in L&T. We currently lend in 160 plus markets. We have close to about 9500 touch points in terms of sales for dealers, DSAs, etc. And we have close to about 6000 odd employees who are working with us on the overall piece. All this is building up a large distribution across the secured lending business. I will now break this up into two parts on the home loans and the Two-Wheeler side. While I start on the Two-Wheeler side of the business, we have broadly about a decade plus of history in this business that we are running with. And one of the big advantages that we bring here is the 100% digital journey that is there. You heard Debarag and Ramesh speak about Project Cyclops. 100% of cases from January onwards this year have been only going through a credit decision engine. Nobody can overrule what is there as part of it. And that's in fact one of the biggest advantages that come out of this. We have close to 80 lakh customers who have been serviced on Two-Wheelers on an overall basis within our business, with 8500 dealer touch points that we are actually servicing today. That kind of gives you the idea of the number of places that we can actually cater to customers. These 5000 odd customers who are part of our Two-Wheeler business are actually catering to all these touch points, leading on to some broad indicators of 28 months of tenure and a 1.1 lakh ticket size that is there today. Now, what does this translate

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into from a Project Cyclops perspective as well? Our book today is close to about Rs. 13,800 crores. And of this Rs. 13,800 crores, Rs. 8,700 crores is actually sitting in a Project Cyclops driven credit engine. That means close to about two-third of our book is today being underwritten through

ough a digital process. Some of this book, like I said, has been prior to Jan -25, which obviously is today running off by itself. What is also important for us is if we look at our peak months, which are typically during the festive periods and when most people buy Two-Wheelers, we see actually productivity per employee go up from about Rs. 18-odd lakhs to about Rs. 25 lakhs. That by itself is a significant number which has gone up. And this increase is despite the fact that we are getting a much larger prime share from our customers. Today, 87% of our customers are actually prime. That means their behavior on credit, on behavior on payments, etc., is significantly better than what we would term as non-prime customers. Because of this kind of behavior and higher banking penetration, which I will discuss later, you will also see that our yield on this profile of customers who are relatively better has marginally fallen from 19% to about 18%. But this drop has actually resulted in a risk adjusted return going up by 1.61% or 161 bps. Now, clearly the quality of the customers that is coming in through the door is significantly better and giving us a better return as part of our overall strategy. This is part of our journey and Debarag kind of covered this in terms of his earlier presentation that was there and how we gradually increased our penetration on Project Cyclops on a test basis. We gradually started off with 4% to 5% of our dealer counters actually starting off with Project Cyclops and by January -25, we moved on to 100%. Now, what is really the outcome of this is what I also want to share with you. The outcome of this is our GNS today on an indexed basis, which last year was at about 100. If I take November number at 100, we are today sitting at a GNS of 57%. So, we are close to about 43% of our peak number of what we saw in November. What is our bounce rate? If I was to take November again indexed, we are sitting at a 69% today. That means close to about 31% has actually improved the quality of the book that's coming in through the door. These two things are a large indicator of what we are approving and what the behavior of the customer is actually. Another important indicator for you to look at from a Project Cyclops perspective and where I spoke earlier about 63% of our customers are coming in with banking. That means the customer who's let's say walking into a Bikaner or into a Nasik or into an Aurangabad showroom is sharing with us his banking information for us to decide whether to lend to him or not, 63% of them. That is an indicator of the shape of things to come. That means we are able to do a much better assessment of these customers on a forward-looking basis. When we do a better assessment, we are seeing that the bounce rates have actually fallen. We are looking that their GNS is much better and their collections efficiency is also much better because we have assessed these customers differently. What is also happening is from a partner perspective, we have much better acceptance of L&T at the dealer counter. That actually tells you that we are getting a 89% chance to actually review every case coming in through the door at a dealer counter where we are present first. We are getting a much higher approval rate from 55% moving to about 64%. That's close to about a 20% higher approval rate. Our LTVs that we are offering customers now who are coming to us with banking and a better profile is also much higher. That means close to about 80% average LTV we are offering to these customers who are coming to us with this information. And our GDP dealers, now what do we define as GDP dealers? These are our top-end dealers whom we term as gold, diamond, or platinum dealers. GDP, unlike the GDP that you refer to as part of economics, these are our gold, diamond, and platinum dealers. We have 1800 such dealers today with us who are doing their business. We

actually wanted to test what is really the outcome of our selection of customers versus that of the market. We took help from TransUnion CIBIL out here to look at what is the Two-Wheeler segmentation of their base and how are we performing against that. We identified three segments out there, low-risk, medium-risk, high-risk, and typically with TransUnion, they have these kind of bad rates. Low-risk has a 1.5% and a high-risk has a greater than 12%. Now what is defined as a bad rate? Bad rate is basically 90+ at 12 MOB with an 80% LGD. LGD is loss-given default. If we were to compare our pre-Project Cyclops book to our post-Project Cyclops book today, we are clearly seeing that where we used to be at a 5% average bad rate, we have now moved to about a 3% average bad rate. So that's actually telling you that we've been able to shave off 40% of the bad rate that was coming in through the door from an earlier selection. And this is not vetted by us. This is also vetted by an independent, external, established credit bureau. That kind of tells you how things are really changing. While that is on the business side, on the collection side, what are we doing? We have now focused very differently on the collections front. We are reaching out to customers a lot earlier. We are using the help of digital channels to reach out to customers and make sure that their payments come in in a much faster manner. Now, you will ask me what is really the impact of all this? Well,

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the impact of all this is this. My X -bucket, if I was to look at it in an indexed manner, has actually fallen down by close to 16% at a time when my book is actually growing. My buckets 1, 2 and 3 have all seen a downward trend compared to what we were in April. And in all these months, we have only increased our book size. So in a growing book size, I have lower delinquent book, which is actually telling you a good story about what is happening on the Two-Wheeler side. I have met up with some of you during some of the reviews that have happened. And this was exactly the story that I had spoken to you about. And now we are seeing it in pure numbers over this period of time. What are our strategic levers that we are looking at in the next few months? I won't delve into all of them given the paucity of time. But one of them that we are trying to bring in is obviously our differential QR journey, where customers can actually just scan a QR, fill up an application, get approved instantly. Another one is where we are trying to do a lot of integration. Today, we have an integration with two large OEMs. Hero and Honda, as you know, control more than 50% of the market today. With two of them, we are having an integration which has been done and we were live in September -25 to ensure that we are able to cater to them in a much better way. During the festive season, two other large manufacturers, and I don't need to tell you the names of them because there are really only four people who control 85% of the market, but we've also gone live during the festive season with them. One of the big things that has worked out for all these things is the kind of relationships that we have with our dealers and what we do. Ramesh spoke something about the dealer app that is there, the partner PLANET app. Ashish just before me spoke about some of the capabilities that are there. We've enhanced some of these capabilities for our Two-Wheeler dealers because the requirements of a Two-Wheeler dealer are relatively further different from what is there. The next video will actually take you through this .

Amandeep Singh :

I would like to extend my app

reciation to the L&T finance team for developing the partner PLANET app, a truly remarkable initiative. Platform seamlessly integrates key dealer requirements such as TA status, disbursement, delinquency, RC pendency, pre -approved TA limits, statement of account and customer wise case tracking all in one unified interface .

Sachi Autonot :

Disbursement process traceability is really helpful wherein you can plan your business and that leads to improving your finances and the stocking of the vehicle .

Jinesh Shah :

So that's the capability that's coming in as part of our PLANET 2.0. The verbiage that you actually saw from some of our dealers of Hero, Honda, etc. is actually what we are doing with them and what they've actually said as part of the overall delivery. Now just to explain to you where are we, finally it is the financials in terms of where we are from, where the numbers are growing, how much has disbursements grown, how much has book grown and how much has collections improved. If you see out here in line with the industry growth, our new application logins have increased by 5% and so have our disbursements gone up by 5%. Our ATS because we are focusing on a better profile of customers coming in through the door has also gone up which is the average ticket size while the tenor largely remains the same. While this is on the new business generation front, this is how the collection side has actually performed. Our 0 DPD collections efficiency has gone up. Our self -cure which is a very important factor which decides our cost to collect has actually improved by 280%. Our 0 DPD bounce index has actually fallen down by about 21%. Our credit cost has actually fallen down by 47% and our collections cost by about 11%. So, all these are indicators of a growing book, good profile of customers with much better collections efficiency that is there in some manner. That's in sum total our Two-Wheeler business. I'll move on to the mortgage side. Mortgage once again a decade old business with us close to about 28,000 odd crores of book but what is important is that we are really lending to a pristine set of customers that are there. If we were to compare our delinquency with that of the market, we are significantly better. Our loan to value is also significantly lower as you see out here and the average ticket size is very nicely pegged at about 67 and 90 lakhs. We are not really in the low ticket today so clearly we are in a much better segment that is there. All this based on a strong footprint of close to about 60 plus markets that we are lending into, a better profile of customers and what we have done is we have

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expanded our suite. I will be covering this a little later to focus on high yielding customers of mortgage who either take home decor or take our mortgage plus product or take our LAP product. All these things are actually going to increase our revenues by our focus out here. Needless to say customer is king. We will continue to optimize as far as that is concerned. But one of the best things that we have been able to do on the mortgage side has been our entire revised digital process that is there. This entire digital process is 100% paperless in terms of where we are. So let me throw some light on that. This is where we are as far as our Neo 2 platform that we have just launched. The entire process end -to-end is completely digital. Right from the application form all the way to signing the final loan agreement that is there. And what we do is we do a triangulation of client data, whether it is

to do with KYC, whether it is to do with income, whether it is to do with bureau, i

t is to do with banking. You saw

the entire spectrum that is there. When Debarag spoke about what is the capability of actually capsulating all that together as part of the co-pilot that he has launched for the SME business, that is exactly something that we are also going to be doing as part of our mortgage business to improve the efficiency even further. Today we have an automated CAM which is already happening, which is a credit approval memo that is already improving efficiency. If we see today 83% of our base is 730 plus on the bureau. Our TATs that we have are anywhere between four and five days. Our lowest TAT across both is actually about one day and underwriter productivity has gone up by about 22%. That is just an indicator that the investment into technology is actually helping us improve turnaround time, client experience and underwriter capability. So where are we on the financials? On the overall book, the book has grown up between last year and this year by about 26%. Disbursements are up 7%. I spoke about high yielding products. We are at close to 6x growth on high yielding products that we are working on. We are not doing the pure, I would not say not doing, we are less focused on the pure pristine low value home loan products that are there. We are trying to shift our focus towards high yielding. Our net promoter score from a client perspective has actually shot up because clearly we are getting digital data, we are able to quickly respond to customers and handle them in a much better way. Now, if I look at collections efficiency as well, which all these are collection parameters, our collections efficiency has improved marginally. And if we look at a 30 plus DPD has actually fallen overall 30 plus and zero plus DPD has also fallen. Credit costs gone down by about 46% and collections costs gone down by about 22%, both these are indexed. That's just an indicator of the shape of things that even the mortgage book, despite its aggressive growth over the last couple of years, is actually telling us a better story than before. Moving on to what is our strategy as we move on. This is broadly at a very 30,000 feet level, what is an ideal process that should be there for a mortgage perspective. These five green boxes that you see out here are today all digital. The part that we have not been able to digitize and which is what we are working on is how do I get the entire property details. Now, Debarag spoke about trying to get photographs of customers' houses, do an assessment and take that forward. That's something that we will build on. Legal documents, which are basically the property papers that are there of the customer, how do I assess them to be accurate? And how do I get a valuation done in the best and the fastest possible manner? These are data integrations that we are working on to increase our overall market space for home loans. From a long-term perspective, these are the various areas of backward and forward integration that we actually want to do as part of our home loan business, where we will try and reach out to customer requirements that are pre-buying as well as post-buying, trying to make sure that the entire experience of buying a house is very, very different from just saying that this is a plain, simple transaction to moving to a transaction plus service in some manner. So, that's the end of my presentation. This is actually encapsulating the entire piece that is there on the home loan side. I would request Manish to please take forward the unsecured lending side of the business. Thank you.

Manish Kumar Gupta :

Thank you, Jinesh. My name is Manish Gupta and I lead the Unsecured Business for L&T Finance. Now, we've heard Debarag, Sudipta and Ramesh kind of talk about multiple initiatives on the tech and the data side and I think Personal Loan has actually been one of the biggest beneficiaries of that particular transformation that

has

happened in the last one year. So, let me kind of just go back to about a year on what we promised and what we delivered as a part of our in the last one year. So, we actually -- our whole idea is to actually embrace technology, embrace innovation to actually build a very strong quality portfolio. Now, we talked about two main things last year. We talked about fostering mega partnerships. We started off with Cred last year. We launched Amazon as

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a part of our digital day, as a part of our RAISE last year. And basically, we talked about a NextGen underwriting architecture. Now, I'm very glad to say that from a 2% contribution of these mega partnerships, we are now moving to almost 43% contribution of these mega partnerships, which are with PhonePe, Cred, Google and Amazon, which are now contributing to a very large book that we are sourcing today. Now, not just that, we've also revamped our underwriting policy last year and that has shown us amazing results that are there. Project Cyclops, I think Debarag did talk about that we are going live. It's under implementation and we'll go live in the next one or two months. What has it given us? Now, if I look at the salaried customer base at an overall book level of what we are sourcing, that number has actually moved from 37% to 57%. Now, this includes the cross-sell portfolio. So, in our new book, it's actually much, much higher. If I look at the customers who are 750 plus CIBIL, which are actually very, very good, that number has moved from 54% in FY25 to about 69% in FY26. And what is also interesting is that basically our customers whom we are sourcing and who have a secured trade line. Now, what do we mean by secured dominant trade line? The customers who have a home loan or a Two-Wheeler before and they've shown a certain behavior on that has actually increased from 21% to 37%. So, we are getting quality customers across our book and not just from a large partnership, but across all our partnerships that you see

here. Now, if I go to the actual numbers, September -24, we were actually disbursing about Rs. 476 crores of Personal Loans. Now, that number has gone up 146% to about Rs. 1,170 crores. Now, how did it go? We actually see that the orange line that you see here is the mega partnerships that we fostered that has grown from Rs. 12 crores contribution to now Rs. 500 crores contribution, which is actually even higher than what we actually disbursed in a month across all our channels. So, that has given us some very good results of the growth that you see in the Personal Loan book. But the growth actually has to come with a very important factor, which is risk. Now, if I look at what has it given us, it has given us a very important portfolio quality, which if you see the four big parameters that I'm talking about, bounce rates, our bounce rates have gone down from 14.1% to 8.2%, which is a decrease of almost 42%. Self-cure which Jinesh also talked about, which actually gives about almost 1/30th or 1/50th cost as compared to a field collection has actually gone up by 119% from a 15% in September -24 to about 34% and it's keeping on increasing. And our GNS and NNS, which is gross non-starter and the net non-starter, which is the customers who are coming in the first time, are they bouncing or not? That number has gone down from 5.2% to 2.9% and 0.53 to 0.16. Now, how has that happened? On the bounce rate side, we are actually doing a lot of data. So, pre-delinquency management. So, we've built multiple models, which are effectively then through what kind of digital channels through that particular PDM (Pre-Delinquency Management) model

is what

we are trying to kind of remind the customers that they have to keep money into their account. Self-cure, you've heard Debarag and Ramesh kind of talk about the multilingual bot that is there. So, basically, we actually contact the customers in multiple languages through a bot, which actually gives us this number. And, of course, on the NNS side, there is again, there are multiple models that we've actually deployed, which has given us these numbers that you see right now. If I go into what exactly did we do in detail. Now, the first thing that we did and that's how we kind of launched all of these partnerships, which has given us great results is actually build a very strong tech layer. Now, that tech layer effectively is our core systems, which are our LOS and our LMS. On top of that, we built an internal API gateway and an external API gateway, which is built on micro services. And that connects to both the lead generation partners, which are basically Google Pay, PhonePe, INDmoney, Amazon, Cred, etc. And our underwriting stack, which is our internal stack, which is there which connects to external partners, which actually then gives us a completely digital underwriting process through multiple data points that are there. And, of course, that then finally converts into once the customer is onboarded, then how do we do collections on these customers, which are again, through some of these partners, through which all of this is completely integrated. So that's the architecture that we've built, which effectively is robust and can help us scale up to whatever number that we want. Now, in terms of details, distribution, we've already talked about large partnerships. We've talked about native journeys. Now, for each of these partners that you actually saw, we've actually built native journeys, which effectively give the customer best-in-class experiences. Basically, even on our cross-sell side, which is almost about 25% of our portfolio today, we actually see data and technology, again, using multiple models to actually target which customers are actually wanting to take a loan, and therefore, basically, which are our best customers and then go after them, rather than actually going after all the customers which are eligible for the loan. And of course, the micro services stack, which I've already talked about. In terms of risk and policy, we've got digital underwriting, use of alternate data, which will actually go into Project Cyclops

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as we move forward. And, of course, with all our partners, we've actually done a data room exercise to ensure that we are taking the goodness of what the data that is there of these customers to actually build a great underwriting process and models that are there. Collections, GenAI bot what we've already talked about. We've talked about PDM (Pre-Delinquency Management) management. And of course, the two things that are not mentioned before, which is basically our allocation to which channel the customer who's bounced goes to is actually all technology and data driven. We've got DIY journeys for settlement for customers who want to settle. So, if the customer actually comes on the PLANET app, he can actually and if he's eligible for a settlement, he can actually go and settle as well. So, these are various transformations that we've done as a part of H1FY2026. As we move forward into the next half of this year, our objective is to create a scalable business, which is which is of quality, but also kind of create a great customer experience. And I think that's what we are focused off in the next half as well. So, what are the things that we're doing?

You've heard Ramesh talk about the multilingual bot

for sale. You heard you saw the demo as well. We're doing an in-app agent. I'll actually talk about that in Agentic voice based chat interface, which is their revamped consumer journey, which again you'll see in the next few days. Our journeys are actually better, but we're keeping on improving that. And, of course, the loan offer pod, which again, Ramesh kind of talked about. Risk and policy Project Cyclops and Project Nostradamus will get launched very, very soon. And, of course, we are kind of doing pre-approved black boxes so that we get the best customers, not just at the bottom of the funnel, but also at the top of the funnel. In terms of collections, customers who finally go into go into a 90 plus, for example, there is a dedicated effort through agency maximization that we'll be doing a mandatory of banking. Of course, Project Nostradamus you've seen that it actually requires a lot

of banking information. You can monitor the customer, what he's doing, how his bank account information is changing, etc with consent, we'll actually be putting mandatory account aggregator and, of course, automated contactability through a customer consent. So, all of those initiatives will actually help us build a very, very robust business as we move forward. Before we actually close, I just wanted to play a small video, which shows you a glimpse of what that in-app chat agent actually looks like for our existing customers. So, this is a very short glimpse of what exactly is coming. There's a demo out there. You can actually go and experience this in real time, which will give you a detailed output of exactly what is happening. So that's the end of my presentation. Thank you. I'll now hand it over to Abhishek for taking you through the SME business.

Abhishek Sharma :

Thank you, Manish. Good afternoon, ladies and gentlemen. So, in the next 10 minutes to 12 minutes or so, I will take you through SME sector, our understanding and our customer segment where we play in. The portfolio performance over the last four years, because we are just above a four-year-old business, per se. And then a couple of use cases around how exactly AI is being used in terms of enabling underwriting for the business. So, with that as a backdrop, if we see the industry per se, it's a bit of a recalibration or sort of adjustment mode as we speak, with inquiry volumes being muted and originations falling down. However, if we break it into further parts and try to understand that which sector is slowing down or which segment customer cohort is slowing down and which one is growing, then the segment which is around 1 crores to 10 crores aggregate exposure and by aggregate exposure, I mean all sorts of exposure that the person has, that segment which has grown in the last two years from around 41% to 43%. And this is the segment that we play, because our average ticket size is around 29 odd lakhs. And the minimum ticket size is around 10 odd lakhs. So that's up to from 10 to 1 crores is the segment that we play in and here this becomes a close proximate. Another defining factor about this segment is that this segment from a delinquency perspective also has been doing pretty well. And in last two years, the number has dipped from 2.3% odd to around 1.8%. So per se, this segment gives us confidence. And what helps us is that we continue to be focused in this particular segment and continue to bring features. So which makes our product attractive for this particular segment. Now, what exactly is our business model? How exactly do we play in this particular segment? The point one is around, it's a digitally native business, which what I mean is that there is not a single physical signature or paper that we take in the overall journey itself. So that gives us ability to expand our locations, expand our area of operations, expand our channel partners exponentially

very, very

short time frame. So just to give an example, in March -25, we were operating around 110 odd locations. In next two months, we were able to double and today we are present in around 200 plus locations. So that was possible

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because the complete play is around digital agents. It allows us to expand the geographical presence of our business. The second aspect is around strong underwriting standards. What we do via Project Cyclops is break the customers into three cohorts of customers, which is around premium, value and core and then try to tailor our offering basis the customer segment that they belong to. And we'll talk about it a bit more in detail when we cover the Project Cyclops in detail. Last but not the least is we have been very, very focused on our collection efforts. We have been able to maintain our CD -CE at a 99.5% level over the last four years. And the intervention of AI has enabled the self -cure and call center piece to go up. So today as we speak, around 45% of our cases gets covered by self -cure mode, which is through either nudges which is sent by AI or through the intervention of call center. So, to that an extent, the field flow is less, which has its own impact in terms of the overall cost of collections that the business has. Now with these two cohorts, if you map it against the industry, I would like to draw your attention to the right top table. The industry and index it to 5 to 10 lakhs being the core delinquency. Then the delinquency as we start moving up the ticket size, it starts declining with the sweet spot starting from 25 lakhs onwards. If we see the ATS of the industry, ATS of LTF is slightly higher than the industry. So, we continue to be focused on greater than 25 lakh segments and our ATS keeps growing quarter on quarter as seen through that particular table. Also, in the overall portfolio, we do not have anything which is NTC. So basically, we do not underwrite NTC, we do not underwrite thin file. So, the customer cohort is completely around medium risk or high or low risk. That's the customer segment that we play in, which is seen both through the CMR ranking of the customer that we have as well as their individual retail bureau that they have. That you see the portfolio is focused on prime, prime plus and super prime. As an outcome of that, what happens is that if industry standard is indexed at 100, our standard book is at 109, which then subsequently in the buckets, our numbers start becoming less. So that's the kind of play which is there. And hence what the outcome that we like to drive home is that because of the appropriate identification of customer segments that we play in, our overall retail, our overall performance of the portfolio is a bit more risk resilient if we can say so. Coming to the business highlights, we are at around 6.23% market share. This pointer is not working. 6.23% market share and what we intend is to increase this market share to around 7% odd. We continue to be focused on this sub -1 crores ticket segment by adding features so that our products becomes much more attractive to this particular segment. As in next stage, what we want to build is build on the partnership and direct sales team. Currently in the overall volume, around 13% of the

contribution comes from direct business. We would like to take it to around 25% level in a medium term 12 to 18 months duration time frame. So that's the aim that we are chasing. In terms of collection strategy, we have two-pronged approach. The first approach is that understand the portfolio performance and weed out the segments that we do not want to entertain. So a

round that various policy interventions keeps coming which is at the top of the funnel that that customer cohort should not get into the portfolio itself. However, if they have entered, then we also keep investing in our collection setup and bring better structural changes so that our collection efficiency remains strong as seen in data that our collection efficiency at the zero DPD level has been in the range of 99.5 for last two years. That's the approach that we have carried and that's the outcome that we have. Now a bit of a deep dive into Project Cyclops, with the lens that how exactly it gets used or what exactly use case it was solving for. So, if we see SME underwriting, the first thing which happens is that there are various data points that needs to be seen to appropriately bucket the customer that how risky that customer is. Those retail data points would be related to his retail bureau, the commercial bureau, the banking, the GST and his income statement. And one by one, the credit manager used to go through all this all these things and then start understanding the riskiness of the customer. The second aspect was that while these data points were available, they were not available in one shot. And hence, a unified view of the customer was not seen at a point of time that used to be seen over a point of time, but not at the same point of time, resulting to higher turnaround time. So, what Project Cyclops solves is that it takes all the data points and buckets the customer into premium value and core upfront itself. So that allows us to have a better customer segmentation and enables underwriters to then have a more consistent, more accurate assessment of the customer. What it has already helped is in terms of productivity enhancement that their turnaround time has reduced by half as seen by the data. And what we expect is that going forward, it will also lead us to have a better credit cost control. Now, the month of November was a unique month in one aspect that the Project Cyclops went live on 12th of September. So in November, the first billing happened. And there were two kinds of customers whose billing happened in the month of November. One which were underwritten prior to 12th of September, which we call it as a control group, if one may say so and the portfolio which was

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underwritten post 12th of September. Now, once their due date happened on 3rd of November, the GNS performance of Project Cyclops underwritten portfolio is around 160 basis points lower than the non -Project Cyclops portfolio. So that's a good data point to have. Also, in a single month, the contribution of premium that if we back calculate our complete portfolio and see it via the lens of Project Cyclops, then our premium used to be is around 37% in the pre -Project Cyclops era. In a single month, it moved in terms of incremental sourcing by around 300 basis points. So that's another good thing, because the likely PD (probability of default) rate of the premium segment is around one fifth of the value segment. So that's the outcome that we expect coming out of Project Cyclops at a going forward basis. Further to Project Cyclops, we talked about project Helios as well, which was the underwriting co-pilot. It has given good results, demo is available, I would encourage all of you to see that. We have seen the outcome, very encouraged with that. So, on this, we are further building on Phase 2 and Phase 3 of Helios, which is around other documents. So, Phase 1 is primarily focused on bureaus. What we want to build on is banking and GST as well on top of it. Also take AI to other aspects of documentation,

which is around

legal and technical checks, as well as the universal partner API, which will help our partners to have a better lead sourcing and give a better customer experience. So, to understand that what exactly were the challenges which this AI solved for, we have seen the video of it. So, I will not spend much time, but primarily the data compilation part is the thing that is solving, which allowed the overall TAT to come down, because it is able to bucket the information into appropriate places, which is around overall credit summary, the derivative information, which if available in that bureau report, if it is even made there. And most importantly, it allows the underwriter or nudges the underwriter to ask certain specific PD (personal discussion) questions. This is the deviations or variations that it has seen in the bureau track record of that particular customer. As a going forward basis, we would continue to be completely focused on attracting the customer segments, which are risk resilient, wide, having incremental features in our cold loan offering, which is through various feature addition, tapping into the new markets, riding on to the existing distribution of either Gold or Farm or Two Wheeler. Keep encouraging and having more and more partnerships, both on the UBL side, as well as on the supply chain finance side, we already have onboarded four anchors and two partners which we have onboarded. So overall, just to sum it all, we will continue to be focused on attracting a customer, risk resilient customer segment in a digitally native play. With this, I would end the SME portion and I would request Mr. Raju Dodti to take us through the journey of gold. Thank you so much.

Raju Dodti :

Good evening, all. I think amongst all the products, this is a new kid on the block. Gold Finance business is something which we just started. And I would just take a few minutes to take you through why we acquired this business, how we integrated this business, what have we done so far and going forward, what we would do in

terms of expansion of this business in our product suite. So, when it comes to this business, we were looking at finding a new product. As you saw somewhere in 2021, the last business, which Abhishek just presented SME was started and it was felt necessary that we have a new business. And that is where the high yield secured product in the form of gold finance was found a suitable product. It was also necessary from the following key aspects. As a whole, in banks and NBFCs have lend close to 13 lakhs in the gold finance market. And NBFC share straddles between 20% to 30% in that. We do have a physical presence in almost 2,200 locations in the country already. And we believe that getting into a gold finance business would be the right fit for us. And that is how we ended up scouting a boutique firm in Chandigarh, which is present in North and West. And we onboarded that particular business by way of a slump sale in somewhere June or 9th June exactly. We did the usual protocol of completing due diligence, both finance, technical and legal. And we also ensured that all the gold packets of that particular entity were physically verified to ensure that we get the best in class business transferred on our side. And that is how we ended up beginning this business. On the day when we acquired, it was close to 700 employees which came on our side, 130 branches largely predominantly based in North and in West and a lakh customer with an almost Rs. 1,300 crores of an AUM which we acquired. In a period, a short period that has gone by, we have ensured that we maintain the disbursement trajectory. In fact, we have improved on it. If you can see from the graph, we have had the highest amount of disbursement in the month that has gone by. And we have seen close to Rs. 200 crores of net growth in the business. So what were the key principles of integration that we focused on? Ramesh, in his presentation, gave a detailed backdrop as to how the technology integration was the

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key for this business. And it was important because we were keen to have a seamless onboarding of all the customers on our ecosystem without disturbing. And as you can see, when we closed the deal on 9th of June, the business when it got transferred, right from the time these branches became L&T finance branches at 9:30 AM, the customer walked in and they got the, in fact, an enriched experience. And that happened because of seamless integration of IT systems. We also had to give a proper orientation to all the employees which came to L&T finance. And lastly, all the policies and processes of L&T finance, we being an upper layer NBFC, were required to be deployed onto this business. That too was seamlessly ensured. When it comes to the security aspects, we focused on physical as well as infosec security. We already had one command center in Chandigarh, which was acquired at the time of business. We created a mirror command center in our Mumbai office. This is to ensure that we don't have a redundancy as well as when it comes to the expansion of this business. And I will briefly speak about it in the next slide. We have a parallel center in place in anticipation of that, that we ensured. And last but not the least, it was important for us to ensure that the Infosec security protocol for this business are at the same pedestal where we are currently operating on. And that too was ensured as part of the integration. So, this is when it came to the security, we kind of did it. In a hundred days of a plan, we also wanted to give the customer something new when they came to L&T finance branches. So, on the day when we started, the offices were made paperless. So, during this implementation phase, we actually implemented the e-sign protocol for all the customers. And I'm very happy to state that the customer's journey, right from the time the customer walks in was given in the e-signing format. And we also used APIs, got the Indian Bullion and Jewelry Association's gold rates live embedded into our system. So that the LTV calculation and the loan quantification is done automatically. So, these are a few of the things which we could manage during that implementation phase. So, what are the technology themes which we want to focus on? So, everything that we spoke about, the prowess of AI and digital, which we have inherently developed in L&T finance over the last 12 to 18 months period. And that has been implemented with Project Cyclops or Project Nostradamus and all other digital tools. We want to have a use case of all those being deployed for this business as well. Obviously, we would not be doing that in one shot to ensure that the business is not disrupted in the process. But these are the five key themes on which we will definitely be focusing on. I will not go through all these, but the one aspect which we want to genuinely focus on is the 12 plus security protocols. And that is important given the fact that we understand that gold is quite close to customer's heart is being given the jewellery. And we want to ensure that the faith with which customers would be depositing this gold in our custody, we would like to take care of that gold as much as that lady in her house would take. As far as the command center is concerned, it's bit of an archaic system, if I were to use that word. Nonetheless, it is a two-factor security protocol which is there. But Debaraghe in his presentation spoke about having the video AI being deployed over here. So, we have already exp

erimented as to how the AI-based systems will be in a position to glance through videos. We have close to already many cameras in all of these branches and how the video feed would be analyzed with the help of AI as an additional layer of security that would come. This is also important from the point of view that as we will expand our branch network, we will not be forced or compelled to set up equivalent number of command centers across the country. We acquired close to 130 branches. On the left side of the screen, you can see geographies where these 130 branches are based at and on the right side, you can see we have already finalized 200 branches across the country. The centers which we

have finalized is an approach taken on the cluster-based approach. One, it must have the potential to grow the business. Two, we must have an existing L&T finance presence. This will ensure that our ability to scale up is pretty faster. So, these 200 branches is something which we intend to operationalize by end of this year itself. So, in addition to 130 branches and I'm very happy to state that the existing company from which we got this business, they took 9 years to set up 130 branches, but the power of the brand of L&T finance has made us capable to inaugurate close to 200 branches in this financial year itself. So, we have a confidence and we are actually striving to have an aspiration that from April of 2026 onwards, in two years thereafter, we need to have a 10x growth of this business. And that is possible because if the first slide that we looked at, you must have seen that our existing microfinance customers have got close to Rs. 17,000 crores of gold loans, which they have availed from other financiers. And we want to make use of tapping those customers into system. Last, when it comes to the branch network, it is the stated policy of L&T finance that this is the 11th product in our product suite. We want to have a branch set up, which we would like to call a Sampoorna branch, as the word denotes in complete sense, all products of L&T finance would be offered from that physical place. We did not have that kind of a structure so far.

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We are moving towards there from the holy city of Ujjain. We have already inaugurated a branch. This is the branch wherein the gold loan, as well as all other products would be catered to and serviced for our customer. There is a quick video of what's there in that. So, as the culture of the country says gold shines, it is also considered as an auspicious metal. We believe that this particular metal and the business with which we are embarking on our new product journey should augur that much needed shine for L&T finance armour as well. Thank you so much. And I will request Kavita Jagtiani our CMO to take us forward on the marketing initiatives.

Kavita Jagtiani :

Thank you, Raju. And good evening, everyone. This is the last presentation before the Q&A session and dinner. So, please bear with me. Well, since we all know that Jasprit Bumrah is the brand ambassador for L&T finance. So, I'm going to begin with a message from him for all of you.

Jasprit Bumrah :

Good evening, everyone. How are you? A warm welcome to the L&T finance investor digital day. We are thrilled to have you join us today.

Kavita Jagtiani :

Well, this video looks so close to real, but I'd like to share with you that this entire video is generated using AI. This is one of the limitless uses of AI and technology in marketing that I'm going to cover during the course of my presentation today. We all, India is a cricketing nation. It's truly a passion for us a

nd especially now with the Indian

women also lifting the World Cup. So, when it comes to bowling, Jasprit Bumrah our brand ambassador is known for his speed and style as well as he being a game changer every time he's on the field. Now, these attributes resonate very well with our product categories. Hence, L&T finance Just Zoom Two -Wheeler Loan campaign is a loan milega, Bumrah ki speed par or our L&T Finance business loan hain apke business ka game changer. Zooming into our campaign, which is Just Zoom Two -Wheeler Loans, we were essentially the associate sponsors for the Asia Cup, which we incidentally also won. In addition to airing our spots on the India matches as well as the non -India matches, we also took up outdoors branding and branding on transit media and great presence on the digital and social media. However, we were able to drive a higher level of impact through technology interventions in our media execution. Let's see how. Well, in addition to our TV spots, we also played our Aston bands during the cricket match. What are these Aston bands? They're essentially bands that come at the bottom of the panel of the TV screen. Now, since Bumrah is on our creative, we wanted to maximize the visibility by ensuring that these Aston bands are in sync with every time Bumrah is on the screen. So, that was enabled using a live stream technology through which either through recognition facial or jersey recognition, jersey number recognition of Bumrah, that these Aston bands were timed exactly when Bumrah was on screen. Here's how it looked. Moving on, we also took up advertising in transit media. Now, here too, we wanted to make sure that our advertising is contextual to the time of the day where people are traveling to or from work. Now, here too, we leveraged the technology. So, on a real-time basis, audio ads were placed in the metro, basis the time of the day. So, here is what, let's say, a traveler returning back from work would hear. So, as you can see, this is perfectly timed because of technology. This is one of the ways we did it. Moving on, we also wanted to appeal to our target audience, which is in the younger age group and what better way to do it than to enable them to bowl like Bumrah. So, we created an entire AI-generated initiative on digital, which is called Bowl like Bumrah. And what users had to do was simply upload their bowling action and get a score generated through the AI model, both on their speed and their style of bowling, as well as a personal message from Jasprit Bumrah. And to experience this, you should visit the bowl like Bumrah in the demo zone, which is to my right. Moving on, of course, these were the results of the Two-Wheeler campaign that we did. We had high levels of reach because of the Asia Cup. We had 40 million



views and we had very high levels of engagement. Moving on to the next campaign, which is the Game Changer campaign for business loans. Here too, we wanted to celebrate with the business owners as game changers for their respective business. So, we took up advertising through TV media on news channels and outdoor hoardings, as well as digital video, and we generated high levels of engagement with a very close business community. How

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did we do that? Well, we created for the very first time an AI-led microsite, which enabled these business owners to simply go onto the site and create business posters with Jasprit Bumrah, along with a customized message for their line of business. All they had to do was to, of course, upload their picture and the AI model would create a business poster exclusively for them. And they could also pl

ace this in their social media or at their shops to try to promote their business. We didn't stop at that. On a real-time basis, these business owners also had the opportunity to see themselves on an outdoor digital hoarding that also helps to give them visibility. All of this was enabled through technology, of course. And this generated us great business results. So, 11 million reach, 29 million views on digital platforms and high levels of engagement. Not just that, in terms of the consumer metrics too, our brand awareness moved from 12% to 31%. And the consideration for L&T Finance business loans improved from 8% to 23%. This is carried out through research through Kantar to measure the consumer metrics. Moving on, what we saw right now were examples of using AI for awareness and engagement. Here's a great use case of using AI to drive conversions. So, again, through AI, we create, with using GenAI, we create topical and festive videos all around the year, which have high frequency. And here's what it looks like. So, who would believe this is all GenAI generated. Not just this, GenAI also helps us to create personal nudges in the customer journey, each for at an individual level. Let's see how. And, of course, this helped us to drive higher click-through rates. So, we improved that by 3.4x and were in the range of about 1%. And also higher contribution to cross-sell business for Personal Loans. Moving on, not just for topical campaigns, but an entire thematic campaign can get done using GenAI. So, that's exactly what we did for our Diwali campaign. An entire campaign generated through GenAI, both from visuals to sound to graphics, all of that done using GenAI. Let's have a look. So, this generated high views on Instagram and engagement. So, here's wishing from all of us Iss Diwali sab honge kamyab L&T Finance ke saath. Thank you. I now request Sudipta and Sachinn Sir to please come on stage and address the Q&A

Karthik Narayanan :

Yes. Thank you, ladies and gentlemen, for a very patient hearing. We now move on to the Q&A session. That's the last part. I now invite questions from the audience, please. We request the audience to restrict their questions to one for maximum participation. We have volunteers on both the sides of the hall who will assist you with mics. We request you to provide your name and organization before you ask the question, please. So, Sudipta sir and Sachinn sir, please. Yes. Kindly give me your name and organization before you ask the question ,

Ramesh Bhojwani :

Sir, this is Ramesh Bhojwani from Mehta & Vakil. First and foremost, many heartiest congratulations on such a wonderful presentation encapsulating each and every aspect of L&T Finance so beautifully. We have moved from physical to digital and used technology, particularly AI. Going forward, we will be doing a much faster, much smoother, but much stronger growth trajectory. The question rather than the thought was we have two masterpieces communicated. One is Project Cyclops and other is Project Nostradamus . Project Nostradamus was a man who saw tomorrow in France in the year 1527. So, would like you to expand on the Project Nostradamus as well as Project Cyclops . What I understand is it stands for cyclical loan operations. Would you like to comment or correct me? Thank you .

Sudipta Roy :

So, these are like one of the things that is that when we build products and I talked about the product mindset, we like to give names to the products that we build primarily because it makes it very personal for the development teams and they tend to identify with. We also build mascots around this. Project Cyclops obviously is sort of derived from the mythological Greek character with one large eye. The philosophy is that Project Cyclops never blinks. So, basically no credit risk can get past Project Cyclops . So, that is the origin of Project Cyclops . It is the

ever-seeing eye which sees each and every small bit of credit risk. So, that is the philosophy behind it. And as you rightly said, Project Nostradamus was a French philosopher and a clairvoyant who saw the future. So, the thought behind Project Nostradamus is an automated portfolio management engine which actually predicts the

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event before the event is supposed to happen, which helps the teams to monitor the portfolios more granularly and sort of get to the customer before the customer probably becomes unrecoverable. So, that is the process. But it also has to, Project Nostradamus also has a very large cross -angle along with it. Project Nostradamus also identifies customers' cross -potential much earlier than others do. And we are also piloting an undiscovered prime concept within the organization where a customer might not exhibit signs of a prime customer right now but will be a prime customer maybe 2 to 3 months, three years down the line depending upon his income growth. So, Project Nostradamus helps us to identify those also. So, together these systems are supposed to operate in conjunction. Project Cyclops is obviously the origination layer. Project Nostradamus is a portfolio management layer. But Project Nostradamus in its ultimate avatar will be designed to send feedback to Project Cyclops . And that will happen automatically. Debarag covered it in his presentation. It will take us another 12 to 18 months to build where the signals from Project Nostradamus will go and automatically tighten parameters in Project Cyclops . To the extent that, really the credit managers can go on holiday and sit on a beach while the system operates on its own auto -correcting itself .

Ramesh Bhojwani :  
Thank you and all the best .

Nitin Naik :  
My name is Nitin Naik, Director of Naik Consulting. And I would like to ask the question that, you know, the last division which you have, that is the Gold Finance Division. The gentleman said that, when it was started, the very first day itself, you could one, your customer could get the feeling of, paperless office. So, does it mean that while the negotiations were going on for the takeover, at the same time you were in parallel having the systems put in place for a paperless office .

Sudipta Roy :  
Not really. But the fact is that more or less when it became clear that we would probably be the successful bidder that is when we started. And what we had done was that we had actually just part of the due diligence process actually mapped the software that the company used. And we had also very clearly mapped what are the process improvements that we need to do. So, it was very, very clearly mapped out as to what we need to do. And during the 3 -month integration process that we had, we built everything .

Nitin Naik :  
Fine. Thank you so much .

Rahul Maheshwari :  
Good evening, sir. Rahul Maheshwari here from Dolat Asset Management. First of all, great insights from entire team. Just one question after implementing Project Cyclops and all the AI tools, how much on an overall basis the cyclicalities you expect has reduced from a business perspective? And if you can mention some sensitivity to it, that will be very helpful? Thanks

Sudipta Roy :  
See, it 's very early days . So, Project Cyclops , for example, Two-Wheelers is about 14 -15 months in operation. In the Tractor business, it's about 6 to 8 months in operation. And in the SME business, it's only 2 months in operation.  
But whatever I can say, gleaned the learnings from the 14 months of Two-Wheeler operations. You see, Two-Wheeler is a very, very aggressive credit product. It's a very, very difficult product to do . And if I were to give you some stats, average Two-Wheeler portfolio industry bounce rates are anywhere between 20% to 22%. This is the average bounce rate. Our Project Cyclops underwritten Two-Wheeler portfolio this month, the gross non -starter

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bounce rate was 7.15%. That's actually a prime Personal Loans bounce rate. But the fact is that we are not underwriting prime Personal Loans customer. We are underwriting Two-Wheeler customer who are actually the sort of, I would say, near prime customers . So, obviously, the system does a very good job of finely dissecting customers who are actually have a high intent to pay rather than customers who have sort of limited sort of commitment towards sort of completing the tenure of the loan. So, it actually separates out those customers. So, I would say, overall, on the long run, on a cyclicalities, probably to reduce by about 50% to 60% is what my gut

feeling is. But actually, we would need to run Project Cyclops continuously for 3 years, right, to have a real answer to that number and probably run it through a cycle to get the real answer out. But leaning on my experience of over 27, 28 years in the retail financial sector in India, I would say to reduce cyclical ity by 50%, 60% .

Sachinn Joshi :

Can I just add? So, you are looking at cyclical, but ultimate end result has to be reduction in either collection cost or credit cost. And as Sudipta mentioned, the first impact of this will be felt in fourth quarter as far as Two-Wheelers is concerned, because there has to be some seasoning involved and Two-Wheeler was the one which was taken up the first. So, you will see in fourth quarter, the book, as you are seeing that almost 60% of the book have been -- have gone through Project Cyclops and underwritten through Project Cyclops . The balance 40% over a period of time will start running down fast and you will start seeing the impact from Q4. But FY27 will be the year when you will start seeing significant part of the books have, routed or being underwritten through Project Cyclops . And accordingly, H2 of FY27 will really be, I would say, the full impact of credit cost where Sudipta also mentioned in his presentation that what we are targeting is ultimately to move from about 2.75% to 3% down to about 2%. So, directionally, you have seen that barring, micro loans, which we, the challenge which we went through over last about four quarters. I think now each and every business by end of December, even Personal Loans will actually start getting completely routed through Project Cyclops . So, next financial year is when we will start seeing full impact of it on the credit cost .

Sudipta Roy :

I will give a little more detailed answer. The fact is that, this is something the efficacy of this tool is something which we are discovering with every passing month. Typically, we have not run Project Cyclops ever in a festive month. And typically , what happens in a festive month, your volumes go up. And normal common sense logic says as your volumes go up, normally a large number of bad customers might slip in . Because what happens is in a large manual process, if you run a sort of credit administration system that is largely manual, as volumes go up, generally trade discipline tends to fray on the edges. In the month of October, we processed about 65,000 - 70,000 Two-Wheeler loans. Sorry, in the month of September. In the month of October, we processed, we actually disbursed about 1,30,000 Two-Wheeler loans. So, actually almost a double size jump in volumes . So, obviously, our feel was and my worry was that, we will see the G

ross Non -Starters spike up. It came in at 7.15%, the lowest ever. So, we did high volumes and saw the lowest ever GNS, which means the machine did exactly what it was designed to do, cut a way the bad guys and let the good guys in . So, it is, so this was actually Aha! moment for us. So, as I said, it is a machine, we are trying to give as much disclosure as possible. The presentations were long, probably some of you got bored during the presentations because it was too much of data or too much of, but the fact is that the reason we wanted to give the disclosure to such detail was to give the investor community a good amount of understanding as to what we have built, how it is operating and how it is manifesting it in its business results .

Parikshit :

My name is Parikshit, I am from Pkeday Advisors. I have a two -part question. If I understand correctly, Project Cyclops is a fully automated underwriting system. And if that is the case, then why Helios even exists? Because that is both targeting the SME loans and if Project Cyclops is well on its way, then Helios would be redundant .

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Sudipta Roy :

Very good question. The fact is that Project Cyclops fully automated is very good, for loan ticket sizes to a certain part, where we have the confidence saying that we do not need a single underwriter to look at it. For example, Two-Wheeler, average loan ticket size is 1.1 lakhs, 1.2 lakhs . So, we are comfortable with machine taking the decision.

But when the loan size is 25 lakhs, 30 lakhs, 50 lakhs, though the machine is giving you a decision, we want a secondary underwriting to be done. Because if you by chance go wrong, because you have to understand that in machines, you can have bugs . When we built Project Cyclops , we figured out that there were a couple of bugs in the original stages . And they led to some anomalous results . So, we underwrite the files through Project Cyclops . The Project Cyclops gives the first level of underwriting. And then we want a human to look at it also and corroborate that underwriting because the ticket sizes are much larger. When you are underwriting a loan ticket size of 60 lakhs, 70 lakhs, 1 crore, still, we would like a human to look at it till we are confident enough after a history has built of about 12 to 18 months to say the human is not needed anymore. Project Cyclops can do it.

So, then, Project Cyclops will do it. But we need to travel that distance. So, that is why, the Helios co-pilot is currently helping our underwriters to supplement the work that Project Cyclops is doing .

Parikshit :

Thank you. And if you do not mind, I will just ask another question there is a lot of the data that you showed which shows a downward trend. But how have you controlled for the overall macro situation? Because even the macros have improved, right? So, how should we look at your data from that angle ?

Sudipta Roy :

So, see, macros have improved in pockets. Macros, again move in cycles . So, one of the things which you saw in the Project Nostradamus tool was that the Project Nostradamus also consumes macro scorecards . So, there is a set of macro scorecards which have been built for Project Nostradamus . And those scorecards are overlaid on a particular geography as well as a particular line of business. For example, if there is a flood in that one particular area, or if there is a drought in that area, the macro scorecard will overlay on that and sort of predict the sort of forward-looking delinquency in that area. So, in that way, we sort of try to address the macros through Project Nostradamus right now. As of now, for example, yes, business

growth, you know, there is a GST -2 impact

on tractors, there is good rain. So, generally, that has a positive impact. So, macros give you your positive tailwinds, macros give you headwinds as well . So, you cannot plan for macros, unfortunately. So, that is why in part of Project Nostradamus , the tool is that at least, as and when macros keep on happening, at least it gives you an advance warning as to what might happen .

Parikshit :

This is the continuation of the same question, if Helios can do it, then what is the difference between Project Cyclops and Helios ?

Sudipta Roy :

Like Helios, for manual handwriting simplifies your workflow . Like, for example, you will see in the demo, there is a bureau report, which is 900 pages Bureau report, who has got the time to look at a 900 -page Bureau report? Helios translates a 900 -page Bureau report into actionable actions in exactly flat 10 second s, and also give you the PD questions . Similarly, Helios has got many parts. Helios has got a Bureau analyzer, Helios has got a banking statement analyzer, Helios will have a GST analyzer, Helios will have, legal, technical, as I talked about it. So, all these modules come in -built. Now, for example, Helios, right now, we have done for SME, but Helios will really be liberating for the mortgage underwriter. Because at times in mortgage underwriting, you have to look at many

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things . So, average, it takes the industry anywhere between Rs. 18,000 to Rs. 20,000 to underwrite a single mortgage file. My estimate is that Helios in full flow, when you implement it for mortgage, will crash that number by about one -tenth . So, a file that takes Rs. 20,000 to process should be done at Rs. 1,000 .

Parikshit :

Fine, fine, fine. Thank you so much .

Kaitav Shah :

Hi, good evening. Kaitav Shah from Anand Rathi. Sir, my compliments to you for the presentation. I think you have been batting on the front foot today versus last year. It is a commendable job. My question is you touched upon culture, I think a couple of t imes we heard that. So, how have you implemented this across the organization? Because that is a very difficult thing to do, right? Change your culture .

Sudipta Roy :

See, culture does not change without executive sponsorship and executive demonstration. So, the management committee knows that these are the couple of things that we need to do. And the fact is that this discussion with the management committee is very, v ery transparent. So, each and every member of the management committee is tasked with that task of culture change . So, basically, when the top end of the organization speak in unison , this is something which is probably appreciated in very large organizations, more than smaller organizations , and you strive to bring up the outcome orientation of the organization against the politics that slows down the organizational velocity . Now, when the management committee speaks at one unison, when the entire organization is focused on one key outcome goal, and when you are trying to granularly distill th ese desirable behaviors in each and every person, obviously, HR plays also a very, very strong role. So, you use HR to force multiply your messages. But the fact is that HR cannot alone do it. It is the line managers, it is the support unit managers, it is the, it is the middle managers, who have to speak in unison. And that will only happen if the senior

managers actually get out from their office and travel to the nook and corner of the city, of the country. And that is what we have been trying to do. Our people have been literally been on the road, almost like, two to three days

a week, our senior teams. And the branch sort of structure, introduction of the silo to matrix structure also has helped. So, is it a job fully finished? I would say no. It is still a work in progress. And it will take a couple of more quarters for this to sort of come to a level of completion, where we think that we have done a reasonably good job.

Namit Arora :

Thanks. Good evening. Hi, this is at the back. Yes. Hi, good evening. This is Namit Arora from InGrowth Capital. Sudipta and team compliments on the phenomenal progress over the last year. And thank you for a very detailed set of presentations. My question is, company has made a lot of progress on various areas like technology, strategy, execution. But sitting today, are there any things that you worry about as a company and as a management team .

Sudipta Roy :

Well, there are many things we worry about. We are very, very candid about it. We are present in some cyclical businesses. We are present in some cyclical businesses. We are present in businesses where there are event risks. For example, JLG lending is a business that has event risk. We saw policy decisions in one particular state, suddenly tank collection efficiencies and our team struggling to keep afloat. These are the things that we worry about . So, one of our objectives is also try to reduce cyclicity or exposure of cyclicity to our business. So, that is one of our major objectives. The second thing, obviously, is that we, one thing which keeps us awake is the spectre of losing our best people. Over the last couple of quarters, we have become a magnet for technology talent and because of some of the work that we have been doing. And trust me, word spreads very fast in the

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community that this place, you do get to do good work . And people have been coming and joining us. In fact, for that matter, this year, we have actually got very good people from all the top IITs and we really did not struggle to hire them because we felt that all of them looked at the RAISE 24 videos and realized and decided that this is a place where work can happen . And so, they decided to join us. And when we asked them why, what pushed you, they said RAISE 24 videos on YouTube. That is what pushed us. So, the other thing that keeps us awake is losing some of our best people. And obviously, again, geopolitical risk and any other sort of risk we cannot measure or we cannot anticipate sort of worries us. Apart from that, I think we have a fair bit of control on how to underwrite, how to manage customers, how to manage credit risk. Yes, we have dragged from a back book, which is underwritten by legacy algorithms. As and when that clears, the real cost of or the real impact of what we have been doing over the last 18 months will start appearing in the balance sheet and in the profitability numbers .

Namit Arora :

Thank you very much and all the best to the entire team. Thank you .

Himanshu Taluja :

Hi, sir. This is Himanshu here from Aditya Birla Sun Life. So, firstly, congratulations on the great Investor Day that you have pulled and also the way you have delivered in the last 12 months. But can you put some perspective? I have a very basic question here on the JLG. When this entire fiasco started about the higher leverage and particularly exposed to most entities being exposed to greater than three plus lender. At the start of the fiasco, we were also having somewhere between 50% to 20% of the book. But the outcomes, the way you have delivered has been a far better. Can you just help us by giving some what prudent measures in your underwriting, which ultimately results to a

better outcome ?

Sudipta Roy :

I think, if you go back to some of our presentations, you will get that. But, a couple of things we have been following always. If you look at the MFIL guidelines that came in June, July of this year, which said that, greater than two lakhs, threshold, should not be breached, not more than three loans should be breached, etc. And all those things that came in, we have been following those guidelines since 2022 or 2021. So, what MFIL introduced in 2025, we have been following those guidelines since 2021. The second thing that we did was that we realized early on that a crisis is coming. We realized sometime around October, November of 2023, that things are going to get worse. So, what we started doing was that starting from Jan of 2024, we started off cutting off repeats and started taking our income thresholds up, especially for some of our repeats. And also tightening some of our through -the-door ingress of customers. The other thing that we did was that we beefed up our collections, because one of the

things we realized that our accounts per collector was at about 580 before the crisis. We said that we need to bring down the because we had a sense that something was coming. We said that we have to bring down our accounts per collector to about 450 to 480 levels. So, we actually pushed in 1,000 more people into collections, before even the crisis hit to bring down our accounts per collector from 580 to 480 or 450 or depending upon the markets. So, and plus, at the end of the day, the JLG business is about brutal discipline. The fact is that, unless you are able to maintain the discipline of the workforce and a large amount of workforce on the ground, and unless you digitize to the last tier and do not leave anything to interpretation, you will not be able to manage this. Our workforce is very, very disciplined, we are an extremely disciplined management team, we are an extremely hardworking management team, and our every process in the JLG business is digitized. Through all this and obviously through proactive portfolio management, we have managed to weather this storm. And the fact is that our next step will be to make sure that we take out cyclical as much as we can from this business, though we cannot plan for event risk. So, obviously, we have said during our analyst calls that our objective will be to build back the macroprudential provisions over a period of time, and we will do that.

Himanshu Taluja :

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Sure. The second is the Project Cyclops and some of the rule engines which you have developed in the last basically sometime in the last one to two years. I think, is it like, because many of your team leaders and many of you have come from a larger bank where they are the early implementer of some of the rule engines, is that experience really helped you in setting some of the things here, setting the stage here ?

Sudipta Roy :

No. I will be very, very emphatic about this. Project Cyclops is a ground up, natively designed machine. What exists in Project Cyclops does not, to as far as my knowledge, does not exist in many large organizations. So, the philosophy of building those scorecards, the philosophy of ensembling those scorecards, the philosophy of fast response from the scorecards using streaming data is something which has been probably built in the country for the first time. And to pull data from seven, eight disparate sources, make sense of it, manage latency and deliver an experience to the person at the dealer point in an acceptable time frame is really the challenge of Project Cyclops. And what Ramesh said, Project Cyclops d

oes not blink. And I will tell you this, Project Cyclops is a large machine now. In the last 15 months that Project Cyclops has operated, it has not had a single day of downtime. It probably has not had even 10 minutes of downtime. It is so robustly built. So, I would say, it does not exist in any large organization.

Himanshu Taluja :

Sure. Thanks.

Vipul Shah :

Hi, my name is Vipul Shah. I am an individual investor. I just want to know what is, what does it cost to build all these three platforms and what will be the cost going forward every year.

Sachinn Joshi :

Yes, the cost of building, I mean, the amount that we have spent till date on Project Cyclops and Project Nostradamus put together is about Rs. 60 odd crores, but it is still a work in progress. So, Project Nostradamus is still in the making. We are just one particular business which has been implemented. So, this will increase further. But at this point of time, what we have actually capitalized is about Rs. 60 odd crores. Sorry, you had something more? Next year, see, out of this Rs. 60, about Rs. 35 to Rs. 40 crores have been spent on Project Cyclops. The balance 20 has been to build Project Nostradamus. This will further. So, next year we will have to figure out because it is a combination of time being spent by various engineers to actually build. As Sudipta was mentioning, it has been built in -house. So, it will, it is basically the time that we are spending on building this. So, the cost of, the employee cost, all these engineers are working around the clock. So, it depends on the time frame required to go through that implementation is what we will do. Significant amount of work has gone into this. We just do not count that. So, it took flat four months to implement Project Cyclops and it was done through the shifts. So, it was not that it was a nine to five kind of thing. People worked in shifts to deliver it so fast. Otherwise, it would have taken at least about a year or so. Probably it would have taken more.

Karthik Narayanan :

Yes. Thank you, sirs. With this, thank you, sirs, for the detailed discussion and clarification provided. With this, ladies and gentlemen, we come to the end of this Investor Digital Day. On behalf of L&T Finance, I thank you

again for spending your valuable time. For any further clarifications, request to contact the investor relations team. Thank you very much. And please, the tag that you're wearing, the access code that you have is valid for RAISE 25 tomorrow also. So, please do visit us. There will be more stalls here coming by for RAISE 25. There will be interesting speakers coming here for RAISE 25 tomorrow, which is our AI tech conference. So, please be there tomorrow and attend it as well. With this, ladies and gentlemen, thank you very much .

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Sudipta Roy :

I know it's late, but there are demo stalls of Project Cyclops , Project Nostradamus , as well as Helios and, B owl Like Bu mrah in that side. So, in case any one of you have time, I would urge you to spend some time there and get a hands-on feel of, what some of the solutions are. Our teams are waiting out on the demo area. The demo area will also be available tomorrow as well for RAISE. Thank you so much and thank you for coming and attending our Digital Investor Day. On behalf of L&T Finance, I'd like to thank all of you for a patient hearing and we hope to see you again next year .

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions i

n Q &A which would have unintentionally crept in, if any

## Call: Jan 2026

INTERNAL January 27, 2026

National Stock Exchange of India Limited  
Exchange Plaza,  
Plot No. C/1, G Block,  
Bandra - Kurla Complex, Bandra (East),  
Mumbai - 400 051. BSE Limited  
Corporate Relations Department,  
1st Floor, New Trading Ring,  
P. J. Towers, Dalal Street,  
Mumbai - 400 001.

Symbol: LTF Security Code No.: 533519

Kind Attn: Head – Listing Department / Dept of Corporate Communications

Sub: Transcript of Investor(s) / Analyst(s) meet – Q3FY2025-26 Financial Performance and Strategy Update

Dear Sir / Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q 3FY2025-26 financial performance and strategy update held on January 19, 2026.

The above information is also available on the website of the Company i.e., [www.ltfinance.com/investors](http://www.ltfinance.com/investors).

We request you to take the aforesaid on records.

Thanking you,

Yours faithfully,

For L&T Finance Limited  
(formerly known as L&T Finance Holdings Limited )

Apurva Rathod  
Company Secretary and Compliance Officer

Encl: As above

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Management Personnel :

Mr. Sudipta Roy ( Managing Director & Chief Executive Officer)

Mr. Sachinn Joshi (Chief Financial Officer)

Mr. Raju Dodti (Chief Operating Officer)

Mr. Karthik Narayanan (Head – Investor Relations)

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Moderator:

Ladies and gentlemen, good day, and welcome to L&T Finance Limited Q3FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '\*' then '0' on your touch -tone phone. Please note that this conference is being recorded . We have with us today Mr. Sudipta Roy, Managing Director and CEO; Mr. Sachinn Joshi, CFO; and Mr. Raju Dodti, COO; and other members of the senior management team.

Before we proceed, as a standard disclaimer, no unpublished price -sensitive information will be shared during the call. Only publicly available documents will be referred to for discussion s during interaction s in the call. While all efforts would be made to ensure that no unpublished price -sensitive information will be shared, in case of any inadvertent disclosure, the same would, in any case, form part of the recording of the call. Further, some of the stateme nts made on today's call may be forward -looking in nature. A note to this effect is provided in the Q3 results presentation uploaded .

I would now like to invite Mr. Sudipta Roy to share his thoughts on the Company's performance and the strategy of the Company going forward. Thank you, and over to you, Sir.

Sudipta Roy :

Thank you. A very good morning, everyone, and thank you for joining us today. I would like to wish you all a very happy and prosperous New year on behalf of the entire leadership team at L &T Finance . Joining me today on the call are – our CFO, Mr. Sachinn Joshi, our COO, Mr. Raju Dodti and other members of the senior management team of L&T Finance.

Similar to our previous calls, today's call is divided into two sections, taken up sequentiall

y by myself followed by

our CFO – Mr. Sachinn Joshi, who will be talking about the overall business metrics & financial performance.

Our last interaction during the Investor Digital Day on the 6th of November 2025 was well received wherein we outlined in detail our business and technology transformation roadmap for the next few years. We also had a chance to share with you the headline business updates. In today's call, we will focus on the performance update of Q3FY26 alongside sharing our outlook for the rest of the year. At the outset, I am happy to state that our core retail franchise continues to be resilient, and we are confident that the momentum we have created for the business during recent quarters wi ll sustain through the remainder of the fiscal year and would continue in FY27.

Post our opening commentary, we will be happy to take questions on the call.

Macro -economic outlook

Before we delve into the highlights of the quarter, I would like to give you some flavour of the current macro - economic scenario and sectoral outlook.

Global uncertainties persist at highly elevated levels. The Indian economy, though not fully immune to the external headwinds, has demonstrated remarkable resilience on back of coordinated fiscal, monetary and regulatory policies and bolstered by strong do mestic demand. Real GDP registered a strong growth of 8.2% in the second

quarter of FY26. NSO's first advance estimates project that India is set to deliver a 7.4% YoY growth of Real GDP in FY26, fuelled by robust private consumption and capital investments.

The growth in private consumption is being sustained by robust rural demand and easing inflationary pressures. Headline inflation has remained below RBI's lower tolerance level for four consecutive months and is projected to remain benign well into FY27.

Overall demand condition has remained robust, building up on the festival season pick-up. First advance estimates for Kharif 2025-26, project a record foodgrain production. Mandi arrivals started late due to delayed monsoon and harvest cycle and lower crop prices. However, it is catching up fast in last 3 weeks, as government

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agencies have begun direct procurement at various APMC mandis. Rabi sowing is near complete as well and stands 2.8% higher on year till date. These bode well for rural cash flows.

Urban consumption demonstrated strong acceleration in Q3FY26 owing to the GST 2.0 reforms and supply side de-bottlenecking was able to cater to the increased demand. As food inflation remains benign and consumption indicators remain robust we are confident that the growth momentum of the Indian economy will sustain well into FY27.

#### Q3FY26 Highlights :

To start off this quarter's highlights, I am pleased to inform you that we have achieved the highest ever quarterly core PAT of ₹ 760 Cr, up by 21% YoY, before a one-time exceptional impact of the New Labour Code amounting to ₹ 29 Cr. PAT even after the one-time impact stood at a highest ever ₹ 739 Cr, up by 18% YoY. This profitability has been recorded on the back of highest ever quarterly retail disbursements of ₹ 22,701 Cr, up 49% YoY. This has led to the retail book growing to ₹ 1,11,990 Cr at the end of this quarter, reflecting a growth of 21% YoY and a RoA of 2.37%, 2.31% for Q3FY26 after the impact of exceptional items, reflecting a growth of 10 bps YoY.

This quarter showed a strong growth in total income up 18% on YoY basis and 8.4% on QoQ basis and a stable operating cost trajectory which increased only 7% on YoY basis, including the one-time Labour Code impact, leading to a PPOP growth of 25%. This was aided by a 19 bps sequential impro

vement in the Net Interest Margins

+ Fees at 10.41% driven by a continuous focus on yield and fee improvement and efficient liability management strategy. We are pleased to share that in line with our guidance, we have not used any macro-prudential provisions during this quarter indicating the return of our Rural Business Finance (RBF) vertical to a near normal credit cost trajectory. The positive dividends from the early implementation of Project Cyclops in Two-Wheeler, SME, and Farm business continue to accrue well and will show up in meaningful reduction in credit costs through FY27. The credit cost this quarter has moderated from 2.98%, before macro-prudential provision utilization, in Q2FY26 to 2.83% in Q3FY26, a reduction of 15 bps QoQ and 8 bps YoY. It is to be noted that this includes a one-time charge of ₹ 23 Cr on certain co-borrower provisions. Excluding this one-time impact the core credit cost from operations came in at 2.74%, a 24 bps reduction on QoQ basis. Our core credit cost in the prior three quarters has been 3.80%, 3.43%, and 2.98% respectively followed by 2.74% this quarter. This trajectory of paring of credit cost will culminate in the achievement of the guided 2-2.2% corridor by Q4FY27.

In my previous call, I had mentioned that the microfinance sector has shown green shoots of recovery this quarter and I am pleased to inform you that we have seen sustained resilience and uptick in both disbursement volumes and collection efficiencies in our microfinance portfolio. The quarter saw a 38 bps improvement in Karnataka monthly collection efficiency, which increased from 99.18% in September'25 to 99.56% in December'25. The pan India '0 DPD' collection efficiency improved 20 bps to 99.70% from 99.50% during the previous quarter. And the abatement of this specific event risk has resulted in NIL utilization of macro-prudential provisions during the period. Please refer to slide 34 of the Investor Presentation for a detailed flavour of the RBF business.

I would now like to share an update on the newly acquired Gold Loan business, which has gained significant momentum with quarterly disbursements of ₹ 1,408 Cr, up 43% QoQ. We continue to expand our geographical footprints and have added 64 new Gold Loan branches this quarter focused on areas with high cross-sell potential. By the end of FY26, we plan on establishing a distribution strength of 330+ gold loan branches.

In line with our earlier guidance Project Cyclops is now implemented in our Personal Loan business and will complete a full roll-out by end of Q4FY26. The engine continues to perform exceedingly well in our Two-Wheeler business and is exhibiting the first green shoots in the Farm and the SME business. The Net Non-Starter (NNS) for the Two-Wheeler portfolio went down from 2.36% in Dec'24 to 0.41% in Dec'25 and in the Farm business the NNS reduced from ~1.50% in Dec'24 to ~0.4% (Project Cyclops) in Dec'25. We are confident that as

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disbursements through this engine scales up across businesses, our portfolio quality will get enhanced with lower bounce rates and non starters, leading to lower roll forwards and thereby reducing the overall cost of credit administration for the organisation.

Our next digital initiative, Project Nostradamus, an industry first AI driven automated real time portfolio management engine went live in beta mode in Two-Wheeler Finance in August'25 . The engine has started delivering real -time, actionable insights for proactive portfolio management to monitor performance down to an individual micro -market cluster. We also initiated two primary AI initiatives: Project Helios and Project

Orion.

Project Helios serves as an Agentic AI platform that enables underwriters to make faster, consistent, and accurate decisions. This has already processed 5,000+ cases, resulting in a 30% reduction in turnaround time and saving 1.5 hours per case in our SME business . This will slowly be extended to all lines of business. Project Orion is a conversational Project Nostradamus co-pilot designed for automated portfolio monitoring, allowing credit teams to query complex delinquency and vintage data in real -time which is currently live in the Two -Wheeler business.

I would like to add that adherence to the RBI's guidance regarding provisioning for co -borrower exposures has contributed to an increase in Provision Coverage Ratio (PCR) this quarter from 70% in Q2FY26 to 72% in Q3FY26.

#### Update on Lakshya 2026 Goals

Now, I would like to share an update on our quarterly performance against the Lakshya 2026 goals:

- The first milestone was to achieve Retailisation of >95% by FY26. We achieved a Retailisation of 98% in Q1FY26 which has remained at the same level in Q3FY26.
- The second milestone of Retail book growth, we had set ourselves a Retail book growth target of 25% CAGR against which we have achieved a CAGR growth of 28% between FY22 to FY25.
- The third milestone, which is on the Asset Quality front, we maintained the Retail GS3 & NS3 levels closer to the threshold levels , GS3<3% and NS3<1%, our Consol GS3 and NS3 stood at 3.19% and 0.92% respectively.
- On the fourth and last milestone of RoA, we achieved an RoA of 2.31% in Q3FY26, this includes a one -time exceptional item impact of the New Labour Code of ₹ 29 Cr, and RoA before exceptional items is 2.37%, which has been achieved without the use of any macro -prudential provisions. I would like to reiterate that we continue to work towards achieving our Lakshya 2026 target of 2.8% -3.0% RoA in Q4FY27.

#### Double Click on the 5 pillars of execution

As mentioned earlier, I would now like to give a brief update on the 5 pillars of execution that we had enumerated in October 2023 and continue to be in implementation mode against the same.

1. Customer Acquisition - The focus continues to be on expanding our customer base, both by deepening our reach in existing segments and broadening our geographical and digital footprint through partnerships. The implementation of GST 2.0, coupled with a favourable monsoon, served as a catalyst for robust festive demand this quarter. Leveraging these tailwinds, we successfully onboarded 7.0 lakh new customers up from 5.9 lakh last quarter. For a deeper dive into our acquisition metrics and repeat customer share, please refer to slides 14 and 15 of our Investor Presentation.
2. Sharpening Credit Underwriting - We have given extensive details on the design and performance of our new age underwriting tools in our Investor Digital Day deck on slide 6 to 7 and our focus remains on implementing Project Cyclops in our Mortgage and Rural Business Finance verticals in FY27. The model risk management framework and team have been significantly boosted to guard against any unforeseen pocket of execution risk arising from the plethora of machine and deep learning models running across our state -of-the-art AI based credit tools.

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3. Futuristic Digital Architecture - We continue to work on upgrading our technical capabilities and our focus on continuously strengthening our IT framework remains unabated. I have already spoken about Project Cyclops and Project Nostradamus. Full stack Project Nostradamus implementation will be completed in the Two-Wheeler business by March 2026 and will be implemented in Personal

#### Loan and Rural Business Finance

vertical in H1FY27. Under the PLANET 3.0 initiative, the company has achieved significant digital penetration with over 2.2 Cr app downloads, which now features a multi -lingual conversational voice agent for real -time loan servicing. This quarter we also launched Partner PLANET mobile app with a complete service suite for

our dealer partners. To strengthen the cross-sell engine a new digital tool called Loan Offer Pod was operationalised in Q3FY26 and would be scaled up in the coming quarters. These operational efficiencies are further bolstered by KAI Voice & Chat, an agentic AI solution currently handling automated collection calls in 11 languages across multiple lines of business. Please refer to slides 59 & 60 in the Investor Presentation for operating metrics on the app.

4. Brand Visibility - We continue to focus on targeted customer engagement, leveraging our brand ambassador, Jasprit Bumrah. During the quarter, we also ran campaigns for our Two-Wheeler and Farmer Finance businesses, while participating in major agricultural expos in Gujarat and Indore.

We successfully concluded the second edition of our flagship BFSI -AI event 'RAISE' which attracted 4,500 attendees and 40 speakers. A key highlight of the event was the launch of Pitch Point, an AI startup pitch platform to cultivate the fintech AI entrepreneur ecosystem.

5. Capability Building - On capability front, to strengthen our presence and to be a pan-India player we are expanding our Gold Loan branches to over 330 new branches in FY26. Central to this strategy is the integration of some Gold Finance branches into the multi-product 'Sampoorna' branch network, where we inaugurated our first Sampoorna branch in Ujjain, thereby creating a more comprehensive service ecosystem for our customers. Till date out of the new gold loan branches, 11 are in the Sampoorna branch format. I will now request Mr. Sachinn Joshi, our CFO, to take you through the financial updates.

#### Financial updates

Sachinn Joshi :

Thank You, Sudipta. As always, I will be walking you through the financial performance of the company for the quarter .

#### Quarterly Performance:

- Consol NIMs + Fees for the quarter improves 19 bps QoQ to 10.41% from 10.22% in Q2FY26 . This has been contributed by stable yields & cost of borrowings reduction due to Treasury efficiencies which resulted in the lowest ever Weighted Average Cost of Borrowing (WACB) at 7.25%
- Consol PAT after one-time exceptional item for the quarter is at ₹ 739 Cr , this is up 18% YoY
- Quarterly Retail disbursements stood at ₹ 22,701 Cr , this is up 49% YoY and 20% QoQ
- Retail book stands at ₹ 1,11,990 Cr , up 21% YoY and 7% QoQ . Our Consol book stands at ₹ 1,14,285 Cr, up 20% YoY and 7% QoQ
- Consol RoA after one-time exceptional item stands at 2.31%, up 4 bps YoY and down 10 bps QoQ
- Consol RoE at 11.07%, up 86 bps YoY and down 26 bps QoQ

#### Retail Businesses :

Talking about overall businesses, let me start with Rural Business Finance .

#### Rural Business Finance

This business registered quarterly disbursements of ₹ 6,740 Cr, delivering a strong momentum with a growth of 47% YoY and 7% QoQ . This growth was driven by improved collection efficiency and sectoral trends. The book size in turn reached ₹ 28,976 Cr , up 10% YoY and 6% QoQ respectively in the third quarter .

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#### Farmer Finance

In the Farmer Finance vertical, quarterly disbursements stood at ₹ 2,783 Cr in third quarter , up 12% YoY and 68% QoQ . The book size reached ₹ 16,671 Cr, reflecting a growth rate of 11% YoY and 5% QoQ. GST 2.0 along with favourable monsoon fuelled robust

festive demand . This resulted in all-time high disbursements for Farmer Finance .

#### Urban Finance

The segment comprises Two-Wheeler Finance , Personal Loans and Home Loans & LAP.

• Two-Wheeler Finance : The Two-Wheeler business registered quarterly disbursements of ₹ 3,217 Cr in the quarter , up 33% YoY and 28% QoQ . GST 2.0 & robust festive demand resulted in all-time high disbursements. Notably, 87%+ of Two-Wheeler disbursements in Dec'25 were to customers from the Prime segment as against 53% for the month of March'24. This reflects our focus on quality growth and risk-adjusted returns. The book size reached ₹ 13,913 Cr, an increase of 10% YoY and 7% QoQ.

• Personal Loans : In the Personal Loans business, we achieved a quarterly disbursement of ₹ 3,574 Cr . This translated into a growth of 118% YoY and 23% QoQ with the book size reaching ₹ 12,810 Cr, an increase of 64% YoY and 18% QoQ, attributed to the successful scale-up of big tech partnerships.

- Home Loans & LAP: Moving on to Housing, we achieved quarterly disbursements of ■ 2,879 Cr, up 16% YoY and a growth of 6% QoQ, with the book size at ■ 28,682 Cr, an increase of 22% YoY and 5% QoQ. Growth in the segment was supported by new partnerships and a strong network of distribution channels.

- SME Finance: In the SME business, quarterly disbursements stood at ■ 1,550 Cr, up 24% YoY and 6% QoQ. The book stood at ■ 7,946 Cr, up 37% YoY and 6% QoQ.

- Gold Finance

In the Gold Loan business, quarterly disbursement s stood at ■ 1,408 Cr up by 43% QoQ and the closing book stood at ■ 1,738 Cr at the end of third quarter, up by 18% QoQ.

Let me now hand over the call back to Sudipta to make his closing statements.

Sudipta Roy:

Thank you Sachinn. In closing, I would like to state that Q3FY26 was a robust quarter driven by macro -tailwinds and I expect the structural momentum to continue into Q4FY26. The normalisation of the RBF business augurs well for our business momentum and we expect to make gains in the same. All our businesses have been primed for execution over the last couple of quarters and we can expect the positive outcomes to continue through FY27. Our asset quality will continue to improve through FY27 as Project Cyclops underwritten portfolios take centre - stage and their share continues to increase. The improved business momentum, reduced credit costs, and continuous focus on operating efficiencies should lead to a continuous improvement in RoA and improving RoE trajectory as the leverage increases.

We thank you for your support throughout our transformation journey thus far and look forward to continuation of the same. The floor is now open to questions.

Moderator :

Thank you. We take the first question from the line of Praful Kumar from Dymon Asia. Since there is no response, we will move on to the next question, which is from the line of Mahrukh Adajania from Nuvama Wealth Management.

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Mahrukh Adajania :

I just have a couple of questions. Firstly, on credit cost. So, you have explained that the incremental portfolio is doing well, and you've given detailed explanation on the credit cost. But your annual reset would happen every year in the fourth quarter. So how would it pan out in FY 27 fourth quarter? I mean what will be the pull and push factors because there will be a reset even then next year? So that's my key question.

Sachinn Joshi :

Yes. Thanks, Mahrukh. Sachinn here. Let me take this question. So yes, you are right. Every year, end of the year, in fourth quarter, we do the -- we revisit the ECL models. And if I recall, you mentioned how will it pan out in FY2

7 Q4, right?

Mahrukh Adajania :

Yes.

Sachinn Joshi:

So, FY 27 Q4, we believe will be a much better revisit. We are, in fact, waiting for that day and that quarter because by then, most of our book would have been seasoned through the -- using the Cyclops underwriting tool, which would mean that directionally, the overall models would start taking into account the benefit flowing through slowing down of slippages, which are quite evident. If you look at the slippages between first and the second quarter, the slippages were lower by about ■ 160 Cr. Between Q2 and Q3, the slippages have come down further by about ■ 190 Cr to ■ 200 Cr.

So clearly, it's evident that as more and more newer portfolio is getting created using Cyclops, the flow forward has been slowing down. And it's not just Cyclops. There are lots of other tweaks done to the -- to various underwriting models, which have -- which are now leading to improvements being seen across, whether it's Two-Wheeler, whether it's Farm, Personal Loans.

And on the Rural Business Finance, although Cyclops is not yet implemented, we have already showcased to the world how we have been better than the other industry players. So, we believe that come Q4FY27, we will be in a far more comfortable position compared to where we are today. I hope I've answered your question.

Mahrukh Adajania :

Yes. That's good enough . Thank s a lot

Moderator:

We take the next question from the line of Kunal Shah from Citigroup.

Kunal Shah:

So again, getting on to the credit cost trajectory, given that MFI collection efficiency has improved, plus when you look at it in terms of Two-Wheeler as well as Farm Equipment, the non starter rate has also improved from, say, compared to that of September. But still in terms of credit cost, maybe it was like 15 -odd b ps and even adjusting for that 25 b ps. So, was it equally satisfactory from your end? And would this be the run rate of improvement? Or there was anything specific during the quarter and the run rate of improvement should actually accelerate from here on to get towards your guidance of 2, 2.2 -odd percent by Q4 of FY 27?

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Sudipta Roy:

Thanks, Kunal, for the question. So, if you see -- and then I'd like to point out the overall credit cost trajectory for the last 3 quarters, right . So, at the peak of the microfinance crisis, we're actually -- and these numbers are without factoring in the macros, right . At peak, we had gone up to 3.83% -- 3.8%.

From 3.8%, we came down to 3.43%, right . From 3.43%, we came down to 2.98%. Now obviously, in unsecured, especially when the pool which is there, which is the unsecured pool, the speed at which it goes up when -- and it flows quickly. So, when you see an improving trajectory, normally, the pace of improvement will be the first -- very rapid in the first few quarters as the portfolio normalizes, and then the slope will slowly tend to flatten out, right. And so that is what you see.

If I take away that ■ 23 Cr one-time impact that we have got because of the co -borrower prudential provision that we have taken this quarter, the degrowth is around a 25 b ps de-growth, right, in credit cost. So, if you see directionally, the trajectory of paring of credit cost remains unabated. Now for example, next quarter and over the next couple of quarters, right, we will see improvements. And we are very, very confident.

See, when we guide to 2% to 2.2%, see our net nonstarters -- as I said , net nonstarter in Two-Wheeler is down to ~40 bps levels. Net nonstarter in Farm is down to ~40 bps level (Cyclops) . Sachinn spoke about the slippages coming down, right . The slippages

-- the gross slippages this quarter between last quarter is lower by almost ■ 200 Cr, right .

So, the slippages also have been coming down with every passing quarter. So, I do believe that the credit cost trajectory will continue to improve. Now some quarter, it might be a significant improvement. Some quarter; it might be a less than significant i mprovement because this also depends upon the collection efficiencies in that particular quarter and the efficacy of the entire -- how the collections team have been able to do it during that quarter.

So, the only thing is that credit cost, if your expectation is that the credit cost will actually move in a metronomic regularity in a straight -line fashion, that, sometimes in real life does not happen, right . So -- but what we are very, very confident is that 2% to 2.2%, reaching that 2% to 2.2% guided trajectory by Q4 FY27, right . If the tailwinds are with us, we might reach it before even -- before Q4 FY27 also, right . But the fact is that on a conservative basis, I would like to say that we are very, very confident of reaching the trajectory by Q4 FY27.

Kunal Shah:

Yes, just on the same one. I just wanted to check why this ■ 23 Cr is a onetime given that the co -borrower exposure prudent provisioning would be business as usual every quarter.

Sudipta Roy:

This is a little different from that. Sachinn, you would like to say?

Kunal Shah:

And what is the nature, yes, if you can just highlight that, yes.

Sachinn Joshi:

Yes. So, Kunal, the co -borrower piece, at industry level, there were different ways of either taking it into account or not. The example I can give you is that if there is a husband and wife who have taken exposure in one particular business, the wife has taken exposure to another business loan completely different. And that loan was standard. We did not consider that because that was a co -borrower taking a fresh loan. Those loans were -- because they were standard, were continued to be shown as standard and hence, the provisioning was as per the normal Stage

1 provision. And this quarter, post our RBI interaction at the time of inspection, we were advised that we should take into account all such accounts as well.

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So, the cumulative effect of this has been about ₹ 23-odd Cr. And because it's cumulative, going forward on a QoQ basis, these will be very minimal. I mean you can also understand that these are all Retail loans. So, the overall impact will be very minimal and which will get subsumed within the normal costs that we take into account.

Moderator:

We take the next question from the line of Praful Kumar from Dymon Asia.

Praful Kumar:

Sir, many congratulations on a great transformation and turnaround. Just a couple of questions. One, very strong delivery on NIM and Fees. And as a structurally lower credit cost regime starts to play out, do you think that there is a trade-off between NIM and Fees and credit cost as a business model?

Sudipta Roy:

Thanks, Praful, for the question. I'll go back to what I had said during our analyst call that we are a risk-first, tech-first diversified financial services player. So obviously, many of our decisions on customer segment choices have been driven by this tech-first philosophy -- risk-first philosophy.

Having said that, we are also very, very cognizant of the fact that we need to balance our NIMs and Fees and give a predictability to our NIMs and Fees trajectory. And that is why our continuous guidance has been that we will put the NIMs and Fees -- we will try to deliver the NIMs and Fees in the corridor of 10% to 10.5%.

Now you can see that there has been

an improvement of NIMs and Fees by about 18 bps this quarter, which is primarily driven by 2 things. First thing, our core lending businesses have improved their NIMs and Fees trajectory, primarily because the Rural Business Finance vertical has seen a resurgence after sort of resolution of the microfinance industry issues. Plus, also all our businesses have been pushing their yields northwards.

Also, because the flows have been lower, the NPA reversals that we normally get, right, which is sort of a negative drag on the NIMs and Fees, also has been lower this quarter, right, which also looks -- shows the improving resilience of our book. And last but not the least, on a QoQ basis, there has been a 7 bps improvement in our funding costs, right.

So -- and we do believe that the full transmission of the current round of rate cut has still not even been transferred. So there remains a possibility of some more rate transmission this particular quarter, right.

So, given the fact that the businesses are on a sort of upward trajectory across most of our lines of businesses, we are very hopeful that we should be able to maintain the trajectory that we have sort of been on this particular quarter. And I'm hopeful that it should be able to sustain over the next couple of quarters. However, in terms of guidance, our guidance is that we will maintain it between the corridor of 10% to 10.5%.

Moderator:

Praful, I would advise to please rejoin the question queue for a follow-up question. We take the next question from the line of Kaitav Shah from Anand Rathi.

Kaitav Shah:

Yes, Sir, congratulations on a good set of numbers. Sir, just one question. If you can break up also your credit cost into a couple of other components, like standard asset provision. And what is the MTM loss you have on the treasury book, that would be helpful.

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Sachinn Joshi:

Actually, if you look at -- in the presentation itself, we give Stage 1, Stage 2, Stage 3, full details on the Retail credit cost breakup. You can look at that. That already has the breakup in the slides.

Kaitav Shah:

No, Sir. In terms of standard asset provisioning, if you are doing, has that number now moved up? And also, if

there is any investment book loss that you are looking at?

Sachinn Joshi:

Yes. So standard asset provision, the amount will go up based on the increase in the fresh book, right. As our book starts growing, it will first reflect the increase in Stage 1. And depending on the quality of assets, it will lead to change, which is on slide 39.

Moderator:

We take the next question from the line of Avinash Singh from Emkay Global Financial Services Ltd.

Avinash Singh:

So, one, on your NIM s+Fees. I mean, currently, if I understand broadly ₹ 6,000 -odd Cr of security receipts (SR) that will be there and if this is the consol NIM s+Fees that you are disclosing, is it fair to assume, I mean, once, say, in FY 27, once your -- this thing, ₹ 6,000 Cr SRs, if they get resolved, broadly, that would lead to close to a 40 bps improvement in NIMs+fee or 30% -- 30 bps improvement in ROA. So that's particularly -- and how is sort of visibility around the resolution of these SRs?

And secondly, on credit cost, if I look at your book, I mean, the 30% is like now -- nearly 30% is going into very, very low credit cost like Mortgages, LAP and incrementally in Gold. Then -- and your steady state guidance is coming close to, say, 200 to 220 bps. Is it fair to assume, I mean, in steady state, you are assuming certain businesses to be somewhere close to, say, a 3% to 4% credit cost?

Sachinn Joshi:

Yes, sure. So, thanks Avinash. So, talking

king about the NIM s+Fees first. NIM s+Fees has different components, the first being the yield, which depends on the kind of mix because we are already -- initially, it was Retail - Wholesale. Now we are in 98% Retail. So that impact is gone. The second impact now is in terms of the overall mix, Rural Business Finance being the highest yielding. In percentage terms, it will keep coming down, but albeit slowly because -- as you fire up the other businesses. But we also have similar high -yielding businesses that we have started off. Micro LAP is one such business, followed by Personal Loans, SME, all these businesses are -- and Gold Loans, which we recently took over the business. So, all these are equally or maybe at a slightly lower level, but high -yielding businesses. As -- because these businesses have started growing, you have seen that the yields also have gone up by a few basis points.

The second component, of course, is the weighted average cost of borrowing. In a low interest regime, we are now actually reaping the benefits of the overall weighted average cost of borrowing going down.

Our businesses are such that we really don't tweak the yields. In fact, when the interest rates were going up -- when the RBI repo rate had gone up by 250 bps, we did not increase the yields on most of our businesses, except for Mortgages. Same thing is happening as we are seeing the interest rates coming down. Only the Mortgages business is where the interest is being -- the benefit of interest going down, is being passed on.

So, at the NIM level, I think there is a fair play between yields and cost of borrowing. We may have something more coming up because the repo rate reduction has still not been completely -- I don't think the banks have started or fully passed on the benefit. And if there is any further reduction also in repo rate, that also will be

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available. But it also depends on what is your treasury strategy. So, we have wherewithal to utilize the short-term paper, which comes in slightly at a lower cost compared to medium to long-term instruments that we use to raise funds from the market, like Term Loans or NCDs. So, our CP exposures right now are in the 8% range of overall borrowings. We can go, as per our ALM, we can go right up to 14%, 15%, although we have kept it range bound in that 8% to 9%. We can surely take advantage of that. PSL is one big advantage that a company like L&T Finance has, especially, because of PSL qualifying assets with Farm as well as Microfinance assets.

The third component is, of course, the fees where the -- right now fee depends on 2 things. One is the disbursements, which leads to increase in processing fee; and number two, the cross-selling in terms of the CLI income that we have, the credit-linked insurance. As and when we start off some other fee-related businesses, we will surely see some prop up on the fee part as well.

So, I think the NIM s+Fee, at least, because of so many moving parts, we conservatively give a guidance of a range to be met, which is 10% to 10.5%. When things are favourable, we will be more tending towards 10.5%. And when things turn unfavourable, maybe we'll move towards 10%. I think we will be able to successfully be within this range going forward. The second question...

Sudipta Roy:

Second question, I will take. Second question, I think your question was that if you have a Mortgage at a much lower credit cost than if your overall credit cost is at a particular level where the other businesses are at higher credit cost. Obviously, if you look at the microfinance business, for example, now the steady state credit cost that you



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ould expect about the microfinance business , you have a 99.7% collection efficiency, 0.3% is flowing every month, right . Across the 12 -month period, that's 3.6%, right . So that naturally gives you a credit cost threshold of about 3% in that particular line of business. Now the fact is that if you are -- suddenly your collection efficiencies go northwards from there, you will have a much lower drag. But for modelling purposes, et cetera, it is fair to assume that in that business, you can expect a steady state 3% credit cost.

Two-Wheeler business , industry operates at a much higher credit cost level, right . But the fact is that for us Cyclops -- with Cyclops, we are very, very confident that over a period of time, and when I say over a period of time, I mean in the next couple of quarters, next 3 to 4 quarters, the headline credit cost trajectory of this business for us will drop below 3%.

But will it go below 2%? We'll have to wait and watch, right . So, when we do our modelling and when we do our predictions, obviously, there are certain businesses at a higher credit cost trajectory , there are certain businesses at a lower credit cost trajectory, and the weighted average will obviously come between that 2% to 2.2% level.

Avinash Singh:

Yes. And any sort of a timeline of security receipts resolutions? And what is the amount currently sitting on your balance sheet?

Sudipta Roy:

About ₹ 5,000 Cr is sitting on our balance sheet right now. And the way we have guided is that it will take us anywhere between the next 2 to 3 years for a full resolution of that, right . So, we are seeing good amounts of resolution. And see, typically, we give details on our security receipts in our Q4 annual results.

So please wait for next quarter to get a full update on that. But you will be reasonably sort of satisfied to see that there has been a good amount of progress on resolutions this year -- throughout this year. And we expect that resolution trajectory to continue, and we are hopeful that this thing will be a thing of the past post the next 3 years -- north of next 3 years. But yes, it will take between 2 to 3 years to fully resolve.

Moderator:

We take the next question from the line of Zhixuan Gao from Schonfeld. Please go ahead.

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Zhixuan Gao:

Just want to understand why did our Stage 2 and Stage 3 coverage increase quarter -on-quarter this quarter? Is it because of some ECL refresh? Or is it because of the mix of the LGD on the slippages?

Sachinn Joshi:

Yes. So, the PCR increase is more to do with the higher provisions done for the Stage 3 assets. As I mentioned, the co -borrower issue basically meant that if there were some Stage 3 assets and related borrower or a co -borrower had taken an exposure to some other business, we have made those provisions, the incremental provision.

And that incremental provision has led to increase in the overall provision on Stage 3 assets. So whatever assets moved to Stage 3 , the provision made was slightly higher than the GS3 -- incremental GS3 which happened and leading to the PCR being high.

Zhixuan Gao:

Got it. And sorry, just one on the -- we talked about the fourth quarter FY27 ECL refresh. How should we think about the fourth quarter FY26 ECL refresh? Is it likely to be a negative impact or positive impact on the overall credit cost?

Sachinn Joshi:

No. Like I mentioned in the -- earlier when I was explaining, what we believe is that as we move from quarter -to-quarter, the benefits of Cyclops will start flowing in. And once the benefits start flowing in, the models also will look at a lower PD - LGD coming into play because of a better

performing book. And naturally, that would ideally

-- if that happens over the next 4 quarters, naturally, when we do the similar exercise in quarter 4 of FY 27, we should see the numbers actually turning much more favourable than they are today.

Moderator:

We take the next question from the line of Abhishek Murarka from HSBC.

Abhishek Murarka :

So, a couple of questions. Sudipta, can you speak about the asset quality trends and general leverage, et cetera, in the digital Personal Loans book, especially for the disbursements that are coming from your digital tie-ups? We've seen some of the other peers in the industry backtrack on this. So, I just wanted to get an update of how that is going.

The second question I wanted to throw in there is, if I back calculate your write-offs, it's about ₹ 600 Cr for the quarter, how much of that was MFI? And I'm guessing some of the write-offs in MFI would be from the legacy book. So, if that goes away next quarter, then what happens to the MFI write-off number? How much can it fall, right? So, 2 questions. Over to you.

Sudipta Roy:

Yes. So, the first question, our digital partnerships continue to do very well. With every passing quarter -- passing actually month, the credit metrics continue to improve, including the gross nonstarters and the net nonstarters.

So -- and the disbursements continue to increase. So, for example, if I were to talk about the gross nonstarter for our portfolio in the month of December, especially in the Personal Loans business, it was a low of 2.69%, right.

So -- and the same number probably in the month of August was about 3%.

So, you can see that the quality of the portfolio continues to improve with every passing month. And we are extremely confident of the quality of the book that we're building because contrary to maybe many other players,

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we do not play in the BNPL space or the near prime or the subprime space. Most of our sort of offers on the digital partnerships is basically in the prime Personal Loans space with good ticket sizes. So -- and that is why our portfolio continues to remain stable in that particular sort of cohort.

So overall, we have had very, very encouraging results on the Personal Loans credit quality, and we remain quite stable in that particular line of business. The next one was, Sachinn, on the write-off number.

Sachinn Joshi:

Yes.

Abhishek Murarka :

Sudipta, if I can just check on this. So, on a 6-MOB (Months on Book), 9-MOB basis also, it's good because your portfolio growth is quite high. So, the denominator kind of...

Sudipta Roy:

Yes. On a 6-MOB and 9-MOB basis. So, a couple of things, Abhishek, we look at. We look at overall portfolio bounce rate. That means whether you're -- on a 6-MOB and a 9-MOB basis, we remain stable, right. And the fact is that the portfolio bounce rates, which means the number of people who bounce their payment at the end of the month, has been actually falling with every passing quarter right. So -- okay. And to be specific, the Partner book bounce rate, right, is sub -2%.

So that means out of 100 cheques that we present in the Partnership book in the month of December, less than 2% of people bounce their cheques, right. Now if I were to look at the industry average for a pure salaried prime Personal Loans book, this number ranges between 3% to 4%. So, in a way, we are very, very happy with the leading metrics of this business.

And as I have said, we are not chasing numbers here. We are chasing quality across all our lines of business.

And if we find that if there is a little sort of bubble of risk at any point in time, we will

ruthlessly shut it down, right.

And one of the important things is that we implemented Cyclops in the Personal Loans business this quarter.

Obviously, on a small portion of the business we have initially implemented.

We'll finish full implementation by, at the end of Q4FY26. So, we are very confident that the quality credit origination that we are seeing already in the Personal Loans business will continue to improve. So, in a way, we are reasonably confident that our Personal Loans business will not show any shocks or any upheavals, which might have been prevalent elsewhere in the industry. Sachinn, on the write-off number ..

Sachinn Joshi:

Yes, Abhishek, on the write-offs, I think, I'm happy to state that you have gone wrong on your assumption. The slippages, as I mentioned earlier, the slippages have been much lower, and the write-off book accordingly is also much lower than what you have mentioned. It's about ₹ 470-odd Cr. So that's where we are.

Abhishek Murarka :

Okay. And bulk of it would be MFI?

Sachinn Joshi:

Yes, I would say so. Because that was ..

Abhishek M urarka :

Yes. So actually, the question, Sachinn, is that if this is from the legacy, does this come off significantly in 4Q as well? That's what I was trying to get.

Sachinn Joshi:

So, see, like we mentioned, 99.7% collection efficiency would mean that only going forward between Jan to March, it's only the 30 b ps which is moving forward. So yes, the book which is going to get into 90 + is going to naturally become smaller .

We have also shared in our -- in the presentation that only 2.5% of our total exposure of ~■ 28,000 Cr is LTF +3 or more, which means 4 exposures of that customer. Those are the risky ones, but that's just 2.5% of the overall .

Sudipta Roy:

See, Abhishek, just to add to what Sachinn says, our MFI book continues to -- has actually stabilized reasonably well right now, right . And frankly, we are very, very confident of the go -forward trajectory of this business, extremely confident, if I were to say -- sort of stick my neck out, right . So, you have seen the collection efficiency improve secularly as we had guided. And I -- we are happy with 99.7%, right . But obviously, we will try to push northwards.

Moderator:

We take the next question from the line of Bhavik Dave from Nippon Mutual Fund.

Bhavik Dave:

Sir, just quickly on your operating expenses, right . Like, they have like trended quite well. The cost to income ratios are like coming off the 40% to 38 -odd percent. Just wanted to understand where are we -- like how do we -- I understand we see this directionally going down, but what is your view on this one?

And second, just on this, like, when I look at your slide, which talks about the cross -sell, right -- and cross -sell, upsell. When I look at your Farm and Personal Loan cohorts, there the repeat customer percentage in terms of value that you're giving out is reducing. Anything that's happening out there? If you could just talk about that as well, that will be helpful.

Sudipta Roy:

The first question is on opex. Sachinn, do you want to take the opex question?

Sachinn Joshi:

Yes. So, on the operating expenses, earlier also, we have guided that looking at quarterly numbers, all ups and downs that are there, should not really -- you should not get too much meaning out of it. Very clearly, we are in investment mode. We are invest ing in technology. We are investing in setting up new branches. Gold Loan, we are setting up 1 branch a day. We also are setting up branches to do Rural LAP . We have Sampoorana branches coming into play. So, the investments will c

ontinue to happen. This quarter, the cost to income ratios are below

39%, but I would still suggest that we should assume that it will be somewhere in the range of 40% odd. We are now going to focus on the top line.

As the top line starts growing, the collection, the cost to income ratio will continue to remain range -bound. I think directionally, medium term, our target would be to go below 40%. But I think that we will share that when we are sharing with you the Lakshya 31 target that we will be taking up for achievement.

Sudipta Roy:

Yes. On the Personal Loans value to existing customers, you can see that it has gone down primarily because the origination to fresh customers has increased. So, as a proportion of the value of Personal Loans cross -sell in the overall Personal Loan pie obviously has reduced . But though the volume more or less remains similar, right . The actual value more or less remains similar because Personal Loans right now, we are doing about ■ 1,300 Cr

a month, right . The amount of cross -sell -- roughly, I'm giving you a rough number . We were doing about ■ 300 Cr, right . So that number remains more or less constant .

Because one of the things is that our primary Personal Loans cross -sell is to our seasoned Two-Wheeler customers , right . So, because the -- and that will depend on the ingress of -- the velocity of ingress of the Two-Wheeler customers. Off late, the velocity of ingress of our Two-Wheeler customers has gone up primarily because our Two-Wheeler volumes have gone up.

So, you will see probably a quarter or two from now, that number might tick upwards. That means as more and more Two-Wheeler customers get seasoned, the Two-Wheeler cross -sell number might increase as a percentage of the total Personal Loans. But as Personal Loans overall disbursement continue to increase, I do believe that this percentage will remain more or less stable at around this 25% to 30% level.

Bhavik Dave:

Sir, my question was more on Farm Equipment, which is a more seasoned portfolio. There the number is 16% versus like 27%.

Sudipta Roy:

Yes. So Farm, one of the things is that we also have a Farm variant, which we call Kisan Suvidha, which means for a customer who has sort of finished off paying a large proportion of the Farm loan, we normally tend to give an unsecured line of credit to that particular customer, which he can take as a loan.

Now the Kisan Suvidha part, the Kisan Suvidha because -- see, the focus on fresh originations -- because of GST 2.0 was very, very high during this quarter, right, so the focus of that on converting Kisan Suvidha slipped a bit, right. So, because the demand on fresh tractors was so large that we are really focused on that, right . So that is why the Kisan Suvidha slipped a bit this quarter. That has shown up in that 16%.

Moderator:

We take the next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services L td.

Abhijit Tibrewal:

Sir, just 2 clarifications on what we have already discussed until now. Sir, first thing on provision cover . You explained earlier that this time, the increase in the cover was more to do with certain higher provisioning that we did on the co -borrower exposures. Just trying to understand in this -- at the end of this fourth quarter, when you revisit your ECL model s, are you expecting a further increase in the provision cover given what we have seen, especially in MFI in the last 1, 1.5 years?

And then I mean, when is it that you plan to start creating macro -prudential provisions? I remember you had shared with us earlier that you 'd look to start creating these macro provision

s only when you see some benefits flowing through from SR resolutions.

And then the second question I had was more on the NIM +Fees, which we have discussed extensively , your guidance of 10% to 10.5%. We are already at the higher end of that guidance range. So NIM expansion in the coming quarters that you spoke about earlier, is it going to be more a function of an improvement in the product mix? Because, like you mention ed, Micro LAP, P ersonal Loans , SME, Gold Loans, they all continue to become a higher proportion of your loan mix. So, is that how we should think about it?

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Sachinn Joshi:

Yes, Abhijit, let me take the first question first on the overall PCR. In fact, what you mentioned on the Micro Loans actually does not apply to us because Micro Loans, the moment it goes to 90 +, we have been providing 100%, okay . We have -- we used to have the macro -prudential, which was at some point of time, ■ 975 Cr, and that used to sit against the Stage 1 and Stage 2 assets, overall portfolio.

Because 90 + is already being provided for and -- if there is a technical write -off required, we used to do that. It was more of a Finance decision with regard to the tax benefit. But going forward, so which means that the PCR increase will not be required for Stage 3, I'm anyways providing 100% on that portfolio. Going forward, we will have to revisit each and every business to figure out how the businesses have performed and how -- what is the future track which these businesses would take.

And as I was mentioning earlier, the Cyclops delivery, which is , the early signs of which are very good, will frankly decide on the PCR bit . Because if you look at the past, we had challenges starting off with the IL &FS debacle, Covid and last about a year, 1.5 years or maybe around 5 quarters, we have seen challenges on the Micro Loans piece.

So we have actually come out of major -- various cris es, which actually going forward, we can safely assume that all these crises are not going to come up on an immediate basis, which -- and if our portfolio start s showing improvement over the next few quarters, I was mentioning that next financial year, Q4 FY 27, we will be in a much better position to really relook at the PD-LGD coming slightly down.

Even if you take a good decent future into account, we possibly may -- if at all, we have to bring it down, the PCR may only come down because at industry level, you would see that there are various players having a PCR in the range of 50%, 55%.

So, we are yet to really look at it, because we will start the work now that we have closed the third quarter. We will start the work on revisiting the ECL models. And thankfully, even RBI has prescribed the ECL to be made applicable to banks. Now everyone will be on the same level playing field.

And we will also perhaps get some clarity from the regulatory side, how things are applying to banks. And also, there will be various inputs, which will be taken into account to really finally conclude whether these PCRs are really required, they need to go up or down. But as I speak, I think that we are anyways slightly higher on the PCR side. So, if at all, we have to take a call, it will be on slightly lowering it rather than increasing it from here. On the macro.

Sudipta Roy:

On the macro -prudential, I'd just like to add, obviously, it is our objective to build back the macro -prudential as fast as possible. What we are also doing is that in the microfinance business, especially in the markets where we feel that there is a risk overhang or there is a historical track record of event crises, we have also started taking a CGFMU guarant

ee as well on those portfolios, right. So that even before we start building back the macro -prudential provisions, there's a secondary protection that is put in.

Obviously, as we have said, as our SR portfolios move towards realization, we expect some over realization from that as we move. And whatever we get from that, we will put that towards the macro -prudential provision pool.

That is always what we have maintained. So, our objective is to build back this macro -prudential provision coverage as fast as possible.

Though this time, from -- as a matter of strategy, we might do it at an unsecured assets level rather than a single line of business level, right. Last time, the ₹ 975-odd Cr of macro -prudential provisions that we had were specifically targeted towards microfinance business, or the RBF business.

This time, when we build it, we will build it for the overall unsecured asset business of L&T Finance, right. So that will be our strategy. So as and when we get that window of opportunity to build those provisions, we will definitely build those provisions, and we are committed towards the same.

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Abhijit Tibrewal:

Got it, Sir. And then the last question that I asked was on how should we think about margins and yields? Will the expansion in yields be more a function of the improvement in product mix?

Sachinn Joshi:

Yes, absolutely. The product mix will ultimately decide where -- which way it would move. I think we will be doing significant work on this when we work on the 5 -year plan, and we'll be better off talking about this maybe after the end of next quarter when we unveil the Lakshya 31 fresh set of goals.

Moderator:

We take the next question from the line of Nidhesh Jain from Investec.

Nidhesh Jain:

Sir, my question is on unsecured loans. The share of unsecured loans is around 45% of AUM. How do you see this share moving over the next 2 to 3-year perspective? Also, I see that there is a very strong growth in Personal Loan portfolio around 17%, 18% Q -on-Q and acquired portfolio growth on a Q -on-Q basis. So, what is driving that? And how should we see growth in these 2 portfolios?

Sudipta Roy:

Sorry, Personal Loans and acquired portfolio you said?

Nidhesh Jain:

Yes.

Sudipta Roy:

So, what was the first question?

Sachinn Joshi:

First question was the unsecured share.

Sudipta Roy:

Okay. So unsecured share, yes, currently, it's about 44%. Our stated objective is to have the secured, unsecured ratio at 60:40. So that is our stated objective. So obviously, if you see some of our business lines, like the Microfinance business, the Personal Loans business, the unsecured Business Loans originations, they are of the unsecured nature. But we are trying to balance it by secured Gold Loans, right .

And you see the speed at which Gold Loans has been growing, and that is why we are focusing on rolling out more and more branches of Gold Loans. 200 + Gold Loan branches, we will roll out this year. New branches, 330 + new Gold Loan branches next year. So, the focus would be on growing that business. We are also starting the process of semi -secured as well as secured Business Loans as well. So, to bring down the proportion of unsecured in the Business Loans and the SME segment as well. So that is what we are also starting. So, over a period of time, we would want to move it closer to about 40% in terms of unsecured. And even in SME business loans also, even if they are unsecured, we are looking at taking the -- CGTMSE guarantee for -- to partially secure some of those loans.

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So structurally, within the tools available at our disposal, we are also trying to secure some of the downside risk of some of the unsecured loan portfolios by subscribing to the -- some of the government credit guarantee schemes. So that is what is being done.

So -- but to cut the long story short, guidance on final sort of share is 60 -40 between secured and unsecured, and we will work towards achieving the same. That might take a couple of years to get to there, but that is what our management has guided. Was that the next question?

Sachinn Joshi:

And P ersonal Loans .

Sudipta Roy:

Yes. So, P ersonal Loans , we have grown quite well. But the fact is that you have to understand that the high growth i n – Personal Loans is on a low base. The P ersonal Loans business is on a low base. So, when you go from ■ 1,000 Cr per month to ■ 1,300 Cr per month, the growth seems high.

Though -- and also one of the reasons our Personal Loans business has been growing very high is that when we put in the digital partnerships, like when you do a partnership with Google Pay or Amazon or, for that matter, SuperMoney, what happens is that initially, you take a couple of months to stabilize the systems and processes and then that business starts delivering the numbers.

So that is why there is a rapid scale -up in the initial phase, which will settle down to a sort of a much more seeded pace over a 6 to 9-month period. So, the sort of the near vertical trajectory that you see in growth in Personal Loans will attenuate over the next couple of quarters as volumes tend to stabilize, right . And all of these channels tend to reach their -- sort of their funnel maturity. So that is what will happen.

And in terms of the acquired portfolio, obviously, acquired portfolio is primarily portfolios purchased from the market. And we normally do this as a process, right . So -- and just to -- we obviously have a good amount of surplus capital available. So, we want to deploy that capital into productive assets.

For example, at times, it might make sense for us to acquire a mortgage portfolio or an affordable housing portfolio primarily because the cost of origination is not part of the business, right . So, we have previously done acquisition of portfolios and that continues. This quarter, we focused on it. So that is why you see a sharp growth.

The previous quarter, if you see, there was a degrowth, right . So, this will -- this does not form a normal sort of steady state trajectory. It depends upon the portfolio pools which are available in the market, which portfolio pool meet our income as well as risk thresholds and benchmarks.

So, it's -- you can consider this business, which will be there, but the trajectory of this business will be sinusoidal. There is no -- we do not chase any number target for the acquired portfolio. Whenever we get a portfolio, which meets our benchmark, we buy it, right . So just to make sure that our capital is deployed more efficiently and our leverage continues improving.

Moderator:

We take the next question from the line of Chintan Shah from ICICI Securities.

Chintan Shah:

So, sir, one thing . Firstly, on the Rural Business Finance portfolio. So given that there are no w guardrails on the JLG lending piece. So, are we looking to move to individual lending in MFI? That's the first question. And secondly, sir, on the average yield, if you could just share the average disbursement yield for gold loans for the current quarter. So that would be helpful .

Sudipta Roy:

First question, individual loans, not in terms of individual consumption loans. We are not looking at individual consumption loans. Though we might work on Micro Business Loans, somewhat on the lines of Micro LAP that we do. So -- but it will be a very slow start. This is something that we will sort of very carefully tread on. To answer your question, right now, we are not doing it, right. But the fact is that in our plan for FY 27, we might look at some pilots. In FY 27, we might look at some pilots because we want to tread very cautiously on this. And we want to -- sort of do very small pilots, see the efficacy, see the top-line credit parameters that are building before we build it up. But we'll be very, very clear, we will not be giving individual loans for consumption. We'll be very, very focused on linking it to a business outcome or a sort of micro business loan, if I may have to term it. Right. So that is why a good amount of pilot and seasoning is necessary. So, this might not be a relevant item for FY27. But if we are successful, this might be a relevant item for FY 28.

Chintan Shah:

Okay. Sure. So just one thing, a follow-up on that. In terms of steady state growth for the MFI business, would we be looking at a 20%, 25% growth for MFI or lower than that? And if lower, given the MFI...

Sudipta Roy:

No, no, will not be looking at a 20%, 25% growth rate for the MFI business. We will be happy to -- happy if we hit somewhere between 15% to 20%.

Chintan Shah:

Sure, sir. So given that this is almost 25% of our portfolio and a high-yielding business for us as well. So how are we looking to compensate the yields for the -- from the MFI -- lower growth in the MFI business?

Sudipta Roy:

So again, Gold is obviously a compensating block, and that is why we made the acquisition of the Gold Loans business. And then we are trying to optimize our yields upwards for all our lines of business. We are trying to optimize yields upwards for our Two-Wheeler business. We are trying to optimize yield upwards for our SME business. We are trying to optimize yield upwards for our Personal Loans business. So -- but also, if you see our Micro LAP business, has also been growing very well, right. We crossed ₹ 1,000 Cr of book size this quarter, right. And we are improving our branches -- branch presence on Micro LAP as well. So overall, whatever -- the question on that is that whatever sort of growth -- sort of missing part of the jigsaw that we might get from our MFI business, we will try to cover it up by our high-yield secured businesses as much.

Sachinn Joshi:

Yes, just to add, Chintan. Earlier also, we mentioned about the kind of mix that we tend to see over a period of time. It will be having 3 components, right, the yield; cost of funds; as well as fee. The yield part, we are already working on, and it's already started showing results. The reduction in book of Rural Business Loans is not going to be at a significant pace.

It will continue to grow stand alone, but it's only because of the other businesses growing, in percentage terms, it may come down, and that will be more than compensated by the growth of other high-yielding businesses like Gold Loan, Micro LAP, SME.

And one more thing which one should not miss out is that we are not going to focus only on the NIM s+Fees because directionally, you may find NIM s+Fees slightly lower over a medium to long term, but which will be more than compensated by a reduction in operating expenses, which is the collection cost and the credit cost.

So, we will still have th

e ROAs intact in spite of this coming down a bit. I'm not saying that it will. But if at all, in your models, if you're trying to factor in, you should also factor in that if the yield goes down a bit because we have moved more towards prime, you should factor in a reduction in credit cost and collection cost accordingly.

Chintan Shah:

Sure, sir. That is very helpful. Just then last thing ...

Moderator:

Chintan, if you could please rejoin the question queue. Thank you. Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to Mr. Sudipta Roy for his closing comments.

Sudipta Roy:

Thank you, everyone, for giving us the opportunity and patiently hearing us out. As always, we remain focused on execution. We remain focused on, as I've said in a recent press item, relentless execution. Our focus is to make sure that the initiatives on the credit side that we are currently running, especially Project Cyclops and Project Nostradamus, actually are completely pushed out across all our business lines.

And we will be focused on disbursement growth. Q4 FY26 will be also a focused quarter for disbursements. And we are very hopeful that the growth trajectory that you have seen in Q3 FY26 will continue unabated in Q4 FY26. We will announce our Lakshya 31 plans in the April quarter. So as part of our April quarterly results, we will also announce the Lakshya 31 plans. And I'm looking forward to discussions on the Lakshya 31 plans in our next analyst call. I wish all of you a very happy New Year once again. And with that, we will bring this call to a close.

Moderator :

Thank you. On behalf of L&T Finance Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

\*Since the transcript has been derived from a voice recording tool, necessary corrections have been made to remove anomalies as well as manifest but inconsequential factual discrepancies , repetitions in Q &A which would have unintentionally crept in, if any



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